CASES DECIDED

IN THE

COURT OF APPEALS

OF THE

STATE OF NEW YORK

[822 NE2d 1214, 789 NYS2d 696]

In the Matter of PAUL SMITH et al., Appellants, v TOWN OF MENDON et al., Respondents.

Argued November 17, 2004; decided December 21, 2004

SUMMARY

APPEAL, on constitutional grounds, from an order of the Appellate Division of the Supreme Court in the Fourth Judicial Department, entered February 11, 2004. The Appellate Division affirmed so much of a judgment of the Supreme Court, Monroe County (Robert J. Lunn, J.), entered in a combined proceeding pursuant to CPLR article 78 and action for a declaratory judgment, as dismissed the second, third, and fourth causes of action of the petition.

Matter of Smith v Town of Mendon, 4 AD3d 859, affirmed.

HEADNOTE

Constitutional Law — Taking of Property — Regulatory Taking — Site Plan Approval Conditioned upon Acceptance of Conservation Restriction

Respondent municipality did not commit an unconstitutional taking when it conditioned site plan approval upon petitioner landowners' acceptance of a conservation restriction on any development in the areas of petitioners' property located within municipal environmental protection overlay districts (EPODs). The conservation restriction sought by respondent closely tracked the limitations already set by the EPOD regulations, but it also encumbered the servient property in perpetuity, and afforded respondent greater enforcement power. The restriction was not, however, a dedication of property to public use constituting an ''exaction'' subject to the ''rough proportionality'' standard of constitutional scrutiny. Rather, it was subject to the less stringent determination of whether it substantially advanced legitimate state interests. As the restriction did not appreciably diminish the value of petitioners' property, and it substantially advanced the legitimate government purpose of environmental preservation by advancing respondent's aim of preserving environmentally sensitive areas in perpetuity, placing future buyers on notice of the development limitations on petitioners' property, and furnishing respondent with a more effective means of ensuring compliance with its regulatory objectives, it did not constitute a regulatory taking.

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AM JUR 2d, Zoning and Planning §§ 478–482.
CARMODY-WAIT 2d, Proceeding Against a Body or Officer § 145:1449.
NY JUR 2d, Buildings, Zoning, and Land Controls §§ 56–59.
NEW YORK REAL PROPERTY SERVICE § 48:5.

ANNOTATION REFERENCE

See ALR Index under Zoning.

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POINTS OF COUNSEL

Galvin and Morgan, Delmar (*James Morgan* and *Madeline Sheila Galvin* of counsel), for appellants. I. The Supreme Court's decision in *Dolan v City of Tigard* (512 US 374 [1994]) applies to this case. (*Del Monte Dunes at Monterey, Ltd. v City of Monterey,* 95 F3d 1422, 526 US 687.) II. The conservation restriction required by the Town of Mendon is a conservation easement, carrying with it all of the resulting legal sequelae. (*Matter of Necker Pottick, Fox Run Woods Bldrs. Corp. v Duncan,* 251 AD2d 333; *Matter of Morrone v Bennett,* 164 AD2d 887; *Leibring v Planning Bd. of Town of Newfane,* 144 AD2d 903; *Human Dev. Servs. of Port Chester v Zoning Bd. of Appeals of Vil. of Port Chester,* 110 AD2d 135, 67 NY2d 702; *Soon Duck Kim v City of New York,* 90 NY2d 1; *Matter of Doyle v Amster,* 79 NY2d 592; *Matter of Fuhst v Foley,* 45 NY2d 441; *Conley v Town of Brookhaven Zoning Bd. of Appeals,* 40 NY2d 309.) III. The Appellate Division incorrectly effectively reversed the State Supreme Court's holding that a conservation ''restriction'' of the type sought by the Planning Board of the Town of Mendon legally constitutes an easement. IV. Application of facially unconstitutional provisions of the Mendon Town Code to Paul and Janet Smith results in violation of the Smiths' constitutionally guaranteed rights. (*Forsyth County, Ga. v Nationalist Movement,* 505 US 123; *Freedman v Maryland,* 380 US 51; *United States v Grace,* 461 US 171; *Southeastern Promotions, Ltd. v Conrad,* 420 US 546; *Ward v Rock Against Racism,* 491 US 781; *City of Lakewood v Plain Dealer Publ. Co.,* 486 US 750; *Regan v Time, Inc.,* 468 US 641; *Simon & Schuster, Inc. v Members of N.Y. State Crime Victims Bd.,* 502 US 105; *Arkansas Writers' Project, Inc. v Ragland,* 481 US 221.) V. Town of Mendon Comprehensive Plan-2015 created a layering of requirements which is inherently discriminatory when applied to owners of property and in particular to owners of property whose ownership and rights flowing therefrom predate the creation of the Plan and which contains an unconstitutionally vague provision relating to ''conservation restrictions'' (easements). (*McMinn v Town of Oyster Bay,* 66 NY2d 544; *City of Cleburne, Tex. v Cleburne Living Ctr., Inc.,* 473 US 432; *Group House of Port Washington v Board of Zoning & Appeals,* 45 NY2d 266; *City of White Plains v Ferraioli,* 34 NY2d 300; *Huntington Branch, N.A.A.C.P. v Town of Huntington,* 844 F2d 926, 488 US 15.) VI. The Town of Mendon's use of ''conservation restrictions'' as a condition of final approval of Paul and Janet Smith's application is invalid and unenforceable. (*Nollan v California Coastal Commn.,* 483 US 825; *Dolan v City of Tigard,* 512 US 374; *Reed v Planning Bd. of Town of Chester,* 120 AD2d 510; *Matter of Brucia v Planning Bd. of Town of Huntington,* 157 AD2d 657; *Matter of Massiello v Town Bd. of Town of Lake George,* 257 AD2d 962; *Reed v Planning Bd. of Town of Chester,* 120 AD2d 510; *Matter of Ronsvalle v Blumenthal,* 144 AD2d 766; *Matter of Buckley v Amityville Vil. Clerk,* 264 AD2d 732; *Schneider v State of N.J., Town of Irvington,* 308 US 147; *Metromedia, Inc. v City of San Diego,* 453 US 490.) VII. The Planning Board of the Town of Mendon proceeded improperly to create a condition precedent to approval of Paul and Janet Smith's application and in so doing effected an impermissible, uncompensated taking of the Smiths' property. (*Matter of Chrysler Realty Corp. v Orneck,* 196 AD2d 631; *Matter of Exxon Corp. v Board of Stds. & Appeals,* 128 AD2d 289; *Matter of Mandel v Nusbaum,* 138 AD2d 597; *Matter of Black v Summers,* 151 AD2d 863; *Matter of Stockdale v Hughes,* 189 AD2d 1065; *Matter of Brous v Planning Bd. of Vil. of Southampton,* 191 AD2d 553; *Matter of McDonald's Corp. v Kern,* 260 AD2d 578; *Matter of Swan v Depew,* 167 AD2d 835; *Matter of Greene v Johnson,* 121 AD2d 632; *Matter of Ka-*

dish v Simpson, 55 AD2d 911.) VIII. As a direct result of and inextricably linked to the actions of Town of Mendon, Paul and Janet Smith were denied their constitutionally protected right of equal protection. (*Pitchell v Callan,* 13 F3d 545; *Zahra v Town of Southold,* 48 F3d 674; *LaTrieste Rest. & Cabaret, Inc. v Village of Port Chester,* 40 F3d 587; *Riley v Town of Bethlehem,* 44 F Supp 2d 451; *RR Vil. Assn., Inc. v Denver Sewer Corp.,* 826 F2d 1197; *Soon Duck Kim v City of New York,* 90 NY2d 1.)

Chamberlain D'Amanda Oppenheimer & Greenfield, LLP, Rochester (*George D. Marron* and *Sheldon W. Boyce* of counsel), for respondents. I. This appeal should be dismissed for lack of jurisdiction because appellants have failed to state a cause of action for a regulatory taking and, therefore, have failed to raise a substantial constitutional issue as required by CPLR 5601 (b) (1). (*PruneYard Shopping Ctr. v Robins,* 447 US 74; *Spears v Berle,* 48 NY2d 254.) II. The proposed conservation restriction is a conservation easement and a negative easement; but it is not an exaction or dedication for public use of appellants' property. (*Rahabi v Morrison,* 81 AD2d 434; *Huggins v Castle Estates,* 36 NY2d 427; *Nature Conservancy v Congel,* 253 AD2d 248.) III. Appellants' third cause of action was properly denied and dismissed because the Planning Board of the Town of Mendon's grant of conditional final site plan approval is not a regulatory taking. (*Agins v City of Tiburon,* 447 US 255; *Eastern Enters. v Apfel,* 524 US 498; *City of Monterey v Del Monte Dunes at Monterey, Ltd.,* 526 US 687; *Lucas v South Carolina Coastal Council,* 505 US 1003; *Dolan v City of Tigard,* 512 US 374; *Nollan v California Coastal Commn.,* 483 US 825; *Bonnie Briar Syndicate v Town of Mamaroneck,* 94 NY2d 96, 529 US 1094; *Twin Lakes Dev. Corp. v Town of Monroe,* 1 NY3d 98; *Loretto v Teleprompter Manhattan CATV Corp.,* 458 US 419; *de St. Aubin v Flacke,* 68 NY2d 66.) IV. Appellants' second cause of action was properly denied and dismissed because the Planning Board of the Town of Mendon's grant of conditional final approval of Paul and Janet Smith's site plan is not illegal, or arbitrary and capricious as a matter of law. (*Thomas v Brookins,* 175 AD2d 619; *Matter of Green v Planning Bd. of Town of New Castle,* 220 AD2d 415; *Matter of Grogan v Zoning Bd. of Appeals of Town of E. Hampton,* 221 AD2d 441; *Twin Lakes Dev. Corp. v Town of Monroe,* 1 NY3d 98.) V. Appellants' claim for costs and disbursements of this proceeding pursuant to Town Law § 282 was properly dismissed because the claim is without merit. VI. The remainder of appellants' arguments are irrelevant, groundless and lack any merit whatsoever.

Eliot Spitzer, Attorney General, Albany (*Caitlin J. Halligan, Daniel Smirlock, Peter H. Lehner, John J. Sipos* and *Susan L. Taylor* of counsel), for State of New York, amicus curiae. I. There is no physical taking of Paul and Janet Smith's property. (*Tahoe-Sierra Preserv. Council, Inc. v Tahoe Regional Planning Agency,* 535 US 302; *Loretto v Teleprompter Manhattan CATV Corp.,* 458 US 419; *Southview Assoc., Ltd. v Bongartz,* 980 F2d 84, 507 US 987.) II. The conservation restriction is not an exaction triggering heightened scrutiny under the Takings Clause. (*City of Monterey v Del Monte Dunes at Monterey, Ltd.,* 526 US 687; *Dolan v City of Tigard,* 512 US 374; *Nollan v California Coastal Commn.,* 483 US 825; *Agins v City of Tiburon,* 447 US 255; *Bonnie Briar Syndicate v Town of Mamaroneck,* 94 NY2d 96, 529 US 1094; *New Port Largo, Inc. v Monroe County,* 95 F3d 1084, 521 US 1121; *Clajon Prod. Corp. v Petera,* 70 F3d 1566; *Villager Pond, Inc. v Town of Darien,* 56 F3d 375, 519 US 808; *Walz v Town of Smithtown,* 46 F3d 162, 515 US 1131; *Matter of Grogan v Zoning Bd. of Appeals of Town of E. Hampton,* 221 AD2d 441, 88 NY2d 919.) III. The proposed conservation restriction is a negative easement. (*Witter v Taggart,* 78 NY2d 234; *Huggins v Castle Estates,* 36 NY2d 427; *Seawall Assoc. v City of New York,* 74 NY2d 92, 493 US 976; *Dolan v City of Tigard,* 512 US 374; *Southview Assoc., Ltd. v Bongartz,* 980 F2d 84; *Loretto v Teleprompter Manhattan CATV Corp.,* 458 US 419; *Penn Cent. Transp. Co. v City of New York,* 438 US 104.) IV. There is no regulatory taking. (*Bonnie Briar Syndicate v Town of Mamaroneck,* 94 NY2d 96; *Agins v City of Tiburon,* 447 US 255; *Penn Cent. Transp. Co. v City of New York,* 438 US 104; *Village of Euclid, Ohio v Ambler Realty Co.,* 272 US 365; *Dittmer v County of Suffolk,* 188 F Supp 2d 286; *Wambat Realty Corp. v State of New York,* 41 NY2d 490; *Spears v Berle,* 48 NY2d 254; *French Inv. Co. v City of New York,* 39 NY2d 587, 429 US 990; *de St. Aubin v Flacke,* 68 NY2d 66; *Lubelle v Rochester Preserv. Bd.,* 158 AD2d 975, 75 NY2d 710.)

Community Rights Counsel, Washington, D.C. (*Jason C. Rylander* of counsel), for Association of Towns of the State of New York and others, amici curiae. I. The heightened scrutiny tests of *Nollan v California Coastal Commn.* (483 US 825 [1987]) and *Dolan v City of Tigard* (512 US 374 [1994]) do not apply to development restrictions that do not infringe the landowners' right to exclude others from the property. (*Loretto v Teleprompter Manhattan CATV Corp.,* 458 US 419; *Kaiser Aetna v United States,* 444 US 164; *Lucas v South Carolina Coastal Council,* 505 US 1003; *Yee v City of Escondido,* 503 US 519; *Penn Cent.*

Transp. Co. v City of New York, 438 US 104; *Pennsylvania Coal Co. v Mahon,* 260 US 393; *City of Monterey v Del Monte Dunes at Monterey, Ltd.,* 526 US 687; *Bonnie Briar Syndicate v Town of Mamaroneck,* 94 NY2d 96; *Tahoe-Sierra Preserv. Council, Inc. v Tahoe Regional Planning Agency,* 535 US 302.) II. The *Nolan v California Coastal Commn.* (483 US 825 [1987]) and *Dolan v City of Tigard* (512 US 374 [1994]) tests are rooted in the doctrine of unconstitutional conditions and are inapplicable to workaday planning conditions. (*Yee v City of Escondido,* 503 US 519; *Garneau v City of Seattle,* 147 F3d 802; *San Remo Hotel, L.P. v San Francisco City & County,* 364 F3d 1088; *Agins v City of Tiburon,* 447 US 255; *Bonnie Briar Syndicate v Town of Mamaroneck,* 94 NY2d 96.)

OPINION OF THE COURT

ROSENBLATT, J.

This appeal calls on us to determine whether a municipality commits an unconstitutional taking when it conditions site plan approval on the landowner's acceptance of a development restriction consistent with the municipality's preexisting conservation policy. We hold that it does not.

I.

Paul and Janet Smith own a 9.7 acre lot in the Town of Mendon. Situated along Honeyoe Creek, a protected waterway, the lot includes several environmentally sensitive parcels, falls within the creek's 100-year floodplain boundary and is located within 500 feet of a protected agricultural district. It also contains a woodlot and steep sloping areas susceptible to erosion. Several portions of the property sit within areas classified as environmental protection overlay districts (EPODs), pursuant to section 200-23 of the Mendon Town Code.

Four separate EPODs limit the Smiths' use of their property. The first, a "Steep Slope" EPOD, bars the construction of new buildings or structures, the clearing of any land area, the installation of sewage disposal systems, the discharge of stormwater and the placement of stormwater runoff systems, and filling, cutting or excavation operations within the designated district. Property owners may acquire development permits for projects within a Steep Slope EPOD if they can show that their proposed activities will not destabilize the soil, cause erosion or unnecessarily destroy ground cover. They must further demonstrate that there is no reasonable alternative for the proposed activity.

The other three EPODs apply to sensitive lands bordering a major creek, an established wooded area and a floodplain. All contain comprehensive use restrictions similar to the Steep Slope EPOD. As a prerequisite for issuance of a development permit, all require specific showings that the proposed activity will not result in injuries to the covered, environmentally sensitive districts.

In December 2001, the Smiths applied to the Town Planning Board for site plan approval to construct a single-family home on the non-EPOD portion of their property. Following various proceedings, the Planning Board issued a final site plan approval in July 2002. The Board concluded that the Smiths' proposal was not likely to result in any adverse environmental impacts as long as no development occurred within the EPOD portions of the site. It conditioned final site plan approval on the Smiths' filing a conservation restriction on any development within the mapped EPODs and amending the final site plan map accordingly. Such action, the Planning Board stated, would "put subsequent buyers on notice that the property contains constraints which may limit development within these environmentally sensitive areas." The Board also determined that the restriction would provide the most meaningful and responsible means of protecting the EPODs.

The conservation restriction sought by the Town closely tracked the limitations set by the EPOD regulations. Under the restriction, which would run with the land and bind subsequent owners, the Smiths would be prohibited in the EPODs from "[c]onstruction, including, but not limited to structures, roads, bridges, drainage facilities, barns, sheds for animals and livestock and fences," the "[c]lear-cutting of trees or removal of vegetation or other ground cover," changing the "natural flow of a stream" or disturbing the stream bed, installing septic or other sewage treatment systems, and using motorized vehicles.

The restriction also required the Smiths to maintain the "Restricted Area" in accordance with the terms of their grant and permitted the Town, upon 30 days' written notice, to enter the property to safeguard the environmentally sensitive parcels. The Smiths, their successors and their assigns, however, retained their rights to "full use and quiet enjoyment" of the EPODs. Critically, they retained the right to exclude others from the entirety of their 10-acre parcel.

The terms of the proposed "Grant of Conservation Restriction" mirrored the preexisting EPOD regulations, differing in only a few respects. First, the conservation restriction encumbered the servient property in perpetuity, whereas the Town could amend its EPOD ordinance. Under both the EPOD system and the conservation restriction, however, the Smiths could seek permission from the Town to conduct a proscribed activity in the environmentally sensitive parcels. Second, the conservation restriction afforded the Town greater enforcement power. Under the EPOD regime, the Town could only issue citations for violations, whereas with the conservation restriction, it could seek injunctive relief.

Rejecting the proposed conservation restriction, the Smiths commenced this hybrid declaratory judgment/CPLR article 78 proceeding, asserting that the restriction worked an unconstitutional taking.[1] The Town moved for an order dismissing or granting summary judgment against the Smiths' claims. Applying *Dolan v City of Tigard* (512 US 374 [1994]), Supreme Court concluded that, although the conservation restriction was an "exaction," it did not effect an unconstitutional taking. The Smiths appealed.

The Appellate Division determined that Supreme Court erred in characterizing the conservation restriction as an exaction. It affirmed, however, holding that, because the proposed conservation restriction bore a reasonable relationship to the Town's objective of preserving the environmentally sensitive EPODs, there was no taking entitling the Smiths to compensation (*see* 4 AD3d 859 [4th Dept 2004]). The Smiths appeal as of right from the Appellate Division order, and we now affirm.

II.

The Fifth Amendment to the United States Constitution provides "nor shall private property be taken for public use,

1. In addition, the Smiths also sought a judgment declaring that the conservation restriction was, as a matter of law, a conservation easement under ECL 49-0303 (1). They also alleged that the Board's decision to condition final site plan approval on their acceptance of the conservation restriction was arbitrary and capricious, and sought attorneys' fees pursuant to Town Law § 282. That section permits a court to award costs to a person or persons aggrieved by a planning board decision if it "shall appear to the court" that the board "acted with gross negligence or in bad faith or with malice in making the decision appealed from."

without just compensation.''[2] Historically, takings jurisprudence involved instances in which the government encroached upon or occupied real property for public use.[3] Beginning with *Pennsylvania Coal Co. v Mahon* (260 US 393 [1922]), the Supreme Court recognized that, even if the government does not seize or occupy a property, a governmental regulation can work a taking if it ''goes too far'' (*id.* at 415).

In the years following *Mahon*, the Supreme Court offered ''some, but not too specific, guidance to courts confronted with deciding whether a particular government action goes too far and effects a regulatory taking'' (*Palazzolo*, 533 US at 617). The first and perhaps most critical factor in the Court's takings analyses became whether the regulation deprived landowners of ''all economically viable use'' of their property.[4]

If the contested regulation falls short of eliminating all economically viable uses of the encumbered property, the Court looks to several factors to determine whether a taking occurred, including ''the regulation's economic effect on the landowner, the extent to which the regulation interferes with reasonable investment-backed expectations, and the character of the government action.''[5] In a different formulation of this third factor, the Supreme Court held in *Agins v City of Tiburon* (447 US 255, 260 [1980]) that the ''application of a general zoning law to particular property effects a taking if the ordinance does not substantially advance legitimate state interests'' (*see also Bonnie Briar Syndicate v Town of Mamaroneck*, 94 NY2d 96 [1999]).[6]

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2. The Takings Clause of the Fifth Amendment is applicable to the states through the Fourteenth Amendment (*see Chicago, B. & Q.R. Co. v City of Chicago*, 166 US 226 [1897]).

3. (*See Palazzolo v Rhode Island*, 533 US 606, 617 [2001] [discussing the evolution of takings jurisprudence]; *see also Loretto v Teleprompter Manhattan CATV Corp.,* 458 US 419 [1982].)

4. (*City of Monterey v Del Monte Dunes at Monterey, Ltd.*, 526 US 687, 720 [1999]; *see also Palazzolo*, 533 US at 617; *Lucas v South Carolina Coastal Council*, 505 US 1003, 1019 [1992] [''when the owner of real property has been called upon to sacrifice *all* economically beneficial uses in the name of the common good, that is, to leave his property economically idle, he has suffered a taking''].)

5. (*Palazzolo*, 533 US at 617; *see also Penn Cent. Transp. Co. v City of New York*, 438 US 104 [1978].)

6. In spite of their differing language, the Supreme Court has employed the *Agins* test and *Penn Central* standard, which the Court invoked in *Palazzolo*, interchangeably (*see e.g. Lucas v South Carolina Coastal Council*, 505

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Styling the conservation restriction an exaction, the Smiths argue that we should not review the Town's action under the *Penn Central/Agins* standard. We disagree. Exactions are defined as "land-use decisions conditioning approval of development on the *dedication of property to public use*" (*City of Monterey v Del Monte Dunes at Monterey, Ltd.*, 526 US 687, 702 [1999] [emphasis added]). In a narrow, readily distinguishable class of cases, the Court has held such conditions unconstitutional.

In *Nollan v California Coastal Commn.* (483 US 825 [1987]), the Court considered whether conditioning a development permit on the property owners' transfer to the public of an easement across their beachfront violated the Takings Clause. The Court deemed the condition unconstitutional because it lacked an "essential nexus" (*id.* at 837) with the stated purpose of the underlying land-use restriction—"protecting the public's ability to see the beach, assisting the public in overcoming the 'psychological barrier' to using the beach created by a developed shorefront, and preventing congestion on the public beaches" (*id.* at 835). Nevertheless, the Court noted that the government could have conditioned the grant of a development permit on restrictions that promoted the public's ability to see and psychologically access the beach, such as height limitations, width restrictions, and the like (*id.* at 836).

In *Dolan v City of Tigard* (512 US 374 [1994]), the Supreme Court added a second layer to the "essential nexus" test—"rough proportionality." In *Dolan*, the municipality conditioned approval of a building permit on the landowner's dedication of, first, a portion of her property lying within a 100-year floodplain for improvements to a storm drainage system and, second, a strip of land adjacent to the floodplain for use as a pedestrian and bicycle path. The Court concluded that an essential nexus existed between these development conditions and a legitimate governmental purpose, but nevertheless determined that the municipality's proposed exactions were impermissible under a "rough proportionality" standard (*id.* at 391).

A showing of rough proportionality, the Court ruled, requires a municipality to "make some sort of individualized determination that the required dedication is related both in nature and extent to the impact of the proposed development" (*id.*). A "precise mathematical calculation" is not required (*id.*). The

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US 1003, 1024 [1992]; *Keystone Bituminous Coal Assn. v DeBenedictis*, 480 US 470, 485 [1987]).

exactions at issue were not roughly proportional, the *Dolan* court reasoned, because the municipality had failed to meet its burden of showing the impact of the proposed construction on its flood and traffic abatement efforts. The Court stressed, however, that the municipality could, for instance, have conditioned the grant of a development permit on the transfer of a pedestrian/bicycle pathway easement if it had made ‘‘some effort to quantify its findings’’ that the construction would generate more traffic (*id.* at 395). In other words, a municipality could place otherwise unconstitutional conditions on the issuance of a regulatory permit if the condition furthered the purpose of the underlying development restriction and there was a rough proportionality between the condition and the impact of the proposed development.

With *City of Monterey v Del Monte Dunes at Monterey, Ltd.* (526 US 687, 702 [1999]), the Court placed a key limitation on *Dolan*, indicating that the ‘‘rough proportionality’’ test did not apply beyond the special context of exactions. The Court added that the test was not ‘‘designed to address, and is not readily applicable to’’ a case in which the landowner’s challenge is based on denial of development, as opposed to excessive exactions (*id.* at 703).

III.

The Attorney General has submitted an amicus brief arguing for affirmance, cogently pointing out that the present case involves efforts by the Town of Mendon to protect environmentally sensitive lands by means of a ‘‘do-no-harm’’ restriction that involves no property dedication of the type encountered in *Nollan* and *Dolan*. We agree. Under the Supreme Court’s doctrinal framework, the Appellate Division correctly determined that the Town’s conservation restriction was not an ‘‘exaction’’ subject to the closer scrutiny of the *Dolan* test.[7] In *City of Monterey* (526 US at 702), the Court observed that an exaction involves the conditioning of a land-use decision on the ‘‘dedication of *property* to public use’’ (emphasis added).

There is no such dedication of ‘‘property’’ here. In practice, the Court has identified exactions in only two real property cases, *Nollan* and *Dolan*, both of which involved the transfer of

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7. Because the Town’s conservation restriction cannot be classified as an exaction, we need not address the question whether it was roughly proportional to the impact of the development proposed by the Smiths.

the most important "stick" in the proverbial bundle of property rights, the right to exclude others.[8] In *Twin Lakes Dev. Corp. v Town of Monroe* (1 NY3d 98 [2003]), we also characterized a fee imposed in lieu of the physical dedication of property to public use as an exaction. Outside of these two narrow contexts, neither the Supreme Court nor this Court has classified more modest conditions on development permits as exactions. Thus, we decline the Smiths' invitation to extend the concept of exaction where there is no dedication of property to public use and the restriction merely places conditions on development.

The Smiths argue that by its conservation restriction the Town is requiring them to surrender the right to seek a variance under the particular procedures of the EPOD regime. On the record before us, we are not persuaded that this can properly be characterized as the relinquishment of a property right. If it is a property right, however, it is trifling compared to the rights to exclude or alienate.[9] Under the "Grant of Conservation Restriction," the Smiths could still apply to the Town for permission to conduct prohibited activities within the "Restricted Area."

Under the circumstances of this case, the difference between the Smiths' rights under the EPOD ordinance and the conservation restriction is subtle: section 200-23 of the Mendon Town Code affords the Planning Board wide discretion in granting

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8. Judge Read suggests that the conservation restriction here somehow encumbers the right to exclude because it permits town inspectors to enter the property on 30 days' written notice or in the event of an emergency threatening the public's health, safety or welfare (*see* Read, J., dissenting op at 23). On the facts of this case, we fail to see how the Town's right to enter the Smiths' land under a sharply circumscribed set of circumstances to enforce a set of valid regulations impairs the right to exclude or represents a departure from the Town's ordinary exercise of its police powers.

9. Although the conservation restriction may, as Judge Read suggests, require the dedication of a possessory interest (*see* Read, J., dissenting op at 19-20), "property" is constituted by many possessory interests, some of which (e.g., the rights to exclude and alienate) are more central to commonly held understandings of property than others. The Supreme Court's exactions jurisprudence tracks this conception of property. In *Nollan* and *Dolan*, the Supreme Court applied the idea of "exaction" only to the required dedications of a core possessory interest, the right to exclude. As the Attorney General observes, "[b]oth cases hinged on the owners' loss of perhaps the most important 'stick' from the ownership bundle: the ability to restrict access" (Attorney General's brief at 12-13). Notably, the Supreme Court has *never* extended its exactions analysis to the dedication of less substantial possessory interests, like those at issue here. Thus, the Appellate Division correctly determined that the conservation restriction is not an exaction within *Nollan* and *Dolan*, and we are unwilling to expand the holdings of those decisions to the case before us.

development permits within EPODs; by contrast, under the proposed conservation restriction, the Board would have essentially unfettered discretion to grant or deny such permits. The right to seek a variance from a planning board that enjoys broad, as opposed to unmitigated, discretion may be among the more modest and fragile twigs in the bundle of property rights, if it is a property right at all. To be sure, conditioning a development permit on its surrender should not trigger the same constitutional scrutiny as the regulatory extortion of sticks far more integral to the bundle, such as the right to exclude third persons (a right the Smiths fully retain).[10]

IV.

Because the Town's development condition is not an exaction, we review it according to the standard enunciated by the Court in *Agins v City of Tiburon* (447 US 255 [1980]; *see also Penn Cent. Transp. Co. v City of New York*, 438 US 104 [1978]), as opposed to *Dolan*'s rough proportionality test. Examined in this light, the conservation restriction does not effect an unconstitutional taking.

First, the restriction would not appreciably diminish the value of the Smiths' property, let alone deny them economically viable use of it—as demanded by *Agins* (447 US at 260).[11] In exchange for their acceptance of the restriction, the Smiths would garner a permit to construct a single-family home on their property.[12] A single dwelling on a protected, 10-acre parcel is a valuable, mar-

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10. Judge Read mistakenly argues that there is something extraordinary or improper about the Town's exercise of its police powers here. We disagree. The case before us today concerns only a marginal use restriction superimposed over a wholly legitimate, preexisting EPOD ordinance. There is nothing here that implicates the Fifth Amendment's concern with "forcing some people alone to bear public burdens which, in all fairness and justice, should be borne by the public as a whole" (*Armstrong v United States*, 364 US 40, 49 [1960]).

11. (*See also Lucas v South Carolina Coastal Council*, 505 US 1003 [1992] [holding that a deprivation of "all" economically viable uses of a property works a taking].)

12. We note that the Supreme Court has been reluctant to engage in spatial "conceptual severance" in determining whether a regulation or government action deprives a property owner of all economically viable uses of the property (*District Intown Props. Ltd. Partnership v District of Columbia*, 198 F3d 874, 887 [DC Cir 1999]). Hence, we look to the effect of the government action on the value of the property *as a whole*, rather than to its effect on discrete segments of the property (*see Penn Cent. Transp. Co. v City of New York*, 438 US 104, 130-131 [1978] [" 'Taking' jurisprudence does not divide a single parcel into discrete segments and attempt to determine whether rights in a particular segment have been entirely abrogated. In deciding whether

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ketable asset. Indeed, it is not clear that the conservation restriction would have *any* effect whatsoever on the market value of the Smiths' property. Given the development bar created by the preexisting EPOD ordinance, the legitimacy of which the Smiths do not challenge, the encumbered parts of the property had almost no developmental value before the Town announced the conservation restriction. Second, the conservation restriction substantially advances a legitimate government purpose—environmental preservation. As we indicated in *Bonnie Briar Syndicate, Inc. v Town of Mamaroneck* (94 NY2d 96, 108 [1999]), a regulatory action need only be reasonably related to a legitimate governmental purpose to satisfy the ''substantially advance'' standard.[13] Such a relationship undeniably exists here. The conservation restriction will advance the Town's aim of preserving environmentally sensitive areas in perpetuity, place future buyers on notice of the development limitations on the Smiths' property and furnish the Town with a more effective means of ensuring compliance with its regulatory objectives. In all, and in keeping with preexisting conservation policies, the restriction merely gives the Town the power to interdict harmful activities within the EPODs on the Smiths' parcel.

In dissent, Judge Graffeo argues that the conservation restriction effects a taking under *Agins* because, in her view, it advances the Town's interests only marginally, if at all. We disagree. Ensuring perpetual protection for open spaces—along with the resources and habitats they shelter—from the vicissitudes of workaday land-use battles is hardly an inconsequential governmental interest. At the very least, the permanent character of the conservation restriction will spare the Town the administrative cost of continually being forced to maintain its conservation policies. More importantly, as the Attorney

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a particular governmental action has effected a taking, this Court focuses rather both on the character of the action and on the nature and extent of the interference with rights in the parcel as a whole'']; *see also Keystone Bituminous Coal Assn. v DeBenedictis*, 480 US 470, 497 [1987]). Here, the conservation restriction, while reinforcing the preexisting devaluation of a portion of the Smiths' property, does not begin to deny them all economically viable uses of the entire parcel.

13. (*See also City of Monterey v Del Monte Dunes at Monterey, Ltd.*, 526 US 687, 701, 721 [1999] [observing that the trial court correctly instructed the jury that ''substantially advances'' was equivalent to ''reasonable relationship'']; *Hotel & Motel Assn. of Oakland v City of Oakland*, 344 F3d 959, 968 [9th Cir 2003] [''A reasonable relationship exists between this regulatory action and the public purpose it is meant to serve. Thus, the ordinance substantially advances a legitimate government interest.''].)

General observes, the conservation restriction imposed by the Town, as a species of negative easement (*see Huggins v Castle Estates, Inc.*, 36 NY2d 427, 430 [1975]), is a "well established land use tool" that is "consistent with the State's longstanding commitment to protecting . . . critical natural resources" (Attorney General's brief at 2). Further, even assuming that the marginal benefit to the Town from the conservation restriction were, as Judge Graffeo suggests, modest, it would nonetheless be legitimate. Under the holdings of *Agins*, *Penn Central* and their progeny, a modest environmental advancement at a negligible cost to the landowner does not amount to a regulatory taking. The Smiths' other claims are without merit.

Accordingly, the order of the Appellate Division should be affirmed, with costs.

READ, J. (dissenting). Today the majority decides that the Fifth Amendment takings analysis of *Nollan v California Coastal Commn.* (483 US 825 [1987]) and *Dolan v City of Tigard* (512 US 374 [1994]) does not apply to a permit condition compelling dedication of a conservation easement. Because these decisions do not admit of this result, I respectfully dissent.

I.

The eminent domain provision of the United States Constitution, the Takings Clause of the Fifth Amendment, provides that "private property [shall not] be taken for public use, without just compensation." The Fourteenth Amendment makes this constitutional guarantee applicable to the states (*see Penn Cent. Transp. Co. v City of New York*, 438 US 104, 122 [1978], citing *Chicago, B. & Q.R. Co. v City of Chicago*, 166 US 226, 239 [1897]).

In *Pennsylvania Coal Co. v Mahon* (260 US 393 [1922]), Justice Holmes acknowledged the difficulty of distinguishing a proper exercise of police power from a compensable taking: "Government hardly could go on if to some extent values incident to property could not be diminished without paying for every such change in the general law" (*id.* at 413); and "[t]he general rule at least is that while property may be regulated to a certain extent, if regulation goes too far it will be recognized as a taking" (*id.* at 415). Thus was born the concept at the heart of this appeal—the regulatory takings doctrine—which recognizes that government's exercise of the police power to regulate private property, when it goes "too far," so impairs property interests that the Fifth Amendment mandates just compensation notwithstanding the absence of outright appropriation.

When revisiting regulatory takings some 50 years later in *Penn Central*, Justice Brennan remarked that deciding whether a regulation had gone ''too far'' eluded ready systemization:

> ''[T]his Court, quite simply, has been unable to develop any 'set formula' for determining when 'justice and fairness' require that economic injuries caused by public action be compensated by the government, rather than remain disproportionately concentrated on a few persons. Indeed, we have frequently observed that whether a particular restriction will be rendered invalid by the government's failure to pay for any losses proximately caused by it depends largely 'upon the particular circumstances [in that] case' '' (*Penn Cent.*, 438 US at 124 [citations omitted]).

He listed three factors bearing with ''particular significance'' on ''these essentially ad hoc, factual inquiries'': the regulation's economic impact on the claimant; the extent to which the regulation interferes with the claimant's ''distinct, investment-backed expectations''; and the character of the governmental action (*id.*). In short, the Court devised a balancing test.

Two years later when considering a facial challenge to a municipal zoning ordinance, however, the Court in *Agins v City of Tiburon* (447 US 255 [1980]) condensed and reformulated the *Penn Central* factors into something akin to a test: ''[t]he application of a general zoning law to particular property effects a taking if the ordinance does not substantially advance legitimate state interests [i.e., the character of the governmental action], or denies an owner economically viable use of his land [i.e., the regulation's economic impact on the claimant and the extent of interference with distinct, investment-backed expectations]'' (*id.* at 260 [citation omitted]). After devising this general rule for determining when a taking has occurred, the Court marched down another path, handing down several landmark cases that carved out from the ambit of *Penn Central/Agins* specific rules for analyzing three different kinds of regulatory takings.

In *Loretto v Teleprompter Manhattan CATV Corp.* (458 US 419 [1982]), the landlord purchased an apartment building in which the prior owner had allowed a cable company to install a cable on the building and to furnish cable television services to the building's tenants, as mandated by state law. The landlord filed a class action alleging that the installation—which, at most, occupied only 1½ cubic feet of the landlord's property—was a trespass and a taking without just compensation. The Court held that even this minuscule physical invasion required compensation regardless of an adequate public purpose (*see also Kaiser Aetna v United States*, 444 US 164 [1979] [government's imposition of navigational servitude upon a private marina is a physical invasion for which just compensation must be paid]). Thus, a regulation effecting an actual permanent physical occupation of or intrusion on an owner's land or building constitutes a per se regulatory taking.

In *Lucas v South Carolina Coastal Council* (505 US 1003 [1992]), the Court considered the effect of a coastal protection statute that barred a landowner from building any permanent habitable structures on two beach parcels for which he had paid $1 million, intending to build one home for himself and one for sale. The Court determined that this was the ''rare'' case where a regulation denies a landowner *all* economically beneficial use of his property, and therefore was a per se total regulatory taking unless the state could prove that the regulation, as applied, would prevent a nuisance or was part of the state's background principles of property law.

In addition to the per se rules for physical takings and total takings, the Court also devised a non-per se rule for analyzing whether a taking has occurred in those situations where the government seeks to require a concession or ''exaction'' as a condition for approval of a land-use permit. This is the so-called *Nollan/Dolan* rule, which, in my view, so plainly calls for reversal in this case.

The landowners in *Nollan* planned to demolish a dilapidated bungalow on their beachfront property and replace it with a three-bedroom house. They sought the required discretionary permit from the California Coastal Commission, which granted it subject to the Nollans' dedication of an easement running across their property laterally to the shore. This easement would provide a beachfront passageway connecting the two public beaches flanking the Nollans' property. The Commission justified the easement on the grounds that the Nollans' larger house would obstruct the public's visual access to the beach, increase private use of the beach and burden the public's ability to traverse to and along the shorefront.

Justice Scalia observed at the outset that "[h]ad California simply required the Nollans to make an easement across their beachfront available to the public on a permanent basis in order to increase public access to the beach, rather than conditioning their permit to rebuild their house on their agreeing to do so, we have no doubt there would have been a taking" (483 US at 831). The Court held that while a permit condition that substantially advances a legitimate state interest is constitutionally permissible,[1] this particular condition violated the Takings Clause because there was no "essential nexus" between the easement and the harm created by the proposed development (*id.* at 837).

This point is well-illustrated by Justice Scalia's description of the kind of easement that would have been sufficiently closely linked to the loss of visual access caused by the house's construction to pass muster under the "essential nexus" test:

> "Moreover (and here we come closer to the facts of the present [*Nollan*] case), the condition would be constitutional even if it consisted of the requirement that the Nollans provide a viewing spot on [the Nollans'] property for passersby with whose sighting of the ocean their new house would interfere. Although such a requirement, constituting a permanent grant of continuous access to the property, would have to be considered a taking if it were not attached to a development permit, the Commission's assumed power to forbid construction of the house in order to protect the public's view of the beach must surely include the power to condition construction upon some concession by the owner, even a concession of property rights, that serves the same end. If a prohibition designed to accomplish that purpose would be a legitimate exercise of the police power rather than a taking, it would be strange to conclude that providing the owner an alternative to that prohibition which accomplishes the same purpose is not" (*id.* at 836-837).

In *Dolan*, the Court addressed how much of an exaction the government could require without running afoul of the Takings

1. The Court "assume[d] without deciding" that the purposes proffered by the Commission to justify the exaction—"protecting the public's ability to see the beach, assisting the public in overcoming the 'psychological barrier' to using the beach created by a developed shorefront, and preventing congestion on the public beaches"—were legitimate state interests (483 US at 835).

Clause, an issue it did not reach in *Nollan* because there the ''essential nexus'' was lacking. The property owner in *Dolan* sought to raze and rebuild her plumbing and electrical supply store. When she applied for site development review, the city required her as a condition of approval to dedicate a portion of her property to the city for a greenway and expanded storm drain channel and for a pedestrian/bicycle pathway to be built at her expense.

The Court first determined that flood prevention along the creek and the reduction of traffic in the business district ''qualify as the type of legitimate public purposes [the Court has] upheld'' (512 US at 387 [citing *Agins*]). Then the Court determined that there was an ''essential nexus'' between the exactions and the harm created by the development; namely, the flood plain dedication was related to mitigating the extra stormwater runoff anticipated from the additional building and paving projects associated with the expansion, and the pathway was related to the increased traffic that might be expected from customers patronizing the larger store. These exactions were nonetheless constitutionally impermissible without just compensation because they lacked the ''rough proportionality'' required ''both in nature and extent to the impact of the proposed development'' (512 US at 391). Specifically, the city was unable to say ''why a public greenway, as opposed to a private one, was required in the interest of flood control'' (*id.* at 393). With respect to the pedestrian/bicycle pathway, the city failed to meet ''its burden of demonstrating that the additional number of vehicle and bicycle trips generated by [the] development reasonably relate to the city's requirement for a dedication of the pedestrian/bicycle pathway easement''; the city had simply made a conclusory finding that ''the creation of the pathway 'could offset some of the traffic demand . . . and lessen the increase in traffic congestion' '' (*id.* at 395).

II.

The ''development restriction'' (majority op at 6) at issue in this case is a conservation easement within the meaning of the Environmental Conservation Law (*see* ECL 49-0301—49-0311). Both the Town of Mendon and amicus State of New York concede as much. A conservation easement is a nonpossessory ''interest in real property'' (ECL 49-0303 [1]), which imposes use restrictions on the landowner for purposes generally of ''conserving, preserving and protecting'' the State's ''environmental assets and natural and man-made resources'' for the benefit of the public (ECL 49-0301). The majority is therefore simply wrong when it asserts that the Town is not requiring a dedication of property to public use by mandating that the Smiths grant it a conservation easement, which is perpetual in duration, runs with the land and is recorded.

Nor is it relevant (or even certain) that this particular conservation easement may be worth little. The Town is compelling the Smiths to convey an interest in real property that the Town would otherwise have to pay for, or which the Smiths might choose to donate for whatever tax advantages they would enjoy as a result.[2] And of course, the arguably trivial value of this particular conservation easement is of no comfort to the next landowner who seeks a development permit from the government only to be met with a demand for what might be a very valuable conservation easement as a condition of approval. As we must always be aware, we are establishing the rule that will govern not just this case, but future cases.

The majority takes the view that a permit condition is not an ''exaction'' unless it infringes on the property owner's right to exclude others and/or mandates public access.[3] Black's Law Dictionary defines an ''exaction'' as ''1. The act of demanding more

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2. Section 170 (h) of the Internal Revenue Code (26 USC) provides for a charitable deduction for a qualifying conservation easement. The easement must be contributed to a public body or qualified nonprofit organization exclusively for conservation purposes to be protected in perpetuity (26 CFR 1.170A-14 [a], [b] [2]; [c]). Depending upon the nature of the easement's conservation purposes, public access may be mandated, or it may be partially or wholly restricted (*see e.g.* 26 CFR 1.170A-14 [d] [2] [ii] [public access required for conservation easement for recreation and education]; [d] [3] [iii] [restrictions on public access to protected environmental systems]; [d] [4] [ii] [B] [visual rather than physical access sufficient to satisfy requirement of scenic enjoyment of open space by general public]). Section 2031 (c) of the Internal Revenue Code grants substantial estate tax benefits to a qualifying conservation easement. In addition, the restrictions placed on property by a conservation easement may reduce market value so as, in turn, to reduce assessed value and therefore real property taxes. As one commentator has noted, however, ''local assessors are often reluctant to reduce assessments'' on account of conservation easements and ''[i]n many instances the cost of pursuing legal remedies may exceed the potential benefits of the possible tax reduction'' (Ginsberg and Weinberg, Environmental Law and Regulation in New York § 12:6, at 1081, 1082 [9 West's NY Prac Series 2001]).

3. In essence, the majority has adopted the positions advocated by amicus State of New York and the Town. The State argues that an exaction is limited to a physical taking or a physical invasion. Likewise, the Town argues that an easement is not an exaction unless it provides for the general public's or the Town's physical use or occupation of the property. In a related vein, both

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money than is due; extortion. 2. A fee, reward, or other compensation arbitrarily or wrongfully demanded'' (Black's Law Dictionary 600 [8th ed 2004]). More colloquially, an exaction is ''something exacted''; that which is ''call[ed] for forcibly or urgently and obtain[ed]'' (Merriam-Webster's Collegiate Dictionary 403 [10th ed 1996]). Indeed, the majority seems to derive the notion that public access is the sine qua non for an exaction not from any commonly accepted definition, but from a gloss on dictum in the Supreme Court's decision in *City of Monterey v Del Monte Dunes at Monterey, Ltd.* (526 US 687 [1999]).

Monterey concerned a developer seeking to build an oceanfront multi-unit residential complex in an area zoned for this use. The developer repeatedly scaled back and revised its plans over the course of several years at the instance of local authorities. When the city planning commission and the city council ultimately rejected the site plan, the developer brought a 42 USC § 1983 action in federal District Court, alleging, among other things, that the permit denial was an unconstitutional taking. A jury delivered a general verdict for the developer on its takings claim and awarded damages of $1.45 million. The Ninth Circuit determined that the developer's inverse condemnation claim was triable to a jury and upheld the verdict.

The city's petition for certiorari presented multiple questions to the Supreme Court, including whether the Ninth Circuit erred in assuming that the rough-proportionality standard of *Nollan/Dolan* applied. On this question, all the Justices agreed that heightened scrutiny under *Nollan/Dolan* applies only to exactions and does not extend to decisions to deny applications for discretionary approvals. Specifically, Justice Kennedy commented that ''we have not extended the rough-proportionality test of *Dolan* beyond the special context of exactions—land-use decisions conditioning approval of development on the dedication of property to public use'' (526 US at 702). The majority here, in relying on this language, underscores the words ''dedication of property to public use,'' but the key word is ''conditioning.'' The Court distinguished *Dolan* and *Nollan* from

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the State and the Town emphasize that the conservation easement here is a negative easement that prohibits the landowner from doing something otherwise lawful on his estate. Of course, to the extent that the easement mirrors the Town's environmental protection overlay district (EPOD) regulations, the easement only prohibits the Smiths from doing that which the law now already bans. The Town takes the position that a negative easement may never be an exaction while an affirmative easement, which grants the easement holder the right to use the servient estate, may be.

Monterey because in the former cases, a development permit was conditioned on a land use restriction, while in the latter there was no conditioning—the permit was denied. In this case, site plan approval was conditioned upon the granting of a conservation easement. That is an exaction.

Nonetheless, the majority views the quoted language from *Monterey* as having limited the *Nollan/Dolan* rule to those land dedications that entail public access or otherwise restrict the landowner's right to exclude.[4] First, of course, the phrase "public use" does not unambiguously equate with public access. Indeed, in takings jurisprudence "public use" has come to mean something more akin to a public purpose or public benefit.[5] As already discussed, this conservation easement is, in fact, a dedication of property to public use. Its whole justification and

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4. The language's author, Justice Kennedy, does not appear to agree with this interpretation of what he wrote. In *Lambert v City & County of San Francisco* (529 US 1045 [2000]), he and Justice Thomas joined Justice Scalia's dissent from a denial of certiorari to consider whether *Nollan/Dolan* applies to the denial of a permit because an exaction is not met. In this case, the exaction was a replacement fee for conversion of apartments. Justice Scalia summarized the holdings in *Nollan/Dolan* as follows, making no reference whatsoever to public access: These decisions "held that a burden imposed as a condition of permit approval must be related to the public harm that would justify denying the permit, and must be roughly proportional to what is needed to eliminate that harm" (529 US at 1046). Further, in *Ehrlich v City of Culver City* (512 US 1231 [1994]), handed down three days after *Dolan*, the Court by a 5-4 margin vacated the judgment and remanded for further consideration in light of *Dolan*. In *Ehrlich*, the owner of a sports complex required the City's approval to construct a condominium on the site to replace the sports complex. The City conditioned approval upon the property owner/developer's payment of a recreational fee and a fee in lieu of participating in the City's "Art in Public Places Program." Upon remand, the California Supreme Court specifically "reject[ed] the city's contention that the heightened takings clause standard formulated by the court in *Nollan* and *Dolan* applies *only* to cases in which the local land use authority requires the developer to dedicate real property to public use as a condition of permit approval" (12 Cal 4th 854, 859, 911 P2d 429, 433 [1996], *cert denied* 519 US 929 [1996]).

5. As the eminent constitutional scholar Cass Sunstein has succinctly explained: "For a long period, the public use requirement [of the Takings Clause] was understood to mean that if property was to be taken, it was necessary that it be used by the public. That the new use was in some sense beneficial to the public was insufficient. Eventually, however, it became clear that this test was unduly mechanical, for a wide range of uses by government served the public at large, even if the public did not actually have access to the property. The Mill Acts, which permitted riparian owners to erect and maintain mills on neighboring property, provided an example. After the courts upheld those acts, exceptions were built into the general rule until the general rule itself was abandoned" (Sunstein, *Naked Preferences and the Constitution*, 84 Colum L Rev 1689, 1724 [1984]).

purpose is to confer an environmental benefit on the public at large. Further, while the Smiths retain the right to exclude the general public from the easement area, the Town may enter this area upon 30 days' notice to enforce the easement, and may enter without any notice at all in the event of a self-proclaimed emergency threatening the public health, safety and general welfare.

Second, the language in *Monterey* on which the majority so heavily relies is more properly read as merely an acknowledgment of the nature of the exactions at issue in *Nollan* and *Dolan* rather than a limitation of the Court's *Nollan/Dolan* analysis to exactions that are land dedications. Certainly there was no discussion in either *Nollan* or *Dolan* to indicate that the Court viewed its exaction analysis as so limited. If the Court had only intended for *Nollan/Dolan* to create an exception from the per se *Loretto* rule for those physical takings that are permit conditions, it could have and surely would have said this directly.

Further, before today we have never read *Nollan/Dolan* so narrowly (*see e.g. Manocherian v Lenox Hill Hosp.*, 84 NY2d 385 [1994] [pre-*Monterey* case applying *Nollan/Dolan* to assess the validity of a statute imposing occupancy restrictions on apartment building owners]), or viewed it as subsequently limited by *Monterey* to infringement of a property owner's right to exclude. The majority explains our decision just last year in *Twin Lakes Dev. Corp. v Town of Monroe* (1 NY3d 98 [2003]) as consistent with its decision today on the ground that the per-lot recreation fees at issue there were paid *in lieu of* dedication of property to public use. In *Twin Lakes*, the parties agreed that *Nollan/Dolan* applied to the exaction, but there is no indication that any concession on this point or our acquiescence to it hinged on the fact that the fees were exacted in lieu of a land dedication. Impact fees such as the per-lot recreation fee in *Twin Lakes*—charges in consideration of a development's anticipated impacts on a community's infrastructure and amenities, with the fees used to mitigate these impacts—are often imposed as a condition for development approvals. Does the majority mean to suggest that such a fee is not an exaction for purposes of takings analysis unless it is paid specifically in lieu of a land dedication? I would guess that such a turn of events might greatly surprise localities and developers throughout the state, but it seems to be the clear implication of today's decision.

III.

As I understand the Supreme Court's takings jurisprudence—through which I took a Cook's tour at the beginning of this dissent—we are called upon first to decide whether a claimed regulatory taking falls within either of the categorical or per se rules (the *Loretto* rule for physical takings and the *Lucas* rule for total takings) or is a permit condition (*Nollan*/*Dolan*). For those claimed takings outside the scope of these three rules, *Penn Central*/*Agins* provides a default approach.[6] Here, the Smiths sought site plan approval to build a single-family house, and the Town conditioned its approval on the Smiths' grant of a conservation easement to the Town covering those portions of their 9.7-acre parcel within the Town's EPODs. As a result, this case falls squarely within *Nollan*/*Dolan*.

The reason proffered by the Town to justify the easement is the ''desire[ ] that certain portions of the [Smiths'] property remain in their natural state in order to preserve such environmentally significant areas.'' In my view, this is a legitimate town interest that the conservation easement would promote. As was the case in *Nollan*, however, there is no ''essential nexus'' between this exaction and the harm created by the proposed development. The ''proposed development'' here was merely the construction of a single-family house on land *not* within an EPOD, and there is no suggestion in the record that it would create any significant environmental harm. On this appeal, the Town argues merely that there is a ''clear essential nexus between requiring a conservation restriction and the legitimate town interest of protecting environmentally sensitive areas in Mendon.'' But for purposes of *Nollan*/*Dolan* analysis, this is (as I already indicated) merely a necessary but not a sufficient predicate for the Town to establish that it may require the conservation easement without making just compensation. The Smiths' house does not encroach on the EPODs; it simply happens to be located on the same parcel of property. There has been no showing of any relationship whatsoever between the construction or occupancy of the Smiths' house and any environmental harm to the EPODs that the conservation easement would mitigate. As Justice Scalia has remarked, ''[t]he object of the Court's holding in *Nollan* and *Dolan* was to protect

6. In this respect, I undertake the analysis in a reverse order than does Judge Graffeo except, of course, to the extent that the first question under *Nollan*/*Dolan* is whether the permit seeks to promote a legitimate state purpose, which derives from *Agins*.

against the State's cloaking within the permit process an out-and-out plan of extortion'' (*Lambert*, 529 US at 1048, quoting *Nollan*, 483 US at 837 [internal quotation marks and citation omitted]). That the extortion may be somewhat gratuitous in this case—the Town's EPOD regulations are currently at least as restrictive as the terms of the conservation easement—renders the extortion no less out of bounds.

Quoting the Attorney General, the majority correctly points out that conservation easements have proven to be a very popular and flexible tool for preserving land and protecting our state's environment.[7] I have found nothing to suggest, however, that the State has heretofore ever been the beneficiary of a conservation easement which was neither purchased[8] nor donated. As a result of today's decision, the State and localities may compel conveyance of conservation easements as a condition for issuance of all sorts of routine permits, and, for purposes of determining whether just compensation is due, these conditions will not be subject to the heightened scrutiny of *Nollan*/*Dolan*. This will no doubt come as unexpected and unwelcome news to many New York property owners.

GRAFFEO, J. (dissenting). We do not need to decide whether heightened scrutiny under *Dolan v City of Tigard* (512 US 374 [1994]) applies to the facts of this case because I believe the Town of Mendon's action effected a taking even under the standard articulated in *Agins v City of Tiburon* (447 US 255 [1980]). Additionally, because the condition imposed by the Town was not necessary to mitigate any demonstrable effects of the site plan proposal, I conclude the Town's determination was arbitrary and capricious. I therefore respectfully dissent.

Paul and Janet Smith are the owners of 9.7 acres of undeveloped land that was part of a larger parcel owned by Paul's family for over 50 years. Portions of their land lie within four of the Town of Mendon's environmental protection overlay districts (EPODs) under Mendon Town Code § 200-23. The Town Code's

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7. There are, however, those who view the merits of conservation easements more skeptically (*see e.g.* Mahoney, *Perpetual Restrictions on Land and the Problem of the Future*, 88 Va L Rev 739 [2002]).

8. Moneys have been expended from the 1986 bond act, the New York State Open Space Plan and the environmental protection fund to purchase conservation easements (*see* Bathrick, Symposium: 25th Anniversary of the New York State Department of Environmental Conservation: Past and Future Challenges and Directions, *Resource Management: Lands & Forests*, 7 Alb LJ Sci & Tech 159, 167 [1996]).

EPOD regulations place severe restrictions on activities that may occur in EPODs, and development in EPODs is prohibited unless the landowner first applies for and obtains a special development permit from the Town. The Smiths sought approval to build a single-family home on their parcel. Although construction of the Smiths' proposed home would not encroach on any of these EPODs, the Town granted approval of the site plan only on condition that the Smiths agree to file a conservation restriction affecting the EPODs. The restriction in large part mirrors the regulations already imposed under the EPOD ordinance but provides that it will exist in perpetuity. The Town reasoned that such a restriction "will provide the most meaningful and responsible means of protecting the environmental resources" located in the EPOD portions of the Smiths' lot.

The issue before us is whether the Town's imposition of the development restriction as a condition to granting site plan approval effects a regulatory taking under the Fifth and Fourteenth Amendments to the United States Constitution. Under *Agins*, a regulatory action may effect a taking where it "does not substantially advance legitimate state interests" (*Agins*, 447 US at 260). Put another way, "a use restriction on real property may constitute a 'taking' if not reasonably necessary to the effectuation of a substantial public purpose" (*Penn Cent. Transp. Co. v City of New York*, 438 US 104, 127 [1978]). Although it has been intimated that the regulatory action need only bear a reasonable relationship to a legitimate governmental purpose (*see City of Monterey v Del Monte Dunes at Monterey, Ltd.*, 526 US 687, 701, 721 [1999]), the United States Supreme Court has rejected the notion that the "substantially advance" standard simply means that "the State *could rationally have decided* that the measure adopted might achieve the State's objective" (*Nollan v California Coastal Commn.*, 483 US 825, 834 n 3 [1987] [citations and internal quotation marks omitted]). Furthermore, it has long been established that the issue of whether a taking has occurred "depends largely 'upon the particular circumstances [in that] case' " (*Penn Cent.*, 438 US at 124, quoting *United States v Central Eureka Min. Co.*, 357 US 155, 168 [1958]).

The Town proffers three reasons why the restriction substantially promotes its valid goal of preserving the environment. I cannot conclude that the reasons offered by the Town substantially or even reasonably further legitimate governmental interests not already protected by the existing EPOD regulations.

First, the Town claims that the conservation restriction, which is to be filed similar to a deed, ''is intended to put subsequent buyers on notice that the property contains constraints which may limit development within these environmentally sensitive areas of the site.'' Pursuant to the Town's EPOD regulations, however, the locations of all EPOD sites within the Town are delineated on an official set of maps on file with the Town. Subsequent purchasers are therefore already on constructive notice that the Smiths' property contains EPODs and is subject to the limitations currently in place pursuant to the Town Code, which the proposed conservation restriction largely follows. Hence, the restriction does not in any meaningful way advance a necessary public notice purpose.

Second, the Town asserts that the conservation restriction strengthens the available enforcement mechanisms, particularly the ability of the Town to seek injunctive relief. Even without the restriction, it is well settled that the Town could seek to enjoin any activity on the property which is violative of land-use regulations (*see* Town Law § 268 [2]; *Town of Throop v Leema Gravel Beds*, 249 AD2d 970, 971-972 [1998]; *see also City of New York v Village of Tannersville*, 263 AD2d 877, 879 [1999]). Therefore, in my opinion, the restriction does not promote additional environmental interests not already addressed by the existing EPOD designations.

Finally, the Town contends that the restriction will inhibit activity on the EPODs in perpetuity, whereas the EPOD ordinance could change at any time. This is true, but it does not provide a legitimate basis for imposition of the restriction. If the Town decides to repeal its EPOD ordinance with respect to one or more of the EPODs situated on the Smiths' land, presumably it would do so because it no longer considers the designation of environmental restrictions on that type of property to be necessary or in the public interest. If restrictions were no longer in the public interest, the Town would have no valid basis for continuing them in perpetuity. Yet, under this scenario, portions of the Smiths' property would still be encumbered by the conservation restriction while other EPOD-burdened parcels would be released from the restrictions on development—a result that would be neither reasonable nor fair.

In the end, it is the Town's generally applicable EPOD ordinance itself—whose provisions the development restriction tracks—that substantially promotes the Town's valid interest in protecting the environment. If this case involved a claim that the Town Code's EPOD regulations effected a taking of property, clearly such a challenge would fail under *Agins* because the restrictions contained in those rules substantially promote environmental interests. But the added layer of regulation sought to be imposed by the Town through the ad hoc imposition of a conservation restriction as a condition to site plan approval does not further additional legitimate environmental concerns in a meaningful way and is simply overkill. To hold otherwise effectively permits municipalities to single out particular EPOD-affected landowners for double regulation. In sum, I conclude that the Town's imposition of the conservation restriction without just compensation amounted to an unconstitutional taking.

Even if the conservation restriction does not effect a taking as the majority holds, I would still rule in favor of the Smiths because the Town's determination to demand such a condition in exchange for site plan approval was, contrary to the conclusion of the courts below, arbitrary and capricious. Although a municipality may place conditions on the approval of site plans, such authority is not limitless. Under Town Law § 274-a (4), conditions and restrictions must be ''reasonable'' and ''directly related to and incidental to a proposed site plan.'' We have held that conditions are proper when they constitute ''corrective measures designed to protect neighboring properties against the possible adverse effects of [a proposed] use'' (*Matter of St. Onge v Donovan*, 71 NY2d 507, 516 [1988]). In contrast, conditions are invalid when ''they do not seek to ameliorate the effects of the land use at issue'' (*id.* at 517). Accordingly, courts have repeatedly held that a municipality's imposition of a condition which is ''not reasonably designed to mitigate any demonstrable defects'' is arbitrary and capricious (*Matter of Clinton v Summers*, 144 AD2d 145, 147 [1988]; *see also Matter of Castle Props. Co. v Ackerson*, 163 AD2d 785, 786-787 [1990]; *Matter of Black v Summers*, 151 AD2d 863, 865 [1989]). Where a court determines that the imposition of a condition is arbitrary and capricious, the appropriate relief is to excise the condition (*see Matter of St. Onge*, 71 NY2d at 519).

Here, pursuant to the State Environmental Quality Review Act, the Town issued a negative declaration, finding that the Smiths' proposed site project would not result in any significant adverse environmental impacts so long as the development did not occur in any of the EPODs. The Town does not dispute that the Smiths' proposed single-family dwelling would not have an effect on any of the EPODs, and the Smiths have maintained that they intend to comply with the requirements of the Town's EPOD ordinance. The Town's stated basis for imposing the conservation restriction was "to mitigate any potentially significant adverse environmental impact upon the site or upon adjacent sites." Yet, under the Town's own findings, the proposed site plan would not cause any environmental detriments that needed to be mitigated. As such, it is evident that the restriction should have been invalidated because it was not necessary "to mitigate any demonstrable defects" and was therefore arbitrary and capricious (*see Matter of Clinton*, 144 AD2d at 147).

For the reasons stated, I would reverse the order of the Appellate Division and grant the petition with respect to the Smiths' second and third causes of action.

Chief Judge KAYE and Judges G.B. SMITH and CIPARICK concur with Judge ROSENBLATT; Judge READ dissents and votes to reverse in a separate opinion in which Judge R.S. SMITH concurs; Judge GRAFFEO dissents and votes to reverse in another opinion.

Order affirmed, with costs.

[823 NE2d 437, 790 NYS2d 72]

THE PEOPLE OF THE STATE OF NEW YORK, Appellant, v PETER INSERRA, Respondent.

Argued October 21, 2004; decided November 30, 2004

SUMMARY

APPEAL, by permission of an Associate Judge of the Court of Appeals, from an order of the Appellate Term of the Supreme Court in the Second Judicial Department, entered October 28, 2003. The Appellate Term (1) reversed, on the law, a judgment of the Criminal Court of the City of New York, Queens County (William M. Erlbaum, J.), which had convicted defendant, upon a jury verdict, of criminal contempt in the second degree, and (2) dismissed the information.

People v Inserra, 2 Misc 3d 21, reversed.

HEADNOTES

Crimes — Information — Criminal Contempt — Sufficiency of Information — Defendant's Name on Order of Protection Signature Line

1. The sworn deposition supporting the information charging defendant with criminal contempt of an order of protection, which stated that the order of protection contained the defendant's name on the line for defendant's signature, sufficiently alleged that defendant knew of the order's contents. Although the statement did not prove that defendant actually placed his signature on the order, it was sufficient to allege the element of knowledge, an essential element of the crime.

Crimes — Information — Criminal Contempt — Sufficiency of Information

2. In a prosecution for criminal contempt of an order of protection, it was not necessary for the information to include a statement that the protected person was at home when defendant banged on the door. The allegation in the original misdemeanor complaint and supporting deposition that the order of protection prohibited defendant from going near the protected person's home, whether or not she was present, gave defendant sufficient notice of the conduct at the base of the People's prosecution.

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By the Publisher's Editorial Staff

AM JUR 2d, Contempt §§ 22, 23, 112, 115, 155; AM JUR 2d, Indictments and Informations §§ 82, 119.

CARMODY-WAIT 2d, Contempt Proceedings §§ 140:17, 140:30, 140:40; CARMODY-WAIT 2d, Criminal Procedure §§ 172:827, 172:834–172:837, 172:854.

LaFave, et al., Criminal Procedure (3d ed) § 19.3.
NY Jur 2d, Contempt §§ 39, 42, 88, 89; NY Jur 2d, Criminal Law §§ 886, 894, 900.

ANNOTATION REFERENCE

See ALR Index under Contempt; Indictments and Informations.

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POINTS OF COUNSEL

Richard A. Brown, District Attorney, Kew Gardens (*Sharon Y. Brodt, Jennifer Hagan, John M. Castellano* and *Gary Fidel* of counsel), for appellant. The Appellate Term erred in reversing defendant's conviction because, contrary to the court's conclusion, the allegations of the criminal court complaint and supporting documents must be read together, and, so read, they provided reasonable cause to believe that defendant committed every element of criminal contempt in the second degree. (*People v Miles,* 64 NY2d 731; *People v Casey,* 95 NY2d 354; *People v Belcher,* 302 NY 529; *People v Konieczny,* 2 NY3d 569; *People v Alejandro,* 70 NY2d 133; *People v Mizell,* 72 NY2d 651; *People v Johnson,* 65 NY2d 556.)

Legal Aid Society Criminal Appeals Bureau, New York City (*Amy Donner* and *Laura R. Johnson* of counsel), for respondent. I. The Appellate Term correctly held that the prosecutor's information was jurisdictionally defective because the instrument it superseded failed to allege sufficient supporting factual allegations to establish the charge of second-degree criminal contempt, namely that respondent knew of the issuance and contents of the order of protection which he was accused of violating. (*People v Alejandro,* 70 NY2d 133; *People v Case,* 42 NY2d 98; *People v Casey,* 95 NY2d 354; *People v McCowan,* 85 NY2d 985; *People v Smith,* 258 AD2d 245; *People v Brown,* 128 Misc 2d 149; *People v Konieczny,* 2 NY3d 569.) II. The second-degree criminal contempt count of the prosecutor's information was jurisdictionally defective for failure to make out a crime because the facts it affirmatively alleged did not constitute a violation of the underlying order of protection. (*People v Case,* 42 NY2d 98; *People v Polanco,* 2 AD3d 1154; *People v Iannone,* 45 NY2d 589;

People v D'Angelo, 98 NY2d 733; *People v Barnes,* 50 NY2d 375; *People v Mackey,* 49 NY2d 274; *People v Shealy,* 51 NY2d 933.)

OPINION OF THE COURT

ROSENBLATT, J.

[1] On this appeal by the People, we address the sufficiency of an information charging defendant with criminal contempt of an order of protection. In particular, we must decide whether a defendant's name on the signature line of an order of protection adequately supports an allegation that the defendant knew of the order's contents. We hold that it does.

A Queens County Criminal Court jury found defendant guilty of criminal contempt in the second degree (*see* Penal Law § 215.50 [3]) for violating an order of protection. The order directed defendant to ''stay away from'' his ex-girlfriend and her home, school, business and place of employment. It further directed him to refrain from assaulting, stalking or harassing her. The People presented evidence that on the night in question defendant banged on the protected person's apartment door, shouting and demanding to be admitted.

Defendant appealed to Appellate Term, arguing that the original misdemeanor complaint, supporting deposition and superseding prosecutor's information all failed to allege that he had knowledge of the terms of the order an essential element of the crime (*see Matter of McCormick v Axelrod*, 59 NY2d 574, 583 [1983] [noting that ''the party to be held in contempt must have had knowledge of the court's order'']). Agreeing with defendant, Appellate Term reversed the conviction and dismissed the information, holding that ''[t]he information in the present case states only that defendant's 'name' appears on the order, which is insufficient, as a matter of law, to establish that defendant had knowledge of its provisions.'' A Judge of this Court granted the People leave to appeal. We now reverse.

Citing CPL 100.40 (1) (c) and 100.50 (2), defendant correctly asserts that a prosecutor's information is jurisdictionally defective if the original information it supersedes and any supporting depositions do not contain adequate factual allegations. To be adequate, the allegations must establish, if true, every element of the crime charged and the defendant's commission of each (*see also People v Casey*, 95 NY2d 354, 360 [2000]).

Here, the supporting sworn deposition of the police officer who took the victim's complaint states that he ''examined a copy of [the] o[r]der of protection and that the defendant's name appears on the line for the defendant's signature.'' Although this statement does not prove that defendant actually placed his signature on the order, it is sufficient to allege the element of knowledge in an accusatory instrument. Defendant's name on the signature line of the order enables us to infer that he was aware of its contents, which are written on a single page in simple language and clear, legible type (*cf. Mesibov, Glinert & Levy, Inc. v Cohen Bros. Mfg. Co.*, 245 NY 305, 310 [1927] [Cardozo, Ch. J.] [discussing how a party's name on the signature line of a contract would be evidence of intent to be bound by the contract terms]).

Unlike *People v McCowan* (85 NY2d 985 [1995]), in which the defendant was merely informed that ''an order'' had been issued against him, here, defendant's name on the signature line sufficiently alleges that defendant received and read the terms of the order of protection. For pleading purposes, as based on the officer's attached deposition, the allegations, if true, were sufficient to establish that defendant violated each element of the crime charged, including his knowledge of the order of protection's contents. Of course, the People retained their burden to prove those elements at trial beyond a reasonable doubt.*

[2] Furthermore, we reject defendant's final argument that the prosecutor's information failed to allege a violation by omitting a statement that the protected person was at home when defendant banged on the door. The original misdemeanor complaint and supporting deposition plainly allege that the order of protection prohibited defendant from going near the protected person's home, whether or not she was present. That allegation gave the defendant sufficient notice of the conduct at the base of the People's prosecution.

Accordingly, the order of the Appellate Term should be reversed and the case remitted to that court for consideration of the facts (*see* CPL 470.25 [2] [d]; 470.40 [2] [b]).

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* It is not necessary for us to reach defendant's argument concerning the admissibility of the copy of the underlying order. We note that, in general, the best practice would be for the People to make sure that any court order used to support a criminal charge is properly certified and authenticated by the appropriate custodian of records.

Chief Judge KAYE and Judges G.B. SMITH, CIPARICK, GRAFFEO, READ and R.S. SMITH concur.

Order reversed, etc.

[823 NE2d 439, 790 NYS2d 74]

TIMOTHY CAHILL, Respondent, v TRIBOROUGH BRIDGE AND TUNNEL AUTHORITY, Appellant.

Argued November 16, 2004; decided December 21, 2004

SUMMARY

APPEAL, by permission of the Appellate Division of the Supreme Court in the First Judicial Department, from an order of that Court, entered February 24, 2004. The Appellate Division affirmed an order of the Supreme Court, New York County (Edward H. Lehner, J.), which had granted plaintiff's motion for summary judgment on the issue of liability based on a violation of Labor Law § 240 (1). The following question was certified by the Appellate Division: ''Was the order of this Court, which affirmed the order of Supreme Court, properly made?''

Cahill v Triborough Bridge & Tunnel Auth., 4 AD3d 236, reversed.

HEADNOTE

Labor — Safe Place to Work — Fall from Height — Plaintiff's Own Actions as Sole Proximate Cause of Accident

In an action to recover damages pursuant to Labor Law § 240 (1) for injuries plaintiff construction worker allegedly sustained when he fell while climbing without a safety line that had been made available to him and about which he had been instructed several weeks before the accident, plaintiff was not entitled to summary judgment on the issue of liability. A jury could have found that plaintiff had adequate safety devices available, that he knew both that they were available and that he was expected to use them, that he chose for no good reason not to do so, and that had he not made that choice he would not have been injured. Those factual findings would lead to the conclusion that plaintiff's own conduct, rather than any violation of Labor Law § 240 (1), was the sole proximate cause of the accident, and that defendant was not liable. It was irrelevant that there was a lapse of weeks between the instructions plaintiff was given regarding the use of a safety line while climbing and his disobedience of those instructions.

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AM JUR 2d, Employment Relationship §§ 248, 249, 251, 252, 256, 269, 302–308.

MCKINNEY'S, Labor Law § 240 (1).

NY JUR 2d, Employment Relations §§ 231–233, 235.

ANNOTATION REFERENCE

See ALR Index under Labor and Employment; Occupational Safety and Health.

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Database: NY-ORCS
Query: labor /4 240 & safety /2 line /s fall! climb!

POINTS OF COUNSEL

Ellenberg & Rigby, LLP, New York City (*Kenneth Arthur Rigby, John Wiess* and *Elena Yun* of counsel), for appellant. I. The facts in the record on appeal establish a question of fact that the devices provided to respondent on July 13, 1999 were ‘‘proper protection’’ within the meaning of Labor Law § 240 (1). (*Zimmer v Chemung County Performing Arts,* 65 NY2d 513; *Sillman v Twentieth Century-Fox Film Corp.,* 3 NY2d 395; *Alvarez v Prospect Hosp.,* 68 NY2d 320; *Zuckerman v City of New York,* 49 NY2d 557; *Krupp v Aetna Life & Cas. Co.,* 103 AD2d 252; *Robinson v Strong Mem. Hosp.,* 98 AD2d 976; *Koumianos v State of New York,* 141 AD2d 189; *Felker v Corning Inc.,* 90 NY2d 219; *Montgomery v Federal Express Corp.,* 307 AD2d 865; *Martinez v City of New York*, 93 NY2d 322.) II. The facts in the record on appeal establish a question of fact that respondent’s own actions were the sole proximate cause of his accident. (*Blake v Neighborhood Hous. Servs. of N.Y. City, Inc.,* 1 NY3d 280; *Meade v Rock-McGraw, Inc.,* 307 AD2d 156; *Weininger v Hagedorn & Co.,* 91 NY2d 958; *Heffernan v Bais Corp.,* 294 AD2d 401; *Gomes v State of New York,* 272 AD2d 440; *Bahrman v Holtsville Fire Dist.,* 270 AD2d 438; *Stark v Eastman Kodak,* 256 AD2d 1134; *Vencebi v Waldorf Astoria Hotel Corp.,* 143 AD2d 1004.) III. The facts in the record on appeal establish a question of fact that respondent was a ‘‘recalcitrant worker.’’ (*Gordon v Eastern Ry. Supply,* 82 NY2d 555; *Mayancela v Almat Realty Dev.,* 303 AD2d 207; *Miraglia v H&L Holding Corp.,* 306 AD2d 58; *Olszewski v Park Terrace Gardens,* 306 AD2d 128; *DePalma v Metropolitan Transp. Auth.,* 304 AD2d 461; *Laquidara v HRH Constr. Corp.,* 283 AD2d 169; *Crespo v Triad, Inc.,* 294 AD2d 145; *Balthazar v Full Circle Constr. Corp.,* 268 AD2d 96; *Jastrzebski v North Shore School Dist.,* 223 AD2d 677, 88 NY2d 946; *Powers v Lino Del Zotto & Son Bldrs*., 266 AD2d 668.) IV. Instructions at safety meetings conducted nearly weekly can be the prior instruction which supports a defense of ‘‘recalcitrant worker.’’ (*Gordon v Eastern Ry. Supply,* 82 NY2d 555; *Job v 1133 Bldg. Corp.,* 251 AD2d 459; *Mills v Niagara Mohawk Power Corp.,* 262 AD2d 901; *Kulp v Gannett Co.,* 259 AD2d 969; *Frycek v Corning Inc.,* 171 Misc 2d 220.)

Fischbein Badillo Wagner Harding, New York City (*Christo-*

pher A. Marothy and *Don Abraham* of counsel), for respondent. I. Plaintiff was not provided with adequate protection as a matter of law. (*Zimmer v Chemung County Performing Arts,* 65 NY2d 513; *Felker v Corning Inc.,* 90 NY2d 219; *Rocovich v Consolidated Edison Co.,* 78 NY2d 509; *Hall v Cornell Univ.,* 205 AD2d 872; *Lombardi v Stout,* 80 NY2d 290; *Balthazar v Full Circle Constr. Corp.,* 268 AD2d 96; *Crespo v Triad, Inc.,* 294 AD2d 145; *Tennant v Curcio,* 237 AD2d 733; *Neville v Deters,* 175 AD2d 597; *Kanney v Goodyear Tire & Rubber Co.,* 245 AD2d 1034.) II. Plaintiff's actions were not the ''sole proximate cause'' of his fall as a matter of law. (*Blake v Neighborhood Hous. Servs. of N.Y. City, Inc.,* 1 NY3d 280; *Montgomery v Federal Express Corp.,* 307 AD2d 865; *Meade v Rock-McGraw, Inc.,* 307 AD2d 156; *Tavarez v Weissman,* 297 AD2d 245.) III. The record does not raise a factual issue of recalcitrance as a matter of law. (*Gordon v Eastern Ry. Supply,* 82 NY2d 555; *Balthazar v Full Circle Constr. Corp.,* 268 AD2d 96; *Crespo v Triad, Inc.,* 294 AD2d 145; *Mayancela v Almat Realty Dev.,* 303 AD2d 207; *Laquidara v HRH Constr. Co.,* 283 AD2d 169; *Peterson v Barry, Bette & Led Duke,* 171 Misc 2d 346; *Jastrzebski v North Shore School Dist.,* 223 AD2d 677; *Powers v Lino Del Zotto & Son Bldrs.,* 266 AD2d 668; *Laurie v Niagara Candy,* 188 AD2d 1075; *Salotti v Wellco, Inc.,* 273 AD2d 862.)

OPINION OF THE COURT

R.S. SMITH, J.

We decide in this case that, where an employer has made available adequate safety devices and an employee has been instructed to use them, the employee may not recover under Labor Law § 240 (1) for injuries caused solely by his violation of those instructions, even though the instructions were given several weeks before the accident occurred.

Facts and Procedural History

Since we are reviewing a grant of summary judgment in plaintiff's favor, we state the version of the facts most favorable to defendant that the evidence will support.

Plaintiff was employed in the reconstruction and repair of the Triborough Bridge. His work required him to go up and down wall-like structures known as ''forms.'' A mechanical device called a ''man lift'' was sometimes available for this purpose, but when it was unavailable employees were expected to climb and to descend by using safety lines affixed to the forms. Employees wore safety harnesses, equipped with lanyards that could be attached to a hook on the safety line. When the lanyard was attached, the safety line would prevent the worker from falling more than a short distance.

With other workers on the Triborough Bridge construction site, plaintiff attended frequent safety talks that included instruction in the use of safety lines. In addition, several weeks before the accident involved in this case, plaintiff's supervisor, Anthony Dellamorte, ''caught him'' climbing a form without using a safety line. (Dellamorte remembered this incident as ''a month-and-a-half'' before the accident; plaintiff thought it was ''less than a month'' before.) Dellamorte explained to plaintiff the need to attach his lanyard to the safety line when climbing, and plaintiff, for the time being, complied.

On the day of the accident, plaintiff was working inside the upper part of a form, applying grease from a bucket to certain rods. He ran out of grease, went down to the ground to refill his bucket, and started to climb up again. The man lift was in use elsewhere, but plaintiff could readily have used a safety line to climb; such a line was attached to the side of the form where plaintiff climbed, some 10 feet away. Near the safety line were horizontal ribs in the structure on which plaintiff could have rested his grease bucket as he went up.

Plaintiff chose not to use a safety line. Instead, he used a ''position hook'' on his safety harness; this hook was designed not for use in climbing, but to hold plaintiff stationary while he worked. His procedure was to connect the position hook to the form; put his grease bucket on a nearby ledge; climb to the next cross beam; remove the position hook and reinsert it at a higher point; move the grease bucket up a level; and repeat the process. He fell while climbing, from a height of approximately 10 to 15 feet, and was injured.

Plaintiff sued defendant, the owner of the Triborough Bridge, on several theories, including an alleged violation of Labor Law § 240 (1). Supreme Court granted summary judgment for plaintiff on the section 240 (1) claim, rejecting the argument that plaintiff was a ''recalcitrant worker.'' The Appellate Division, with one Justice dissenting, affirmed, holding that ''the recalcitrant worker defense is not applicable'' because defendant did not show that plaintiff had '' 'disobeyed an *immediate* instruction to use a harness or other actually available safety device' '' (4 AD3d 236, 236 [2004] [emphasis added], quoting

Sanango v 200 E. 16th St. Hous. Corp., 290 AD2d 228, 228 [1st Dept 2002]). The Appellate Division granted leave to appeal on a certified question. We now reverse.

Discussion

Labor Law § 240 (1) provides in relevant part:

> ''All contractors and owners and their agents . . . in the erection, demolition, repairing, altering, painting, cleaning or pointing of a building or structure shall furnish or erect, or cause to be furnished or erected for the performance of such labor, scaffolding, hoists, stays, ladders, slings, hangers, blocks, pulleys, braces, irons, ropes, and other devices which shall be so constructed, placed and operated as to give proper protection to a person so employed.''

As we explained in *Blake v Neighborhood Hous. Servs. of N.Y. City, Inc.* (1 NY3d 280 [2003]), this section creates a liability that is strict, or absolute, in two senses: the duty it imposes is nondelegable, and thus contractors and owners are liable under the statute whether or not they supervise or control the work; and where an accident is caused by a violation of the statute, the plaintiff's own negligence does not furnish a defense. It is still necessary, however, for the plaintiff to show that the statute was violated and that the violation proximately caused his injury. As we held in *Blake*, where a plaintiff's own actions are the sole proximate cause of the accident, there can be no liability.

Cases upholding the so-called ''recalcitrant worker'' defense exemplify this rule. The Appellate Division held in *Smith v Hooker Chems. & Plastics Corp.* (89 AD2d 361, 365 [4th Dept 1982] [Simons, J.]) that an owner who has provided safety devices is not liable for failing to ''insist that a recalcitrant worker use the devices.'' Later cases make clear our approval of this holding (*see Stolt v General Foods Corp.*, 81 NY2d 918 [1993]; *Hagins v State of New York*, 81 NY2d 921 [1993]).

The word ''recalcitrant'' fits plaintiff in this case well. He received specific instructions to use a safety line while climbing, and chose to disregard those instructions. He was not the less recalcitrant because there was a lapse of weeks between the instructions and his disobedience of them. The controlling question, however, is not whether plaintiff was ''recalcitrant,'' but whether a jury could have found that his own conduct, rather than any violation of Labor Law § 240 (1), was the sole proximate cause of his accident. We noted in *Blake* that "[e]ven when a worker is not 'recalcitrant' . . . there can be no liability under section 240 (1) when there is no violation and the worker's actions (here, his negligence) are the 'sole proximate cause' of the accident" (1 NY3d at 290).

Here, a jury could have found that plaintiff had adequate safety devices available; that he knew both that they were available and that he was expected to use them; that he chose for no good reason not to do so; and that had he not made that choice he would not have been injured. Those factual findings would lead to the conclusion that defendant has no liability under Labor Law § 240 (1), and therefore summary judgment should not have been granted in plaintiff's favor.

Accordingly, the order of the Appellate Division should be reversed with costs, plaintiff's motion for summary judgment denied, and the certified question answered in the negative.

Chief Judge KAYE and Judges G.B. SMITH, CIPARICK, ROSENBLATT, GRAFFEO and READ concur.

Order reversed, etc.

[823 NE2d 827, 790 NYS2d 421]

THE PEOPLE OF THE STATE OF NEW YORK, Respondent, v PETER PARRIS, Appellant.

THE PEOPLE OF THE STATE OF NEW YORK, Respondent, v DONNELL HOFLER, Appellant.

Argued November 18, 2004; decided December 21, 2004

SUMMARY

APPEAL, in the first above-entitled action, by permission of an Associate Judge of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the First Judicial Department, entered November 6, 2003. The Appellate Division affirmed a judgment of the Supreme Court, New York County (George Daniels, J., at hearings; Colleen McMahon, J., at jury trial and sentence), which had convicted defendant, upon a jury verdict, of burglary in the first degree (two counts), criminal possession of a weapon in the third degree and criminal mischief in the fourth degree (three counts).

APPEAL, in the second above-entitled action, by permission of an Associate Judge of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the First Judicial Department, entered December 9, 2003. The Appellate Division affirmed a judgment of the Supreme Court, New York County (Franklin Weissberg, J.), which had convicted defendant, upon his plea of guilty, of attempted robbery in the first degree, criminal possession of a weapon in the third degree and bail jumping in the first and second degrees.

People v Parris, 1 AD3d 134, affirmed.

People v Hofler, 2 AD3d 176, affirmed.

HEADNOTES

Crimes — Appeal — Loss of Minutes

1. A loss of the reporter's minutes of some proceedings is rarely sufficient reason in itself for reversing a conviction. With respect to an alternative remedy, where a significant portion of the minutes has been lost, a reconstruction hearing should normally be available for a defendant appealing his conviction after trial, if the defendant has acted with reasonable diligence to mitigate the harm done by the mishap. A defendant who has pleaded guilty is entitled to a reconstruction hearing only where he can identify a ground for appeal that is based on something that occurred during the untranscribed proceeding.

Crimes — Appeal — Loss of Minutes — Conviction after Trial

2. Defendant, who was convicted after trial, was not entitled to reversal of his conviction on the ground that certain minutes of jury selection and other

preliminary proceedings had been lost. Defendant failed to show that, if he had acted diligently, an adequate reconstruction of those proceedings could not have been achieved. Although the judge who presided at the untranscribed proceedings was no longer sitting in Supreme Court, it could not be shown that it would be impossible to obtain information about those proceedings from the judge, or that the proceedings could not be reconstructed with information from other sources. Nor was defendant entitled to the alternative remedy of a reconstruction hearing with respect to the events of the untranscribed proceedings, inasmuch as he failed to make reasonable efforts to mitigate any harm resulting from the loss of the minutes. Fairness does not require providing a reconstruction hearing to a defendant whose conduct does not evidence a good faith purpose to obtain prompt and effective reconstruction.

Crimes — Appeal — Loss of Minutes — Plea of Guilty

3. Defendant, who pleaded guilty, was not entitled to reversal of his conviction on the ground that minutes of his plea allocution had been lost. Defendant failed to rebut the presumption of regularity attaching to judicial proceedings. Although the judge who presided at the untranscribed proceedings was no longer sitting in Supreme Court, it could not be shown that it would be impossible to obtain information about those proceedings from the judge, or that the proceedings could not be reconstructed with information from other sources. Nor was defendant entitled to the alternative remedy of a reconstruction hearing with respect to the events of the untranscribed proceedings, inasmuch as he did not identify any issue to which the missing minutes were relevant. A defendant who pleads guilty forfeits the right to obtain review of many flaws in the proceedings, and it is presumed that such a defendant has neither reason nor desire to prosecute an appeal.

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AM JUR 2d, Appellate Review §§ 491, 492, 497, 503; AM JUR 2d, Criminal Law § 811.

CARMODY-WAIT 2d, Criminal Procedure §§ 172:1598, 172:4425, 172:4426.

LAFAVE, ET AL., CRIMINAL PROCEDURE (3d ed) § 27.5.

NY JUR 2d, Criminal Law §§ 1382, 3200, 3213, 3214, 3286.

ANNOTATION REFERENCE

See ALR Index under Appeal and Error; Record on Appeal; Transcripts.

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POINTS OF COUNSEL

Kostelanetz & Fink, LLP, New York City (*Christopher M. Ferguson* of counsel), and *Office of the Appellate Defender (Richard*

M. Greenberg and *Sara Gurwitch* of counsel) for appellant in the first above-entitled action. I. Where the State of New York has not provided Mr. Parris with the transcript of a vital portion of the trial proceedings that is virtually impossible to reconstruct—the entirety of jury voir dire—his conviction should be reversed and a new trial ordered. (*Griffin v Illinois,* 351 US 12; *People v Yavru-Sakuk,* 98 NY2d 56; *People v Rivera,* 39 NY2d 519; *People v Mealer,* 57 NY2d 214; *Mayer v City of Chicago,* 404 US 189; *People v Harrison,* 85 NY2d 794; *Hopt v Utah,* 110 US 574; *United States v White,* 980 F2d 836; *Gomez v United States,* 490 US 858; *People v Velasquez,* 1 NY3d 44.) II. At a bare minimum, Mr. Parris is entitled to a reconstruction hearing in order to attempt to recreate jury voir dire, as well as the *Sandoval* and speedy trial proceedings below. (*People v Santiago,* 158 AD2d 252; *People v Marquez,* 2 AD3d 343; *People v Hofler,* 2 AD3d 176; *People v Dokes,* 79 NY2d 656; *People v Oglesby,* 137 AD2d 840; *People v Monclavo,* 87 NY2d 1029; *People v Michalek,* 82 NY2d 906; *People v Brown,* 114 AD2d 418; *People v Mendez,* 63 AD2d 69; *People v Mealer,* 57 NY2d 214.)

Robert M. Morgenthau, District Attorney, New York City (*Eleanor J. Ostrow* and *Hilary Hassler* of counsel), for respondent in the first above-entitled action. The Appellate Division correctly determined that defendant was not entitled to a reversal and new trial, or a reconstruction hearing, where he made no showing at all that he was prejudiced by the unavailability of a complete transcript on appeal, or even that there were appealable issues in the untranscribed portions of the record. (*People v Rivera,* 39 NY2d 519; *People v Mealer,* 57 NY2d 214, 460 US 1024; *People v Harrison,* 85 NY2d 794; *People v Richetti,* 302 NY 290; *People v Glass,* 43 NY2d 283; *People v Velasquez,* 1 NY3d 44; *People v Jackson,* 98 NY2d 555; *People v Yavru-Sakuk,* 98 NY2d 56; *People v Mendoza,* 82 NY2d 415; *People v Gruden,* 42 NY2d 214.)

Office of the Appellate Defender, New York City (*Sara Gurwitch, Richard M. Greenberg* and *Salina M. Kanai* of counsel), for appellant in the second above-entitled action. Where the State of New York has failed to provide Donnell Hofler an adequate record for appeal, Mr. Hofler's fundamental right to meaningful appellate review has been fatally compromised. (*People v Montgomery,* 24 NY2d 130; *People v Harrison,* 85 NY2d 794; *People v Cameron,* 219 AD2d 662; *People v Marquez,* 2 AD3d 343, 2 NY3d 763; *People v Parris,* 1 AD3d 134, 2 NY3d 764; *People v Council,* 162 AD2d 365; *People v Gonzalez,* 110

AD2d 592; *People v Lopez,* 97 AD2d 5; *People v Yavru-Sakuk,* 98 NY2d 56; *Mayer v City of Chicago,* 404 US 189.)

Robert M. Morgenthau, District Attorney, New York City (*Eleanor J. Ostrow* and *Hilary Hassler* of counsel), for respondent in the second above-entitled action. The unavailability of the guilty plea minutes does not entitle defendant to a reversal of the judgment or a reconstruction hearing. (*People v Hall,* 200 AD2d 474; *People v Parris,* 1 AD3d 134, 2 NY3d 764; *People v Rivera,* 39 NY2d 519; *People v Mealer,* 57 NY2d 214, 460 US 1024; *People v Harrison,* 85 NY2d 794; *People v Richetti,* 302 NY 290; *People v Glass,* 43 NY2d 283; *People v Bell,* 36 AD2d 406, 29 NY2d 882; *People v Alexander,* 97 NY2d 482; *People v Taylor,* 65 NY2d 1.)

OPINION OF THE COURT

R.S. SMITH, J.

In both of these cases, the reporter's minutes of some proceedings were lost, and so never transcribed. Each defendant asks us to reverse his conviction on that ground. Each also asks that, if we do not grant reversal, we order a reconstruction hearing at which the events of the untranscribed proceedings would be recreated, as far as possible, from the memories of the participants and any surviving records.

[1] We have previously held that a loss of reporter's minutes is rarely sufficient reason in itself for reversing a conviction, and we reject that remedy in both of these cases. As to defendants' requests for an alternative remedy, we hold that, where a significant portion of the minutes has been lost: (1) a reconstruction hearing should normally be available for a defendant appealing his conviction after trial, if the defendant has acted with reasonable diligence to mitigate the harm done by the mishap; but (2) a defendant who has pleaded guilty is entitled to a reconstruction hearing only where he can identify a ground for appeal that is based on something that occurred during the untranscribed proceeding.

These rules require an affirmance in both of these cases. Defendant in *People v Parris*, who was convicted after trial, did not make reasonable efforts to mitigate any harm resulting from the loss of the minutes. Defendant in *People v Hofler*, who pleaded guilty, has identified no issue to which the missing minutes are relevant.

Facts and Procedural History

A. *People v Parris*

Peter Parris was convicted of burglary and other charges after a jury trial in May 1998, and was sentenced on July 8, 1998. He filed a timely notice of appeal, but the prosecution of the appeal was long delayed. When the record on appeal was finally filed in the Appellate Division on May 8, 2001, it contained an affidavit from a court reporter saying that she could not locate her notes for proceedings held on April 30 and May 4, 1998.

A worksheet prepared in Supreme Court shows that on April 30, 1998 the court denied Parris's motion to dismiss the indictment pursuant to CPL 30.30 and heard his motion under *People v Sandoval* (34 NY2d 371 [1974]), and that on May 4, 1998 a jury was selected and sworn. Parris was or should have been aware, no later than May of 2001, that the minutes of these proceedings were missing.

There is no indication that Parris reacted to this information in any way until he filed his brief in the Appellate Division some 18 months later, on November 12, 2002. Point one of the brief argued that his conviction should be reversed, or a reconstruction hearing ordered, because the minutes had been lost. On February 21, 2003, the prosecution moved to have the appeal removed from the Appellate Division calendar ''until such time as the defendant either moves for reconstruction of the court file or stipulates that he cannot make the showing necessary to obtain one.'' Parris's counsel filed an affirmation in opposition to the motion, arguing that the prosecution, not the defense, should bear the burden of providing an adequate record. The Appellate Division denied the motion ''without prejudice to the People raising the argument in their respondent's brief on the appeal.''

Later, the Appellate Division affirmed Parris's conviction, saying that he ''has not established that he is entitled to either reversal of his conviction or a reconstruction hearing, since he has not shown that any appealable issue may exist with respect to those proceedings.'' (1 AD3d 134, 134 [2003].) We affirm on grounds different from those stated by the Appellate Division.

B. *People v Hofler*

Donnell Hofler pleaded guilty on September 26, 1996 to charges of criminal possession of a weapon, attempted robbery and bail jumping. He was sentenced on October 22, 1996; the sentencing minutes contain no motion to withdraw the plea, and no indication that the plea proceedings were defective. Hofler filed a timely notice of appeal, but did not perfect the appeal for several years. An affidavit of a court reporter dated August 1, 2002 says that he is unable to locate his notes of the September 26, 1996 proceeding.

Hofler's only argument in his Appellate Division brief was that the loss of the minutes entitled him to either a reversal or a reconstruction hearing. The Appellate Division affirmed, relying on ''the presumption of regularity attaching to judicial proceedings.'' (2 AD3d 176 [2003].) We agree with the Appellate Division, and affirm.

Discussion

On these facts, neither appellant is entitled to either form of relief he seeks—reversal of his conviction, or a reconstruction hearing.

A. Reversal

We held in *People v Glass* (43 NY2d 283 [1977]), and hold again now, that the loss of minutes does not by itself require the reversal of a conviction. To overcome the presumption of regularity, a defendant must show not only that minutes are missing, but also ''that there were inadequate means from which it could be determined whether appealable and reviewable issues were present'' (*id.* at 287). In *Glass*, we relied on *People v Rivera* (39 NY2d 519, 523 [1976]), where we said:

> ''[W]hile a defendant should have as fair an appeal as possible, and while, if the use of available minutes would aid in assuring it, he is entitled to have their assistance, unless they have become unavailable because of any active fault on the part of the People, it does not necessarily follow from the fact that their absence compels resort to a less perfect record, that the right to appeal must be deemed to be frustrated. For, in this imperfect world, the right of a defendant to a fair appeal, or for that matter a fair trial, does not necessarily guarantee him a perfect trial or a perfect appeal.''

Though we implied in *Rivera* (as we later held in *Glass*) that the absence of minutes would not normally justify reversal, we held reversal to be proper in *Rivera*; it is, so far, the only case in which we have held that the inadvertent loss of stenographic minutes caused the defendant such severe prejudice that reversal was warranted. There, the proceedings as to which no minutes could be found had occurred 20 years before, and virtually every possible source for reconstructing the events had vanished: the judge had died; the prosecutor's memory had been impaired by a stroke; Rivera's court appointed counsel, since disbarred, could not be located; and Rivera himself suffered from ''a complete retrograde amnesia of the trial'' (39 NY2d at 524). We held that ''[u]nder these unusual circumstances, the presumption of regularity which ordinarily attaches to judicial proceedings . . . does not avail the People . . . .'' (*Id.* at 524-525.)

[2] Neither Parris nor Hofler can make a showing of prejudice remotely comparable to Rivera's. Parris argues that there is prejudice not because all possible sources of reconstruction have disappeared, but because the sources are too numerous. He suggests that voir dire would be ''nearly impossible to recreate . . . without the assistance of . . . the entire pool of prospective jurors.'' We disagree. A determination of whether any significant issues arose during the voir dire and were preserved for appellate review should be possible without any such massive inquiry. Parris argues that no hearing could recreate jury selection in all its details, but he has not shown that, if he had acted diligently, an adequate reconstruction of those proceedings could not have been achieved. We repeat our remark in *Rivera* that, where the absence of minutes results from inadvertence, ''resort to a less perfect record'' is not an infringement of a criminal defendant's rights.

[2, 3] Both Parris and Hofler claim prejudice resulting from the fact that, in each case, the judge who presided at the untranscribed proceedings no longer sits in Supreme Court. Neither of them can show, however, that it would be impossible to obtain information about those proceedings from the judge, or that the proceedings could not be reconstructed with information from other sources.

We therefore conclude that neither Parris nor Hofler is entitled to reversal of his conviction.

B. Reconstruction Hearing

We mentioned in *Rivera* the possibility of remedying the loss of minutes through ''a hearing to determine . . . the availability of means other than a transcript for the presentation of the appealable and reviewable issues'' (39 NY2d at 523). We added that ''[s]uch a hearing may also be directed to determining . . .

the adequacy of the substitute means and the presence of the issues themselves, if any'' (*id.*). We made similar observations in *Glass* (43 NY2d at 286) and in *People v Velasquez* (1 NY3d 44, 49 [2003]), and in still other cases we have relied on the result of a reconstruction hearing (*People v Mealer*, 57 NY2d 214 [1982]) and have ordered that one take place (*People v Michalek*, 82 NY2d 906 [1994]). We have never stated a rule, however, for deciding when a reconstruction hearing is required.

The prosecution argues and the Appellate Division held, in both *Parris* and *Hofler*, that no such hearing should be required unless the defendant can show that some appealable issue arose during the untranscribed proceedings. Where no such showing is made, the prosecution urges, the presumption of regularity of judicial proceedings should apply. We find this rule too harsh, however, as it applies to defendants who, like Parris, are appealing a conviction after trial. It is the routine procedure, in such cases, for appellate counsel to read the record looking for appellate issues, and it is not unusual for such a reading to unearth issues, sometimes meritorious ones, that appellate counsel would not otherwise have known about. Thus, where a significant part of the minutes has been lost, a defendant appealing after trial is, through no fault of his own, subject to a more than trivial disadvantage. It should not burden the trial courts excessively to provide defendants, in those relatively few cases, the opportunity to remedy that disadvantage, to the extent that a reconstruction hearing can do so.

[2] A defendant who wants a reconstruction hearing, however, should be diligent in maximizing the possibility that such a hearing can accomplish its purpose. That means, as a minimum, that defendant should move for a reconstruction hearing promptly after learning that the minutes have been lost. A defendant should also pursue promptly whatever other means are available to increase the likelihood that proceedings can effectively be reconstructed. This might well include, in a typical case, contacting defendant's trial counsel, the prosecutor and the judge, to jog their recollections and to ask that they preserve whatever notes or other records of the proceedings might exist; and also to ask that defendant's trial counsel furnish appellate counsel, without a formal hearing, the benefit of his or her notes or recollection. A defendant who does not proceed diligently is open to the suspicion that he thinks the likelihood of really finding significant appellate issues remote—and would prefer failure in reconstructing the proceedings to success, hoping to claim prejudice when reconstruction proves impossible.

Parris's lack of diligence here certainly leaves him open to that suspicion. From the time, more than 3½ years ago, when he learned the minutes were missing he has not behaved in the least like someone eager to obtain the best record possible of what happened at the untranscribed proceedings. For 18 months, he made no efforts to obtain a reconstruction hearing, and at the end of that time he did not make a motion for an immediate hearing, but only requested one as an alternative remedy in his brief. When the prosecution made a motion that might have expedited a reconstruction hearing, Parris opposed the motion, successfully.

In our view, fairness does not require providing a reconstruction hearing to a defendant whose conduct does not evidence a good faith purpose to obtain prompt and effective reconstruction. We therefore reject Parris's claim that he is entitled to a reconstruction hearing.

[3] In *Hofler*, we conclude that it is unnecessary to inquire into defendant's diligence in seeking a reconstruction hearing. The situation of a defendant, like Hofler, who has pleaded guilty is different from that of one who has been convicted after trial. In the latter case, the normal course of events is an appeal, in which appellate counsel scrutinizes the record for reversible error. But a defendant who has pleaded guilty has been convicted with his own consent. His plea generally "marks the end of a criminal case, not a gateway to further litigation" (*People v Taylor*, 65 NY2d 1, 5 [1985]). A defendant who pleads guilty forfeits the right to obtain review of many flaws in the proceedings (*People v Lynn*, 28 NY2d 196, 201-202 [1971]; *see also Boykin v Alabama*, 395 US 238, 243 [1969]), and even those claims that are not forfeited cannot ordinarily be raised on appeal unless they are preserved by a motion in the trial court to withdraw the plea (*People v Lopez*, 71 NY2d 662 [1988]). When such a motion is made, the defendant must assert some ground for it, and where minutes relevant to that ground have been lost, a reconstruction hearing may be appropriate. But only very rarely does a defendant who has pleaded guilty have a valid ground for appeal that comes to light only when his lawyer reviews the minutes of his plea or sentence.

We therefore agree with the Appellate Division's decision in *People v Bell* (36 AD2d 406, 408 [2d Dept 1971], *affd without op* 29 NY2d 882 [1972]), holding that a defendant who has pleaded guilty, in order to obtain a reconstruction hearing, "must set forth appealable grounds, i.e., the nature of those issues which would have been raised on appeal had the plea and sentence minutes been available.'' As the Appellate Division explained in *Bell*, in such a case the presumption of regularity of judicial proceedings is reinforced by another presumption—''that by pleading guilty a 'defendant has neither reason nor desire to prosecute an appeal' (*People* v. *Lynn*, 28 N Y 2d 196, 202)'' (*id.*). Since Hofler has not identified any appealable issues, we conclude that he is not entitled to a reconstruction hearing.

Accordingly, in each case, the order of the Appellate Division should be affirmed.

Chief Judge KAYE and Judges G.B. SMITH, CIPARICK, ROSENBLATT, GRAFFEO and READ concur.

In each case: Order affirmed.

[823 NE2d 1265, 790 NYS2d 619]

In the Matter of Madison-Oneida Board of Cooperative Educational Services, Appellant, v Richard P. Mills, as Commissioner of Education of the State of New York, et al., Respondents.

Argued November 18, 2004; decided December 21, 2004

SUMMARY

Appeal, by permission of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Third Judicial Department, entered December 31, 2003. The Appellate Division (1) reversed, on the law, a judgment of the Supreme Court, Albany County (E. Michael Kavanagh, J.), entered in a proceeding pursuant to CPLR aricle 78, which had granted the petition and annulled the determination of respondent Commissioner of Education that certain seniority protections were intended to apply to teaching assistants and the teaching assistants be reinstated with back pay and benefits, and (2) dismissed the petition.

Matter of Madison-Oneida Bd. of Coop. Educ. Servs. v Mills, 2 AD3d 1240, affirmed.

HEADNOTE

Schools — Teachers — Teaching Assistants — Seniority Protection for Layoffs

Teaching assistants (TAs) fall within the purview of Education Law § 3013 (2) for the purpose of determining layoffs according to seniority. TAs are professional educators for the purposes of the tenure track system. In order to have an internally consistent interpretation between tenure track statutes, statutes of appointment, which were amended in 1996 to include TAs, must have a parallel interpretation with statutes of abolition, including Education Law § 3013 (2), which was not so amended. The legislative history of section 3013 (2) supports the conclusion that persons hired by a board of education or a board of cooperative educational services should be laid off according to seniority. It was the due process rights of professional educators, not just those of teachers, which the legislature sought to protect by enacting the statute. If the legislature had intended to exclude TAs from the tenure track system for purposes of abolition, then there would be no protection from layoffs for TAs who gain tenure in that position. Because such protection appeared to have been contemplated in other relevant statutes, it was probable that the legislature intended to include TAs in section 3013 (2) for purposes of layoffs.

TOTAL CLIENT-SERVICE LIBRARY® REFERENCES

By the Publisher's Editorial Staff

Am Jur 2d, Schools §§ 205, 214, 219.

McKinney's, Education Law § 3013 (2).
NY Jur 2d, Schools, Universities, and Colleges §§ 260, 306.

ANNOTATION REFERENCE

See ALR Index under Teachers and Instructors.

FIND SIMILAR CASES ON WESTLAW®

Database: NY-ORCS
Query: teaching /2 assistant & lay-off

POINTS OF COUNSEL

Ferrara, Fiorenza, Larrison, Barrett & Reitz, P.C., East Syracuse (*Henry F. Sobota* and *Craig M. Atlas* of counsel), for appellant. I. A teaching assistant is not a ''teacher'' within the meaning of section 3013 (2) of the Education Law. School districts and Boards of Cooperative Educational Services are therefore not statutorily required to lay off the teaching assistants with the least overall seniority first, regardless of their qualifications in particular areas. (*Matter of Anderson v Cortland City School Dist.,* 147 Misc 2d 7, 171 AD2d 1017; *Matter of Board of Educ. of N. Tonawanda City School Dist. v Mills,* 263 AD2d 574, 94 NY2d 751; *Matter of Fink v Avon Cent. School Dist.,* 207 AD2d 973, 85 NY2d 804; *Matter of Oleksa v Board of Educ. of E. Rockaway Union Free School Dist.,* 199 AD2d 270; *Matter of Robinson v Bruni,* 193 AD2d 1072; *Matter of McCulloch v New York State Ethics Commn.,* 285 AD2d 236; *Matter of Volk v Board of Educ. of City School Dist. of Rochester,* 83 NY2d 930; *Matter of Schlick v Board of Educ. of Mamaroneck Union Free School Dist.,* 227 AD2d 407; *Matter of Board of Educ. of Beacon City School Dist. v Story,* 212 AD2d 76.) II. Teaching assistants can have tenure rights without also having the right to be laid off on the basis of seniority. (*Ricca v Board of Educ. of City School Dist. of City of N.Y.,* 47 NY2d 385; *Matter of Baer v Nyquist,* 34 NY2d 291; *Matter of Zurlo v Ambach,* 75 AD2d 662, 53 NY2d 1035; *Matter of Weimer v Board of Educ. of Smithtown Cent. School Dist., No. 1,* 74 AD2d 574; *Matter of Ryan v Ambach,* 71 AD2d 719.) III. The court need not give deference to the Commissioner of Education's interpretation of section 3013 of the Education Law. (*Kurcsics v Merchants Mut. Ins. Co.,* 49 NY2d 451; *Matter of Cario v Sobol,* 157 AD2d 172; *Matter of Gruber [New York City Dept. of Personnel—Sweeney],* 89 NY2d 225; *Matter of Bojarczuk v Mills,* 98 NY2d 663; *Matter of Board of Educ. of N. Tonawanda City School Dist. v Mills,* 263 AD2d 574, 94 NY2d 751.)

Eliot Spitzer, Attorney General, Albany (*Evelyn M. Tenenbaum, Caitlin J. Halligan, Daniel Smirlock* and *Andrea Oser* of counsel), for Richard P. Mills, respondent. I. The Commissioner of Education's interpretation of "teacher" in section 3013 (2) of the Education Law is supported by other provisions of the Education Law and by regulations and case law interpreting them. (*Matter of Board of Educ. of Beacon City School Dist. v Story,* 212 AD2d 76; *Steele v Board of Educ. of City of N.Y.,* 40 NY2d 456; *Matter of Volk v Board of Educ. of City School Dist. of Rochester,* 83 NY2d 930; *Matter of Deichman v Board of Educ. of City School Dist. of City of Buffalo,* 74 AD2d 995; *Matter of Schlick v Board of Educ. of Mamaroneck Union Free School Dist.,* 227 AD2d 407; *Matter of Connell v Board of Educ. of City School Dist. of City of Utica,* 106 AD2d 866; *Board of Educ. of Portville Cent. School v Portville Faculty Assn.,* 96 AD2d 739; *Greenspan v Dutchess County Bd. of Coop. Educ. Servs.,* 96 AD2d 1028; *Matter of Brown v Board of Educ., Morrisville-Eaton Cent. School Dist.,* 211 AD2d 887; *Matter of Castle v Board of Coop. Educ. Servs. of Putnam & Westchester Counties,* 269 AD2d 394.) II. The history of section 3013 (2) of the Education Law supports the Commissioner of Education's interpretation of the statute. (*Matter of Silver v Board of Educ.,* 46 AD2d 427; *Matter of Anderson v Cortland City School Dist.,* 147 Misc 2d 7, 171 AD2d 1017; *Matter of Robinson v Bruni,* 193 AD2d 1072; *Matter of Oleksa v Board of Educ. of E. Rockaway Union Free School Dist.,* 199 AD2d 270.) III. The Commissioner of Education's determination is supported by public policy considerations. (*Matter of Moritz v Board of Educ. of Gowanda Cent. School Dist.,* 60 AD2d 161; *Steele v Board of Educ. of City of N.Y.,* 40 NY2d 456; *Ricca v Board of Educ. of City School Dist. of City of N.Y.,* 47 NY2d 385; *Matter of Baer v Nyquist,* 34 NY2d 291.) IV. The Commissioner of Education's determination is entitled to deference. (*Town of Lysander v Hafner,* 96 NY2d 558; *Matter of Gruber [New York City Dept. of Personnel—Sweeney],* 89 NY2d 225; *Kurcsics v Merchants Mut. Ins. Co.,* 49 NY2d 451; *Matter of Davis v Mills,* 98 NY2d 120; *Steele v Board of Educ. of City of N.Y.,* 40 NY2d 456; *Matter of Board of Educ. of N. Tonawanda City School Dist. v Mills,* 263 AD2d 574.)

Kevin H. Harren, Latham, and *James R. Sandner* for Lorraine Krason and others, respondents. The Appellate Division and the Commissioner of Education correctly held that teaching assistants are teachers within the meaning of Education Law § 3013. (*Ricca v Board of Educ.,* 47 NY2d 385; *Matter of Baer v Nyquist,* 34 NY2d 291; *Steele v Board of Educ. of City of N.Y.,* 40

NY2d 456; *Matter of Connell v Board of Educ. of City School Dist. of City of Utica,* 106 AD2d 866; *Board of Educ. of Portville Cent. School v Portville Faculty Assn.,* 96 AD2d 739; *Matter of Castle v Board of Coop. Educ. Servs. of Putnam & Westchester Counties,* 269 AD2d 394; *Matter of Schlick v Board of Educ. of Mamaroneck Union Free School Dist.,* 227 AD2d 407; *Matter of Volk v Board of Educ. of City School Dist. of Rochester,* 83 NY2d 930; *Matter of Brown v Board of Educ., Morrisville-Eaton Cent. School Dist.,* 211 AD2d 887; *Matter of Deichman v Board of Educ. of City School Dist. of City of Buffalo,* 74 AD2d 995.)

Jay Worona, Latham, and *John A. Miller* for New York State School Boards Association, Inc., amicus curiae. I. The statutory scheme that comprises article 61 of the Education Law does not support treating teaching assistants as teachers for layoff purposes. (*Matter of Anderson v Cortland City School Dist.,* 147 Misc 2d 7, 171 AD2d 1017; *Matter of Volk v Board of Educ. of City School Dist. of Rochester,* 83 NY2d 930; *Steele v Board of Educ. of City of N.Y.,* 40 NY2d 456; *Matter of Schlick v Board of Educ. of Mamaroneck Union Free School Dist.,* 227 AD2d 407.) II. Requiring school districts and Boards of Cooperative Educational Services (BOCES) to lay off teaching assistants based strictly on their seniority contravenes public policy because it deprives school districts of the ability to retain the services of teaching assistants in positions where their knowledge and skills will best serve students. (*Matter of Steinberg v Steinberg,* 18 NY2d 492; *Matter of Young v Board of Educ.,* 35 NY2d 31; *Matter of Weimer v Board of Educ.,* 76 AD2d 1046; *Board of Educ. v Niagara Wheatfield Teachers Assn.,* 54 AD2d 281.)

OPINION OF THE COURT

G.B. SMITH, J.

At issue on this appeal is whether teaching assistants (TAs) fall within the purview of Education Law § 3013 (2) for the purpose of determining layoffs. We conclude that they do, and we affirm the order of the Appellate Division.

I

The Board of Cooperative Educational Services for the Madison-Oneida school districts (BOCES) laid-off nine TAs on June 1, 2001, effective June 30, 2001. The layoffs were not in accordance with the seniority system within the tenure track "teaching assistant"[1] pursuant to Education Law § 3013 (2).[2] Five of the nine TAs were senior to teaching assistants who did not receive layoff notices. Three of the nine TAs were the least senior within their respective areas and they did not appeal the layoff decisions. One person was rehired prior to the start of the 2001-2002 school year.

On September 24, 2001, the five named TAs filed a CPLR article 78 petition challenging the layoffs. Supreme Court dismissed the petition, retaining primary jurisdiction but allowing the Commissioner of Education to determine whether or not the teaching assistants were included within the purposes of Education Law § 3013 (2) and, consequently, whether the TAs should have been dismissed based on seniority.

Following Supreme Court's decision, in November 2001, the TAs appealed to the Commissioner for a determination that the TAs were teachers pursuant to Education Law § 3013 (2). In March 2002, the Commissioner rejected BOCES's arguments that the TAs were similar to vocational teachers because there were no specific educational, certification, or licensure requirements to be a TA. The Commissioner annulled BOCES's determination that the teaching assistants were not teachers, and did not have to be fired according to seniority, and reinstated TAs to full-time teaching positions with back pay and benefits, effective July 1, 2001. The Commissioner found that "teaching assistants are protected by Education Law § 3013 (2)." Further, the Commissioner determined that the plain meaning of 8 NYCRR 30.8 placed "all teaching assistants in the same special subject tenure area of teaching assistant [which] directly contradicts the argument that teaching assistants hold tenure" within a specific subject area of teaching assistant.

In July 2002, BOCES commenced an article 78 proceeding to have the Commissioner's determination annulled. In December 2002, Supreme Court annulled the Commissioner's determination, observing that Education Law §§ 3014-a and 3014-b had

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1. BOCES appealed the designation of teaching assistant as a tenure track grouping at the Appellate Division, Third Department. The Appellate Division found that teaching assistant is a tenure track designation pursuant to 8 NYCRR 30.8 (d). However, BOCES has not appealed the tenure track areas of teaching assistants to this Court.

2. Education Law § 3013 (2)—"Whenever a trustee, board of trustee[s], board of education or board of cooperative educational services abolishes a position under this chapter, the services of the teacher having the least seniority in the system within the tenure of the position abolished shall be discontinued."

been amended in 1998 to include teaching assistants and teacher aides but that Education Law § 3013 had not been so amended. The Supreme Court stated, ''An interpretation of the statute [§ 3013 (2)] to include teachers assistant [*sic*] is inconsistent with the plain wording of the statute and would serve to preempt the function of the State Legislature.''

In December 2003, Appellate Division reversed and found that:

> ''Education Law § 2510 (2), § 2585 (3) and § 3013 (2) are nearly identical statutes that provide lay-off seniority protection to tenured teachers employed by small city school districts, large city school districts and other boards of education, including boards of cooperative educational services. Each of these sections states that, when a position is abolished, 'the services of the *teacher* having the least seniority in the system within the tenure of the position abolished shall be discontinued' . . . . Significantly, we have noted that 'teacher' has different meanings in different contexts in the Education Law . . . .
>
> ''[T]he courts of this state have applied the term 'teacher' to include other professional educators in interpreting Education Law § 2510 (2), § 2585 (3) and § 3601-a (27) (a) (1)'' (2 AD3d 1240, 1241 [2003] [citations omitted]).

Further, Appellate Division determined, ''It would be anomalous to construe Education Law § 3013 (2) to deny TAs layoff seniority at the time their positions are abolished while granting them recall seniority for reinstatement to similar positions *after* their positions are abolished'' (*id.* at 1242 [emphasis in original]). This Court granted leave to appeal.

II

Pursuant to Education Law § 1950, BOCES provides occupational programs for students within a specific school district. The programs employ TAs to supplement the services of classroom teachers (*see* 8 NYCRR 80-5.6 [b] [1] [ii] [b]).[3] TAs are in tenure-based positions pursuant to parallel statutes (*see*

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3. 8 NYCRR 80-5.6 (b) (1) (ii) (b) (in pertinent part)—''Teaching assistants who hold the pre-professional teaching assistant certificate shall have the same scope of practice as other teaching assistants, in accordance with the

(n. cont'd)

Education Law §§ 3012,[4] 3014[5]). Their credential and licensure requirements are outlined in 8 NYCRR 80-5.6.

The five laid-off TAs were in the areas of special education, career exploration, community based occupation counseling, and pre-kindergarten. Effective June 30, 2001, the five teaching assistants on this appeal were laid off due to declining enrollment in their respective programs. The TAs were not laid off according to seniority but rather based upon the needs of BOCES. BOCES argues that teaching assistants are not teachers within the meaning of Education Law § 3013 (2), and thus, are not protected by the same statutory tenure requirements. Further, BOCES argues that teaching assistants are different from other professional educators and that TAs can still have tenure protection without inclusion in section 3013 (2).

The TAs counter that they are teachers within the meaning of Education Law § 3013 (2) and § 2510 (2), and argue that the Commissioner of Education of New York State (the Commissioner) should be given deference because of ''the special knowl-

duties prescribed in clause (a) of this subparagraph. Within that scope of practice, teaching assistants holding a pre-professional teaching assistant certificate may, at the discretion of the employing district, and while under the general supervision of a teacher, perform such duties as . . . .''

4. Education Law § 3012 (1) (a) (in pertinent part)—''Teachers and all other members of the teaching staff of school districts, including common school districts and/or school districts employing fewer than eight teachers, other than city school districts, shall be appointed by the board of education, or the trustees of common school districts, upon the recommendation of the superintendent of schools, for a probationary period of three years, except that in the case of the teacher who has rendered satisfactory service as a regular substitute for a period of two years or as a seasonally licensed per session teacher of swimming in day schools who has served in that capacity for a period of two years and has been appointed to teach the same subject in day schools, on an annual salary, the probationary period shall be limited to one year; provided, however, that in the case of a teacher who has been appointed on tenure in another school district within the state, the school district where currently employed, or a board of cooperative educational services . . . .''

5. Education Law § 3014 (1) (in pertinent part)—''Administrative assistants, supervisors, teachers and all other members of the teaching and supervising staff of the board of cooperative educational services shall be appointed by a majority vote of the board of cooperative educational services upon the recommendation of the district superintendent of schools for a probationary period of not to exceed three years; provided, however, that in the case of a teacher who has been appointed on tenure in a school district within the state, the board of cooperative educational services where currently employed, or another board of cooperative educational services, and who was not dismissed from such district or board as a result of charges brought pursuant to subdivision one of section three thousand twenty-a of this chapter, the probationary period shall not exceed two years.''

edge and expertise of the Commissioner.'' The TAs argue for a broad definition of the word ''teacher'' which they support with case law (*see Matter of Volk v Board of Educ. of City School Dist. of Rochester*, 83 NY2d 930, 932 [1994] [tenure statute, Education Law § 2585 (3), term teacher applied to school administrator/supervisor]; *Steele v Board of Educ. of City of N.Y.*, 40 NY2d 456, 463 [1976] [teacher applied to elementary school guidance counselors under section 2585 (3)]).

First, as noted by the Commissioner, the duties of a teaching assistant are to aid those teachers who are trained to teach specific subjects to students. Pursuant to the Rules of the Board of Regents, professional educators may serve in the ''special subject tenure area of teaching assistant'' (8 NYCRR 30.8 [d]). Thus, all teaching assistants are part of the same subject area.

In order to have an internally consistent interpretation between tenure track statutes, statutes of appointment (§ 3012 [1] [a]; § 3014 [1]) must have a parallel interpretation with statutes of abolition (§§ 2510,[6] 3013 [2]; *see also* Education Law §§ 3020, 3020-a [pretermination procedures]). The legislative history of section 3013 (2) supports the conclusion that persons hired by a board of education or a BOCES should be laid off according to seniority. Thus, for layoff purposes, TAs fall within the ambit of section 3013 (2). Teaching assistants, which is a separate tenure area from teachers, should not have their abolition rights judged by whether or not they meet the qualifications and credentials of teachers (*see* 8 NYCRR 80-5.6 [b]). Their separate credentials have been accorded tenure, and the TAs should have due process rights within that system. It is the due process rights of professional educators, not just those of teachers, which the Legislature sought to protect in the abolition of position or office pursuant to section 3013 (2).

III

At times deference is accorded to an administrative agency because of its expertise in a given area (*see Kurcsics v Merchants Mut. Ins. Co.*, 49 NY2d 451, 459 [1980];[7] *Matter of Davis v Mills*, 98 NY2d 120, 125 [2002] [''It is for the Commissioner in the

6. Education Law § 2510 (2)—''Whenever a board of education abolishes a position under this chapter, the services of the teacher having the least seniority in the system within the tenure of the position abolished shall be discontinued.''

7. *See* 49 NY2d at 459 (''Where the interpretation of a statute or its application involves knowledge and understanding of underlying operational

(n. cont'd)

first instance and not for the courts, to establish and apply criteria to govern the selection and retention of qualified educators and staff'']; *Matter of Board of Educ. of City School Dist. of City of Oneida v Nyquist*, 45 NY2d 975, 976 [1978] [finding that dissent's reasoning at the Appellate Division, that the Commissioner's determination that a teacher had acquired tenure was due deference, was correct]). However, in the instant case, this Court is faced with the interpretation of statutes and pure questions of law and no deference is accorded the agency's determination (*see Kurcsics*, 49 NY2d at 459;[8] *Matter of Gruber [New York City Dept. of Personnel—Sweeney]*, 89 NY2d 225, 231 [1996]). Teaching assistants are professional educators for the purposes of the tenure track system as outlined in 8 NYCRR part 30 (*see* 8 NYCRR 30.1 [e]; 30.8 [d]). It makes no difference whether the teaching assistant is part of the board of education or board of cooperative educational services (*see id.*). Further, for purposes of abolishing positions, the term ''teacher'' includes teaching assistants.

Education Law § 3012 (1) (a) and § 3014 (1), which are tenure sections of the Education Law, address appointments of ''[t]eachers and all other members of the teaching'' staff (*see* Education Law § 3012 [1] [a]; § 3014 [1]). The laws are not intended to allow distinctions which only benefit the school system, and ultimately harm the teachers (*see Ricca v Board of Educ. of City School Dist. of City of N.Y.*, 47 NY2d 385, 391 [1979] [''The tenure system is not an arbitrary mechanism designed to allow a school board to readily evade its mandate by the creation of technical obstacles on a qualified teacher's trail to tenure''], citing *Matter of Baer v Nyquist,* 34 NY2d 291 [1974]).

Education Law § 3013 (2) and § 2510 (2) address the abolition of a position or layoff (*see* Education Law § 3013 [2]; § 2510 [2]). In both statutes, ''the services of the teacher having the least seniority in the system within the tenure of the position abolished shall be discontinued.'' The phrase ''services of the

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practices or entails an evaluation of factual data and inferences to be drawn therefrom, the courts regularly defer to the governmental agency charged with the responsibility for administration of the statute. If its interpretation is not irrational or unreasonable, it will be upheld.'')

8. *See id.* (''Where, however, the question is one of pure statutory reading and analysis, dependent only on accurate apprehension of legislative intent, there is little basis to rely on any special competence or expertise of the administrative agency and its interpretive regulations are therefore to be accorded much less weight.'')

teacher'' is to be distinguished from services of supervisory and administrative staff, rather than from those of a teaching assistant or teacher aide (*see* 8 NYCRR part 80). If in fact it was the intent of the Legislature to exclude teaching assistants from the tenure track system for purposes of abolition, then there would be no protection from layoffs for teaching assistants who gain tenure in that position (*see Steele*, 40 NY2d at 463 [Legislature created various tenure areas under 8 NYCRR part 30]). Because such protection appears to have been contemplated in other relevant statutes, it is probable that the Legislature intended to include teaching assistants in Education Law § 3013 (2) for purposes of layoffs (*see* 1992 NY Assembly Bill A 11062-A;[9] *see also* 1997 NY Senate Bill S 3426-C [under sections 3014-a and 3014-b, extending benefit in rehiring not just to teachers but to teaching assistants]).

IV

Section IV of the Personnel Policy on Tenure addresses seniority for teachers, teaching assistants, coordinator, and director, etc. The Policy states in pertinent part: ''Seniority for purposes of abolition of positions shall be determined by length of service within a tenure area.'' From its Personnel Policy, the Madison-Oneida BOCES contemplated inclusion of teaching assistants into the tenure system and intended that the system be based on a formula for seniority (*see Steele*, 40 NY2d at 463 [Court upholds seniority formula applied to elementary school guidance counselors]). BOCES, in the instant action, appears to be going against its own policies for the purposes of dismissing teaching assistants.[10]

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9. ''The bill aims to prevent the use of favoritism by a school board or BOCES in the retention of staff and to protect tenured personnel by clarifying the process by which staff are dismissed and subsequently rehired. In addition, the bill prevents school boards from abolishing a position as means for disposing of unwanted tenured personnel, when in fact, no savings in cost or increase in efficiency is expected to be realized.

''Identical language appears in Article 51 of the Education Law, which governs small city school districts. However, the courts and the Commissioner of Education have interpreted this provision to apply to school districts and boards of cooperative educational services generally. This bill will clarify that these provisions apply to all school districts.'' (Budget Report on Bills, Bill Jacket, L 1992, ch 737.)

10. ''IV. Seniority

(n. cont'd)

V

Previous case law supports the use of the term ''teacher'' for positions other than an actual classroom teacher (*see Matter of Volk*, 83 NY2d at 932 [applying Education Law § 2585 (3)[11] to school administrator/supervisor requiring that the ''teacher having the least seniority in the system within the tenure of the position abolished shall be discontinued'']; *Steele*, 40 NY2d at 463 [applying Education Law § 2585 (3) to elementary school guidance counselors]). Thus, applying the term ''teacher'' to teaching assistants would not create precedent in terms of using the term for persons other than teachers. In fact, contrary to BOCES's view, applying the term teacher to a TA would be a logical extension of the term.

BOCES's hands will not be tied because they are unable to abolish positions in areas where TAs are no longer needed[12] (*see Matter of Davis*, 98 NY2d at 124-125 [former school psychologist not entitled to position as elementary school counselor which required different certifications]; *Matter of Young v Board of Educ. of Cent. School Dist. No. 6*, 35 NY2d 31, 34 [1974] [no violation of tenure system when position of attendance teacher was abolished and duties transferred to those of assistant principal and principal]; *Matter of Cohoes City School Dist. v Cohoes Teachers Assn.*, 40 NY2d 774, 777 [1976] [school board required to exercise authority in making tenure decisions]).

> ''Seniority for purposes of abolition of positions shall be determined by length of service within a tenure area. Any unpaid leave time shall not be included in determining length of service. In instances where length of service is identical, seniority shall be determined as follows:
>
> ''1. By the date of Board appointment, where individuals are appointed at different Board meetings, then if equal;
>
> ''2. If appointed by different Board resolutions at the same Board meeting, by order of appearance of the resolutions in the Board minutes, then if equal;
>
> ''3. If appointed by the same Board resolution, by the order of appearance of names in such resolution.''

11. Education Law § 2585 (3)—''Whenever a board of education abolishes a position under this chapter, the services of the teacher having the least seniority in the system within the tenure of the position abolished shall be discontinued.''

12. Amicus curiae, New York State School Boards Association, Inc., argues that applying section 3013 (2) to teaching assistants circumscribes the ability of school districts to consider knowledge and skill when circumstances necessitate laying off teaching assistants because it causes districts to shuffle teaching assistants around based on seniority, rather than based on their knowledge and skills.

However, applying Education Law § 3013 (2) to teaching assistants will prevent BOCES from acting in an arbitrary manner in abolishing positions within the subtenure area of teaching assistant (*see Matter of Baer*, 34 NY2d at 295, *explained by Matter of New York City Dept. of Envtl. Protection v New York City Civ. Serv. Commn.,* 78 NY2d 318 [1991] [''Radical restructuring of tenure areas, compatible with the purpose of the tenure statutes, should not be free of controlling regulations or express standards propounded by the Board of Regents or enacted by the Legislature'']).

Accordingly, the order of the Appellate Division should be affirmed, with costs.

Chief Judge KAYE and Judges CIPARICK, ROSENBLATT, GRAFFEO, READ and R.S. SMITH concur.

Order affirmed, with costs.

[823 NE2d 1271, 790 NYS2d 625]

Anne Indemini, Appellant, v Beth Israel Medical Center, Respondent.

Argued January 5, 2005; decided February 10, 2005

SUMMARY

Appeal, by permission of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the First Judicial Department, entered October 23, 2003. The Appellate Division affirmed an order of the Supreme Court, New York County (Martin Schoenfeld, J.), which had granted defendant's motion pursuant to CPLR 3211 to dismiss the complaint.

Indemini v Beth Israel Med. Ctr., 309 AD2d 651, affirmed.

HEADNOTE

Physicians and Surgeons — Hospital Privileges — Termination from Residency Program — Failure to Exhaust Administrative Remedies

Plaintiff, a medical resident terminated by defendant hospital because of her disciplinary history, and an incident of inappropriate and disruptive conduct, insubordination, poor judgment, and poor performance while on probation, was required to exhaust her administrative remedies under Public Health Law § 2801-b before bringing a breach of contract action against defendant. Although the statute was originally enacted to create an avenue of redress for physicians whom hospitals discriminated against or unjustly denied staff membership or professional privileges, the Legislature did not intend that residents, who perform medical duties under the direction of licensed physicians, would have greater access to the courts than physicians. Section 2801-b applies to plaintiff because a medical resident is a physician, and defendant's adverse decision regarding plaintiff's fitness to continue in defendant's residency program terminated the professional privileges that had been extended to her. A medical resident challenging his or her termination from a hospital residency program cannot avoid the grievance process set out in section 2801-b simply by asserting a breach of contract claim.

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By the Publisher's Editorial Staff

Am Jur 2d, Hospitals and Asylums §§ 17, 22, 24.
McKinney's, Public Health Law § 2801–b.
NY Jur 2d, Hospitals and Related Health Care Facilities §§ 23, 24.

ANNOTATION REFERENCE

See ALR Index under Administrative Law; Hospitals; Physicians and Surgeons.

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Query: medical /2 resident /p terminat! suspen! & exhaust! /2 administrative

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POINTS OF COUNSEL

Carabba Locke LLP, New York City (*Steven I. Locke* of counsel), for appellant. I. As a medical resident, Dr. Indemini is entitled to bring her breach of contract claims to court in the first instance without Public Health Council review. (*Guggenheimer v Ginzburg,* 43 NY2d 268; *Foley v D'Agostino,* 21 AD2d 60; *Grand Realty Co. v City of White Plains,* 125 AD2d 639; *Sanders v Winship,* 57 NY2d 391; *Datlof v Turetsky,* 111 AD2d 364; *Antonoff v Maimonides Med. Ctr.,* 251 AD2d 522; *Jabbour v Albany Med. Ctr.,* 237 AD2d 787; *Mihalakis v Cabrini Med. Ctr. [CMC],* 151 AD2d 345; *Matter of Salour v Glass,* 180 Misc 2d 982; *Easaw v St. Barnabas Hosp.,* 142 Misc 2d 480.) II. Dr. Indemini's claims are also not barred at the pleading stage because an educational institution's termination decisions may be entitled to some modicum of deference. (*Matter of Olsson v Board of Higher Educ.,* 49 NY2d 408; *Antonoff v Maimonides Med. Ctr.,* 251 AD2d 522; *Mihalakis v Cabrini Med. Ctr. [CMC],* 151 AD2d 345.)

Kornstein Veisz Wexler & Pollard, LLP, New York City (*Mark Platt* and *Marvin Wexler* of counsel), for respondent. I. The courts below correctly held that appellant's failure to exhaust her Public Health Law remedies deprived the court of subject matter jurisdiction over appellant's claims. (*Gelbard v Genesee Hosp.,* 87 NY2d 691; *Matter of Cohoes Mem. Hosp. v Department of Health,* 48 NY2d 583; *Guibor v Manhattan Eye, Ear & Throat Hosp.,* 46 NY2d 736; *Solomon v Beth Israel Med. Ctr.,* 248 AD2d 118, 92 NY2d 874; *Antonoff v Maimonides Med. Ctr. [CMC],* 251 AD2d 522; *Jabbour v Albany Med. Ctr.,* 237 AD2d 787; *Matter of Salour v Glass,* 180 Misc 2d 982; *Bhard-Waj v United Health Servs., Hosps.,* 303 AD2d 824; *Matter of Ordway,* 196 NY 95; *Interfaith Med. Ctr. v Sabiston,* 136 AD2d 238.) II. Because New York common law requires courts in this context to defer, the trial court properly dismissed appellant's claims for this reason as well. (*Moallem v Jamaica Hosp.,* 264 AD2d 621; *Harris v Eisenberg,* 199 AD2d 305; *Matter of Olsson v Board of Higher Educ.,* 49 NY2d 408; *Matter of Susan M. v New York Law School,* 76 NY2d 241; *Matter of Patti Ann H. v New York Med. Coll.,* 58 NY2d 734; *Moukarzel v Montefiore Med. Ctr.,* 235 AD2d 239;

Board of Curators of Univ. of Mo. v Horowitz, 435 US 78; *Antonoff v Maimonides Med. Ctr.,* 251 AD2d 522; *Mihalakis v Cabrini Med. Ctr. [CMC],* 151 AD2d 345.) III. Because the indisputable record of the review proceedings shows that appellant received a procedurally fair hearing and that there was some reasonable basis for the hospital's decision, the federal Health Care Quality Improvement Act also bars appellant's claims. (*Bryan v James E. Holmes Regional Med. Ctr.,* 33 F3d 1318, 514 US 1019; *Gelbard v Genesee Hosp.,* 255 AD2d 882; *Mathews v Lancaster Gen. Hosp.,* 87 F3d 624; *Austin v McNamara,* 979 F2d 728; *Smith v Ricks,* 31 F3d 1478; *Monroe v AMI Hosps. of Tex., Inc.,* 877 F Supp 1022; *Imperial v Suburban Hosp. Assn., Inc.,* 37 F3d 1026.)

Wilson, Elser, Moskowitz, Edelman & Dicker LLP, Albany (*Darrell E. Jeffers* and *Jason M. LaFlam* of counsel), for Healthcare Association of New York State, amicus curiae. I. Prior to seeking judicial review for the termination of hospital privileges, a physician participating in a residency program must first seek review by the Public Health Council. (*Guibor v Manhattan Eye, Ear & Throat Hosp.,* 46 NY2d 736; *Gelbard v Genesee Hosp.,* 211 AD2d 159, 87 NY2d 691; *Antonoff v Maimonides Med. Ctr.,* 251 AD2d 522; *Jabbour v Albany Med. Ctr.,* 237 AD2d 787; *Mihalakis v Cabrini Med. Ctr. [CMC],* 151 AD2d 345; *Easaw v St. Barnabas Hosp.,* 142 Misc 2d 480.) II. Academic teaching hospitals should be afforded a high level of deference for adverse actions taken against physicians participating in residency programs. (*Fried v Straussman,* 41 NY2d 376; *Maltz v New York Univ. Med. Ctr.,* 121 AD2d 323; *Matter of Susan M. v New York Law School,* 76 NY2d 241; *Auguste v New York Hosp. Med. Ctr.,* 260 AD2d 589; *Moukarzel v Montefiore Med. Ctr.,* 235 AD2d 239.)

OPINION OF THE COURT

READ, J.

On December 7, 1999, the Department of Emergency Medicine at defendant Beth Israel Medical Center terminated plaintiff Anne Indemini from her position as a second-year medical resident. The Department took this action "[b]ased on [plaintiff's] disciplinary history, and on [an] incident of inappropriate and disruptive conduct, insubordination, poor judgement and poor performance while on probation." Plaintiff grieved the Department's decision to the Medical Center's House Staff Grievance Committee, which determined on May 19, 2000, that "the evidence produced by the Department fully justifie[d]'' the termination, and that there was ''no evidence to support the conclusion that the reasons given by the Department for its actions were pretextual,'' as plaintiff had argued. On July 5, 2000, the Medical Center's Review Committee recommended that the Medical Center's Board of Trustees uphold plaintiff's termination; on July 26, 2000, the Board voted unanimously to accept the Review Committee's recommendation.

On April 20, 2001, plaintiff commenced this breach of contract action, alleging that the Medical Center had wrongfully terminated her residency because of her advocacy for the rights of staff members and her union organizing activities. Plaintiff sought declaratory relief; reinstatement and/or future damages; compensatory damages; and expurgation of the Medical Center's records to delete any references to personnel actions taken against her. Upon the Medical Center's motion, Supreme Court dismissed the complaint for lack of subject matter jurisdiction because plaintiff had not exhausted her administrative remedies under article 28 of the Public Health Law. The Appellate Division affirmed (309 AD2d 651 [1st Dept 2003]), as do we.

Section 2801-b (1) of the Public Health Law provides in relevant part that

> ''[i]t shall be an improper practice for the governing body of a hospital to refuse to act upon an application for staff membership or professional privileges or to deny or withhold from a physician . . . staff membership or professional privileges in a hospital, or to exclude or expel a physician . . . from staff membership in a hospital or curtail, terminate or diminish in any way a physician's . . . professional privileges in a hospital, without stating the reasons therefor, or if the reasons stated are unrelated to standards of patient care, patient welfare, the objectives of the institution or the character or competency of the applicant.''

A party aggrieved by an improper practice may file a complaint with the Public Health Council (PHC) (Public Health Law § 2801-b [2]), which must promptly conduct a confidential investigation (Public Health Law § 2801-b [3]). The PHC is composed of the Commissioner of Health and 14 members appointed by the Governor with the advice and consent of the Senate (Public Health Law § 220). If the PHC determines that cause exists to credit the complaint's allegations, it must promptly so advise the governing body of the hospital against which the complaint was lodged, and direct the hospital to review its actions (Public Health Law § 2801-b [3]). The provisions of section 2801-b do not ''impair or affect any other right or remedy'' that a physician may have (Public Health Law § 2801-b [4]). Supreme Court may enjoin violations or threatened violations of article 28, and any finding made by the PHC or the Commissioner or a hearing officer ''shall be prima facie evidence of the fact or facts found therein'' (Public Health Law § 2801-c).

By its terms, section 2801-b applies to plaintiff because she is a ''physician'' who has been denied ''professional privileges'' by the Medical Center. A medical resident is undoubtedly a physician (*see* Merriam-Webster's Collegiate Dictionary 996 [10th ed 1998] [defining ''resident'' as, among other things, ''a physician serving a residency'']). Further, the Medical Center's adverse decision regarding plaintiff's fitness to continue in its residency program ''curtail[s], terminate[s] or diminish[es]'' the ''professional privileges'' extended to her by virtue of the Medical Center's postgraduate medical education program in emergency medicine and/or the Resident Agreement.

Public Health Law § 2801-b was originally enacted to create an avenue of redress for physicians whom hospitals discriminated against or unjustly denied staff membership or professional privileges; however, as Supreme Court below observed, ''the statute gives no indication that the Legislature intended Residents, who perform medical duties under the direction of licensed physicians, to have greater access to the courts than physicians.'' Thus, reading section 2801-b to exclude from its reach those physicians who are residents is unsupported by the statute's language and disserves the ''dual purpose'' of threshold PHC review—to ''allow[ ] an expert body to initially review the physician's complaint and [ ] promot[e] prelitigation resolution'' (*Gelbard v Genesee Hosp.*, 87 NY2d 691, 696 [1996]; *see also Mason v Central Suffolk Hosp.*, 3 NY3d 343 [2004]).

Plaintiff argues that PHC review would be redundant in her case because she has already exhausted the internal grievance procedure that the Accreditation Council for Graduate Medical Education mandates teaching hospitals to follow. The medical staff privileges of the plaintiff physician in *Gelbard*, however, also were terminated only after he had exhausted the defendant hospital's internal hearing and review procedure. Article 28 provides for review by a government panel of medical professionals having no connection whatsoever to the hospital whose actions are being questioned. The availability of this impartial forum ''with vast experience and unparalleled expertise in these cases'' (*Gelbard*, 87 NY2d at 697) not only affords a terminated physician an additional level of professional scrutiny, but also serves to protect the hospital by eliminating any hint of institutional bias. As we observed in *Matter of Cohoes Mem. Hosp. v Department of Health of State of N.Y.* (48 NY2d 583, 589 [1979]):

> ''[T]he legislature, by enacting section 2801-b of the Public Health Law, intended to provide the physician and the hospital with a professionally competent forum in which to resolve their disputes in an effort to avoid litigation, if possible. . . . [The PHC] us[es] its professional expertise to identify and discourage groundless claims, to mediate and to conciliate disputes between health-care professionals, and to offer the court some aid in resolving such disputes, should the parties fail to come to an agreement on their own.''

Plaintiff also protests that the Appellate Divisions are split over whether an aggrieved resident must exhaust administrative remedies under section 2801-b, pointing to the Second Department's decision in *Antonoff v Maimonides Med. Ctr.* (251 AD2d 522 [1998] [plaintiff resident who claimed that he was coerced into resigning after being accused of sexually harassing a patient alleged breach of contract sufficiently to withstand motion to dismiss]), and the Third Department's decision in *Jabbour v Albany Med. Ctr.* (237 AD2d 787 [1997] [male plaintiff resident terminated for allegedly conducting an inappropriate medical examination of a female patient raised a material issue of fact sufficient to defeat summary judgment on his cause of action for breach of contract]).

Both of these cases, however, involved a resident's termination based solely on allegations of sexual misconduct; neither the Second nor the Third Department considered, much less decided, whether section 2801-b applies in this context because the issue was not raised. They certainly did not decide that section 2801-b is inapplicable to those physicians who are residents. In our view, a medical resident's ''proper recourse for challenging [ ] termination from [a hospital] residency program is the grievance process set out in Public Health Law § 2801-b, which cannot be avoided 'simply by asserting a breach of contract claim' " (*see Solomon v Beth Israel Med. Ctr.*, 248 AD2d 118 [1st Dept 1998], *lv denied* 92 NY2d 874 [1998], quoting *Gelbard* at 697). Whether there is an exemption from PHC review when a physician's staff membership or professional privileges are denied, curtailed or terminated solely because of alleged sexual harassment or misconduct directed at a patient is another question for another day.

Accordingly, the order of the Appellate Division should be affirmed, with costs.

Chief Judge KAYE and Judges G.B. SMITH, CIPARICK, ROSENBLATT and GRAFFEO concur; Judge R.S. SMITH taking no part.

Order affirmed, with costs.

[823 NE2d 1274, 790 NYS2d 628]

THE PEOPLE OF THE STATE OF NEW YORK, Respondent, v ARIEL NAZARIO, Appellant.

Argued January 13, 2005; decided February 10, 2005

SUMMARY

APPEAL, by permission of the Chief Judge of the Court of Appeals, from an order of the Supreme Court in the First Judicial Department, entered February 19, 2004. The Appellate Division affirmed a judgment of the Supreme Court, New York County (Budd G. Goodman, J.), which had convicted defendant, upon a jury verdict, of criminal sale of a controlled substance in the third degree.

People v Nazario, 4 AD3d 183, reversed.

HEADNOTE

Crimes — Right to Public Trial — Closure of Courtroom

In a prosecution for criminal sale of a controlled substance arising out of defendant's alleged sale of heroin to an undercover officer, the trial court, having closed the courtroom to the public with the exception of defendant's family members during the testimony of two undercover officers, should have admitted defendant's drug counselor into the courtroom at defendant's request. Where a defendant has shown that there is a special relationship between a proposed spectator and the defendant that enables the proposed spectator to give the defendant the kind of moral and emotional support that might be expected from a family member, the trial court should admit that spectator to an otherwise closed courtroom unless the prosecution shows a specific reason for his or her exclusion. Defendant's identification of the person he wished to have present in the courtroom as his drug counselor was a prima facie showing of a significant personal relationship, and provided a basis for inferring that the drug counselor could give the sort of moral and emotional support in the courtroom that is normally given by family members. To simply exclude the drug counselor without any inquiry deprived defendant of his right to a public trial.

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AM JUR 2d, Criminal Law §§ 1058, 1062, 1066.

CARMODY-WAIT 2d, Criminal Procedure §§ 172:2765, 172:2785–172:2788.

LAFAVE, ET AL., CRIMINAL PROCEDURE (3d ed) § 24.1.

NY JUR 2d, Criminal Law §§ 2207–2213, 2217.

ANNOTATION REFERENCE

Exclusion of public from state criminal trial to preserve safety or confidentiality of undercover police officer witness. 100 ALR5th 171.

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POINTS OF COUNSEL

Center for Appellate Litigation, New York City (*Robert S. Dean* of counsel), for appellant. The trial court deprived appellant of his right to a public trial when it closed the courtroom to appellant's drug counselor during the testimony of the undercover officers, despite the absence of any showing that the counselor's presence would jeopardize the undercovers' safety. (*People v Clemons,* 78 NY2d 48; *People v Jones,* 47 NY2d 409, 444 US 946; *People v Hinton,* 31 NY2d 71, 410 US 911; *Waller v Georgia,* 467 US 39; *People v Kin Kan,* 78 NY2d 54; *People v Martinez,* 82 NY2d 436; *People v Gutierez,* 86 NY2d 817; *People v Nieves,* 90 NY2d 426; *People v Ramos,* 90 NY2d 490; *In re Oliver,* 333 US 257.)

Robert M. Morgenthau, District Attorney, New York City (*Heather Pearson* and *Susan Axelrod* of counsel), for respondent. Defendant's complaint about the trial court's exclusion of defendant's drug counselor from the courtroom during the testimony of two undercover police detectives is unpreserved and is, in any event, without merit. (*People v Hinton,* 31 NY2d 71; *People v Gray,* 86 NY2d 10; *People v Kello,* 96 NY2d 740; *People v Martin,* 50 NY2d 1029; *In re Oliver,* 333 US 257; *People v Jelke,* 308 NY 56; *People v Martinez,* 82 NY2d 436; *People v Jones,* 96 NY2d 213; *People v Ramos,* 90 NY2d 490, 522 US 1002; *Waller v Georgia,* 467 US 39.)

OPINION OF THE COURT

R.S. SMITH, J.

It is well established that a criminal trial must normally be open to the public, but that the courtroom may be closed in some situations when the trial court, in its discretion, decides that closing it is necessary. It is also well established that, when a trial court decides to close a courtroom, it should ordinarily make an exception for members of the defendant's family. This case requires us to consider whether and when people who have a close relationship with the defendant but are not family members should also be made exceptions to an order excluding the general public.

We conclude that, where the defendant has shown that there is a special relationship between a proposed spectator and the defendant of a kind that enables the proposed spectator to give the defendant the kind of moral and emotional support that might be expected from a family member, the trial court should admit that spectator to an otherwise closed courtroom unless the prosecution shows a specific reason for his or her exclusion. Applying that rule to this case, we conclude that defendant's drug counselor should have been admitted to the courtroom, and we therefore reverse defendant's conviction.

Facts and Procedural History

This is a buy and bust case, in which defendant was convicted of selling two bags of heroin to an undercover officer. The officer who purchased the heroin and another undercover who shadowed him as his ''ghost'' were called as witnesses. The prosecution moved pursuant to *People v Hinton* (31 NY2d 71 [1972]) to close the courtroom during the testimony of both officers on the ground that closure was necessary to protect their safety. After hearings, Supreme Court granted the *Hinton* motions as to both officers. Defendant does not challenge those rulings.

After each hearing, defendant asked that the closure of the courtroom be as narrow as possible, and specifically asked that defendant's brother and his drug counselor be allowed to attend. Supreme Court admitted the brother, but excluded the drug counselor, commenting: ''I don't see any necessity for him to come here, he knows a lot of people. There is no reason he has to come to the courtroom, he's not a member of the family.''

Defendant appealed from his conviction on the ground that he was deprived of his right to a public trial. The Appellate Division affirmed. We now reverse.

Discussion

The applicable general rule is stated in *Waller v Georgia* (467 US 39, 48 [1984]): in exceptional cases a courtroom may be closed to the general public to protect ''an overriding interest,'' but ''the closure must be no broader than necessary to protect that interest.'' A number of our cases applying this rule establish that an order of closure that does not make an exception for family members will be considered overbroad, unless the prosecution can show specific reasons why the family members must be excluded (*People v Kin Kan*, 78 NY2d 54, 58-59 [1991] [exclusion of defendant's family overbroad under *Waller*]; *People v Gutierez*, 86 NY2d 817 [1995] [exclusion of wife and children violated defendant's right to a public trial]). In *People v Nieves* (90 NY2d 426, 430 [1997]), we said:

> ''Where . . . the trial court is aware that the defendant's relatives have been attending the proceedings or that the defendant would like to have certain family members present, exclusion of those individuals must be necessary to protect the interest advanced by the People in support of closure'' (citations omitted).

We have not previously discussed when non-family members should be exceptions to a general order of exclusion, except that we have held that a defendant's ''girlfriend''—for these purposes, the equivalent of a family member—should have been admitted (*People v Garcia*, 95 NY2d 946, 947 [2000]). The First and Second Departments of the Appellate Division have considered the issue of non-family members and have taken contrasting approaches. The First Department held in *People v DeJesus* (305 AD2d 170, 171 [1st Dept 2003]) that the relationship between the defendant and a ''family friend'' was ''too remote to warrant the 'heightened showing' . . . that is required when actual family members are excluded from a criminal trial pursuant to a limited closure order.'' In the present case, the First Department reached a similar conclusion about defendant's drug counselor. The Second Department, however, held in *People v Heslop* (307 AD2d 975 [2d Dept 2003]) that, where defendant had requested that ''certain . . . friends'' be present, the burden was on the prosecution to show that their presence would be a threat to the safety of the undercover officer. The approach we approve is closer to that of the First Department, though we conclude that the First Department erred in this case.

Defendant argues that, as *Heslop* appears to hold, a mere request by a defendant to have a ''friend'' or other identified person enter the courtroom is enough to shift to the prosecution the burden of proving that that person's presence would be dangerous. We reject this argument. Information about the defendant's ''friends'' is much more readily available to the defendant than to the prosecution, and we are concerned that the too-ready admission to closed courtrooms of people identified as no more than ‘‘friends’’ could make possible the intimidation of witnesses, or even retaliation against them. Once the prosecution has met the burden of showing that a courtroom must be closed to the general public in order to protect a witness’s safety, the burden should shift to the defendant seeking an exception to the closure to show that a proposed spectator is linked to him by some tie of more significance than ordinary friendship.

Where a spectator’s presence really is important, the burden we have placed on defendant should not be difficult to meet, and indeed we have concluded that it was met in this case. Defendant identified the person he wished to have present in the courtroom as his drug counselor. This was a prima facie showing of a significant personal relationship, and provided a basis for inferring that the drug counselor could give the sort of moral and emotional support in the courtroom that is normally given by family members. In another case, another defendant might be permitted, for similar reasons, to obtain entrance to the courtroom for his or her psychiatrist or a member of the clergy.

Of course, in this case Supreme Court was not required to accept defendant’s terse description of the proposed spectator at face value. Either the judge or prosecutor could have made reasonable inquiries, for example, ‘‘How long has he been his drug counselor?’’ or ‘‘Can you tell me more about the relationship?’’ Simply to exclude the drug counselor without any inquiry, however, as Supreme Court did here, deprived defendant of his right to a public trial.

Accordingly, the order of the Appellate Division should be reversed and a new trial ordered.

Chief Judge KAYE and Judges G.B. SMITH, CIPARICK, ROSENBLATT, GRAFFEO and READ concur.

Order reversed, etc.

[824 NE2d 898, 791 NYS2d 458]

GEORGE E. PATAKI, as Governor of the State of New York, Respondent, v NEW YORK STATE ASSEMBLY et al., Appellants.

SHELDON SILVER, as Member and Speaker of the New York State Assembly, et al., Appellants, v GEORGE E. PATAKI, as Governor of the State of New York, Respondent.

Argued November 16, 2004; decided December 16, 2004

SUMMARY

APPEAL, in the first above-entitled action, on constitutional grounds, from an order of the Appellate Division of the Supreme Court in the Third Judicial Department, entered April 22, 2004. The Appellate Division, with two Justices dissenting, affirmed a judgment of the Supreme Court, Albany County (Bernard J. Malone, Jr., J.; op 190 Misc 2d 716), which had granted plaintiff summary judgment declaring that the actions of the Assembly and Senate defendants in enacting the 46 budget bills on August 2, 2001 and August 3, 2001 (other than the Legislative and Judiciary Budget Bill) were unconstitutional in violation of NY Constitution article VII, and denied defendants' cross motions for summary judgment.

APPEAL, in the second above-entitled action, on constitutional grounds, from an order of the Appellate Division of the Supreme Court in the First Judicial Department, entered December 11, 2003. The Appellate Division affirmed an amended judgment of the Supreme Court, New York County (Edward H. Lehner, J.; op 192 Misc 2d 117), which had denied plaintiff Sheldon Silver's motion for summary judgment, granted defendant's motion for summary judgment, and adjudged that certain 1998 legislative amendments to the Governor's nonappropriation bills were unconstitutionally enacted and therefore void.

Pataki v New York State Assembly, 7 AD3d 74, affirmed.

Silver v Pataki, 3 AD3d 101, affirmed.

HEADNOTES

State — Budget — Power of Legislature to Alter Governor's Budget Bills

1. The 1998 legislative amendments to the Governor's nonappropriation budget bills, which altered the purposes for and conditions upon which the appropriated funds could be spent, unconstitutionally altered the Governor's appropriation bills in violation of NY Constitution, art VII, § 4. The effect of the Legislature's amendments was to amend language originally proposed by the

Governor in his 1998 appropriation bills. The no-alteration clause of the Constitution restricts the power of the Legislature to alter an appropriation bill submitted by the Governor ‘‘except to strike out or reduce items therein.’’ If it were read to prohibit only amendments to appropriation bills before passage, and not subsequent amendments, it would be a completely formal, ineffectual requirement. Nor may subsequent legislation amend the words of appropriation bills so long as it leaves the dollar amounts untouched. The theory that the Legislature can rewrite the text of the Governor’s appropriation bills is inconsistent with the basic idea of executive budgeting.

State — Budget — Power of Legislature to Alter Governor’s Budget Bills

2. The Legislature, by enacting 37 single-purpose bills in 2001 to replace items it struck out from the Governor’s appropriation bills, unconstitutionally altered the Governor’s appropriation bills in violation of NY Constitution, art VII, § 4. The use of single-purpose bills is no different in principle from the use of other legislation to amend appropriation bills, both of which are contrary to the idea of executive budgeting. Although there may be cases in which it is difficult to say whether a single-purpose bill passed by the Legislature is an ‘‘addition’’ to, rather than a ‘‘substitution’’ for, a deleted item, here it was clear from the Legislature’s own description of the bills it defended that they were substitutes for items in the Governor’s appropriation bills.

State — Budget — Power of Legislature to Alter Governor’s Budget Bills

3. The Governor’s 2001 appropriation bills, challenged by the Legislature as not being, in significant part, appropriation bills within the meaning of the Constitution, were true fiscal measures designed to allocate the state’s resources in the way the Governor thinks most productive and efficient and thus protected by the nonalteration clause of NY Constitution, art VII, § 4. Although a Governor should not put into an appropriation bill essentially nonfiscal or nonbudgetary legislation, the line between appropriations and policy is difficult to fix. Here, however, none of the challenged appropriation bills appeared to be a device for achieving collateral ends under the guise of budgeting, and the Legislature was not free to alter them as it did.

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By the Publisher’s Editorial Staff

Am Jur 2d, Governor § 4; Am Jur 2d, Public Funds §§ 37, 38; Am Jur 2d, States, Territories, and Dependencies § 40.

McKinney’s, NY Const, art VII, § 4.

NY Jur 2d, Constitutional Law § 169; NY Jur 2d, Public Funds §§ 15–19; NY Jur 2d, State of New York §§ 14, 141.

ANNOTATION REFERENCE

See ALR Index under Governors; Legislature; Public Moneys.

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POINTS OF COUNSEL

Hancock & Estabrook, LLP, Syracuse (*Stewart F. Hancock, Jr., Alan J. Pierce* and *Sonya G. Bonneau* of counsel), for New York State Senate, appellant in the first above-entitled action. I. The Appellate Division holding that the Governor may incorporate amendments to existing laws, programmatic policy measures and other general legislative matters in his proposed New York Constitution, article VII, § 3 ''appropriation'' bills and then by invoking New York Constitution, article VII, § 4 prohibit the Legislature from striking out or altering these unconstitutionally included provisions ignores the plain meaning and destroys the intended structure and scheme of article VII. (*Silver v Pataki,* 179 Misc 2d 315, 274 AD2d 57, 96 NY2d 532; *People v Tremaine,* 281 NY 1; *Cohen v State of New York,* 94 NY2d 1; *People v Tremaine,* 252 NY 27; *Matter of Village of Chestnut Ridge v Howard,* 92 NY2d 718; *Quotron Sys. v Gallman,* 39 NY2d 428; *Winner v Cuomo,* 176 AD2d 60; *Saxton v Carey,* 44 NY2d 545; *Matter of King v Cuomo,* 81 NY2d 247; *Settle v Van Evrea,* 49 NY 280.) II. *Saxton v Carey* (44 NY2d 545 [1978]) does not support the distorted application of New York Constitution, article VII, §§ 2, 3 and 4 urged by the Governor and adopted by the Appellate Division majority. (*People v Tremaine,* 252 NY 27; *People v Tremaine,* 281 NY 1; *New York State Bankers Assn. v Wetzler,* 81 NY2d 98; *Hidley v Rockefeller,* 28 NY2d 439.) III. There is no basis for the Governor's contention that the Legislature's general legislative powers under New York Constitution article III to enact single-purpose bills and nonappropriation bills are limited by the ''no-alteration'' restriction of New York Constitution, article VII, § 4. (*People v Tremaine,* 281 NY 1; *People ex rel. Burby v Howland,* 155 NY 270.) IV. The ''relates specifically to'' language in the ''anti-rider'' provision in New York Constitution, article VII, § 6 is not the criterion for what the Governor may permissibly include in his appropriation bills. (*Silver v Pataki,* 192 Misc 2d 117; *People v Tremaine,* 252 NY 27; *Schuyler v South Mall Constructors,* 32 AD2d 454; *Rice v Perales,* 156 Misc 2d 631, 193 AD2d 1135.) V. The Legislature's single-purpose appropriation bills were properly enacted in full compliance with New York Constitution, article VII, § 5.

Weil, Gotshal & Manges LLP, New York City (*Steven Alan Reiss, Gregory S. Coleman, Janet L. Horn* and *Gregg J. Costa* of counsel), for New York State Assembly, appellant in the first above-entitled action. I. The Governor's unprecedented attempt to sue the Legislature challenging the constitutionality of bills he signed into law is not justiciable. (*Silver v Pataki,* 96 NY2d 532; *Raines v Byrd,* 521 US 811; *Society of Plastics Indus. v County of Suffolk,* 77 NY2d 761; *Chenoweth v Clinton,* 181 F3d 112; *Matter of Posner v Rockefeller,* 26 NY2d 970; *Moore v U.S. House of Representatives,* 733 F2d 946; *Schlesinger v Reservists Comm. to Stop the War,* 418 US 208; *Saratoga County Chamber of Commerce v Pataki,* 100 NY2d 801; *People v Tremaine,* 252 NY 27; *People v Tremaine,* 281 NY 1.) II. The Legislature constitutionally responded to the Governor's unprecedented attempt to enact substantive policy provisions in appropriation bills. (*Silver v Pataki,* 96 NY2d 532; *Matter of Thirty-Fourth St. R.R. Co.,* 102 NY 343; *Matter of County of Oneida v Berle,* 49 NY2d 515; *Saratoga County Chamber of Commerce v Pataki,* 100 NY2d 801; *People v Tremaine,* 252 NY 27; *Saxton v Carey,* 44 NY2d 545; *People v Tremaine,* 281 NY 1; *Hidley v Rockefeller,* 28 NY2d 439; *New York State Bankers Assn. v Wetzler,* 81 NY2d 98; *Winner v Cuomo,* 176 AD2d 60.)

Stillman & Friedman, P.C., New York City (*Paul Shechtman* and *Nathaniel Z. Marmur* of counsel), for respondent in the first above-entitled action. I. The Legislature unconstitutionally altered the Governor's appropriation bills in violation of New York Constitution, article VII, § 4. (*People v Tremaine,* 281 NY 1; *People v Tremaine,* 252 NY 27; *New York State Bankers Assn. v Wetzler,* 81 NY2d 98; *Matter of Knight-Ridder Broadcasting v Greenberg,* 70 NY2d 151; *Baker v Carr,* 369 US 186; *Matter of Abrams v New York City Tr. Auth.,* 39 NY2d 990; *Saxton v Carey,* 44 NY2d 545; *Hidley v Rockefeller,* 28 NY2d 439; *Silver v Pataki,* 3 AD3d 101; *Leader v Maroney, Ponzini & Spencer,* 97 NY2d 95.) II. The Governor's claims are justiciable. (*Silver v Pataki,* 96 NY2d 532; *Saxton v Carey,* 44 NY2d 545; *New York State Assn. of Nurse Anesthetists v Novello,* 2 NY3d 207; *Saratoga County Chamber of Commerce v Pataki,* 100 NY2d 801; *Society of Plastics Indus. v County of Suffolk,* 77 NY2d 761; *Winner v Cuomo,* 176 AD2d 60; *People v Tremaine,* 257 App Div 117, 281 NY 1; *Kansas v United States,* 24 F Supp 2d 1192, 214 F3d 1196; *Matter of Urbach v Farrell,* 229 AD2d 275; *Matter of Rivera v Espada,* 98 NY2d 422.)

Weil, Gotshal & Manges LLP, New York City (*Steven Alan Reiss, Gregory S. Coleman, Janet L. Horn, Kristyn Noeth, Hope L. Karp* and *Gregg J. Costa* of counsel), for Sheldon Silver, appellant in the second above-entitled action. I. The Governor's line-item veto of 55 provisions that were neither ''items of appropriation of money'' nor even contained in appropriation bills was unconstitutional. (*Anderson v Regan,* 53 NY2d 356; *Matter of County of Oneida v Berle,* 49 NY2d 515; *Matter of King v Cuomo,* 81 NY2d 247; *Matter of Thirty-Fourth St. R.R. Co.,* 102 NY 343; *Clinton v City of New York,* 524 US 417; *People v Tremaine,* 281 NY 1; *Bengzon v Secretary of Justice of Philippine Is.,* 299 US 410.) II. The Governor's affirmative defense that he possessed roving authority to line-item veto the 55 provisions because those provisions were unconstitutional is meritless. (*Matter of Thirty-Fourth St. R.R. Co.,* 102 NY 343; *Anderson v Regan,* 53 NY2d 346; *Matter of Picone v Commissioner of Licenses of City of N.Y.,* 241 NY 157; *Saratoga County Chamber of Commerce,* 100 NY2d 801; *People v Tremaine,* 252 NY 27; *People v Tremaine,* 281 NY 1; *New York State Bankers Assn. v Wetzler,* 81 NY2d 98; *Saxton v Carey,* 44 NY2d 545; *Matter of King v Cuomo,* 81 NY2d 247; *Matter of County of Oneida v Berle,* 49 NY2d 515.)

Hancock & Estabrook, LLP, Syracuse (*Stewart F. Hancock, Jr., Alan J. Pierce* and *Sonya G. Bonneau* of counsel), for New York State Senate, appellant in the second above-entitled action. I. ''Non-appropriation bills'' are not appropriation bills and cannot be treated as such for the purpose of applying the restrictions on legislative alterations imposed by New York Constitution, article VII, § 4. (*New York State Bankers Assn. v Wetzler,* 81 NY2d 98; *Saxton v Carey,* 44 NY2d 545; *Hidley v Rockefeller,* 28 NY2d 439; *People v Tremaine,* 252 NY 27; *People v Tremaine,* 281 NY 1; *Cohen v State of New York,* 94 NY2d 1; *Quotron Sys. v Gallman,* 39 NY2d 428; *Winner v Cuomo,* 176 AD2d 60; *Pataki v New York State Assembly,* 190 Misc 2d 716; *People ex rel. Burby v Howland,* 155 NY 270.) II. The decisions below grant the Governor unparalleled power to selectively ''veto'' disfavored legislative enactments on constitutional grounds and, thus, constitute an outright violation of fundamental separation of powers doctrine and a repudiation of the clearly expressed intent of the framers of the executive budget amendment. (*People ex rel. Simon v Bradley,* 207 NY 592; *Marbury v Madison,* 1 Cranch [5 US] 137; *Cohen v State of New York,* 94 NY2d 1; *Matter of County of Oneida v Berle,* 49 NY2d 515; *Saratoga County Chamber of Commerce v Pataki,* 100 NY2d 801.) III. Even adopting for the sake of argument the Governor's proposition that nonappropriation bills may be treated as appropriation bills for the purpose of enforcing the New York Constitution, article VII, § 4 ''no alteration'' restriction, his reliance on the ''relates specifically to'' language in the ''anti-rider'' provision in New York Constitution, article VII, § 6 as the criterion for what he could have permissibly included in his purported appropriation bills is without basis. (*People v Tremaine,* 252 NY 27; *Schuyler v South Mall Constructors,* 32 AD2d 454; *Matter of Wendell v Lavin,* 246 NY 115; *Matter of Tall Trees Constr. Corp. v Zoning Bd. of Appeals,* 97 NY2d 86; *Matter of Dutchess County Dept. of Social Servs. [Day] v Day,* 96 NY2d 149; *Mangam v City of Brooklyn,* 98 NY 585; *Matter of Tonis v Board of Regents,* 295 NY 286; *Matter of Albano v Kirby,* 36 NY2d 526.) IV. Neither *Saxton v Carey* (44 NY2d 545 [1978]) nor any other controlling authority provides any support for the Governor's contorted construction of New York Constitution, article VII, §§ 2, 3 and 4. (*People v Tremaine,* 281 NY 1; *New York State Bankers Assn. v Wetzler,* 81 NY2d 98; *Hidley v Rockefeller,* 28 NY2d 439; *Schuyler v South Mall Constructors,* 32 AD2d 454; *Rice v Perales,* 156 Misc 2d 631.) V. The Governor's purported exercise of a ''line-item veto'' over the Legislature's amendments to his non-appropriation bills was unconstitutional under New York Constitution, article IV, § 7.

Cravath, Swaine & Moore LLP, New York City (*Max R. Shulman* of counsel), for respondent in the second above-entitled action. I. The courts below correctly held that the Legislature's alterations to the Governor's items of appropriation were unconstitutional and therefore void ab initio. (*Wein v State of New York,* 39 NY2d 136; *People ex rel. Burby v Howland,* 155 NY 270; *Saxton v Carey,* 44 NY2d 545; *Schuyler v South Mall Constructors,* 32 AD2d 454; *Rice v Perales,* 156 Misc 2d 631, 193 AD2d 1135; *Matter of King v Cuomo,* 81 NY2d 247; *People v Carroll,* 3 NY2d 686; *Ivey v State of New York,* 80 NY2d 474; *Matter of Fay,* 291 NY 198; *People v Tremaine,* 281 NY 1.) II. The courts below correctly declined to decide the constitutionality of the Governor's line-item vetoes. (*Matter of Peters v New York City Hous. Auth.,* 307 NY 519; *T.D. v New York State Off. of Mental Health,* 91 NY2d 860.) III. The Governor's line-item vetoes were constitutional. (*People v Tremaine,* 252 NY 27; *Bengzon v Secretary of Justice of Philippine Is.,* 299 US 410.)

OPINION OF THE COURT

R.S. SMITH, J.

Since 1927, the New York Constitution has provided for executive budgeting. Under this system, the State's budget originates with the Governor, and he must submit to the Legislature proposed legislation, including ''appropriation bills,'' to put his proposed budget into effect. The Legislature ''may not alter an appropriation bill submitted by the governor except to strike out or reduce items therein'' (NY Const, art VII, § 4).

In these cases, the Governor and the Legislature accuse each other of overstepping limitations placed by the Constitution on their roles in enacting the budget. We resolve the dispute in the Governor's favor. We hold, in both of these cases, that the Legislature altered the Governor's appropriation bills in ways not permitted by the Constitution. In *Pataki v New York State Assembly*, we also hold that the Governor did not exceed constitutional limits on what his appropriation bills may contain.

Five members of this Court agree with these two conclusions, and with the reasoning that leads to the first of them. As to our second conclusion, two members of the majority have reservations about the analysis in the section of this opinion entitled ''The Content of Appropriation Bills'' (at 92-99), as explained in Judge Rosenblatt's concurring opinion.

I. Background: New York's Executive Budget System

Until 1927, all budget legislation, like other legislation, originated with the Legislature. The Governor's only power over budget legislation was the veto. He could veto any bill passed by the Legislature, and if any such bill contained ''several items of appropriation'' he could veto one or more of those items while approving the remainder of the bill (1894 NY Const, art IV, § 9). The Legislature, if in session, could pass a bill or item of appropriation over the Governor's veto by a two-thirds vote (*id.*).

In 1915, executive budgeting was proposed as a way to reform the planning and management of the State's finances. A report submitted by a committee to that year's Constitutional Convention argued that the Legislature was not the right body to prepare a budget. The Legislature, the report said, did not administer government departments, and therefore lacked both the knowledge about and the authority over those departments that was necessary to design a budget properly. Legislators were accountable to voters in their own districts, rather than to the State as a whole, and thus would prepare a budget by ''compromise or bargain''—a process which ''has become so common . . . as to be stigmatized by the terms 'log rolling' and 'pork barrel' '' (Report of Comm on State Finances, Revenues and

Expenditures, Relative to a Budget System for the State, State of New York in Convention Doc No. 32, at 8 [Aug. 4, 1915]). The committee chairman, Henry L. Stimson, said that legislative budgeting produced ''extravagance, waste and irresponsibility'' (Stimson, *Saving the State's Money: The sound and far-reaching financial reforms contained in the proposed Constitution*, Albany: Committee for the Adoption of the Constitution, 1915, No. 12, at 8). The solution, in Stimson's view, was to make the Governor accountable for the budget by giving him, not the Legislature, the duty to originate it. He explained:

> ''We cannot expect economy in the future unless some one man will have to lie awake nights to accomplish it. The only way to stop waste is for the people of the State to know exactly whose fault it is if waste occurs, or if the cost of government steadily rises without compensating increase in service rendered.
>
> ''So the proposed Constitution provides that the estimates of all administrative departments shall be first submitted to the Governor, and shall be revised by him. The responsibility for securing an economical and systematic plan for the annual budget of the State is thus laid squarely on his shoulders.'' (*Id.*)

Stimson's 1915 proposal contained a provision saying: ''The Legislature may not alter an appropriation bill submitted by the Governor except to strike out or reduce items therein.'' (1 Unrevised Rec, 1915 NY Constitutional Convention, at 1135.) This limitation, Stimson argued, was essential to the preservation of an executive budget system. The proposal, he explained:

> ''provides that when the Governor introduces his budget that budget must be disposed of without addition. The Legislature can cut down, the Legislature can strike out but they must approach it from the standpoint of a critic and not from the standpoint of a rival constructor. The budget must be protected against its being wholly superseded by a new legislative budget and a resort to the same situation that we have now. Otherwise you would have nothing.'' (2 Unrevised Rec, 1915 NY Constitutional Convention, at 1586.)

Thus the original purpose of the executive budgeting system was to change the roles of the Governor and the Legislature in the process—to make the Governor the ''constructor'' and the Legislature the ''critic.'' As the dissent stresses, the newly-proposed system did not ''deprive the Legislature of any of its prerogatives''; nor did it, in a fundamental way, ''add to the Governor's power'' (dissenting op at 107). It remained true, before and after executive budgeting was adopted, that no budget could pass without the Legislature's assent. In that sense, we agree with the dissent that the new system Stimson proposed did not ''transfer significant lawmaking *authority* from the Legislature to the Executive'' (*id.* [emphasis added]). It certainly did, however, transfer the role of ''constructor'' from the Legislature to the Governor. That was the whole point.

A proposed Constitution containing the executive budget provisions that Stimson favored was rejected by the voters in 1915. But efforts to reform budgeting continued, eventually with the support of Governor Alfred E. Smith. In 1926, the voters approved constitutional amendments similar to the 1915 executive budget proposals. These provisions took effect in 1927, and were carried forward with little change in the 1938 Constitution that is in force today.

Article VII, §§ 1-7 now govern the budget process. Several of these sections vest certain legislative powers in the Governor, creating a limited exception to the rule stated in article III, § 1 of the Constitution: ''The legislative power of this state shall be vested in the senate and assembly.'' Thus the classic ''separation of powers'' between the executive and legislative branches is modified to some degree by our Constitution—a fact the dissent seems to ignore.

In the process prescribed by the Constitution, the Governor receives estimates from the heads of departments of their financial needs (NY Const, art VII, § 1). By the second Tuesday in January (or February 1, in the year after a gubernatorial election), the Governor submits a budget to the Legislature accompanied by ''a bill or bills containing all the proposed appropriations and reappropriations included in the budget and the proposed legislation, if any, recommended therein'' (NY Const, art VII, §§ 2, 3). The manner in which the Legislature may act on these bills is governed by article VII, § 4, the provision that is central to these cases. That section provides, in relevant part:

> ''The legislature may not alter an appropriation bill submitted by the governor except to strike out or

> reduce items therein, but it may add thereto items of appropriation provided that such additions are stated separately and distinctly from the original items of the bill and refer each to a single object or purpose. . . .
>
> ''Such an appropriation bill shall when passed by both houses be a law immediately without further action by the governor, except that . . . separate items added to the governor's bills by the legislature shall be subject to [the governor's line-item veto].''

The opening words of section 4 are taken verbatim from the proposal submitted to the voters, and defended by Stimson, in 1915. They accord to an ''appropriation bill submitted by the governor'' a special status; the Legislature may not ''alter'' it except in the ways specified. We have held that the no-alteration provision is ''a limited grant of authority from the People to the Legislature to alter the budget proposed by the Governor, but only in specific instances'' (*New York State Bankers Assn., Inc. v Wetzler*, 81 NY2d 98, 104 [1993]). In other words, all the power the Legislature has to alter the Governor's appropriation bills stems from article VII, § 4.

The Constitution provides that, absent a message of necessity from the Governor, the Legislature may not consider ''any other bill making an appropriation'' until it has finally acted upon all the Governor's appropriation bills (NY Const, art VII, § 5). Except for appropriations in the Governor's appropriation bills ''and in a supplemental appropriation bill for the support of government,'' the legislation may make no appropriations ''except by separate bills each for a single object or purpose'' (NY Const, art VII, § 6). These separate bills, and the ''supplemental appropriation bill,'' are subject to the Governor's line-item veto, which may be overridden by a two-thirds vote in the Legislature (*id.*; *see* NY Const, art IV, § 7). Article VII, § 6 contains the Constitution's only explicit substantive limitation on the content of an appropriation bill—the so-called ''anti-rider'' provision. The last sentence of article VII, § 6 provides:

> ''No provision shall be embraced in any appropriation bill submitted by the governor or in such supplemental appropriation bill unless it relates specifically to some particular appropriation in the bill, and any such provision shall be limited in its operation to such appropriation.''

The effect of appropriations is limited to two years (NY Const, art VII, § 7).

These constitutional provisions implement Stimson's vision of executive budgeting—with the Governor as ''constructor'' and the Legislature as ''critic.'' They do not, of course, leave the Legislature powerless. The Legislature can reduce or delete the Governor's appropriations and enact (subject to the Governor's veto) new appropriations of its own. It can pass legislation over the Governor's veto—as it has done in recent years with unprecedented frequency. Perhaps most important, the Legislature can—and almost invariably does—refuse to act on the budget pending negotiations with the Governor. All budgets within recent memory have been largely a product of such negotiations, often extremely protracted ones. The inefficiencies of New York's budgeting system are well known today, and much deplored; the word ''gridlock'' is often used. No one familiar with the process can believe that it is one in which the Governor is omnipotent, and the Legislature helpless.

Our decision today leaves all of the Legislature's constitutional prerogatives intact, but preserves the role of the Governor as the ''constructor'' of the State's budget.

II. Facts and Procedural History

One of the present lawsuits, *Silver v Pataki*, arises out of the budget submitted by the Governor to the Legislature in 1998; the other, *Pataki v New York State Assembly*, out of the budget submitted in 2001. The appropriations made in those years have expired, so that the present controversy appears to be moot, but all parties and all members of the Court agree that the importance of the issues warrants our ruling on them (*see Matter of Hearst Corp. v Clyne*, 50 NY2d 707 [1980]).

A. *Silver v Pataki*

It is undisputed that the first step taken by each side to the dispute in 1998 was constitutional. The Governor submitted appropriation bills, as well as other legislation, to the Legislature; and the Legislature passed the appropriation bills without altering them, except to strike out or reduce particular items. The bills, as so modified, became law. But then the Legislature, by amending the Governor's other, nonappropriation budget bills, sought to change the appropriation legislation it had just enacted—not altering the amount of any appropriation, but altering the purposes for which, and the conditions upon which, the money could be spent.

For example, the Governor proposed, and the Legislature passed, an appropriation of $180 million to build a prison in Franklin County; but the Legislature shortly thereafter passed a bill providing that the funds would be available only when authorized by later legislation and that the prison must contain a separate building ‘‘suitable for educational, vocational, recreational and other inmate activities’’ (L 1998, ch 56, part C, § 2). Another appropriation item proposed by the Governor, and passed by the Legislature, provided $80.8 million for the ‘‘regulation program’’ of the Insurance Department; the Legislature's subsequent enactment provided that $48.2 million should be expended ‘‘under the regulation of insurance organizations program’’ and $32.4 million ‘‘under the regulation of insurance product program’’ (L 1998, ch 57, part A, § 11). This sort of thing occurred dozens of times.

The Governor claimed that the Legislature's subsequent actions altered his appropriation bills, in violation of article VII, § 4 of the Constitution. He purported to use his line-item veto to delete 55 of the provisions he considered invalid.

The Speaker of the Assembly brought suit against the Governor, seeking a declaratory judgment that the purported line-item vetoes were unconstitutional. The Senate later joined the case as a plaintiff. The Governor asserted, among other defenses, that ‘‘the items that were subject to the vetoes in question were unconstitutional and therefore void and unenforceable *ab initio*.’’ Supreme Court in substance upheld this defense, holding that the legislation the Governor objected to was invalid to begin with; Supreme Court therefore did not reach the question of whether the Governor's veto power was properly used. The Appellate Division affirmed. The Speaker and the Senate appealed as of right, pursuant to CPLR 5601 (b) (1), and we now affirm the Appellate Division's ruling.

B. *Pataki v New York State Assembly*

In 2001, in contrast to 1998, the first steps in the budget process were controversial. Certain of the bills submitted by the Governor as appropriation bills contained material which, according to the Legislature, did not belong in appropriation bills. For example, the Governor proposed to appropriate $8.3 billion for ‘‘general support for public schools for aid payable in the 2001-02 school year’’ and for ‘‘school-wide performance payments’’ (2001 NY Senate-Assembly Bill S 905, A 1305). The description of this appropriation in the bill contains 17 pages of provisos and conditions, determining (based on pupil population, services provided and many other factors) how much money would go to each school district. In previous budgets, such extensive material had not been contained in appropriation bills; the complex formulas for dividing state education aid were contained in other proposed legislation submitted with the budget by the Governor.

The 2001 appropriation bills also contained language changing the method previously established by the Public Health Law for computing the Medicaid rates payable to residential health care facilities (2001 NY Senate-Assembly Bill S 904, A 1304); and appropriating funds for the State Museum and State Library to a proposed Office of Cultural Resources, though these entities were, by statute, under the control of the Department of Education and Board of Regents (2001 NY Senate-Assembly Bill S 905, A 1305). These provisions and many others, in the view of the Legislature, could not properly be included in "appropriation bills" that were protected from alteration by article VII, § 4.

The Legislature purported to delete from the Governor's appropriation bills some of the language it considered unconstitutional. In other cases, the Legislature struck whole items of appropriation (as it indisputably had a right to do), and then enacted its own appropriation bills, appropriating identical amounts of money for similar purposes, but subject to different conditions and restrictions. In doing this, the Legislature purported to act pursuant to article VII, § 6 of the Constitution, which authorizes it, after passing or rejecting the Governor's appropriation bills, to make its own appropriations "by separate bills, each for a single object or purpose"; the Legislature passed 37 such "single purpose bills." Finally, in some instances the Legislature adopted the same technique it had used in 1998: enacting the Governor's appropriation as submitted, but then amending the appropriation by making changes in the Governor's other budget legislation.

The Governor, though contending that the 37 single-purpose bills and certain of the other bills passed by the Legislature were unconstitutional, signed them all. He then immediately began this action against the Assembly and the Senate. The Governor sought a declaration that the bills in question were unconstitutional; the Assembly and Senate counterclaimed seeking, among other things, a declaration that the provisions in the Governor's appropriation bills to which the Legislature objected were invalid. Supreme Court ruled for the Governor and the Appellate Division affirmed, with two Justices dissenting on the ground that the Governor lacked standing. The Assembly and the Senate appealed as of right pursuant to CPLR 5601 (b) (1) (the Assembly relying also on CPLR 5601 [a]). We now affirm the Appellate Division's ruling.

III. Discussion

A. Preliminary Issues

In *Silver v Pataki* (96 NY2d 532 [2001]), we decided that Speaker Silver had capacity and standing, as a member of the Assembly, to bring the case relating to the 1998 budget. The Governor raises no other issue that would bar us from reaching the merits of that case. In *Pataki v New York State Assembly*, however, the Assembly argues that: (1) the Governor, having signed the legislation he complains of, lacks standing to bring this case; and (2) the Governor's suit is barred by the Speech or Debate Clause of the State Constitution (NY Const, art III, § 11 [''For any speech or debate in either house of the legislature, the members shall not be questioned in any other place'']). The Senate, apparently preferring to see the case decided on the merits, does not raise either a standing or a Speech or Debate Clause defense.

Both of these defenses, assuming them to be valid, may be waived (*see* CPLR 3018 [b]; *Matter of Fossella v Dinkins*, 66 NY2d 162, 167-168 [1985]). Since the Senate has waived them, it makes no practical difference in this case whether they are validly asserted by the Assembly. All three parties seek declaratory relief only, and the declaration that results from our decision will be exactly the same whether or not the claims against the Assembly are dismissed. We therefore think it unnecessary to decide the standing or Speech or Debate issue, and we proceed to the merits (*cf. Powell v McCormack*, 395 US 486, 501-502 [1969] [where certain defendants could not plead the bar of the Speech or Debate Clause, it was held unnecessary to discuss the issue as it affected the other defendants]).

B. The Merits

1. *Silver v Pataki*

[1] It is undisputed that the effect of the legislation at issue in *Silver v Pataki* was to amend language originally proposed by the Governor in his 1998 appropriation bills. The Governor contends that this violated the plain terms of article VII, § 4:

"The legislature may not alter an appropriation bill submitted by the governor except to strike out or reduce items therein. . . ." The Legislature contends that it did not violate the no-alteration clause because: (1) it did not amend the appropriation bills before passing them, but passed them unchanged and then amended them by subsequent legislation; and (2) the amendments changed only the language describing the purposes of, and the conditions on, the appropriations, not the amounts appropriated. We find both of the Legislature's contentions to be untenable.

If the no-alteration clause of article VII, § 4 were read to prohibit only amendments to appropriation bills before passage, not subsequent amendments, it would be a completely formal, ineffectual requirement. The Legislature could discard the Governor's budget and enact its own, by the simple procedure of passing his appropriation bills and then amending them out of existence. Executive budgeting would be replaced by legislative budgeting. The whole purpose of the no-alteration clause, as Stimson explained it in 1915, was to assure that the Legislature remains "a critic" of the budget and does not become "a rival constructor." Stimson's warning is apposite here: If a Governor's budget may be "wholly superseded by a new legislative budget . . . you would have nothing."

Nor are we persuaded by the Legislature's argument that subsequent legislation may amend the words of appropriation bills, so long as it leaves the dollar amounts untouched. In the first place, the text of article VII, § 4 was obviously not intended to prohibit changes only in the amounts appropriated. Indeed, article VII, § 4 expressly *permits* changes in the amounts so long as they are changed downward: the Legislature may "strike out or reduce items" in the Governor's budget. If the authors of the no-alteration clause had meant to say only that the Legislature "may not increase" the amount of any appropriation they could have said so; they would not have used the cumbersome phrase "may not alter . . . except to strike out or reduce."

Furthermore, the theory that the Legislature can rewrite the text of the Governor's appropriation bills is inconsistent with the basic idea of executive budgeting. The author of a budget must make the initial decision not only on how much money is to be spent, but on what the money is to be spent for. The Legislature acknowledges that in a broad sense this is true; counsel for the Assembly admitted at oral argument that, if the

Governor's appropriation bills appropriated money for a prison, subsequent legislation could not strike out the word "prison" and substitute the words "football stadium." But the Legislature contends that it is free to make changes of narrower scope—to change, for example "prison in Syracuse" to "prison in New York City."

We doubt that a meaningful line between broad and narrow changes could ever be drawn. But more fundamentally, to permit the Legislature to rewrite the details of the Governor's budget, as embodied in his appropriation bills, is inconsistent with the aims of the executive budget system. It is the Governor, not the Legislature, who was expected by the framers of this constitutional provision to "lie awake nights" to produce "an economical and systematic plan for the annual budget of the State" (*see, supra* at 82). That "systematic plan" must be based on the Governor's judgment not only on how much money to spend, but on which specific expenditures are prudent, and what preconditions should be imposed on them. The Governor will be able to perform his constitutional role only if the no-alteration clause of article VII, § 4 applies to the details of the appropriation bills he submits to the Legislature.

The Legislature's argument is contrary not only to the basic theory of executive budgeting, but also to our decision in *New York State Bankers Assn. v Wetzler* (81 NY2d 98 [1993]). In *Bankers*, the Legislature had added to an appropriation bill a provision authorizing the Department of Taxation and Finance to charge banks a fee for the cost of conducting bank audits. The provision did not disturb the amount the Governor had allocated to cover the audits. Yet we concluded that the Legislature's addition to the Governor's appropriation violated the no-alteration clause. And even before *Bankers*, opinions by Attorneys General Lefkowitz and Abrams contradicted the idea that the Legislature may revise language included by the Governor in an appropriation bill (1978 Ops Atty Gen 76; 1982 Ops Atty Gen No. 82-F5).

If the Legislature disagrees with the Governor's spending proposals, it is free, as the no-alteration clause provides, to reduce or eliminate them; it is also free to refuse to act on the Governor's proposed legislation at all, thus forcing him to negotiate. But it cannot adopt a budget that substitutes its spending proposals for the Governor's. If it could do so, executive budgeting would no longer exist.

We therefore conclude that the 55 legislative provisions as to which the Governor purported to exercise his line-item veto were invalid under article VII, § 4 of the State Constitution. That makes it unnecessary for us to determine whether the line-item veto was properly exercised; the legislation was invalid whether it was vetoed or not.

2. *Pataki v New York State Assembly*

In defending its actions with respect to the 2001 budget, the Legislature makes essentially two arguments. First, it repeats, in a slightly different context, the argument we have just rejected—that the Legislature may, without violating the no-alteration clause, enact subsequent legislation (mostly taking the form, in this case, of single-purpose bills) that effectively amends appropriation legislation proposed by the Governor in ways not authorized by the no-alteration clause. Secondly, the Legislature argues that the bills proposed as ''appropriation bills'' by the Governor, were, in significant part, not appropriation bills within the meaning of the Constitution and were thus not protected by the no-alteration clause. We reject both arguments.

(a) <u>The Use of Single-Purpose Bills as Substitutes for Appropriation Bills</u>

[2] What we said in our discussion of *Silver v Pataki* largely disposes of the Legislature's first argument, though the technique the Legislature used in 2001 was, in most instances, different from the one used in 1998. Whereas in 1998 the Legislature passed the Governor's appropriation bills and then tried to alter them by amending other budget legislation, in 2001 it more frequently struck out items from the Governor's appropriation bills and then replaced them by single-purpose bills, which it purported to enact under the authority given it by article VII, § 4 to ''add . . . items of appropriation provided that such additions are stated separately and distinctly from the original items of the bill and refer each to a single object or purpose.'' This use of single-purpose bills is no different in principle from the use of other legislation to amend appropriation bills, and it is no less contrary to the idea of executive budgeting.

Indeed, we pointed out 65 years ago that using single-purpose legislation to substitute for items deleted from the Governor's appropriation bills would violate the Constitution. In the second of two cases named *People v Tremaine* (281 NY 1 [1939] [*Tre-*

maine II]), we said, referring to the ''single object or purpose'' clause of article VII, § 4:

> ''[The Legislature] may . . . add items of appropriation, provided such additions are stated separately and distinctly from the original items of the bill and refer each to a single object or purpose. *The items thus proposed by the Legislature are to be additions, not merely substitutions*. These words have been carefully chosen. *The added items must be for something other than the items stricken out*.'' (Emphasis added.)

There may be cases in which it is difficult to say whether a single-purpose bill passed by the Legislature is an ''addition'' to, rather than a ''substitution'' for, a deleted item. We do not suggest, as the dissent implies, that every bill originated in the Legislature that touches on the same subject matter as an appropriation is unconstitutional. Of course, the Legislature remains free to legislate on such subjects as the way in which prisons should be operated (*see* dissenting op at 119-120). The question is simply whether the challenged legislation does or does not alter an appropriation bill submitted by the Governor.

In this case the question is not difficult. It is clear from the Legislature's own description of the bills it defends that they are substitutes for items in the Governor's appropriation bills. The Assembly argues that these bills ''did not have the same purpose as the Governor's proposals,'' but it bases this argument on the assertion that its bills ''modified the terms and conditions of the Governor's appropriations'' and in some cases ''directed the funding to different agencies or institutions.'' In other words, the appropriation bills were altered.

It is undisputed that each of the single-purpose bills at issue had its counterpart in the Governor's appropriation bills, and that the Legislature, in each case, replaced provisions it did not like with provisions it preferred. The no-alteration clause does not permit the Legislature to treat the Governor's appropriation bills in this manner.

(b) The Content of Appropriation Bills

The Legislature's second argument—that what the Governor called ''appropriation bills'' in 2001 were, in significant part, not appropriation bills within the meaning of the Constitution—presents, at least in theory, a troublesome issue, for we recognize that the Governor's power to originate appropriation bills is susceptible to abuse. A Governor could insert into what he labeled ''appropriation bills,'' and thus could purport to shield by the no-alteration clause, legislation whose primary purpose and effect is not really budgetary. A few hypothetical questions may illustrate the point: Could a Governor raise a mandatory retirement age for firefighters, by making the higher age a condition of appropriations to fire departments? Could a Governor insert into an appropriation bill for state construction projects a provision that Labor Law § 240 (the scaffold law) would be inapplicable? Could an appropriation bill provide that workers in certain state-financed activities were free to engage in conduct the Penal Law would otherwise prohibit? Each of these proposals seems to go beyond the legitimate purpose of an appropriation bill.

The Governor's position in this litigation is that the only limit on the content of an appropriation bill submitted by the Governor is the anti-rider clause of article VII, § 6: ''No provision shall be embraced in any appropriation bill submitted by the governor . . . unless it relates specifically to some particular appropriation in the bill, and any such provision shall be limited in its operation to such appropriation.'' This is a less than satisfactory answer, because it is quite possible to write legislation that plainly does not belong in an appropriation bill, and yet ''relates specifically to'' and is ''limited in its operation to,'' an appropriation. The hypotheticals offered in the previous paragraph are, at least arguably, of that description.

Thus we reject the sweeping proposition, attributed to us by the dissent, ''that what the Governor sees fit to include in an appropriation bill is properly placed there'' (dissenting op at 115). Some matters are not ''properly placed there.'' We also reject, however, the dissent's suggestion that no ''public policy matters'' (*id.* at 105) or ''substantive or programmatic'' legislation (*id.* at 114 n 8) properly belong in an appropriation bill. The line between ''policy'' and ''appropriations'' is not just thin, but essentially nonexistent: every dollar the State spends is spent on substance, and the decision of how much to spend and for what purpose is a policy decision. Thus all appropriations are substantive, and all appropriations make policy. It is true that there can be substantive legislation that does not contain appropriations—as demonstrated by the cases from other states, cited by the dissent (at 112-113), in which nonappropriation legislation was held not to be subject to a line-item veto. But the converse is not true—there cannot be a ''nonsubstantive'' appropriation bill.

Thus, we agree with the dissent that ''choices pertaining to the statewide allocation of resources among school districts involve policy determinations'' (*id.* at 116). But ''allocation of resources'' is almost a definition of what an appropriation bill does. The dissent errs in saying that appropriation bills cannot be used to make ''policy determinations'' that are ''fundamentally legislative'' (*id.*). The purest and simplest appropriation bill imaginable—the example chosen by the dissent, Governor Franklin D. Roosevelt's bill to fund an investigation of securities sales (*id.* at 104)—was plainly the legislative embodiment of a substantive policy choice.

The dissent admits that the line between appropriations and policy is ''difficult to fix'' (*id.* at 111). The dissent therefore abandons, if we read it correctly, the idea of judicially-imposed limits on ''what the Governor can do in an appropriation bill,'' and addresses instead ''what the Legislature can do in response'' (*id.*). The dissent's answer seems to be that the Legislature can do anything it wants to the language of an appropriation bill, as long as it does so by separate legislation, rather than by amending the appropriation bill itself. According to the dissent, the 1929 Legislature could have, after passing Governor Roosevelt's appropriation for an investigation of securities sales, passed other legislation conditioning the expenditure as the Legislature saw fit. Or it could have stricken the proposed appropriation and passed single-purpose legislation redirecting the funds to an investigation of bribery in municipal contracts, or any other purpose the Legislature liked—and it could have treated every one of Governor Roosevelt's other proposed appropriations in a similar fashion. We reject the dissent's argument for the reasons explained in previous sections of this opinion: to accept it would be to countenance the effective abolition of executive budgeting.

While we do not agree with the dissent that it is wrong to put ''substantive'' matter into an appropriation bill, we acknowledge, as we have said, that a Governor should not put into such a bill essentially nonfiscal or nonbudgetary legislation—measures like the hypothetical ones suggested at pages 92-93 of this opinion. We do not find it necessary to answer in this case the question of what is to be done when a Governor does include such unsuitable material; but we will try to advance understanding of the question by exploring it briefly.

The Governor argues, in substance, that no judicial remedy should be available when an appropriation bill contains material which, though not prohibited by the anti-rider clause, ought not to be there. He points out that political considerations may well deter a future Governor from inserting such material—and that, if he does insert it, the Legislature does not have to pass the bill. The Governor argues that, if an uncontroversial or popular appropriation is accompanied by an unsuitable condition or proviso that is not barred by the anti-rider clause, the Legislature's remedy is to refuse to enact the appropriation until the offending material is removed. The result may be a stalemate that will be resolved one way or another without judicial intervention—in other words, a check on gubernatorial abuse by political means.

The Governor suggests that the problem of inappropriate content in an appropriation bill is analogous to the problems of itemization and transfer of appropriations—problems with which we have struggled in previous cases, and which we eventually left to be resolved in the political process. In the first case entitled *People v Tremaine* (252 NY 27 [1929] [*Tremaine I*]), the Governor submitted a budget bill containing lump-sum, rather than itemized, appropriations, with a provision stating that he alone could later decide how the lump sums should be broken down or ''segregated.'' The Legislature struck out the items to which the Governor had attached such provisions, and restated them with clauses calling for the participation of legislators in the segregation process. We disposed of the case on other grounds, but remarked in dictum that the Legislature appeared to have violated the no-alteration clause of what is now article VII, § 4 (252 NY at 47-48). We then added:

> ''If the Legislature may not add segregation provisions to a budget bill proposed by the Governor without altering the appropriation bill, . . . it would necessarily follow that the Governor ought not to insert such provisions in his bill. He may not insist that the Legislature accept his propositions in regard to segregations without amendment, while denying to it the power to alter them. The alternative would be the striking out the items of appropriation thus qualified in toto and a possible deadlock over details on a political question outside the field of judicial review.'' (*Id.* at 50.)

Thus, in *Tremaine I* we said that the Governor ''ought not to'' put ''segregation provisions'' into a lump-sum appropriation bill, but also suggested that his doing so might generate ''a political question outside the field of judicial review.''

In 1939, in *Tremaine II*, we implied in dictum that there are constitutional limits on the Governor's choice between lump sums and itemizations, saying ''we expect the appropriation bill to contain items . . . sufficient to furnish the information necessary to determine whether in the judgment of the Legislature all that is demanded should be granted or is required'' (281 NY at 5). Decades later, in *Saxton v Carey* (44 NY2d 545 [1978]), we decided that this issue is one for the political process, not the courts, adopting in substance the dissenting opinion of Judge Breitel in *Hidley v Rockefeller* (28 NY2d 439 [1971]). While we reiterated in *Saxton* that ''the Governor is required to submit an 'itemized' budget'' (44 NY2d at 548), we held that the remedy for violations of that requirement lay with the Legislature itself:

> ''[T]he degree of itemization necessary in a particular budget is whatever degree of itemization is necessary for the Legislature to effectively review that budget. This is a decision which is best left to the Legislature, for it is not something which can be accurately delineated by a court. It is, rather, a function of the political process, and that interplay between the various elected representatives of the people which was certainly envisioned by the draftsmen of the Constitution. Should the Legislature determine that a particular budget is so lacking in specificity as to preclude meaningful review, then it will be the duty of that Legislature to refuse to approve such a budget. If, however, as here, the Legislature is satisfied with the budget as submitted by the Governor, then it is not for the courts to intervene. . . . Should a Legislature fail in its responsibility to require a sufficiently itemized budget, the remedy lies not in the courtroom, but in the voting booth.'' (*Id.* at 550-551.)

We reached a similar conclusion in *Saxton* as to the extent to which a Governor's appropriation bill could authorize transfers of appropriation within programs or departments (*id.*). Yet we also disavowed in *Saxton* any suggestion that ''the budgetary process is per se always beyond the realm of judicial consideration.'' (*Id.* at 551.) We said: ''The courts will always be available to resolve disputes concerning the scope of that authority which is granted by the Constitution to the other two branches of the government.'' (*Id.*)

Our cases, in short, reflect the ambivalence we express today about the use of judicial power to resolve disputes over budgeting between the executive and legislative branches. Today we do not reject, but we also do not endorse, the Governor's argument that no judicial remedy is available (where the anti-rider clause does not apply) for gubernatorial misuse of appropriation bills. The dissent makes a valid point that political stalemate over a budget is an unattractive prospect. On the other hand, to invite the Governor and the Legislature to resolve their disputes in the courtroom might produce neither executive budgeting nor legislative budgeting but judicial budgeting—arguably the worst of the three.

When a case comes to us in which it appears that a Governor has attempted to use appropriation bills for essentially nonbudgetary purposes, we may have to decide whether to enforce limits on the Governor's power in designing "appropriation bills" or to leave that issue, like the issues of itemization and transfer, to the political process. We conclude, however, that we confront no such problem here, for there is nothing in the appropriation bills before us that is essentially nonbudgetary. All of the appropriation bills that the Legislature challenges are, on their face, true fiscal measures, designed to allocate the State's resources in the way the Governor thinks most productive and efficient; none of them appears to be a device for achieving collateral ends under the guise of budgeting.

This is well illustrated by the bill the Legislature most vigorously attacks—the school funding proposal (2001 NY Senate-Assembly Bill S 905, A 1305). The purpose and effect of this proposed item of appropriation is to determine how much of the State's money goes to each school district—almost as purely budgetary a question as can be imagined. Whether to include the allocation of funds to school districts in an appropriation bill or in other budget legislation is a political choice; nothing in the Constitution forbids the choice of an appropriation bill.

The Legislature, and the dissent, in substance offer three reasons why the Governor's 2001 school funding proposal does not belong in an appropriation bill. First, they point out—correctly—that the bill does not *look* like a typical appropriation bill; rather than briefly identifying recipients of funds and specifying the dollars to be received by each, it contains many pages of narrative with no numbers at all. The narrative, however, is merely a very complex formula, or series of formulas, for distributing the money, and a rule prohibiting an appropriation bill from taking this approach would be both formalistic and unworkable. There could be no objection on constitutional grounds if the bill, instead of reciting the formula, named every school district in the state and specified the sum that would go to each—in other words, if the authors of the bill had applied the formula themselves and written the result into proposed legislation. Nor would there be a valid constitutional objection to an appropriation bill that distributed dollars by a simple formula—x dollars per pupil, for example. The bill is not less an ''appropriation bill'' because the formula it uses is complex—or because, as the dissent emphasizes, the formula occupies 17 pages, rather than a page or two.

Secondly, the Legislature and the dissent point out that, until 2001, the details of distribution of school aid had usually not been the subject of appropriation bills, but of other legislation submitted with the Governor's budget. We decline, however, to adopt a narrow historical test of what is an ''appropriation bill''—to require, in effect, that the Governor may never use an appropriation bill to deal with subject matters addressed by other types of legislation in the past. Nothing in the Constitution says or implies that, once it becomes customary to deal with a particular subject either in appropriation bills or in other legislation, the custom must be immutable. On the contrary, it was an important part of the purpose of executive budgeting to enable budgets to be adjusted to the changing needs of an increasingly complex society. Also, it would involve courts in endless difficulties if they had to determine, every time the validity of an appropriation bill was challenged, whether the particular subject of the bill was being dealt with in accordance with historical practice.

Thirdly, the Legislature notes, and the dissent emphasizes heavily, that the Governor's 2001 school funding proposal altered existing statutory provisions for the distribution of school aid. But the Legislature does not even argue, and could not successfully argue, that it is forbidden for an appropriation bill—whose effect is limited to two years by the Constitution (art VII, § 7)—to supersede existing law for that time. The Governor points out that appropriation bills superseded other legislation long before executive budgeting was adopted, and have continued to do so since. To permit the Legislature, by ordinary legislation, to limit the Governor's flexibility in making future budgetary choices would seriously endanger the whole structure of executive budgeting. For this reason, the dissent is simply wrong in saying that, if the Governor had written the result of a formula into an appropriation bill, he "would be required to apply the formula codified in Education Law § 3602" (dissenting op at 115). An appropriation that is effective notwithstanding other law to the contrary is still a legitimate appropriation. Indeed, one of the single-purpose appropriation bills that the dissent would uphold as valid is of that description (*see* 2001 NY Senate-Assembly Bill S 5742, A 9353).

[3] In short, we conclude that the 2001 school funding proposal raises none of the concerns that might be raised by the insertion of essentially nonbudgetary legislation into an appropriation bill. The Governor's choice to use an appropriation bill, rather than other budget legislation, as the means of distributing school aid may have been politically controversial, but it was clearly within the authority given him by the Constitution.

Nor do we find that any of the other proposed measures that the Legislature challenges in this case are an attempt to abuse the Governor's power over appropriation bills. The Legislature contends that the Governor abused his power by using appropriation bills to transfer the State Library and State Museum to the control of a newly created Office of Cultural Resources; this contention, however, seems to be based on a misreading of the legislation the Governor submitted. The Governor proposed other budget legislation, not appropriation bills, to create the new agency and to transfer the Library and Museum to it. This other legislation was rejected by the Legislature (*see* 2001 NY Senate-Assembly Bill S 1145-B, A 1997-B). The Governor's appropriation bills did include provisions for funds to the Office of Cultural Resources for the purpose of operating the State Library and State Museum, but that shows only that the Governor was proceeding on the assumption—which proved ill-founded—that legislation creating that entity would be passed.

We therefore leave for another day the question of what judicially enforceable limits, if any, beyond the anti-rider clause of article VII, § 6 the Constitution imposes on the content of appropriation bills.

IV. Conclusion

Accordingly, in each case, the order of the Appellate Division should be affirmed without costs.

ROSENBLATT, J. (concurring). I join Judge Robert Smith's plurality writing, and thus make a majority, in ruling that the orders of the Appellate Division should be affirmed. Contrary to the view expressed by our dissenting colleagues, I believe that, in the cases before us, the Legislature violated the State Constitution's no-alteration clause[1] while the Governor did not go beyond the relevant constitutional limits in his appropriation bills. I need not expand on the reasons for that conclusion because they are explained in the plurality's writing. That said, I concur separately because, while I agree with the result, I find the plurality writing not fully satisfying, and am unwilling to subscribe to its every premise.

The Governor argues that two words in article VII, § 6 of the New York Constitution are pivotal. The section prohibits the Executive from including in an appropriation bill any provision that does not *relate specifically* to some particular appropriation. The section goes on to say that any such provision must be limited in its operation to an appropriation.

The clause was designed to preserve the separation of powers, a concept that goes back to our first State Constitution in 1777—written a decade before the United States Constitution.[2] In its first such effort, our fledgling State provided that the legislative power is vested in the Senate and Assembly.[3] That provision has been with us throughout our constitutional history (*see* 1821 NY Const, art I, § 1; 1846 and 1894 NY Const, art III, § 1). Our state framers also recognized that governmental powers cannot be neatly separated into pigeonholes, and so they used general language to reinforce the idea that while the Governor has considerable powers, the legislative branch—and not the Executive—is the primary lawmaking body.

Given this background, the plurality writing does not go far enough to describe where the line exists so as to protect the Legislature's lawmaking preeminence. It is not enough to point

1. NY Const, art VII, § 4 (''The legislature may not alter an appropriation bill submitted by the governor except to strike out or reduce items therein, but it may add thereto items of appropriation provided that such additions are stated separately and distinctly from the original items of the bill and refer each to a single object or purpose'').

2. Indeed, on our soil, the concept goes back even a century before that, while we were under colonial rule (*see* 1 Lincoln, The Constitutional History of New York, at 30 [1906]).

3. Article II of the 1777 Constitution provided ''that the supreme legislative power within this State shall be vested in two separate and distinct bodies of men; the one to be called the assembly of the State of New York, the other to be called the senate of the State of New York; who together shall form the legislature, and meet once at least in every year for the despatch of business.''

out—as Judge Smith aptly does—that the power to originate appropriation bills is susceptible to abuse (*see* plurality op at 91). To illustrate the problem, the plurality asks a few hypothetical questions: ''Could a Governor raise a mandatory retirement age for firefighters, by making the higher age a condition of appropriations to fire departments? Could a Governor insert into an appropriation bill for state construction projects a provision that Labor Law § 240 (the scaffold law) would be inapplicable? Could an appropriation bill provide that workers in certain state-financed activities were free to engage in conduct the Penal Law would otherwise prohibit?'' (Plurality op at 93.)

The plurality then says that the proposals ''seem[ ]'' to go beyond the legitimate purpose of an appropriation bill (plurality op at 93). In my view, they do, and it is essential to say so. Anything short of that leaves the parties—and here they are those who run the government—with not an ounce of guidance.

Our colleagues in the plurality doubt that a line can be drawn delineating gubernatorial and legislative powers. We are, however, in the business of drawing lines; that is what we do in our decisional law. I recognize that it is not normally our job to give guidance to the other two branches. This, however, is no ordinary lawsuit: not one, but both branches have gone out of their way to demand an answer. We would, I think, be failing in our duty if we punted and simply announced that if and when a case ever arises in which the executive branch goes too far, perhaps we will let you know.

That approach disserves the Legislature and does not give the Governor a clue as to whether he is trespassing on legislative turf. Saying only that we cannot draw a line but that, in effect, ''I know it when I see it''[4] is an unacceptable response. A proper resolution of these lawsuits requires a test, consisting of a number of factors, no single one of which is conclusive, to determine when an appropriation becomes unconstitutionally legislative. To begin with, anything that is more than incidentally legislative should not appear in an appropriation bill, as it impermissibly trenches on the Legislature's role. The factors we consider in deciding whether an appropriation is impermissibly legislative include the effect on substantive law, the durational impact of the provision, and the history and custom of the budgetary process.

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4. *Jacobellis v Ohio* (378 US 184, 197 [1964] [Stewart, J., concurring] [defining obscenity in the context of First Amendment protections]).

In determining whether a budget item is or is not essentially an appropriation, one must look first to its effects on substantive law. The more an appropriation actively alters or impairs the State's statutes and decisional law, the more it is outside the Governor's budgetary domain. A particular "red flag" would be nonpecuniary conditions attached to appropriations.

History and custom also count in evaluating whether a Governor's budget bill exceeds the scope of executive budgeting. The farther a Governor departs from the pattern set by prior executives, the more resulting budget actions become increasingly suspect. I agree that customary usage does not establish an immutable model of appropriation (*see* plurality op at 98). At the same time, it would be wrong to ignore more than 70 years of executive budgets that basically consist of line items.

The more an executive budget strays from the familiar line-item format, the more likely it is to be unauthorized, nonbudgetary legislation. As an item exceeds a simple identification of a sum of money along with a brief statement of purpose and a recipient, it takes on a more legislative character. Although the degree of specificity the Governor uses in describing an appropriation is within executive discretion (*see People v Tremaine*, 281 NY 1 [1939]), when the specifics transform an appropriation into proposals for programs, they poach on powers reserved for the Legislature.

In addition, the more a provision affects the structure or organization of government, the more it intrudes on the Legislature's realm. The executive budget amendment contemplates funding—but not organizing or reorganizing—state programs, agencies and departments through the Governor's appropriation bills.

The durational consequences of a provision should also be taken into account. As budget provisions begin to cast shadows beyond the two-year budget cycle, they look more like nonbudget legislation. The longer a budget item's potential lifespan, the more legislative is its nature. Similarly, the more a provision's effects tend to survive the budget cycle, the more it usurps the legislative function.

Viewed in light of these factors, the Governor's proposals relating to the State Museum and State Library appear to push the edge of the envelope because of their effect on the structure and organization of government agencies. I am satisfied, however, with Judge Smith's explanation that the Governor did not purport to restructure or realign these state agencies but merely appropriated money anticipating the Legislature's creating a new agency (*see* plurality op at 99). Had the Governor simply decreed this sort of reorganization in an appropriation bill, I would hold the action unconstitutional.

Judge Smith's hypotheticals, however, would run afoul of the constitutional limits on the Governor's appropriation power. Although the hypothetical provisions arguably ''relate[ ] specifically'' to the appropriation, all three appreciably alter existing substantive law that is not inherently budgetary and would, therefore, transgress constitutional limits. While there are financial implications of retirement ages, Labor Law § 240 and various provisions of the Penal Law, none is fundamentally or primarily fiscal. In contrast, a formula that calculates how much to allocate to a program—such as the education provision at issue—is tied up in the appropriation and would therefore fall within the Governor's budgetary powers.

I readily concede that this or any other test is necessarily imperfect. To my mind, however, it is better than no test at all. We have an obligation to reveal the considerations involved in evaluating the challenged provisions and reaching our conclusion. Determining the constitutional scope of the legislative and executive powers is, after all, a basic function of the judicial branch.

Chief Judge Kaye (dissenting). At the heart of both cases before us, arising in the context of the State's budget, is the line between the Executive and the Legislature with respect to lawmaking.

In 1927, New York amended its Constitution to adopt executive budgeting. In article VII, the Constitution confers upon the Governor initial responsibility for proposing to the Legislature a coherent statewide plan for government spending; the Legislature then may not alter the Governor's appropriation bill,[1] except to strike out or reduce items in the bill, but the

1. An ''appropriation bill'' is ''a bill or bills containing all the proposed appropriations and reappropriations included in the budget'' (NY Const, art VII, § 3). An ''item'' of appropriation is contained within an appropriation bill (*see* NY Const, art VII, § 4). A ''nonappropriation bill,'' which may also be part of the Governor's budget submission to the Legislature, ''contain[s] programmatic provisions and commonly include[s] sources, schedules and suballocations for funding provided by appropriation bills, along with provisions authorizing the disbursement of certain budgeted funds pursuant to

(n. cont'd)

Legislature may add items of appropriation provided they are stated separately and distinctly from the original items and refer each to a single object or purpose (*see* NY Const, art VII, § 4). Generally, however, lawmaking power remains with the Legislature. Article III of our Constitution commands that "[t]he legislative power of this state shall be vested in the senate and assembly" (NY Const, art III, § 1).

For 70 or more years our constitutional budgeting scheme has operated with more or less success[2]—but without a major showdown in the courts—until, in 1998 and again in 2001, the two sides for the first time reached an impasse precipitating the present litigation. What happened?

To my mind the problem is exemplified by two items of appropriation included in the record before us. The first is contained in Governor Franklin Roosevelt's 1929 appropriation bill, offered just after passage of the Executive Budgeting Amendment. The item reads in full: "Investigation of Sale of Securities and Unlawful Corporative Activities, Services and expenses—$210,000.00." My second example, a stark contrast, is contained in Governor Pataki's 2001 appropriation bill: a so-called item of appropriation in the form of 17 closely-printed pages altering Education Law § 3602 for funding public schools throughout the state. As the Court recognizes, this was the first time the Governor attempted to amend the school-funding formula in an appropriation bill (*see* opinion at 86-87).

Two questions are at the core of this appeal. Does the authority to propose the budget permit the Governor to rewrite the substantive law of the state as an item of appropriation? Or perhaps even more to the point, if the Governor proposes new substantive law in a budget bill—either an appropriation bill or a nonappropriation bill—is the Legislature then prohibited by the no-alteration provision of article VII, § 4 from changing such proposals, limited merely to voting the proposed appropriation up or down? In the 2001 example, to be more particular, is the Legislature's only choice to accept the Governor's proposed significant amendment of the Education Law or defund the public schools?

While answering these questions in the affirmative, my Colleagues themselves recognize that the issue is "troublesome"

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subsequent legislative enactment" (*Silver v Pataki*, 96 NY2d 532, 535 n 1 [2001] [*Silver I*]).

2. *See e.g.* Gerald Benjamin, *Reform in New York: The Budget, The Legislature, and the Governance Process*, 67 Alb L Rev 1021 (2004).

and the Governor's power they now rubber-stamp "is susceptible to abuse" (opinion at 92-93). I agree, but conclude that it has been abused here. Given the substantive law amendments now accepted by my Colleagues as items of appropriation, it is hard to imagine, for the future, what could not be cast as an item of appropriation subject to the no-alteration rule. Nor is it a sufficient answer, or safeguard, that the Court finds the challenged appropriation items "true fiscal measures" (*id.* at 97), for a bridge can readily be constructed between a wide range of public policy matters and public dollars.

Because I conclude that the Governor has overstepped the line that separates his budget-making responsibility from the Legislature's lawmaking responsibility, setting an unacceptable model for the future, I dissent.[3]

I. The History and Intent of Executive Budgeting

Prior to 1915, the State operated under a legislative budget system in which—as with most legislation—the Legislature proposed bills, in this case appropriation bills, and presented them to the Governor for his signature or veto. These bills were based on budgetary estimates provided to the Legislature by the various executive departments. The Legislature, however, had neither the staff nor the resources to exercise appropriate oversight in scaling back departmental wish lists. Instead, departments submitted their estimated expenditures without any review by an authority outside the department, resulting in

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3. Indeed, these cases speak only to the future. The 1998 and 2001 budget issues have long been moot. Although there are two cases before us—*Silver v Pataki* from 1998 and *Pataki v New York State Assembly and New York State Senate* from 2001—the central issue in both is the same, as the Court recognizes (*see* opinion at 91). In 1998, unlike in 2001, the Governor did not include substantive law proposals in his appropriation bills. But the Legislature amended his *non*appropriation bills by further itemizing the appropriated funds, imposing criteria for their implementation or conditioning their disbursement on further legislative action. The Governor exercised the line-item veto with respect to these amendments, contending that the Legislature's actions in effect altered his items of appropriation in violation of article VII, § 4, and were therefore unconstitutional. In 2001, the Governor did include substantive law proposals as items of appropriation. The Legislature responded by striking the substantive provisions from the appropriation bills; amending, as in 1998, nonappropriation bills; and enacting 37 single-purpose appropriation bills. Thus, the issue presented in the 1998 case concerning the authority of the Legislature to amend the Governor's budget submissions is subsumed within the 2001 case, in which the Legislature sought to amend the Governor's budget using similar means as well as others. The earlier case, however, presents an additional issue involving the Governor's use of the line-item veto.

very high estimates (*see* Journal, 1915 NY Constitutional Convention, at 390). Further, because funds were appropriated piecemeal in numerous different bills, no comprehensive budget plan was ever formulated or presented to the public (*see id.* at 392). In addition, by 1915 it had become apparent that—because members of the Legislature were beholden to their districts rather than to the state as a whole—legislative budgeting produced wasteful pork barrel spending without any responsible assessment of relative budget priorities.

In reaction, a reform movement arose to adopt an executive budgeting process. The scheme is a simple one. The Governor—as an elected official answerable to the entire state—would in the first instance have responsibility for collecting departmental estimates and proposing appropriations. Free as he[4] was from the limitations faced by the Legislature, it was thought that the Governor, who had direct supervisory control over administrative departments, could better determine whether the estimates proffered by his department heads were reasonable, and could send his officers back to the drawing board to revise their estimates if he found them overblown. In this way, a realistic and comprehensive assessment of the financial needs of government could be had. Then, once proposed as a package, the budget would be reviewed by the Legislature, which would be restricted in its ability to increase spending beyond the levels proposed by the Executive after his careful deliberation.

Specifically, the Legislature could reduce spending for a particular item of appropriation, or forgo funding of the item altogether, but it could not increase the amount of money for any given item in the Governor's appropriation bills. Since the spending caps had already been approved by the Governor who proposed them, the appropriations would become law immediately upon passage by the Legislature. Further, if the Legislature sought to fund additional programs or services not provided for in the Governor's budget, it could add *new* items of appropriation to the appropriation bills, each of which—not having already been approved by the Governor—would be subject to his line-item veto.

Similarly, if the Legislature thought it prudent to increase funding for an item submitted by the Governor beyond his

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4. The rule the Court adopts today will, of course, apply to all future Governors, male and female. Because the current Governor is a party to these actions, however, I use the masculine pronoun throughout this writing to refer to the Executive.

proposed cap, it would have to wait until the entire statewide budget had been acted upon, and only then could it propose a single-purpose appropriation bill containing the spending increase, which bill would be subject to veto. Of course, in that any such increased spending had to be presented in a single-purpose bill, the veto of such a bill would effectively constitute a line-item veto. Thus, through a combination of realistic oversight, consolidated responsibility and political pressure, executive budgeting promised to produce a more ''scientific budget'' (*id.* at 387) and reduce the inefficiencies that had led to wild increases in state spending. Although an initial attempt at an Executive Budget Amendment failed in 1915, it was adopted in 1927.

Executive budgeting was not, however, meant to transfer significant lawmaking authority from the Legislature to the Executive. ''[T]he separation of powers 'requires that the Legislature make the critical policy decisions, while the executive branch's responsibility is to implement those policies' '' (*Saratoga County Chamber of Commerce, Inc. v Pataki*, 100 NY2d 801, 821-822 [2003], quoting *Bourquin v Cuomo*, 85 NY2d 781, 784 [1995]). Rather, the scheme of executive budgeting was aimed at centralizing in one person responsibility for framing out the budget:

> ''The executive budget does not deprive the Legislature of any of its prerogatives. . . . It simply makes the Governor who represents the whole State and not a single assembly or senate district, responsible in the first instance for collecting, consolidating, reviewing and revising the estimates of the several departments of government and also for presenting to the Legislature a complete plan of expenditures and revenues—a plan which in his judgment will best meet the needs of the administration of which he is the head. . . .
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> ''The executive budget would not add to the Governor's power over finances'' (Report of Reconstruction Commn to Governor Alfred E. Smith on Retrenchment and Reorganization in State Government, at 316-317 [Oct. 10, 1919]).

Executive budgeting was not meant to give the Governor power to require that his fiscal plan be adopted; to deprive the Legislature of its ability to initiate legislation; or to reallocate to the Executive responsibility for legislative—as opposed to budgetary—policymaking:

> ''Nor is there the slightest force to the claim that the proposed system would give undue power to the Governor. It would add not one iota to the power that he now possesses through the veto of items in the appropriation bills. Whereas now that power is subject to no review and thus may be used as an instrument of reward or punishment after the legislative session is over, the proposed system would deprive him of his veto as to budget items and would thus compel him to use his influence in advance, in the open, under the fire of legislative discussion and the scrutiny of the entire State. It would thus be the Legislature which would have the final word'' (Report of Comm on State Finances, Revenues and Expenditures, Relative to a Budget System for the State, State of New York in Convention Doc No. 32, at 21 [Aug. 4, 1915]).

Plainly, the idea behind executive budgeting was simply accountability for state expenditures, missing under the old system:

> ''[T]he forces of reaction which have opposed this important reform rest their objections on an entirely false foundation. We constantly hear in argument against the executive budget, that it will deprive the direct representatives of the people of a proper control over the purse strings of the State. This argument is not based on fact. The executive budget does not in the slightest degree decrease the power of the Legislature. It provides only for a more responsible method for the exercise of that power. There is nothing new or revolutionary about a proposal placing upon the Executive himself the duty in the first instance of certifying to the Legislature the amount required for the fixed and definite expenses of maintenance of the various departments of the government. There is no reason that I can see why there should not be put upon the Executive the further responsibility of explaining his proposals to the Legislature in detail. There is also no reason why the Legislature should make additions to these sums or indulge in new activities until provision has first been made for the absolutely necessary expenses of government. . . .
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> ''Opposition to the executive budget upon the the-

> ory that it lessens the power of the Legislature is nothing but misrepresentation for political purposes. Every proposal for its establishment, so far made, has left the Legislature absolutely free to pass any appropriations it will and to increase or decrease any appropriations it may desire to, after provision has been made for the support of government as comprehended in the bill proposed and supported by the governor'' (1925 Ann Message of Governor Alfred E. Smith, at 75-76).

The Court ignores this history when it concludes that executive budgeting effected a transfer to the Governor of lawmaking power over the terms and conditions of spending, such that the Legislature is prohibited from amending the Governor's policy-laden budget bills—which is the practical effect of affirmance here.[5]

II. The Constitutional Scheme

The Executive Budget Amendment is currently codified in article VII of the New York Constitution—entitled ''State Finances.'' Under the existing system, the Governor—after receiving estimates of the upcoming year's expenses from the various executive departments (*see* NY Const, art VII, § 1)—must annually

> ''submit to the legislature a budget containing a complete plan of expenditures proposed to be made before the close of the ensuing fiscal year and all moneys and revenues estimated to be available therefor, together with an explanation of the basis of such estimates and recommendations as to proposed legislation, if any, which the governor may

5. As this history makes clear, the Governor's role as ''constructor'' (a 1915 quotation repeated in the opinion at 82, 83, 85, 89) contemplated that he would frame out the budget, not that he would deliver a turnkey project with full programmatic detail.

Contrary to the Court's statement, I do not ignore that executive budgeting modified the separation of powers ''to some degree'' (opinion at 83), but recognize that ''except as restrained by the Constitution, the legislative power is untrammeled and supreme, and . . . a constitutional provision which withdraws from the cognizance of the legislature a particular subject, or which qualifies or regulates the exercise of legislative power in respect to a particular incident of that subject, leaves all other matters and incidents under its control'' (*Matter of Thirty-Fourth St. R.R. Co.*, 102 NY 343, 350 [1886]).

> deem necessary to provide moneys and revenues sufficient to meet such proposed expenditures. It shall also contain such other recommendations and information as the governor may deem proper and such additional information as may be required by law'' (NY Const, art VII, § 2).

By contrast, estimates of the financial needs of the Legislature and the Judiciary must, after being transmitted by those branches to the Governor, be included in his executive budget without revision (*see* NY Const, art VII, § 1). Further, ''[a]t the time of submitting the budget to the legislature the governor shall submit a bill or bills containing all the proposed appropriations and reappropriations included in the budget and the proposed legislation, if any, recommended therein'' (NY Const, art VII, § 3).

Critical to this appeal, ''[t]he legislature may not alter an appropriation bill submitted by the governor except to strike out or reduce items therein, but it may add thereto items of appropriation provided that such additions are stated separately and distinctly from the original items of the bill and refer each to a single object or purpose'' (NY Const, art VII, § 4). ''Such an appropriation bill shall when passed by both houses be a law immediately without further action by the governor'' (*id.*).

By contrast, the Governor retains the right to veto any portions of the legislation that he has *not* previously approved. Thus, appropriations for the Legislature and Judiciary—which must be submitted by the Governor without revision and thus without his prior approval (*see* NY Const, art VII, § 1)—as well as ''separate items added to the governor's bills by the legislature,'' shall be subject to his approval (NY Const, art VII, § 4). Specifically, the Governor is granted the power to veto legislation he disapproves, subject to a two-thirds override by both houses of the Legislature, as well as the power of line-item veto with respect to bills containing several items of appropriation of money.

This constitutional scheme thus comprises a careful system of checks and balances in which the Governor has initial legislative authority over state finances, and in which the Legislature, while it can always make the determination to spend less, is forbidden from spending more *in the Governor's appropriation bills*. Because the Governor has taken on the legislative function in this regard and, by definition, pre-approved of the budget caps contained in legislation he has proposed, he cannot veto his own appropriation bills once passed by the Legislature. But since he can review and veto all other bills, the Constitution does not restrict the Legislature's untrammeled legislative authority with respect to those bills. It is with respect to this basic premise that I part company with the Court.

My Colleagues—in an endeavor to answer the question of what the Governor may properly include in an appropriation bill—are concerned about the viability of fixing the line between ''items of appropriation'' and ''proposed legislation.'' I agree that the line is difficult to fix. Given that, the better question may well be not what the Governor can do in an appropriation bill, but what the Legislature can do in response.

The Constitution restricts the Legislature's power to alter the Governor's proposed appropriation bills, but not to alter other proposed legislation. This distinction makes sense because it is only an appropriation bill that becomes law upon passage—without further review by the Governor. All other proposed legislation is subject to the Governor's veto and thus need not be insulated from the Legislature's power to amend in order to ensure that no bill becomes law without the participation of both branches.

The Constitution distinguishes between items of appropriation—properly included in an appropriation bill—and other legislation, which ought to be proposed elsewhere. An appropriation bill as defined by section 4 is a bill ''containing all the proposed appropriations and reappropriations included in the budget'' within the meaning of section 3. By contrast, a nonappropriation bill contains the other ''proposed legislation, if any, recommended'' in the executive budget (NY Const, art VII, § 3)—consisting in turn of proposed laws that the Governor ''may deem necessary to provide moneys and revenues sufficient to meet [the] proposed expenditures,'' as well as proposals for legislation implementing ''such other recommendations and information as the governor may deem proper'' (NY Const, art VII, § 2).

In short, the Governor may propose what he likes, although the Constitution clearly contemplates that those of his proposals that do not constitute items of appropriation of money should go elsewhere than in an appropriation bill. ''If the Legislature may not add segregation provisions to a budget [i.e., appropriation][6] bill proposed by the Governor without altering the appropriation bill, . . . it would necessarily follow that the Governor ought not to insert such provisions in his bill. He may not insist that the Legislature accept his propositions in regard to segregations without amendment, while denying to it the power to alter them'' (*People v Tremaine*, 252 NY 27, 50 [1929] [*Tremaine I*]).

''Items of appropriation'' are provisions that ''show what money is to be expended, and for what purpose'' (*People v Tremaine*, 281 NY 1, 5 [1939] [*Tremaine II*]). Other subjects do not belong in an appropriation bill, as evidenced by the Governor's own submission of ''nonappropriation bills'' as part of his budget. In general, nonappropriation bills ''contain programmatic provisions and commonly include sources, schedules and sub-allocations for funding provided by appropriation bills, along with provisions authorizing the disbursement of certain budgeted funds pursuant to subsequent legislative enactment'' (*Silver I*, 96 NY2d at 535 n 1). Put differently, such bills ''detail[ ] the utilization of [already] appropriated funds or propose[ ] changes in the operation of certain programs'' (*id.* at 535). Further, tax legislation, specifically delineated in article VII, § 2 as the subject of other ''proposed legislation,'' as well as provisions that affect multiple items of appropriation or effect general changes in state law, indisputably belongs in a nonappropriation bill.[7]

Other state courts explaining the distinction between items of appropriation and other provisions—the very issue before us—have reached similar conclusions: ''It can be said then that the term 'item of appropriation' contemplates the setting aside or dedicating of funds for a specified purpose. This is to be distinguished from language which qualifies or directs the use of appropriated funds . . .'' (*Jessen Assoc., Inc. v Bullock*, 531

6. In 1929, when the quoted case was decided, the Governor had no authority to propose any budget bill other than one containing all the proposed appropriations and reappropriations included in the budget.

7. Agreement that only items of appropriation of money belong in appropriation bills resolves little, however, once it is understood that an ''item'' is itself a slippery thing. Recognizing that ''[t]here is no judicial definition of itemization and no inflexible definition is possible,'' and that ''[t]he specificness or generality of itemization depends upon its function and the context in which it is used,'' we have held that the proper degree of budgetary itemization is beyond the scope of judicial decisionmaking, and is instead wholly within the province of the Legislature and the Executive (*Saxton v Carey*, 44 NY2d 545, 550 [1978], quoting *Hidley v Rockefeller*, 28 NY2d 439, 444 [1971] [Breitel, J., dissenting]).

SW2d 593, 599 [Tex 1975]). ''An item in an appropriation bill is an indivisible sum of money dedicated to a stated purpose. It is something different from a provision or condition'' (*Commonwealth v Dodson*, 176 Va 281, 296, 11 SE2d 120, 127 [1940]). Similarly, programmatic provisions that merely affect the allocation of appropriated funds do not constitute items of appropriation, because they do not increase the amount of state expenditures. Such a provision

> ''does not set aside money for the payment of any claim and makes no appropriation from the public treasury, nor does it add any additional amount to funds already provided for. Its effect is substantive. Like thousands of other statutes, it directs that a department of government act in a particular manner with regard to certain matters. Although as is common with countless other measures, the direction contained therein will require the expenditure of funds from the treasury, this does not transform a substantive measure to an item of appropriation'' (*Harbor v Deukmejian*, 43 Cal 3d 1078, 1089-1090, 742 P2d 1290, 1296 [1987]).

Simply put, ''state courts have generally . . . excluded from the definition of appropriation authorizations and other substantive legislation that create spending programs but do not actually appropriate funds'' (Richard Briffault, *The Item Veto in State Courts*, 66 Temp L Rev 1171, 1201 [1993]). For an ''item of an appropriation bill obviously means an item which in itself is a specific appropriation of money, not some general provision of law which happens to be put into an appropriation bill'' (*Bengzon v Secretary of Justice of Philippine Is.*, 299 US 410, 414-415 [1937]).

III. Distortion of the Constitutional Scheme

My Colleagues conclude not only that the Governor may propose changes to substantive law in connection with his budget, but also that the Legislature is forbidden from altering such proposals by any means—either directly or indirectly. Thus, even those policymaking provisions placed in a nonappropriation bill but relating to a proposed appropriation—effectively, any subject properly included in a *budget* bill—are held unalterable under article VII, § 4, despite its plain language restricting the Legislature only from ''alter[ing] an appropriation bill.'' Indeed, under the Court's rule, the Legislature is effectively prohibited from amending a nonappropriation bill in any way, since such a bill—by its very nature—cannot contain items of appropriation subject to reduction or striking, but must nevertheless relate to some item in an appropriation bill.

The Governor contends that any programmatic policy conditions he attaches to an appropriation are simply more specific identification of the item for which he appropriates money. If this is so, the Legislature—limited in its authority to alter appropriation bills other than by reducing or striking items—must either accept the conditions imposed by the Governor or refuse to fund the program or service to which it is attached, however essential or desirable. According to the Governor, the Constitution limits him only insofar as the policy proposed must relate to a particular appropriation in the bill and ''be limited in its operation'' to that appropriation (NY Const, art VII, § 6).

That is virtually no limitation at all.[8] Nearly everything in government requires funding. And since the degree of budgetary itemization is beyond review, the Governor can always broaden the scope of his proposed appropriations to the point where a generally applicable policy condition would ''be limited in its operation'' to a particular appropriation—as I believe happened here. For example, as conceded at oral argument, the Governor could not, as part of an appropriation for 500 police cars, require in an appropriation bill that every police car in the state have bulletproof glass, but could impose such a requirement attached to an appropriation for police departments. Further, as also conceded, the Governor could under his theory—in order to save money—suspend worker safety laws or the mini-

8. The Governor misreads the constitutional history of section 6 when he argues that the anti-rider restriction of that section constitutes the sole limitation on his ability to attach substantive or programmatic conditions to an appropriation bill. The provisions now contained in section 6 were adopted in 1894—long before the advent of executive budgeting—in an effort to ''prevent many abuses which have obtained in the Legislature, of tacking on to the annual appropriation and supply bill various provisions which otherwise could not be enacted'' (2 Revised Rec, 1894 NY Constitutional Convention, at 599). Section 6, whose intent is to ''prevent the inclusion of general legislation in an appropriation bill'' (*Tremaine I*, 252 NY at 48), thus operates as a constraint on the Legislature's ability to attach as a rider ''in any appropriation bill'' substantive legislation unrelated to the proposed appropriations—which, if otherwise permitted, would become law immediately upon passage of the appropriation bill containing the legislation, with no opportunity for gubernatorial veto. Section 6 is not, however, the source of affirmative authority for the Governor to attach legislation not consisting of items of appropriation to his appropriation bills, in derogation of section 3.

mum wage at every construction project built using appropriated funds throughout the state. Although the Governor may well not propose such unpopular examples, there are according to his argument few limits to what he *could* propose, and the Legislature would be foreclosed from affecting the proposal except by eliminating the projects altogether.

My Colleagues recognize that this is in theory ''troublesome'' (opinion at 92) but nonetheless hold that what the Governor sees fit to include in an appropriation bill is properly placed there and incapable of amendment by the Legislature. Although the plurality opines that it may be ''possible'' to write legislation that does not belong in an appropriation bill (opinion at 93), it gives no guidance as to when such limits will have been reached, noting only that no such transgression occurred here and that, even if one were to occur in the future, the courts might in any event be precluded from resolving the political question thereby presented (*see id.* at 97).

But I cannot, for example, agree that the Governor may, in the course of proposing his annual appropriations for public schools, include in his bill—as he did for the first time in 2001—17 pages of substantive revisions to Education Law § 3602, which in turn contains the legislatively enacted formula by which funds are allocated to school districts across the state, or that he can thereby present the Legislature with the take-it-or-leave-it choice of either accepting his substantive proposals in their entirety, or simply refusing to fund the public schools. This detailed proposal significantly ''stray[ed] from the familiar line-item format'' (one of the criteria identified in the concurring opinion at 102).

I agree that ''[t]here could be no objection on constitutional grounds if the bill, instead of reciting the formula, named every school district in the state and specified the sum that would go to each—in other words, if the authors of the bill had applied the formula themselves and written the result into proposed legislation'' (opinion at 98). But what my Colleagues fail to recognize is that, in doing so, the Governor would be required to apply the formula codified in Education Law § 3602 (McKinney's Cons Laws of NY, Book 16, Education Law § 3602, 2004 Pocket Part, at 3-94)—for that is the duly enacted and binding law of the State. Because allocation according to the existing formula is thus mandatory unless Education Law § 3602 is rewritten or notwithstood, the Governor could not apply a *different* formula were he to calculate and propose itemized appropriations for each district.[9] As the Court additionally recognizes, it has been the ''history and custom of the budgetary process'' (*see* concurring opinion at 101)—until 2001—not to include the policy choices codified in Education Law § 3602 in gubernatorial appropriation bills (*see* opinion at 86-87).

Because choices pertaining to the statewide allocation of resources among school districts involve policy determinations concerning the relative importance of, for example, special education; gifted and talented programs; employment preparation; summer school programs; success at class-size reduction; and support services for troubled and disabled children, these choices have until 2001 been understood as fundamentally legislative. Indeed, school funding has been among the most intensely negotiated issues (*see e.g.* H. Carl McCall, *An Agenda for Equitable and Cost-Effective School Finance Reform*, at 31 [Oct. 1996] [''School aid is most often one of the last issues to be resolved in the budget negotiations'']; *Too Far on Bargaining*, Rochester Democrat and Chronicle, Dec. 23, 2002, at 8A [''New York's governor . . . and state lawmakers traditionally prefer to glide through the legislative session without taking up the explosive and nearly intractable problem of public-school funding and the formula that supposedly drives the money train'']).[10]

Nor can I agree with the Court's conclusion regarding the Governor's 2001 appropriation for the State Museum and State Library, which proposed moving the Museum and Library from the Department of Education to a nonexistent ''Office of Cultural Resources''—effectively modifying existing Education Law §§ 232 and 202, which provide that the State Museum and Library are departments of the University of the State of New York, in turn governed by the Board of Regents. Twenty-two of the Legislature's 37 single-purpose appropriation bills were

9. That a duly enacted statute may suspend, rather than repeal for all time, the operation of existing law (*see* opinion at 98-99) is irrelevant. The critical fact remains that even a temporary abrogation of general legislation reflects a legislative judgment to be made by the Legislature. Here, the Governor's proposal had an ''effect on substantive law'' (one of the criteria identified in the concurring opinion at 101), ''actively alter[ing] . . . the State's statutes'' (*id.* at 102).

10. Other examples of changes to substantive law proposed by the Governor in his 2001 appropriation bills include amendments to Public Health Law § 2808, governing the computation of Medicaid rates for residential health care facilities; and a proposal reauthorizing lapsed Social Services Law § 153-i, which provided for state reimbursement to social services districts for family and children's services.

enacted to restore oversight and control of the State Museum and Library to the Education Department.

As we have recently made clear, the ''choice of *which* agency shall regulate an activity can be as fundamental a policy decision as choosing the substance of those regulations'' (*Saratoga*, 100 NY2d at 823 [emphasis in original]). The Governor contends that, because he proposed an appropriation of money for the State Museum and Library, conditioned on their transfer to the new agency as proposed in his nonappropriation bill, the Legislature was limited to either accepting his conditions, or defunding the Museum and Library altogether.

My Colleagues deny any significance to the Governor's inclusion in his appropriation bill of proposed funds for the operation of these institutions within the new agency on the ground that the Governor's assumption that legislation creating the agency would be passed ''proved ill-founded'' (opinion at 99). If by this they mean that the Legislature remained free—as in my view it did—to appropriate money for the State Museum and Library but within the Education Department, I certainly agree. But I cannot reconcile this conclusion with the reasoning underlying the remainder of the writing. For if the Legislature is foreclosed from enacting single-purpose appropriations for a purpose similar to a gubernatorial proposal—particularly a proposal that has been stricken or rejected—as well as from amending the Governor's appropriations indirectly or adopting conditions different from those he has proposed, how could the Legislature—having rejected the programmatic conditions attached to the appropriation in the nonappropriation bill—reauthorize the Museum and Library?

The Governor's claim that the intent of the Executive Budget Amendment was to grant him authority to change the substantive laws of the State is unsupportable.

In 1927, after the dangers of legislative budgeting had been identified and debated, the Governor was for the first time given the power to propose legislation directly—but only in appropriation bills. To be sure, the Governor could *recommend* other legislation in his executive budget, but the power to actually introduce bills obliging action into both houses of the Legislature—a power he has in no other context than the budget—was limited to appropriation bills. Only in 1938 was the predecessor to section 3 amended to give the Governor the additional authority to introduce other ''proposed legislation'' recommended in his executive budget. This amendment was adopted primarily to make the Governor responsible for submitting tax legislation, rather than merely recommending it. ''Believing that the revenue side of the budget is of equal importance with the expenditure side, the committee feels that any bills to carry into effect legislation affecting the revenues of the State which the Governor may propose should have the same dignity and importance as his appropriation bills, and all should be submitted directly by the Governor and treated as budget bills'' (Report of Comm on State Finances and Revenues of New York State Constitutional Convention, State of New York Constitutional Convention 1938 Doc No. 3, at 3 [July 8, 1938]).

Thus, my Colleagues' conclusion that the 1915 and 1927 framers of executive budgeting intended to grant the Governor broad power to make legislative policy beyond mere fiscal policy, or to propose—and prevent alteration of—changes to the Consolidated Laws of the state, is unfounded and inconsistent with the constitutional budgeting scheme adopted by the framers.

Under the Constitution, the Legislature is entitled to respond to the Governor's policy proposals in any of three ways. First, as we explained in *Tremaine I*, a condition placed on the expenditure of funds is itself ''an item or particular, distinct from the other items of the bill, although not an item of appropriation'' (252 NY at 50). As such, it is subject to striking in an appropriation bill under section 4.[11]

Second, the Legislature may amend a nonappropriation bill, either by altering policy conditions proposed in the Governor's appropriation bill, or by proposing new conditions altogether.[12] Contrary to the conclusion of my Colleagues (*see* opinion at 89-90),

11. The Legislature may not, however, strike the Governor's itemized appropriations and replace them with a lump sum, for ''[w]hen . . . we are told that the Legislature may not alter an appropriation bill submitted by the Governor, except to strike out or reduce items therein, we expect the appropriation bill to contain items'' (*Tremaine II*, 281 NY at 5). Nor is *Tremaine II* applicable to single-purpose appropriation bills under article VII, § 6 (*see* opinion at 91-92). That case construed the Legislature's authority to add items to a Governor's appropriation bill under article VII, § 4.

12. Of course, the Legislature's amendments may not propose new or additional expenditures of money, for such a proposal would by definition convert the nonappropriation bill into an appropriation bill—one containing appropriations of money. Rather, any such proposals must be made in single-purpose appropriation bills considered after the Governor's appropriation bills have been finally acted upon (unless the Governor certifies the necessity of immediate passage) (*see* NY Const, art VII, § 5). Enacting a wholly new item of appropriation is distinct from amending substantive conditions placed on the expendi-

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nothing in section 4 "prevents the Legislature from itemizing appropriations or from enacting general laws, apart from the Governor's budget [i.e., appropriation] bill, providing how lump sum items of appropriation shall be segregated, subject to the veto power of the Governor" (*Tremaine I*, 252 NY at 49). The Legislature always "can accomplish its objective to restrict or allocate the expenditure of appropriated funds by enacting separate bills" (1982 Ops Atty Gen No. 82-F5, at 22). Nor does *New York State Bankers Assn., Inc. v Wetzler* (81 NY2d 98 [1993]) hold otherwise (*see* opinion at 91). There we held only that the Legislature could not alter an *appropriation* bill other than as restricted by section 4, even with the consent of the Governor. *Bankers* imposes no limitation on legislative amendment of *non*-appropriation bills.

Third, while the Legislature may not increase the dollars proposed in a gubernatorial appropriation bill, the Legislature may later—after the comprehensive budget submitted by the Governor has first been addressed—pass a single-purpose appropriation bill that proposes to spend the same amount of money, or more, with new, different, or no conditions. Of course, both branches may well agree, as the fiscal year progresses, that additional funds are needed. Such funds must be proposed by the Legislature, because the Executive has no constitutional power to introduce appropriation bills after the budget cycle. But if the Governor disapproves of the additional spending, or of the conditions, he may veto the bill.

With each of these options forbidden, however, the Legislature will be effectively precluded from proposing or influencing policies affecting state-funded programs for which the Governor has proposed an appropriation. To cite one example, if the Governor proposed money for housing the homeless, the Legislature could neither specify which shelters should receive the funding, nor pass legislation requiring that state-funded shelters apply specific criteria, nor direct that certain programs be offered within the shelters. Or if the Governor proposed funding for prisons, the Legislature could not direct that surveil-

ture of appropriated funds directed to a specified recipient. Thus, my Colleagues are quite correct that the 1929 Legislature could have passed a single-purpose appropriation bill—subject to the Governor's veto—for "any other purpose the Legislature liked" (opinion at 94). Plainly, if the Legislature wanted to pass this appropriation *instead of* Governor Roosevelt's wholly unrelated proposal, it would strike his appropriation. If, on the other hand, it wished to pass the new item *in addition to* the Governor's item, it would pass both.

lance cameras be installed, or that additional security measures be taken. Or if the Governor proposed an appropriation for police departments, the Legislature could not direct that police officers undergo counterterrorism training.[13] In effect, the Legislature loses its ability to legislate in any area directly or indirectly relating to an appropriation. That is a distortion of the constitutional scheme of executive budgeting.

IV. The Line-Item Veto

In *Silver I*, we held that the question whether the Governor was empowered to exercise a line-item veto against substantive amendments enacted in nonappropriation bills in 1998 was justiciable, and returned the case to the lower courts for a decision on the merits. Today, the Court declines to decide the question, reasoning that because the Legislature acted unconstitutionally in amending the Governor's nonappropriation bills, the question whether the Governor acted constitutionally in line-item vetoing those amendments is academic.

Silver v Pataki is a declaratory judgment action brought by the Speaker of the Assembly and the Senate challenging the Governor's action. As an affirmative defense, the Governor argues that the Legislature's actions in amending his bills were unconstitutional, thus permitting him to exercise his line-item veto. Even if the Constitution precluded the Legislature from altering nonappropriation bills—which it does not—this circumstance would not relieve the Court of its responsibility to decide the question presented. For the Governor can prevail in his affirmative defense only if he establishes two elements: that the Legislature acted unconstitutionally, and that the Constitution permits him to exercise a line-item veto to strike unconstitutionally enacted provisions. The Court ignores the second element.

As a legislative power, the veto is an exception to the separation of powers and in derogation of the general plan of state government. It may therefore be exercised only when autho-

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13. While denying this, the opinion notes that even when the Governor proposes an appropriation for prisons with substantive conditions attached, the Legislature "remains free to legislate on such subjects as the way in which prisons should be operated" (opinion at 92). I certainly agree, but I cannot reconcile this statement with the conclusion that in 1998 the Legislature violated the Constitution by requiring that the Franklin County prison proposed by the Governor contain a separate building suitable for educational, vocational, recreational and other inmate activities (*see* opinion at 86).

rized by the Constitution, and the language conferring it must be strictly construed. Indeed, New York's constitutional history reflects a determination not to give the Governor the greater power to veto "parts," "sections," "portions" or "provisions" of any bill, because this would result "in making the Governor the affirmative and sole law-making power of the State, instead of being the negative" (2 Proceedings and Debates, 1867 NY Constitutional Convention, at 1112 [Delegate Folger]; *accord id.* at 1117 [Delegate Church] ["it will make the Governor a part of the affirmative legislative power of the State"]).

> "If any bill presented to the governor contain several items of appropriation of money, the governor may object to one or more of such items while approving of the other portion of the bill. In such case the governor shall append to the bill, at the time of signing it, a statement of the items to which he or she objects; and the appropriation so objected to shall not take effect. . . . All the provisions of this section [governing procedures for reconsideration by the Legislature of gubernatorial vetoes], in relation to bills not approved by the governor, shall apply in cases in which he or she shall withhold approval from any item or items contained in a bill appropriating money" (NY Const, art IV, § 7).

Thus, the Constitution authorizes the use of the line-item veto only to strike items from appropriation bills—that is, bills containing several items of appropriation of money—as a check on government *spending*. There is simply no authority for exercise of the line-item veto against provisions contained in nonappropriation bills, as occurred in 1998. Nor can the Governor strike related provisions without striking the item of appropriation itself, for the Constitution is clear that it is "the appropriation" that shall not take effect upon exercise of a line-item veto.

Further, the Governor may not exercise a line-item veto in a manner that would otherwise have been impermissible simply because he believes that the provisions he strikes are unconstitutional. The Constitution recognizes no such exception. The separation of powers, moreover, does not permit the Executive to assume the judicial function of reviewing the constitutionality of laws passed by the Legislature and then acting to void them beyond his explicitly conferred power of general veto.

Tremaine I does not say otherwise. There, after determining that certain provisions attached to an appropriation bill by the

Legislature were unconstitutional, we explained that "[s]o far as the appropriations themselves are concerned, they may be separated from the unconstitutional parts of the statutes and are, therefore, the law of the State. . . . The Legislature may not attach void conditions to an appropriation bill. If it attempts to do so, the attempt and not the appropriation fails" (252 NY at 45). The Governor, however, misreads our severability analysis—essential to formulating the scope of our corrective action after judicial review—as authorizing the Executive himself to effectively sever purportedly unconstitutional portions of statutes from the remainder, *without* any judicial review. The Constitution grants him no such authority.

Since the courts below agreed that the provisions he struck were indeed unconstitutional—and voided the very provisions he had purported to strike—his vetoes, and therefore his *ability* to veto, were given full effect. Thus, if the Governor line-item vetoes an unconstitutional provision in a nonappropriation bill, his endeavor to render the provision void (by veto) will succeed if challenged on appeal, thereby effectively upholding the Governor's authority to veto unconstitutional provisions in nonappropriation bills—the very question that the Court declines to answer.

V. Conclusion

The executive budgeting scheme set forth in our Constitution is not the system my Colleagues sanction today. For 70 years no Executive has exercised the legislative power the Court, by its affirmance, now recognizes as a template for the future. The Court rejoins that the Legislature is not deprived of its ultimate authority because it retains the option to reject a Governor's appropriations in their entirety and cease to fund essential services of government. That the system permits stalemate is unconvincing proof that it requires it.

Judges GRAFFEO and READ concur with Judge R.S. SMITH; Judge ROSENBLATT concurs in result in a separate opinion in which Judge G.B. SMITH concurs; Chief Judge KAYE dissents in another opinion in which Judge CIPARICK concurs.

In each case: Order affirmed, without costs.

[824 NE2d 488, 791 NYS2d 57]

In the Matter of Rosemarie Panio, as Chairperson of the Westchester County Republican Committee, Respondent-Appellant, v Carolee Sunderland et al., Constituting the Board of Elections of the County of Westchester, et al., Respondents, Nicholas Spano, Respondent-Appellant, and Andrea Stewart-Cousins, Appellant-Respondent. (And Another Proceeding.)

Argued January 31, 2005; decided February 2, 2005

SUMMARY

Cross appeals, by permission of the Appellate Division of the Supreme Court in the Second Judicial Department, from an order of that Court, entered January 25, 2005. The Appellate Division modified, on the law, an order of the Supreme Court, Westchester County (Ira B. Warshawsky, J.), which had, in two related proceedings pursuant to Election Law article 16 to determine the validity of certain absentee and affidavit ballots tendered in the general election held on November 2, 2004, for the public office of Member of the New York State Senate from the 35th Senatorial District, directed the Westchester County Board of Elections (Board) to count 160 affidavit ballots tendered by voters who appeared at the correct polling place but the wrong election district, directed the Board to count three affidavit ballots tendered in the wrong election district because of a map error, directed that seven affidavit ballots tendered in the wrong polling place due to map error "be cast and canvassed," directed the Board not to count 45 absentee ballots tendered by poll workers, directed the Board not to count 450 affidavit ballots tendered by voters who appeared at the wrong polling place and the wrong election district, directed the Board not to count 20 affidavit ballots enclosed in envelopes that do not identify the election district in which they were tendered, and directed the Board not to count three affidavit ballots tendered by voters who were denied machine ballots because other voters allegedly signed the poll ledgers in their place. The modification consisted of deleting the provision thereof directing the Board to count 160 affidavit ballots tendered by voters who appeared at the correct polling place but the wrong election district and substituting therefor a provision directing the Board not to count those ballots, deleting the provisions thereof, in effect, directing the Board to count three affidavit ballots tendered in the wrong election district

because of a map error, and, in effect, directing that seven affidavit ballots tendered in the wrong polling place due to map error be cast and canvassed, and substituting therefor provisions directing that those votes not be counted, and deleting the provision thereof directing the Board not to count 45 absentee ballots tendered by poll workers, and substituting therefor a provision directing the Board to count those ballots. The Appellate Division affirmed the order as modified. The following question was certified by the Appellate Division: ‘‘Was the decision and order of this [C]ourt properly made?’’

Matter of Panio v Sunderland, 14 AD3d 627, modified.

HEADNOTES

Elections — Ballots — Affidavit Ballots — Correct Polling Site but Wrong Election District

1. In proceedings to determine the validity of certain absentee and affidavit ballots, the affidavit ballots cast by voters who were in the correct polling site but the wrong election district were valid. The casting of such ballots was likely the result of ministerial error on the part of a poll worker in failing to direct the voter to the correct table, and instead providing the voter with an affidavit without first properly verifying such voter’s right to vote in the election district. The risk of fraud inherent in absentee balloting is less in affidavit voting, and imposing such a minimal requirement of directing a voter to the correct election district within the same polling site will not invite impermissible deviation from statutory requirements devised to ensure fair elections.

Elections — Ballots — Affidavit Ballots — Wrong Polling Site and Wrong Election District

2. In proceedings to determine the validity of certain absentee and affidavit ballots, the affidavit ballots cast by voters who had gone to the wrong polling place and therefore voted in the wrong election district were invalid. It would be unreasonable to require poll workers to ensure that voters are in their proper polling site, and here the voters’ error of going to the wrong polling place could not be attributed to the ministerial error of election workers.

Elections — Absentee Ballots — Absentee Ballots Cast by Poll Workers

3. In proceedings to determine the validity of certain absentee and affidavit ballots, the absentee ballots cast by poll workers were valid. Although Election Law § 11-302 allows poll workers to vote by ‘‘special ballot’’ if they provide a ‘‘written statement’’ indicating that they will be unable to appear at their particular polling place on Election Day because of their duties as election workers, it does not prescribe the form of such written statements. Since it was ministerial error for the Board of Elections to direct that poll workers apply for special ballots using absentee ballot applications, and since the poll workers’ applications contained the substance of the required statement—that they were working the polls on Election Day—their votes were entitled to be counted.

Elections — Ballots — Affidavit Ballots — Envelopes without Identification of Election District

4. In proceedings to determine the validity of certain absentee and affidavit ballots, the affidavit ballots enclosed in envelopes that did not identify the

election district in which they were tendered were valid. There was no claim that these ballots were not properly cast in the first instance, nor that they were unidentifiable upon reaching the Board of Elections. Upon discovering that the election district had not been indicated on the individual ballot envelopes as they were removed from their respective election district bags, some Board employees then affixed to the envelopes yellow ''Post-it Notes'' containing the missing information, which subsequently became dislodged. Such mishandling reflected ministerial error on the part of Board employees.

Elections — Ballots — Affidavit Ballots — Voters Denied Opportunity to Vote by Machine

5. In proceedings to determine the validity of certain absentee and affidavit ballots, the affidavit ballots cast by voters who were denied the opportunity to vote by machine because other voters had allegedly signed the poll ledgers in their place were invalid. Inasmuch as votes had already been cast in the names of these voters, the possibility of fraud was manifest. The exclusive remedy available to the voters was to seek a court order allowing them to vote (*see* Election Law § 16-108 [3]).

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By the Publisher's Editorial Staff

Am Jur 2d, Elections §§ 95, 331–339, 341, 357.

Carmody-Wait 2d, Proceedings Under Election Laws §§ 137:15, 137:19, 137:23, 137:74.

McKinney's, Election Law §§ 11–302, 16–108 (3).

NY Jur 2d, Elections §§ 566, 600, 604, 623, 650, 653, 796, 802, 803.

ANNOTATION REFERENCE

See ALR Index under Absentee Voting; Elections and Voting.

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POINTS OF COUNSEL

Henry T. Berger, New York City, *Thomas J. Garry, Jeffrey H. Pearlman* and *Deborah A. Porder* for appellant-respondent. I. Affidavit ballots cast in the wrong election district, whether in the right polling place or the wrong polling place or as a result of ''map error,'' should be cast and canvassed. (*Matter of Wicksel v Cohen,* 262 NY 446; *People ex rel. Hirsh v Wood,* 148 NY 142; *Sheils v Flynn,* 252 App Div 238, 275 NY 446; *Matter of Luck v Fisk,* 243 AD2d 812; *Matter of Weinberger v Jackson,* 28 AD2d 559; *Matter of Mullen v Heffernan,* 193 Misc 334, 274 App Div 972, 298 NY 785; *Ex parte Yarbrough,* 110 US 651; *United*

States v Mosley, 238 US 383; *Reynolds v Sims,* 377 US 533; *Burdick v Takushi,* 504 US 428.) II. Absentee ballots submitted by poll workers who actually worked on Election Day in response to an absentee ballot application provided to them by the board of elections and setting forth that the applicant was a poll worker should be cast and canvassed. (*Matter of Gross v Albany County Bd. of Elections,* 10 AD3d 476, 3 NY3d 251; *Griffin v Burns,* 570 F2d 1065.) III. Affidavit ballots which did not have identifying election district information on the face of the ballot envelopes, but whose source was identified at the time they arrived at the board of elections, should be cast and canvassed. IV. Affidavit ballots cast by voters because someone else had signed the poll book in their place prior to the voters arriving at the polls should be cast and canvassed. (*Matter of Mondello v Nassau County Bd. of Elections,* 6 AD3d 18.)

John Ciampoli, Albany, and *David L. Lewis,* New York City, for respondents-appellants. I. The exclusion of ballots improperly voted, false on their face in their affidavits, and lacking proof of ministerial error by any board of elections employee should be affirmed. (*Gross v Albany County Bd. of Elections,* 10 AD3d 476, 3 NY3d 251.) II. Determinations to exclude the remaining classes of ballots were based on findings of fact upon the record below. III. No constitutional claim was raised below. It should not be added to respondent's claims for the first time. (*Di Bella v Di Bella,* 47 NY2d 828; *National Org. for Women v State Div. of Human Rights,* 32 NY2d 940; *Cibro Petroleum Prods. v Chu,* 67 NY2d 806; *Matter of Barbara C.,* 64 NY2d 866.)

OPINION OF THE COURT

Per Curiam.

These appeals arise from the November 2, 2004 general election for the 35th State Senatorial District between Republican candidate Nicholas Spano and Democratic candidate Andrea Stewart-Cousins. After a close race, the Chairperson of the Westchester County Republican Committee and the Democratic candidate commenced separate proceedings to determine, among other things, the validity of certain absentee and affidavit ballots. Five categories of challenged ballots, not yet counted, are before us.[1] All are from duly registered voters. We now modify the order of the Appellate Division.

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1. While a sixth, separate category of "map error" accounting for 10 votes was before the courts below, we have regrouped those 10 votes into their

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[1] Under Election Law § 8-302 (3) (e),

> ''[w]henever a voter presents himself and offers to cast a ballot, and the address at which he claims to live is in the election district in which he seeks to vote but no registration poll record can be found for him in the poll ledger or his name does not appear on the computer generated registration list or his signature does not appear next to his name on such computer generated registration list,''

the voter may vote only by court order (*see* Election Law § 8-302 [3] [e] [i]) or by sworn

> ''affidavit stating that he has duly registered to vote, the address in such election district from which he registered, that he remains a duly qualified voter in such election district, that his registration poll record appears to be lost or misplaced or that his name and/or his signature was omitted from the computer generated registration list or that he has moved within the county or city since he last registered, [and] the address from which he was previously registered and the address at which he currently resides. . . . The inspectors of election shall offer such an affidavit to each such voter whose residence address is in such election district'' (Election Law § 8-302 [3] [e] [ii]).

Upon subscribing such a sworn affidavit, the voter must be permitted to vote by emergency ballot. A number of voters here cast affidavit ballots in the correct polling site but the wrong election district. We hold that the 160 (now 163) affidavit ballots cast by these voters should be counted.[2]

When a ballot is contested in a judicial proceeding, the court must, after determining that the person who cast the ballot was entitled to vote, order the ballot to be counted ''if the court finds that ministerial error by the board of elections or any of its employees caused such ballot envelope not to be valid on its

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larger categories: seven ballots cast by voters at wrong polling sites and consequently wrong election districts, and three ballots cast by voters at correct polling sites but wrong election districts.

2. This would be consistent with the Westchester Board's policy to count ballots cast in the right polling site, but wrong election district. The Westchester County Board of Elections provided instructions to its employees that when a ''voter cast[s] ballot at incorrect polling site'' it was ''not to be opened'' but when a ''voter cast[s] ballot at correct polling site[,] wrong ED,'' after checking lists the ballot is ''to be opened.''

face'' (Election Law § 16-106 [1]; *see also* Election Law § 9-209 [2] [a] [2]).

Because the risk of fraud inherent in absentee balloting is less in affidavit voting, where the voter presents himself or herself in person before board personnel on Election Day, imposing such a minimal requirement of directing a voter to the correct election district within the same polling site will not invite impermissible deviation from statutory requirements devised to ensure fair elections (*compare Matter of Gross v Albany County Bd. of Elections*, 3 NY3d 251, 260 [2004]). We can reasonably infer that casting an affidavit ballot at the correct polling site but at the wrong election district is the result of ministerial error on the part of a poll worker in failing to direct the voter to the correct table, and instead providing the voter with an affidavit without first properly verifying such voter's right to vote in the election district (Election Law § 8-302 [1]).

[2] We agree, however, with the courts below that the 450 (now 457) affidavit ballots cast by voters who had gone to the wrong polling place and therefore voted in the wrong election district should not be counted. Here, the voters at issue were offered such affidavits even though their residence addresses were not in the election districts in which they were permitted to vote. Neither had these voters appeared at their correct polling site.

As the courts below recognized, Election Law § 4-100 (1) provides that the state ''shall be divided into election districts which shall be the basic political subdivision for purposes of registration and voting.'' It would be unreasonable to require poll workers to ensure that voters are in their proper polling site. Therefore, on this record, the voters' error of going to the wrong polling place cannot be attributed to the ministerial error of election workers.

[3] We agree with the Appellate Division that the 45 absentee ballots cast by poll workers should be counted. Election Law § 11-302 allows poll workers to vote by ''special ballot'' if they provide a ''written statement'' indicating that they ''will be unable to appear at the polling place for such election district on the day of an election'' because of their duties as election workers. Election Law § 11-302, however, does not prescribe the form of such written statements. Since it was ministerial error for the Board of Elections to direct that poll workers apply for special ballots using absentee ballot applications, and since the poll workers' applications contained the substance of the required statement—that they were working the polls on Election Day—their votes must be counted.

[4] Next, we conclude that the 20 affidavit ballots enclosed in envelopes that did not identify the election district in which they were tendered should be counted. There is no claim that these ballots were not properly cast in the first instance, nor that they were unidentifiable upon reaching the Board of Elections. When workers removed the ballots from their respective election district bags, they discovered that the election district had not been indicated on the individual ballot envelopes. Some Board employees then affixed to the envelopes yellow ''Post-it Notes'' containing the missing information, which subsequently became dislodged. Such mishandling also plainly reflects ministerial error on the part of Board employees.

[5] Finally, we hold that the courts below properly excluded the three affidavit ballots cast by voters who were denied the opportunity to vote by machine because other voters had allegedly signed the poll ledgers in their place. Inasmuch as votes had already been cast in the names of these voters, the possibility of fraud is manifest. In this circumstance, the exclusive remedy available to the voters was to seek a court order allowing the voter to vote (*see* Election Law § 16-108 [3]).

In conclusion, the ballots that will be counted were in dispute only due to the Board's ministerial errors. In upholding the Election Law we refrain from an interpretation that will disenfranchise 228 voters because of such ministerial errors.[3] We direct that those ballots be cast and canvassed—opened and counted as per Election Law § 9-209 (2) (a) (2) and § 16-106 (1).

Accordingly, the order of the Appellate Division should be modified, without costs, in accordance with this opinion and, as so modified, affirmed. The certified question should not be answered upon the ground that the Appellate Division order is final and thus the certified question is unnecessary.

READ, J. (dissenting in part). The key issue dividing me from

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3. The dissent is concerned with safeguarding the integrity of the electoral process (*see* dissenting op at 131). The rule we adopt today reasonably strikes a balance between the duty imposed by statute on boards of elections and their workers and the rights of a voter to cast a vote free from undue restriction as guaranteed by article II of the New York State Constitution, which states that ''[e]very citizen shall be entitled to vote at every election . . .'' (NY Const, art II, § 1).

the majority is whether to count 160 affidavit ballots cast by voters who appeared in the wrong election district at the correct polling site. As is often the case with the Election Law appeal of a hotly contested, very close race, this issue presents us with a choice between hewing to strict compliance with the law or blinking what some may view as legal technicalities so that a ballot cast by a registered voter may be counted. Because our case law and, in my view, sound jurisprudential practice strongly favor the former approach, I joined the majority in our recent decision in *Matter of Gross v Albany County Bd. of Elections* (3 NY3d 251 [2004]) and respectfully dissent here.

In New York, the election district is the ''basic political subdivision'' for voting (*see* Election Law § 4-100 [1]). Election Law § 9-209 (2) (d) expressly authorizes objection to the casting and canvassing of any affidavit ballot ''on the grounds that the voter is not a properly qualified voter of the election district'' designated on the affidavit. Thus, an affidavit ballot tendered by a voter in the wrong election district implicates the voter's qualifications (*see* Election Law § 8-302 [1], [2], [3] [e] [ii]; § 9-209 [2] [d]; *see also Matter of Carola v Saratoga County Bd. of Elections*, 180 AD2d 962, 963-964 [3d Dept 1992]; *Matter of Marraccini v Balancia*, 182 AD2d 628, 630 [2d Dept 1992]).

Section 9-209 of the Election Law provides generally for the casting and canvassing of envelopes and affidavit ballots contained therein; subdivision (2) (a) (2) of this provision states that ''[i]f the board of inspectors determines that a person was entitled to vote at such election it shall cast and canvass such [affidavit] ballot if such board finds that ministerial error by the board of elections or any of its employees caused such ballot envelope not to be valid on its face.'' Similarly, in a court proceeding contesting the casting or canvassing or the refusal to cast challenged affidavit ballots, ''[i]f the court determines that the person who cast such ballot was entitled to vote at such election, it shall order such ballot to be cast and canvassed if the court finds that ministerial error by the board of elections or any of its employees caused such ballot envelope not to be valid on its face'' (Election Law § 16-106 [1]).

We have recently characterized ''ministerial error'' as merely ''suggest[ing] a clerical or other inconsequential mistake comparable to the situation in *Matter of Carney v Niagara County Bd. of Elections* (8 AD3d 1085 [4th Dept 2004] [where the Board failed to date/time-stamp a military ballot envelope that was timely filed])'' (*Gross*, 3 NY3d at 259 n 3). Further, although sections 9-209 (2) (a) (2) and 16-106 (1) of the Election Law authorize a board of elections and supreme court respectively to cause an affidavit ballot to be counted when the envelope's facial invalidity results from the board's ministerial error, these provisions contemplate that the ballot's proponent has the burden of going forward and the burden of proving ministerial error. Failure to tender an affidavit ballot in the correct election district is not the type of inconsequential or technical deficiency that we may overlook. Today, however, the majority equates "ministerial error," which is applicable only to facial defects on ballot envelopes, to errors that result in voters tendering affidavit ballots in the wrong election districts.

The majority has thus expanded the concept of ministerial error to encompass a duty on the part of inspectors to make certain that a voter who appears at the proper polling site tenders his affidavit ballot in the correct election district. Assuming for the sake of argument that the Election Law imposes this duty on inspectors and that its breach is a ministerial error, there is, as the Appellate Division observed, "after carefully reviewing the 2,333-page trial transcript, . . . insufficient evidence to support a finding that these particular 160 voters tendered affidavit ballots in the wrong election districts because of ministerial errors on the part of the poll workers" (14 AD3d 627, 631 [2d Dept 2005]). Not one of these 160 voters testified at all, much less testified that a poll worker misdirected, misinformed or somehow failed to assist in finding the correct election district. Nor is there proof of systemic failure of the board to notify voters of the correct election district or otherwise to perform its duties properly. In fact, more than 118,000 votes were cast in this election without incident.

The majority overcomes this seemingly insurmountable evidentiary deficiency by creating and applying a presumption that it is, in effect, always the fault of the board or its employees when a voter tenders an affidavit ballot in the wrong election district within the correct polling site. Nothing in the Election Law's language or legislative history supports such a presumption. In fact, this spanking new presumption—which relieves the improperly tendered affidavit ballot's proponent from the burden of going forward to prove ministerial error and instead places on the ballot's opponent the burden of rebuttal—stands the Election Law on its head.

There is no suggestion of voter fraud here; however, requiring a voter to tender his affidavit ballot in the correct election district safeguards the integrity of the electoral process. Currently, the board checks the poll ledger in the election district in which the voter has affirmed he is registered, and thus ensures that he has not voted multiple times—by one or more affidavit ballots or by machine. If the presumption now is that an affidavit ballot tendered at the right polling site but the wrong election district is valid, the potential for fraud will be enhanced as the board's cross-checking and verifying to prevent multiple voting will only be relevant when an affidavit ballot is contested.

This was one of those elections where, after the canvassing of the machine vote, the winning candidate's margin of victory was so slim as to flirt with the margin of error inherent in any electoral contest. The candidates have, in effect, tied, and the "true" winner is essentially unknowable. Although the rival candidates and their respective champions would hardly agree, when this situation arises it is arguably less important which candidate is declared the winner than it is to declare one of them a winner expeditiously. Here, the election took place on November 2, 2004, the Legislature convened its 2005 session on January 5, 2005 and, nearly a month later, the 35th Senatorial District remains unrepresented in the New York State Senate. One of the salutary consequences strict adherence to the provisions of the Election Law promotes—in addition to those that we outlined in *Gross* (3 NY3d at 258)—is predictability, which serves to hasten resolution of close elections. By deviating from the exact requirements of the Election Law here, the majority exhibits a willingness to interpret the statute with a creativity bound to sow uncertainty and thus prolong litigation in future close elections to the disadvantage of the electorate as a whole.

Accordingly, I would affirm the order of the Appellate Division.

Chief Judge KAYE and Judges G.B. SMITH, CIPARICK, ROSENBLATT and R.S. SMITH concur in per curiam opinion; Judge READ dissents in part and votes to affirm in a separate opinion in which Judge GRAFFEO concurs.

Order modified, etc.

[824 NE2d 494, 791 NYS2d 63]

In the Matter of Francis G. D'Ambrosio, Appellant, v Department of Health of the State of New York et al., Respondents.

Argued January 4, 2005; decided February 10, 2005

SUMMARY

Appeal, on constitutional grounds, from a judgment of the Appellate Division of the Supreme Court in the Third Judicial Department, entered January 15, 2004 in a proceeding pursuant to CPLR article 78. The Appellate Division (1) confirmed a determination of respondent Administrative Review Board for Professional Medical Conduct finding that petitioner's conduct in Nevada would constitute professional misconduct in New York and imposing a five-year period of probation upon petitioner, and (2) dismissed the petition.

Matter of D'Ambrosio v Department of Health of State of N.Y., 3 AD3d 706, affirmed.

HEADNOTE

Physicians and Surgeons — Disciplinary Proceedings

A determination of the Administrative Review Board for Professional Medical Conduct which imposed a five-year period of probation upon petitioner based on his voluntary surrender of his license in Nevada while professional malpractice charges were pending against him in that state was properly confirmed. Petitioner violated Education Law § 6530 (9) (d) by surrendering his license after a disciplinary action was instituted in another state, where the conduct resulting in the surrender would, if committed in New York State, constitute professional misconduct under New York law. The statute does not require proof of guilt of the out-of-state misconduct charges. Petitioner had both notice of the charges against him and an opportunity to be heard in Nevada. Nor was petitioner denied due process in New York. The New York statute put petitioner on notice that he would be subject to discipline here if he voluntarily surrendered an out-of-state medical license after charges against him for conduct that, if committed here, would constitute professional misconduct under New York law. Due process did not require that petitioner additionally be afforded the opportunity to litigate the merits of the Nevada charges here (*see* Public Health Law § 230 [10] [b]).

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By the Publisher's Editorial Staff

Am Jur 2d, Physicians, Surgeons, and Other Healers §§ 65–67, 71, 92, 102–104.

McKinney's, Education Law § 6530 (9) (d); Public Health Law § 230 (10) (b).

NY Jur 2d, Business and Occupations §§ 22.1, 127, 167–169; NY Jur 2d, Physicians, Surgeons, and Other Healers §§ 23, 60, 64, 72, 76, 77.

ANNOTATION REFERENCE

Rights as to notice and hearing in proceeding to revoke or suspend license to practice medicine. 10 ALR5th 1.

FIND SIMILAR CASES ON WESTLAW®

Database: NY-ORCS
Query: medical /s license /s surrender

POINTS OF COUNSEL

Phillips Nizer LLP, New York City (*Michael J. Silverberg* and *Candice Frost* of counsel), for appellant. I. Appellant's conviction of professional misconduct without evidence, without notice of the charges and without fair opportunity to defend violated established precedent and his constitutional due process rights. (*Matter of McBarnette v Sobol,* 83 NY2d 333.) II. The Appellate Division's construction of the relevant statutes directly conflicts with this Court's decision in *Matter of Halyalkar v Board of Regents of State of N.Y.* (72 NY2d 261 [1988]) and established principles of due process of law. (*Matter of Becker v DeBuono,* 239 AD2d 664; *Matter of Ikramuddin v DeBuono,* 256 AD2d 1039; *Matter of Herberman v Novello,* 280 AD2d 814.) III. Petitioner's conviction without notice of charges or a fair opportunity to defend violated his constitutional due process rights. (*Matter of Hecht v Monaghan,* 307 NY 461; *College Sav. Bank v Florida Prepaid Postsecondary Educ. Expense Bd.,* 527 US 666; *Johnson v Zerbst,* 304 US 458; *Jells v Ohio,* 498 US 1111; *Matter of Murray v Murphy,* 24 NY2d 150; *Matter of Ruffalo,* 390 US 544; *Matter of Shapiro v Board of Regents of Univ. of State of N.Y.,* 16 NY2d 783; *Goldberg v Kelly,* 397 US 254; *Matter of Fitzgerald v Libous,* 44 NY2d 660; *Boddie v Connecticut,* 401 US 371.)

Eliot Spitzer, Attorney General, New York City (*Jean Lin, Michelle Aronowitz* and *Mike S. Belohlavek* of counsel), for respondents. I. Education Law § 6530 (9) (d) does not require a finding of guilt of the foreign misconduct charges before a physician may be disciplined in New York. (*Matter of Halyalkar v Board of Regents of State of N.Y.,* 72 NY2d 261; *Matter of Sternberg v Administrative Review Bd. for Professional Med. Conduct,* 235 AD2d 945; *Matter of Hatfield v Department of Health,* 245

AD2d 703; *Matter of Herberman v Novello,* 280 AD2d 814; *Matter of Ikramuddin v DeBuono,* 256 AD2d 1039; *Matter of Khan v New York State Dept. of Health,* 274 AD2d 784; *Matter of Becker v DeBuono,* 239 AD2d 664; *Matter of Storar v Dillon,* 52 NY2d 363.) II. The application of Education Law § 6530 (9) (d) to Francis D'Ambrosio's case comports with due process requirements. (*Matter of Block v Ambach,* 73 NY2d 323; *Matter of Amarnick v Sobol,* 173 AD2d 914; *Matter of Steckmeyer v State Bd. for Professional Med. Conduct,* 295 AD2d 815; *Matter of Taylor v Board of Regents of Univ. of State of N.Y.,* 208 AD2d 1056; *Matter of Shapiro v Board of Regents of Univ. of State of N.Y.,* 16 NY2d 783; *Matter of Murray v Murphy*, 24 NY2d 150; *Matter of Brigham v DeBuono,* 228 AD2d 870; *Matter of Dhabuwala v State Bd. for Professional Med. Conduct,* 225 AD2d 209; *Matter of Schoenbach v DeBuono,* 262 AD2d 820; *Matter of Sasson v Commissioner of Educ.,* 127 AD2d 875.)

OPINION OF THE COURT

Chief Judge KAYE.

Appellant doctor challenges the discipline imposed on him by the Board for Professional Medical Conduct, based on his voluntary surrender of his license in Nevada, after malpractice charges there. We conclude that the Appellate Division correctly upheld the administrative determination.

Facts

In 1987, appellant obtained his medical license in New York. He has not been registered as a physician in this state since December 1992, and has never practiced here. From 1993 until 2000, he was an orthopedic surgeon in Las Vegas, Nevada. In 2000, he relocated his practice to California and allowed his Nevada license to lapse. Appellant alleges that at the time he relocated to California, he had no intention of returning to Nevada.

On March 22, 2002, the Nevada Investigative Committee of the Board of Medical Examiners issued a 10-count complaint alleging professional malpractice in appellant's treatment of seven patients between 1995 and 2000. Appellant was charged both with ''[c]ontinual failure to exercise the skill or diligence or use the methods ordinarily exercised under the same circumstances by physicians in good standing practicing in the same specialty or field'' (Nev Rev Stat 630.306 [7]) and with malpractice as ''evidenced by claims settled against a practitioner'' (Nev Rev

Stat 630.301 [4]). Nevada law required that a complaint contain a ''short and plain statement of the matters asserted''; if requested, ''a more definite and detailed statement must be furnished'' (Nev Rev Stat 233B.121 [2] [d]).

The complaint identified appellant's seven former patients as ''A'' through ''G.'' The complaint alleged that following surgery, patient A suffered complications including cauda equina syndrome; that following surgery, patient B suffered extensive edema with ischemia resulting in postoperative quadriparesis and bone graft impingement; and that following surgery and placement of an interior plate in patient E, appellant recommended further surgery for postoperative complications and patient E was later diagnosed as an asymmetrical quadriplegic. For these patients, the complaint set forth the date of surgery, that each patient had filed a medical malpractice action with the Nevada Medical Dental Legal Screening Panel and the case number of each action, that each of these actions had been settled and the settlement amount (patient A: $675,000; patient B: $1,927,000; patient E: $3,500,000).*

For patients C, D and G, the complaint identified the dates of surgery and preoperative diagnosis. For patient F, the complaint identified the date of surgery, preoperative diagnosis, type of surgery performed and resulting complications.

In addition to the opportunity to request a more definite and detailed statement, Nevada law provided that the ''[o]pportunity must be afforded all parties to respond and present evidence and argument on all issues involved'' (Nev Rev Stat 233B.121 [4]). Appellant made no request for more details and no response to the allegations of the complaint. Instead, on April 17, 2002—under oath in his attorney's office in California—appellant signed a Voluntary Surrender Of License To Practice

* Nevada law at the time required that such actions be filed with a screening panel before proceeding to court and that the claimant provide a ''clear and concise statement of the facts of the case, showing the persons involved and the dates and circumstances, so far as they are known, of the alleged medical . . . malpractice'' (Nev Rev Stat 41A.039 [2], repealed by L 2002 [18th Sp Sess], ch 3, § 69, eff Oct. 1, 2002). The Panel was required to consider all documentary evidence, including the complaint, answer and response, health care records, dental records and records of a hospital or office and the testimony of any expert witnesses and determine from that evidence whether there was a reasonable probability of medical malpractice (*id.*, 41A.049 [2]). If a reasonable probability existed, the patient, doctor and the doctor's insurer had to attend a mandatory settlement conference before a judge to determine the ''reasonable value of the claim for purposes of settlement'' (*id.*, 41A.059 [1], [5]).

Medicine In The State Of Nevada While Under Investigation (*see* Nev Admin Code, ch 630, § 240). In the document, he acknowledged that he was aware that he was under investigation for violations of the Medical Practice Act, that he "voluntarily, absolutely, and irrevocably surrender[ed] his license to practice medicine in the state of Nevada," and that his surrender was subject to chapter 630, § 240 of the Nevada Administrative Code. Chapter 630, § 240 (1) states that "[i]f the Board accepts the surrender of the license, the surrender is absolute and irrevocable and the Board will notify any agency or person of the surrender and the conditions under which the surrender occurred, as the Board considers advisable."

On June 1, 2002, the Nevada State Board of Medical Examiners "having considered the matter . . . and good cause appearing," issued an order stating "[t]hat the irrevocable surrender of the license to practice medicine in the state of Nevada, while under investigation . . . is accepted." The Board proceeded no further with its disciplinary action.

Shortly thereafter, on September 27, 2002, the New York State Board for Professional Medical Conduct commenced a "referral proceeding" against appellant, alleging that he "violated New York Education Law § 6530 (9) (d) by having surrendered his license . . . after a disciplinary action was instituted by a duly authorized professional disciplinary agency of another state, where the conduct resulting in the surrender . . . would if committed in New York state, constitute professional misconduct under the laws of New York state." The Board further claimed that appellant's conduct resulting in the surrender of his license would constitute misconduct under the laws of New York pursuant to Education Law § 6530 (3) (negligence on more than one occasion); § 6530 (4) (gross negligence); § 6530 (5) (incompetence on more than one occasion); and/or § 6530 (6) (gross incompetence). Public Health Law § 230 (10) (p) required appellant to file a written answer to the charges, and provided that "any charge or allegation not so answered shall be deemed admitted." No written answer is contained in the record.

On December 19, 2002, the Board withdrew the charges of gross negligence and gross incompetence, and a three-member Hearing Committee proceeded with a conference and expedited hearing (*see* Public Health Law § 230 [10] [p]; *see also Matter of Wolkoff v Chassin*, 89 NY2d 250, 252 n [1996]). At the conference, the Administrative Law Judge informed appellant that he was "free to introduce evidence explaining what the reason was for signing the surrender document, and he [was] free to submit evidence about what he did or did not do with these patients.'' Appellant moved for dismissal on the ground that the proceeding violated due process and fundamental fairness, which the Administrative Law Judge denied.

At the hearing that followed immediately, the Board submitted the notice of referral proceeding, statement of charges, the Nevada complaint, appellant's voluntary surrender and the Nevada order accepting the surrender. Testifying in his own defense, appellant—in one-word denials—denied knowledge of the substance of the claims made against him, denied that he committed malpractice or did anything negligent in the treatment of the patients listed in the complaint, denied that he could explain how the charges against him were incorrect, denied that the Nevada committee presented facts about his alleged wrongdoing, and denied that anyone explained the charges to him. Asked why he chose to surrender his Nevada license, he explained that, after speaking to his attorney, ''rather [than] go to the expense of having to fight and stand before counsels and try to get my point of view across, that the option they gave me was to surrender my license to make everything go away. I wanted to leave Nevada. I never planned on going back. I just wanted it all to end.'' Appellant stated he ''didn't do anything below the standard of care,'' and that his lawyer had advised him that there would be no collateral consequences resulting from the surrender of his Nevada license.

The Hearing Committee dismissed the professional misconduct charges on the ground that the evidence was insufficient for a finding that, had the alleged conduct occurred in New York, it would constitute any type of professional misconduct here. The five-member Administrative Review Board overturned the Hearing Committee, concluding that appellant surrendered his license to avoid litigation of the charges, that the surrender raised the inference that the charges were meritorious, and that the conduct for which appellant was disciplined would have amounted to professional negligence and incompetence in New York. For a penalty, the Board determined that, should appellant return to New York to practice, ''five years on probation, with a monitor and pre-operative review, will allow the State to oversee [appellant's] practice to assure that [he] has corrected the deficiencies in his practice that resulted in his license surrender in Nevada.'' On CPLR article 78 review, the Appellate Division confirmed the administrative determination. We now affirm.

Discussion

Appellant contends that the finding of professional misconduct based on his voluntary surrender in Nevada violated the New York statute as well as due process of law. We begin with the statute.

In 1980, the Legislature enacted Education Law § 6509 (5) (b) to define professional misconduct as ''[h]aving been found guilty . . . by a duly authorized professional disciplinary agency of another state'' of conduct that, if undertaken in New York, would amount to professional misconduct under New York law (L 1980, ch 866, § 4). Physicians who resolved disciplinary charges in other states without actual findings of guilt—whether by surrendering their licenses there, or by consent to sanctions—were thus able to avoid discipline in New York, unless New York could overcome the obvious difficulty of securing records and witnesses and prosecute charges based on out-of-state events.

In 1985, the Legislature added Education Law § 6509 (5) (d) to close that gap by permitting New York's licensing authorities to discipline a professional if, ''after a disciplinary action was instituted by a duly authorized professional disciplinary agency of another state'' the professional surrendered his or her license or otherwise consented to discipline before any finding of guilt (L 1985, ch 294, § 11). The statute imposed two requirements before a finding of professional misconduct in New York: the voluntary surrender of a license after disciplinary action was instituted by a duly authorized professional disciplinary agency of another state, and the conduct resulting in the surrender that would, if committed in New York, constitute professional malpractice in this state. In 1991, the Legislature consolidated the various existing statutory and regulatory definitions of professional misconduct applicable to physicians in a new article 131-A of the Education Law and imported the language of section 6509 (5) (d) into section 6530 (9) (d) (*see* Assembly Mem in Support, L 1991, ch 606, Bill Jacket, at 21 [''amends Public Health Law section 230, subdivision 1, to refer to definitions of professional misconduct in 6530 and 6531 in the Education Law in lieu of existing definitions in 6509 of the Education Law'']; *see also Matter of Wolkoff v Chassin*, 89 NY2d 250, 252-253 [1996]).

We reject appellant's interpretation of Education Law § 6530 (9) (d) as requiring proof of guilt of the out-of-state misconduct charges. Plainly, the Legislature enacted Education Law § 6509 (5) (d), from which Education Law § 6530 (9) (d) is derived, in order to close a loophole—in other words, to address precisely the situation before us by subjecting a physician to disciplinary review if (as found by the Administrative Review Board in the case before us) "the physician 'voluntarily' surrendered his or her license in another state to avoid a finding of medical misconduct" (Mem of State Exec Dept, 1985 McKinney's Session Laws of NY, at 3027). Indeed, if appellant were correct—if proof of guilt still were required—the statutory provisions regarding voluntary surrender would add nothing to the disciplinary scheme and would be rendered meaningless.

Appellant misconstrues *Matter of Halyalkar v Board of Regents* (72 NY2d 261 [1988]) when he argues that New York cannot give preclusive effect to an out-of-state disciplinary order accepting a voluntary surrender of license that has not been actually litigated. The issue presented in *Halyalkar* was whether the New York Board of Regents properly invoked the doctrine of collateral estoppel, using settlement of misconduct charges in New Jersey offensively to prove the merits of those charges in a later New York proceeding. We concluded that there was no identity of issue essential to collateral estoppel because misconduct had not been litigated in New Jersey—petitioner had entered a plea. Notably, however, *Halyalkar* was decided on collateral estoppel grounds, did not involve a referral proceeding pursuant to Education Law § 6530 (9) (d), and predated the statutory amendments eliminating a requirement that guilt be proved.

We further reject appellant's contention that his due process rights were violated by the failure of the Nevada complaint to put him on notice of what he had done wrong, and by the failure to provide a full and fair opportunity to defend against those charges in Nevada and New York.

Appellant had both notice and an opportunity to be heard in Nevada. As we observed in *Matter of Block v Ambach*, "in the administrative forum, the charges need only be reasonably specific, in light of all the relevant circumstances, to apprise the party whose rights are being determined of the charges against him and to allow for the preparation of an adequate defense" (73 NY2d 323, 333 [1989] [internal citations omitted]). While a complaint totally devoid of detail would not suffice, the Nevada complaint, though minimal, sufficiently advised appellant of the charges against him, particularly when coupled with the malpractice action screening and settlement procedures and the statute requiring that a more definite and detailed statement be furnished upon request. Appellant deliberately chose not to avail himself of the opportunity to obtain greater specificity of the charges had he wanted it. Additionally, under Nevada law appellant was afforded the right to a hearing, with full procedural safeguards—all of which he relinquished by his conscious choice to surrender his license, with notice that that act alone might have consequences elsewhere (*see* Nev Admin Code, ch 630, § 240).

Nor was appellant denied due process in New York. The New York statute put appellant on notice that he would be subject to discipline here if he voluntarily surrendered an out-of-state medical license after charges against him for conduct that, if committed here, would constitute professional misconduct under New York law. Due process does not require that appellant additionally be afforded the opportunity to litigate the merits of the Nevada charges here. In a referral proceeding, moreover, the law requires only that a complaint ''state the substance of the alleged professional misconduct'' and ''the material facts but not the evidence by which the charges are to be proved'' (Public Health Law § 230 [10] [b]). Here, the Department of Health relied on the Nevada complaint, which alleged that appellant ''failed . . . to use reasonable care, skill, or knowledge ordinarily used under similar circumstances, which resulted in . . . malpractice in his treatment of'' the identified patients. Under New York law, practicing medicine ''with negligence on more than one occasion'' and practicing medicine ''with incompetence on more than one occasion'' constitute professional misconduct (Education Law § 6530 [3], [5]). No reasonable distinction can be made between a failure to use reasonable care resulting in malpractice as alleged in the Nevada complaint and the terms ''negligence'' and ''incompetence'' used in the New York statute.

Apart from having received sufficient notice of the charges, appellant had an opportunity at the hearing to offer evidence and explain the nature of his alleged conduct. As in Nevada, appellant chose not to avail himself of the opportunity New York law offered.

Accordingly, the judgment of the Appellate Division should be affirmed, with costs.

Judges G.B. Smith, Ciparick, Rosenblatt, Graffeo, Read and R.S. Smith concur.

Judgment affirmed, with costs.

[824 NE2d 499, 791 NYS2d 68]

THE PEOPLE OF THE STATE OF NEW YORK, Respondent, v VICTOR T. THOMAS, Appellant.

Argued January 13, 2005; decided February 15, 2005

SUMMARY

APPEAL, by permission of an Associate Judge of the Court of Appeals, from an order of the Appellate Term of the Supreme Court in the Second Judicial Department, entered March 9, 2004. The Appellate Term (1) dismissed as superseded an appeal from an order of the District Court of Nassau County (Scott Fairgrieve, J.), dated July 10, 2002, which had granted defendant's motion to dismiss the accusatory instruments charging defendant with harassment in the second degree and resisting arrest, and (2) modified, on the law, an order of that District Court, entered April 18, 2003, which had granted reargument and, upon reargument, adhered to its earlier determination. The modification consisted of denying defendant's motion to dismiss, reinstating the accusatory instruments, and remanding to District Court for further proceedings.

People v Thomas, 4 Misc 3d 57, affirmed.

HEADNOTES

Crimes — Information — Validity of New Information Containing Additional Facts or Offenses Not Previously Charged

1. In a prosecution originally commenced by the filing of separate accusatory instruments charging defendant with third degree assault and resisting arrest after police officers responded to a report of domestic violence involving defendant, the People properly filed a superseding information that restated the charge of resisting arrest and elaborated on the facts forming the basis for the charge, and a successive information that charged a new crime, second degree harassment based on defendant's conduct toward the police officer, and set forth new facts forming the basis for the new charge. CPL 100.50 (1) authorizes the People to file ''another information'' prior to the entry of a guilty plea or commencement of a trial, and it does not impose any restrictions on the type of crimes that may be included in a new information. Since a new crime may be charged, the statute necessarily implies that new facts may be alleged in support of any additional offenses, and nothing in CPL 100.50 (2) restricts the People's ability to provide additional factual detail in a new information. Moreover, it was the Legislature's intent in enacting CPL 100.50 (1) that prosecutors be able to issue an information that charges new, joinable crimes premised on factual allegations that were not included in the original information.

Crimes — Information — Sufficiency of Information

2. The superseding information charging defendant with resisting arrest was not rendered defective by its reliance on hearsay statements attributed to

the victim, as the information was not used to prove that the victim's assertion was true, but rather to demonstrate that there was reasonable cause to arrest defendant.

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Am Jur 2d, Indictments and Informations §§ 53, 54.
Carmody-Wait 2d, Criminal Procedure §§ 172:887, 172:888.
LaFave, et al., Criminal Procedure (3d ed) § 19.5.
McKinney's, CPL 100.50.
NY Jur 2d, Criminal Law §§ 911, 936, 937.

ANNOTATION REFERENCE

See ALR Index under Indictments and Informations.

FIND SIMILAR CASES ON WESTLAW®

Database: NY-ORCS
Query: superseding /2 information & successive & new /2 facts

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POINTS OF COUNSEL

Legal Aid Society, Hempstead (*Christopher M. Cevasco, Kent V. Moston* and *Jeremy L. Goldberg* of counsel), for appellant. The Appellate Term erred in reinstating the superseding information that had been dismissed by trial court, as these instruments were jurisdictionally defective both facially and given the procedures employed in their filing. (*People v Casey*, 95 NY2d 354; *People v English,* 189 Misc 2d 230; *People v Rosa,* 169 Misc 2d 350; *People v Pratt,* 164 Misc 2d 498; *People v Cunningham,* 74 Misc 2d 631; *People v Harris,* 169 Misc 2d 51; *People v Morel,* 157 Misc 2d 94; *People v Barhan,* 147 Misc 2d 253; *People v Twine,* 121 Misc 2d 762; *People v Cibro Oceana Term. Corp.,* 148 Misc 2d 149.)

Denis Dillon, District Attorney, Mineola (*Lawrence J. Schwarz* and *Peter A. Weinstein* of counsel), for respondent. The intermediate appellate court acted correctly in reinstating the criminal charges against defendant; the prosecution is permitted to file successive informations. (*People v Douglass,* 60 NY2d 194; *People v Nuccio,* 78 NY2d 102; *People v Rodriguez,* 11 NY2d 279; *People v Leyra,* 1 NY2d 199; *People v Rosenthal,* 197 NY 394; *People v Lyons,* 178 AD2d 552; *People v Franco,* 86 NY2d 493; *People v Cade,* 74 NY2d 410; *People v Silverman,* 253 App Div 683, 278 NY 670; *People v Bowman,* 84 NY2d 923.)

OPINION OF THE COURT

GRAFFEO, J.

In this case we are asked to decide whether the People may file a new information that alleges additional facts or charges offenses that were not included in a previously filed information but stem from the same criminal transaction. We hold that the Criminal Procedure Law authorizes the filing of such an accusatory instrument.

In April 2002, police officers responded to a report of domestic violence at a residence in Nassau County. According to the People, the female victim informed the officers that defendant had assaulted her and she requested their assistance in removing him from the home. Defendant, however, refused to leave the premises. After purportedly threatening and hitting one of the officers in the leg with a bag, defendant was told that he was under arrest. Defendant allegedly responded by clenching his fists and moving toward the officer in a menacing fashion. The officer claimed that even after defendant was wrestled to the ground, he continued to resist being handcuffed.

As a result of this incident, defendant was charged in separate accusatory instruments (denominated as informations by the parties) with one count of third-degree assault, based on his attack of the complainant, and one count of resisting arrest. The victim, however, declined to pursue the assault charge. Faced with this lack of cooperation, two new informations were filed. The first—a superseding information—restated the charge of resisting arrest and elaborated on the facts by describing the threatening utterances made by defendant when he refused to leave the apartment, adding that defendant struck one of the officers in the leg with a ''bag of property.'' The second—a successive information—charged a new crime, harassment in the second degree, based on defendant's conduct toward the police officer. This accusatory instrument also set forth defendant's verbal threat and actions, together with an allegation that defendant moved toward the officer in a ''threatening manner'' after being told that he was under arrest. District Court dismissed the original resisting arrest information as superseded and the assault information at the People's request.

Defendant then moved to dismiss the second set of informations, arguing that CPL 100.50 prohibited the People from charging harassment in the second degree since that crime was not charged in the original informations. Defendant also claimed that the harassment and resisting arrest charges were defective because both accusatory instruments relied on new facts not set forth in the original informations, and the charges were not supported by nonhearsay factual allegations as required by CPL 100.40 (1) (c). District Court granted defendant's motion, dismissing the informations as defective under CPL 100.50. The court adhered to its determination on reargument.

The Appellate Term modified and reinstated the informations. The court concluded that the People were not prohibited from charging the new crime of harassment because the Criminal Procedure Law did not limit a prosecutor's ability to file more than one accusatory instrument in a criminal action, and the resisting arrest charge should not have been dismissed because the offense was based on conduct that was described in the original information. A Judge of this Court granted leave to appeal and we now affirm.

Defendant's challenge to the informations is premised primarily on CPL 100.50, the statute governing the use of two categories of accusatory instruments—superseding informations and superseding prosecutor's informations. In contrast to a misdemeanor complaint, which may contain hearsay allegations, an information or a prosecutor's information must be supported by nonhearsay allegations that establish every element of the offense charged (*see People v Casey*, 95 NY2d 354, 360 [2000]). The two types of informations are definitionally distinct: an information must set forth the required nonhearsay evidentiary allegations within ''the four corners of the instrument itself'' or in annexed supporting depositions, whereas a prosecutor's information must rely on some other source (e.g., a previously filed accusatory instrument) to establish every element of the charged offense (Preiser, Practice Commentaries, McKinney's Cons Laws of NY, Book 11A, CPL 100.10, at 330; *compare* CPL 100.40 [1], *with* CPL 100.40 [3]).

According to defendant, CPL 100.50 requires the People to use only a prosecutor's information—not an information—to charge crimes that were not included in a previous information and, as such, additional factual allegations may not be included in a subsequent accusatory instrument. The plain language of the statute refutes defendant's assertion:

> ''1. If at any time before entry of a plea of guilty to or commencement of a trial of an information or a prosecutor's information, another information or, as

the case may be, another prosecutor's information is filed with the same local criminal court charging the defendant with an offense charged in the first instrument, the first such instrument is, with respect to such offense, superseded by the second and, upon the defendant's arraignment upon the latter, the count of the first instrument charging such offense must be dismissed by the court. The first instrument is not, however, superseded with respect to any count contained therein which charges an offense not charged in the second instrument.

''2. At any time before entry of a plea of guilty to or commencement of a trial of an information, the district attorney may file with the local criminal court a prosecutor's information charging any offenses supported, pursuant to the standards prescribed in subdivision one of section 100.40, by the allegations of the factual part of the original information and/or any supporting depositions which may accompany it. In such case, the original information is superseded by the prosecutor's information and, upon the defendant's arraignment upon the latter, is deemed dismissed'' (CPL 100.50).

[1] Subdivision (1) of CPL 100.50 authorizes the People to file ''another information'' prior to the ''entry of a plea of guilty to or commencement of a trial of an information'' (CPL 100.50 [1]; *see also* CPL 100.05). Significantly, the statute imposes no restrictions on the type of crimes that may be included in a new information. Since a new crime may be charged, the statute necessarily implies that new facts may be alleged in support of any additional offenses (*see* CPL 100.40 [1] [c]). Notably, nothing in subdivision (2) of CPL 100.50 restricts the People's ability to provide additional factual detail in a new information.

The Legislature's purpose in enacting CPL 100.50 (1) buttresses our conclusion that it is permissible to file a new information charging new offenses and alleging additional facts. Subdivision (1) was added ''to establish authority for superseding informations and prosecutor's informations,'' a subject not addressed in the earlier Code of Criminal Procedure (Preiser, Practice Commentaries, McKinney's Cons Laws of NY, Book 11A, CPL 100.50, at 461). The drafters of the Criminal Procedure Law imported the rules regarding superseding indictments into CPL 100.50 (1) by the use of virtually identical statutory language (*compare* CPL 100.50 [1], *with* CPL 200.80). The Criminal Procedure Law, like its predecessor, recognizes that ''a prosecutor has absolute freedom to obtain a new grand jury indictment for replacement of one that is pending, or any count within it'' (Preiser, Practice Commentaries, McKinney's Cons Laws of NY, Book 11A, CPL 200.80, at 532), ''which would presumably—and logically—contain charges not considered or voted upon by the first Grand Jury'' based on ''additional proof'' of criminal activity (*People v Franco*, 86 NY2d 493, 500 [1995]). It therefore follows that the Legislature intended that prosecutors should also be able to issue an information that charges new, joinable crimes premised on factual allegations that were not included in the original information. Indeed, article 170 of the Criminal Procedure Law does not specify that a subsequent information is defective if it charges new crimes or alleges new facts (*see* CPL 170.30, 170.35).

[2] Defendant's remaining contention—that the superseding information charging resisting arrest was defective because it relied on hearsay statements attributed to the victim—also lacks merit. The information was not used to prove that the victim's assertion was true but to demonstrate that there was reasonable cause to arrest defendant (*see generally People v Huertas*, 75 NY2d 487, 492 [1990]; *People v Felder*, 37 NY2d 779, 780-781 [1975]).

Accordingly, the order of the Appellate Term should be affirmed.

Chief Judge KAYE and Judges G.B. SMITH, CIPARICK, ROSENBLATT, READ and R.S. SMITH concur.

Order affirmed.

[824 NE2d 929, 791 NYS2d 489]

Credit Suisse First Boston Corporation, Appellant, v William Pitofsky et al., Respondents.

Argued January 4, 2005; decided February 10, 2005

SUMMARY

Appeal, by permission of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Second Judicial Department, entered November 25, 2003. The Appellate Division (1) reversed, on the law, an order of the Supreme Court, New York County (Nicholas Figueroa, J.), which had granted petitioner's motion to stay arbitration proceedings before the New York Stock Exchange (NYSE), directed the parties to proceed to arbitration before JAMS/Endispute, and denied respondents' cross motion to compel petitioner to participate in the NYSE arbitration, (2) denied the petition, and (3) directed the parties to proceed to arbitration before the NYSE.

Credit Suisse First Boston Corp. v Pitofsky, 2 AD3d 6, affirmed.

HEADNOTES

Arbitration — Agreement to Arbitrate — Enforcement of Arbitration Agreement in Securities Registration Form

1. The arbitration provisions of an employment agreement between a broker-dealer and a registered representative may supersede an earlier arbitration agreement between the registered representative and a stock exchange. Whether the latter agreement does supersede the prior agreement is a general issue of contract interpretation governed by New York law.

Arbitration — Agreement to Arbitrate — Enforcement of Arbitration Agreement in Securities Registration Form

2. In a proceeding by petitioner securities broker-dealer, a member of the New York Stock Exchange (NYSE), to stay arbitration of respondents' claims for compensation allegedly owed under their privately negotiated employment agreements, the arbitration provisions contained in the agreements did not supersede the arbitration provisions contained in the Uniform Applications for Securities Industry Registration or Transfer forms U-4 respondents filed with the NYSE upon commencing their employment. Although the parties were free to supplant or modify the Form U-4 arbitration agreement with the protocols articulated in the Employment Dispute Resolution Program (EDRP) contained in the employment agreements, the EDRP exempted registered representatives from its arbitral forum selection provision if they were ''subject to a legal requirement'' to arbitrate employment related claims pursuant to particular rules or in a particular forum. NYSE rule 347, which provided that termination of employment controversies should be settled by arbitration ''at the instance of any such party'' in accordance with the arbitration procedure set forth in the NYSE rules, created a legal requirement that respondents arbitrate their claims before the NYSE.

TOTAL CLIENT-SERVICE LIBRARY® REFERENCES

By the Publisher's Editorial Staff

Am Jur 2d, Alternative Dispute Resolution §§ 70–73, 126.
Carmody-Wait 2d, Arbitration §§ 141:12, 141:46, 141:124, 141:125.
NY Jur 2d, Arbitration and Award §§ 14, 35, 82, 83, 111.
Siegel, NY Prac §§ 588, 592.

ANNOTATION REFERENCE

See ALR Index under Arbitration and Award; Brokers.

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POINTS OF COUNSEL

Quinn Emanuel Urquhart Oliver & Hedges, LLP, New York City (*Michael B. Carlinsky, Kevin S. Reed* and *Partha P. Chattoraj* of counsel), *Pierre M. Gentin, George C. Whipple III,* and *Gideon A. Schor* for appellant. I. The Federal Arbitration Act and controlling decisions by this Court and numerous federal courts establish that parties may supersede the Form U-4 and self-regulatory organizations' arbitration rules with privately negotiated agreements. (*Doctor's Assoc., Inc. v Casarotto,* 517 US 681; *Matter of Salvano v Merrill Lynch, Pierce, Fenner & Smith,* 85 NY2d 173; *Flanagan v Prudential-Bache Sec.,* 67 NY2d 500; *Fletcher v Kidder, Peabody & Co.,* 81 NY2d 623; *Gerling Global Reins. Corp. v Home Ins. Co.,* 302 AD2d 118; *Southland Corp. v Keating,* 465 US 1; *Matter of Smith Barney, Harris Upham & Co. v Luckie,* 85 NY2d 193; *Volt Info. Sciences, Inc. v Board of Trustees of Leland Stanford Jr. Univ.,* 489 US 468; *Mastrobuono v Shearson Lehman Hutton, Inc.,* 514 US 52; *Matter of Advest, Inc. v Wachtel,* 253 AD2d 659.) II. The Employment Dispute Resolution Program's ''carve-out'' provision is inapplicable because neither the Form U-4 nor the New York Stock Exchange (NYSE) Rules legally require registered representatives to arbitrate exclusively before the NYSE. (*Roney & Co. v Goren,* 875 F2d 1218; *Creative Sec. Corp. v Bears Stearns & Co.,* 671 F Supp 961.)

Wechsler & Cohen, LLP, New York City (*David B. Wechsler* and *Marc O. Sheridan* of counsel), for respondents. I. Credit Suisse First Boston Corporation's Federal Arbitration Act argument is belated and barred. (*Matter of Eagle v Paterson,* 57 NY2d 831; *Melahn v Hearn,* 60 NY2d 944; *Harrison v Salomon Bros.,* 156 Misc 2d 341; *Simpson v Loehmann,* 21 NY2d 990.) II. The First Department correctly held that New York state law, not the Federal Arbitration Act, controls, and that accordingly the arbitration provision in the Form U-4 may not be superceded by a subsequent employment agreement. (*Hamilton v Cantor Fitzgerald Sec.,* 265 AD2d 526; *O'Donnell v First Invs. Corp.,* 872 F Supp 1274; *Harrison v Salomon Bros.,* 156 Misc 2d 341; *Gilmer v Interstate/Johnson Lane Corp.,* 500 US 20; *Volt Info. Sciences, Inc. v Board of Trustees of Leland Stanford Jr. Univ.,* 489 US 468; *F.N. Wolf & Co. v Bowles,* 160 Misc 2d 752; *Thomas James Assoc., Inc. v Jameson,* 102 F3d 60; *Merrill Lynch, Pierce, Fenner & Smith, Inc. v Georgiadis, Inc.,* 903 F2d 109; *Luckie v Smith Barney, Harris Upham & Co.,* 999 F2d 509; *Matter of Cowen & Co. v Anderson,* 76 NY2d 318.) III. Even if the Federal Arbitration Act applies, the First Department correctly held that respondents fit squarely under the Employment Dispute Resolution Program carve-out directing arbitration at the New York Stock Exchange. (*Bushley v Credit Suisse First Boston,* 360 F3d 1149; *Surgidev Corp. v Eye Tech., Inc.,* 648 F Supp 661, 828 F2d 452.) IV. The First Department correctly ruled that the obligation here to arbitrate in the New York Stock Exchange forum is imposed on Credit Suisse First Boston Corporation and respondents due to their affiliation with and assent to the Rules of the New York Stock Exchange. (*Matter of Harrigan,* 126 Misc 2d 298; *CBS Broadcasting v Primetime 24 Joint Venture,* 48 F Supp 2d 1342; *Credit Suisse First Boston, LLC v Padilla,* 326 F Supp 2d 508; *Smith/Enron Cogeneration Ltd. Partnership, Inc. v Smith Cogeneration Intl., Inc.,* 198 F3d 88.) V. Credit Suisse First Boston Corporation has not met its burden of establishing that respondents knowingly, voluntarily and intentionally waived their right to arbitrate before a self-regulatory organization. (*Johnson v Zerbst,* 304 US 458; *Merrill Lynch, Pierce, Fenner & Smith v Georgiadis, Inc.,* 903 F2d 109; *Ray v Credit Suisse First Boston Corp.,* 200 F Supp 2d 532.) VI. Credit Suisse First Boston Corporation's contention that the decision and order has far-reaching adverse consequences for the entire securities industry is without evidentiary support or merit.

OPINION OF THE COURT

ROSENBLATT, J.

This appeal calls upon us to address two questions. First, can an arbitration clause of a privately negotiated employment agreement between a broker-dealer and its registered representative employees supersede the arbitration provisions of an earlier agreement between the employees and the New York Stock Exchange? Second, under the employment agreement at issue, did the parties supersede the preexisting agreement as it applies to this dispute? We answer the first question yes and the second no.

I.

Credit Suisse First Boston (CSFB), a member of the New York Stock Exchange (NYSE) and other exchanges, hired William Pitofsky in 1985 and Edward Santoro in 1997. During 2000 and 2001, CSFB employed them as real estate salespersons to help liquidate multi-billion dollar real estate portfolios. When they started work, both Pitofsky and Santoro executed Uniform Application for Securities Industry Registration or Transfer forms U-4 (Form U-4) transferring their securities industry registrations to CSFB. They filed these forms with several self-regulatory organizations (SROs), including the NYSE and the National Association of Securities Dealers. A Form U-4 contains a standard arbitration clause requiring registered representatives ''to arbitrate any dispute, claim or controversy that may arise between [them] and [their] firm . . . that is required to be arbitrated under the rules, constitutions, or by-laws of the [relevant SRO].''

In January 1998, CSFB adopted an Employment Dispute Resolution Program (EDRP) and announced it in the employee handbook. Pitofsky's and Santoro's 2000 and 2001 employment agreements with CSFB incorporated the EDRP's provisions by specific reference.

By its terms, the EDRP applies to employment-related claims that employees might have against CSFB and provides that it is the only means by which employees may seek to resolve such claims. The EDRP sets forth a three-stage grievance process. The first stage involves an internal grievance procedure, which is initiated when employees alert their immediate supervisors of a dispute. The second entails external mediation by a single mediator supplied by JAMS/Endispute, a provider of dispute resolution services. If CSFB and the employee fail to resolve their dispute in the first two stages, the EDRP's third stage calls for binding arbitration before JAMS/Endispute, the American Arbitration Association or the Center for Public Resources

Institute for Dispute Resolution. Under the EDRP, the first party to seek arbitration may determine which of the three to employ.

Although the EDRP generally applies to all employment-related disputes, it features a carve-out provision, stating that

> ''[i]f a registered representative is subject to a *legal requirement* that he or she arbitrate Employment-Related Claims pursuant to particular rules or in a particular forum (for example, at or pursuant to the rules of a stock exchange), to the exclusion of other forums and rules, that requirement will prevail over the arbitration procedures described herein'' (emphasis added).

The provision also explains that registered representatives subject to the carve-out must satisfy the EDRP's internal grievance and mediation requirements before proceeding to arbitration under the auspices of a non-EDRP forum.

CSFB terminated Pitofsky's and Santoro's employment in March 2002. Following their dismissals, both Pitofsky and Santoro claimed that CSFB owed them additional monies under their employment contracts, and proceeded under the first and second steps of the EDRP. When resort to CSFB's grievance and mediation process failed, the pair sought arbitration before the NYSE, pursuant to their Forms U-4, instead of one of three organizations specified by the EDRP.

Claiming that, first, the EDRP superseded the Form U-4 and, second, that the EDRP carve-out was inapplicable, CSFB insisted on arbitration before JAMS, one of the three groups identified by the EDRP. Pursuant to CPLR 7503 (b),[1] CSFB also sought a permanent stay of the NYSE arbitration. Pitofsky and Santoro cross-moved to compel CSFB to arbitrate before the NYSE and to dismiss CSFB's petition for a permanent stay of arbitration. The two argued that an agreement between a broker-dealer and its registered representative employees cannot supplant the registered representatives' separate, preceding Form U-4 agreements to arbitrate their disputes before the NYSE. In the alternative, they maintained that, even if their agreement with CSFB could supersede their Form U-4 arbitra-

1. In pertinent part, CPLR 7503 (b) provides ''a party who has not participated in the arbitration and who has not made or been served with an application to compel arbitration, may apply to stay arbitration on the ground that a valid agreement was not made or has not been complied with . . . .''

tion agreement, the EDRP's carve-out exception applied and their dispute was therefore arbitrable only before the NYSE.

Reasoning that the EDRP arbitration procedures supplanted the relevant Form U-4 provision, Supreme Court granted CSFB's application to stay the NYSE arbitration, directed the parties to proceed to arbitration before JAMS, and denied Pitofsky's and Santoro's cross motion to compel arbitration before the NYSE. The court also rejected their claim that the EDRP carve-out removed them from the EDRP's arbitration regime. The court determined that the EDRP carve-out applied only when the registered representative was ''legally required'' to arbitrate before a particular SRO, and that neither the NYSE Constitution or Rules nor the Form U-4 established such a requirement.

The Appellate Division reversed, denied CSFB's petition to stay arbitration and directed the parties to arbitrate before the NYSE (2 AD3d 6 [1st Dept 2003]). Characterizing CSFB's position as ''erroneous,'' the Court held that the carve-out provision clearly applied to Pitofsky and Santoro (*id.* at 9). It further determined that, as a matter of state law, ''employment agreements cannot supersede the previously executed Form U-4 agreements between'' registered representatives and an SRO (*id.*). We granted CSFB leave to appeal from the Appellate Division order, which we now affirm on different grounds.

II.

[1] Whether an arbitration agreement between a broker-dealer and a registered representative may supersede a prior arbitration agreement between the registered representative and an SRO presents a general issue of contract interpretation governed by New York law.[2] Contrary to the Appellate Division's determination, we hold that the arbitration provisions of an employment agreement between a broker-dealer and a registered representative may supersede an earlier arbitration agreement between the registered representative and a stock exchange.

In reaching this conclusion, we need only look to established principles of contract law. Essentially, the present appeal

2. CSFB argues that the Federal Arbitration Act (FAA [9 USC § 1 *et seq.*]), not state law, governs this dispute. We disagree. Notwithstanding the generally preemptive sweep of the FAA, the federal statute contemplates that state contract law principles resolve the questions presented on this appeal (*see generally Perry v Thomas*, 482 US 483, 492 n 9 [1987]; *Doctor's Assoc., Inc. v Casarotto*, 517 US 681, 687 [1996]).

involves a valid, enforceable modification of an earlier agreement by a later one. By implication, the EDRP modifies the arbitration requirements set forth by the Form U-4. Moreover, in addition to manifesting their assent to be bound by the EDRP, Pitofsky and Santoro received valuable consideration (continued, lucrative employment by CSFB) for their acceptance of the new arbitration provisions.

Regardless of whether CSFB was technically a direct party to the Forms U-4 executed between its employees and the NYSE, as a practical matter such obligations as Pitofsky and Santoro may have had under the Form U-4 arbitration provision flowed directly and exclusively to CSFB, not the NYSE.[3] Put differently, the arbitration provisions in the Form U-4 effectively constituted an agreement between CSFB and its registered representatives to arbitrate grievances before a NYSE forum.

Given this arrangement, CSFB and its registered representatives were free to negotiate the terms by which they would arbitrate employment-related disputes, just as any two parties to a bilateral contract could agree to modify it. In this context, arbitration is a creature of contract, and it has long been the policy of this State to ''interfere as little as possible with the freedom of consenting parties'' in structuring their arbitration relationship (*see Matter of Siegel [Lewis]*, 40 NY2d 687, 689 [1976]). Accordingly, the parties were free to supplant or modify the Form U-4 arbitration agreement with the protocols articulated in the EDRP.

III.

The EDRP exempts registered representatives from its arbitral forum selection provision if they are ''subject to a *legal requirement*'' to ''arbitrate Employment-Related Claims pursuant to particular rules or in a particular forum . . . , to the exclusion of other forums and rules'' (emphasis added). Although an arbitration agreement between a broker-dealer and registered representative may modify a Form U-4 agreement, the terms of the EDRP require us to look to the Form U-4 to see whether the carve-out applies. As relevant here, the Form U-4 merely requires registered representatives to arbitrate ''any dispute, claim or controversy that may arise between me and

3. *See generally In re Prudential Ins. Co. of Am. Sales Practice Litig. All Agent Actions*, 133 F3d 225 (3d Cir 1998) (holding that an employer had standing to compel arbitration under a Form U-4, even if it is not a signatory to the agreement).

my firm . . . that is required to be arbitrated under the rules, constitutions, or by-laws'' of the SROs with which they registered.

[2] In turn, the Form U-4 directs us to look to the particular rules of the NYSE to determine whether Pitofsky and Santoro face a ''legal requirement'' to arbitrate their claims before that organization. Critical to our analysis, NYSE Rules, rule 347 (a) provides that

> ''any controversy between a registered representative and any member or member organization arising out of the employment or termination of employment of such registered representative by and with such member or member organization shall be settled by arbitration, *at the instance of any such party*, in accordance with the arbitration procedure prescribed elsewhere in these rules'' (emphasis added).

Pitofsky and Santoro argue that this rule establishes a legal requirement for them to arbitrate before the NYSE. We agree.

CSFB maintains that, on its face, the phrase ''at the instance of any such party'' suggests that there is no binding obligation for either CSFB, or Pitofsky or Santoro, to arbitrate before the NYSE. The parties, CSFB claims, would face a legal requirement to arbitrate before the NYSE only if one of them affirmatively elected it as a forum. This does not amount to a legal requirement, CSFB argues. In support of this position, CSFB cites two recent Federal District Court cases (*see Credit Suisse First Boston, LLC v Padilla*, 326 F Supp 2d 508 [SD NY 2004]; *Credit Suisse First Boston, LLC v Groves*, 333 F Supp 2d 229 [SD NY 2004]).

Respectfully, we disagree with these decisions and believe that NYSE rule 347 does create a legal requirement. The sole significance of the phrase ''at the instance of any such party'' is that it gives both the employer and the registered representative a right to initiate arbitration before the NYSE. As it pertains to this case, however, there is no meaningful distinction between a rule 347 with the words ''at the instance of any such party'' and a rule 347 without such language. If a hypothetical rule 347 were simply to read ''the parties shall arbitrate,'' it would operate in the same manner as the present rule if neither party wanted to arbitrate before the NYSE. Under the hypothetical rule 347, the parties would be under no greater compulsion to arbitrate before the NYSE than they would under the present rule. In both cases, the parties could agree to modify the NYSE arbitration requirement or waive it altogether.

That the parties could, in theory, agree to modify their obligation to arbitrate before the NYSE pursuant to rule 347 does not make the rule any less of a ''legal requirement.'' Because arbitration agreements are inherently contractual, the parties may agree to modify them. The ability to alter prior agreements by mutual assent is, after all, essential to contract. A contract does not lose its legally binding character merely because it may be waived or modified. We therefore hold that the arbitral obligation created by the interplay of the Form U-4 and rule 347 constitutes a ''legal requirement'' under the EDRP carve-out.

Although it is not central to our analysis, we note, additionally, that CSFB itself announced that the carve-out applied to claims brought by registered representatives. In January 1999, CSFB circulated a notice to all of its registered representative employees, informing them that the EDRP's third stage

> ''provides for arbitrations thereunder to take place through one of three designated service providers, none of which is affiliated with the securities industry. When the Program was instituted, an exception was made to these and other provisions of the Program relating to arbitration for claims of employees registered with the NASD or a stock exchange ('*RRs*') that were of a type that the RRs were required, under their U-4s, to arbitrate before the NASD or a stock exchange, pursuant to its rules. The Program provided that, as to these claims, the NASD and stock exchange rules regarding arbitration took precedence over the arbitration rules in the Program.''

The memorandum further stated that the EDRP's primary focus was statutory discrimination claims. The stock exchanges, the notice explained, had begun eliminating the requirement that such claims be arbitrated before them. In short, CSFB's contention that Pitofsky and Santoro fail to satisfy the ''legal requirement'' provision of the EDRP carve-out does not square with its own reading of the employment agreement.

Accordingly, the order of the Appellate Division should be affirmed, with costs.

Chief Judge KAYE and Judges G.B. SMITH, CIPARICK, GRAFFEO, READ and R.S. SMITH concur.

Order affirmed, with costs.

[824 NE2d 934, 791 NYS2d 494]

In the Matter of Crown Communication New York, Inc., Respondent, v Department of Transportation of the State of New York, Respondent, City of New Rochelle et al., Appellants, and James Cavanaugh, Individually and as Town Supervisor of the Town of Eastchester, Intervenor-Respondent. (Matter No. 1.)

In the Matter of Crown Communication New York, Inc., Respondent, v Department of Transportation of the State of New York, Respondent, and City of New Rochelle et al., Appellants. (Matter No. 2.)

Argued January 5, 2005; decided February 10, 2005

SUMMARY

Appeal, in the two above-entitled matters, by permission of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Second Judicial Department, entered October 20, 2003. In related hybrid proceedings pursuant to CPLR article 78 in the nature of prohibition to prohibit enforcement of the City of New Rochelle's zoning regulations against the construction of two telecommunications towers, and actions for a judgment declaring that the two towers were exempt from local zoning regulations, the Appellate Division modified, on the law, an order of the Supreme Court, Westchester County (Nicholas Colabella, J.), which had, upon reargument, modified a prior order and judgment (one paper) of that court finding that the commercial telecommunications providers licensed to install their equipment on the towers were subject to local zoning regulations. The Appellate Division's modification consisted of deleting the provision of Supreme Court's order which, upon reargument, found that the commercial telecommunications providers licensed to install their equipment on the towers were subject to local zoning regulations, and substituting therefor a provision modifying the order and judgment by declaring that the commercial telecommunications providers licensed to install their equipment on the towers were not subject to local zoning regulations. As so modified, the order was affirmed.

Matter of Crown Communication N.Y., Inc. v Department of Transp. of State of N.Y., 309 AD2d 863, affirmed.

HEADNOTES

Municipal Corporations — Zoning — Telecommunications Providers

1. Under a ''balancing of public interests test,'' the installation of private antennae by commercial wireless telecommunications providers on two state-

owned telecommunications towers was exempt from local zoning regulation. The public and private uses of the towers were sufficiently intertwined to justify exemption of the wireless providers from local zoning regulations. The government's use of the towers would afford numerous benefits to the public, including the development of a Statewide Wireless Network and an Intelligent Transportation System. The co-location of licensed commercial antennae on the towers serves a number of significant public interests that are advanced by the State's overall telecommunications plan. The fact that the wireless providers will also realize profit from their services did not undermine the public interests served by co-location.

Municipal Corporations — Zoning — Telecommunications Providers

2. The extension of immunity from local zoning regulation to the installation of private antennae on two state-owned telecommunications towers did not conflict with the Telecommunications Act of 1996 (TCA) (47 USC § 151 *et seq.*), which provides that, subject to enumerated exceptions, "nothing in this chapter shall limit or affect the authority of a State or local government or instrumentality thereof over decisions regarding the placement, construction, and modification of personal wireless service facilities" (47 USC § 332 [c] [7] [A]). While the TCA may not limit a government's zoning ability, it does not dictate that a locality's regulations trump state interests where competing interests exist.

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Am Jur 2d, Telecommunications §§ 16, 18, 19, 184; Am Jur 2d, Zoning and Planning §§ 11, 12, 251, 329–332.

NY Jur 2d, Buildings, Zoning, and Land Controls §§ 98, 115, 239; NY Jur 2d, Telecommunications §§ 25, 68.

New York Real Property Service § 48:19.

47 USCA § 332 (c) (7) (A).

ANNOTATION REFERENCE

Application of zoning regulation to radio or television facilities. 81 ALR3d 1086.

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POINTS OF COUNSEL

Bernis E. Shapiro, Corporation Counsel, New Rochelle (*Kathleen E. Gill* of counsel), for appellants. I. *Matter of County of Monroe* (72 NY2d 338 [1988]) does not apply to this matter. (*Nehrbas v Incorporated Vil. of Lloyd Harbor,* 2 NY2d 190; *County of Westchester v Village of Mamaroneck,* 22 AD2d 143, 16 NY2d 940; *Village of Larchmont v Town of Mamaroneck,* 239

NY 551; *Schrempf v State of New York,* 66 NY2d 289; *Denihan Enters. v O'Dwyer,* 302 NY 451; *Murphy v Erie County,* 28 NY2d 80; *Little Joseph Realty v Town of Babylon,* 51 AD2d 158, 41 NY2d 738; *Queens County Bus. Alliance v New York State Racing Assn.,* 89 AD2d 46; *Matter of Foster v Saylor,* 85 AD2d 876; *Gannett Satellite Info. Network, Inc. v Metropolitan Transp. Auth.,* 745 F2d 767.) II. Even if applicable, *Matter of County of Monroe* (72 NY2d 338 [1988]) requires compliance with local regulations. (*Sprint Spectrum L.P. v Willoth,* 176 F3d 630; *Omnipoint Communications Enters., L.P. v Newtown Twp.,* 219 F3d 240, 531 US 985; *AT & T Wireless PCS, Inc. v City Council of City of Virginia Beach,* 155 F3d 423; *Omnipoint Communications, Inc. v Common Council of City of Peekskill,* 202 F Supp 2d 210; *Matter of Foster v Saylor,* 85 AD2d 876.)

Wilson, Elser, Moskowitz, Edelman & Dicker LLP, White Plains (*Katherine H. Zalantis* of counsel), and *John A. Sarcone III, Town Attorney,* Eastchester, for intervenor-respondent. I. The commercial carriers are subject to the City of New Rochelle's local law. (*Incorporated Vil. of Nyack v Daytop Vil.,* 173 AD2d 778, 78 NY2d 500; *Matter of County of Monroe,* 72 NY2d 338; *DJL Rest. Corp. v City of New York,* 96 NY2d 91; *Chambers v Old Stone Hill Rd. Assoc.,* 1 NY3d 424; *Gache v Town of Harrison, N.Y.,* 813 F Supp 1037; *Sprint Spectrum L.P. v Willoth,* 176 F3d 630.) II. The Supreme Court's order merely enforced the terms of the subsequent license agreements. (*Chambers v Old Stone Hill Rd. Assoc.,* 1 NY3d 424; *Nancy Neale Enters. v Eventful Enters.,* 260 AD2d 453.) III. Even under the *Matter of County Monroe* (72 NY2d 338 [1988]) balancing test, the commercial carriers are not immune from the local law. (*Matter of King v County of Saratoga Indus. Dev. Agency,* 208 AD2d 194, 85 NY2d 809; *Chambers v Old Stone Hill Rd. Assoc.,* 1 NY3d 424; *New York SMSA Ltd. Partnership v Town of Riverhead Town Bd.,* 118 F Supp 2d 333; *Sprint Spectrum L.P. v Willoth,* 176 F3d 630; *Matter of Bell Atl. NYNEX Mobile v Lonergan,* 251 AD2d 660; *APT Pittsburgh Ltd. Partnership v Penn Twp. Butler County of Pa.,* 196 F3d 469; *SiteTech Group Ltd. v Board of Zoning Appeals of Town of Brookhaven,* 140 F Supp 2d 255; *Airtouch Cellular v City of El Cajon,* 83 F Supp 2d 1158; *Omnipoint Communications, Inc. v Common Council of City of Peekskill,* 202 F Supp 2d 210; *Little Joseph Realty v Town of Babylon,* 51 AD2d 158, 41 NY2d 738.)

Eliot Spitzer, Attorney General, New York City (*David Axinn, Caitlin J. Halligan, Michael S. Belohlavek* and *Richard Lom-*

bardo of counsel), for New York State Department of Transportation, respondent. I. The City of New Rochelle's zoning laws do not apply to placement of commercial users' equipment on the State of New York's telecommunications infrastructure. (*City of Rye v Public Serv. Mut. Ins. Co.,* 34 NY2d 470; *Matter of Hongisto v Mercure,* 72 AD2d 850; *Nanuet Fire Engine Co. No. 1 v Amster,* 177 Misc 2d 296; *Nowak v Department of Audit & Control of State of N.Y.,* 72 Misc 2d 518; *Matter of Unitarian Universalist Church of Cent. Nassau v Shorten,* 63 Misc 2d 978; *White v Westage Dev. Group,* 191 AD2d 687, 82 NY2d 706; *Anderson v Taconic State Park Commn.,* 262 App Div 892, 287 NY 668; *Matter of Cellular Tel. Co. v Rosenberg,* 82 NY2d 364; *Reno v American Civ. Liberties Union,* 521 US 844; *Sprint Spectrum L.P. v Willoth,* 176 F3d 630.) II. The Telecommunications Act of 1996 does not subject the commercial users to local zoning or invalidate the State of New York's licensing agreements. (*Sprint Spectrum L.P. v Willoth,* 176 F3d 630; *Omnipoint Communications Enters., L.P. v Newtown Twp.,* 219 F3d 240.) III. The Telecommunications Site Manager Agreement and form licensing agreements do not require the application of local zoning laws to the commercial users. (*Ruttenberg v Davidge Data Sys. Corp.,* 215 AD2d 191; *Laba v Carey,* 29 NY2d 302; *Uribe v Merchants Bank of N.Y.,* 91 NY2d 336; *Loblaw, Inc. v Employers' Liab. Assur. Corp.,* 57 NY2d 872; *Brooke Group v JCH Syndicate 488,* 87 NY2d 530.)

Crane, Greene & Parente, Albany (*Jacqueline Phillips Murray* and *John P. Stockli, Jr.,* of counsel), for Crown Communication New York, Inc., respondent. I. The wireless telecommunications antennas that are attached to the State of New York's towers are embraced by the immunity afforded the State's towers. (*Matter of Cellular Tel. Co. v Rosenberg,* 82 NY2d 364; *Matter of County of Monroe,* 72 NY2d 338; *Matter of New York Botanical Garden v Board of Stds. & Appeals,* 91 NY2d 413; *Matter of Karedes v Colella,* 100 NY2d 45; *Matter of St. Onge v Donovan,* 71 NY2d 507; *Matter of Sanzoverino v Bruscella,* 291 AD2d 502; *Town of Oyster Bay v Syosset's Concern About Its Neighborhood,* 173 AD2d 813, 79 NY2d 916; *Huerta v New York City Tr. Auth.,* 290 AD2d 33.) II. Neither federal law nor the State of New York's Telecommunications Site Manager Agreement require the antennas attached to the State's towers to be subject to local zoning laws. (*Matter of County of Monroe,* 72 NY2d 338; *Sprint Spectrum L.P. v Willoth,* 176 F3d 630; *Omnipoint Communications Enters., L.P. v Newtown Twp.,* 219 F3d 240; *AT & T Wireless PCS, Inc. v City Council of City of Va. Beach,* 155

F3d 423; *Omnipoint Communications, Inc. v Common Council of City of Peekskill,* 202 F Supp 2d 210; *Matter of Foster v Saylor,* 85 AD2d 876; *Little Joseph Realty v Town of Babylon,* 51 AD2d 158, 39 NY2d 827; *Matter of Newham v Chile Exploration Co.,* 232 NY 37.)

Riele J. Morgiewicz, Albany, for New York State Conference of Mayors and Municipal Officials, amicus curiae. It is imperative that municipalities be able to enforce their land use laws against private entities. (*Village of Euclid, Ohio v Ambler Realty Co.,* 272 US 365; *Matter of County of Monroe,* 72 NY2d 338.)

OPINION OF THE COURT

Graffeo, J.

In this case we are asked whether the installation of private antennae on two state-owned telecommunications towers is exempt from local zoning regulation. Under the particular facts and circumstances of this case, we conclude that the commercial telecommunications providers involved in this state project are not required to make applications for special permits.

In 1997, the New York State Police, on behalf of itself and participating state agencies including the Department of Transportation (DOT or collectively the State), entered into a Telecommunications Site Manager Service Agreement with Castle Tower Holding Corporation to provide Castle with an exclusive license to construct and operate telecommunications towers on state-owned lands and rights-of-way. Castle subsequently assigned the agreement to Crown Communication New York, Inc. Under the terms of the state contract, Crown was permitted to license space on the towers to localities and commercial wireless providers, and the State retained the right to co-locate its own communications equipment on the towers.

After Crown identified two potential locations for towers on state-owned property within the City of New Rochelle (the City), the State granted Crown conceptual approval to commence a preliminary site evaluation for the construction of both towers. One proposed tower, consisting of a 120-foot monopole, would replace an existing 110-foot lattice communications tower located on a DOT right-of-way. The other planned tower—a lattice-type structure—would be erected at a DOT maintenance yard. Both sites are situated along the Hutchinson River Parkway.

In May 2000, the State informed the City of Crown's telecommunications plans. The following month, Crown and the State gave a public presentation to the Mayor and City Council regarding the purpose and intended use of the two proposed towers. At this meeting, the City voiced no objection to the siting or construction of the towers and Crown offered space on the facilities to the municipality for use by its public safety agencies. This invitation was reiterated in correspondence sent to the City. Thereafter, DOT, as lead agency, performed an environmental review of both sites pursuant to the State Environmental Quality Review Act (SEQRA). DOT issued a negative declaration for each location, finding that neither the replacement tower nor the maintenance yard tower would result in any significant adverse environmental or aesthetic impact based on the nature and location of the sites.

Crown proceeded with the construction of the towers and entered into license agreements with a number of commercial wireless telecommunications providers to lease space on the towers for their equipment.[1] After the maintenance yard tower was completed, and during construction of the replacement tower, the City issued a stop work order, contending that the towers were subject to the City's zoning laws and that Crown must therefore apply for a special permit from the City's Planning Board.

In 2001, Crown commenced separate hybrid declaratory judgment and CPLR article 78 proceedings seeking a judgment prohibiting the City from enforcing its zoning regulations to halt construction of the towers and a declaration that the towers were exempt from the local zoning regulations. The two proceedings were later consolidated. Although DOT was a named defendant, it joined in the relief sought by Crown. The Supervisor of the Town of Eastchester later intervened as an additional defendant.

Supreme Court initially declared the towers immune from local zoning regulations and enjoined the City from interfering with their construction and operation. The court applied the ''balancing of public interests'' test adopted by this Court in *Matter of County of Monroe* (72 NY2d 338 [1988]) and determined that the State's interests outweighed the City's interests. After reargument, Supreme Court modified its prior order to the extent that it found that the private telecommunications

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1. Both towers have been fully operational since March 2002. At oral argument, the State indicated that five commercial wireless telecommunications companies have installed equipment at the replacement tower site and four companies have placed antennae on the maintenance yard tower.

providers licensed to install their equipment on the towers were subject to local zoning regulation, concluding that there was no basis to exempt them from such laws. The court, however, adhered to its original determination that Crown need not comply with local zoning requirements regarding the construction of the towers.[2]

The Appellate Division modified by declaring that the wireless telecommunications providers are not subject to local zoning regulation and otherwise affirmed (309 AD2d 863 [2003]). The Court held that the telecommunications companies ''are not precluded from enjoying the State's immunity simply because they are private entities or because colocating on the DOT's towers will advance their financial interests'' (*id.* at 866, citing *County of Monroe*, 72 NY2d 338 [1988]; *Murphy v Erie County*, 28 NY2d 80 [1971]). Thus, the Court determined, ''it is not the private status of the Wireless Telephone Providers but, rather, the public nature of the activity sought to be regulated by the local zoning authority that is determinative in this case'' (*id.*). We granted the City leave to appeal and now affirm.

The City argues that, although the towers themselves are exempt from regulation, no justification exists to extend such immunity to the installation of commercial equipment on the towers. Specifically, the City asserts that it has the right pursuant to its zoning authority to evaluate whether private antennae are necessary to close cellular telecommunications coverage gaps or should be placed elsewhere, and to require some form of aesthetic camouflaging of equipment. In response, Crown and the State contend that the private carriers are entitled to share in the immunity already enjoyed by the state-owned towers. They claim that the State's plan envisions a public-private partnership and that the joint use of its towers facilitates the State's public safety and environmental goals.

In *County of Monroe*, we addressed the applicability of local zoning laws where a conflict arises between two governmental entities. There, the issue was whether the expansion and accessory uses of a county-owned airport located within the City of Rochester were subject to the City's zoning regulations. Abandoning the traditional governmental-proprietary classification standard used to resolve competing land use claims be-

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2. Because the City failed to challenge the immunity of the towers themselves on appeal, their exemption from local zoning regulation is not at issue in this case.

tween governmental units, we articulated a ''balancing of public interests'' test (*County of Monroe*, 72 NY2d at 341). Balancing a number of factors, including ''the nature and scope of the instrumentality seeking immunity, the kind of function or land use involved, the extent of the public interest to be served thereby, the effect local land use regulation would have upon the enterprise concerned and the impact upon legitimate local interests,'' we held that they weighed in favor of granting the County immunity for the airport's expansion (*id.* at 343 [internal quotation marks and citation omitted]). We also concluded that such immunity extended to additional structures, including an airport terminal, an air freight facility and parking lots, and that such exemption was appropriate despite the fact that portions of the new structures were to be leased for use by commercial entities (*see id.* at 344-345).

[1] In this case, although we are faced not with a dispute between two municipalities but between a state project and a locality, *County of Monroe* informs the result. Here, the State submitted evidence of numerous benefits the government's use of the towers would afford the public, which Supreme Court took into account in finding the towers immune from local regulation under the balancing test. For example, the State is currently in the process of developing its telecommunications infrastructure in anticipation of establishing a Statewide Wireless Network (SWN), which will replace outdated systems with a state-of-the-art digital land mobile radio network designed to permit interagency and intergovernmental communications across the state in emergency situations. According to the affidavit of the State Police's Administrative Officer and Program Manager of the Telecommunications Site Manager Service Agreement, the SWN will operate in the 700-800 megahertz frequency range, while the State Police's current communications system uses a 150 megahertz range. Consultants retained by the State Police have indicated that in order to operate in the higher frequency range, it will be necessary to construct three to four times the approximately 150 existing state-maintained radio sites. The State has therefore reserved space on the replacement and maintenance yard towers for anticipated SWN use when the network becomes operational.

Additionally, DOT has developed an Intelligent Transportation System (ITS), which monitors traffic flow, weather and road conditions. DOT's Director of Traffic Engineering and Safety stated that the collection of such data aids DOT and public safety entities in being able to ''respond to emergency situations, manage and divert traffic, and provide real-time traffic information to motorists,'' thereby improving the safety of the traveling public and reducing travel times. DOT explained that the maintenance yard tower utilizes equipment that supports the ITS, and indicated its intention to co-locate additional equipment on the replacement tower. DOT has also placed a radio antenna on the maintenance yard tower to improve the communications range for its maintenance crews and installed video surveillance cameras for improved security at its maintenance yard.

Finally, the State has followed a policy of offering space on its towers to local public safety authorities and offered such space on the two towers to the City in this case. Currently, Westchester County has placed antennae on the replacement tower for use by its Department of Public Safety.

Although Supreme Court determined on reargument that no basis existed to exempt the wireless providers from local zoning regulations, we agree with the Appellate Division that the installation of licensed commercial antennae on the towers should also be accorded immunity because co-location serves a number of significant public interests that are advanced by the State's overall telecommunications plan. At this time, there are apparently more private than public antennae on the towers, but the presence of commercial equipment does not exclusively serve private interests. The private antennae will improve the availability of 911 emergency cellular calls made by the public, thereby promoting the public safety interest central to construction of the State's towers. The Highway Emergency Local Patrol (HELP), consisting of a fleet of trucks which patrol highways—including the Hutchinson River Parkway—relies on wireless services provided by one of the carriers currently co-located on the towers. Numerous state agencies, including the Thruway Authority, Dormitory Authority, Department of Environmental Conservation and Department of Health utilize cellular phone services supported by the carriers in this case. Significantly, the co-location of public and private equipment also eliminates the need for the proliferation of telecommunications towers, an important environmental and aesthetic public concern. Furthermore, profits derived from licensing space to wireless providers will ultimately aid in financing the construction of the State's telecommunications infrastructure plan.

The fact that the wireless providers will also realize profit from their services does not undermine the public interests served by co-location. Such shared use and benefit is analogous to the airport development project in *County of Monroe*, which likewise served both public and private interests. Subjecting the private carriers to local regulation in this case ‘‘could otherwise foil the fulfillment of the greater public purpose of promoting’’ the State’s public safety and environmental goals associated with its telecommunications infrastructure development plan (*County of Monroe*, 72 NY2d at 344). In sum, the public and private uses of the towers are sufficiently intertwined to justify exemption of the wireless providers from local zoning regulations.[3]

Little Joseph Realty, Inc. v Town of Babylon (41 NY2d 738 [1977]), relied upon by the City, is distinguishable. In that case, the issue was whether a town’s zoning regulations applied to an asphalt plant operated for private profit but located on town-owned land which had been leased to a private entity. Applying the now-abandoned governmental-proprietary function test, we held that the local zoning laws were applicable, reasoning that because the plant ‘‘was operated *solely* by and for the commercial benefit of . . . a private entrepreneur,’’ the lease arrangement ‘‘could not serve to clothe [the entrepreneur] with immunity from the zoning laws’’ (*id.* at 742 [emphasis added]). This case, by contrast, does not merely involve the lease of government-owned space to a private firm for the exclusive purpose of making a profit. Rather, the licensing of space to commercial wireless providers is an integral component of the State’s plan of promoting public safety and reducing the proliferation of cellular towers, clearly salient public purposes.

[2] Nor does the extension of immunity to the private providers in this case conflict with the Telecommunications Act of 1996 (TCA) (47 USC § 151 *et seq.*). Section 332 of the TCA provides that, subject to enumerated exceptions, ‘‘nothing in this chapter shall limit or affect the authority of a State or local

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3. The dissent focuses on whether the State has preempted the telecommunications field with regard to the construction of facilities. It is true that where the State preempts a particular area and indicates an intention to preclude local regulation, any inconsistent local law is rendered inapplicable (*see Incorporated Vil. of Nyack v Daytop Vil., Inc.*, 78 NY2d 500, 505 [1991]). We agree with the dissent that the State has not preempted this area of the law. Nevertheless, preemption is not the only means for determining whether a particular activity is exempt from local zoning regulation. We find the principles outlined in *County of Monroe* applicable to this case, such that the immunity afforded the towers should extend to the wireless providers’ antennae.

government or instrumentality thereof over decisions regarding the placement, construction, and modification of personal wireless service facilities'' (47 USC § 332 [c] [7] [A]). While the TCA may not limit a government's zoning ability, it does not dictate that a locality's regulations trump state interests where competing interests exist. Rather, consistent with *County of Monroe*, we conclude that any income the wireless providers derive from the antennae placed on the two towers does not subvert the underlying public interests served by the enhancement of wireless telecommunication, and such equipment is therefore embraced within the immunity already afforded to the state-owned towers pursuant to the balancing test.[4]

Accordingly, the order of the Appellate Division should be affirmed, with costs.

CIPARICK, J. (dissenting). Because I do not believe the exemption from local zoning regulation accorded to the state-owned telecommunications towers should be applied to the private telecommunications providers here, I respectfully dissent.

Placement of private wireless service facilities is ordinarily subject to local zoning requirements. This case differs from the typical scenario because the private providers locate their antennae on a state tower that is immune from local regulation. The issue before this Court is whether that immunity should be extended to benefit the private providers—allowing them immunity from local zoning simply because they opt to co-locate on a state, rather than a private, tower.

The City of New Rochelle Code contains zoning regulations specifically pertaining to telecommunications facilities (New Rochelle Code, ch 331, art IXA).* While the City understands the need for telecommunications services, it ''finds that these regulations are necessary to protect the environmental, scenic

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4. We emphasize that our determination that immunity is warranted in this case should not be taken as blanket authority for the placement of state-owned towers at any location the State desires. Here, after performing SEQRA review, DOT concluded that the towers would not have any adverse aesthetic or environmental impact based on their nature and location: one merely replaced an existing tower while the other was placed in a DOT maintenance yard. Moreover, Supreme Court, in applying the *County of Monroe* balancing test, found that the nature of the towers' locations did not weigh in the City's favor.

* The regulations cited were the regulations in effect at the time of the controversy. The provisions pertaining to wireless telecommunications facilities have been amended and now appear at section 331-99 (amended Jan. 15, 2002 by Ord. No. 21-2002).

and historical resources of the city and to ensure that adverse visual and operational effects will not contribute to blighting or deterioration of the surrounding neighborhood'' (New Rochelle Code § 331-64.2). The Code states that shared use of existing towers (co-location) is favored (*see* New Rochelle Code § 331-64.4 [B]). The Code also provides that applications will be granted in order to fill in gaps in service (*see* New Rochelle Code § 331-64.4 [C]). The Code lists specific requirements for applicants seeking to co-locate on existing telecommunications facilities (*see* New Rochelle Code § 331-64.5).

The preliminary inquiry here should be whether the State has preempted this area so that local zoning does not apply. In *Incorporated Vil. of Nyack v Daytop Vil., Inc.* (78 NY2d 500 [1991]), we addressed whether the operator of a state-licensed residential substance abuse facility was subject to local zoning laws. We engaged in a preemption analysis to determine whether the Nyack Zoning Code was preempted by article 19 of the Mental Hygiene Law (*see Incorporated Vil. of Nyack*, 78 NY2d at 505). ''Where the State has demonstrated its intent to preempt an entire field and preclude any further local regulation, local law regulating the same subject matter is considered inconsistent and will not be given effect'' (*Incorporated Vil. of Nyack*, 78 NY2d at 505). The Court found that the Village had an important interest in regulating substance abuse facilities and that ''separate levels of regulatory oversight [could] coexist'' (*Incorporated Vil. of Nyack*, 78 NY2d at 507).

Here, the State has not preempted the field of regulating telecommunications facilities. The State Department of Transportation (DOT) does have statutory authority to lease property on or along special parkways—which include the Hutchinson River Parkway (*see* Transportation Law § 71 [2]; § 70 [2] [a]). In addition, the DOT Commissioner must also grant permits for any construction or improvements on a state highway right-of-way ''notwithstanding any consent or franchise granted by any town or county superintendent, or by any other municipal authority'' (Highway Law § 52). However, while the State does have some measure of control over development in these areas, it does not rise to the level of preemption.

The statutes do not explicitly limit local zoning authority and do not demonstrate any specific intent to preempt this area. Further, although the Commissioner has the authority to lease state highway property, the statute provides that development of such property ''shall be subject to the zoning regulations and ordinances of the municipality in which said property is located and to the support, protection or relocation of any public utility facilities within the right of way of any highways within said property'' (Highway Law § 10 [38]). Thus, rather than preemption, the statute contemplates that state and local zoning regulation can coexist.

The federal Telecommunications Act of 1996 (TCA) (47 USC § 151 *et seq.*) also specifically preserves local zoning authority. The TCA states that the act will not limit local authority over the placement of private wireless service facilities with limited exceptions pertaining to regulations that are either discriminatory or prohibit service (*see* 47 USC § 332 [c] [7]; *see also* 47 USC § 253 [c]; *Chambers v Old Stone Hill Rd. Assoc.*, 1 NY3d 424, 433 [2004]; majority op at 168-169).

Absent state preemption, the City has a legitimate interest in regulating the placement of private wireless facilities within its borders, and the wireless carriers should have applied for a special permit through the City's Planning Board. Like *Incorporated Vil. of Nyack*, there is no proof that the City's regulations would be inconsistent with the State's ultimate goal of setting up a Statewide Wireless Network (SWN) (*see* 78 NY2d at 508). Thus, the City should be permitted to exercise its authority to regulate the placement of private wireless communications facilities.

Nor is there any other barrier to the application of local zoning law. The test articulated in *Matter of County of Monroe* (72 NY2d 338 [1988]) and adopted by the majority in this case, is inapplicable to this situation. The ''balancing of public interests'' test applies to disputes between ''governmental units''—specifically whether an ''encroaching governmental unit'' will be subject ''to the zoning requirements of the host governmental unit'' (*see County of Monroe*, 72 NY2d at 343). By contrast, this case involves the interests of the municipality (New Rochelle) on the one hand and the interests of the commercial wireless providers on the other. As the majority notes, the immunity of the state towers is not at issue (*see* majority op at 165 n 2). As the Attorney General concedes, it is not at all clear that *County of Monroe* is applicable to the State—as the State is sovereign rather than a ''governmental unit.''

Even applying *County of Monroe*, there is no basis to cloak the private providers with the State's immunity. The factors to be weighed in the ''balancing of public interests'' test include ''the nature and scope of the instrumentality seeking immunity, the kind of function or land use involved, the extent of the public interest to be served thereby, the effect local land use regulation would have upon the enterprise concerned and the impact upon legitimate local interests'' (*County of Monroe*, 72 NY2d at 343 [internal quotation marks and citation omitted]). Additional factors include ''the applicant's legislative grant of authority, alternative locations for the facility in less restrictive zoning areas, and alternative methods of providing the needed improvement . . . [as well as] intergovernmental participation in the project development process and an opportunity to be heard'' (*County of Monroe*, 72 NY2d at 343).

The State undeniably has an important interest in the SWN to improve State Police communications and in the Intelligent Transportation System (ITS) to improve the safety of travel. It also has an interest in improving 911 service. These interests apply to the utility of the towers in general—which is not at issue here. What is at issue here is whether state immunity should be conferred upon private providers.

The SWN is a prospective development in its planning stages. Thus, the primary use of the tower is currently private, making the majority of the benefits claimed to flow from the tower speculative. The type of land use involved is the placement of private wireless equipment—typically an area subject to regulation by localities. Indeed, such local regulatory authority is specifically preserved by the TCA. Here, there was a lack of intergovernmental participation as to whether the private providers should be permitted to co-locate on the towers.

Significantly, the majority fails to address what effect, if any, the local zoning regulation would have upon the proposed use. There is no indication that local zoning would conflict with these purposes. The New Rochelle Code reflects a preference for co-location—making the application procedure for shared use less rigorous than for a new tower (*see* New Rochelle Code §§ 331-64.5, 331-64.6). The City also has legitimate interests in regulating telecommunication facilities, such as ''protect[ing] the appearance and property value of neighborhoods'' as well as ''protect[ing] the environmental, scenic and historical resources of the city and to ensure that adverse visual and operational effects will not contribute to blighting or deterioration of the surrounding neighborhood'' (New Rochelle Code § 331-64.2). In addition, ''once an area is sufficiently serviced by a wireless service provider, the right to deny applications becomes broader''

(*Sprint Spectrum L.P. v Willoth*, 176 F3d 630, 643 [2d Cir 1999]). There is no evidence that there were service gaps here that would have required the private providers to place their antennae in these particular locations. Here, given the primarily private use of the towers and the absence of any indication that the zoning provisions would conflict with state purposes, there is an insufficient basis upon which to apply the State's immunity to the private providers.

The majority also contends that profits from granting space to the private providers that ''will ultimately aid in financing the construction of the State's telecommunications infrastructure plan'' is a consideration in determining whether the private providers should benefit by the State's immunity (majority op at 167). To suggest that mere enhancement of the State's revenue is the sort of ''public interest'' that can justify exemption from local regulation can lead to abuses if taken to an extreme.

Nor should the private providers be considered an accessory use, such as ''[t]he airport terminal, parking facilities, and air freight facility'' in *County of Monroe* (72 NY2d at 345). The Court determined those uses were accessory to the airport and should benefit by immunity, deeming them ''customarily incidental to an airport operation'' (*County of Monroe,* 72 NY2d at 345). Here, the primary use of the towers is commercial and the SWN is a speculative future project. The private providers are engaged in their ordinary business which could be conducted on any tower—whether state or private. While the private providers may confer a benefit, the tower could function without them. Thus, these do not appear to be the type of accessory uses contemplated by *County of Monroe*.

It is also persuasive that the parties provided for compliance with local zoning requirements in the ''Tower License Agreement'' between Crown and the private providers. The agreement states that ''[t]he access to, and installation, maintenance and operation of, Licensee's Site Equipment must at all times be in strict compliance with the Technical Standards, all applicable federal, state and local laws, ordinances, and regulations (including without limitation the FCC, Federal Aviation Administration, zoning, building and fire codes) . . . .''

The State's conduct essentially amounts to selling its immunity from zoning regulations. This particular conduct was rejected by this Court in *Little Joseph Realty, Inc. v Town of Babylon* (41 NY2d 738, 742 [1977]) and by the Southern District in *Omnipoint Communications, Inc. v Common Council of City of Peekskill* (202 F Supp 2d 210, 225 [SD NY 2002] [''Non-governmental uses, such as the lease of space to private corporations for the construction of a personal wireless service facility, are not immune from local zoning requirements'']). *Little Joseph* concededly relied upon the since-rejected governmental-proprietary function distinction. However, the premise that a government entity should not be permitted to sell its own immunity from local zoning regulations to private parties remains valid.

The State's immunity from local zoning requirements should not be extended to the private providers. The State has not preempted this area and there is no indication that the local zoning regulations would conflict with the State's purposes. Thus, I would reverse the order of the Appellate Division and reinstate the order of Supreme Court.

Judges G.B. SMITH, ROSENBLATT and READ concur with Judge GRAFFEO; Judge CIPARICK dissents and votes to reverse in a separate opinion in which Chief Judge KAYE and Judge R.S. SMITH concur.

Order affirmed, with costs.

[824 NE2d 947, 791 NYS2d 507]

NEW YORK CIVIL LIBERTIES UNION et al., Appellants, v STATE OF NEW YORK et al., Respondents.

Argued January 11, 2005; decided February 15, 2005

SUMMARY

APPEAL, on constitutional grounds, from an order of the Appellate Division of the Supreme Court in the Third Judicial Department, entered January 29, 2004. The Appellate Division affirmed an order of the Supreme Court, Albany County (Joseph C. Teresi, J.), which had (1) granted defendants' motion to dismiss the amended complaint to the extent of declaring that plaintiffs failed to allege or show any constitutional violation by or right to any relief from the defendants with respect to the Education Article of the New York Constitution, (2) dismissed plaintiffs' second cause of action seeking relief under CPLR article 78, and (3) to the extent the second cause of action could be deemed an action for declaratory judgment, declared that the issues raised were nonjusticiable and that plaintiffs had no right to compel the Commissioner of Education or the State Education Department to place any additional schools under registration review.

New York Civ. Liberties Union v State of New York, 3 AD3d 811, affirmed.

HEADNOTES

Schools — State Aid to School Districts — Education Article Claim

1. Plaintiffs' complaint against the State and its agencies responsible for education, alleging that students in 27 named schools outside of New York City were being denied the opportunity for a sound basic education, failed to state a cause of action under the Education Article of the State Constitution (NY Const, art XI, § 1). An Education Article claim requires two elements: the deprivation of a sound basic education, and causes attributable to the State. Plaintiffs' failure to sufficiently plead causation by the State was fatal to their claim. Plaintiffs' claim was not premised on any alleged failure of the State to provide "resources"—financial or otherwise—but sought to charge the State with the responsibility to determine the causes of the schools' inadequacies and devise a plan to remedy them. Further, because school districts, not individual schools, are the local units responsible for receiving and using state funding, and the State is responsible for providing sufficient funding to school districts, a claim under the Education Article requires that a district-wide failure be pleaded. Here, in identifying individual schools that do not meet minimum standards, plaintiffs did not allege any district-wide failure.

Schools — State Aid to School Districts — Registration Review

2. Plaintiffs' complaint against the State and its agencies responsible for education failed to state a cause of action based on the allegation that the

Commissioner of Education violated the mandate of 8 NYCRR 100.2 (p) by failing to place plaintiffs' schools under registration review, thereby allowing the schools to continue to provide inadequate educational opportunities. Inasmuch as plaintiffs sought to test the action or inaction of a public officer, their sole available remedy was a CPLR article 78 proceeding seeking mandamus to compel. Mandamus is available only to enforce a clear legal right where the public official has failed to perform a duty enjoined by law. The administrative action of deciding which and how many schools to place under registration review involves an exercise of judgment and discretion by the Commissioner, and mandamus does not lie to enforce the performance of a duty that is discretionary, as opposed to ministerial.

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By the Publisher's Editorial Staff

Am Jur 2d, Constitutional Law § 773; Am Jur 2d, Schools §§ 99, 100, 106, 109–116.

McKinney's, NY Const, art XI, § 1.

8 NYCRR 100.2 (p).

NY Jur 2d, Schools, Universities, and Colleges §§ 373, 631, 632.

ANNOTATION REFERENCE

Validity of public school funding systems. 110 ALR5th 293.

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POINTS OF COUNSEL

New York Civil Liberties Union Foundation, New York City (*Arthur N. Eisenberg, Christopher Dunn* and *Donald Shaffer* of counsel), for appellants. I. The courts below improperly dismissed plaintiffs' cause of action under the Education Article of the State Constitution. (*Campaign for Fiscal Equity v State of New York,* 86 NY2d 307; *Campaign for Fiscal Equity v State of New York,* 187 Misc 2d 1, 295 AD2d 1, 100 NY2d 893; *City of New York v State of New York,* 86 NY2d 286.) II. Plaintiffs' claim that state officials have violated their own administrative regulations should have been permitted to survive defendants' motion to dismiss. (*Jiggetts v Grinker,* 75 NY2d 411; *Ivory v Edwards,* 278 App Div 359, 304 NY 949; *General Motors Corp. v Industrial Commr.,* 16 AD2d 862; *Walsh v New York State Liq. Auth.,* 45 Misc 2d 601, 23 AD2d 876, 16 NY2d 781; *Matter of*

Triolo v Johnson, 65 Misc 2d 424, 40 AD2d 953; *Elms v Lavine,* 79 Misc 2d 1; *United States ex rel. Accardi v Shaughnessy,* 347 US 260; *Service v Dulles,* 354 US 363; *Vitarelli v Seaton,* 359 US 535; *Yellin v United States,* 374 US 109.)

Eliot Spitzer, Attorney General, Albany (*Denise A. Hartman, Caitlin J. Halligan* and *Daniel Smirlock* of counsel), for respondents. I. The courts below properly dismissed plaintiffs' Education Article claim for failure to state a cause of action. (*Campaign for Fiscal Equity v State of New York,* 86 NY2d 307; *Campaign for Fiscal Equity v State of New York,* 100 NY2d 893; *United States v City of Yonkers,* 197 F3d 41, 529 US 1130, 123 F Supp 2d 694; *Paynter v State of New York,* 100 NY2d 434.) II. Plaintiffs' Education Article claim is not justiciable because it would entangle the court in New York's complex regulatory processes, which were designed to improve educational services at poorly performing schools. (*Klostermann v Cuomo,* 61 NY2d 525; *Jones v Beame,* 45 NY2d 402; *Matter of Bernstein v Toia,* 43 NY2d 437; *Campaign for Fiscal Equity v State of New York,* 100 NY2d 893; *Campaign for Fiscal Equity v State of New York,* 86 NY2d 307; *Staatsburg Water Co. v Staatsburg Fire Dist.,* 72 NY2d 147; *Matter of Patti Ann H. v New York Med. Coll.,* 88 AD2d 296; *Matter of Markow-Brown v Board of Educ., Port Jefferson Pub. Schools,* 301 AD2d 653, 100 NY2d 512; *Matter of Langston v Iroquois Cent. School Dist.,* 291 AD2d 845; *Paynter v State of New York,* 100 NY2d 434.) III. Plaintiffs fail to state a claim to compel the Commissioner of Education to comply with the Schools Under Registration Review regulations. (*Mahoney v Pataki,* 98 NY2d 45; *Jiggetts v Grinker,* 75 NY2d 411; *Matter of Korn v Gulotta,* 72 NY2d 363; *Klostermann v Cuomo,* 61 NY2d 525; *Grant v Cuomo,* 130 AD2d 154, 73 NY2d 820.) IV. Should this action be permitted to proceed, this Court should make appropriate adjustments to the parties. (*Caruso v New York City Police Dept. Pension Funds,* 72 NY2d 568; *Matter of Board of Educ. of Roosevelt Union Free School Dist. v Board of Trustees of State Univ. of N.Y.,* 282 AD2d 166; *Matter of Jerry v Board of Educ. of City School Dist. of City of Syracuse,* 44 AD2d 198; *Paynter v State of New York,* 270 AD2d 819, 187 Misc 2d 227, 290 AD2d 95, 100 NY2d 434.)

Patterson, Belknap, Webb & Tyler LLP, New York City (*Phyllis S. Wallitt, Catherine A. Williams* and *Eugene M. Gelernter* of counsel), for Alliance for Quality Education and others, amici curiae. I. Allegations of school-wide failure are sufficient to state a claim under the Education Article. (*Campaign for Fiscal*

Equity v State of New York, 100 NY2d 893; *Paynter v State of New York,* 100 NY2d 434.) II. When significant classes of students, such as minority, low-income, and special education students, are being denied the opportunity for a sound basic education, there is systemic failure. (*Paynter v State of New York,* 100 NY2d 434.) III. Plaintiffs can allege district-wide failures in this case. (*Campaign for Fiscal Equity v State of New York,* 100 NY2d 893; *Affronti v Crosson,* 95 NY2d 713; *Cron v Hargro Fabrics,* 91 NY2d 362; *Campaign for Fiscal Equity v State of New York,* 86 NY2d 307.)

OPINION OF THE COURT

Chief Judge KAYE.

Plaintiffs bring suit against the State and its agencies responsible for education, alleging that students in 27 named schools outside of New York City are being denied the opportunity for a sound basic education.[1] Although plaintiffs raise two separate claims, one alleging a constitutional violation and the other a regulatory violation, both in effect request the same relief—that the State determine the causes of failure of each of the cited schools, and do something to correct it. We agree with the courts below that plaintiffs' complaint fails to state a cause of action.

I.

Plaintiffs' first cause of action is brought under the Education Article of the State Constitution, which declares that ''[t]he legislature shall provide for the maintenance and support of a system of free common schools, wherein all the children of this state may be educated'' (NY Const, art XI, § 1). Although the Constitution does not require equality of educational offerings throughout the state (*see Board of Educ., Levittown Union Free School Dist. v Nyquist*, 57 NY2d 27 [1982] [*Levittown*]), it does mandate that the opportunity for a sound basic education be provided to all. Thus, a cause of action may be stated under the Education Article when the State fails in its obligation to meet minimum constitutional standards of educational quality.

[1] Fundamentally, an Education Article claim requires two elements: the deprivation of a sound basic education, and causes

1. Plaintiffs contend that they and their schools—located in the districts of Albany, Buffalo, Hempstead, Lackawanna, Mount Vernon, Roosevelt, Schenectady, Syracuse, Utica, Westbury, Wyandanch and Yonkers—are representative of a class consisting of approximately 75,000 students attending an estimated 150 schools in plaintiffs' districts.

attributable to the State. As our case law makes clear, even gross educational inadequacies are not, standing alone, enough to state a claim under the Education Article. Plaintiffs' failure to sufficiently plead causation by the State is fatal to their claim.

In the complaint, plaintiffs allege that defendants ''have not taken adequate steps to remedy their [schools'] deficiencies by providing adequate educational resources, services, and physical facilities.'' They therefore seek a declaratory judgment that defendants ''have failed to enact, implement, and maintain an education system in compliance with the Education Article,'' and a permanent injunction

> ''directing defendants to remedy this constitutional violation by creating, implementing and maintaining a statutory and regulatory system that complies with the Education Article . . . by ensuring that all students throughout the State receive an opportunity for a sound basic education, including the provision of sufficient educational resources and adequate physical facilities within all schools and the implementation of administrative measures that will ensure that education expenditures are efficiently and effectively used to provide the opportunity for a sound basic education . . . ; [and requiring] that the State Department of Education conduct a detailed assessment of the sources of failure in each of the 'failing schools' identified and . . . work with local school officials and with the affected communities to devise specific school-based remedial plans for correcting the identified failures and . . . provide sufficient resources to implement the specific plans that are developed; and that a Special Master . . . be appointed to monitor implementation of remedial plans.''

Defendants counter that, in order to be cognizable, a claim brought under the Education Article must allege that any educational deficiencies complained of resulted from inadequate funding. Because, in defendants' view, plaintiffs do not base their complaint squarely on an allegation of funding failure, the action must be dismissed. Plaintiffs, however, insist that their allegation that the State has not provided sufficient ''educational resources'' necessarily includes a lack of *financial* resources.[2] Indeed, the amended complaint expressly alleges that ''[t]he conditions in plaintiffs' schools are exacerbated by insufficient funding. The State of New York does not provide adequate financial resources to afford all students throughout the State the opportunity for a sound basic education.'' Nevertheless, even construing plaintiffs' allegations liberally, as we must (*see Leon v Martinez*, 84 NY2d 83, 87 [1994]), we conclude that the complaint fails to state a cognizable claim.

Plaintiffs contend that, to the extent they have alleged multiple causes for the failure of their schools, such allegations should not defeat their action. To be sure, there may be several causal links to a single outcome—the Education Article does not require that there be a single cause in order for plaintiffs to state a claim. The defect here, however, is not that plaintiffs have alleged too many causes, but that they have failed to clearly allege even one.

True, plaintiffs contend that their schools are, among other things, insufficiently funded, but the gravamen of their complaint is not that more money is needed in these schools. Rather, it is that the State must undertake to figure out what is needed, which might well include money, and provide it. At bottom, plaintiffs' claim is not premised on any alleged failure of the State to provide ''resources''—financial or otherwise—but seeks to charge the State with the responsibility to determine the causes of the schools' inadequacies and devise a plan to remedy them. An Education Article claim, however, requires a clear articulation of the asserted failings of the State, sufficient for the State to know what it will be expected to do should the plaintiffs prevail.

Thus, in *Paynter v State of New York* (100 NY2d 434, 441 [2003]), we held that ''allegations of academic failure alone, without allegations that the State somehow fails in its obligation to provide minimally acceptable educational services, are insufficient to state a cause of action under the Education

2. Plaintiffs further assert that a lack of funding is in any event not required to state a cause of action, citing to our acknowledgment in *Paynter v State of New York* (100 NY2d 434, 441 [2003]) that in *Campaign for Fiscal Equity, Inc. v State of New York* (86 NY2d 307 [1995]) ''we addressed the sufficiency of the pleadings then before us and had no occasion to delineate the contours of all possible Education Article claims.'' Because we conclude that plaintiffs' claim is insufficient for reasons other than a failure to allege inadequate funding, we need not explore those contours here.

Article.'' In *Paynter*, the plaintiffs conceded that the State had sufficiently funded the Rochester City School District, but faulted the State for alleged ''practices and policies that have resulted in high concentrations of racial minorities and poverty in the school district, leading to abysmal student performance'' (100 NY2d at 438). Although they did not claim any inadequacy of inputs, the *Paynter* plaintiffs maintained that the State had nevertheless failed in its obligation to provide a sound basic education by neglecting to mitigate demographic factors that may affect student performance. In their view, ''no matter how well the State funds their schools, if plaintiffs and their classmates fail, it is the State's responsibility to change the school population until the results improve'' (100 NY2d at 441).

Here, plaintiffs allege deficiencies in both inputs and outputs, contending that minimally acceptable educational services are not being provided in their schools. But even inferring from plaintiffs' claims of inadequate teaching, facilities and instrumentalities of learning that such deficiencies could be ameliorated by increased funding, we nevertheless conclude that plaintiffs have failed to state a cause of action for a more fundamental reason: In identifying individual schools that do not meet minimum standards, plaintiffs do not allege any district-wide failure. Rather, in seeking to require the State to assess and rectify the failings of individual schools, plaintiffs' theory would

> ''subvert the important role of local control and participation in education. As we observed in *Levittown*, the Education Article enshrined in the Constitution a state-local partnership in which 'people with a community of interest and a tradition of acting together to govern themselves' make the 'basic decisions on funding and operating their own schools.' The premise of the Article is thus in part that a system of local school districts exists and will continue to do so because the residents of such districts have the right to participate in the governance of their own schools. The aim of the Article 'was to constitutionalize the established system of common schools rather than to alter its substance' ''

(*Paynter*, 100 NY2d at 442 [internal citations omitted]).[3]

As the Appellate Division noted, plaintiffs do not request a judgment directing the State to provide additional financial aid to their school districts. The requested relief here bypasses the districts and instead seeks to mandate that the State provide money or other resources directly to individual schools. Requiring the State to intervene on a school-by-school basis to determine each of the 27 named school's sources of failure and devise a remedial plan would, as we explained in *Paynter*, subvert local control and violate the constitutional principle that districts make the basic decisions on funding and operating their own schools.

Plaintiffs misinterpret our recognition in *Campaign for Fiscal Equity, Inc. v State of New York* (100 NY2d 893 [2003] [*CFE II*]) that education is ultimately a responsibility of the State as a holding that education is not ultimately a responsibility of school districts. In *CFE II*, we explained that because both the Board of Education and the City of New York are creatures or agents of the State, which delegated whatever authority over education they wield, the State ''remains responsible when the failures of its agents sabotage the measures by which it secures for its citizens their constitutionally-mandated rights'' (100 NY2d at 922). This observation, however, is in no way inconsistent with the principles of local control set forth in *Levittown* and reaffirmed in *Paynter*, which would require that any such ''sabotage'' be committed by the district.

Thus, because school districts, not individual schools, are the local units responsible for receiving and using state funding, and the State is responsible for providing sufficient funding to school districts, a claim under the Education Article requires that a district-wide failure be pleaded.

II.

Plaintiffs' second cause of action fares no better. As with their constitutional claim, plaintiffs seek an injunction requiring

3. School districts have existed in New York for nearly 200 years (*see* L 1812, ch 242 [creating a system for the management of common schools to be headed by a superintendent of common schools, and providing for the establishment of school districts to be run by elected trustees]). Today, procedures for the formation, alteration and dissolution of school districts are set forth in article 31 of the Education Law (*see* Education Law § 1501 *et seq.*; *see also* Education Law §§ 314, 2218).

defendants to determine the causes of failure in their schools and rectify them, based this time on an allegation that defendants have ''failed adequately to comply'' with their own regulations mandating such remedial action.

Under 8 NYCRR 100.2 (p) (5), those schools ''that are determined to be farthest from meeting the school accountability performance criteria'' and ''most in need of improvement'' shall be ''place[d] under registration review.'' Placing a school under registration review (SURR) indicates that ''the school is at risk of having its registration [to operate] revoked'' (8 NYCRR 100.2 [p] [6] [i]).[4] In deciding on the number of schools to identify as in need of registration review, the Commissioner of Education is authorized to consider, among other criteria, the sufficiency of state and local resources available to implement and monitor improvement efforts (*see* 8 NYCRR 100.2 [p] [5]).

Once a school is identified as under registration review, the Commissioner

> ''shall appoint a team to undertake a resource, planning, and program audit of the district and the school. . . . Based upon the results of the audit, the commissioner shall require that:
>
> ''(*a*) a corrective action plan be developed by the superintendent of the district . . . in consultation with the school staff, persons in parental relation of children attending the school, and members of the community'' (8 NYCRR 100.2 [p] [6] [i]).

Further, the Commissioner shall periodically monitor the implementation of the corrective plan (*see* 8 NYCRR 100.2 [p] [6] [iv]).

Plaintiffs allege that the Commissioner has violated the mandate of the SURR regulations by failing to place their schools under registration review, thereby allowing the schools to continue to provide inadequate educational opportunities. Plaintiffs do not challenge any specific determination of the Commissioner, but rather his failure to take affirmative action.

Inasmuch as plaintiffs seek to test the action or inaction of a public officer, their sole available remedy lies, as the courts

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4. Since the filing of the instant lawsuit, the regulations and terminology of the Department of Education governing accountability and oversight of public schools (8 NYCRR 100.2) were significantly amended to comply with the federal No Child Left Behind Act of 2001 (Pub L 107-110, 115 US Stat 1425 [2002]).

below held, in a CPLR article 78 proceeding seeking mandamus to compel. Mandamus is available, however, only to enforce a clear legal right where the public official has failed to perform a duty enjoined by law (*see* CPLR 7803 [1]; *Matter of Legal Aid Socy. of Sullivan County, Inc. v Scheinman*, 53 NY2d 12, 16 [1981]). Thus, mandamus does not lie to enforce the performance of a duty that is discretionary, as opposed to ministerial (*see Matter of Brusco v Braun*, 84 NY2d 674, 679 [1994]). A discretionary act ''involve[s] the exercise of reasoned judgment which could typically produce different acceptable results whereas a ministerial act envisions direct adherence to a governing rule or standard with a compulsory result'' (*Tango v Tulevech*, 61 NY2d 34, 41 [1983]).

[2] Because the administrative action of deciding which and how many schools to place under registration review involves an exercise of judgment and discretion by the Commissioner, it cannot be compelled by writ of mandamus, and plaintiffs have failed to state a cause of action to require that their schools be designated as SURR schools. Irrespective of the regulatory mandate that some ''corrective action plan'' be developed once a school is identified as under registration review, the fact remains that the initial decision to so classify a school is wholly discretionary. Such schools must be determined to constitute those ''farthest from meeting the school accountability performance criteria'' and ''most in need of improvement'' of all the schools in the state. Further, the obligations placed upon the Commissioner once a school has been placed on the SURR list are also nonministerial, requiring the exercise of the Commissioner's expertise, judgment and discretion in determining the specific actions to be taken with respect to such a school.

Plaintiffs do not dispute that, through the SURR process, defendants have a procedure in place for accomplishing the very relief plaintiffs seek—that is, trying to improve deficient schools—but contend in effect that since their schools nevertheless remain deficient, defendants must either try something else, or else try harder. Mandamus is unavailable to compel such an uncertain remedy.

Accordingly, the order of the Appellate Division should be affirmed, without costs.

Judges G.B. SMITH, CIPARICK, ROSENBLATT and GRAFFEO concur; Judges READ and R.S. SMITH concur only in result.

Order affirmed, without costs.

[824 NE2d 944, 791 NYS2d 504]

ANDREW GREENBERG, INC., Appellant, v SIR-TECH SOFTWARE, INC., et al., Defendants, and SIR-TECH CANADA, LTD., et al., Respondents.

Argued January 12, 2005; decided February 15, 2005

SUMMARY

APPEAL, by permission of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Third Judicial Department, entered December 11, 2003. The Appellate Division (1) reversed, on the law, an order of the Supreme Court, Sullivan County (Burton Ledina, J.), which had denied the motion of defendants Sir-Tech Canada, Ltd. and 1259190 Ontario for summary judgment dismissing the third amended complaint against them for lack of jurisdiction, (2) granted the motion, (3) awarded summary judgment to those defendants, and (4) dismissed the third amended complaint against them.

Andrew Greenberg, Inc. v Sir-Tech Software, Inc., 2 AD3d 1042, reversed.

HEADNOTES

Appeal — Preservation of Issue for Review — Long-Arm Jurisdiction Claim

1. Plaintiff preserved for review the issue of whether Supreme Court had long-arm jurisdiction pursuant to CPLR 302 (a) (1) over defendant Canadian corporations in its action for an accounting and to recover royalty payments pursuant to a manufacturing and marketing agreement plaintiff had entered into with defendants' alleged predecessor, a New York corporation. In resisting defendants' motion to dismiss the second amended complaint, plaintiff submitted abundant evidence to Supreme Court in support of its claims under CPLR 302 (a) (1). Moreover, the court centered its decision upon a host of allegations that defendants, as successors of the New York corporation, continued to transact business in New York.

Courts — Jurisdiction — Long-Arm Jurisdiction — Canadian Corporations Transacting Business in New York

2. In an action against defendant Canadian corporations for an accounting and to recover royalty payments pursuant to a manufacturing and marketing agreement plaintiff had entered into with defendants' alleged predecessor, a New York corporation, plaintiff's allegations were sufficient to bring its claim within the long-arm jurisdiction provisions of CPLR 302 (a) (1). Plaintiff's allegations, if true, established that defendants reincarnated themselves as successors to their New York business, and that defendants, in their Canadian corporate capacity, continued to do business in New York in violation of their contractual obligations to plaintiff.

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Am Jur 2d, Appellate Review §§ 147, 614, 690, 691; Am Jur 2d, Foreign Corporations §§ 281, 290, 328.

Carmody-Wait 2d, Jurisdiction in Personam and in Rem §§ 25:24, 25:31–25:33; Carmody-Wait 2d, Appeals in General §§ 70:91, 70:95, 70:96.

McKinney's, CPLR 302 (a).

NY Jur 2d, Appellate Review §§ 137, 600, 619; NY Jur 2d, Courts and Judges §§ 610–612, 616, 631.

Siegel, NY Prac §§ 84, 86.

ANNOTATION REFERENCE

See ALR Index under Appeal and Error; Long Arm Statutes.

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POINTS OF COUNSEL

Weiss & Associates, P.C., New York City (*Matthew J. Weiss* of counsel), for appellant. I. The Third Department erroneously invoked the law of the case doctrine. (*Chalasani v Neuman,* 64 NY2d 879; *Penato v George,* 42 NY2d 908; *Smith v Russell Sage Coll.,* 78 AD2d 913, 54 NY2d 185; *Langer v Garay,* 30 AD2d 942; *Miglietta v Kennecott Copper Corp.,* 22 AD2d 874; *Schoenborn v Kinderhill Corp.,* 98 AD2d 831; *Reliance Natl. Ins. Co. [UK] v Sapines Intl. Corp.,* 243 AD2d 406; *St. Lawrence Explosives Corp. v Law Bros. Contr. Corp.,* 170 AD2d 957; *Halmar Distribs. v Approved Mfg. Corp.,* 49 AD2d 841; *Bennett v City of New York,* 65 AD2d 731.) II. The Canadian defendants consented to personal jurisdiction in New York by the terms of paragraph 23 of the parties' licensing agreement. (*Brooke Group v JCH Syndicate 488,* 87 NY2d 530; *Dine-A-Mate, Inc. v J.B. Noble's Rest.,* 240 AD2d 802; *L-3 Communications Corp. v Channel Tech.,* 291 AD2d 276; *International Private Satellite Partners, L.P. v Lucky Cat Ltd.,* 975 F Supp 483; *National Union Fire Ins. Co. of Pittsburgh, Pa. v Worley,* 257 AD2d 228.) III. Andrew Greenberg, Inc. was entitled to discovery regarding the Canadian defendants' nexus with New York prior to the dismissal of its third amended complaint. IV. The Due Process

Clause was not violated by asserting personal jurisdiction based upon the forum selection clause. (*Mitchell v New York Hosp.,* 61 NY2d 208; *Matter of Mallinckrodt Med. v Assessor of Town of Argyle,* 292 AD2d 721; *Burger King Corp. v Rudzewicz,* 471 US 462.) V. Personal jurisdiction existed by virtue of the parties' forum selection clause. (*Sega v State of New York,* 60 NY2d 183.) VI. Even without the forum selection clause, personal jurisdiction exists over the Canadian defendants. (*Burnett Process v Richlar Indus.,* 55 AD2d 812; *Computer Assoc. Intl., Inc. v Altai, Inc.,* 982 F2d 693; *Dine-A-Mate, Inc. v J.B. Noble's Rest.,* 240 AD2d 802; *Global Fin. Corp. v Triarc Corp.,* 93 NY2d 525; *American Network, Inc. v Access Am./Connect Atlanta, Inc.,* 975 F Supp 494; *El Cid, Ltd. v New Jersey Zinc Co.,* 444 F Supp 845; *McCrory Corp. v Cloth World, Inc*., 378 F Supp 322; *Agency Rent A Car Sys., Inc. v Grand Rent A Car Corp.,* 98 F3d 25; *East N.Y. Sav. Bank v Republic Realty Mtge.,* 61 AD2d 1001; *Elman v Belson,* 32 AD2d 422.)

Drew, Davidoff & Edwards Law Offices, LLP, Monticello (*Michael Davidoff* of counsel), for respondents. I. The first decision of the Appellate Division finding no personal jurisdiction required dismissal of the third amended complaint. (*Shawangunk Conservancy v Fink,* 305 AD2d 902; *Bennett v Nardone,* 298 AD2d 790, 99 NY2d 579; *People v Evans,* 94 NY2d 499; *Matter of Mallinckrodt Med. v Assessor of Town of Argyle,* 292 AD2d 721; *Mitchell v La Barge,* 257 AD2d 834; *Smith v Russell Sage Coll.,* 78 AD2d 913, 54 NY2d 185; *Chalasani v Neuman,* 64 NY2d 879; *Langer v Garay,* 30 AD2d 942; *EDP Hosp. Computer Sys. v Bronx-Lebanon Hosp. Ctr.,* 212 AD2d 570; *Poley v Rochester Community Sav. Bank*, 140 AD2d 933.) II. The forum selection clause does not bind foreign defendants. (*Spectra Prods. v Indian Riv. Citrus Specialties,* 144 AD2d 832; *Cato Show Print. Co. v Lee,* 84 AD2d 947; *Sipa Press v Star-Telegram Operating,* 181 Misc 2d 550; *VOR Assoc. v Ontario Aircraft Sales & Leasing,* 198 AD2d 638; *Schumacher v Richards Shear Co.,* 59 NY2d 239; *L-3 Communications Corp. v Channel Tech.,* 291 AD2d 276; *International Private Satellite Partners, L.P. v Lucky Cat Ltd.,* 975 F Supp 483; *Wensing v Paris Indus.-N.Y.,* 158 AD2d 164; *Rotoli v Domtar, Inc.,* 224 AD2d 939; *Delagi v Volkswagenwerk AG. of Wolfsburg, Germany,* 29 NY2d 426, 30 NY2d 694.) III. Plaintiff's failure to file a cross appeal precludes it from raising an issue decided against it by the lower court. (*Sumitomo Mar. & Fire Ins. Co. v Cologne Reins. Co.,* 75 NY2d 295.) IV. Asserting personal jurisdiction would violate the Due Process Clause of the United States Constitution. (*Burger King*

Corp. v Rudzewicz, 471 US 462; *World-Wide Volkswagen Corp. v Woodson,* 444 US 286; *Darby v Compagnie Nationale Air France,* 769 F Supp 1255; *International Shoe Co. v Washington,* 326 US 310; *Bensusan Rest. Corp. v King,* 126 F3d 25; *Asahi Metal Indus. Co., Ltd. v Superior Ct. of Cal.,* 480 US 102; *LaMarca v Pak-Mor Mfg. Co.,* 266 AD2d 899, 95 NY2d 210.) V. Long-arm jurisdiction does not exist pursuant to CPLR 302 (a) (1). (*Schumacher v Richards Shear Co.,* 59 NY2d 239; *Spectra Prods. v Indian Riv. Citrus Specialties,* 144 AD2d 832; *Sipa Press v Star-Telegram Operating,* 181 Misc 2d 550; *Glassman v Catli,* 111 AD2d 744; *Beacon Enters., Inc. v Menzies,* 715 F2d 757; *McGowan v Smith,* 52 NY2d 268; *CutCo Indus., Inc. v Naughton,* 806 F2d 361; *McKee Elec. Co. v Rauland-Borg Corp.,* 20 NY2d 377; *Fort Knox Music Inc. v Baptiste,* 203 F3d 193; *Graphic Controls Corp. v Utah Med. Prods., Inc.,* 149 F3d 1382.) VI. Plaintiff is not entitled to discovery. (*Peterson v Spartan Indus.,* 33 NY2d 463.)

OPINION OF THE COURT

ROSENBLATT, J.

This appeal concerns New York's long-arm statute (CPLR 302 [a]) and its reach over certain Canadian defendants who, asserting a purported lack of jurisdiction over them, seek dismissal of the complaint. Plaintiff Andrew Greenberg, Inc. (AGI) has alleged that in 1979 it created the name, concept and plot for a computer fantasy role-playing game known as "Wizardry." Two years later, AGI and defendant Sir-Tech Software, Inc. (Sir-Tech S.I.)—both New York corporations—entered into an agreement granting Sir-Tech S.I. or a subsidiary the right to manufacture and market Wizardry, related products and any subsequent versions of the game.

The 1981 agreement called upon Sir-Tech S.I. to pay AGI a license royalty fee and a percentage of gross sales revenues. It further provided that Sir-Tech S.I. was to copyright the Wizardry games and related products in the name of AGI. The contract also stated that its provisions were binding on the parties' successors and assigns, and that Sir-Tech S.I. would not disclose any Wizardry game or related product, information or source of materials to anyone without written permission from AGI. In addition, all decisions concerning the assignment of rights under the agreement required the consent of both parties.

The Wizardry game became successful, eventually resulting in several different versions and assorted related merchandise, as well as sublicensing agreements. In 1991, however, Sir-Tech S.I. stopped sending royalty payments and accounting statements to AGI. AGI alleges that Sir-Tech S.I. nevertheless continued to manufacture and sell subsequent versions of the Wizardry game and related products without furnishing AGI with any accounting or payment.

In 1992, AGI sued Sir-Tech S.I. and Svane, Inc., its subsidiary, alleging that they had refused to pay royalties or account for them. After extensive discovery, AGI learned that Sir-Tech S.I. had closed its office in St. Lawrence County, dissolved the corporation and transferred its assets, the Wizardry trademarks and its domain name registration to Sirtech Canada, Ltd. and 1259190 Ontario, Inc., Canadian corporations formed by the same principals who owned Sir-Tech S.I.

After successfully joining the two Canadian corporations, AGI served its second amended complaint, seeking an accounting as a basis for a money judgment under the 1981 contract. AGI also alleged breach of contract, trade secret misappropriation and tortious interference. In essence, AGI asserted that Sir-Tech S.I. appropriated to itself the trademark registration for the Wizardry name and logo, despite AGI's co-ownership of the mark, and that the principals of Sir-Tech S.I. (Frederick Sirotek, Norman Sirotek and Robert Sirotek) reestablished themselves as Sirtech Canada and 1259190 Ontario, through which they continue to market and profit from the Wizardry product while depriving AGI of royalties or an accounting.

In a pre-answer motion, the Canadian defendants moved for dismissal of the second amended complaint pursuant to CPLR 3211 (a) (8). They asserted that the court lacked personal jurisdiction over them because AGI had not satisfied the prerequisites of New York's long-arm statute. As relevant here, CPLR 302 (a) provides that a court may exercise personal jurisdiction over a nondomiciliary who

> "1. transacts any business within the state or contracts anywhere to supply goods or services in the state; or . . .
>
> "3. commits a tortious act without the state causing injury to person or property within the state, except as to a cause of action for defamation of character arising from the act, if he
>
> "(i) regularly does or solicits business, or engages in

> any other persistent course of conduct, or derives substantial revenue from goods used or consumed or services rendered, in the state, or
>
> "(ii) expects or should reasonably expect the act to have consequences in the state and derives substantial revenue from interstate or international commerce . . . ."

Supreme Court concluded that AGI had satisfied section 302 (a) (1) in that Sirtech Canada had allegedly entered into licensing agreements to market and sell Wizardry and related products in New York. The court noted that AGI produced sworn evidence that Sirtech Canada's games were offered for sale in New York and had submitted an exhibit consisting of packaging which listed the games' copyright as owned by Sirtech Canada. The court further concluded that AGI adequately alleged that Sir-Tech S.I., a New York corporation, assigned or transferred to Sirtech Canada the Wizardry trademark and copyrights along with the information necessary to develop the software for the games. AGI also furnished evidence that Sirtech Canada purchased its Web site domain name (www.sir-tech.com) from a New York resident, Sir-Tech S.I. Lastly, the court concluded that AGI, by producing records for the Ontario Ministry of Consumer and Commercial Relations, satisfactorily alleged that the principals of Sirtech Canada were the same as those of Sir-Tech S.I. and therefore were aware of the obligations and restrictions contained in the 1981 contract.[1]

The Appellate Division modified and dismissed the complaint, stating that in Supreme Court, AGI did not raise CPLR 302 (a) (1) as a basis for long-arm jurisdiction and therefore did not preserve the issue (*see* 297 AD2d 834 [2002]). The Court went on to hold that AGI did not satisfy its burden under the tortious act provisions of CPLR 302 (a) (3) (i) and (ii).[2]

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1. In determining that it had personal jurisdiction over the Canadian defendants, Supreme Court ruled that AGI had satisfied CPLR 302 (a) (1) (transacting business in New York) but not the tortious act provisions of CPLR 302 (a) (3).

2. While the Appellate Division was considering the validity of the second amended complaint, Supreme Court allowed AGI to interpose a third amended complaint, which the Appellate Division dismissed on the ground that its dismissal of the second amended complaint constituted the law of the case (*see* 2 AD3d 1042 [2003]). AGI has appealed from the Appellate Division's dismissal of the third amended complaint, which brings up for review as well that Court's dismissal of the second amended complaint.

[1, 2] In resisting the defendants' motion to dismiss the second amended complaint, AGI submitted abundant evidence to Supreme Court in support of its claims under CPLR 302 (a) (1). Indeed, the court centered its decision upon a host of allegations that the Canadian defendants, as successors of the New York corporation, continued to transact business in New York. We therefore conclude that AGI preserved its CPLR 302 (a) (1) argument. Moreover, we hold that its allegations are sufficient to bring its claim within CLPR 302 (a) (1).[3] AGI's allegations, if true, would establish that the Canadian defendants reincarnated themselves as successors to their New York business, and in their Canadian corporate capacity, continued to do business in New York in violation of their contractual obligations to AGI.

Accordingly, the order of the Appellate Division should be reversed, with costs, and the complaint reinstated.

Chief Judge KAYE and Judges G.B. SMITH, CIPARICK, READ and R.S. SMITH concur; Judge GRAFFEO taking no part.

Order reversed, etc.

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3. AGI's complaint should be reinstated because it has met the requirements of CPLR 302 (a) (1). While AGI argues compellingly that its second amended complaint may well have satisfied the dictates of CPLR 302 (a) (3) (i) and (ii), we need not reach that question, considering that New York's long-arm jurisdiction contains several bases, any one of which is sufficient to uphold the complaint (*see McGowan v Smith*, 52 NY2d 268 [1981]). Similarly, we do not address the question whether personal jurisdiction over the Canadian defendants may be based on the forum selection clause in the 1981 contract, or whether the third amended complaint (of which neither party informed the Appellate Division before that Court wrote its decision dismissing the second amended complaint) rendered moot both the second amended complaint and the Appellate Division decision dismissing it.

[824 NE2d 953, 791 NYS2d 513]

THE PEOPLE OF THE STATE OF NEW YORK, Respondent, v T.J. CHARLES HARDY, Appellant.

Argued January 6, 2005; decided February 17, 2005

SUMMARY

APPEAL, by permission of an Associate Judge of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Second Judicial Department, entered November 10, 2003. The Appellate Division modified, on the law, a judgment of the Suffolk County Court (Gary J. Weber, J.), which had convicted defendant, upon a jury verdict, of attempted murder in the second degree, robbery in the first degree (two counts), robbery in the second degree, and assault in the first degree (two counts), and imposed sentences, some of which were to run consecutively. The modification consisted of directing that all sentences shall run concurrently. The Appellate Division affirmed the judgment as modified.

People v Hardy, 1 AD3d 456, reversed.

HEADNOTES

Crimes — Evidence — Declaration against Interest — Plea Allocution of Nontestifying Codefendant Not Admissible

1. *People v Thomas* (68 NY2d 194 [1986]), which held that statements contained in a plea allocution of a codefendant may, in limited circumstances, be received in evidence as a declaration against penal interest to establish an element of the crime charged against defendant, is no longer controlling and is overruled.

Crimes — Evidence — Declaration against Interest — Plea Allocution of Nontestifying Codefendant Not Admissible

2. County Court's admission into evidence of a nontestifying codefendant's plea allocution constituted a violation of defendant's Sixth Amendment right to confrontation.

Crimes — Evidence — Declaration against Interest — Admission of Plea Allocution of Nontestifying Codefendant Not Harmless Error

3. In a prosecution for attempted murder, robbery, and assault where the victim was unable to identify the defendant and the only evidence directly inculpating defendant was the testimony of a witness, whose credibility was questionable, regarding defendant's alleged admission that he ''shot a lady in the face for $25,'' County Court's admission into evidence of a nontestifying codefendant's plea allocution in violation of defendant's Sixth Amendment right to confrontation constituted reversible error. The plea allocution described the robbery in great detail, and corroborated most of the People's evidence. It was used to stitch all the evidence together, both direct and

circumstantial, in order to secure a conviction, and compel the jury to convict. Moreover, despite County Court's instruction indicating that the allocution was to be used solely to establish that the robbery "was committed by two people each aiding the other," the jury relied heavily on it in finding defendant guilty on all counts.

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Am Jur 2d, Appellate Review §§ 711, 713, 749; Am Jur 2d, Criminal Law §§ 811, 1168, 1169; Am Jur 2d, Evidence §§ 785, 789, 790, 793.

Carmody-Wait 2d, Criminal Procedure §§ 172:3099, 172:3144.

LaFave, et al., Criminal Procedure (3d ed) § 24.4.

NY Jur 2d, Criminal Law §§ 1916, 1957, 2031, 2070, 2073, 3231, 3234, 3235.

US Const 6th Amend.

ANNOTATION REFERENCE

See ALR Index under Allocution; Appeal and Error; Confrontation of Witnesses; Criminal Procedure Rules.

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POINTS OF COUNSEL

Legal Aid Society of Suffolk County, Inc., Appeals Bureau, Riverhead (*Charles W. Manning* and *Robert C. Mitchell* of counsel), for appellant. I. Appellant's constitutional right to confrontation was violated when the prosecution introduced into evidence, over defense objection, codefendant's plea allocution implicating appellant in the crime. (*People v Thomas,* 68 NY2d 194; *Crawford v Washington,* 541 US 36; *American Trucking Assns. v Smith,* 496 US 167; *Chapman v California,* 386 US 18; *Griffith v Kentucky,* 479 US 314; *People v Martello,* 93 NY2d 645; *Brecht v Abrahamson,* 507 US 619; *People v Eastman,* 85 NY2d 265; *Wray v Johnson,* 202 F3d 515; *Hynes v Coughlin,* 79 F3d 285.) II. Appellant's right to confrontation was violated when the People elicited police testimony, over defense objection, that defendant became a suspect as the result of an out-of-court conversation with an individual who was not a witness at the trial. (*Crawford v Washington,* 541 US 36; *Tennessee v Street,* 471 US 409; *Bruton v United States,* 391 US 123; *Douglas v Al-*

abama, 380 US 415; *People v Reynoso,* 309 AD2d 769; *People v Elliott,* 256 AD2d 418; *People v Martinez,* 269 AD2d 608; *People v Milligan,* 309 AD2d 950; *People v Jones,* 280 AD2d 489, 305 AD2d 698; *People v Singleton,* 222 AD2d 719.)

Thomas J. Spota, District Attorney, Riverhead (*Glenn Green* of counsel), for respondent. I. Even if the Supreme Court's decision in *Crawford v Washington* (541 US 36 [2004]) were applied to this Court's review of appellant's conviction, any error was harmless. (*Griffith v Kentucky,* 479 US 314; *People v A.S. Goldmen, Inc.,* 9 AD3d 283; *Butler v McKellar,* 494 US 407; *Graham v Collins,* 506 US 461; *O'Dell v Netherland,* 521 US 151; *Yates v Aiken,* 484 US 211; *Teague v Lane,* 489 US 288; *Sawyer v Smith,* 497 US 227; *People v Breazil,* 191 Misc 2d 817; *Hutzenlaub v Portuondo,* 325 F Supp 2d 236.) II. The trial court's evidentiary ruling permitting the introduction of certain background testimony was proper. (*People v Tosca,* 98 NY2d 660; *People v Till,* 87 NY2d 835; *People v Jenkins,* 302 AD2d 247, 100 NY2d 583; *People v Grzebyk,* 253 AD2d 469, 92 NY2d 925; *People v Callegari,* 236 AD2d 551, 89 NY2d 1090; *People v Glass,* 259 AD2d 989, 93 NY2d 924; *People v Wilson,* 226 AD2d 241, 88 NY2d 997; *Crawford v Washington,* 541 US 36; *Tennessee v Street,* 471 US 409; *People v Reynoso,* 2 NY3d 820.)

OPINION OF THE COURT

CIPARICK, J.

In this appeal, the parties agree that the admission of a nontestifying codefendant's plea allocution was subject to the requirements of the Sixth Amendment's Confrontation Clause as recently articulated by the United States Supreme Court in *Crawford v Washington* (541 US 36 [2004]). We hold that, in light of *Crawford*, the trial court erred in admitting the plea allocution. Moreover, the error was not harmless beyond a reasonable doubt and therefore compels reversal.

Facts

On November 6, 1998, Jeanne Garcia and her husband, Joseph Garcia, parked their automobile alongside a river on Beaver Dam Road in Suffolk County. While picnicking in their car, two men in a light blue vehicle drove up beside them. One of the men exited the car, approached their vehicle, pointed a shotgun at Mr. Garcia's head and demanded money. The other individual, wearing a mask, approached Mrs. Garcia. He opened her door, grabbed her purse and pulled her from the vehicle.

The unmasked assailant then approached Mrs. Garcia and shot her in the face. The individuals left the scene and Mrs. Garcia ultimately returned to her vehicle. Police and an ambulance arrived and brought Mrs. Garcia to Brookhaven Memorial Hospital for treatment.

A police investigation of the shooting ensued. The police, however, failed to recover any physical evidence from the scene. A single latent fingerprint was recovered from the victims' car. Subsequent analysis revealed that the print matched neither those of the victims nor of defendant. Video surveillance of the area revealed images of a light blue vehicle approach the Garcias and later depart. Mrs. Garcia initially gave a description of her attacker.[1]

A confluence of investigative events ultimately led to defendant's arrest. During the Beaver Dam investigation the police developed information connecting defendant to a local robbery at the home of Bristol and Loretta Francis (the Francis robbery). A 20 gauge shotgun was stolen from the victims' home during this robbery. Additionally, the police connected defendant to the recent theft of a blue Oldsmobile, allegedly stolen a day or two before the Garcia attack. The police found the vehicle abandoned near defendant's home. The gun and blue automobile were similar to those used in the Beaver Dam robbery.

Concomitantly, the police were investigating an unrelated robbery that occurred at a local Coastal gas station (the Coastal station robbery). A 20 gauge shotgun was used in that robbery as well. Defendant's uncle—Vensel Daiquan Hardy—was one of two primary suspects in that robbery. Ultimately, as a result of the Coastal station investigation, the police recovered the 20 gauge shotgun stolen from the Francis home, and matching shotgun shells, from an abandoned white Oldsmobile. After the police recovered the weapon, Detective Pravetz of the Suffolk County Police Department interviewed defendant. Although the police had already recovered the weapon, Detective Pravetz questioned defendant as to the shotgun's whereabouts. Defendant told the officer that his uncle, Vensel, had the weapon.

Finally, nine months after the Beaver Dam shooting, during the course of the investigation of another unrelated local home

1. Her description differed from the defendant's actual appearance. She never identified defendant as one of the attackers, either in court or out of court.

invasion, the police arrested Robert Quarles. Following his arrest Quarles told the police that defendant, along with defendant's brother Janerio Hardy, had committed the Beaver Dam robbery. Quarles told police that defendant admitted that he ''shot a lady in the face for $25.'' Based on all this information, Detective Pravetz arrested defendant and his brother in January 2000 for the Beaver Dam shooting. A Suffolk County grand jury issued multicount indictments against both brothers for crimes stemming from the Beaver Dam incident.

Janerio elected to plead guilty to the robbery. In his plea allocution Janerio stated that he, along with another individual, robbed the Garcias, then retreated to ''Daisy's house'' and divided the proceeds of the robbery. Defendant, however, proceeded to trial. Mrs. Garcia, testifying at the trial, was unable to identify defendant, but she described the circumstances surrounding the robbery and shooting. Her story matched the account Janerio Hardy gave in his plea allocution. The trial court, over defense counsel's objection, permitted the People to read a redacted version of Janerio's plea allocution into evidence. The People also called Robert Quarles to testify against defendant.[2] Quarles indicated that he knew both defendant and Janerio, as friends. He testified that on November 6, 1998, the day of the Garcia shooting, he encountered both brothers at Daisy's house. According to Quarles, defendant admitted to shooting a lady earlier that day.

In summation, the prosecutor made repeated reference to Janerio's plea allocution. He also noted Quarles' dubious credibility, stating that he ''wouldn't be so foolish as to presume that [the jury] might believe Robert Quarles' testimony'' without corroboration. The prosecutor argued to the jury that Janerio's plea allocution ''corroborates a great many offenses.'' The prosecutor unequivocally told the jury that the allocution, ''along with everything else, pulls it all together.''

The jury convicted defendant of attempted murder in the second degree, two counts of robbery in the first degree, two counts of assault in the first degree, and one count of robbery in the second degree. Following sentencing, defendant appealed. On appeal the Appellate Division modified defendant's sentence and otherwise affirmed his conviction (1 AD3d 456 [2003]). A

2. Quarles' extensive criminal background was established at defendant's trial. He testified against defendant in exchange for a reduced sentence in a pending matter.

Judge of this Court granted defendant leave to appeal and we now reverse.

Application of *Crawford*

[1] Prior to the United States Supreme Court's decision in *Crawford v Washington* (541 US 36 [2004]), it was well settled that statements against an individual's penal interest, though hearsay, were nevertheless admissible as an exception to the hearsay rule, under certain circumstances. Specifically, in *People v Thomas* (68 NY2d 194, 195 [1986]), we made clear that, ''[s]tatements contained in a plea allocution of a codefendant may, in limited circumstances, be received in evidence as a declaration against penal interest to establish an element of the crime charged against defendant.'' It is now readily apparent, in light of *Crawford*, that *Thomas* no longer controls and must be overruled.

In *Crawford*, the Supreme Court departed from its own former jurisprudence and rejected the test it established in *Ohio v Roberts* (448 US 56 [1980]). The *Roberts* test allowed for the admission of certain statements, not subject to cross-examination, if those statements were found to be otherwise ''reliable.'' The *Crawford* court made clear that *Roberts*' failure ''to protect against paradigmatic confrontation violations'' compelled its rejection (541 US at 60). Insofar as the *Roberts* test allowed judges to make reliability determinations, it was ''fundamentally at odds with the right of confrontation'' (*id.* at 61). *Crawford* therefore rejected *Roberts* and its progeny. Because this appeal was not yet final at the time the Supreme Court decided *Crawford*, defendant is entitled to invoke *Crawford*, and we are compelled to apply it (*see Griffith v Kentucky*, 479 US 314, 328 [1987]).[3]

The Sixth Amendment to the United States Constitution guarantees a criminal defendant the right ''to be confronted with the witnesses against him.'' This explicit constitutional command makes clear that ex parte testimonial statements are ''reliable,'' and therefore admissible, only when the accused has an opportunity to cross-examine the declarant (*see Crawford*,

3. Despite the People's assertion, the record makes clear that defense counsel made a timely and specific objection to the People's use of the plea allocution. Counsel objected and claimed that the admission of Janerio's plea allocution, without being subject to cross-examination, violated defendant's Sixth Amendment rights. The specific and timely objection preserved the issue for our review.

541 US at 59). Indeed, ''the only indicium of reliability sufficient to satisfy constitutional demands is the one the Constitution actually prescribes: confrontation'' (*id.* at 69).

[2] While the *Crawford* court refused to supply a definition of testimonial statements, it described plea allocutions as being ''plainly testimonial'' in nature (*Crawford*, 541 US at 64). Indeed, there can be little debate over whether a plea allocution of a nontestifying codefendant is ''testimonial.'' Therefore, the trial court's admission of Janerio Hardy's plea allocution constituted a violation of defendant's Sixth Amendment right to confrontation. Indeed, both the People and defendant agree that *Crawford* applies here and that in light of *Crawford*'s application, the trial court erred in admitting the plea allocution statement into evidence. The only dispute between the parties is whether the error was reversible or harmless beyond a reasonable doubt.

Harmless Error Analysis

[3] Confrontation Clause violations are subject to a constitutional harmless error analysis (*see People v Eastman*, 85 NY2d 265, 276 [1995]). Constitutional error requires reversal unless the error's impact was ''harmless beyond a reasonable doubt'' (*id.* at 276; *Schneble v Florida*, 405 US 427, 430 [1972]). This determination is based on a review of the ''entire record'' (*see Eastman*, 85 NY2d at 276). Ultimately, ''however overwhelming may be the quantum and nature of other proof, the error is not harmless . . . if 'there is a reasonable possibility that the . . . [error] might have contributed to the conviction' '' (*People v Crimmins*, 36 NY2d 230, 240-241 [1975], quoting *Fahy v Connecticut*, 375 US 85, 86 [1963]; *Chapman v California*, 386 US 18, 23 [1967]). A review of the entire record here makes clear that reversal is required.

The only evidence directly inculpating defendant was the testimony of Robert Quarles, who had a long criminal history, regarding defendant's alleged admission. Other than the victims, there were no eyewitnesses to the shooting. Moreover, Mrs. Garcia never identified defendant as her assailant. In fact, her initial description of the assailant conflicted with defendant's actual appearance. It is obvious that Janerio's plea allocution was used precisely to stitch all the evidence together, both direct and circumstantial, in order to secure a conviction, and compel the jury to convict.

The allocution corroborated most of the People's evidence, including the date and chronology of the Beaver Dam shooting.

The redacted allocution submitted to the jury described the robbery in great detail. According to Janerio's recitation, he was wearing a mask when he, along with another individual, robbed an elderly couple on Beaver Dam Road. His account was nearly identical to Mrs. Garcia's description of the robbery. Janerio described grabbing Mrs. Garcia's purse, while the other individual confronted Mr. Garcia. He also claimed that after the robbery he and the other individual retreated to Daisy's house, where they split the money. Similarly, Quarles noted meeting defendant and Janerio at Daisy's house the day of the robbery, where defendant admitted to shooting "a lady in the face for $25."

The prosecutor's own summation illustrates how important the allocution was to the People's case. By the People's own account, Janerio's statements corroborated most of the evidence they presented. The prosecutor expressly informed the jury that the allocution, "along with everything else, pulls it all together." The People's heavy reliance on the allocution creates a reasonable possibility that its admission and subsequent exploitation by the prosecutor contributed to the verdict.

In addition, it is obvious that, despite County Court's instruction indicating that the allocution was to be used solely to establish that the robbery "was committed by two people each aiding the other," the jury relied heavily on it in finding guilt as to all counts. The jury's reliance on the allocution is evidenced by its repeated requests that it be read back along with the testimony of Mr. Quarles and Mrs. Garcia. Consequently, the error was not harmless beyond a reasonable doubt (*see Eastman*, 85 NY2d at 276; *Crimmins*, 36 NY2d at 237).

In light of our determination, we need not reach defendant's other claims.

Accordingly, the order of the Appellate Division should be reversed and a new trial ordered.

Chief Judge Kaye and Judges G.B. Smith, Rosenblatt, Graffeo, Read and R.S. Smith concur.

Order reversed, etc.

[825 NE2d 121, 791 NYS2d 880]

JOSEPH CAMPBELL, Appellant, v CITY OF NEW YORK, Respondent, et al., Defendants.

Argued January 12, 2005; decided February 17, 2005

SUMMARY

APPEAL, by permission of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the First Judicial Department, entered March 2, 2004. The Appellate Division affirmed an order of the Supreme Court, Bronx County (Jerry Crispino, J.), which had granted defendant City of New York's motion to dismiss the complaint on the ground that it was not filed within one year and 90 days of the accrual of plaintiff's cause of action, as required by General Municipal Law § 50-i.

Campbell v City of New York, 5 AD3d 126, reversed.

HEADNOTE

Limitation of Actions — One-Year-and-90-Day Statute of Limitations

The one-year-and-90-day period contained in General Municipal Law § 50-i within which to commence an action or special proceeding against a municipality is a statute of limitations to which the tolling provision of CPLR 205 (a) applies, rather than a condition precedent to suit. The Court of Appeals has consistently treated the one-year-and-90-day period contained in section 50-i as a statute of limitations, and defendant City of New York presented no valid reason for departing from precedent. Nowhere in section 50-i does the term ''condition'' appear, and there is no evidence that the Legislature intended the one-year-and-90-day provision of section 50-i as a condition precedent to suit.

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AM JUR 2d, Limitation of Actions §§ 152–154, 169, 215; AM JUR 2d, Municipal Corporations, Counties, and Other Political Subdivisions §§ 640, 641.

CARMODY-WAIT 2d, Limitation of Actions §§ 13:187, 13:338, 13:415, 13:416, 13:420; CARMODY-WAIT 2d, Actions By and Against Public Bodies and Public Officers §§ 144:198, 144:199.

MCKINNEY'S, CPLR 205 (a); General Municipal Law § 50–i.

NY JUR 2d, Government Tort Liability §§ 395, 406; NY JUR 2d, Limitations and Laches §§ 314, 315, 322.

SIEGEL, NY PRAC § 32.

ANNOTATION REFERENCE

See ALR Index under Limitation of Actions; Notice of Claim.

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POINTS OF COUNSEL

John R. Kelligrew, White Plains, for appellant. CPLR 204 (a) applies to a state law cause of action brought in New York Federal District Court against municipalities for personal injury when the Federal District Court declines to exercise pendent jurisdiction over the state law claim. (*Kleinberger v Town of Sharon,* 116 AD2d 367; *Smith v Rensselaer County,* 52 AD2d 384; *Yonkers Contr. Co. v Port Auth. Trans-Hudson Corp.,* 93 NY2d 375; *Glamm v City of Amsterdam,* 94 Misc 2d 991, 67 AD2d 1056, 49 NY2d 714; *McGill v Board of Educ.,* 59 AD2d 888; *Corbett v Fayetteville-Manlius Cent. School Dist.,* 34 AD2d 379; *Hurd v Allegany County,* 39 AD2d 499; *Abbatemarco v Town of Brookhaven*, 26 AD2d 664.)

Michael A. Cardozo, Corporation Counsel, New York City (*Mordecai Newman* and *Larry A. Sonnenshein* of counsel), for respondent. I. By its own terms, as well as under the controlling authority of this Court, the time limitation of one year and 90 days contained in General Municipal Law § 50-i is a condition precedent to suit. This Court has held that a condition precedent that incorporates a time limitation is not subject to the toll and time extension provided by CPLR 205 (a). (*Pierson v City of New York,* 56 NY2d 950; *Brennan v City of New York,* 88 AD2d 871; *Blanco v American Tel. & Tel. Co.,* 90 NY2d 757; *Yonkers Contr. Co. v Port Auth. Trans-Hudson Corp.,* 93 NY2d 375; *Alston v State of New York,* 97 NY2d 159; *Romano v Romano,* 19 NY2d 444; *Hill v Board of Supervisors,* 119 NY 344.) II. The unqualified terms in which the District Court stated its dismissal of the entirety of plaintiff's action indicate that the action, including the state claims, was dismissed with prejudice. The dismissal is, thus, properly deemed a "final judgment upon the merits" as to which CPLR 205 (a) has no application. (*Baylis v Marriott Corp.,* 843 F2d 658; *Yonkers Contr. Co. v Port Auth. Trans-Hudson Corp.,* 93 NY2d 375.)

OPINION OF THE COURT

Chief Judge Kaye.

The issue before us is whether the year-and-90-day period contained in General Municipal Law § 50-i is a statute of limitations (to which the tolling provision of CPLR 205 [a] applies) or a condition precedent to suit (which is a substantive limitation on the right to sue). We agree with plaintiff that section 50-i sets forth a statute of limitations, not a condition precedent.

On December 17, 1997, plaintiff was a wheelchair-bound passenger in a City of New York-owned van driven by a city corrections officer. According to plaintiff, his wheelchair was not correctly restrained in the van and, as the driver turned at the intersection of 161st Street and the Grand Concourse in the Bronx, plaintiff fell over, further injuring an already fractured leg. On or about March 17, 1998, plaintiff served a notice of claim on the City (General Municipal Law § 50-e). In a complaint dated December 16, 1998, plaintiff brought an action in the United States District Court for the Southern District of New York pursuant to 42 USC § 1983 seeking money damages for the alleged violation of his constitutional rights under the Eighth and Fourteenth Amendments to the United States Constitution. On April 8, 2002, the court granted summary judgment to the City, dismissing the federal claims for failure to exhaust administrative remedies; the court declined to exercise pendent jurisdiction over plaintiff's state law claims.

By summons and complaint served on or about July 10, 2002, plaintiff commenced the instant personal injury action in State Supreme Court against the City and the officers involved in the incident. The City moved to dismiss the complaint on the ground that the action was time-barred under General Municipal Law § 50-i (1) (c), which provides that no personal injury action shall be maintained against the City unless the action is ''commenced within one year and ninety days after the happening of the event upon which the claim is based.'' Specifically, the City maintained that section 50-i is a condition precedent to suit, not a statute of limitations subject to the tolling provision of CPLR 205 (a), which states:

> ''(a) New action by plaintiff. If an action is timely commenced and is terminated in any other manner than by a voluntary discontinuance, a failure to obtain personal jurisdiction over the defendant, a dismissal of the complaint for neglect to prosecute the action, or a final judgment upon the merits, the plaintiff . . . may commence a new action upon the same transaction or occurrence or series of transactions or occurrences within six months after the

> termination provided that the new action would have been timely commenced at the time of commencement of the prior action.''

In opposition, plaintiff asserted that the tolling provision of CPLR 205 (a) applied to section 50-i and that his action was not time-barred. Supreme Court granted the City's motion, relying on our decision in *Yonkers Contr. Co. v Port Auth. Trans-Hudson Corp.* (93 NY2d 375 [1999]), and the Appellate Division affirmed. We now reverse.

Discussion

This Court has consistently treated the year-and-90-day provision contained in section 50-i as a statute of limitations (*see e.g. Cohen v Pearl Riv. Union Free School Dist.*, 51 NY2d 256, 259 [1980] [section 50-i ''has generally been regarded as a Statute of Limitations subject to the tolls . . . provided in CPLR 208'']; *Pierson v City of New York*, 56 NY2d 950, 954-955 [1982] [labeling the year-and-90-day period of section 50-i a ''Statute of Limitations'' and concluding that a notice of claim must be filed before statute of limitations expires, ''unless the statute has been tolled'']; *Giblin v Nassau County Med. Ctr.*, 61 NY2d 67, 69 [1984] [concluding that section 50-i's ''Statute of Limitations for municipal tort liability is tolled'' under CPLR 204 when the plaintiff seeks permission to file a late notice of claim]).

In *Baez v New York City Health & Hosps. Corp.* (80 NY2d 571, 576 [1992]), we observed that at the time plaintiff executor's wrongful death cause of action commenced, ''[a] one-year and 90-day Statute of Limitations period . . . applied to actions commenced against employees of municipal defendants or public corporations (General Municipal Law § 50-i).''[1] More recently, in *Henry v City of New York* (94 NY2d 275 [1999]), we considered whether an infant's action against the City was time-barred when the infant (through a parent) timely filed a notice of claim pursuant to General Municipal Law § 50-e, but failed to commence the action within the year-and-90-day period of section 50-i. We held that CPLR 208 tolled the statute of limitations for the period of infancy and that the infant's suit was not

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1. In *Baez*, the statute could not be tolled, however, because plaintiff, as executor, could have sought appointment as the personal representative for the estate and commenced the wrongful death action—the CPLR 208 infancy toll did not apply because the infant distributees could not ''commence the action.'' (80 NY2d at 577.)

time-barred, thus again treating the year-and-90-day requirement of section 50-i as a statute of limitations subject to CPLR article 2 tolling.

The City presents no valid reason for departing from this consistent precedent.

Mistakenly relying on *Yonkers Contr. Co. v Port Auth. Trans-Hudson Corp.* (93 NY2d 375 [1999]), the City maintains that the year-and-90-day limitation in section 50-i constitutes a waiver of sovereign immunity. In *Yonkers*, we addressed whether the requirement for bringing an action against the Port Authority within one year under McKinney's Unconsolidated Laws of NY § 7107 (L 1950, ch 301, § 7) was a condition precedent to suit or a statute of limitations. In concluding that the statute contained a condition precedent to suit, we observed that section 7107 was a single enactment of the Legislature both consenting to suits against the Port Authority and incorporating a timeliness requirement as ''an integral part of its waiver of sovereign immunity'' (93 NY2d at 379). We underscored that if a statute not only creates a cause of action but also attaches a time limitation to its commencement, then ''time is an ingredient of the cause'' (*id.*, quoting *Romano v Romano*, 19 NY2d 444, 447 [1967]) and its limitation is a condition precedent to the maintenance of the suit. In section 7107, the Legislature explicitly stated that a suit against the Port Authority could go forward only ''upon the *condition* [that it] be commenced within one year'' (McKinney's Uncons Laws of NY § 7107 [emphasis added]).

The express terms of section 50-i and its legislative background are distinctly different. Nowhere in section 50-i does the term ''condition'' appear. Rather, the section states that ''[n]o action or special proceeding shall be prosecuted or maintained against a city . . . unless . . . the action or special proceeding shall be commenced within one year and ninety days after the happening of the event upon which the claim is based.''[2]

Nor, in the case of actions against the City, was there a single enactment consenting to suit and incorporating a time limitation as an integral part of a waiver of sovereign immunity. As we recognized in *Florence v Goldberg* (44 NY2d 189, 194-195

2. By contrast, the notice of claim requirement contained in section 50-i (1) (a) directs parties to General Municipal Law § 50-e, which treats a notice of claim as a condition precedent (*see e.g. O'Brien v City of Syracuse*, 54 NY2d 353, 358 [1981]).

[1978]), when the State of New York waived its sovereign immunity in 1929, its subdivisions, including the City, also lost their protection from suit. While the State placed time limitations on suits against itself, it did not likewise set forth time limitations for suits against municipalities (*see* Court of Claims Act § 10). It was not until 1959 that the Legislature evinced its intent to make uniform the provisions for commencing actions against municipalities by enacting section 50-i (*see La Fave v Town of Franklin*, 20 AD2d 738 [3d Dept 1964] [citing Governor's Approval Mem, 1959 NY Legis Ann, at 458]). Thus, there is no evidence that the Legislature intended the year-and-90-day provision of section 50-i as a condition precedent to suit.

Accordingly, the order of the Appellate Division should be reversed, with costs, and defendant City of New York's motion to dismiss denied.

G.B. SMITH, J. (dissenting). Because I believe that the time period of one year and 90 days for bringing an action, contained in General Municipal Law § 50-i, is a condition precedent and not a statute of limitations in this case, I dissent.

On December 17, 1997, plaintiff, an inmate in the custody of the New York City Department of Correction, who was suffering from a broken leg, was being transported in a wheelchair in a van. Plaintiff claims that the wheelchair "flipped over" because he was not properly secured, causing him to fall and be injured. Pursuant to General Municipal Law § 50-e, plaintiff filed a timely notice of claim on the City on March 19, 1998.

On March 5, 1999, plaintiff filed a federal action in the Southern District of New York pursuant to 42 USC § 1983 claiming violations of his Eighth and Fourteenth Amendment rights. The federal action was dismissed on April 8, 2002 for failure to exhaust administrative remedies pursuant to 42 USC § 1997e (a). After dismissing the federal questions, federal court declined to assert pendent jurisdiction over the state law claims.

On July 22, 2002, plaintiff filed a state court action against the City. On October 21, 2002, the City filed an answer and on October 28, 2002, the City moved to dismiss pursuant to CPLR 3211 (a) (7).

Supreme Court, on December 13, 2002, granted the motion to dismiss. Supreme Court reasoned that because the action against the City was not brought "within one year and ninety days" after the filing of the notice of claim against the City, it was barred and the statute of limitations could not be tolled because CPLR 205 (a) ''could not be used to obviate the requirements of a statutory condition precedent to suit.''

On March 2, 2004, Appellate Division affirmed the order of Supreme Court, determining that plaintiff was not helped by CPLR 205 (a) which allowed for a six month tolling of the statute of limitations because General Municipal Law § 50-i was a condition precedent to the suit, not a statute of limitations. This Court granted the plaintiff leave to appeal.

Before this Court, plaintiff argues that General Municipal Law § 50-i, entitled ''Presentation of tort claims; commencement of actions,'' is a statute of limitations which was tolled pursuant to CPLR 205 (a). Defendant City argues, on the other hand, that General Municipal Law § 50-i is a condition precedent for filing a suit against the City.

In *Yonkers Contr. Co. v Port Auth. Trans-Hudson Corp.* (93 NY2d 375, 378 [1999]), this Court held that the one year time period for commencing a lawsuit against the Port Authority, contained in McKinney's Unconsolidated Laws of NY § 7107 (L 1950, ch 301, § 7), was a condition precedent that could not be tolled by CPLR 205. Section 7107 reads:

> ''The foregoing consent is granted upon the condition that any suit, action or proceeding prosecuted or maintained under this act shall be commenced within one year after the cause of action therefor shall have accrued, and upon the further condition that in the case of any suit, action or proceeding for the recovery or payment of money, prosecuted or maintained under this act, a notice of claim shall have been served upon the port authority by or on behalf of the plaintiff or plaintiffs at least sixty days before such suit, action or proceeding is commenced. The provisions of this section shall not apply to claims arising out of provisions of any workmen's compensation law of either state.''

In *Yonkers*, this Court distinguished between a statute of limitations and a statutory time restriction for commencing a lawsuit. There, this Court stated, ''The former merely suspends the remedy provided by a right of action, but the latter *conditions* the existence of a right of action, thereby creating a substantive limitation on the right'' (93 NY2d at 378). This Court determined that the time in which to sue was a condition for bringing the lawsuit.

The statute at issue in this case, General Municipal Law § 50-i, is similar to section 7107 in that it also establishes a time condition for bringing a lawsuit. Section 50-i, first enacted in 1959 (L 1959, ch 788, § 1), now reads as follows:

> "1. No action or special proceeding shall be prosecuted or maintained against a city . . . unless, (a) a notice of claim shall have been made and served upon the city . . . in compliance with section fifty-e of this chapter, (b) it shall appear by and as an allegation in the complaint or moving papers that at least thirty days have elapsed since the service of such notice and that adjustment or payment thereof has been neglected or refused, and (c) the action or special proceeding shall be commenced within one year and ninety days after the happening of the event upon which the claim is based . . . .
>
> "2. This section shall be applicable notwithstanding any inconsistent provisions of law, general, special or local, or any limitation contained in the provisions of any city charter.
>
> "3. Nothing contained herein or in section fifty-h of this chapter shall operate to extend the period limited by subdivision one of this section for the commencement of an action or special proceeding."

The statute establishes three requirements for a lawsuit—a notice of claim that complies with General Municipal Law § 50-e, a time lapse of at least 30 days following service of the notice of claim and a lawsuit brought within one year and 90 days after the claim arises. Put another way, if any one of these three requirements is not met, an action or special proceeding sounding in tort cannot be prosecuted or maintained against a city.[1] A reading of General Municipal Law § 50-i, which is written in the conjunctive, that seeks to sever the one-year-and 90-day time period from the other two express statutory requirements, fails to give effect to the entire statute, in direct contravention to one of the most basic rules of statutory construction. Thus, because section 50-i, on its face, creates a time condition for bringing an action, similar in purpose and function to the time condition in Unconsolidated Laws § 7107, CPLR 205 (a) is inapplicable here.

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1. Since section 50-i conditions a lawsuit against the City upon the meeting of three requirements, it is clear that the absence of the word "condition" is not determinative as to whether one exists.

The legislative history supports this interpretation of General Municipal Law § 50-i.

In an April 10, 1959 letter ''Re: Assembly Int. 4048, Print No. 4218'' from Thomas McCoy, Counsel to the Judicial Conference of the State of New York, to Roswell B. Perkins, Counsel to Governor Rockefeller, recommending approval of the bill, the following statement is made:

> ''Section 50-i would bar suits against cities, counties, towns or villages based upon negligent acts of their employees unless, one, notice of claim is made under § 50-e; two, thirty days have elapsed since service of notice without settlement, and three, the section is commenced within one year and ninety days after the event upon which the claim is based.'' (Bill Jacket, L 1959, ch 788.)

In a March 30, 1959 ''Memorandum in relation to Assembly Bill Int. 4048, Pr. 4218,'' William Sanford, Counsel to the Association of Towns, described the legislation in this way:

> ''This legislation would add a new section to the General Municipal Law to be known as section 50-i, which would require *as a condition precedent* to the prosecution or maintenance of an action against a city, county, town or village for personal injuries or property damage[ ] that notice of claim be made and filed pursuant to section 50-e of the General Municipal Law, that it be alleged that at least 30 days have elapsed since the service of such notice and no adjustment or payment has been arrived at, and that the action was commenced within one year and 90 days from the happening of the event upon which the claim is based. It is further provided that these restrictions shall be applicable notwithstanding any inconsistent provision of law, general, special or local'' (*id*. [emphasis supplied]).

In an April 16, 1959 letter to Roswell B. Perkins, ''Re: A. Int. 4048, Pr. 4218-Approved; Comment,'' Sheldon Oliensis, Chairman of the Committee on State Legislation of the Association of the Bar of the City of New York, commented:

> ''Furthermore, we are concerned that Paragraph 3 may act as a trap for the unwary. Under the present practice, at least in New York City, the parties frequently stipulate to an extension of time for the

completion of the City's examination of the claim; such stipulations have heretofore not prejudiced the plaintiff *because Section 50 (h) of the General Municipal Law and Section 24 of the Civil Practice Act interact to toll the period of limitations. This tolling will now be eliminated''* (*id*. [emphasis supplied]).

The words ''herein or'' contained in section 50-i (3), cited above, were added by chapter 151 of the Laws of 1960. A footnote to chapter 151 states, ''This bill is recommended by the Joint Legislative Committee on Municipal Tort Liability. Its purpose is to make it clear that the period within which actions and special proceedings against municipalities are required to be brought is not intended to be tolled or extended by reason of its provisions.''

The cases cited by the majority do not compel a different result. *Cohen v Pearl Riv. Union Free School Dist*. (51 NY2d 256 [1980]) and *Henry v City of New York* (94 NY2d 275 [1999]) involved infancy and the tolling provision of CPLR 208. *Baez v New York City Health & Hosps. Corp*. (80 NY2d 571 [1992]) also involved an argument for the infancy toll of CPLR 208, an argument which this Court rejected. In *Pierson v City of New York* (56 NY2d 950 [1982]), this Court held that an application to file a late notice of claim could not be made after the statute of limitations had run. It also stated that the notice of claim could not be served after one year and 90 days after the cause of action accrued, unless tolled, and cited *Cohen v Pearl Riv. Union Free School Dist.* (51 NY2d at 262-263), a case with an infancy toll.

CPLR 205 (a)[2] authorizes a new action within six months after an action, which is timely commenced, is terminated other than ''by a voluntary discontinuance, a failure to obtain personal jurisdiction over the defendant, a dismissal of the complaint for neglect to prosecute the action, or a final judg-

2. CPLR 205 (a):
''New action by plaintiff. If an action is timely commenced and is terminated in any other manner than by a voluntary discontinuance, a failure to obtain personal jurisdiction over the defendant, a dismissal of the complaint for neglect to prosecute the action, or a final judgment upon the merits, the plaintiff, or, if the plaintiff dies, and the cause of action survives, his or her executor or administrator, may commence a new action upon the same transaction or occurrence or series of transactions or occurrences within six months after the termination provided that the new action would have been timely commenced at the time of commencement of the prior action and that service upon defendant is effected within such six-month period.''

ment upon the merits.'' As noted by the Appellate Division, section 205 does not apply when the statutory time bar to the commencement of an action is not a statute of limitations but is a condition precedent (*see Dreger v New York State Thruway Auth.*, 81 NY2d 721, 724 [1992]; *Matter of Morris Invs., Inc. v Commissioner of Fin. of City of N.Y.*, 69 NY2d 933 [1987]).

Accordingly, I dissent and vote to affirm the order of the Appellate Division.

Judges CIPARICK, ROSENBLATT, GRAFFEO, READ and R.S. SMITH concur with Chief Judge KAYE; Judge G.B. SMITH dissents and votes to affirm in a separate opinion.

Order reversed, etc.

[825 NE2d 117, 791 NYS2d 876]

QUANTUM CORPORATE FUNDING, LTD., Respondent, v WESTWAY INDUSTRIES, INC., Defendant, and UNITED STATES FIDELITY AND GUARANTY COMPANY, Appellant.

Argued January 11, 2005; decided February 17, 2005

SUMMARY

APPEAL, by permission of the Court of Appeals, from a judgment (denominated order) of the Supreme Court, Westchester County (Orazio R. Bellantoni, J.), entered January 15, 2004. The Supreme Court awarded plaintiff the principal sum of $28,373.10 against defendant United States Fidelity and Guaranty Company. The appeal brings up for review a prior nonfinal order of the Appellate Division of the Supreme Court in the Second Judicial Department, entered March 10, 2003. The Appellate Division had (1) reversed, insofar as appealed from, so much of an order of that Supreme Court as granted that branch of the cross motion of defendant United States Fidelity and Guaranty Company which was for summary judgment dismissing the complaint against it, except for those claims relating to the Phoenix Town Center and J.F.K. Airport, (2) denied the branch of defendant United States Fidelity and Guaranty Company's cross motion that sought summary judgment dismissing the complaint, and (3) reinstated the complaint in its entirety against defendant United States Fidelity and Guaranty Company.

Quantum Corporate Funding v Westway Indus., 303 AD2d 483, affirmed.

HEADNOTE

Bonds — Payment Bond — Public Work Project — Subcontractor's Assignee May Sue on Bond

Plaintiff, the assignee of a subcontractor that worked for defendant general contractor on various public works projects, was entitled to bring suit against defendant surety on the State Finance Law § 137 payment bonds that the general contractor had purchased. Although the statute is silent on who may sue on the payment bonds that general contractors on public works projects are required to purchase, the bonds are designed to guarantee that subcontractors will receive payment for their work once they complete the project, and should be read to allow suit by the subcontractors' assignees. The law generally favors transferability of claims, and although a subcontractor's right under the Lien Law to place a lien on the general contractor's proceeds is not assignable, State Finance Law § 137 is aimed at providing greater protection to subcontractors than the Lien Law. Moreover, subdivision (5) (b) of the statute, by defining what claims are recoverable with the phrase ‘‘payable to or on behalf of’’ the workers, explicitly authorizes that some payments will go to parties acting ‘‘on behalf of’’ the direct statutory beneficiaries.

TOTAL CLIENT-SERVICE LIBRARY® REFERENCES

By the Publisher’s Editorial Staff

Am Jur 2d, Contractors’ Bonds § 52.
McKinney’s, State Finance Law § 137.
NY Jur 2d, Bonds §§ 80, 107, 115; NY Jur 2d, Guaranty and Suretyship §§ 552, 553.

ANNOTATION REFERENCE

See ALR Index under Contractors’ Bonds.

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POINTS OF COUNSEL

Westermann Hamilton Sheehy Aydelott & Keenan, LLP, Garden City (*David Westermann, Jr.* of counsel), for appellant. I. The language of State Finance Law § 137 controls—assignees are excluded. (*Mowczan v Bacon,* 92 NY2d 281; *Riley v County of Broome,* 95 NY2d 455; *Specialty Prods. & Insulation Co. v St. Paul Fire & Mar. Ins. Co.,* 99 NY2d 459; *Chittenden Lbr. Co. v Silberblatt & Lasker,* 288 NY 396; *Tri-State Empl. Servs. v Mountbatten Sur. Co.,* 99 NY2d 476; *People v Backus,* 117 NY 196; *Uvalde Asphalt Paving Co. v City of New York,* 191 NY 244; *Davis Acoustical Corp. v Hanover Ins. Co.,* 22 AD2d 843; *Windsor Metal Fabrications v General Acc. Ins. Co. of Am.,* 94 NY2d 124; *Jackson v Citizens Cas. Co. of N.Y.,* 277 NY 385.) II. There is a conflict between *Quantum Corporate Funding v Fidelity & Deposit Co. of Md.* (258 AD2d 376 [1999]) and *Quantum Corporate Funding v Westway Indus.* (303 AD2d 483 [2003]). (*People ex rel. Makin v Wilkins,* 22 AD2d 497; *Specialty Prods. & Insulation Co. v St. Paul Fire & Mar. Ins. Co.*, 99 NY2d 459; *Chittenden Lbr. Co. v Silberblatt & Lasker,* 288 NY 396; *Aquilino v United States,* 10 NY2d 271; *Canron Corp. v City of New York,* 214 AD2d 115.) III. State Finance Law § 137 bond rights are not commercial collateral. (*Messersmith v American Fid. Co.,* 232 NY 161; *Jackson v Citizens Cas. Co. of N.Y.,* 277 NY 385.)

Hancock & Estabrook, LLP, Syracuse (*Stewart F. Hancock, Jr.*

and *Alan J. Pierce* of counsel), for respondent. I. State Finance Law § 137 should not be construed as precluding the right of an assignee of a subcontractor to proceed against the surety; a contrary holding would effectively curtail the rights of subcontractors to obtain financing by assigning their accounts receivable. (*Matter of Mittleman,* 282 App Div 587; *Chittenden Lbr. Co. v Silberblatt & Lasker,* 288 NY 396; *City Bank Farmers' Trust Co. v New York Cent. R.R. Co.,* 253 NY 49; *Stillman v Northrup,* 109 NY 473; *Claflin v Ostrom,* 54 NY 581; *Craig v Parkis,* 40 NY 181; *Transit Commn. v Long Is. R.R. Co.,* 253 NY 345; *Goncalves v Regent Intl. Hotels,* 58 NY2d 206; *Parker v Hoefer,* 2 NY2d 612; *Bertles v Nunan,* 92 NY 152.) II. United States Fidelity and Guaranty Company's arguments that State Finance Law § 137 payment bonds should not be assignable are without merit. (*Speciality Prods. & Insulation Co. v St. Paul Fire & Mar. Ins. Co.,* 99 NY2d 459; *United States for Benefit of Sherman v Carter,* 353 US 210; *Wolther v New Hampshire Fire Ins. Co.,* 173 F Supp 529; *Orinoco Realty Co. v Bandler,* 233 NY 24; *R.J. Russo Trucking & Excavating v Pennsylvania Resource Sys.,* 169 AD2d 239; *Dutchess Quarry & Supply Co. v Firemen's Ins. Co.,* 190 AD2d 36; *Scaccia Concrete Corp. v Hartford Fire Ins. Co.,* 212 AD2d 225.)

Wolff & Samson PC, New York City (*Adam P. Friedman* of counsel), for Surety Association of America, amicus curiae. A lender-assignee is not a proper claimant against the labor and material payment bond mandated by State Finance Law § 137. (*Caristo Constr. Corp. v Diners Fin. Corp.,* 21 NY2d 507; *Brewster Shirt Corp. v Commissioner of Internal Revenue,* 159 F2d 227; *GMAC Commercial Credit LLC v Springs Indus., Inc.,* 171 F Supp 2d 209; *American Blower Corp. v James Talcott, Inc.,* 18 Misc 2d 1031, 11 AD2d 654, 10 NY2d 282; *Tri-State Empl. Servs. v Mountbatten Sur. Co.,* 99 NY2d 476; *Leader v Maroney, Ponzini & Spencer,* 97 NY2d 95; *People v Mobil Oil Corp.,* 48 NY2d 192; *United States v Munsey Trust Co.,* 332 US 234; *Dutchess Quarry & Supply Co. v Firemen's Ins. Co.,* 190 AD2d 36; *Specialty Prods. & Insulation Co. v St. Paul Fire & Mar. Ins. Co.,* 287 AD2d 852, 99 NY2d 459.)

Goetz Fitzpatrick LLP, New York City (*Bernard Kobroff* of counsel), for Subcontractors Trade Association, Inc., amicus curiae. An assignee of a proper claimant on a labor and material payment bond required by State Finance Law § 137 is itself a proper claimant. (*Chittenden Lbr. Co. v Silberblatt & Lasker,* 288 NY 396; *Matter of Asman v Ambach,* 64 NY2d 989; *Triangle*

Erectors v James King & Son, 41 Misc 2d 12; *United States for Benefit of Sherman v Carter,* 353 US 210; *Caristo Constr. Corp. v Diners Fin. Corp.,* 21 NY2d 507; *American Blower Corp. v James Talcott, Inc.,* 10 NY2d 282; *Tri-State Empl. Servs. v Mountbatten Sur. Co.,* 99 NY2d 476; *Tri-City Elec. Co. v People,* 96 AD2d 146, 63 NY2d 969; *R.J. Russo Trucking & Excavating v Pennsylvania Resource Sys.,* 169 AD2d 239; *Specialty Prods. & Insulation Co. v St. Paul Fire & Mar. Ins. Co.,* 99 NY2d 459.)

OPINION OF THE COURT

ROSENBLATT, J.

We hold today that State Finance Law § 137 allows subcontractors' assignees to recover payment from bond sureties. The statute requires general contractors on public works projects to purchase payment bonds, which work like insurance policies designed to guarantee payment to the general contractors' suppliers, employees and subcontractors. The statute is silent, however, on who may sue on the bond. In our view, section 137 should be read to allow suit by the subcontractor's assignee.

I.

Atlas Concrete Cutting LLC served as a subcontractor for Westway Industries, Inc., a general contractor hired to complete various public works projects in Westchester and Queens counties. After completing the work, Atlas sold its accounts receivable at a substantial discount to Quantum Corporate Funding, Ltd., for cash up front. Westway then failed to pay its debts and went out of business. To recover on Atlas's claims, Quantum pursued United States Fidelity and Guaranty Company (Guaranty), the surety for the section 137 payment bonds that Westway had purchased.[1]

After Guaranty refused to honor Quantum's demands for the payments due to Atlas, Quantum brought suit in Supreme Court

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1. This is a suit by a factor against a surety, with the subcontractor and general contractor uninvolved. At least one writer has commented on the nature of this party lineup in the context of structured annuities:

> "The attack [on factoring] has not come from the consumer lobby, though criticism of factoring is often (and sometimes deservedly) clothed in the language of consumer protection. Nor has it come primarily from disgruntled sellers, though many have claimed to stand in their shoes. Instead, the attack has come primarily from the insurance industry . . . . One might reasonably ask why these entities would care, given that their payment obligations would presumably be unaffected by any transfer thereof to a factoring company." (Adam F. Scales, *Against Settlement Factor-*

(n. cont'd)

and obtained a default judgment against Westway, establishing that Atlas's invoices to Westway were proper and payable. Supreme Court, however, granted Guaranty's motion for summary judgment, dismissing Quantum's claims under section 137 against Guaranty in reliance on the Appellate Division, First Department's holding that the subcontractor's right to recover on payment bonds is nonassignable (*see Quantum Corporate Funding v Fidelity & Deposit Co. of Md.*, 258 AD2d 376 [1st Dept 1999]).

On appeal, the Appellate Division, Second Department, reversed the dismissal, acknowledging that its holding conflicts with the First Department's decision in *Fidelity*. Quantum then won summary judgment in Supreme Court. To resolve the split between Appellate Division departments, we granted Guaranty's motion for leave to appeal directly to this Court (*see* CPLR 5602 [a] [1] [ii]). We now affirm.

II.

The bonding requirement in State Finance Law § 137 first passed in 1938 to protect laborers and material suppliers from defaulting employers.[2] An additional purpose was to reduce the cost of state projects by encouraging lower-cost bids from contractors (*see* Governor's Counsel's Mem to Governor, Bill Jacket, L 1938, ch 707, at 3 [''Those (contractors) who do (undertake state work) materially raise their bids in order to allow for outside financing pending the receipt of the state moneys.'']).

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ing? The Market in Tort Claims Has Arrived, 2002 Wis L Rev 859, 900-901.)

2. In relevant part, section 137 provides the following:

''1. [The Comptroller or other appropriate public official may] nevertheless require prior to the approval of any [public works] contract a bond guaranteeing prompt payment of moneys due to all persons furnishing labor or materials to the contractor or his subcontractors in the prosecution of the work provided for in such contract. . . .

''3. Every person who has furnished labor or material, to the contractor or to a subcontractor of the contractor, in the prosecution of the work provided for in the contract and who has not been paid in full therefor before the expiration of a period of ninety days after the day on which the last of the labor was performed or material was furnished by him for which the claim is made, shall have the right to sue on such payment bond in his own name for the amount, or the balance thereof, unpaid at the time of commencement of the action . . . .''

The bond requirement guarantees that subcontractors will receive payment for their work once they complete the project. That assurance is not always enough. Some subcontractors, often smaller or newer companies, may have difficulty financing their work even before the job is done. For example, a gravel company working on a six-month project might run out of gravel after three months. If it lacked the means to obtain more gravel, the company would be unable to complete its contract obligations. Subcontractors in that position seek to trade their certain right to future payment in exchange for present financing.

Similarly, small subcontractors who have completed projects and await payment may be ill equipped to pursue their payment claims, preferring not to spend limited company resources on the extra paperwork and potential litigation costs connected with such claims. Such companies, like Atlas here, have therefore sold their accounts receivable to factors, companies that specialize in financing and collecting these payments (*see* Black's Law Dictionary 630 [8th ed 2004]; *see also* James J. White, A Symposium on the Code After 25 Years: 1978-2003, *Death and Resurrection of Secured Credit*, 12 Am Bankr Inst L Rev 139, 153-154 [2004]).

Whether parties may sell an enforceable right to receive payments under bonds required by section 137 is an open question before this Court. In construing the statute, we bear in mind the background principle that claims typically remain transferrable (*see* General Obligations Law § 13-101 [''Any claim or demand can be transferred . . . .'']; *see also* Restatement [Second] of Contracts § 317 [2] [setting transferability of rights as the default and outlining narrow exceptions]). As a second guiding principle, we note that the original section 137 and every subsequent amendment were designed to protect workers, material suppliers and subcontractors from the hardship that accompanied the previous instability in the financing of public works (*see e.g. Spanos Painting Contrs., Inc. v Union Bldg. & Constr. Corp.*, 334 F2d 457, 459 [2d Cir 1964] [''The primary purpose of § 137 . . . is to provide subcontractors a remedy by which they may recover sums due them where they would have failed under the old, more stringent lien law.'']).[3]

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3. In arguing against the transferability of payment rights, Guaranty attempts to identify its position with increased protection of the statutory beneficiaries. We do not understand, however, how offering subcontractors like Atlas both the substantive benefit *and* the right to sell that benefit is less

(n. cont'd)

Guaranty argues that, despite the law generally favoring transferability, an exception applies in this case. Guaranty asserts that a subcontractor's right under Lien Law article 2 (to place a lien on the general contractor's proceeds) is *not* assignable, and argues that the same restriction should apply to bonds under section 137. We are not persuaded. As Guaranty and amicus Surety Association of America acknowledge, section 137 is aimed at providing *greater* protection to laborers, suppliers and subcontractors than the Lien Law. To adopt Guaranty's analogy would set the statutory beneficiaries back to the financial inflexibility and risk they endured before section 137's passage.

Guaranty also argues that by explicitly granting labor trustees the right to stand in place of the actual workers, suppliers and subcontractors under section 137 (5) (b),[4] the Legislature intended to make that grant exclusive. The better interpretation is that the clause is the Legislature's way of allowing parties not directly connected to the project to sue on behalf of the named statutory beneficiaries. If the Legislature wanted to exclude those with merely a financial interest in the work performed from collecting on behalf of the statutory beneficiaries, it would not have expressly allowed labor representatives to sue. The text itself points to this interpretation: by defining what claims are recoverable with the phrase "payable to or on behalf of" the workers, section 137 (5) (b) explicitly authorizes that some payments will go to parties acting "on behalf of" the direct statutory beneficiaries.

Guaranty argues that affirmance would not be consistent with the legislative goal of reducing the cost of state projects, because sureties would have to raise the premiums charged for

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protective of them than denying one of those rights. Indeed, the Subcontractors Trade Association, Inc., has argued as amicus that the protected parties would obviously prefer both rights over just one. Guaranty has not shown us that the subcontractors do not know what is best for themselves. Of course, this issue is only one component of our analysis.

4. The statute reads,

> "The expression 'moneys due to persons furnishing labor to the contractor or his subcontractors' includes all sums payable to or on behalf of persons furnishing labor to the contractor or his subcontractors, . . . payment of which is required . . . by the contract in connection with which the bond is furnished . . . . A trustee or other person authorized to collect such payments shall have the right to sue on the payment bond in his own name and subject to the same conditions as if he were the person performing the labor upon which such sums are computed."

bonds to cover the increased risk. Subcontractors and Quantum counter that sureties set the price of the bond *before* the general contractor begins work on the project, because having the bond is a prerequisite to hiring the subcontractors. In determining the risk that the bond will be paid out (i.e., that the general contractor will fail to make all necessary payments), the surety evaluates solely the risk posed by the general contractor, not the financial health of the laborers, suppliers and subcontractors. Therefore, the subcontractors assert, whether the eventual claimant turns out to be either Atlas or Quantum makes no difference to the price the surety establishes at the start of the project.

The sureties argue, in effect, that by having to pay out money rightfully due to those who earned it—and who are entitled to it by statute—the sureties will have to raise rates because they are no longer able to keep that money. Given the Legislature's avowed interest in protecting suppliers, workers and subcontractors, we will not construe the statute in the manner suggested by Guaranty.

Nor do we find merit in Guaranty's related contention that making sureties liable to factors like Quantum would generally expand the class of claimants, and thereby increase the sureties' risk of payment on the bonds. For the purpose of making a claim on the bond, the factor stands in the shoes of the subcontractor. Here, Quantum submitted for payment the very same invoices created by Atlas, on Atlas letterhead and authorized by Atlas officials, with the only indication of Quantum's role being a stamped statement that Atlas had assigned the accounts to Quantum. Quantum seeks no more money than Atlas would have been entitled to, nor could it. Any defenses that Guaranty might have had against Atlas were good against Quantum.

In sum, the only apparent reason Quantum might pose a greater threat to Guaranty than Atlas is that Quantum is more efficient at collecting bill payments than Atlas would have been. The statute does not allow sureties to resist payment merely because some of section 137's beneficiaries are too economically weak to recover on their deserving and lawful claims against the bonds.[5]

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5. We are comforted in this conclusion by the continued successful functioning of public works and the surety market in those jurisdictions that

(n. cont'd)

Accordingly, the judgment of Supreme Court appealed from and the order of the Appellate Division brought up for review should be affirmed, with costs.

Chief Judge KAYE and Judges G.B. SMITH, CIPARICK, GRAFFEO, READ and R.S. SMITH concur.

Judgment appealed from and order of the Appellate Division brought up for review affirmed, with costs.

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have maintained long-standing rules allowing for assignments. For example, the federal analogue to our section 137, 40 USC § 270a *et seq.* (now 40 USC § 3131 *et seq.*), allows for assignment of subcontractors' claims (*see United States for Benefit of Sherman v Carter*, 353 US 210 [1957]), as do the statutory analogues of our sister states (*see e.g.*, *Shoshoni Lbr. Co v Fidelity & Deposit Co. of Md.*, 46 Wyo 241, 24 P2d 690 [1933]; *Finch v Enke*, 54 SD 164, 222 NW 657 [1929]).

[825 NE2d 128, 791 NYS2d 887]

In the Matter of THOMAS VON ESSEN, as Fire Commissioner of the City of New York, et al., Respondents, v NEW YORK CITY CIVIL SERVICE COMMISSION, Respondent, and ROBERT JOEL, Appellant.

Argued January 11, 2005; decided February 22, 2005

SUMMARY

APPEAL, by permission of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the First Judicial Department, entered December 23, 2003. The Appellate Division (1) reversed, on the law, a judgment of the Supreme Court, New York County (Joan Madden, J.), entered in a proceeding pursuant to CPLR article 78, which had denied the petition and dismissed the proceeding; (2) granted the petition; and (3) annulled the determination of the New York City Civil Service Commission that it had subject matter jurisdiction to hear the appeal of respondent firefighter from the Fire Commissioner's order dismissing him from the force for misconduct.

Matter of Von Essen v New York City Civ. Serv. Commn., 3 AD3d 115, affirmed.

HEADNOTE

Civil Service — Firefighters — Appeal of Disciplinary Determination

Firefighters disciplined pursuant to section 15-113 of the Administrative Code of the City of New York may not appeal their discipline to the New York City Civil Service Commission. Although Civil Service Law § 76 (1) permits an appeal to the Commission from punishment imposed pursuant to Civil Service Law § 75, firefighters are not disciplined pursuant to that section. The Fire Commissioner's ''sole and exclusive power'' to make final disciplinary determinations with regard to members of the Fire Department (NY City Charter § 487 [a]) and power to punish the offending party (Administrative Code § 15-113) is subject only to review by the courts under CPLR article 78. Since the Charter and Code provisions governing Fire Department discipline were in existence before Civil Service Law §§ 75 and 76, the saving clause of Civil Service Law § 76 (4), providing that neither section 75 nor section 76 ''shall be construed to repeal or modify'' other laws, is applicable. Fire Department discipline is outside the scope of Civil Service Law §§ 75 and 76 and thus not subject to the jurisdiction of the Civil Service Commission.

TOTAL CLIENT-SERVICE LIBRARY® REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Civil Service §§ 73, 87; AM JUR 2d, Municipal

Corporations, Counties, and Other Political Subdivisions §§ 279, 281, 283.

McKinney's, Civil Service Law §§ 75, 76.

NY Jur 2d, Civil Servants and Other Public Officers and Employees §§ 290, 301, 519; NY Jur 2d, Counties, Towns, and Municipal Corporations §§ 1133, 1135.

ANNOTATION REFERENCE

See ALR Index under Civil Service; Fire Departments and Firefighters.

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Database: NY-ORCS

Query: firefighter /s disciplin! /p appeal!

POINTS OF COUNSEL

Sullivan Papain Block McGrath & Cannavo, P.C., New York City (*Michael N. Block* and *Stephen C. Glasser* of counsel), for appellant. The Appellate Division erred as a matter of law in holding that the New York City Civil Service Commission has no subject matter jurisdiction under Civil Service Law § 76 to review a penalty of dismissal imposed by the Fire Commissioner of the City of New York against a firefighter for misconduct where, when viewed within the context of *Matter of Montella v Bratton* (93 NY2d 424 [1999]): (i) Civil Service Law §§ 75 and 76 authorize such review generally as to all civil servants; and (ii) in contrast to the situation presented when police officers are disciplined under Administrative Code of the City of New York §§ 14-115 and 14-116—which specifically restrict review of disciplinary penalties of police officers to a CPLR article 78 proceeding—Administrative Code § 15-113, governing discipline of New York City firefighters, is *silent* with regard to the procedure to use to review such penalty decisions. (*Elliot v Green Bus Lines,* 58 NY2d 76; *People v Walker,* 81 NY2d 661; *Pajak v Pajak,* 56 NY2d 394; *People v Tychanski,* 78 NY2d 909; *Matter of Smithwick v Levitt,* 154 AD2d 240; *People ex rel. Sibley v Sheppard,* 54 NY2d 320; *Matter of Rockland County Patrolmen's Benevolent Assn. v Town of Clarkstown,* 149 AD2d 516; *Matter of Wein v City of New York,* 56 NY2d 758; *Matter of New York City Dept. of Envtl. Protection v New York City Civ. Serv. Commn.,* 78 NY2d 318.)

Michael A. Cardozo, Corporation Counsel, New York City (*Julie Steiner* and *Barry P. Schwartz* of counsel), for Thomas Von

Essen and another, respondents. The Appellate Division majority correctly held that a disciplined firefighter may not appeal to the New York City Civil Service Commission, because the Commission does not have subject matter jurisdiction to review such matters. Rather, a firefighter may only bring a CPLR article 78 proceeding. This Court's 1999 unanimous decision in *Matter of Montella v Bratton* (93 NY2d 424 [1999]), which pertained to the identical issue as here but with respect to police officer disciplinary determinations, is dispositive. (*Matter of Finegan v Cohen,* 275 NY 432; *Burke v Kern,* 287 NY 203; *Matter of City of New York v MacDonald,* 201 AD2d 258, 83 NY2d 759; *Ferrin v New York State Dept. of Correctional Servs.,* 71 NY2d 42; *Patrolmen's Benevolent Assn. of City of N.Y. v City of New York,* 41 NY2d 205; *Rangolan v County of Nassau,* 96 NY2d 42; *Riley v County of Broome,* 95 NY2d 455; *People v Brancoccio,* 83 NY2d 638; *Matter of Tucker v Board of Educ.,* 82 NY2d 274; *Doctors Council v New York City Employees' Retirement Sys.,* 71 NY2d 669.)

OPINION OF THE COURT

R.S. SMITH, J.

In *Matter of Montella v Bratton* (93 NY2d 424 [1999]) we held that uniformed police officers disciplined pursuant to section 14-115 of the Administrative Code of the City of New York could not appeal their discipline to the New York City Civil Service Commission. We hold today that the same rule applies to firefighters disciplined pursuant to section 15-113 of the Administrative Code.

Procedural History

Firefighter Robert Joel was charged with violating Fire Department regulations by calling in two false alarms. At a hearing before an administrative law judge, Joel admitted his guilt and the judge recommended that he be terminated from his position with the department. The Fire Commissioner adopted the recommendation, and ordered termination.

Joel sought to appeal this ruling to the New York City Civil Service Commission. The Civil Service Commission ordered the parties to brief the question of whether it had jurisdiction over the appeal, and after receiving the briefs determined that it did. The Fire Commissioner then filed the present CPLR article 78 proceeding, seeking to annul the Civil Service Commission's determination. Supreme Court upheld the Civil Service Commission's jurisdiction, and dismissed the article 78 proceeding. The Appellate Division reversed, holding in a thorough and well-reasoned opinion that *Montella* was controlling. We agree with the Appellate Division and affirm.

Discussion

The Civil Service Commission claims jurisdiction here pursuant to Civil Service Law § 76 (1), which permits an appeal to that Commission from punishment ''imposed pursuant to the provisions of section seventy-five of this chapter.'' Thus the dispositive issue is whether Joel was disciplined pursuant to Civil Service Law § 75, which prescribes certain procedures for the removal or penalizing of civil servants charged with ''incompetency or misconduct.''

We held in *Montella* that Civil Service Law §§ 75 and 76 did not apply to Police Department discipline because we found in provisions of the New York City Charter and Administrative Code a legislative direction that such discipline be left to the discretion of the Police Commissioner, subject only to review by the courts under article 78. Specifically, we relied on NY City Charter § 434 (a), which provides that the Police Commissioner ''shall have cognizance and control of the government, administration, disposition and discipline of the department, and of the police force of the department''; and on Administrative Code § 14-115 (a), providing that the Police Commissioner ''shall have power, in his or her discretion . . . to punish the offending party'' in specified ways. Since these provisions were in existence before Civil Service Law §§ 75 and 76 were enacted, and since Civil Service Law § 76 (4) provides that ''[n]othing contained in section seventy-five or seventy-six of this chapter shall be construed to repeal or modify any general, special or local law or charter provision relating to the removal or suspension of officers or employees . . . ,'' we concluded that the Civil Service Law sections did not affect the Police Commissioner's power to discipline police officers.

The Charter and Administrative Code provisions applicable to Fire Department discipline closely parallel those on which we relied in *Montella*. The relevant Charter provision, section 487 (a), is even more strongly worded than NY City Charter § 434 (a). While the latter provision, governing Police Department discipline, refers to ''cognizance and control,'' section 487 (a) provides that the Fire Commissioner ''shall have sole and exclusive power and perform all duties for the government, discipline, management, maintenance and direction of the fire department.'' The Administrative Code section governing Fire Department discipline is section 15-113, which uses the same words quoted above from Administrative Code § 14-115. Section 15-113, like its counterpart applicable to the police, says that the Commissioner ''shall have power, in his or her discretion . . . to punish the offending party.''

Since the Charter and Code provisions governing Fire Department discipline, like those governing Police Department discipline, were in existence before Civil Service Law §§ 75 and 76 were enacted, the saving clause of Civil Service Law § 76 (4), providing that neither section 75 nor section 76 ''shall be construed to repeal or modify'' other laws, is applicable here as it was in *Montella*. Fire Department discipline, like Police Department discipline, is outside the scope of Civil Service Law §§ 75 and 76 and thus not subject to the jurisdiction of the Civil Service Commission.

The Civil Service Commission and Supreme Court found *Montella* to be distinguishable because in *Montella* we relied on two provisions of law that have no counterpart here: Civil Service Law § 75 (3-a), which specifically provides that the Police Commissioner ''may punish [a] police officer pursuant to the provisions of sections 14-115 and 14-123 of the administrative code of the city of New York,'' and Administrative Code § 14-116, which authorizes the bringing of an article 78 proceeding within four months to review discipline imposed by the Police Commissioner. But while section 75 (3-a) and section 14-116 supported our holding in *Montella*, they were not indispensable to it, for the reasons explained by the Appellate Division opinion in the present case. In *Montella*, sections 75 (3-a) and 14-116 provided confirmation of what other legislative provisions also made clear: that Police Department discipline was not subject to Civil Service Commission review. Even without corresponding confirmatory evidence, we reach the same conclusion with respect to the Fire Department.

Accordingly, the order of the Appellate Division should be affirmed, with costs.

Chief Judge KAYE and Judges G.B. SMITH, CIPARICK, ROSENBLATT, GRAFFEO and READ concur.

Order affirmed, with costs.

[825 NE2d 585, 792 NYS2d 370]

In the Matter of JEREMY W. ALDERSON, Respondent, v NEW YORK STATE COLLEGE OF AGRICULTURE AND LIFE SCIENCES AT CORNELL UNIVERSITY et al., Appellants.

Argued January 11, 2005; decided February 17, 2005

SUMMARY

APPEAL, by permission of the Court of Appeals, from a judgment of the Supreme Court, Tompkins County (Robert C. Mulvey, J.), entered February 10, 2004 in a proceeding pursuant to CPLR article 78. The Supreme Court determined, after in camera inspection, the extent to which 134 subject documents were exempt from disclosure under the Freedom of Information Law (Public Officers Law art 6).The appeal brings up for review a prior nonfinal order of the Appellate Division of the Supreme Court in the Third Judicial Department, entered November 7, 2002. The Appellate Division had (1) dismissed cross appeals from an order of that Supreme Court denying respondent's motion to dismiss the petition for failure to state a cause of action and granting the petition, (2) dismissed an appeal from an order of that Supreme Court granting reargument and, upon reargument, adhering to so much of its decision as had denied the motion to dismiss the petition, vacating the granting of the petition and permitting respondents to answer the petition, and (3) affirmed a judgment of that Supreme Court partially granting the petition to the extent of directing respondents to produce certain documents subject to the Court's resolution of affirmative defenses.

Matter of Alderson v New York State Coll. of Agric. & Life Sciences at Cornell Univ., 299 AD2d 640, modified.

HEADNOTES

Records — Freedom of Information Law — Research and Academic Activities at College of Agriculture and Life Sciences

1. Cornell University, a private educational institution that manages four "statutory colleges" supported, in part, by public funds, was not required to comply with a Freedom of Information Law (Public Officers Law art 6 [FOIL]) request with respect to documents pertaining to research and other academic activities at the New York State Agricultural Experiment Station, a research institution affiliated with the New York State College of Agriculture and Life Sciences (CALS), a statutory college. Although FOIL mandates disclosure of public records by state agencies, the Cornell statutory colleges are a blend of specified private and governmental activities that may not be categorically deemed agencies of the state under FOIL because the Legislature has vested

many aspects of their administration to the discretion of a private university. Because Cornell is vested by statute with broad authority over all ‘‘matters pertaining to . . . educational policies, activities and operations, including research work’’ (Education Law § 5712; *see* Education Law § 5713 [1]) at CALS and the Agricultural Experiment Station, documents relating to those activities involved a private function and were therefore not subject to FOIL.

Records — Freedom of Information Law — Financial Records and Sources of Funding at College of Agriculture and Life Sciences

2. Cornell University, a private educational institution that manages four ‘‘statutory colleges’’ supported, in part, by public funds, was not categorically exempt from compliance with the Freedom of Information Law (Public Officers Law art 6 [FOIL]) with respect to a request for financial records and documentation of expenditures or sources of funding of the Agricultural Experiment Station, a research institution affiliated with the New York State College of Agriculture and Life Sciences (CALS), a statutory college. The Legislature has maintained the right to oversee Cornell’s use of public funding in the management of the statutory colleges (*see* Education Law § 5712 [4]). To the extent that Cornell is accountable for the expenditure of public funds, it is performing a public function. Documents relating to this activity are subject to FOIL, which mandates disclosure of public records by state agencies.

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By the Publisher’s Editorial Staff

Am Jur 2d, Freedom of Information Acts §§ 2, 22, 26, 74.

Carmody-Wait 2d, Proceeding Against a Body or Officer §§ 145:631, 145:636.

McKinney’s, Education Law §§ 5712, 5713 (1); Public Officers Law art 6.

NY Jur 2d, Records and Recording §§ 19–21, 33, 36; NY Jur 2d, Schools, Universities, and Colleges §§ 748, 749.

ANNOTATION REFERENCE

See ALR Index under Colleges and Universities; Freedom of Information Acts.

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POINTS OF COUNSEL

James J. Mingle, Ithaca, *Nelson E. Roth, Michael G. Kimberly* and *Patricia A. McClary* for appellants. I. This Court’s prior decision in *Matter of Stoll v New York State Coll. of Veterinary Medicine at Cornell Univ.* (94 NY2d 162 [1999]) compels reversal of the lower courts’ rulings. II. The decision in *Matter of Stoll v New York State Coll. of Veterinary Medicine at Cornell Univ.* (94

NY2d 162 [1999]) should be clarified to require clear legislative intent. (*Kimel v Florida Bd. of Regents,* 528 US 62; *Lugo v Scenic Hudson,* 258 AD2d 626; *Matter of Knight-Ridder Broadcasting v Greenberg,* 70 NY2d 151.)

LoPinto, Schlather, Solomon & Salk, Ithaca (*Diane L. Campbell* of counsel), for respondent. I. Both the trial court and the Appellate Division properly applied *Matter of Stoll v New York State Coll. of Veterinary Medicine at Cornell Univ.* (94 NY2d 162 [1999]). (*Matter of Citizens for Alternatives to Animal Labs v Board of Trustees of State Univ. of N.Y.,* 92 NY2d 357; *Matter of Buffalo News v Buffalo Enter. Dev. Corp.,* 84 NY2d 488.) II. The statutory colleges may be construed as agencies pursuant to the Freedom of Information Law. (*Matter of Buffalo News v Buffalo Enter. Dev. Corp.,* 84 NY2d 488; *Matter of Mohawk Book Co. v State Univ. of N.Y.,* 288 AD2d 574; *Matter of Encore Coll. Bookstores v Auxiliary Serv. Corp.,* 87 NY2d 410; *Matter of Fink v Lefkowitz,* 47 NY2d 567; *Matter of Capital Newspapers Div. of Hearst Corp. v Burns,* 67 NY2d 562.) III. The documents requested are disclosable pursuant to the Freedom of Information Law. (*Matter of Encore Coll. Bookstores v Auxiliary Serv. Corp.,* 87 NY2d 410; *Matter of Russo v Nassau County Community Coll.,* 81 NY2d 690; *Matter of Mohawk Book Co. v State Univ. of N.Y.,* 288 AD2d 574; *Lugo v Scenic Hudson,* 258 AD2d 626; *Matter of Knight-Ridder Broadcasting v Greenberg,* 70 NY2d 151.)

OPINION OF THE COURT

GRAFFEO, J.

Since the 19th century, the State of New York and Cornell University, a private educational institution, have had a unique partnership relating to the provision of higher educational services in the state. Under the Education Law, the University manages four ''statutory colleges'' that are supported, in part, by public funds. Cornell has significant autonomy over academic activities at the colleges but is accountable to the trustees of the State University of New York (SUNY) and other state agencies for the manner in which public funds are expended.

In *Matter of Stoll v New York State Coll. of Veterinary Medicine at Cornell Univ.* (94 NY2d 162 [1999]), we addressed whether Cornell University, as administrator and manager of the statutory colleges, was a state agency subject to the Freedom of Information Law (FOIL) (Public Officers Law art 6). We began with the proposition that Cornell University is a private educational institution not ordinarily subject to FOIL. That said, we recognized that there were "public aspects" of Cornell's role as steward of the statutory colleges implicating the open government policies underlying FOIL. Noting that the Legislature had vested Cornell University with substantial private discretion over the colleges that placed many of its actions beyond state control, we determined that there remained "public aspects" of Cornell's management function that could, in some circumstances, render Cornell the equivalent of a state agency for purposes of FOIL.

We therefore reviewed the nature of the FOIL request, concluding that where documents requested relate to subject matter over which Cornell exercises statutory authority or control, Cornell is operating in its private capacity and is not mandated to disclose the requested materials. Thus, in *Stoll*, we held that Cornell was not required to comply with a FOIL request seeking complaints filed under the Cornell University Campus Code of Conduct because the University retained authority, by statute, over disciplinary matters at the statutory colleges. Put another way, because Cornell is responsible for discipline at the statutory colleges, the Court concluded that it was not a state agency subject to FOIL.

In this case, we must again determine whether Cornell University must comply with a FOIL request relating to its management of the statutory colleges. The courts below held that Cornell was a state agency for purposes of an inquiry seeking research and financial documents relating to its management of the New York State College of Agriculture and Life Sciences and the New York State Agricultural Experiment Station. While we agree that some of the document requests appear to relate to Cornell's receipt of public monies implicating "public aspects" of its management function subject to FOIL, we conclude that others—those involving prospective and ongoing research projects and activities—intruded into matters over which Cornell exercises statutory autonomy in its private capacity.

I.

Petitioner Jeremy W. Alderson hosts a talk radio program in Geneva, New York, that addresses political issues of local, regional and national interest. Respondent Cornell University is a private educational institution that operates respondents New York State College of Agriculture and Life Sciences (CALS) and

New York State Agricultural Experiment Station, a research institution affiliated with CALS, under the supervision of the trustees of the State University of New York (*see* Education Law §§ 5712, 5713).[1]

In June and July 2000, petitioner submitted FOIL requests for documents relating to research activities and financial matters involving the Agricultural Experiment Station and a proposed Agricultural Technology Park to be built adjacent thereto.[2] Without differentiating among the types of documents requested, Cornell declined to provide any of the items sought on the ground that it was not a state agency subject to FOIL, relying on *Stoll*.

Petitioner then commenced this proceeding against CALS, the Station and Cornell, seeking a declaration that they were required to respond to the FOIL requests. On behalf of all three, Cornell moved to dismiss, submitting affidavits from the Associate Director for Research at CALS and the Director of the Office of Sponsored Programs at Cornell University describing the nature of the educational partnership between New York State and Cornell as established in the Education Law. In particular, Cornell noted that it had complete autonomy over research work at CALS and the Station as authorized by Education Law §§ 5712 and 5713 and that the State did not participate in the selection, approval or oversight of research projects at respondent institutions.

Supreme Court denied the motion to dismiss and, after further proceedings, ultimately held that Cornell was required to respond to the FOIL requests because the Agricultural Experiment Station was a state agency in that it had been created to fulfill a ''public purpose''—agricultural research. The Appellate Division affirmed and, after an in camera inspection of more

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1. The University is composed of 18 academic units, four of which are ''[s]tatutory or contract colleges'' as defined in Education Law § 350 (3), meaning they are ''[c]olleges furnishing higher education, operated by independent institutions on behalf of the state pursuant to statute or contractual agreements.'' In addition to CALS, Cornell manages the New York State College of Veterinary Medicine, the New York State College of Human Ecology, and the New York State School of Industrial and Labor Relations (*see* Education Law §§ 5711, 5714, 5715).

2. In the petition filed in December 2000, petitioner alleged that Cornell was considering the development of an Agricultural Technology Park and surmised that creation of the park would require action by the Legislature and the expenditure of public funds. The record does not indicate the present status of the Agricultural Technology Park.

than 100 documents on remittal,[3] Supreme Court issued a judgment directing Cornell to turn over most of the requested documents, although some were deemed protected from disclosure under specific FOIL exemptions, such as the trade secret exception (*see* Public Officers Law § 87 [2] [d]).

Cornell appeals from Supreme Court's judgment bringing up for review the Appellate Division decision holding that Cornell is a state agency subject to FOIL with respect to each of petitioner's document demands.

II.

"The Legislature enacted FOIL to provide the public with a means of access to governmental records in order to encourage public awareness and understanding of and participation in government and to discourage official secrecy" (*Matter of Newsday, Inc. v Sise*, 71 NY2d 146, 150 [1987], *cert denied* 486 US 1056 [1988]). The statute mandates disclosure of public records by state agencies, defined as "any state or municipal department . . . or other governmental entity performing a governmental or proprietary function for the state or any one or more municipalities thereof, except the judiciary or the state legislature" (Public Officers Law § 86 [3]). "Each agency shall . . . make available for public inspection and copying all records, except that such agency may deny access to records or portions thereof that" fall within one of the enumerated exemptions (Public Officers Law § 87 [2]). Where documents are held by a state agency, they are subject to FOIL regardless of the purpose for which they are generated (*see Matter of Citizens for Alternatives to Animal Labs, Inc. v Board of Trustees of State Univ. of N.Y.*, 92 NY2d 357, 361 [1998]).

Ordinarily, the question whether a record-holder is a state agency is relatively straightforward. For example, we have held that SUNY, a public university, is a state agency subject to FOIL, as are the county community colleges (*see Matter of Encore Coll. Bookstores, Inc. v Auxiliary Serv. Corp. of State Univ. of N.Y. at Farmingdale*, 87 NY2d 410, 417 [1995]; *Matter of Russo v Nassau County Community Coll.*, 81 NY2d 690 [1993]). However, we recognized in *Stoll* that the Cornell statutory colleges are a blend of specified private and governmental activities that may not be categorically deemed agencies of the State under FOIL

3. The specific documents have not been made part of the record on appeal to this Court.

because the Legislature has vested many aspects of their administration to the discretion of a private university. At the same time, the SUNY Trustees and other state agencies have authority to oversee financial issues relating to the expenditure of public funds.

Due to the unique, sui generis nature of the statutory colleges and the blend of public/private activities undertaken by Cornell as it carries out its educational mission, we concluded in *Stoll* that it was necessary to depart from the general rule that the function to which a document relates is irrelevant under FOIL. We therefore held that the activity underlying the FOIL request is significant in deciding whether Cornell may be deemed a state agency required to disclose documents relating to the statutory colleges. Because the relationship between the State and Cornell is governed by statute, courts must look to the legislative scheme to determine whether the subject matter of the FOIL request involves private matters beyond the reach of the statute or the more public aspects of the statutory colleges which could be subject to FOIL.

The FOIL request at issue in *Stoll* was submitted by the attorney of a Cornell University professor who had been disciplined by the University for having sexually harassed several female students. Petitioner sought copies of any complaints filed under the University's Campus Code of Conduct by or against any professor, administrator or student at any of the statutory colleges. All four statutory colleges were named in the request, including CALS, one of the institutions at issue in this case. To resolve whether the documents were subject to FOIL, this Court focused on the activity to which the documents related—the maintenance of discipline at the statutory colleges. The Court then reviewed the statutes defining the State's relationship with Cornell to determine whether the activity involved a private function committed to Cornell's discretion or a public matter over which the State had retained some authority or control. Noting that the Legislature had expressly granted Cornell "discretion over the 'maintenance of discipline' at the four statutory colleges (*see*, Education Law § 5711 [2]; § 5712 [2]; § 5714 [3]; § 5715 [6])" (*Stoll*, 94 NY2d at 167), the Court concluded that the disciplinary records sought related to private matters not subject to disclosure under FOIL.

It is evident from our decision in *Stoll* that the issue is not, as petitioner suggests, whether the Agricultural Experiment Station or the proposed Agricultural Technology Park are intended to fulfill a public purpose. If it were, we would have held that the disciplinary records requested in *Stoll* were subject to FOIL, since the statutory colleges named in that case (including CALS) also fulfill significant public purposes. Rather, the proper inquiry is whether the documents requested under FOIL relate to an activity over which Cornell, as manager of the statutory colleges, exercises autonomy and control.

Here, petitioner sought documents or correspondence relating to tenants of the proposed Agricultural Technology Park, current field research tests of genetically modified organism crops being conducted at the Agricultural Experiment Station, compliance by the University with federal research safety protocols for biotechnology (particularly field-testing of genetically modified organisms), and financial reports or records showing the source of all monies received by the Agricultural Experiment Station and its financial status. The document requests therefore fall into two categories: those pertaining to research and other academic activities at the Agricultural Experiment Station and proposed Agricultural Technology Park, and those involving financial records and expenditures or sources of funding.

[1] As to the first category, the courts below erred in concluding the documents were subject to FOIL. Education Law § 5712, the enabling legislation for CALS, provides that Cornell University ''shall . . . administer the said college of agriculture and life sciences as to the establishment of courses of study, the creation of departments and positions, the determination of the number and salaries of members of the faculty and other employees thereof, the appointment and employment thereof, the maintenance of discipline and as to all other matters pertaining to its educational policies, activities and operations, including research work.'' (Education Law § 5712 [2].) The statute authorizing the Agricultural Experiment Station, a unit of CALS, similarly denotes that the ''station shall be managed, controlled and administered by Cornell university . . . in the manner and with the powers provided by [Education Law § 5712]'' (Education Law § 5713 [1]).

Consistent with these statutory directives, Cornell's submissions indicate that the University in fact exercises complete autonomy and control over research and academic activities at the statutory colleges, including CALS and the Agricultural Experiment Station. Neither the SUNY trustees nor any other state agency participate in decisions relating to prospective or ongoing research pursuits. Because Cornell is vested by statute with broad authority over all ''matters pertaining to . . . educational policies, activities and operations, including research work'' at CALS and the Agricultural Experiment Station, documents relating to those activities involve a private function and are therefore not subject to FOIL.

[2] With respect to petitioner's request for financial and funding documents, however, we reject Cornell's argument that it is categorically exempt from FOIL compliance. As we observed in *Stoll*, Cornell is subject to certain financial reporting requirements to allow state officials to track the expenditure of state funds. Of particular relevance, Education Law § 5712 (4) requires that Cornell submit an annual statement detailing the expenditure of public funds for the operation of CALS.[4] The Legislature did not cede complete control of financial issues to the discretion of Cornell, but has maintained the right to oversee Cornell's use of public funding in the management of the statutory colleges. To the extent that Cornell is accountable for the expenditure of public funds, it is performing a public function. Documents relating to this activity are subject to FOIL.

Due to the limited nature of respondents' appeal and the fact that the documents submitted for in camera review are not part of the record before this Court, we are unable to determine which of the produced documents relate to proposed and ongoing research activities, thereby falling within Cornell's private management sphere and outside the scope of FOIL, and which are financial documents relating to the expenditure of public funds, thereby implicating the ''public aspects'' of its administration of the statutory colleges.[5] We therefore remit this matter to Supreme Court for review of the documents it ordered

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4. The Legislature has cabined the manner in which some public funds are spent, directing, for example, that Cornell expend federal funds provided for agricultural research in a specific proportion, with nine tenths applied for the use of CALS and one tenth for the use of the Agricultural Experiment Station (*see* Education Law § 5713 [4]).

5. After its unsuccessful appeal to the Appellate Division, Cornell produced 134 documents for in camera review and Supreme Court applied the FOIL exemptions and issued a judgment directing respondent to turn over particular documents. Petitioner did not appeal from the judgment of Supreme Court and Cornell's appeal in this Court is limited to challenging the Appellate Division's categorical determination that it is a state agency subject to FOIL for purposes of each of petitioner's document requests (*see* CPLR 5602 [a] [1] [ii]). In other words, although Cornell contended that the documents relating to its research activities were not subject to FOIL (a point with which we agree), neither party has challenged Supreme Court's application of the FOIL exemptions. Thus, we have no occasion to address it.

respondents to disclose to determine which, if any, relate to the University's public accounting function such that they are subject to FOIL.

Accordingly, the judgment appealed from and the order of the Appellate Division brought up for review should be modified, without costs, and this matter remitted to Supreme Court for further proceedings in accordance with this opinion and, as so modified, affirmed.

Chief Judge KAYE and Judges G.B. SMITH, CIPARICK, ROSENBLATT, READ and R.S. SMITH concur.

Judgment appealed from and order of the Appellate Division brought up for review modified, etc.

[825 NE2d 590, 792 NYS2d 375]

DOUGLAS BOLES et al., Plaintiffs, v DORMER GIANT, INC., Doing Business as DORMERS ARE US, Defendant and Third-Party Plaintiff-Appellant. PERSONAL TOUCH HOME IMPROVEMENTS, INC., Third-Party Defendant-Respondent.

Argued January 11, 2005; decided February 22, 2005

SUMMARY

APPEAL, by permission of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Second Judicial Department, entered March 8, 2004. The Appellate Division order, insofar as appealed from, affirmed so much of an order of the Supreme Court, Nassau County (Edward W. McCarty III, J.), as had granted the third-party defendant's motion for summary judgment dismissing the third-party complaint.

Boles v Dormer Giant, Inc., 5 AD3d 417, reversed.

HEADNOTE

Workers' Compensation — Third-Party Action — Grave Injury

Workers' Compensation Law § 11, which limits an employer's liability to third parties for contribution or indemnity to those cases of workplace injury where its employee has suffered a grave injury, does not shield an employer that has failed to secure workers' compensation for its injured employee, as required by Workers' Compensation Law § 10. The term ''an employer'' as used in the portion of section 11 that limits an employer's third-party liability means employers that comply with section 10 and secure workers' compensation for their employees. The Legislature could not have intended to extend section 11's negotiated protections from third-party liability to scofflaws, which would be unfair to law-abiding employers and might discourage compliance with section 10.

TOTAL CLIENT-SERVICE LIBRARY® REFERENCES

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AM JUR 2d, Workers' Compensation §§ 457, 458.
MCKINNEY'S, Workers' Compensation Law §§ 10, 11.
NY JUR 2d, Workers' Compensation §§ 103, 104.

ANNOTATION REFERENCE

Modern status of effect of state workmen's compensation act on right of third-person tortfeasor to contribution or indemnity from employer of injured or killed workman. 100 ALR3d 350.

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POINTS OF COUNSEL

Baxter & Smith, P.C., Jericho (*Sim R. Shapiro* and *Robert C. Baxter* of counsel), for third-party plaintiff-appellant. I. Since third-party defendant-respondent did not purchase workers' compensation insurance for its employee, Douglas Boles, it is not entitled to the benefit of the statutory bar of third-party actions pursuant to Workers' Compensation Law § 11. (*Castro v United Container Mach. Group,* 96 NY2d 398; *Dole v Dow Chem. Co.,* 30 NY2d 143; *Barbieri v Mount Sinai Hosp.,* 264 AD2d 1.) II. Since the court of original jurisdiction for the determination of the employer-employee relationship is the Workers' Compensation Board, this matter should be remanded to the Workers' Compensation Board for the purpose of determining whether Douglas Boles was an employee or independent contractor of Personal Touch Home Improvements, Inc. (*Botwinick v Ogden,* 59 NY2d 909; *Calhoun v Big Apple Wrecking Corp.,* 162 AD2d 574; *Decavallas v Pappantoniou,* 300 AD2d 617; *O'Rourke v Long,* 41 NY2d 219; *Matter of Wint v Hotel Waldorf Astoria,* 251 AD2d 696; *Karakaya v Better Energy Group,* 201 AD2d 419; *Oro v General Motors Corp.,* 277 AD2d 437.)

Shayne, Dachs, Stanisci, Corker & Sauer, Mineola (*Norman H. Dachs* of counsel), for third-party defendant-respondent. I. The statutory exemption is applicable notwithstanding Personal Touch Home Improvement, Inc.'s failure to purchase workers' compensation coverage. (*American Tr. Ins. Co. v Sartor,* 3 NY3d 71; *Matter of Chemical Specialties Mfrs. Assn. v Jorling,* 85 NY2d 382; *Majewski v Broadalbin-Perth Cent. School Dist.,* 91 NY2d 577; *Dole v Dow Chem. Co.,* 30 NY2d 143; *Lawrence Constr. Corp. v State of New York,* 293 NY 634; *Desiderio v Ochs,* 100 NY2d 159; *Pajak v Pajak,* 56 NY2d 394; *Bay Shore Family Partners v Foundation of Jewish Philanthropies of Jewish Fedn. of Greater Fort Lauderdale,* 239 AD2d 373; *Todisco v Econopouly,* 155 AD2d 441; *People v Chapman,* 69 NY2d 497.) II. The issue of plaintiff's status was properly determined by the lower courts in this action and should not be reviewed by this Court. (*Scheemaker v State of New York,* 70 NY2d 985; *Murray v City of New York,* 43 NY2d 400; *Shine v Duncan Petroleum Transp.,* 60 NY2d 22; *Levine v State of New York,* 105 AD2d 289; *O'Rourke v Long,* 41 NY2d 219; *Botwinick v Ogden,* 59 NY2d 909; *Matter of Hertz Corp. [Commissioner of Labor],* 2 NY3d

733; *Laverne v Incorporated Vil. of Laurel Hollow,* 18 NY2d 635; *Sabato v New York Life Ins. Co.,* 259 AD2d 535; *Long v Danforth Co.,* 236 AD2d 781.)

OPINION OF THE COURT

READ, J.

Workers' Compensation Law § 11 limits an employer's liability to third parties for contribution or indemnity to those cases of workplace injury where its employee has suffered a grave injury. This appeal calls upon us to decide whether section 11 shields an employer that has failed to secure workers' compensation for its injured employee. For the reasons that follow, we conclude that such an employer does not enjoy the protection from third-party liability afforded by section 11.

I.

On April 5, 2001, plaintiff Douglas Boles was installing vinyl siding on a two-story one-family house when the scaffold on which he was standing collapsed, causing him to fall eight feet to the ground and suffer a crush injury of his right foot with multiple fractures, ankle dislocation and related nerve damage. The homeowners on whose house plaintiff was installing the siding had hired the Dormer Giant, Inc., doing business as Dormers Are Us, as their general contractor for this remodeling project. Dormer Giant subcontracted the siding work to Personal Touch Home Improvements, Inc., and plaintiff was working for Personal Touch at the time of his accident.

Plaintiff, with his wife suing derivatively, commenced a personal injury action against Dormer Giant, the general contractor. Dormer Giant, in turn, brought a third-party action against the subcontractor, Personal Touch, seeking, among other things, common-law indemnification and contribution. When plaintiff moved for partial summary judgment on liability under Labor Law § 240 (1), Personal Touch cross-moved against Dormer Giant for summary judgment to dismiss the third-party complaint on the basis that Dormer Giant's claim for common-law indemnification and contribution was barred by Workers' Compensation Law § 11. Dormer Giant opposed the motion, arguing that section 11 did not apply because plaintiff was a self-employed, independent contractor, not an employee of Personal Touch; or, alternatively, that section 11 did not bar the third-party action because Personal Touch had failed to secure workers' compensation for plaintiff.

Supreme Court granted plaintiff's motion for partial summary judgment "to the extent that it shall be deemed resolved that [Dormer Giant's] violation of Labor Law [§] 240 (1) was the sole proximate cause of plaintiff's fall"; and granted Personal Touch's cross motion for summary judgment dismissing the third-party complaint. The trial court held that there was "no real question but that plaintiff was an employee of [Personal Touch] and [Dormer Giant's] claims are barred by [section 11]."

On appeal, Dormer Giant argued that plaintiff was not an employee of Personal Touch or, alternatively, that the question of whether he was an employee should have been determined initially by the Workers' Compensation Board, not the courts;[1] and that, in any event, plaintiff's use of a makeshift scaffold was the sole proximate cause of his fall. Dormer Giant also again contended that Personal Touch should not benefit from the protection of section 11 of the Workers' Compensation Law because it did not secure workers' compensation for plaintiff.

The Appellate Division affirmed (5 AD3d 417 [2d Dept 2004]), concluding that Dormer Giant had failed to raise a triable issue of fact as to its liability under the Labor Law; that Personal Touch was plaintiff's employer; and that plaintiff did not sustain a "grave injury" within the meaning of Workers' Compensation Law § 11. Opining that the "statutory bar [under section 11], unlike the bar on personal injury actions by employees, is not affected by the failure of Personal Touch to secure the payment of workers' compensation for [plaintiff]" (*id.* at 418-419), the Appellate Division affirmed Supreme Court's dismissal of Dormer Giant's third-party complaint against Personal Touch. We granted Dormer Giant's motion for leave to appeal the dismissal, and now reverse.

II.

Section 10 (1) of the Workers' Compensation Law provides that "[e]very employer subject to this chapter shall . . . secure compensation to his employees and pay or provide compensation for their disability or death from injury arising out of and in the course of the employment without regard to fault as a cause of the injury . . . ."

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1. Because Dormer Giant did not raise this alternative argument until its brief in the Appellate Division, it is unpreserved for our review (*see Parkin v Cornell Univ.*, 78 NY2d 523, 530-531 [1991]; *McMillan v State of New York*, 72 NY2d 871 [1988]).

Section 11, entitled ''Alternative Remedy,'' is composed of several undesignated paragraphs, the first of which specifies that

> ''[t]he liability of an employer prescribed by [section 10] shall be exclusive and in place of any other liability whatsoever, to such employee . . . or any person otherwise entitled to recover damages, contribution or indemnity . . . *except that if an employer fails to secure the payment of compensation for his or her injured employees and their dependents as provided in section fifty of this chapter,*[2] *an injured employee . . . may, at his or her option, elect to claim compensation under this chapter, or to maintain an action in the courts for damages on account of such injury* . . .'' (emphasis added).

This provision derives from section 11 in the original Workers' Compensation Law enacted in 1913 (*see* L 1913, ch 816; *see also* L 1922, ch 615). The emphasized wording has changed hardly at all and its substance has remained unchanged in the ensuing decades.

The third paragraph of section 11 was enacted in 1996 as part of the Omnibus Workers' Compensation Reform Act. This paragraph provides that ''[a]n employer shall not be liable for contribution or indemnity to any third person based upon liability for injuries sustained by an employee acting within the scope of his or her employment,'' unless the employee suffered a ''grave injury'' as defined by the statute.

Personal Touch emphasizes that the first paragraph of section 11 expressly authorizes an injured employee to sue an employer that fails to secure workers' compensation. Pointing out that this is the singular so-called ''exception'' in section 11, Personal Touch reasons that the Legislature did not similarly intend to condition an employer's immunity from third-party liability on the securing of workers' compensation. Dormer Giant takes the position that an employer may not benefit from section 11's protections against third-party liability unless it first complies with section 10 and secures workers' compensation for its employees. We agree with Dormer Giant.

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2. Section 50 specifies three options for an employer to provide for payment of workers' compensation benefits to its employees: a workers' compensation insurance policy purchased from an insurance company authorized by the Superintendent of Insurance to provide this coverage; a policy purchased from the State Insurance Fund; and self-insurance as authorized by the Chair of the Workers' Compensation Board.

Long after the Workers' Compensation Law was originally enacted, we decided *Dole v Dow Chem. Co.* (30 NY2d 143 [1972]), which recognized the right of a third party to seek contribution or indemnity from an employer for its employees' on-the-job injuries. In adopting the third paragraph of section 11 in 1996, the Legislature sought to reduce employers' insurance premiums by restricting such third-party suits to those situations where the employee suffered a "grave injury" (*see Majewski v Broadalbin-Perth Cent. School Dist.*, 91 NY2d 577, 584-585 [1998]). As we observed in *Castro v United Container Mach. Group* (96 NY2d 398, 401-402 [2001], quoting Governor's Mem approving L 1996, ch 635, 1996 NY Legis Ann at 460), the 1996 legislation was the result of a conscious deal struck between labor and management: "[T]he bill restores the basis of the bargain between business and labor—that workers obtain necessary medical care benefits and compensation for workplace injuries regardless of fault while employers obtain a degree of economic protection from devastating lawsuits." Indeed, "[t]he central component of the reform initiative was relief in the form of immunization from tort liability to employers . . . *who provide workers' compensation coverage*" (*Castro*, 96 NY2d at 401 [emphasis added]).

In view of the deal struck between labor and management in 1996 and the Legislature's desire to revive the statute's original purpose, we read the term "[a]n employer" in the third paragraph of section 11 to mean employers that comply with section 10 and secure workers' compensation for their employees. This is consistent with the first paragraph of section 11, which conditions an employer's protection from employee lawsuits—the employer's only potential tort exposure for an employee's workplace injuries prior to *Dole*—on the securing of workers' compensation for its employees.

Under Personal Touch's reading of the statute, an employer would have had exposure to third-party liability under *Dole* when workers' compensation was not secured for the injured employee, and the 1996 legislation freed the noncompliant employer from such tort liability. This proposition makes no sense. Employers that do not secure workers' compensation for their employees are not holding up their end of the bargain between business and labor that undergirds section 11. The Legislature cannot have intended to extend the statute's heavily negotiated protections from third-party liability to scofflaws, which would be unfair to law-abiding employers and might discourage compliance with section 10.

Accordingly, the order of the Appellate Division should be reversed, with costs, and third-party defendant Personal Touch's motion for summary judgment dismissing the third-party complaint should be denied.

Chief Judge KAYE and Judges G.B. SMITH, CIPARICK, GRAFFEO and R.S. SMITH concur; Judge ROSENBLATT taking no part.

Order reversed, etc.

[825 NE2d 1081, 792 NYS2d 887]

THE PEOPLE OF THE STATE OF NEW YORK, Respondent, v RANDOLFO CATU, Appellant.

Argued February 15, 2005; decided March 24, 2005

SUMMARY

APPEAL, by permission of an Associate Judge of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the First Judicial Department, entered December 23, 2003. The Appellate Division affirmed (1) a judgment of the Supreme Court, New York County (Carol Berkman, J.), which had convicted defendant, upon his plea of guilty, of attempted robbery in the second degree and operating a motor vehicle while under the influence of alcohol, and (2) an order of that court (*see* 193 Misc 2d 623) which had denied defendant's motion to vacate his conviction.

People v Catu, 2 AD3d 306, reversed.

HEADNOTE

Crimes — Plea of Guilty — Failure to Advise Defendant of Postrelease Supervision

Inasmuch as a defendant pleading guilty to a determinate sentence must be aware of the postrelease supervision component of that sentence in order to knowingly, voluntarily and intelligently choose among alternative courses of action, the failure to advise defendant that his sentence included a mandatory period of five years' postrelease supervision required that his plea be vacated. While a trial court has no obligation to explain to defendants who plead guilty the possibility that collateral consequences may attach to their criminal convictions, the court must advise a defendant of the direct consequences of the plea. A direct consequence is one which has a definite, immediate and largely automatic effect on defendant's punishment. Postrelease supervision is a direct consequence of a criminal conviction.

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AM JUR 2d, Criminal Law §§ 668, 669, 679.

CARMODY-WAIT 2d, Criminal Procedure §§ 172:1594, 172:1608.

LAFAVE, ET AL., CRIMINAL PROCEDURE (3d ed) §§ 21.4, 21.5.

NY JUR 2d, Criminal Procedure §§ 1356, 1396, 1399.

ANNOTATION REFERENCE

See ALR Index under Guilty Plea.

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POINTS OF COUNSEL

Kevin J. Keating, Garden City, and *Laurie S. Hershey* for appellant. I. As mandatory postrelease supervision is a direct consequence of a guilty plea, the absence of any advisement that the plea subjected appellant to this five-year term of supervision—with the possibility of significant further incarceration—violated appellant's due process rights. Further, the harmless error doctrine should have no application to the failure to advise defendants of significant direct consequences of their pleas. (*North Carolina v Alford,* 400 US 25; *Boykin v Alabama,* 395 US 238; *People v Ford,* 86 NY2d 397; *Brady v United States,* 397 US 742; *People v Loudenslager,* 2 AD3d 1220; *People v Grose,* 2 AD3d 1211; *People v Hamilton,* 6 AD3d 979; *Ferguson v United States,* 513 F2d 1011; *People v Selikoff,* 35 NY2d 227, 419 US 1122; *Santobello v New York,* 404 US 257.) II. Trial counsel was ineffective in failing to inform appellant about postrelease supervision before he entered his guilty plea. (*Hill v Lockhart,* 474 US 52; *McMann v Richardson,* 397 US 759; *United States v Gordon,* 156 F3d 376; *People v Butler,* 94 AD2d 726; *Ventura v Meachum,* 957 F2d 1048; *Nelson v Callahan,* 721 F2d 397; *Strickland v Washington,* 466 US 668; *People v Benevento,* 91 NY2d 708; *People v Baldi,* 54 NY2d 137.)

Robert M. Morgenthau, District Attorney, New York City (*Beth Fisch Cohen* and *Donald J. Siewert* of counsel), for respondent. I. Defendant's guilty plea was knowing and voluntary, notwithstanding the absence of specific information about postrelease supervision. The motion to vacate judgment was properly denied since defendant failed to establish that he would have proceeded to trial had he been informed about the supervision. (*People v Ford,* 86 NY2d 397; *People v Harris,* 61 NY2d 9; *Boykin v Alabama,* 395 US 238; *North Carolina v Alford,* 400 US 25; *People v Fiumefreddo,* 82 NY2d 536; *People v Latham,* 90 NY2d 795; *People v Kingston,* 246 AD2d 316; *People v Mitchell,* 121 AD2d 403; *People v Edwards,* 96 AD2d 610; *People v Sirianni,* 89 AD2d 775.) II. Defendant received effective assistance of counsel with regard to his guilty plea. (*Strickland v Washington,* 466 US 668; *People v McDonald,* 1 NY3d 109; *Hill v Lockhart,* 474 US 52; *People v Henry,* 95 NY2d 563; *People v Benevento,* 91 NY2d 708;

People v Baldi, 54 NY2d 137; *People v Ford,* 86 NY2d 397; *Ventura v Meachum,* 957 F2d 1048.)

OPINION OF THE COURT

Chief Judge KAYE.

Indicted for robbery in the second degree, feloniously operating a motor vehicle while under the influence of alcohol and related charges, defendant pleaded guilty to attempted robbery in the second degree and operating a motor vehicle while under the influence of alcohol, as a felony, in exchange for an aggregate determinate sentence of three years in state prison and a $1,000 fine. Because defendant was a second felony offender, his sentence included a mandatory period of five years' postrelease supervision, of which he was not advised by the court. We conclude that this failure to advise defendant of a direct consequence of his conviction requires that his plea be vacated.

While a trial court has no obligation to explain to defendants who plead guilty the possibility that collateral consequences may attach to their criminal convictions, the court must advise a defendant of the direct consequences of the plea (*see People v Ford*, 86 NY2d 397 [1995]). Collateral consequences "are peculiar to the individual and generally result from the actions taken by agencies the court does not control" (*id.* at 403). A direct consequence "is one which has a definite, immediate and largely automatic effect on defendant's punishment" (*id.*).

Postrelease supervision is a direct consequence of a criminal conviction. In eliminating parole for all violent felony offenders in 1998, the Legislature enacted a scheme of determinate sentencing to be followed by periods of mandatory postrelease supervision (*see* L 1998, ch 1 [Jenna's Law]), and defined each determinate sentence to "also include[ ], as a part thereof, an additional period of post-release supervision" (Penal Law § 70.45 [1]; *see also* Senate Mem in Support, 1998 McKinney's Session Laws of NY, at 1489 [describing postrelease supervision as "a distinct but integral part of the determinate sentence"]). Whereas the term of supervision to be imposed may vary depending on the degree of the crime and the defendant's criminal record (*see* Penal Law § 70.45 [2]), imposition of supervision is mandatory and thus "has a definite, immediate and largely automatic effect on defendant's punishment."

"A trial court has the constitutional duty to ensure that a defendant, before pleading guilty, has a full understanding of what the plea connotes and its consequences'' (*Ford*, 86 NY2d at 402-403 [citations omitted]). Although the court is not required to engage in any particular litany when allocuting the defendant, ''due process requires that the record must be clear that the plea represents a voluntary and intelligent choice among the alternative courses of action open to the defendant'' (*id.* at 403 [citations and internal quotation marks omitted]).

Postrelease supervision is significant. Upon release from the underlying term of imprisonment, a defendant must be furnished with a written statement setting forth the conditions of postrelease supervision in sufficient detail to provide for the defendant's conduct and supervision (*see* Penal Law § 70.45 [3]). In addition to supervision by and reporting to a parole officer, postrelease supervision may require compliance with any conditions to which a parolee may be subject (*see id.*), including, for example, a curfew, restrictions on travel, and substance abuse testing and treatment. Moreover, postrelease supervision may require up to six months of participation in a residential treatment facility immediately following release from the underlying term of imprisonment (*see id.*; Correction Law § 2 [6]). A violation of a condition of postrelease supervision can result in reincarceration for at least six months and up to the balance of the remaining supervision period, not to exceed five years (*see* Penal Law § 70.45 [1]).

Because a defendant pleading guilty to a determinate sentence must be aware of the postrelease supervision component of that sentence in order to knowingly, voluntarily and intelligently choose among alternative courses of action, the failure of a court to advise of postrelease supervision requires reversal of the conviction. The refusal of the trial court and Appellate Division to vacate defendant's plea on the ground that he did not establish that he would have declined to plead guilty had he known of the postrelease supervision was therefore error (*see also People v Coles*, 62 NY2d 908, 910 [1984] [''harmless error rules were designed to review trial verdicts and are difficult to apply to guilty pleas'']).

In light of this result, we do not reach defendant's alternative claim of ineffective assistance of counsel.

Accordingly, the order of the Appellate Division should be reversed and the case remitted to Supreme Court for further proceedings in accordance with this opinion.

Judges G.B. Smith, Ciparick, Rosenblatt, Graffeo, Read and R.S. Smith concur.

Order reversed, etc.

[826 NE2d 802, 793 NYS2d 831]

In the Matter of Diamond Waterproofing Systems, Inc., Appellant, v 55 Liberty Owners Corp., Respondent.

Argued February 8, 2005; decided March 24, 2005

SUMMARY

Appeal, by permission of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the First Judicial Department, entered March 23, 2004. The Appellate Division (1) reversed, on the law, a judgment of the Supreme Court, New York County (Robert D. Lippmann, J.), which had granted the petition for a permanent stay of arbitration and denied respondent's cross motion to dismiss the petition, (2) denied the petition for a stay of arbitration, (3) granted the cross motion, and (4) dismissed the petition.

Matter of Diamond Waterproofing Co. v 55 Liberty Owners Corp., 6 AD3d 101, affirmed.

HEADNOTES

Arbitration — Matters Arbitrable — Federal Arbitration Act

1. The Federal Arbitration Act (9 USC § 1 *et seq*. [FAA]) was applicable to a dispute which arose out of the parties' construction contract inasmuch as the contract had an effect on interstate commerce. The parties had agreed to submit ''[a]ny controversy or Claim arising out of or related to the Contract'' for arbitration. The FAA provides that a written arbitration provision in ''a contract evidencing a transaction *involving commerce* . . . shall be valid, irrevocable, and enforceable, save upon such grounds as exist at law or in equity for the revocation of any contract'' (9 USC § 2 [emphasis added]). The Supreme Court has interpreted the words ''involving commerce'' as the functional equivalent of the phrase ''affecting commerce.'' The project here affected interstate commerce because numerous out-of-state entities were involved in the transaction and various materials, equipment and services for the project were obtained from other states.

Arbitration — Timeliness of Demand for Arbitration — Federal Arbitration Act

2. In a contract dispute subject to the Federal Arbitration Act (9 USC § 1 *et seq*. [FAA]), the issue of whether respondent's demand for arbitration of the parties' dispute was timely was for the arbitrator to determine. Under the FAA, the timeliness of an arbitration demand should generally be resolved by the arbitrator, but an exception to this rule exists where parties explicitly agree to leave timeliness issues to the court. A choice of law provision which states that New York law shall govern both the agreement and its enforcement adopts as binding New York's rule that threshold statute of limitations questions are for the courts. Here, the parties had agreed to submit ''[a]ny controversy or Claim arising out of or related to the Contract'' for arbitration, and their choice of law provision provided only that ''[t]he Contract shall be

governed by the law of the place where the Project is located.'' The parties did not express an intent to have New York law govern their agreement's enforcement.

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Am Jur 2d, Alternative Dispute Resolution §§ 55, 112, 115.
Carmody-Wait 2d, Arbitration §§ 141:40, 141:47, 141:57, 141:61, 141:74.
McKinney's, CPLR 7503 (c).
NY Jur 2d, Arbitration and Award §§ 8, 32, 50, 51.
Siegel, NY Prac §§ 588, 592.
9 USCA § 1 *et seq*.

ANNOTATION REFERENCE

Pre–emption by Federal Arbitration Act (9 USCA § 1 *et seq*.) of state laws prohibiting or restricting formation or enforcement of arbitration agreement. 108 ALR Fed 179.

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POINTS OF COUNSEL

Ira L. Hyams, P.C., Somers (*Ira L. Hyams* of counsel), for appellant. I. The Federal Arbitration Act does not govern the dispute involved in this proceeding. (*Allied-Bruce Terminix Cos., Inc. v Dobson,* 513 US 265; *Citizens Bank v Alafabco, Inc.,* 539 US 52.) II. Even if the Federal Arbitration Act applies, the statute of limitations issue is to be determined by the Court. (*Matter of Smith Barney, Harris Upham & Co. v Luckie,* 85 NY2d 193, *cert denied sub nom. Manhard v Merrill Lynch, Pierce, Fenner & Smith, Inc.,* 516 US 811; *Matter of Smith Barney Shearson v Sacharow,* 91 NY2d 39; *John Hancock Life Ins. Co. v Wilson,* 254 F3d 48; *Bensadoun v Jobe-Riat,* 316 F3d 171.) III. 55 Liberty Owners Corp.'s arbitration was commenced after the expiration of the statute of limitations. (*Video Corp. of Am. v Flatto Assoc.,* 58 NY2d 1026; *Phillips Constr. Co. v City of New York,* 61 NY2d 949; *State of New York v Lundin,* 60 NY2d 987; *Cabrini Med. Ctr. v Desina,* 64 NY2d 1059; *Inner City Drywall Corp. v Reliance Ins. Co. of N.Y.,* 263 AD2d 438.) IV. The demand for arbitration served on Diamond Waterproofing Systems, Inc. on February 10, 2003 does not relate back to the demand for arbitration served on Diamond Waterproofing Co., Inc. on September 20, 2002. (*Mondello v New York Blood Ctr.—Greater N.Y. Blood Program,* 80 NY2d 219; *Valmon v 4 M & M Corp.,* 291 AD2d 343, 98 NY2d 611; *Mercer v 203 E. 72nd St. Corp.,* 300 AD2d 105; *Achtziger v Fuji Copian Corp.,* 299 AD2d 946; *Goldman v City of New York,* 287 AD2d 689; *Wilson v City of Buffalo,* 298 AD2d 994; *Connell v Hayden,* 83 AD2d 30; *Matter of Morris v New York State Dept. of Taxation & Fin.,* 82 NY2d 135; *First Capital Asset Mgt. v N.A. Partners,* 300 AD2d 112; *Aetna Elec. Distrib. Co. v Homestead Elec.,* 279 AD2d 541.) V. If the Court directs the arbitration to proceed, the Court should limit the arbitration to those items that were not finished at the time of substantial completion. (*Bensadoun v Jobe-Riat,* 316 F3d 171; *Merrill Lynch, Pierce, Fenner & Smith v Barchman,* 916 F Supp 845.) VI. The Appellate Division committed prejudicial error when it issued prejudicial dicta making it impossible for Diamond Waterproofing Systems, Inc. to obtain a fair hearing from the arbitrator on the statute of limitations issue. (*Chance v Guaranty Trust Co. of N.Y.,* 164 Misc 346, 251 App Div 855.)

Anderson & Ochs, LLP, New York City (*Steven S. Anderson* and *Jason A. Stern* of counsel), for respondent. I. The Appellate Division properly held that the Federal Arbitration Act is applicable, and that, as such, all timeliness issues are reserved for arbitration. (*Allied-Bruce Terminix Cos., Inc. v Dobson,* 513 US 265; *Howsam v Dean Witter Reynolds, Inc.,* 537 US 79; *Matter of Rederi [Dow Chem. Co.],* 25 NY2d 576, 398 US 939; *Matter of Smith Barney Shearson v Sacharow,* 91 NY2d 39; *Hamershlag, Kempner & Co. v Oestrich,* 234 AD2d 172; *Citizens Bank v Alafabco, Inc.,* 539 US 52; *Perry v Thomas,* 482 US 483; *Southland Corp. v Keating,* 465 US 1; *Matter of Ayco Co. [Walton],* 3 AD3d 635; *Sears Roebuck & Co. v Glenwal Co.,* 325 F Supp 86, 442 F2d 1350.) II. The Appellate Division properly found that—even if the statute of limitations issue was one for the courts—the proceeding below should not have been dismissed as untimely commenced. (*Buran v Coupal,* 87 NY2d 173; *Schiavone v Victory Mem. Hosp.,* 300 AD2d 294; *Austin v Interfaith Med. Ctr.,* 264 AD2d 702; *Schiavone v Fortune,* 477 US 21; *Brock v Bua,* 83 AD2d 61; *Mercer v 203 E. 72nd St. Corp.,* 300 AD2d 105; *Valmon v 4 M & M Corp.,* 291 AD2d 343; *Achtziger v Fuji Copian Corp.,* 299 AD2d 946; *Mondello v New York Blood Ctr.—Greater N.Y. Blood Program,* 80 NY2d 219; *Goldman v City of New York,* 287 AD2d 689.)

OPINION OF THE COURT

CIPARICK, J.

[1, 2] On this appeal, the issues presented are whether the Federal Arbitration Act (9 USC § 1 *et seq*. [FAA]) governs the parties' contract dispute and, if so, whether the question as to the timeliness of the subject arbitration demand is an issue for the arbitrator or the courts. We conclude that the FAA is applicable here as the contract had an effect on interstate commerce. We further conclude that the timeliness question and all other related questions are for the arbitrator to determine because the contract's choice of law provision does not provide that New York law shall govern the enforcement of the parties' agreement.

I.

Petitioner Diamond Waterproofing Systems, Inc. (Diamond Systems) is a corporation primarily engaged in the business of waterproofing, masonry and related trades. Respondent 55 Liberty Owners Corp. is a cooperative that owns a nationally landmarked residential building located in Manhattan. On May 5, 1995, these parties entered into a contract pursuant to which Diamond Systems would repair and reconstruct the entire facade and roof of Liberty's building. Under the contract, they agreed to submit "[a]ny controversy or Claim arising out of or related to the Contract" for arbitration. The contract further provided that "[it] shall be governed by the law of the place where the Project is located."

By October 1996, Diamond Systems had finished its work on the project. However, following the World Trade Center attacks of September 11, 2001, an engineering inspection of the building revealed cracks on the facade that were not present when the project was completed. Consequently, on September 20, 2002, Liberty served a demand for arbitration on nonparty Diamond Waterproofing Company, Inc. (Diamond Company) for breach of contract and negligence.* The statement of claim sought damages "in an amount currently unknown but equal to . . . the cost of restoring and repairing the facade and underlying supports of the Building." In response, Diamond Company sought to permanently stay arbitration pursuant to CPLR 7503,

* Diamond Company and Diamond Systems are separate corporations. However, both corporations engage in the same trade, share a business address, telephone and fax numbers and are supervised by the same president and chief executive officer, Joseph Soehngen.

contending that it was not a party to the subject contract and that the demand failed to advise that it had 20 days to make an objection. Supreme Court granted the stay, and subsequently denied Liberty's motion for leave to reargue and renew Diamond Company's application.

On February 10, 2003, Liberty commenced a new arbitration proceeding naming Diamond Systems as the proper respondent. Diamond Systems then petitioned for a permanent stay on the ground that the demand for arbitration was barred pursuant to the six-year statute of limitations set forth in CPLR 213 (2). Diamond Systems contended that because its work on the project was substantially completed on September 18, 1996 and fully completed by October 10, 1996, the February 2003 demand for arbitration was untimely. Liberty cross-moved to dismiss the petition, arguing that the FAA governed this action and that the issue of timeliness was for the arbitrator to determine. Liberty further argued that its demand against Diamond Systems was timely under the relation-back doctrine.

Supreme Court granted Diamond Systems' petition and denied the cross motion. The court reasoned that Liberty's reliance on the FAA was misplaced as the parties did not agree to arbitrate and no substantial nexus existed between the project and interstate commerce for purposes of applying the FAA. The Appellate Division reversed, denied Diamond Systems' petition for a permanent stay of arbitration, granted Liberty's cross motion and dismissed the petition. The Court held that the FAA is applicable to this dispute ''since the subject project 'affected' interstate commerce'' (6 AD3d 101, 104 [2004]), and that Supreme Court erred in employing the substantial nexus test to hold otherwise. The Court concluded therefore that under the FAA the timeliness issue was one for the arbitrator, not the courts. We granted Diamond Systems' motion for leave to appeal, and now affirm.

II.

Diamond Systems and Liberty first dispute whether a sufficient nexus with interstate commerce exists to establish FAA coverage of their contract. The courts below were split as to what test should be employed, Supreme Court applying the more stringent substantial effect on interstate commerce standard and the Appellate Division applying the more generous ''affects'' test. In determining which standard controls, we turn to the language of the Act and United States Supreme Court cases interpreting the statute.

The FAA provides that a written arbitration provision in "a contract evidencing a transaction *involving commerce* . . . shall be valid, irrevocable, and enforceable, save upon such grounds as exist at law or in equity for the revocation of any contract" (9 USC § 2 [emphasis added]). The Supreme Court has interpreted the words "involving commerce" as the functional equivalent of the phrase "affecting commerce," which ordinarily signals Congress' intent to exercise its Commerce Clause powers to the fullest extent (*see Allied-Bruce Terminix Cos., Inc. v Dobson*, 513 US 265, 273-274 [1995]). Thus, where a contract containing an arbitration provision "affects" interstate commerce, disputes arising thereunder are subject to the FAA. To be sure that the FAA is applicable to those transactions that have an effect on interstate commerce, the Supreme Court has recently reaffirmed the validity of *Allied-Bruce* (*see Citizens Bank v Alafabco, Inc.*, 539 US 52, 53 [2003]; *see also Wien & Malkin, LLP v Helmsley-Spear, Inc.*, 300 AD2d 32, 33 [1st Dept 2002], *lv denied* 99 NY2d 511 [2003], *revd and remanded* 540 US 801, 801 [2003]).

We conclude that the project here affected interstate commerce, triggering application of the FAA. Numerous out-of-state entities were involved in the transaction. The project manual and the engineer's drawings were created in a joint effort with a structural engineering firm headquartered in Illinois. Diamond Systems' largest supplier of materials for the project, MJM Studios, Inc., was a New Jersey company, and project meetings and visits were often scheduled at MJM's offices. The largest supplier of equipment for the project, Dunlop Equipment, Inc., was a Massachusetts company. Further, various additional materials, equipment and services for the project were obtained from Oklahoma, Maryland and Kansas.

We turn next to the question whether the timeliness of the arbitration demand should be resolved by the arbitrators or the courts. The "presumption is that the arbitrator should decide 'allegation[s] of waiver, delay, or a like defense to arbitrability' " (*see Howsam v Dean Witter Reynolds, Inc.*, 537 US 79, 84 [2002], quoting *Moses H. Cone Mem. Hosp. v Mercury Constr. Corp.*, 460 US 1, 25 [1983]). Questions concerning " 'whether prerequisites such as *time limits*, notice, laches, estoppel, and other conditions precedent to an obligation to arbitrate have been met, are [generally] for the arbitrators to decide' " (*id.* at 85 [citation omitted]).

However, in recognition of the FAA policy that private arbitration agreements be enforced according to their terms (*see Dean*

Witter Reynolds, Inc. v Byrd, 470 US 213, 219 [1985]), an exception to this rule exists where parties explicitly agree to leave timeliness issues to the court (*see Matter of Smith Barney, Harris Upham & Co. v Luckie*, 85 NY2d 193, 201 [1995], *cert denied sub nom. Manhard v Merrill Lynch, Pierce, Fenner & Smith, Inc.*, 516 US 811 [1995]; *see also Howsam,* 537 US at 85). Contracting ''parties are at liberty to include a choice of law provision in their agreement'' expressing an intention to have the courts determine statute of limitations issues (*see Luckie*, 85 NY2d at 201; *see also Matter of Smith Barney Shearson v Sacharow*, 91 NY2d 39, 47-49 [1997]).

It is well settled that where ''parties broadly agree[ ] to arbitrate 'any controversy' '' arising from their contracts, they may—as with any contract—add qualifications to that clause by providing that New York law will govern the agreement and its enforcement (*Luckie*, 85 NY2d at 202). A choice of law provision, which states that New York law shall govern both ''the agreement *and its enforcement*,'' adopts as ''binding New York's rule that threshold Statute of Limitations questions are for the courts'' (*id.*). In the absence of more critical language concerning enforcement, however, all controversies, including issues of timeliness, are subjects for arbitration (*see id.*).

[2] Here, Diamond Systems and Liberty agreed to submit ''[a]ny controversy or Claim arising out of or related to the Contract'' for arbitration. Their choice of law provision provides only that ''[t]he Contract shall be governed by the law of the place where the Project is located.'' The parties did not express an intent to have New York law govern their agreement's enforcement. Therefore, the timeliness issue should be determined by the arbitrator.

In light of our conclusion, the remaining issues—whether the demand for arbitration served on Diamond Systems should relate back to the timely demand on Diamond Company for purposes of timeliness (*see e.g. Buran v Coupal*, 87 NY2d 173 [1995]) and, if so, whether the initial demand is invalid for failure to comply with the requirements of CPLR 7503 (c)—are also reserved for the arbitrator. They are intertwined and dispositive of the statute of limitations issue and thus beyond our reach.

Accordingly, the order of the Appellate Division should be affirmed, with costs.

Chief Judge KAYE and Judges G.B. SMITH, ROSENBLATT, GRAFFEO, READ and R.S. SMITH concur.

Order affirmed, with costs.

[827 NE2d 276, 794 NYS2d 293]

CITY OF NEW YORK, Respondent, v VERIZON NEW YORK, INC., et al., Appellants.

Argued February 16, 2005; decided March 24, 2005

SUMMARY

APPEAL, by permission of the Appellate Division of the Supreme Court in the First Judicial Department, from an order of that Court, entered March 4, 2004. The Appellate Division affirmed, insofar as appealed from, so much of an order of the Supreme Court, New York County (Michael D. Stallman, J.), as had, in an action by the City against public service corporations to recover penalties under Administrative Code of the City of New York § 19-150, denied defendants' motion to dismiss the complaint for failure to state a cause of action. The following question was certified by the Appellate Division: ''Was the order of the Supreme Court, as affirmed by this Court, properly made?''

City of New York v Verizon N.Y., 5 AD3d 130, reversed.

HEADNOTE

Public Utilities — Excavation of Street — Relocation of Overhead Poles and Wires

The complaint should have been dismissed in an enforcement proceeding (*see* Administrative Code of City of NY § 19-150) brought against a public utility which maintained overhead telephone poles and wires in the City of New York, after it failed to promptly comply with an ''order out'' directing it to remove or reconfigure its facilities so that a sewer construction project could begin. Administrative Code § 24-521, which requires utility companies to ''remove or otherwise protect and replace their pipes, mains and conduits, and all fixtures and appliances connected therewith or attached thereto'' when necessary to accommodate public works projects, does not extend to aboveground poles and wires. Insofar as section 24-521, in conjunction with Administrative Code § 19-150, is a penal provision because it imposes civil fines without regard to the City's actual costs, it must be construed narrowly. In the municipal utility setting at issue, the words ''pipes,'' ''mains'' and ''conduits'' should be construed to refer only to underground facilities.

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AM JUR 2d, Public Utilities §§ 13, 40.

NY JUR 2d, Forfeitures and Penalties § 151; NY JUR 2d, Public Utilities § 10; NY JUR 2d, Water § 835.

ANNOTATION REFERENCE

See ALR Index under Utilities.

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Query: public /2 utility & relocat! /s pole wire /s construction

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POINTS OF COUNSEL

Blank Rome LLP, New York City (*Harris N. Cogan, Michael S. Simon, Joseph N. Cordaro* and *Stephen J. Meyer* of counsel), for appellants. Section 24-521 of the Administrative Code of the City of New York, by its plain language, applies exclusively to underground facilities and not to overhead facilities. (*Patrolmen's Benevolent Assn. of City of N.Y. v City of New York,* 41 NY2d 205; *Majewski v Broadalbin-Perth Cent. School Dist.,* 91 NY2d 577; *Rosner v Metropolitan Prop. & Liab. Ins. Co.,* 96 NY2d 475; *Matter of Hernandez v Barrios-Paoli,* 93 NY2d 781; *Matter of Brown v Wing,* 93 NY2d 517; *Matter of Raritan Dev. Corp. v Silva,* 91 NY2d 98; *A.J. Temple Marble & Tile v Union Carbide Marble Care,* 87 NY2d 574; *Matter of Excellus Health Plan, Inc. v Serio,* 2 NY3d 166; *Riley v County of Broome,* 95 NY2d 455; *Matter of Branford House v Michetti,* 81 NY2d 681.)

Michael A. Cardozo, Corporation Counsel, New York City (*Suzanne K. Colt* and *Pamela Seider Dolgow* of counsel), for respondent. Administrative Code of the City of New York § 24-521 (b) does not contain an exemption from the duty to remove utility interferences in city streets in cases where the installations are above ground, and such an exemption should not be read into the statute. Verizon New York, Inc.'s interpretation of the relevant Administrative Code sections as applying only to its underground facilities is contrary both to the Administrative Code's plain language and to its manifest purpose. Thus, the Supreme Court properly denied Verizon's motion to dismiss. (*New Orleans Gas-Light Co. v Louisiana Light & Heat Producing & Mfg. Co.,* 115 US 650; *New York Elec. Lines Co. v Empire City Subway Co.,* 235 US 179; *Transit Commn. v Long Is. R.R. Co.,* 253 NY 345; *New York City Tunnel Auth. v Consolidated Edison Co. of N.Y.,* 295 NY 467; *Matter of Consolidated Edison Co. of N.Y. v Lindsay,* 24 NY2d 309; *Matter of Diamond Asphalt Corp. v Sander,* 92 NY2d 244; *City of New York v Consolidated Edison Co. of N.Y.,* 114 AD2d 217; *Matter of Raritan Dev. Corp. v Silva,* 91 NY2d 98; *Patrolmen's Benevolent Assn. of City of N.Y. v City of New York,* 41 NY2d 205; *Matter of Excellus Health Plan, Inc. v Serio,* 2 NY3d 166.)

Patterson, Belknap, Webb & Tyler LLP, New York City (*Saul

B. Shapiro, Naomi J. Schrag, Kathleen H. Scopp and *Abby F. Strauss* of counsel), for Time Warner Cable of New York City, amicus curiae.

OPINION OF THE COURT

ROSENBLATT, J.

Operating as a penal provision, New York City Administrative Code § 24-521 requires utility companies to relocate certain facilities when necessary to accommodate public works projects. If a utility does not promptly comply with a removal order from the City, the Code subjects the utility to a fine and its executives to possible imprisonment (*see* Administrative Code §§ 19-149, 19-150).

Section 24-521 (a) states that ''[w]henever any sewer, culvert, water main or pipe is to be constructed, altered or repaired in any street in which the pipes, mains or conduits of public service corporations are laid, the contractor therefor shall give notice thereof in writing to such corporations, at least forty-eight hours before breaking ground therefor.'' The statute goes on to provide that when utilities receive notice, they must ''remove or otherwise protect and replace their pipes, mains and conduits, and all fixtures and appliances connected therewith or attached thereto'' (Administrative Code § 24-521 [b]). We are called upon to interpret section 24-521 and determine whether it extends to aboveground poles and wires.

Verizon New York, Inc., a public utility, maintains overhead telephone poles and wires in the City of New York. The City hired a contractor to build sewers in Queens. In December 2000, the contractor notified Verizon that certain facilities (aboveground telephone poles and wires) had to be relocated to make way for the construction scheduled to begin the following month. The contractor and Verizon could not agree on a plan for removing the facilities. On February 5, 2001, the City's Department of Design and Construction issued an ''order out'' directing Verizon to remove or reconfigure its facilities so the sewer project could begin. Verizon complied 103 days late, after it had negotiated a price for the work. The City assessed a penalty of $515,000 against Verizon—$5,000 for each day it was late in complying with the order out—as provided by Administrative Code § 19-150, and then brought this enforcement proceeding in Supreme Court.

Verizon moved to dismiss, arguing that Administrative Code § 24-521 does not apply to aboveground facilities. Disagreeing, the court denied the motion. With one Justice dissenting, the Appellate Division affirmed and certified to us the question whether its order was properly made. We conclude that it was not.

Utility companies have a longstanding common-law obligation to move their facilities when they interfere with municipal work projects.[1] In *Transit Commn. v Long Is. R.R. Co.* (253 NY 345, 351 [1930]), this Court explained that a utility's privilege to maintain its facilities came at the cost of ''mak[ing] such changes as the public convenience and security require, at its own cost and charge.''[2] There is, then, absolutely no question that a utility must relocate its facilities and pay for the task.[3]

The question before us is simply whether the City may assess a fine against Verizon based on the text of the Administrative Code. Here, the City did not pursue actual damages that it would be entitled to at common law, but rather relied on a Code provision making a penalty available without regard to actual damages. The language of section 24-521—''pipes, mains and conduits, and all fixtures and appliances connected therewith or attached thereto''—is ambiguous and does not explicitly refer to facilities above or below ground. In the municipal utility setting before us, ''pipes'' and ''mains,'' however, are generally thought of as underground facilities. Perhaps most tellingly, section 24-521 also refers to facilities as being laid ''in any street.'' Statutory language should be read in context. We, therefore, construe the word ''conduits,'' like the other terms in the section, to refer only to underground facilities.

Because section 24-521, in conjunction with section 19-150, is a penal provision, we must construe it narrowly and are not inclined to stretch the Code's text to include telephone poles and aboveground wires. This Court has long held that ''[a] statute awarding a penalty is to be strictly construed, and before a recovery can be had a case must be brought clearly within its

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1. *See e.g. Matter of Deering*, 93 NY 361, 362 (1883); *Chicago, Burlington, & Quincy Ry. Co. v People of State of Ill.*, 200 US 561, 587 (1906).

2. *See also New York City Tunnel Auth. v Consolidated Edison Co. of N.Y.*, 295 NY 467, 474-475 (1946); *Matter of Diamond Asphalt Corp. v Sander*, 92 NY2d 244, 249 (1998), *rearg denied* 92 NY2d 921 (1998).

3. As Supreme Court observed, a utility may hire the City's contractor to perform the necessary interference work, hire its own contractor, or do the work itself, but it may not leave interfering facilities in place and delay projects until it finds the best price for the work (*see also City of New York v Consolidated Edison Co.*, 114 AD2d 217, 220 [1st Dept 1986]).

terms."[4] Indeed, when there is reasonable doubt surrounding the interpretation of a statute, "the party, of whom the penalty is claimed, is to have the benefit of it" (*Goodspeed v Ithaca St. Ry. Co.*, 184 NY 351, 354 [1906]; *see also* McKinney's Cons Laws of NY, Book 1, Statutes § 271).

Section 24-521 operates as a penal statute because it imposes civil fines without regard to the City's actual costs. The City does not argue the penalties are remedial. Indeed, violating the Code provision can lead to jail time (*see* Administrative Code §§ 19-149, 19-150). The City Council may, of course, clarify the Code text as it sees fit. It is not for us, however, to move beyond the four corners of this penal provision to bring Verizon's conduct within its purview.

The order of the Appellate Division should be reversed, with costs, defendants' motion to dismiss granted and the certified question answered in the negative.

Chief Judge Kaye and Judges G.B. Smith, Ciparick, Graffeo and Read concur; Judge R.S. Smith taking no part.

Order reversed, with costs, defendants' motion to dismiss the complaint granted and certified question answered in the negative.

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4. *Osborne v International Ry. Co.*, 226 NY 421, 426 (1919); *see also People v Benc*, 288 NY 318, 323 (1942) (mandating a narrow and strict construction of penal provisions).

[827 NE2d 269, 794 NYS2d 286]

In the Matter of the Estate of BLANCHE D. HUNTER, Deceased. CHASE MANHATTAN BANK, as Trustee of the Trust Under Paragraph EIGHTH (B) of the Will of BLANCHE D. HUNTER, Deceased, for the Benefit of PAMELA TOWNLEY CREIGHTON, Respondent; JUDITH CHINELLO et al., as Administrators C.T.A. of the Estate of PAMELA TOWNLEY CREIGHTON, Deceased, et al., Appellants.

Argued February 10, 2005; decided March 24, 2005

SUMMARY

APPEAL, by permission of the Appellate Division of the Supreme Court in the Second Judicial Department, from an order of that Court, entered March 29, 2004. The Appellate Division modified, on the law, an order of the Surrogate's Court, Westchester County (Anthony A. Scarpino, Jr., S.; op 194 Misc 2d 364), which had, insofar as appealed from, denied those branches of petitioner's motion to dismiss certain objections in a proceeding to settle petitioner's first intermediate account as cotrustee of a testamentary trust. The modification consisted of (1) deleting the provisions of the Surrogate's Court order denying those branches of the petitioner's motion which were to dismiss objection 4, so much of objection 5 as charged the petitioner's predecessor-in-interest with failing to inform and advise the objectant of the risk of maintaining a concentration of Eastman Kodak Company stock in the estate, objection 8 (a) through (f), and so much of objection 8 (g) as charged the petitioner's predecessor-in-interest with failing ''to undertake a formal analysis and establish an investment plan for the Article Eighth A'' trust, and objection 9, and (2) substituting therefor provisions granting those branches of the motion. The Appellate Division affirmed the order as modified. The following question was certified by the Appellate Division: ''Was the opinion and order of this court dated March 29, 2004, properly made?''

Matter of Hunter, 6 AD3d 117, affirmed.

HEADNOTE

Judgments — Res Judicata — Dual Capacity Fiduciary — Effect of Discharge of Future Liability

Inasmuch as the doctrine of res judicata was applicable to judicial proceedings settling an estate and a trust accounting, submitted by the bank that acted both as executor and as trustee, the beneficiary of a second testamentary trust managed by the bank was precluded from raising objections to the fiduciary's actions that could have been raised in prior proceedings. Objectants were precluded from litigating the claims involving the bank's failure, in its capacity as trustee of the second trust, to object to its own voluntary accountings as executor of decedent's estate or as trustee of the first trust. The bank complied with its obligation under SCPA 2210 (10) to notify the beneficiary of the 1977 proceeding to judicially settle the estate account, and in the 1981 accounting to settle the first trust, the bank served the beneficiary with process. The beneficiary failed to challenge the fiduciaries' management of estate assets in either proceeding. The claims objectants now seek to assert were discernible from the documents filed in the prior proceedings; thus, the beneficiary had a full and fair opportunity to raise objections relating to the bank's obligations as executor to diversify the trusts' stockholdings or timely fund the trusts, or as trustee of the first trust to diversify the trust assets—the crux of the present objections. However, the beneficiary's opportunities to raise objections regarding the estate and first trust accounts did not bar objectants from continuing to litigate their claims with respect to the bank's management of the second trust.

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Am Jur 2d, Executors and Administrators §§ 886, 900–903; Am Jur 2d, Judgments §§ 524–526.

Carmody-Wait 2d, Accounting Procedure §§ 166:69–166:72, 166:79, 166:80, 166:199–166:201.

McKinney's, SCPA 2210 (10).

NY Jur 2d, Decedents' Estates §§ 2166, 2168, 2268; NY Jur 2d, Trusts §§ 363, 365.

Siegel, NY Prac § 447.

ANNOTATION REFERENCE

See ALR Index under Executors and Administrators; Res Judicata; Trusts and Trustees.

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POINTS OF COUNSEL

Williams & Williams, Rochester (*Mitchell T. Williams* of counsel), for appellants. I. The objections under review are directed against the paragraph EIGHTH (B) trustee, not against the executor or the paragraph EIGHTH (A) trustee. (*Matter of Smather,* 309 NY 487; *Meinhard v Salmon,* 249 NY 458; *Matter of Parkinson,* 134 Misc 2d 565; *Matter of Menzie,* 54 Misc 188; *Matter of Massimino,* 143 Misc 119; *Continental Ins. Co. v Col-*

angione, 94 AD2d 916; *Julien J. Studley, Inc. v Lefrak,* 66 AD2d 208, 48 NY2d 954; *Weiner v Greyhound Bus Lines,* 55 AD2d 189; *Lipkind v Ward,* 256 App Div 74; *Palmer v Hussey,* 87 NY 303, 119 US 96.) II. The bank and the majority opinion of the Appellate Division render SCPA 2210 (7) meaningless. (*Matter of Parkinson,* 134 Misc 2d 565; *Matter of Ziegler,* 161 Misc 2d 203; *Fisher v Banta,* 66 NY 468.) III. The majority opinion contains certain holdings which find no support in any statute or case law. (*Matter of Ziegler,* 161 Misc 2d 203; *O'Brien v City of Syracuse,* 54 NY2d 353; *Matter of Reilly v Reid,* 45 NY2d 24; *Meinhard v Salmon,* 249 NY 458; *Matter of Leland,* 219 NY 387; *Matter of Shaw,* 186 AD2d 809; *Matter of Marsh,* 179 AD2d 578.) IV. In the prior accounting proceedings Pamela Creighton did not have the opportunity to be heard on her present objections. (*Matter of Alker,* 20 AD2d 894; *Matter of Long Is. Loan & Trust Co. [Garretson],* 92 App Div 1, 179 NY 520; *Matter of Donner,* 82 NY2d 574; *Bank of N.Y. v New Jersey Tit. Guar. & Trust Co.,* 256 App Div 609, 257 App Div 806; *Matter of Brunner,* 49 Misc 2d 139, 26 AD2d 838; *Matter of Connors,* 36 Misc 2d 866.) V. SCPA 2210 (10) does not protect the bank (as the paragraph EIGHTH [B] trustee), for its failure to act with respect to either the 1977 or the 1981 accountings. (*Fisher v Banta,* 66 NY 468; *Matter of Ziegler,* 157 Misc 2d 423.) VI. Neither the 1977 executorial nor the 1981 paragraph EIGHTH (A) decree bars the paragraph EIGHTH (B) objections pursuant to the doctrine of res judicata. (*Molino v County of Putnam,* 29 NY2d 44; *Matter of Juan C. v Cortines,* 89 NY2d 659.) VII. The fact that the bank was acting in a dual capacity did not relieve it of its fiduciary duties as the paragraph EIGHTH (B) trustee. (*Meinhard v Salmon,* 249 NY 458; *Matter of Kistler,* 167 Misc 528; *Macy v Williams,* 55 Hun 489, 125 NY 767; *Bank of N.Y. v New Jersey Tit. Guar. & Trust Co.,* 256 App Div 609, 257 App Div 806; *Villard v Villard,* 219 NY 482; *Matter of Chalmers,* 163 Misc 142; *Matter of Brunner,* 49 Misc 2d 139, 26 AD2d 838.) VIII. Any attempt to graft an exculpatory provision on SCPA 2210 (10) where none exists should be rejected by this Court. (*New Amsterdam Cas. Co. v Stecker,* 3 NY2d 1; *Matter of Patrolmen's Benevolent Assn. of City of Buffalo v City of Buffalo,* 50 AD2d 101; *Matter of Parkinson,* 134 Misc 2d 565; *Matter of Massimino,* 143 Misc 119.) IX. The Appellate Division dissent's adoption of the *Pepper* rule (*Pepper v Zions First Natl. Bank, N.A.,* 801 P2d 144 [Utah 1990]) should be adopted by the Court of Appeals. (*Bank of N.Y. v New Jersey Tit. Guar. & Trust Co.,* 256 App Div 609; *Matter of Menzie,* 54 Misc 188; *Matter of Chaves,* 143 Misc 868;

Rosner v Paley, 116 Misc 2d 454, 99 AD2d 1018, 65 NY2d 736; *Matter of Rothko,* 43 NY2d 305; *Matter of Connors,* 36 Misc 2d 866.) X. The bank has never adequately disclosed the violations of its fiduciary duties to the trust beneficiary. (*Matter of Seaman,* 275 App Div 484, 300 NY 756; *Matter of Ziegler,* 161 Misc 2d 203, 213 AD2d 280, 86 NY2d 712; *Matter of Rudin,* 292 AD2d 283; *Matter of Zilkha,* 174 AD2d 331.) XI. The Court of Appeals should reverse the order below.

Harris Beach LLP, Pittsford (*Paul J. Yesawich, III,* and *Gregory J. McDonald* of counsel), and *Ruskin Moscou Faltischek, P.C.,* Uniondale (*C. Raymond Radigan* of counsel), for respondent. I. The Second Department's holding is in accord with more than 125 years of New York decisional and statutory law. (*Fisher v Hubbell,* 65 Barb 74, *affd sub nom. Fisher v Banta,* 66 NY 468; *Mullane v Central Hanover Trust Co.,* 339 US 306; *Pray v Hegeman,* 98 NY 351; *Globe & Rutgers Fire Ins. Co. v Hines,* 273 F 774, 257 US 643; *Matter of Haigh,* 125 Misc 365; *Matter of Busto,* 173 Misc 25, 258 App Div 980; *Krimsky v Lombardi,* 78 Misc 2d 685, 51 AD2d 600; *Matter of Zaharis,* 148 AD2d 868; *Matter of Weir,* 182 Misc 845.) II. Objectant's argument regarding SCPA 2210 (7) is meritless. (*Matter of Ziegler,* 157 Misc 2d 423.) III. Objectant's reliance on SCPA 1506 is misplaced and, in fact, confirms the Second Department's interpretation and application of SCPA 2210 (10). (*Fisher v Hubbell,* 65 Barb 74, *affd sub nom. Fisher v Banta,* 66 NY 468; *Matter of Menzie,* 54 Misc 188; *Matter of Chaves,* 143 Misc 868, 239 App Div 900; *Matter of Massimino,* 143 Misc 119.) IV. The result under SCPA 2210 (10) is consistent with the doctrines of res judicata and collateral estoppel as the Second Department clearly stated. (*O'Brien v City of Syracuse,* 54 NY2d 353; *Matter of Ziegler,* 161 Misc 2d 203; *Buechel v Bain,* 97 NY2d 295, 535 US 1096; *Schwartz v Public Adm'r of County of Bronx,* 24 NY2d 65; *Gramatan House Invs. Corp. v Lopez,* 46 NY2d 481; *Matter of Chaves,* 143 Misc 868; *Matter of Massimino,* 143 Misc 119.) V. Objectant's remaining arguments are equally meritless and should be rejected by the Court. (*Matter of Connors,* 36 Misc 2d 866; *Matter of Brunner,* 49 Misc 2d 139, 26 AD2d 838; *Matter of Donner,* 82 NY2d 574; *Matter of Chaves,* 143 Misc 868, 239 App Div 900; *Matter of Menzie,* 54 Misc 188; *Matter of Ziegler,* 161 Misc 2d 203; *Matter of Chapin,* 171 Misc 783; *Matter of Van Deusen,* 24 Misc 2d 611; *Matter of Long Is. Loan & Trust Co. [Garretson],* 92 App Div 1, 179 NY 520; *Matter of Alker,* 20 AD2d 894.)

Eliot Spitzer, Attorney General, New York City (*Robert R. Molic* and *Gerald A. Rosenberg* of counsel), in his statutory capacity under EPTL 8-14.

Sidley Austin Brown & Wood LLP, New York City (*Eileen Caulfield Schwab, Roger J. Hawke, Darcy M. Katris* and *Kimberly A. Johns* of counsel), and *Roberta Kotkin* for New York Bankers Association, amicus curiae. I. The Appellate Division correctly held that appellant's objections are barred. II. The decision of the Appellate Division accords with precedent. III. SCPA 2210 (7) imposes no duty upon a successor fiduciary to object to the conduct of a predecessor fiduciary. (*Matter of Killan,* 172 NY 547; *Matter of Altman,* 115 Misc 476.) IV. A successor fiduciary does not have a duty to object to its own conduct as predecessor. (*Bank of N.Y. v New Jersey Tit. Guar. & Trust Co.,* 256 App Div 609; *Villard v Villard,* 219 NY 482; *Matter of Brunner,* 49 Misc 2d 139, 26 AD2d 838; *Matter of Chalmers,* 163 Misc 142; *Matter of Kistler,* 167 Misc 528; *Meinhard v Salmon,* 249 NY 458; *City Bank Farmers Trust Co. v Cannon,* 291 NY 125; *Matter of Van Deusen,* 37 AD2d 131.) V. *Pepper v Zions First Natl. Bank, N.A.* (801 P2d 144 [Utah 1990]) does not apply. (*Matter of Chaves,* 143 Misc 868, 239 App Div 900; *Matter of Menzie,* 54 Misc 188; *Matter of Alker,* 20 AD2d 894; *Matter of Schmidt,* 163 Misc 610; *Matter of Ziegler,* 161 Misc 2d 203; *Matter of Chapin,* 171 Misc 783.) VI. The purpose of SCPA 2210 (10) is to avoid placing a successor fiduciary in a position of divided loyalty. (*Matter of Parkinson,* 134 Misc 2d 565; *Fisher v Banta,* 66 NY 468; *Matter of Ziegler,* 157 Misc 2d 423; *Matter of Massimino,* 143 Misc 119; *Matter of Hernandez v Barrios-Paoli,* 93 NY2d 781; *Matter of Stevens v Wing,* 293 AD2d 49.)

OPINION OF THE COURT

GRAFFEO, J.

In this case we are required to decide whether the doctrine of res judicata applies to judicial proceedings settling an estate and a trust accounting, submitted by a bank that acted both as executor and as trustee. Under the facts and circumstances presented here, we conclude that the beneficiary of a separate testamentary trust managed by the same bank is precluded from raising objections to the fiduciary's actions that could have been raised in prior proceedings.

I. Background

This case arises following more than 20 years of fiduciary involvement with the assets of the estate of Rochester resident

Blanche Hunter, who died in 1972 leaving a gross estate in excess of $28 million. A substantial portion of Hunter's estate consisted of common stock of the Eastman Kodak Company. Paragraph EIGHTH (A) of Hunter's will established a residuary trust for the benefit of her granddaughter Alice F. Creighton, and paragraph EIGHTH (B) created a residuary trust for the benefit of another granddaughter, the objectant Pamela Townley Creighton. Both granddaughters were minors at the time of Hunter's death. Each trust was to be funded with one half of the residuary estate, and in the event either granddaughter died without issue or without having exercised the power of appointment, the balance of that trust would pour over into the other trust. Hunter's will designated Lincoln Rochester Trust Company, petitioner Chase Manhattan Bank's predecessor, as coexecutor of the estate with James W. Cook, a trust officer. Hunter also selected the Bank and Cook to serve as the cotrustees of Trusts A and B.

The will was admitted to probate in January 1973. In March, the Bank and Cook partially funded each of the granddaughters' trusts with a cash distribution of over $40,000 from the estate. Between 1973 and the conclusion of the estate's administration in 1977, the Bank and Cook periodically transferred Kodak stock to the trusts, so that each trust eventually held about 13,000 shares. From late 1972 to 1977 the price of Kodak stock apparently dropped from $148 to $70 per share, resulting in a decline in aggregate value of the trusts' stock of over $2 million.

As coexecutors of Hunter's estate, the Bank and Cook commenced a proceeding seeking judicial settlement of the estate account in 1976. Having been served with notification of the accounting, Pamela Creighton, the beneficiary of Trust B, appeared through counsel and filed objections to the amount of attorneys' fees sought by the Bank but raised no other concerns about the management of estate assets. Surrogate's Court settled the account in a 1977 decree, which provided that "the said Executors be and hereby are released from all further liability and responsibility as such Executors as to all matters embraced in their Account and this Decree."

Alice Creighton, the beneficiary of Trust A, died in 1980 without issue and never having exercised her power of appointment. Under the terms of Hunter's will, Alice's assets, including 13,000 shares of Kodak stock, were transferred to Pamela's trust—Trust B. In July 1981, the Bank and Cook sought to judicially settle their account as cotrustees of Trust A. The cotrustees again served the petition on Pamela. Rather than appearing in the proceeding, Pamela executed a waiver and did not file any objections to the account. In 1981, Surrogate's Court issued a decree settling the account and discharging the cotrustees ''from all further liability and responsibility as such Trustees as to all matters embraced in their Account and this Decree.''

After Cook died in 1996, the Bank initiated a judicial accounting of Trust B, covering the years 1973-1996. A Bank representative met with Pamela in California to deliver a copy of the account and to obtain a waiver of citation if she found the account satisfactory. Before reviewing the account documents, Pamela signed the waiver. Upon obtaining the waiver, Surrogate's Court settled the account in 1998. Pamela later consulted an attorney and commenced a proceeding to withdraw her waiver and vacate the 1998 decree, seeking to file objections to the account. After conducting a fact-finding hearing, Surrogate's Court determined that ''the waiver was not knowingly and intelligently given,'' set aside the waiver and vacated the decree (190 Misc 2d 593, 600 [2002]). The Bank did not appeal this decision.

Pamela then filed objections to the account of Trust B, including the claims now under review. As relevant here, her objections fell into three categories, but all pertain to the Bank's conduct in its capacity as trustee of Trust B. First, she claimed that the Bank acted improperly by failing to diversify the high concentration of Trust B assets in Kodak stock. Second, Pamela contended that the Bank breached its duty to challenge its actions as executor in failing to diversify the stockholdings in Hunter's estate and in not timely funding the trusts. Third, Pamela asserted that the Bank breached its duty to object to its actions as trustee of Trust A in failing to diversify the stockholdings of Trust A.

The Bank moved to dismiss the second and third categories of objections (i.e., allegations against the Bank, as trustee of Trust B, for its failure to object to the estate and Trust A accountings). The Bank argued that Pamela's failure to object in the 1977 and 1981 judicial accounting proceedings precluded these claims under the doctrine of res judicata.

Surrogate's Court denied the Bank's motion to dismiss the second and third categories of objections. The court rejected the Bank's argument that those objections were barred by res judicata, concluding that the Bank's ''actions as cotrustee of the

EIGHTH (B) Trust were not subject to judicial scrutiny in either of those two proceedings'' (194 Misc 2d 364, 370 [2002]).

Pamela Creighton died in 2002 and the administrators of her estate as well as the beneficiaries of her trust were substituted as the objectants.[1] Thereafter, the Appellate Division, with one Justice dissenting, modified the Surrogate's order, by granting the Bank's motion to dismiss the second and third categories of objections (6 AD3d 117 [2d Dept 2004]). The majority held that Pamela's opportunity to raise objections to the Bank's alleged mismanagement as executor and trustee of Trust A in the 1977 and 1981 proceedings precluded her present objections to the Bank's failure as trustee of Trust B to contest the prior accountings under the doctrine of res judicata. The Appellate Division granted leave to appeal to this Court, certifying the following question: ''Was the opinion and order of this court dated March 29, 2004, properly made?'' We answer in the affirmative.

II. Surrogate's Court Procedure Act

Under article 22 of the Surrogate's Court Procedure Act, fiduciaries such as executors and trustees have an obligation to account for their actions. Executors ordinarily account at the conclusion of estate administration while trustees account ''when the trust is terminated or when they cease to serve'' (Turano, Practice Commentaries, McKinney's Cons Laws of NY, Book 58A, SCPA 2205, at 18). Although the SCPA does not require a fiduciary to give periodic or intermediate accountings, where trusts are managed over a lengthy period trustees often account periodically.[2]

A fiduciary may voluntarily proceed to obtain formal judicial settlement of an account under SCPA 2208.[3] Additionally, certain persons, including beneficiaries under a will or trust,

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1. Judith Chinello and Stan Mandell, the administrators of Pamela's estate, as well as Margaret Hunter and Pomona College, the appointees of the trust corpus, are now the objectants. For purposes of this opinion, the term objectants refers to the substituted parties.

2. Despite the fact that the SCPA does not require the preparation of periodic or intermediate accountings by trustees, one commentator has indicated that such accountings are customary every 10 years (*see* Turano, Practice Commentaries, McKinney's Cons Laws of NY, Book 58A, SCPA 2205, at 18).

3. A fiduciary may also account informally by obtaining receipts and releases from interested parties regarding the handling of the estate or trust (*see* 6 Warren's Heaton, Surrogates' Courts § 91.04 [3], at 91-17 [6th ed rev]; Turano, Practice Commentaries, McKinney's Cons Laws of NY, Book 58A, SCPA 2202, at 7). The SCPA permits a fiduciary to file and record the receipt

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may initiate a proceeding to compel a formal accounting (*see* SCPA 2205). The court may also compel a judicial accounting on its own initiative (*see* SCPA 2205).

Judicial settlement serves the interests of both the fiduciary and the beneficiary in that it provides full disclosure of the fiduciary's financial transactions and, upon issuance of a decree, the fiduciary is released from liability for those transactions (*see* 6 Warren's Heaton, Surrogates' Courts § 91.02 [1], at 91-4 [6th ed rev]). Where a fiduciary commences a judicial accounting and accounts to a trustee, it is generally not necessary to serve process on the beneficiaries of that trust because the trustee represents the beneficiaries' interests (*see* SCPA 2210 [7]). But SCPA 2210 (10) provides an exception to this rule for a fiduciary who simultaneously fulfills more than one role:

> ''[w]here an accounting fiduciary accounts to himself in a separate capacity as the fiduciary of a deceased beneficiary of the estate, or as trustee . . . process shall issue to all persons interested in the estate of the deceased beneficiary, . . . or the trust of which the accounting party is trustee.''

Thus, under the statute, if the fiduciary seeking to account also serves as a trustee, the fiduciary must notify trust beneficiaries directly of any accounting proceeding.[4]

Long before the enactment of SCPA 2210 (10), this Court addressed the significance of notification to beneficiaries in accounting proceedings involving multicapacity fiduciaries. In *Fisher v Banta* (66 NY 468 [1876]), this Court held that, where a fiduciary seeks to account to itself in another capacity, an accounting decree will be conclusive only where persons ordinarily represented by the fiduciary in its alternate capacity ''have been made parties to the accounting'' (*id.* at 482). The *Fisher* multicapacity fiduciary rule was codified in SCPA 2210 (10), recognizing that an accounting fiduciary may not account to itself in a separate capacity absent the intervention of the beneficiaries. Thus, SCPA 2210 (10) performs a dual purpose: it requires multicapacity fiduciaries to give beneficiaries notice of

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and release agreements with Surrogate's Court (*see* SCPA 2202) and authorizes Surrogate's Court to issue a decree based on these filed agreements (*see* SCPA 2203).

4. Notice to beneficiaries is not required by SCPA ''where the accounting fiduciary has in said separate capacity one or more co-fiduciaries who are not his co-fiduciaries in his accounting capacity'' (SCPA 2210 [10]). This provision is not applicable here.

the opportunity to raise objections to an accounting and, as a result of account settlement, fiduciaries obtain finality with respect to their actions.

III. Analysis

Objectants argue that the notice and opportunity to be heard provided in the 1977 and 1981 proceedings do not preclude the current objections because they concern only the Bank's conduct as trustee of Trust B and not its conduct as executor of Hunter's estate or as trustee of Trust A.[5] The Bank counters that objectants' claims are actually directed at its failure to diversify stockholdings and are in effect no different than the claims Pamela could have raised in the prior proceedings.

Under the doctrine of res judicata, a party may not litigate a claim where a judgment on the merits exists from a prior action between the same parties involving the same subject matter. The rule applies not only to claims actually litigated but also to claims that could have been raised in the prior litigation. The rationale underlying this principle is that a party who has been given a full and fair opportunity to litigate a claim should not be allowed to do so again (*see O'Connell v Corcoran*, 1 NY3d 179, 184-185 [2003]; *Gramatan Home Invs. Corp. v Lopez*, 46 NY2d 481, 485 [1979]). Additionally, under New York's transactional analysis approach to res judicata, "once a claim is brought to a final conclusion, all other claims arising out of the same transaction or series of transactions are barred, even if based upon different theories or if seeking a different remedy" (*O'Brien v City of Syracuse*, 54 NY2d 353, 357 [1981], citing *Matter of Reilly v Reid*, 45 NY2d 24, 29-30 [1978]). "*Res judicata* is designed to provide finality in the resolution of disputes," recognizing that "[c]onsiderations of judicial economy as well as

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5. The Attorney General, appearing in this case as a necessary party under article 8 of the Estates, Powers and Trusts Law due to the charitable interests implicated by Pomona College's remainder beneficiary status in Trust B, generally agrees with objectants' position. The Attorney General contends that "an accounting multicapacity fiduciary should, where applicable, disclose to the beneficiaries to whom it is accounting to that it has a conflict because of its dual capacity and should explain the potential issues that might arise because of that conflict." While we concur that such a disclosure would be helpful, the SCPA contains no such requirement. The Attorney General also states that the Bank's 1977 and 1981 accounts are not models of clarity. Although these accounts could have set forth more clearly the information relating to the transfer and value of assets for the benefit of lay beneficiaries, we note that the accounts do contain the relevant information relating to the Kodak stock transactions.

fairness to the parties mandate, at some point, an end to litigation'' (*Reilly*, 45 NY2d at 28).

These principles apply with equal force to judicially settled accounting decrees. As a general rule, an accounting decree is conclusive and binding with respect to all issues raised and as against all persons over whom Surrogate's Court obtained jurisdiction (*see Pray v Hegeman*, 98 NY 351, 358 [1885]; *Matter of Ziegler*, 161 Misc 2d 203, 205 [Sur Ct, NY County 1994], *affd* 213 AD2d 280 [1995], *lv denied* 86 NY2d 712 [1995]). Indeed this principle is so well settled that the drafters of the SCPA determined that it was unnecessary to include former section 274 of the Surrogate's Court Act which had codified this rule, noting that it was '' 'self-evident . . . that every decree whether upon an accounting or otherwise is binding upon all persons of whom jurisdiction was obtained' '' (*Ziegler*, 161 Misc 2d at 205, quoting Revisers' Notes, McKinney's Cons Laws of NY, Book 58A, SCPA 2226 [now 2227], at 292 [1967 ed]; *see also* Turano, Practice Commentaries, McKinney's Cons Laws of NY, Book 58A, SCPA 2227, at 269). In accord with res judicata, an accounting decree is therefore conclusive as to issues that were decided as well as those that could have been raised in the accounting (*see Matter of Roche*, 259 NY 458, 461 [1932]; *Pray*, 98 NY at 358).

Applying the foregoing principles to this case, we agree with the Appellate Division that objectants are precluded from litigating the claims involving the Bank's failure, in its capacity as trustee of Trust B, to object to its own voluntary accountings as executor of Hunter's estate or as trustee of Trust A. The Bank complied with its obligation under SCPA 2210 (10) to notify Pamela of the 1977 proceeding to judicially settle the estate account. Represented by counsel in that proceeding, Pamela appeared but objected only to the attorneys' fees, never challenging the fiduciaries' management of estate assets. Similarly, in the 1981 accounting to settle Alice's trust (Trust A), the Bank served Pamela with process but she chose to execute a waiver of citation and did not file any objections.

The claims objectants now seek to assert were discernible from the documents filed in these prior proceedings. The 1977 account disclosed the dates when the trusts were funded with Kodak stock and the decline in the value of the stock was apparent in the 1977 and 1981 accountings—indeed, objectants rely on those documents to support their present objections. Pamela therefore had a full and fair opportunity to raise objections relating to the Bank's obligations as executor to diversify the stock or timely fund the trusts, or as trustee of Trust A to diversify the trust assets—the crux of the present objections.

We are not persuaded by the distinction objectants attempt to draw between objections relating directly to the Bank's activities as executor and trustee of Trust A and the objections regarding the Bank's duties, as trustee of Trust B, to object to its own prior accountings on Pamela's behalf. There can be no doubt that under either formulation, the wrongful conduct objectants seek to redress pertains to the Bank's alleged mismanagement of the estate and Trust A. Moreover, adoption of this argument would negate a fundamental objective of SCPA 2210 (10)—to ensure finality for multicapacity fiduciaries who comply with notice requirements. Nothing in the SCPA provides beneficiaries with a "second bite of the apple" where they have been afforded the opportunity to litigate the essence of their objections in a prior judicial settlement proceeding.[6] Put simply, "[i]f a fiduciary gives full disclosure in his accounting, to which the beneficiaries are parties . . . they should have to object at that time or be barred from doing so after the settlement of the account" (Turano, 2003 Supp Practice Commentary, McKinney's Cons Laws of NY, Book 58A, SCPA 1506, 2005 Pocket Part, at 66).

Finally, we note that Pamela's opportunities to raise objections regarding the estate and Trust A accounts do not bar objectants from continuing to litigate their claims with respect to the Bank's management of Trust B (objections numbered 1, 2 and 3 in this proceeding).

Accordingly, the order of the Appellate Division should be affirmed, with costs, and the certified question answered in the affirmative.

Chief Judge KAYE and Judges G.B. SMITH, CIPARICK, ROSENBLATT, READ and R.S. SMITH concur.

Order affirmed, etc.

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6. Under certain circumstances—for example, where a fiduciary procures a release waiving citation or a decree settling an account through fraud—a beneficiary may move to set aside the prior decree (*see Matter of Frutiger*, 29 NY2d 143, 149-150 [1971]; *Matter of Zahoudanis*, 289 AD2d 412 [2d Dept 2001]).

[826 NE2d 806, 793 NYS2d 835]

SOUTH ROAD ASSOCIATES, LLC, Appellant, v INTERNATIONAL BUSINESS MACHINES CORPORATION, Respondent.

Argued February 16, 2005; decided March 29, 2005

SUMMARY

APPEAL, by permission of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Second Judicial Department, entered December 29, 2003. The Appellate Division (1) reversed, on the law, an order of the Supreme Court, Dutchess County (Mark C. Dillon, J.), which had denied defendant's motion for summary judgment dismissing the complaint and granted plaintiff's cross motion for partial summary judgment on the issue of liability on the cause of action to recover damages for breach of contract, (2) granted the motion, (3) denied the cross motion, and (4) dismissed the complaint.

South Rd. Assoc. v International Bus. Machs. Corp., 2 AD3d 829, affirmed.

HEADNOTE

Landlord and Tenant — Lease — Construction

Defendant tenant did not violate the provision of its lease agreement requiring the return of the premises in ''good order and condition'' by contaminating some of the property's soil, bedrock and groundwater. The language of the lease made clear that the term ''premises'' was intended to include only the interior portions of the buildings. The lease stated that the ''premises'' was the space shown on the ''floor plan'' consisting of a certain number of square feet ''in two buildings.'' Reading the lease as a whole also supported the interpretation that the term ''premises'' referred only to the interior space. Since the meaning of ''premises'' was clear and unambiguous in the lease, extrinsic evidence such as the conduct of the parties could not be considered. Defendant's conduct—placing underground storage tanks in the surrounding land and cleaning the resulting pollution—was not sufficient to create an ambiguity in the lease where the language was clear. Since there was no allegation that defendant did not return the interior space ''in good order and condition,'' the lease was not breached.

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By the Publisher's Editorial Staff

AM JUR 2d, Landlord and Tenant §§ 876, 877, 880.

DOLAN, RASCH'S NEW YORK LANDLORD AND TENANT INCLUDING SUMMARY PROCEEDINGS (4th ed) §§ 19:37, 19:44, 19:45.

NY JUR 2d, Landlord and Tenant §§ 215–217.

New York Real Property Service §§ 76:12, 76:47.

ANNOTATION REFERENCE

See ALR Index under Landlord and Tenant.

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POINTS OF COUNSEL

LeBoeuf, Lamb, Greene & MacRae, L.L.P., Albany (*Michael W. Peters, Robert J. Alessi* and *Cindy M. Monaco* of counsel), for appellant. I. The lease is unambiguous in that the ''premises'' consist of the entire site. (*Sutton v East Riv. Sav. Bank,* 55 NY2d 550; *Fetner v Fetner,* 293 AD2d 645; *Tantleff v Truscelli,* 110 AD2d 240, 69 NY2d 769; *Matter of Bombay Realty Corp. v Magna Carta,* 100 NY2d 124; *R/S Assoc. v New York Job Dev. Auth.,* 98 NY2d 29; *Matter of Westmoreland Coal Co. v Entech, Inc.,* 100 NY2d 352; *Atwater & Co. v Panama R.R. Co.,* 246 NY 519; *W.W.W. Assoc. v Giancontieri,* 77 NY2d 157; *Schmidt v Magnetic Head Corp.,* 97 AD2d 151; *Village of Hamburg v American Ref-Fuel Co. of Niagara,* 284 AD2d 85.) II. Extrinsic evidence demonstrates that the parties intended to lease the entire site and that the ''premises'' consist of the entire site. (*W.W.W. Assoc. v Giancontieri,* 77 NY2d 157; *Newin Corp. v Hartford Acc. & Indem. Co.,* 62 NY2d 916; *Christiana Point Devs. v Galesi,* 143 AD2d 717; *Loomis v New York Cent. & Hudson Riv. R.R. Co.,* 214 NY 447; *Surlak v Surlak,* 95 AD2d 371; *Mallad Constr. Corp. v County Fed. Sav. & Loan Assn.,* 32 NY2d 285; *Matter of Moncure v New York State Dept. of Envtl. Conservation,* 218 AD2d 262; *Studley v National Fuel Gas Supply Corp.,* 107 AD2d 122; *Federal Ins. Co. v Americas Ins. Co.,* 258 AD2d 39.) III. International Business Machines Corporation's indisputable failure to return the site to South Road Associates, LLC (SRA) contamination-free establishes SRA's entitlement to judgment as a matter of law. (*W.W.W. Assoc. v Giancontieri,* 77 NY2d 157; *Chemical Bank v Stahl,* 272 AD2d 1; *Star Nissan v Frishwasser,* 253 AD2d 491; *Gettner v Getty Oil Co.,* 266 AD2d 342; *Akron Meats v 1418 Kitchens,* 160 AD2d 242; *P.B.N. Assoc. v Xerox Corp.,* 141 AD2d 807; *Civic Realty Co. v New York Tel. Co.,* 16 Misc 2d 660; *McCormick v Moran,* 182 Misc 2d 568; *Fetner v Fetner,* 293 AD2d 645; *Kass v Kass,* 91 NY2d 554.) IV. International Business Machines Corporation is judicially estopped from denying that the ''premises'' it leased consist of the entire site. (*Maas v Cornell Univ.,* 94 NY2d 87; *Matter of Martin v C.A. Prods. Co.,* 8 NY2d 226; *Douglas v Government Empls. Ins. Co.,* 237 AD2d 246; *Perkins v Perkins,* 226 AD2d 610; *Prudential Home Mtge. Co. v Neildan Constr. Corp.,* 209 AD2d 394; *Environmental Concern v Larchwood Constr. Corp.,* 101 AD2d 591; *Tozzi v Long Is. R.R. Co.,* 170 Misc 2d 606, 247 AD2d 466.)

Jones Day, New York City (*Mark R. Seiden* and *Meir Feder* of counsel), for respondent. I. The unambiguous terms of the lease require only that International Business Machines Corporation return its rented interior building space in "good order and condition." (*Vermont Teddy Bear Co. v 538 Madison Realty Co.,* 1 NY3d 470; *Fox Paper v Schwarzman,* 168 AD2d 604; *W.W.W. Assoc. v Giancontieri,* 77 NY2d 157; *Rodolitz v Neptune Paper Prods.,* 22 NY2d 383; *New York Overnight Partners v Gordon,* 217 AD2d 20; *Rowe v Great Atl. & Pac. Tea Co.,* 46 NY2d 62; *Reiss v Financial Performance Corp.,* 97 NY2d 195; *Siegel v Kentucky Fried Chicken,* 67 NY2d 792; *Mionis v Bank Julius Baer & Co.,* 301 AD2d 104; *A.J. Temple Marble & Tile v Union Carbide Marble Care,* 87 NY2d 574.) II. Extrinsic evidence does not undercut the plain meaning of the defined term "premises" in the lease. (*Ferrante v American Lung Assn.,* 90 NY2d 623; *Manning v New York Tel. Co.,* 157 AD2d 264; *Nassau Trust Co. v Montrose Concrete Prods. Corp.,* 56 NY2d 175; *Kalimian v Olson,* 130 Misc 2d 861; *Muzak Corp. v Hotel Taft Corp.,* 1 NY2d 42; *Loctite VSI v Chemfab N.Y.,* 268 AD2d 869.) III. Judicial estoppel does not apply to the present case. (*Jones Lang Wootton USA v LeBoeuf, Lamb, Greene & MacRae,* 243 AD2d 168; *New Hampshire v Maine,* 532 US 742; *Inter-Power of N.Y. v Niagara Mohawk Power Corp.,* 208 AD2d 1073; *Tilles Inv. Co. v Town of Oyster Bay,* 207 AD2d 393; *Malamut v Doris L. Sassower, P.C.,* 171 AD2d 780; *Lory v Parsoff,* 296 AD2d 535; *European Am. Bank v Miller,* 265 AD2d 374; *Ferring v Merrill Lynch & Co.,* 244 AD2d 204; *Tozzi v Long Is. R.R. Co.,* 170 Misc 2d 606, 247 AD2d 466.) IV. Summary judgment would be improper even if this Court were to rule in favor of South Road Associates, LLC on the meaning of "premises" in the lease. (*Black & Yates v A.R. Fuels,* 26 Misc 2d 627; *Wolf v 2539 Realty Assoc.,* 161 AD2d 11; *Gettner v Getty Oil Co.,* 266 AD2d 342; *Chemical Bank v Stahl,* 272 AD2d 1; *Star Nissan v Frishwasser,* 253 AD2d 491; *Akron Meats v 1418 Kitchens,* 160 AD2d 242; *McCormick v Moran,* 182 Misc 2d 568; *Civic Realty Co. v New York Tel. Co.,* 16 Misc 2d 660; *Vermont Teddy Bear Co. v 538 Madison Realty Co.,* 1 NY3d 470; *Domen Holding Co. v Aranovich,* 1 NY3d 117.)

John E. Zuccotti, New York City, for Real Estate Board of New York, Inc., amicus curiae. I. Landlords and tenants must be able to rely upon the agreements memorialized in their written contracts. (*Holy Props. Ltd. v Cole Prods.,* 87 NY2d 130; *Maxton Bldrs. v Lo Galbo,* 68 NY2d 373; *Rowe v Great Atl. & Pac. Tea Co.,* 46 NY2d 62; *Vermont Teddy Bear Co. v 538 Madison Realty Co.,* 1 NY3d 470.) II. Reading the parties' lease in its entirety, ''premises'' is not limited to the interior space; the soil and groundwater are part of the leased property. (*Backer Mgt. Corp. v Acme Quilting Co.,* 46 NY2d 211; *Farrell Lines v City of New York,* 30 NY2d 76; *Matter of Westmoreland Coal Co. v Entech, Inc.,* 100 NY2d 352; *Matter of Bombay Realty Corp. v Magna Carta,* 100 NY2d 124; *Rowe v Great Atl. & Pac. Tea Co.,* 46 NY2d 62; *Atwater & Co. v Panama R.R. Co.,* 246 NY 519; *511 W. 232nd Owners Corp. v Jennifer Realty Co.,* 98 NY2d 144.) III. As a matter of law and public policy, New York courts must enforce the express and implied terms and covenants of real estate contracts. (*511 W. 232nd Owners Corp. v Jennifer Realty Co.,* 98 NY2d 144; *Rowe v Great Atl. & Pac. Tea Co.,* 46 NY2d 62; *Kalisch-Jarcho, Inc. v City of New York,* 58 NY2d 377; *Wood v Duff-Gordon,* 222 NY 88.)

OPINION OF THE COURT

CIPARICK, J.

This appeal presents an issue of contract interpretation—the scope of the term ''premises'' as contained in the ''good order and condition'' provision of the parties' lease agreement. Specifically, we address whether ''premises'' includes the land upon which the buildings are situated or only the buildings' interior space. We conclude that ''premises'' as defined in the lease includes only the interior portions of the buildings.

Pursuant to a 1981 agreement between the parties, International Business Machines Corporation (IBM) leased certain space from South Road Associates (SRA) known as Buildings 952 and 982 located at 622 South Road in Poughkeepsie.[1] IBM had occupied the same space since the 1950s under previous

1. The provision defining the specific leasehold interest states: ''That the Landlord hereby leases to the Tenant and the Tenant hereby hires and takes from the Landlord the space being more particularly shown on the attached floor plan designated Exhibit 'A' (hereinafter called the 'premises') consisting in the aggregate of 113,400 gross square feet in two buildings consisting of 113,400 gross square feet (hereinafter called the 'buildings') situated on real property (hereinafter called the 'land') located at 622 South

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ownership and under earlier leases and had used the site for its commercial and manufacturing operations. During its occupancy of the site, IBM installed an underground storage tank to hold chemical waste. Through its own investigation, IBM discovered that the site's groundwater and soil had become contaminated by hazardous chemicals resulting from a leak in the storage tank. IBM then undertook an independent effort to clean up the site that included removal of the underground storage tank and contaminated soil.

In 1984, the parties entered into an agreement wherein IBM accepted responsibility for the pollution, agreed to hold SRA harmless for any resulting claims and agreed to ''abate'' the pollution ''to the satisfaction of all requisite governmental agencies'' and restore the land to its previous condition. After continuing remedial efforts, IBM petitioned the New York State Department of Environmental Conservation (DEC) requesting that the site be reclassified from a class 2 (''Significant threat to the public health or environment—action required'') to a class 4 environmental hazard (''Site properly closed—requires continued management'') (ECL 27-1305 [2] [b] [2], [4]). DEC approved the reclassification. The parties entered into a subsequent agreement in February 1994, at the termination of the lease, giving IBM a right of access to the site in order ''to maintain and operate'' its ''monitoring wells and a groundwater 'Pump and Treat System.' '' SRA does not claim a breach of these two agreements.

SRA commenced this action against IBM in January 2000, alleging several causes of action including a claim for breach of contract.[2] Specifically, SRA claims a breach of article 7 of the lease which requires that the ''premises'' be returned in ''good order and condition.''[3] SRA claims that by contaminating some of the property's soil, bedrock and groundwater, IBM violated

Road (Route 9), and a Water Tower and appurtenances in the Town of Poughkeepsie, State of New York (her[e]inafter referred to as Buildings 952, 982).''

2. The breach of contract claim is the only cause of action remaining. The other causes of action—including claims for unconstitutional taking of private property, common-law negligence, breach of a statutory duty, public nuisance, absolute nuisance and unjust enrichment—were previously dismissed by Supreme Court and are not at issue here.

3. Article 7 states that, at the end of the lease:

''the Tenant will remove its goods and effects . . . and will (a) peaceably yield up to the Landlord the premises in good order and condition, excepting ordinary wear and tear, repairs required

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its agreement to return the premises in ''good order and condition.''

IBM moved for summary judgment dismissing the complaint and SRA cross-moved for partial summary judgment on the issue of liability for breach of the lease provision. Supreme Court denied IBM's motion and granted SRA's cross motion. The court, allowing extrinsic evidence, found in SRA's favor, stating that the lease, read as a whole, ''conveys to IBM rights, obligations, use and occupancy of a leasehold that extends beyond space referenced in the document's single precatory paragraph.''

A majority of the Appellate Division reversed, determining that the ''clear and unambiguous'' language of the lease demonstrated that the ''premises'' consisted of the buildings' interior space (2 AD3d 829, 831 [2003]). One Justice dissented and voted to affirm, finding that IBM had occupied the entire property and was required pursuant to article 7 of the lease to return the entire property, rather than just the interior space, in good order and condition (2 AD3d at 833). We granted leave to appeal and now affirm.

In cases of contract interpretation, it is well settled that '' 'when parties set down their agreement in a clear, complete document, their writing should . . . be enforced according to its terms' '' (*Vermont Teddy Bear Co. v 538 Madison Realty Co.*, 1 NY3d 470, 475 [2004], quoting *W.W.W. Assoc. v Giancontieri*, 77 NY2d 157, 162 [1990]). This principle is particularly important '' 'in the context of real property transactions, where commercial certainty is a paramount concern, and where . . . the instrument was negotiated between sophisticated, counseled business people negotiating at arm's length' '' (*Vermont Teddy Bear*, 1 NY3d at 475, quoting *Matter of Wallace v 600 Partners Co.*, 86 NY2d 543, 548 [1995]). It is also important to read the document as a whole to ensure that excessive emphasis is not placed upon particular words or phrases (*see Matter of Westmoreland Coal Co. v Entech, Inc.*, 100 NY2d 352, 358 [2003]).

The language of the lease makes clear that the term ''premises'' was intended to include only the interior portions of the

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to be made by the Landlord, or damage, destruction or loss by fire or other casualty or by any other cause . . . and (b) repair all damage to the premises and the fixtures, appurtenances and equipment of the Landlord therein, and to the building, caused by the Tenant's removal of its furniture, fixtures, equipment, machinery and the like and the removal of any improvements or alterations.''

buildings. The lease states that the "premises" is the space shown on the "floor plan" consisting of a certain number of square feet "in two buildings."[4] Reading the lease as a whole also supports the interpretation that the term "premises" refers only to the interior space. The lease repeatedly mentions the "premises" separately from the water tower, appurtenances, land, parking lot and building. If "premises" was intended to include not only the interior space but also the buildings and the land surrounding the buildings, the language in these provisions would be superfluous. For example, one provision states that signs cannot be placed on the land or the outside of the building, but can be placed on the entrance doors to the premises. This provision clearly distinguishes the "premises"—as interior space—from the land and exterior portions of the building.

Whether a contract is ambiguous is a question of law and extrinsic evidence may not be considered unless the document itself is ambiguous (*see Greenfield v Philles Records*, 98 NY2d 562, 569 [2002]). Further, "extrinsic and parol evidence is not admissible to create an ambiguity in a written agreement which is complete and clear and unambiguous upon its face" (*W.W.W. Assoc.*, 77 NY2d at 163 [internal quotation marks omitted]). Since the meaning of "premises" is clear and unambiguous in the lease, extrinsic evidence such as the conduct of the parties may not be considered. IBM's conduct—placing underground storage tanks in the surrounding land and cleaning the resulting pollution—is not sufficient to create an ambiguity in the lease where the language is clear. Neither may the conduct of IBM in paying all real estate taxes pursuant to a lease provision create an ambiguity. The contract, read as a whole, clearly and consistently uses the term "premises" to refer only to interior space and we cannot rely on extrinsic evidence to find otherwise.

Since there is no allegation that IBM did not return the interior space "in good order and condition," article 7 of the lease was not breached and summary judgment dismissing the complaint was properly granted to IBM.

The parties' remaining contentions are without merit.

Accordingly, the order of the Appellate Division should be affirmed, with costs.

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4. A copy of the "floor plan," Exhibit "A," was not made part of the record.

Chief Judge Kaye and Judges G.B. Smith, Graffeo, Read and R.S. Smith concur; Judge Rosenblatt taking no part.

Order affirmed, with costs.

[827 NE2d 259, 794 NYS2d 276]

LEONARD J. LEVENSON et al., Respondents, v JONATHAN LIPPMAN, as Chief Administrative Judge of the Courts, et al., Appellants.

Argued January 4, 2005; decided February 15, 2005

SUMMARY

APPEAL, on constitutional grounds, from an order of the Appellate Division of the Supreme Court in the First Judicial Department, entered February 24, 2004. The Appellate Division (1) reversed, on the law, a judgment of the Supreme Court, New York County (Sheila Abdus-Salaam, J.), which had adjudged and declared that defendant Chief Administrative Judge Jonathan Lippman did not exceed the authority granted to him by the New York Constitution and the New York Legislature by amending 22 NYCRR 127.2 (b), adjudged and declared that 22 NYCRR 127.2 (b) was not null, void, invalid, or unconstitutional, and adjudged and declared that Administrative Judge Scherer's orders modifying the awards of compensation granted by the trial judges were not invalid, (2) declared 22 NYCRR 127.2 (b) null and void, and (3) vacated the orders modifying the awards of counsel compensation and reinstated the original award orders.

Levenson v Lippman, 5 AD3d 86, reversed.

HEADNOTE

Attorney and Client — Assignment of Counsel — Review of Compensation Award in Excess of Statutory Limits

The Chief Administrative Judge acted within the authority granted him by the New York State Constitution when he amended Rules of the Chief Administrator of the Courts (22 NYCRR) § 127.2 (b) so as to permit an administrative judge to review an order of a trial judge setting an award of compensation in excess of the statutory limits set forth in County Law § 722-b. The allocation of finite financial resources for the payment of assigned counsel is a concern for court administrators, and with the advice and consent of the Administrative Board, the Chief Administrative Judge properly promulgated section 127.2 (b) pursuant to his delegated authority under 22 NYCRR 80.1 to adopt rules for the efficient and orderly transaction of trial court business. By making no provision in the County Law for any review of excess compensation awards, the Legislature created a gap in the administrative process that the Chief Administrative Judge was entitled to fill. Section 127.2 (b) does not confer upon an administrative judge any authority that would otherwise belong to the appellate courts, or intrude upon the Legislature's authority to regulate proceedings in law. Given that the award of compensation fees is an administrative rather than a judicial act of the trial judge, the Legislature could not by statute divest the Chief Administrative Judge of his constitutional authority to supervise the administration and operation of the Unified Court System.

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By the Publisher's Editorial Staff

AM JUR 2d, Attorneys at Law §§ 260, 261.

CARMODY-WAIT 2d, Courts and Their Jurisdiction §§ 2:49, 2:50; CARMODY-WAIT 2d, Criminal Procedure §§ 172:1740–172:1742.

MCKINNEY'S, County Law § 722–b.

22 NYCRR 80.1, 127.2 (b).

NY JUR 2d, Attorneys at Law § 183; NY JUR 2d, Courts and Judges §§ 34, 35.

ANNOTATION REFERENCE

Construction of state statutes providing for compensation of attorney for services under appointment by court in defending indigent accused. 18 ALR3d 1074.

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POINTS OF COUNSEL

Michael Colodner, New York City, *John J. Sullivan* and *David E. Markus* for appellants. I. The Chief Administrative Judge, acting in his administrative capacity, had the constitutional authority to promulgate Rules of the Chief Administrator of the Courts (22 NYCRR) § 127.2 (b). (*Matter of Director of Assigned Counsel Plan of City of N.Y. [Bodek],* 87 NY2d 191; *Matter of Werfel v Agresta,* 36 NY2d 624; *Matter of Met Council v Crosson,* 84 NY2d 328; *Corkum v Bartlett,* 46 NY2d 424; *Durante v Evans,* 94 AD2d 141, 62 NY2d 719; *Matter of Kindlon v County of Rensselaer,* 158 AD2d 178; *Matter of Gilman v Golfinopoulous,* 284 AD2d 224; *People v Perry,* 27 AD2d 154; *Kraham v Mathews,* 305 AD2d 746, 100 NY2d 512; *Matter of McLaughlin v Mathews,* 290 AD2d 846.) II. The Chief Administrative Judge created the administrative review process for excess compensation awards through a valid delegation from the Chief Judge. (*Matter of Met Council v Crosson,* 84 NY2d 328; *Matter of Kindlon v County of Rensselaer,* 158 AD2d 178.) III. Rules of the Chief Administrator of the Courts (22 NYCRR) § 127.2 (b) was not subject to the requirement of section 28 (c) of article VI of the New York Constitution that an administrative policy be approved by the Court of Appeals prior to being promulgated. (*Corkum v Bartlett,* 46 NY2d 424; *Matter of Werfel v Agresta,* 36 NY2d 624; *Matter of Director of Assigned Counsel Plan of City of N.Y. [Bodek]*, 87 NY2d 191; *People v Perry,* 27 AD2d 154; *Bankers Trust Co. v Braten,* 101 Misc 2d 227; *Matter of Morgenthau v Cooke,* 56 NY2d 24.) IV. The administrative review procedures created by Rules of the Chief Administrator of the Courts (22 NYCRR) § 127.2 (b) are not governed by section 30 of article VI of the New York Constitution. (*Matter of Werfel v Agresta,* 36 NY2d 624; *Matter of Director of Assigned Counsel Plan of City of N.Y. [Bodek],* 87 NY2d 191; *Matter of Kindlon v County of Rensselaer,* 158 AD2d 178.) V. The Chief Administrator's constitutional authority to review assigned counsel fee awards is not eroded by section 722-b of the County Law. (*Matter of Werfel v Agresta,* 36 NY2d 624; *Matter of Met Council v Crosson,* 84 NY2d 328; *Durante v Evans,* 94 AD2d 141; *Tenney v Sise,* 122 AD2d 370, 68 NY2d 910; *Bartlett v Evans,* 110 AD2d 612; *Matter of Kindlon v County of Rensselaer,* 158 AD2d 178; *Byrnes v County of Monroe,* 129 AD2d 229; *People v Perry,* 27 AD2d 154; *Matter of Delmar Box Co. [Aetna Ins. Co.],* 309 NY 60.)

Wilmer Cutler Pickering Hale and Dorr LLP, New York City (*Peter J. Macdonald, Dyan Finguerra-DuCharme* and *Kerry A. Malloy* of counsel), for respondents. I. The Appellate Division should be affirmed because the Chief Administrative Judge's power to ''supervise the administration and operation of the unified court system'' does not include the power to overrule or modify a trial court's discretionary decision. (*Byrnes v County of Monroe,* 129 AD2d 229; *Matter of Werfel v Agresta,* 36 NY2d 624; *Matter of Director of Assigned Counsel Plan of City of N.Y. [Bodek],* 87 NY2d 191; *People v Hemmings,* 2 NY3d 1; *People v Barber,* 74 NY2d 653; *People v Dawson,* 249 AD2d 977; *McDonald v Northside Sav. Bank,* 184 AD2d 426; *Matter of Rattner v Planning Commn. of Vil. of Pleasantville,* 156 AD2d 521; *Balogh v H.R.B. Caterers,* 88 AD2d 136; *People v Witenski,* 15 NY2d 392.) II. The Chief Administrative Judge did not promulgate Rules of the Chief Administrator of the Courts (22 NYCRR) § 127.2 (b) pursuant to a delegated authority under article VI, § 28 (b) of the New York Constitution. (*Matter of Morgenthau v Cooke,* 56 NY2d 24.) III. The procedure set forth in article VI, § 28 (c) of the New York Constitution must be followed because Rules of the Chief Administrator of the Courts (22 NYCRR) § 127.2 (b) is a statewide administrative policy. (*Matter of Mor-*

genthau v Cooke, 56 NY2d 24; *Corkum v Bartlett,* 46 NY2d 424; *Matter of Werfel v Agresta,* 36 NY2d 624; *Matter of Director of Assigned Counsel Plan of City of N.Y. [Bodek],* 87 NY2d 191.) IV. The Chief Administrative Judge does not have the power to enact a rule that conflicts with the Legislature's intent to vest the trial court with final authority to award enhanced fees. (*Matter of Kindlon v County of Rensselaer,* 158 AD2d 178; *People v Perry,* 27 AD2d 154; *Byrnes v County of Monroe,* 129 AD2d 229; *Matter of Director of Assigned Counsel Plan of City of N.Y. [Bodek],* 159 Misc 2d 109.)

Michael A. Cardozo, Corporation Counsel, New York City (*Leonard Koerner, Larry A. Sonnenshein* and *Julian L. Kalkstein* of counsel), for City of New York, amicus curiae. The promulgation of Rules of the Chief Administrator of the Courts (22 NYCRR) § 127.2 (b) authorizing administrative judges to modify assigned counsel fee awards made by a trial judge was a valid exercise of the Chief Administrator's powers that provides a necessary layer of review of what were once unilateral trial court determinations to spend public monies. (*Matter of Werfel v Agresta,* 36 NY2d 624; *Matter of Director of Assigned Counsel Plan of City of N.Y. [Bodek],* 207 AD2d 307, 87 NY2d 191; *Babigian v Wachtler,* 181 AD2d 640; *Matter of Gilman v Golfinopoulous,* 284 AD2d 224; *Matter of Kindlon v County of Rensselaer,* 158 AD2d 178; *Corkum v Bartlett,* 46 NY2d 424; *People v Brisman,* 173 Misc 2d 573; *People v Perry,* 27 AD2d 154; *Matter of Burk,* 6 AD2d 429; *People v Walker,* 135 Misc 2d 370.)

Edwin David Robertson, New York City, and *Malvina Nathanson* for New York County Lawyers' Association, amicus curiae. I. Rules of the Chief Administrator of the Courts (22 NYCRR) § 127.2 does not fall within the powers given directly to the Chief Administrator by the New York Constitution. (*People v Perry,* 27 AD2d 154.) II. The decision that extraordinary circumstances in a particular case justify paying an attorney at higher than the statutorily fixed rate is not an administrative task. (*Matter of Werfel v Agresta,* 36 NY2d 624; *Matter of Director of Assigned Counsel Plan of City of N.Y. [Bodek],* 87 NY2d 191; *People v Diehl,* 286 App Div 1150; *People v Heiselbetz,* 30 App Div 199; *Matter of Abrams [John Anonymous],* 62 NY2d 183; *Matter of Hynes v Karassik,* 47 NY2d 659; *Matter of Cunningham v Nadjari,* 39 NY2d 314.) III. Rules of the Chief Administrator of the Courts (22 NYCRR) § 127.2 (b) is bad policy. (*Flushing Natl. Bank v Municipal Assistance Corp. for City of N.Y.,* 40 NY2d 731.)

Hinman Straub P.C., Albany (*Bartley J. Costello, III, David W. Novak* and *Patrick J. O'Keeffe* of counsel), for Association of Justices of the Supreme Court of the State of New York and another, amici curiae. I. Rules of the Chief Administrator of the Courts (22 NYCRR) § 127.2 (b) exceeds the Chief Administrator's powers, which are limited to those expressly delegated or provided by law. (*Matter of Morgenthau v Cooke,* 56 NY2d 24; *Byrnes v County of Monroe,* 129 AD2d 229; *People ex rel. Peck v Board of Supervisors of Genesee County,* 61 App Div 545, 168 NY 640; *Matter of Director of Assigned Counsel Plan of City of N.Y. [Bodek],* 87 NY2d 191.) II. The Chief Administrator's ''administrative'' authority must yield to the Legislature's reserved power to regulate practice and procedure in the courts. (*Matter of Morgenthau v Cooke,* 56 NY2d 24; *People v Perry,* 27 AD2d 154; *Byrnes v County of Monroe,* 129 AD2d 229; *Matter of Director of Assigned Counsel Plan of City of N.Y. [Bodek],* 159 Misc 2d 109, 207 AD2d 307, 87 NY2d 191; *People v Elliot,* 98 Misc 2d 424; *Matter of Werfel v Agresta,* 36 NY2d 624.) III. Rules of the Chief Administrator of the Courts (22 NYCRR) § 127.2 (b) invades the traditional purview of the courts. (*Matter of Morgenthau v Cooke,* 56 NY2d 24; *Balogh v H.R.B. Caterers,* 88 AD2d 136; *Michel v Michel,* 31 AD2d 313; *Matter of Wright v County of Monroe,* 45 AD2d 932; *People v Brisman,* 173 Misc 2d 573.)

Jonathan E. Gradess, Albany, *Richard D. Willstatter, Joshua L. Dratel* and *Stephanie J. Batcheller* for New York State Defenders Association and others, amici curiae. The exercise of fee-setting authority by a trial court pursuant to County Law §§ 722-b and 722-c is not the exercise of court administrative business and not subject to regulation by rule of the Chief Administrative Judge. (*Gideon v Wainwright,* 372 US 335; *People v Witenski,* 15 NY2d 392; *Matter of Smiley,* 36 NY2d 433; *Matter of Met Council v Crosson,* 84 NY2d 328; *Durante v Evans,* 94 AD2d 141; *Corkum v Bartlett,* 46 NY2d 424; *Matter of Werfel v Agresta,* 36 NY2d 624; *People v Fortune,* 178 Misc 2d 499; *Byrnes v County of Monroe,* 129 AD2d 229; *Matter of Kindlon v County of Rensselaer,* 158 AD2d 178.)

OPINION OF THE COURT

Per Curiam.

The issue presented in this appeal is whether the Chief Administrative Judge acted within the authority granted him by the New York State Constitution when he amended section

127.2 (b) of the Rules of the Chief Administrator of the Courts (22 NYCRR 127.2 [b]). As amended, the rule permits an administrative judge to review an order of a trial judge setting an award of compensation in excess of the statutory limits set forth in section 722-b of the County Law. We conclude that the Chief Administrative Judge acted within his authority and declare that section 127.2 (b) is valid.

Article 18-B of the County Law requires all counties to maintain a plan to provide counsel to individuals charged with a crime or who are otherwise statutorily entitled to representation (County Law § 722). One manner in which a county may furnish representation is through a bar association plan in which the services of private counsel are rotated and coordinated by an administrator (the Assigned Counsel Plan) (County Law § 722 [3]). Section 722-b of the County Law governs the compensation rates for attorneys who participate in the Assigned Counsel Plan. During the period relevant to this case, County Law § 722-b provided that attorneys participating in the Assigned Counsel Plan be compensated at a rate not to exceed $25 per hour for work performed outside of court and $40 per hour for work performed in court, plus reasonable expenses. The provision further imposed a cap of $800 for misdemeanor cases and $1,200 for felony cases and all appellate matters.[1] However, upon application to the court, compensation in excess of these statutory limits could be paid upon a showing of ''extraordinary circumstances.'' (County Law § 722-b [3].)

These assigned counsel rates, in effect since 1986, have worked a hardship upon the assigned counsel system as the number of attorneys willing to participate in the program severely decreased because the fees were inadequate. At the same time, the number of individuals in need of assigned representation increased, causing many trial courts to struggle to find attorneys willing to represent indigent defendants in criminal proceedings. There arose a growing concern that the lack of attorneys available to represent indigent criminal defendants threatened to deny such individuals their federal and state constitutional rights. To alleviate the problem, a number of trial

1. County Law § 722-b has since been amended. Effective January 1, 2004, compensation rates for assigned counsel were increased to $75 per hour (for work performed in and out of court) for felony cases and appeals, with a maximum compensation limit of $4,400. For misdemeanor cases, the compensation rates were increased to $60 per hour, with a maximum limit of $2,400.

judges authorized enhanced compensation awards for assigned counsel. These judges concluded that the loss of attorneys from the assigned counsel panels due to the existing rate structure constituted an extraordinary circumstance justifying an enhanced hourly rate to ensure the availability of qualified attorneys to provide constitutionally required representation.

This practice prompted protests from localities responsible for paying these enhanced awards. There was, however no mechanism to review these enhanced awards, either judicially or administratively. In 2001, after consulting with the Administrative Board of the Courts, the Chief Administrative Judge amended section 127.2 to vest the power to review these awards with the appropriate administrative judge. Specifically, the Chief Administrative Judge amended section 127.2 (b) to give administrative judges the power to review enhanced awards, with or without application, and to modify an award "if it is found that the award reflects an abuse of discretion by the trial judge."[2]

Plaintiffs Leonard Levenson, Richard A. Siracusa and James H. Tatem are all criminal defense attorneys who participate in the Assigned Counsel Plan, Felony Panel for the County of New York, representing indigent defendants in criminal proceedings. As relevant here, plaintiffs were appointed to represent indigent defendants in five separate criminal proceedings. In each of the underlying proceedings, plaintiffs submitted applications to the presiding trial judge requesting compensation in excess of the statutory limit, and in each instance the respective trial judge determined that extraordinary circumstances warranted an upward departure from the statutory rates. One Justice ordered compensation for Levenson at an hourly rate of $75 for work performed in and out of court, for an aggregate compensation of $10,462.50. Upon Levenson's application in a separate trial, another Justice ordered that Levenson be compensated at an hourly rate of $65 for in court work and $25 for out of court work, totaling $4,007.50. Similarly, a Justice ordered that Siracusa be paid an hourly rate of $75, for a total of $4,875. Tatem's application for compensation in one case resulted in a Justice ordering that he be paid at a rate of $75 per hour, for a

2. Prior to the amendment, section 127.2 (b) provided that, upon proper application to review an award of enhanced attorney's fees, the trial judge could reconsider the award in consultation with the appropriate administrative judge. The final determination of the fees, however, remained with the trial judge.

total of $2,118.75. Pursuant to an application in a separate case, another Justice ordered that Tatem be compensated at a rate of $75 per hour, for an aggregate of $3,488.35.

In each case, the Director of the Assigned Counsel Plan submitted a request for review of the enhanced fee awards to Administrative Judge Micki A. Scherer, whom the Chief Administrative Judge appointed pursuant to section 127.2 (b) to review such excess compensation awards in the Supreme Court, Criminal Term, First Judicial District. Judge Scherer modified each enhanced award by reducing the compensation to the maximum rates set forth in County Law § 722-b.

In January 2002, plaintiffs Siracusa and Tatem commenced a declaratory judgment action against defendants Jonathan Lippman, in his official capacity as Chief Administrative Judge of the Courts, Judge Scherer and the New York State Office of Court Administration challenging the constitutionality of section 127.2 (b). In May 2002, plaintiff Levenson brought a similar action, which was subsequently consolidated with the Siracusa/Tatem action pursuant to a stipulation. Plaintiffs, in their respective complaints, asserted that section 127.2 (b) ‘‘unconstitutionally permitted the establishment of an appellate court by delegating the power to review a trial court's order to’’ an administrative judge.

Ruling on plaintiffs' declaratory judgment action, Supreme Court declared that (1) in amending section 127.2 (b), the Chief Administrative Judge did not exceed the authority granted to him by the New York Constitution and the New York Legislature; (2) section 127.2 (b) is neither invalid nor unconstitutional; and (3) Judge Scherer's orders modifying the awards of compensation granted by the trial judges are valid. Rejecting plaintiffs' argument that the trial courts' exercise of discretion in the award of enhanced compensation fees was not subject to review, the court, relying on *Matter of Werfel v Agresta* (36 NY2d 624 [1975]) and *Matter of Director of Assigned Counsel Plan of City of N.Y.* (*Bodek*) (87 NY2d 191 [1995]), stated that ‘‘compensation awarded to assigned counsel is not reviewable by the appellate courts, but can only be reviewed on an administrative level.’’ The court also concluded that section 127.2 (b) was validly amended pursuant to the power conferred upon the Chief Administrative Judge by article VI, § 28 (b) of the Constitution to ‘‘adopt administrative rules for the efficient and orderly transaction of business in the trial courts,’’ as delegated by the Chief Judge in 22 NYCRR 80.1 (b) (6).

The Appellate Division reversed Supreme Court's judgment, vacated Judge Scherer's orders modifying the trial courts' excess compensation awards, reinstated the original excess compensation awards and declared section 127.2 (b) null and void. The Court concluded that the authority of the administrative judge to review the trial judges' award of enhanced compensation provided in section 127.2 (b) was inconsistent with New York Constitution, article VI, § 30, which grants individual courts the power to adopt such rules and regulations as are ''consistent with the general practice and procedure as provided by statute or general rules.'' In particular, the Court stated that section 127.2 (b) violated article VI, § 30 because it usurped the Appellate Division's authority, pursuant to CPLR 5501 (c) and 5701, to review the merits of an order of the Supreme Court. Thus, the Court held that section 127.2 (b), as amended, effectuated an unconstitutional transfer of appellate jurisdiction from the Appellate Division to administrative judges, who ''lack[ ] any constitutional or statutory appellate authority and who [are] further constrained by the well-settled proscription against issuing a ruling in contravention of an order of a court of coordinate jurisdiction.'' (5 AD3d 86, 87 [2004].)

Defendants appealed to this Court as a matter of right on constitutional grounds, pursuant to CPLR 5601 (b), and we now reverse the order of the Appellate Division and reinstate the judgment of Supreme Court.

In *Matter of Werfel v Agresta* (36 NY2d 624 [1975]), the petitioner was a participant in the Assigned Counsel Plan and was awarded compensation that fell within the statutory limits. The petitioner brought a CPLR article 78 proceeding seeking an increase in compensation. Concluding that the assignment of compensation to assigned counsel pursuant to County Law § 722-b was administrative in nature and did not concern the performance of an adjudicative function, we held that there was ''no basis for justiciable review of allowances to counsel made within the maximums provided by the statute'' (*id.* at 627). We did, however, leave open the possibility that an assigned attorney entitled to an adjustment in compensation could apply for it through the appropriate administrative judge or even to the Administrative Board of the court system (*see id.*).

In *Matter of Director of Assigned Counsel Plan of City of N.Y.* (*Bodek*) (87 NY2d 191 [1995]) we reaffirmed our determination that a trial judge's award of compensation pursuant to County Law § 722-b was an administrative act not subject to judicial review. There, two trial judges awarded excess compensation to a court-appointed social worker pursuant to County Law § 722-c. After the same trial judges denied the requests from the Director of the Assigned Counsel Plan to reduce the compensation awards, the Director attempted to appeal the awards. The Appellate Division declined to consider the merits of the appeals, holding that they were not reviewable. This Court affirmed.

Initially, we noted that, as to appealability, there was no meaningful distinction between the County Law §§ 722 and 722-b assigned-counsel compensation order to be appealed in *Werfel* and the County Law § 722-c assigned-expert compensation orders in *Bodek*. We went on to hold that "[s]uch orders are essentially administrative in nature and, accordingly, are not amenable to judicial review on the merits by an appellate panel." (87 NY2d at 194.) Finally, this Court stated, "[t]o the extent that the trial courts' unreviewable discretion produces truly anomalous consequences or patterns of abuse in particular situations, the problem can and should be addressed through the available administrative tools." (*Id.*)

We reaffirm our holdings in *Werfel* and *Bodek* today. In doing so, we disagree with the Appellate Division's conclusion that, by promulgating section 127.2 (b), the Chief Administrative Judge unconstitutionally divested the Appellate Division of its jurisdiction to review compensation orders issued by the Supreme Court by assigning that power to administrative judges. Indeed, the Appellate Division's holding is the very opposite of its holding in *Bodek*, which we affirmed. Because, under *Bodek* and *Werfel*, the appellate courts have no power to review a trial court's excess compensation award, and this Court's decisions contemplated administrative review of such awards, section 127.2 (b) does not confer upon an administrative judge any authority that would otherwise belong to the appellate courts.

We further conclude that the Chief Administrative Judge properly adopted section 127.2 (b) pursuant to his regulatory power under the State Constitution and the Judiciary Law. New York Constitution, article VI, § 28 (b) states:

> "The chief administrator, on behalf of the chief judge, shall supervise the administration and operation of the unified court system. In the exercise of such responsibility, the chief administrator of the courts shall have such powers and duties as may be delegated to him or her by the chief judge and such

> additional powers and duties as may be provided by law.''

Moreover, Judiciary Law § 212 (1) states that it is the role of the Chief Administrator of the Courts to ''supervise the administration and operation of the unified court system'' on behalf of the Chief Judge. In the exercise of that responsibility, section 212 (1) provides that the Chief Administrator ''shall have such powers and duties as may be delegated to him by'' the Chief Judge.

The powers and duties of the Chief Administrative Judge, as delegated by the Chief Judge, are set forth in 22 NYCRR 80.1, which in pertinent part provides:

> ''(b) In the exercise of this delegated responsibility and in accordance with the standards and administrative policies established, approved and promulgated pursuant to article VI, section 28 (c) of the Constitution, the Chief Administrator shall: . . .
>
> ''(6) adopt administrative rules for the efficient and orderly transaction of business in the trial courts, including but not limited to calendar practice, in consultation with the Administrative Board of the Courts or the appropriate Appellate Divisions.''

Defendants maintain, and we agree, that with the advice and consent of the Administrative Board, the Chief Administrator properly promulgated section 127.2 (b) pursuant to his delegated authority to adopt rules for the efficient and orderly transaction of trial court business. The allocation of finite financial resources for the payment of assigned counsel is a concern for court administrators, and the Chief Administrator validly adopted section 127.2 (b) pursuant to the authority delegated to him under 22 NYCRR 80.1.

Finally, we find unpersuasive plaintiffs' argument that section 127.2 (b) violates New York Constitution, article VI, § 30 by intruding upon the Legislature's authority to regulate proceedings in law.[3] More particularly, plaintiffs maintain that the regulation conflicts with the Legislature's intent, as expressed

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3. New York Constitution, article VI, § 30 states:

''The legislature shall have the same power to alter and regulate the jurisdiction and proceedings in law and in equity that it has heretofore exercised. The legislature may, on such terms as it shall provide and subject to subsequent modification, delegate, in whole or in part, to a court, including the appellate division of

(n. cont'd)

in County Law § 722-b, to vest trial courts with exclusive authority to fix assigned counsel fees. We disagree. By making no provision in the County Law for any review of excess compensation awards, the Legislature simply created a gap in the administrative process that the Chief Administrator was entitled to fill. Otherwise, these awards would be wholly unreviewable. While plaintiffs seek this result, we cannot agree with it. Additionally, given that the award of compensation fees is an administrative rather than a judicial act of the trial judge, the Legislature could not by statute divest the Chief Administrator of his authority under New York Constitution, article VI, § 28 to supervise the administration and operation of the Unified Court System on behalf of the Chief Judge (*see Matter of Met Council, Inc. v Crosson*, 84 NY2d 328, 335 [1994] [where the powers of the Chief Administrator flow from the State Constitution, they cannot be abrogated by statute]).

Accordingly, the order of the Appellate Division should be reversed, with costs, and the judgment of Supreme Court reinstated.

ROSENBLATT, J. (concurring). Although I join the Court's opinion without reservation, I write separately to acknowledge the Appellate Division's concern—so ardently expressed in the case before us—that Rules of the Chief Administrator of the Courts (22 NYCRR) § 127.2 (b) would divest that Court of the power to review orders of the kind involved here. Although I agree that the Chief Administrative Judge had the authority to promulgate section 127.2 (b), I note that he did so only after the Legislature did not enact 1995 NY Senate Bill S 4481. Under that bill, which was introduced at the request of the Office of Court Administration on the recommendation of the Administrative Board of the Courts, the Appellate Division would have been given authority to conduct expedited reviews of enhanced payment vouchers.* That would have satisfied the issues raised by the Appellate Division, while filling "a void in the . . . statutory framework" (Senate Introducer Mem in Support, 1995 NY

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the supreme court, or to the chief administrator of the courts, any power possessed by the legislature to regulate practice and procedure in the courts. The chief administrator of the courts shall exercise any such power delegated to him or her with the advice and consent of the administrative board of the courts. Nothing herein contained shall prevent the adoption of regulations by individual courts consistent with the general practice and procedure as provided by statute or general rules."

* In pertinent part, the proposed legislation read,

(n. cont'd)

Senate Bill S 4481), which otherwise lacked any provision for review of enhanced payment vouchers.

As amici, the Association of Justices of the Supreme Court of the State of New York and Association of Supreme Court Justices for the City of New York oppose section 127.2 (b), in part because it allows administrative judges to overrule the orders of other judges of ''co-ordinate jurisdiction.'' S 4481 would have also obviated that objection.

A decade ago, keenly sensitive to the viewpoint of the trial and appellate justices, the court administration sought passage of S 4481, which would have authorized review by the Appellate Division, instead of review by administrative judges. Because the Senate bill was never enacted, the Chief Administrative Judge exercised his powers to provide for administrative review, the only review he could institute without legislation. Given this background, the Legislature may wish to consider vesting the Appellate Division with the authority to review vouchers of this type, as contemplated by S 4481. In that fashion, the best of both worlds would be realized: filling a void in oversight and giving that oversight to an appellate tribunal.

Judges G.B. SMITH, CIPARICK, ROSENBLATT, GRAFFEO, READ and R.S. SMITH concur in per curiam opinion; Judge ROSENBLATT concurs in a separate concurring opinion; Chief Judge KAYE taking no part.

Order reversed, etc.

''Any order of a trial court determining a claim for compensation or reimbursement hereunder shall be subject to review in the court having appellate jurisdiction of the action in which the claim was made upon application of the claimant or the political subdivision upon which payment of the claim is a charge. The appellate court shall provide for the expedited determination of such application and may confirm, increase, or decrease the compensation or reimbursement awarded.''

[827 NE2d 265, 794 NYS2d 282]

WENDE C. et al., Appellants, v UNITED METHODIST CHURCH, NEW YORK WEST AREA, Defendant, and WESTERN NEW YORK CONFERENCE OF UNITED METHODIST CHURCH et al., Respondents.

Argued January 4, 2005; decided February 22, 2005

SUMMARY

APPEAL from an order of the Appellate Division of the Supreme Court in the Fourth Judicial Department, entered April 30, 2004. The Appellate Division, with two Justices dissenting, affirmed an order of the Supreme Court, Monroe County (Andrew V. Siracuse, J.), which had dismissed the complaint and denied plaintiffs' motions and cross motion for summary judgment.

Wende C. v United Methodist Church, N.Y. W. Area, 6 AD3d 1047, affirmed.

HEADNOTES

Limitation of Actions — One-Year Statute of Limitations — Battery

1. In an action to recover for damages allegedly sustained as a result of sexual contact between plaintiff congregant and defendant pastor, any battery cause of action arising from unwanted touching of plaintiff by defendant that occurred more than one year prior to the commencement of plaintiffs' action was barred by the applicable one-year statute of limitations (*see* CPLR 215 [3]).

Torts — Assault and Battery — Sexual Battery

2. In an action to recover for damages allegedly sustained as a result of a sexual relationship between plaintiff congregant and defendant pastor, defendant was properly granted summary judgment sua sponte on plaintiffs' claim of sexual battery. A valid claim for battery exists where a person intentionally touches another without that person's consent. There was no dispute that the pastor intended the subject physical contact with plaintiff, and, as a matter of law, the sexual relationship between the parties was consensual. No record evidence existed that either plaintiff's physical or emotional condition or prescribed medication impaired her ability to engage in a romantic relationship with the pastor or to consent to his physical contact. Further, there was no proof that plaintiff suffered from infancy, mental impairment or physical helplessness so as to render her consent impossible.

Pleading — Sufficiency of Pleading — Breach of Fiduciary Duty by Minister

3. In an action to recover for damages allegedly sustained as a result of a sexual relationship between plaintiff congregant and defendant pastor which occurred while plaintiff and her husband were undergoing ministerial counseling, the complaint was insufficient to state a cause of action for breach of fiduciary duty. While the complaint's brief reference to a ''sacred trust'' may argu-

ably be couched as alluding to a fiduciary duty, the surrounding language and the allegations that followed sounded in clergy malpractice, which would improperly require courts to examine ecclesiastical doctrine in an effort to determine the standard of due care owed to parishioners undergoing ministerial counseling.

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By the Publisher's Editorial Staff

AM JUR 2d, Assault and Battery §§ 94, 96, 124–126, 159; AM JUR 2d, Limitation of Actions §§ 142, 144; AM JUR 2d, Religious Societies §§ 58, 61, 62, 71, 73.

CARMODY-WAIT 2d, Limitation of Actions § 13:60.

MCKINNEY'S, CPLR 215 (3).

NY JUR 2d, Assault—Civil Aspects §§ 7, 17–19, 23, 25; NY JUR 2d, Limitations and Laches § 133; NY JUR 2d, Religious Organizations § 56.

PROSSER AND KEETON, TORTS (5th ed) § 9.

SIEGEL, NY PRAC § 35.

ANNOTATION REFERENCE

Liability of church or religious society for sexual misconduct of clergy. 5 ALR5th 530.

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POINTS OF COUNSEL

Christina A. Agola, Rochester, for appellants. I. The Appellate Division erred in affirming the decision of the trial court that granted Pastor T. summary judgment sua sponte on the claim of sexual battery. (*Alvarez v Prospect Hosp.,* 68 NY2d 320; *Winegrad v New York Univ. Med. Ctr.,* 64 NY2d 851; *Zuckerman v City of New York,* 49 NY2d 557; *Sillman v Twentieth Century-Fox Film Corp.,* 3 NY2d 395; *Lui v Park Ridge at Terryville Assn.,* 196 AD2d 579; *Ferrante v American Lung Assn.,* 90 NY2d 623; *Glick & Dolleck v Tri-Pac Export Corp.,* 22 NY2d 439; *S.J. Capelin Assoc. v Globe Mfg. Corp.,* 34 NY2d 338; *Prozeralik v Capital Cities Communications,* 82 NY2d 466; *Joshua S. v Casey,* 206 AD2d 839.) II. Claims for breach of fiduciary duty are not barred by the First Amendment. (*Employment Div., Dept. of Human Resources of Or. v Smith,* 494 US 872; *Cantwell v Connecticut,* 310 US 296; *Avitzur v Avitzur,* 58 NY2d 108, 464 US 817; *First Presbyt. Church of Schenectady v United Presbyt.*

Church in U.S. of Am., 62 NY2d 110, 469 US 1037; *Park Slope Jewish Ctr. v Congregation B'nai Jacob,* 90 NY2d 517; *Jones v Wolf,* 443 US 595; *Langford v Roman Catholic Diocese of Brooklyn,* 271 AD2d 494; *Jones v Trane,* 153 Misc 2d 822; *Sanders v Casa View Baptist Church,* 134 F3d 331, 898 F Supp 1169.) III. Clergy malpractice is distinguishable from breach of fiduciary duty. (*Penato v George,* 52 AD2d 939; *Martinelli v Bridgeport R.C. Diocesan Corp.,* 196 F3d 409; *Sanders v Casa View Baptist Church,* 134 F3d 331; *Schmidt v Bishop,* 779 F Supp 321; *Langford v Roman Catholic Diocese of Brooklyn,* 271 AD2d 494; *First Presbyt. Church of Schenectady v United Presbyt. Church in U.S. of Am.,* 62 NY2d 110; *Sharon B. v Reverend S.,* 244 AD2d 878; *Jones v Trane,* 153 Misc 2d 822; *Roy v Hartogs,* 81 Misc 2d 350; *Reynold v United States,* 98 US 145.) IV. The Appellate Division erred in granting summary judgment to defendants Western New York Conference of the United Methodist Church, David Lubba, and Bishop Hae-Jong Kim for negligent hiring, supervision and retention. (*Curtis v City of Utica,* 209 AD2d 1024; *Kirkman v Astoria Gen. Hosp.,* 204 AD2d 401, 84 NY2d 811, 85 NY2d 858; *Kenneth R. v Roman Catholic Diocese of Brooklyn,* 229 AD2d 159.)

Trevett, Lenweaver & Salzer, P.C., Rochester (*James C. Gocker* and *A. Katherine Piccola* of counsel), for Bishop Hae-Jong Kim, respondent. I. The Appellate Division properly affirmed the decision of the trial court in granting Pastor T. summary judgment sua sponte on the claim of sexual battery. (*Alvarez v Prospect Hosp.,* 68 NY2d 320; *Peters v Frontier Hot-Dip Galvanizing,* 222 AD2d 1113; *Merritt Hill Vineyards v Windy Hgts. Vineyard,* 61 NY2d 106; *Hart v Child's Nursing Home Co.,* 298 AD2d 721; *Sharon B. v Reverend S.,* 244 AD2d 878; *Doe v Roe,* 192 AD2d 1089; *Sanders v Rosen,* 159 Misc 2d 563; *Coopersmith v Gold,* 172 AD2d 982.) II. Plaintiffs' unpleaded claim for breach of a fiduciary duty by a clergy member is barred by the First Amendment, and the Appellate Division properly found that Bishop Hae-Jong Kim did not breach a fiduciary duty to plaintiffs. (*Weil, Gotshal & Manges v Fashion Boutique of Short Hills,* 10 AD3d 267; *Proskauer Rose v Asia Elecs. Holding Co.,* 2 AD3d 196; *Murray Hill Invs. v Parker Chapin Flattau & Klimpl,* 305 AD2d 228; *Turk v Angel,* 293 AD2d 284; *InKine Pharm. Co. v Coleman,* 305 AD2d 151; *Daniels v Lebit,* 299 AD2d 310; *Leather v United States Trust Co. of N.Y.,* 279 AD2d 311; *Tyborowski v Cuddeback & Onofry,* 279 AD2d 763; *Langford v Roman Catholic Diocese of Brooklyn,* 271 AD2d 494; *Ehrens v Lutheran Church-Mo. Synod,* 269 F Supp 2d 328.) III. The Appellate Division properly granted summary judgment in favor of Bishop Hae-Jong Kim because he cannot be vicariously liable for Pastor T.'s alleged conduct. (*Judith M. v Sisters of Charity Hosp.,* 93 NY2d 932; *Jones v Weigand,* 134 App Div 644; *Paul J.H. v Lum,* 291 AD2d 894; *Koren v Weihs,* 190 AD2d 560; *Noto v St. Vincent's Hosp. & Med. Ctr. of N.Y.,* 160 AD2d 656, 76 NY2d 714; *Joshua S. v Casey,* 206 AD2d 839.) IV. The Appellate Division properly found that plaintiffs' claim for breach of fiduciary duty was, in essence, a claim for clergy malpractice which is not cognizable in New York. (*Schmidt v Bishop,* 779 F Supp 321; *Joshua S. v Casey,* 206 AD2d 839; *Trott v Merit Dept. Store,* 106 AD2d 158; *Masters v Becker,* 22 AD2d 118; *Mazzaferro v Albany Motel Enters.,* 127 AD2d 374; *Rafferty v Arnot Ogden Mem. Hosp.,* 140 AD2d 911; *Jones v Trane,* 153 Misc 2d 822.) V. The Appellate Division properly found no issues of material fact exist as to plaintiffs' negligent hiring, retention and/or supervision claims. (*Honohan v Martin's Food of S. Burlington,* 255 AD2d 627; *Rodriguez v United Transp. Co.,* 246 AD2d 178; *Paul J.H. v Lum,* 291 AD2d 894; *Karaduman v Newsday, Inc.,* 51 NY2d 531.)

Bond, Schoeneck & King, PLLC, Syracuse (*Jonathan B. Fellows* and *Brian J. Butler* of counsel), for Western New York Conference of the United Methodist Church and another, respondents. I. The majority below properly held that the relationship between Pastor T. and Wende C. is not actionable as a battery. (*Sanders v Rosen,* 159 Misc 2d 563; *Coopersmith v Gold,* 172 AD2d 982.) II. The majority below properly held that appellants' unpleaded claim for breach of fiduciary duty is indistinguishable from the unrecognized cause of action for clergy malpractice. (*Lightman v Flaum,* 97 NY2d 128; *Schmidt v Bishop,* 779 F Supp 321; *Langford v Roman Catholic Diocese of Brooklyn,* 271 AD2d 494; *Dausch v Rykse,* 52 F3d 1425; *Proskauer Rose v Asia Elecs. Holding Co.,* 2 AD3d 196; *Murray Hill Invs. v Parker Chapin Flatteau & Klimpl,* 305 AD2d 228; *Turk v Angel,* 293 AD2d 284; *InKine Pharm. Co. v Coleman,* 305 AD2d 151; *Daniels v Lebit,* 299 AD2d 310; *Leather v United States Trust Co. of N.Y.,* 279 AD2d 311.) III. The majority below properly held that the Western New York Conference of the United Methodist Church and David Lubba are not vicariously liable to plaintiffs. (*Schmidt v Bishop,* 779 F Supp 321; *Karaduman v Newsday, Inc.,* 51 NY2d 531; *Paul J.H. v Lum,* 291 AD2d 894; *Joshua S. v Casey,* 206 AD2d 839.)

OPINION OF THE COURT

CIPARICK, J.

Plaintiffs Wende C. and David C. were parishioners at Hosanna Junction United Methodist Church. During the period between January 1999 and April 2000, they sought individual counseling services from the church pastor Dr. G. Charles T. (Pastor T.). In the course of engaging in apparently intermittent ministerial counseling, Wende C. and the pastor developed a sexual relationship that lasted several months. On November 2, 2000, after David discovered the affair, plaintiffs commenced this action against defendants Pastor T., the Hosanna Junction United Methodist Church and various other ecclesiastical entities and officials for sexual battery, intentional infliction of emotional distress, clergy malpractice and negligent retention and supervision.

Supreme Court denied plaintiffs' motions and cross motion for summary judgment, granted summary judgment sua sponte to the pastor, and granted the motion and cross motions of the remaining defendants for summary judgment, dismissing the complaint in its entirety. Plaintiffs appealed, and a divided Appellate Division affirmed. As relevant here, the majority held that the claims of battery—arising from incidents of touching that occurred more than a year prior to commencement of this action—were time-barred (*see* CPLR 215 [3]). As to the remaining encounters between Wende C. and Pastor T., the majority concluded that the record established as a matter of law that their ''romantic attachment was mutual and the[ir] sexual contact [was] consensual'' (6 AD3d 1047, 1049 [2004]).

The majority next addressed plaintiffs' argument that, in carrying on a sexual relationship with Wende C., the pastor breached his fiduciary duty.[1] While noting that plaintiffs failed to plead this cause of action, the majority concluded ''that there is no meaningful analytical distinction between a cause of action for breach of fiduciary duty by a cleric and one for clergy malpractice'' (*id.* at 1050). Finally, the majority dismissed the negligent supervision and retention claims on the ground that no vicarious liability existed in the absence of any wrongful or actionable conduct by Pastor T.

Two Justices dissented in part, voting to reinstate the sexual battery and breach of fiduciary duty causes of action against

1. It should be noted that Pastor T. had no license for professional counseling that might give rise to a complaint under the Education Law.

Pastor T. and the claims of negligent supervision and retention against defendants Western New York Conference of the United Methodist Church, District Superintendent David Lubba and Resident Bishop Hae-Jong Kim. Plaintiffs appeal as of right based on the two-Justice dissent, and we now affirm.

[1] It is well settled that Supreme Court may grant a party summary judgment absent a cross motion for such relief where judgment is required as a matter of law (*see* CPLR 3212 [b]). A valid claim for battery exists where a person intentionally touches another without that person's consent (*see* PJI2d 3:3 [2005]; *see also* Restatement [Second] of Torts § 18, Comment *d*, Illustration 1). Here, there is no dispute that Pastor T. intended the subject physical contact with Wende C. The parties only contest whether his actions were based on a lack of consent.[2]

[2] On the record before us, we conclude that as a matter of law the sexual relationship between the parties was indeed consensual. There exist no questions of fact ''as to what occurred [and] when'' (dissenting op at 300). Indeed, Wende C. admitted that, on February 25, 1999, she initiated discussions with Pastor T. concerning her attraction to him. While she informed him that she preferred to terminate the ministerial counseling at that time, the record includes a sample of subsequent e-mails exchanged between the two expressing a shared affection and professing a growing love for one another. To be sure, after the affair was discovered, Wende C. took the initiative of forwarding these same e-mails to members of the congregation with the stated intention of demonstrating that the subject relationship was ''very mutual.'' Referring to the electronic correspondence as setting forth ''a clearer, more accurate and truthful picture'' of the affair, she stated in the accompanying letter: ''[Pastor T.] was just as responsible as I was in regards to how [the relationship] began and the course it followed.''

No record evidence exists that either Wende C.'s physical or emotional condition or prescribed medication impaired her ability to engage in a romantic relationship with Pastor T. or to consent to his physical contact. As there is no proof that Wende C. suffered from infancy, mental impairment or physical

2. **[1]** Our discussion here is limited to plaintiffs' allegations of unwanted touching that occurred after November 2, 1999. Any battery cause of action arising from contact between the parties before that date is barred by the applicable one-year statute of limitations (*see* CPLR 215 [3]).

helplessness so as to render her consent impossible, Pastor T. was properly granted summary judgment sua sponte on the battery claim.

Moving next to plaintiffs' contentions that Pastor T. breached his fiduciary duties to them, we note that these causes of action were not specifically pleaded. The complaint does not contain any allegation that Pastor T. breached his fiduciary duty to David C. during the period that David received counseling services from the pastor. The language in the complaint most resembling a fiduciary cause of action is found in a paragraph that refers only to Wende C. The paragraph alleges that Pastor T. exploited Wende ''in the guise of providing pastoral counselling . . . and in breach of the sacred trust between counsellor and careseeker in the course of the ministerial relationship.'' The complaint continues to state that the sexual battery alleged therein occurred while Pastor T. ''was acting within the authority granted to him by the defendant Church . . . under the guise of his role as pastor in the ministerial relationship between himself and . . . a congregant, and [in] his position as a responsible member of the clergy.''

[3] While the complaint's brief reference to a ''sacred trust'' may arguably be couched as alluding to a fiduciary duty, the surrounding language and the allegations that follow sound in clergy malpractice, which would improperly require courts to examine ecclesiastical doctrine in an effort to determine the standard of due care owed to parishioners undergoing ministerial counseling (*see First Presbyt. Church of Schenectady v United Presbyt. Church in U.S. of Am.*, 62 NY2d 110, 116 [1984] [providing that ''civil courts are forbidden from interfering in or determining religious disputes'']; *see also Maryland & Va. Eldership of Churches of God v Church of God at Sharpsburg, Inc.*, 396 US 367, 369 [1970] [Brennan, J., concurring]). Given that no fiduciary cause of action is properly before us, we leave open for another day the question whether such a claim may arise between a cleric and a parishioner under very different circumstances, not present here. Plaintiffs' remaining contentions are without merit.

Accordingly, the order of the Appellate Division should be affirmed, with costs.

G.B. SMITH, J. (dissenting in part). The two-Justice dissent in the Appellate Division concluded that summary judgment should not be granted because of contested allegations of sexual battery alleged to have occurred within one year of the action which was filed in November 2000 and because of the defendant pastor's breach of a fiduciary relationship. Based upon the dissent at the Appellate Division, I dissent here. I write only to emphasize several points.

Defendant Pastor T. did not oppose the plaintiffs' motion for summary judgment against him. Rather, plaintiffs moved for summary judgment and the defendants, other than Pastor T., cross-moved for summary judgment. The motion court denied the plaintiffs' motion and granted the defendants' motion. It further searched the record and, on its own motion, granted summary judgment in favor of Pastor T. against the plaintiffs.

It is undisputed that the plaintiffs received marital counseling from Pastor T. The plaintiffs contend that while they were undergoing counseling, said defendant committed battery by forcing himself sexually upon Wende C. Plaintiffs contend further that Pastor T. breached his fiduciary duty by engaging in an inappropriate sexual relationship during the time that he was counseling the marital couple.

Insofar as sexual battery is concerned, there is a question of fact as to what occurred, when it occurred and whether there was consent. As for the allegation of a breach of a fiduciary relationship, I cannot agree with the majority at the Appellate Division that there is no difference between an allegation of clergy malpractice, which would improperly involve the courts in ecclesiastical matters, and breach of a fiduciary relationship.* What plaintiffs are alleging is that Pastor T. held himself out as a person qualified to give marital counseling, that they went to him seeking counseling for marital problems and that he breached a duty owed to them. Thus, plaintiffs are making allegations similar to those made against a psychiatrist who holds himself out as a person able to assist with problems of a psychological nature and then abuses the trust. In discussing their disagreement with the majority, the dissenters at the Appellate Division stated:

> ''We disagree with the majority's conclusion that 'there is no meaningful analytical distinction between a claim of breach of fiduciary duty by a cleric and one for clergy malpractice.' In our view, there is a subtle and important difference between a clergy

* The majority opinion here does not discuss the issue of the difference between clergy malpractice and breach of a fiduciary duty.

> malpractice cause of action and one sounding in breach of fiduciary duty. A cause of action based upon breach of fiduciary duty rests not on the violation of a generalized professional standard, but on the abuse of a particularized relationship of trust (*see Mandelblatt v Devon Stores*, 132 AD2d 162, 168 [1987], quoting Restatement [Second] of Torts § 874, Comment *a* [' ''A fiduciary relation exists between two persons when one of them is under a duty to act for or to give advice for the benefit of another upon matters within the scope of the relation'' ']).'' (6 AD3d 1047, 1055 [2004].)

Plaintiff Wende C. alleges that between November 2, 1999, and February 2000, while the pastor was giving marriage counseling to the plaintiffs, he engaged in instances of unwanted sexual contact against Wende C. These included an instruction to perform oral sex on him on November 2, 1999, sexual fondling and other sexual acts in a car on November 16, 1999, kissing on December 24, 1999, and fondling on January 21, 2000. All of these instances allegedly occurred after counseling sessions. Moreover, the statute of limitations had not run on these incidents prior to the filing of the lawsuit.

In addition, plaintiffs' allegation is that while Pastor T. was engaging in marital counseling, he breached a duty of trust by engaging in sexual encounters. In the words of the dissenters at the Appellate Division, ''while the existence of a clergy malpractice claim would depend on defining and evaluating a cleric's religious duty, a claim for breach of fiduciary duty depends only upon an evaluation of whether a relationship of trust and confidence exists and whether that trust and confidence have been abused.'' (*Id.* at 1056.)

Other states have concluded that an action for breach of a fiduciary duty can be maintained where a pastor engages in an inappropriate sexual relationship when pastoral counseling is sought (*see*, *for example*, *F.G. v MacDonell*, 150 NJ 550, 696 A2d 697 [1997]; *Sanders v Casa View Baptist Church*, 134 F3d 331 [Tex 1998]; *Destefano v Grabrian*, 763 P2d 275 [Colo 1988]).

For these reasons I would permit plaintiffs to prove their allegations against all of the defendants.

Chief Judge KAYE and Judges ROSENBLATT, GRAFFEO, READ and R.S. SMITH concur with Judge CIPARICK; Judge G.B. SMITH dissents in part in a separate opinion.

Order affirmed, with costs.

[828 NE2d 67, 795 NYS2d 151]

THE PEOPLE OF THE STATE OF NEW YORK, Respondent, v BERNARD PITTS, Appellant.

THE PEOPLE OF THE STATE OF NEW YORK, Respondent, v ANTHONY BARNWELL, Appellant.

Argued January 6, 2005; decided February 15, 2005

SUMMARY

APPEAL, in the first above-entitled action, by permission of an Associate Judge of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Fourth Judicial Department, entered June 14, 2004. The Appellate Division affirmed an order of the Monroe County Court (Frank P. Geraci, J.), which had denied defendant's motion pursuant to CPL 440.30 (1-a) for DNA testing of certain evidence.

APPEAL, in the second above-entitled action, by permission of the Chief Judge of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Fourth Judicial Department, entered April 30, 2004. The Appellate Division affirmed an order of the Supreme Court, Monroe County (Donald J. Mark, J.), which had denied defendant's motion pursuant to CPL 440.30 (1-a) for DNA testing of certain evidence.

People v Pitts, 8 AD3d 1122, affirmed.

People v Barnwell, 6 AD3d 1147, reversed.

HEADNOTES

Crimes — Evidence — DNA Identification Tests

1. There is no time limit for bringing a postconviction motion requesting the performance of forensic DNA testing. A defendant may move for DNA testing pursuant to CPL 440.30 (1-a) at any time. Further, the defendant does not bear the burden of showing that the specified DNA evidence exists and is available in suitable quantities to make testing feasible. It is the People, as the gatekeeper of the evidence, who must show what evidence exists and whether the evidence is available for testing.

Crimes — Evidence — DNA Identification Tests

2. Defendant's postconviction motion pursuant to CPL 440.30 (1-a) for forensic DNA testing was properly denied without a hearing on the ground that no reasonable probability existed that the defendant would have received a more favorable verdict had a DNA test been conducted and had the results of the test been introduced at trial. Given the victim's two-day wait before reporting the rape and receiving medical attention, and the testimony of defendant's expert that no physical evidence was recovered from the victim, there was no reasonable probability that DNA testing could have led to a more favorable verdict.

Crimes — Evidence — DNA Identification Tests

3. Defendant's postconviction motion pursuant to CPL 440.30 (1-a) for forensic DNA testing of specified evidence was improperly denied without a hearing or further proceedings based on the People's conclusory assertion that the evidence in question no longer existed. Upon defendant's motion, and the motion court's determination that, had the evidence been tested and the results admitted at trial, the result would have been more favorable to defendant, the People had the burden of establishing with sufficient specificity whether the evidence existed and could be tested. The mere assertion that the evidence no longer existed based on a phone call to a police Property Clerk's office was insufficient as a matter of law under CPL 440.30 (1-a). Moreover, it was reversible error to hold that defendant did not exercise due diligence in pursuing his CPL 440.30 (1-a) motion. CPL 440.30 (1-a) does not impose a time limitation on a defendant moving for DNA testing.

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Am Jur 2d, Habeas Corpus and Postconviction Remedies §§ 60, 210, 213, 218, 220–222.

Carmody-Wait 2d, Criminal Procedure §§ 172:4230, 172:4231, 172:4252, 172:4254, 172:4255, 172:4258.

LaFave, et al., Criminal Procedure (3d ed) §§ 28.2, 28.7.

McKinney's, CPL 440.30 (1–a).

NY Jur 2d, Criminal Law §§ 3103–3105, 3110.

ANNOTATION REFERENCE

See ALR Index under Criminal Procedure Rules; DNA; Postconviction Proceedings and Remedies.

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POINTS OF COUNSEL

Edward J. Nowak, Public Defender, Rochester (*James Eckert* of counsel), for appellant in the first above-entitled action. The motion court erroneously denied, without a hearing, Mr. Pitts' Criminal Procedure Law § 440.30 (1-a) motion for DNA testing of material secured in connection with his trial. (*People v Hayes,* 284 AD2d 1008; *People v Smith,* 245 AD2d 79; *People v Kellar,* 89 NY2d 948; *Kyles v Whitley,* 514 US 419; *People ex rel. Harris v Sullivan,* 74 NY2d 305; *People v Allen,* 92 NY2d 378; *People v Davis,* 299 AD2d 874; *People v Ahlers,* 285 AD2d 664; *People ex rel. Nichols v Board of County Canvassers,* 129 NY 395; *Matter of Siwek v Mahoney,* 39 NY2d 159.)

Michael C. Green, District Attorney, Rochester (*Nancy A. Gilligan* of counsel), for respondent in the first above-entitled action. Defendant failed to satisfy the threshold requirements of CPL 440.30 (1-a) to warrant DNA testing of evidence secured at the time of his arrest. Denial of his application, without a hearing, was warranted. (*People v Kellar,* 218 AD2d 406, 89 NY2d 948; *People v Pugh,* 288 AD2d 634, 91 NY2d 976; *People v Keene,* 4 AD3d 536; *People v Degondea,* 3 AD3d 148; *People v Davis,* 299 AD2d 874, 99 NY2d 581; *People v Shenouda,* 307 AD2d 938, 100 NY2d 645; *People v Logan,* 291 AD2d 459, 98 NY2d 638; *People v Ahlers,* 285 AD2d 664; *People v Santorelli,* 95 NY2d 412.)

Edward J. Nowak, Public Defender, Rochester (*James Eckert* of counsel), for appellant in the second above-entitled action. The lower court erroneously denied, without a hearing, Mr. Barnwell's Criminal Procedure Law § 440.30 (1-a) motion for DNA testing of material secured in connection with his trial. (*People v Hayes,* 284 AD2d 1008; *People v Smith,* 245 AD2d 79; *People v Kellar,* 89 NY2d 948; *Kyles v Whitley,* 514 US 419; *People ex rel. Harris v Sullivan,* 74 NY2d 305; *People v Allen,* 92 NY2d 378; *People v Davis,* 299 AD2d 874; *People v Ahlers,* 285 AD2d 664; *People ex rel. Nichols v Board of County Canvassers,* 129 NY 395; *Matter of Siwek v Mahoney,* 39 NY2d 159.)

Michael C. Green, District Attorney, Rochester (*Nancy A. Gilligan* of counsel), for respondent in the second above-entitled action. The Appellate Division properly concluded that a hearing into the destruction of evidence, which was secured at the time of defendant's arrest, was not required since defendant's direct appeals were exhausted 10 years prior to his application for DNA testing pursuant to CPL 440.30 (1-a). (*People v Satterfield,* 66 NY2d 796; *People v Crimmins,* 38 NY2d 407; *People v Ahlers,* 285 AD2d 664, 97 NY2d 701; *People v Morehouse,* 5 AD3d 925, 3 NY3d 644; *People v Pugh,* 288 AD2d 634; *People v Chichester,* 162 Misc 2d 658; *People v Wesley,* 83 NY2d 417; *People v Davis,* 299 AD2d 874, 99 NY2d 581; *People v Shenouda,* 307 AD2d 938, 100 NY2d 645; *People v Logan,* 291 AD2d 459, 98 NY2d 638.)

OPINION OF THE COURT

G.B. SMITH, J.

These appeals present two questions: (1) does CPL 440.30 (1-a) impose a due diligence requirement, limiting the time by which a defendant must bring a postconviction motion requesting DNA testing and (2) does a defendant who brings such a motion bear the burden of establishing that the specified DNA evidence exists and is available in quantities sufficient to be tested?

The courts below denied defendants' postconviction motions without a hearing, ruling that defendants did not bring timely motions for relief and therefore did not exercise the requisite due diligence and, further, that they did not demonstrate that the specified DNA evidence existed and was available for testing. For the reasons that follow, we conclude that there is no time limit for bringing a postconviction motion requesting the performance of forensic DNA testing, and the defendant does not bear the burden of showing that the specified DNA evidence exists and is available for testing.

FACTS

People v Bernard Pitts

On October 15, 1994, a 14-year-old female was raped at the Rundel Library in Rochester by a male acquaintance. Two days later, the victim disclosed the rape to her mother, sought medical attention at an area hospital and reported the rape to the police. By the time doctors completed the rape kit, the victim had showered and cleaned herself.

Pitts was arrested when the 14 year old saw him on the street and alerted her mother. Pitts originally entered a plea of guilty to a superior court information charging him with rape in the third degree. However, because the court determined that it could not comply with the promised sentence of 1 to 3 years, Pitts was allowed to withdraw his guilty plea. Pitts was subsequently indicted on the charges of rape in the first degree (Penal Law § 130.35 [1]) and rape in the third degree (Penal Law § 130.25 [2]) and proceeded to trial. At trial, the People did not introduce any forensic evidence of sexual intercourse. Defendant's expert witness testified that the victim's efforts to clean herself explained the absence of forensic evidence.

On October 12, 1995, the jury convicted Pitts of one count of rape in the first degree and one count of rape in the third degree. At sentencing, the prosecutor referred to the original plea agreement and noted that Pitts "does admit having sexual intercourse with the victim.'' The court then sentenced Pitts to concurrent prison terms of $8^{1}/_{3}$ to 25 years and 1 to 3 years.[1]

On June 20, 2001, more than five years after his direct appeal was final, Pitts, while in prison, filed a pro se motion pursuant to CPL 440.30 (1-a) seeking an order directing the performance of forensic DNA testing on certain evidence. In particular, he requested DNA testing of vaginal swabs, oral swabs, the victim's underpants, all fibers and debris retrieved from clothing, hairs, and any other material tested by the Monroe County Public Safety Laboratory. Pitts argued that DNA material was collected in connection with his prosecution, and that a more favorable verdict would have resulted if evidence that DNA material did not come from him had been introduced at trial. The People responded that Pitts did not establish that the material he wanted contained DNA.[2] The People also argued that Pitts' application was untimely and should be dismissed on that ground.

On August 27, 2001, Monroe County Court denied Pitts' motion without a hearing, finding that he did not exercise the requisite due diligence in making the application more than five years after his direct appeals were exhausted and almost three years after a previous CPL article 440 motion. Further, the court ruled that defendant failed to show that any of the items sought to be tested contained DNA. Because the jury was informed that no forensic evidence linked Pitts to the crime, the court found that even had DNA evidence been recovered in connection with the trial, there was no reasonable probability that the verdict would have been more favorable to defendant.

On June 14, 2004, the Appellate Division affirmed ''for reasons stated in decision at Monroe County Court'' (*People v Pitts*, 8 AD3d 1122 [4th Dept 2004]). A Judge of this Court granted the defendant leave to appeal. We now affirm because no reasonable probability exists that the verdict would have been more favorable to Pitts had the results of DNA testing been introduced at trial.

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1. These convictions were affirmed by the Appellate Division (*People v Pitts*, 231 AD2d 901 [4th Dept 1996]), and leave to appeal to this Court was denied (89 NY2d 928 [1996]).

2. According to the laboratory report concerning the victim's rape kit, no spermatozoa were observed on the slides, nor was there any seminal material detected on the swabs examined or the victim's underpants. Further, there is no indication that hair samples collected from the victim contained DNA.

People v Anthony Barnwell

On June 15, 1985, at about 2:00 A.M., a man who sneaked into an unlocked and unoccupied van accosted a 38-year-old female as she was driving. The man assaulted, sodomized and repeatedly raped the victim in the back of the van. After assaulting her, he left the victim in the van. She returned home and called the police. When the police arrived, the victim recounted the ordeal and described her attacker. After making her report to the police, the victim went to an area hospital for treatment. A rape kit was prepared during the hospital visit.

On or about July 15, 1985, the police stopped Barnwell in the area where the rape occurred. On July 16, 1985, the police placed Barnwell's photograph in a photo array and showed the array to the victim. She identified Barnwell as the man who had raped her. Barnwell was arrested two days later. Approximately eight months later, on February 24, 1986, the victim identified Barnwell, in a police-arranged lineup, as the man who raped her.

At trial, the People's case consisted primarily of identification testimony by the victim, who was the only witness to the crime. Barnwell relied on misidentification as his defense. On February 20, 1987, a jury convicted Barnwell of rape in the first degree (two counts) (Penal Law § 130.35 [1]), sodomy in the first degree (Penal Law § 130.50 [1]), robbery in the second degree (Penal Law § 160.10 [2] [a]), assault in the second degree (Penal Law § 120.05 [6]) and grand larceny in the third degree (Penal Law § 155.30 [5]). He was sentenced to concurrent terms of 7½ to 15 years for rape and sodomy, 3½ to 7 years for robbery and assault and 2 to 4 years for grand larceny. The Appellate Division affirmed (*People v Barnwell*, 155 AD2d 886 [4th Dept 1989]) and a Judge of this Court denied leave to appeal (75 NY2d 810 [1990]).

On September 20, 2000, approximately 10 years after Barnwell's direct appeal was final, and more than six years after the enactment of CPL 440.30 (1-a), Barnwell, while in prison, filed a pro se motion pursuant to CPL 440.30 (1-a) for DNA testing on hairs, semen and a cigarette butt recovered in connection with his prosecution. Barnwell alleged in his motion that the evidence established that he and the victim were unknown to each other before the crime, that a question of identity was raised at trial, and that there was a reasonable probability that had DNA evidence been admitted at trial, the verdict would have been more favorable to him. In response, the People argued that a due diligence standard applied, and that Barnwell failed to meet it by filing an untimely motion—six years after the enactment of CPL 440.30 (1-a) and 13 years after his conviction. The People also claimed that DNA testing was impossible, relying on a hearsay affirmation stating that ''[a]ccording to'' an employee of the Property Clerk's office, the rape kit had been destroyed in accordance ''with the [Police] Department's policy.''

On December 20, 2000, Supreme Court denied Barnwell's motion for an order directing DNA testing without a hearing. Given that the prosecution's case at trial consisted primarily of identification testimony by the victim, the fact that there were no other witnesses to the crime, and the fact that Barnwell and the victim were unknown to each other before the incident, the court indicated that this case presents the type of case where DNA testing would make a difference if conducted at this point in time. However, the court noted that ''the problem in this case is that the evidence originally obtained and containing the potential DNA evidence to be tested no longer exists.''

On April 30, 2004, the Appellate Division affirmed, holding that under Appellate Division precedent ''it is incumbent upon a defendant to show that the evidence to be tested still exists and is available in quantities sufficient to make testing feasible at this late date.'' (6 AD3d 1147, 1147 [2004] [internal quotation marks omitted].) The Court stated, ''[f]urther, there is no need for a hearing to inquire into the destruction of the evidence because the People were under no obligation to preserve the evidence after defendant's direct appeals were exhausted in 1990, more than 10 years prior to the instant motion.'' (*Id.* at 1147-1148.) A Judge of this Court granted the defendant leave to appeal. We now reverse and remit this case to Supreme Court for further proceedings as set forth below.

DISCUSSION

Over the last 10 years, forensic DNA testing has become an accurate and reliable means of analyzing physical evidence collected at crime scenes and has played an increasingly important role in conclusively connecting individuals to crimes and exonerating prisoners who were wrongfully convicted.

In 1994, the Legislature enacted CPL 440.30 (1-a), establishing a new procedure for defendants who were convicted prior to 1996 to secure DNA testing. In 2004 the Legislature amended

CPL 440.30 (1-a) to allow any defendant, regardless of the date of conviction, to move for a DNA testing order. The amendment further empowered courts to direct prosecutors to inform defendants of any information in the prosecutor's possession regarding the current location of the evidence to be tested, whether the evidence still exists, and the last-known physical location of the evidence. These statutory requirements—setting forth a standard different from that applied in other CPL article 440 motions to vacate convictions involving newly discovered evidence and expanding the class of defendants to whom testing is available—reflect the vital importance and potential exonerating power of DNA testing.

Under CPL 440.30 (1-a), as originally enacted, a defendant convicted before January 1, 1996 can move for DNA testing on specified evidence.[3] The court then determines whether any evidence containing DNA was secured in connection with the trial and "the court shall grant" the defendant's application if it determines that had a DNA test been conducted on the evidence and had the results of that evidence been admitted at trial, "there exists a reasonable probability that the verdict would have been more favorable to the defendant."[4]

In each of the cases before us, the Appellate Division concluded that defendant failed to exercise due diligence in bringing his motion requesting the performance of forensic DNA testing and did not "show that the evidence to be tested still exists and is available in quantities sufficient to make testing feasible" (*People v Ahlers*, 285 AD2d 664, 665 [3d Dept 2001], *lv denied* 97 NY2d 701 [2002]).

We conclude that these Courts erred in interpreting CPL 440.30 (1-a) to impose upon defendants a due diligence require-

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3. Both defendants were convicted before January 1, 1996; they made and the courts determined their motions under the prior version of the statute. Accordingly, the 2004 amendment does not affect the outcome of these cases.

4. CPL 440.30 (1-a), as enacted on August 2, 1994 provided:

> "In cases of convictions occurring before January first, nineteen hundred ninety-six, where the defendant's motion requests the performance of a forensic DNA test on specified evidence, and upon the court's determination that any evidence containing deoxyribonucleic acid ('DNA') was secured in connection with the trial resulting in the judgment, the court shall grant the application for forensic DNA testing of such evidence upon its determination that if a DNA test had been conducted on such evidence, and if the results had been admitted in the trial resulting in the judgment, there exists a reasonable probability that the verdict would have been more favorable to the defendant."

ment limiting the time within which to make a CPL 440.30 (1-a) motion, and to place on defendants the burden to establish the location and status of the evidence they seek to be tested.

[1] We hold that there is no time limit for bringing a postconviction motion requesting the performance of forensic DNA testing. A defendant may move for DNA testing pursuant to CPL 440.30 (1-a) at any time. We further hold that the defendant does not bear the burden of showing that the specified DNA evidence exists and is available in suitable quantities to make testing feasible. To the contrary, it is the People, as the gatekeeper of the evidence, who must show what evidence exists and whether the evidence is available for testing.

We now consider whether the lower courts properly denied the instant postconviction motions without a hearing or further proceedings into whether the evidence sought to be tested still exists.

[2] As to *Pitts*, we conclude that the trial court correctly denied the motion without a hearing on the ground that no reasonable probability existed that Pitts would have received a more favorable verdict had a DNA test been conducted and had the results of the test been introduced at trial.

Given the victim's two-day wait before reporting the rape and receiving medical attention, and the testimony of defendant's expert that no physical evidence was recovered from the victim, there is no reasonable probability that DNA testing could have led to a more favorable verdict.[5]

[3] In *Barnwell*, on the other hand, the court improperly denied the motion without a hearing or further proceedings. Though Barnwell requested testing of specified evidence containing DNA and the motion court found that defendant met the CPL 440.30 (1-a) reasonable probability requirement, the motion court denied Barnwell's application, relying merely on the People's conclusory assertion that the evidence in question no longer exists. The motion court also held that defendant did not exercise due diligence in pursuing his CPL 440.30 (1-a) motion. This was reversible error. As stated above, CPL 440.30 (1-a) does not impose a time limitation on a defendant moving for DNA testing.

Further, upon Barnwell's motion, and the motion court's determination that, had the evidence been tested and the results

5. We also note that, at sentencing, defendant Pitts admitted to having sexual intercourse with the victim and claimed that it was consensual.

admitted at trial, the result would have been more favorable to defendant, the People, and not defendant, had the burden of establishing with sufficient specificity whether the evidence existed and could be tested. The mere assertion that the evidence no longer exists based on a phone call to a police Property Clerk's office is insufficient as a matter of law under CPL 440.30 (1-a). We thus reverse the Appellate Division's order and remit to Supreme Court, Monroe County for further proceedings to establish whether the DNA evidence in question exists. Supreme Court should take steps to obtain from the People reliable information as to whether or not the evidence sought exists and the source of such information. Adequate information from the People might include, for example, an affidavit from an individual with direct knowledge of the status of the evidence or an official record indicating its existence or nonexistence.

Accordingly, with regard to *Pitts*, the order of the Appellate Division should be affirmed. With regard to *Barnwell*, the order of the Appellate Division should be reversed and the case remitted to Supreme Court for further proceedings in accordance with this opinion.

Chief Judge KAYE and Judges CIPARICK, ROSENBLATT, GRAFFEO, READ and R.S. SMITH concur.

In *People v Pitts:* Order affirmed.

In *People v Barnwell:* Order reversed and case remitted to Supreme Court, Monroe County, for further proceedings in accordance with the opinion herein.

[827 NE2d 758, 794 NYS2d 700]

STATE FARM MUTUAL AUTOMOBILE INSURANCE CO., Appellant, v ROBERT MALLELA et al., Respondents.

Argued February 8, 2005; decided March 29, 2005

SUMMARY

PROCEEDING, pursuant to NY Constitution, article VI, § 3 (b) (9) and Rules of the Court of Appeals (22 NYCRR) § 500.17, to review a question certified to the New York State Court of Appeals by the United States Court of Appeals for the Second Circuit. The following question was certified by the United States Court of Appeals and accepted by the New York State Court of Appeals: ''Is a medical corporation that was fraudulently incorporated under N.Y. Business Corporation Law §§ 1507, 1508, and N.Y. Education Law § 6507(4)(c) entitled to be reimbursed by insurers, under New York Insurance Law §§ 5101 *et seq.,* and its implementing regulations, for medical services rendered by licensed medical practitioners?''

HEADNOTES

Insurance — No-Fault Automobile Insurance — Reimbursement of Fraudulently Incorporated Medical Corporations for Medical Services Rendered by Licensed Medical Practitioners

1. Under New York's ''no-fault'' insurance laws (*see* Insurance Law § 5101 *et seq*. and implementing regulations), insurance carriers may withhold payment for medical services provided by fraudulently incorporated enterprises to which patients have assigned their claims. Insurance Law § 5102 *et seq.* requires no-fault carriers to reimburse patients (or their medical provider assignees) for ''basic economic loss,'' and 11 NYCRR 65-3.16 (a) (12) excludes from the meaning of ''basic economic loss'' payments made to unlicensed or fraudulently licensed providers, thus rendering them ineligible for reimbursement. Defendant companies failed to meet applicable state licensing requirements, which prohibit nonphysicians from owning or controlling medical service corporations. Defendants' contention that they were entitled to reimbursement even if they were fraudulently licensed since the actual care that patients received was within the scope of the licenses of those who treated the patients lacked merit.

Insurance — No-Fault Automobile Insurance — Reimbursement of Fraudulently Incorporated Medical Corporations for Medical Services Rendered by Licensed Medical Practitioners

2. 11 NYCRR 65-3.16 (a) (12), which excludes from the meaning of ''basic economic loss'' payments made to unlicensed or fraudulently licensed providers, thus rendering them ineligible for reimbursement by insurance carriers, is valid. The contention that the regulation conflicted with the prompt payment goals of New York's no-fault statutes (Insurance Law § 5101 *et seq.*) was rejected. The regulation, which permits carriers to withhold reimbursement

from fraudulently licensed medical corporations to which patients have assigned their claims, permits carriers to look beyond the face of licensing documents to identify willful and material failure to abide by state and local law. The regulatory scheme does not permit abuse of the truth-seeking opportunity that 11 NYCRR 65-3.16 (a) (12) authorizes, since carriers are permitted to delay the payment of claims to pursue investigations solely for good cause (*see* 11 NYCRR 65-3.2 [c]).

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By the Publisher's Editorial Staff

Am Jur 2d, Automobile Insurance §§ 508, 510.
Couch on Insurance (3d ed) §§ 171:62, 171:63.
McKinney's, Insurance Law § 5102 (a).
11 NYCRR 65–3.2 (c); 65–3.16 (a) (12).
NY Jur 2d, Insurance §§ 1786, 1787.

ANNOTATION REFERENCE

See ALR Index under Automobile Insurance; No–Fault Insurance.

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POINTS OF COUNSEL

Rivkin Radler LLP, Uniondale (*Evan H. Krinick, Cheryl F. Korman* and *Stuart M. Bodoff* of counsel), and *KMZ Rosenman LLP,* Chicago, Illinois (*Ross O. Silverman* and *Gil M. Soffer* of counsel), for appellant. A medical corporation that is fraudulently incorporated under Business Corporation Law §§ 1507 and 1508 and Education Law § 6507 (4) (c) is not entitled to be reimbursed by insurers under Insurance Law § 5101 *et seq.* and its implementing regulations for medical services rendered by licensed medical practitioners. (*Matter of Medical Socy. of State of N.Y. v Serio*, 100 NY2d 854; *Matter of Nicholas v Kahn,* 47 NY2d 24; *Blue Cross & Blue Shield of Cent. N.Y. v McCall,* 89 NY2d 160; *Ostrer v Schenck,* 41 NY2d 782; *Breen v Cunard Lines S.S. Co.,* 33 NY2d 508; *Matter of Council of City of N.Y. v Public Serv. Commn. of State of N.Y.,* 99 NY2d 64; *Matter of Marzec v DeBuono,* 95 NY2d 262; *Matter of John Paterno, Inc. v Curiale,* 88 NY2d 328; *Matter of New York Pub. Interest Research Group v New York State Dept. of Ins.,* 66 NY2d 444; *Matter of Medical Socy. of State of N.Y. v Levin,* 280 AD2d 309.)

Law Office of Joseph J. LaBarbera, P.C., Brooklyn (*Joseph J.*

LaBarbera of counsel), for Astoria Physical Medicine and Rehabilitation, P.C. and another, respondents. I. The interpretations of the Superintendent of Insurance of the State of New York are inconsistent with the legislative purpose in enacting the No-Fault Law and should not be accorded any deference. (*Matter of Medical Socy. of State of N.Y. v Levin,* 185 Misc 2d 536, 280 AD2d 309.) II. Terms must be given their natural or obvious meaning, must be interpreted with consistency and effect given to such obvious meaning in the absence of express language to the contrary. (*Matter of Excellus Health Plan v Serio,* 2 NY3d 166.) III. The interpretation of licensing laws both generally and within the context of the No-Fault Law is a special skill delegated to the Commissioner of Health of the State of New York by the Legislature and accordingly the Superintendent of Insurance of the State of New York's interpretation is not to be accorded deference in the resolution of the certified question. (*Kurcsics v Merchants Mut. Ins. Co.,* 49 NY2d 451; *Matter of Lippman v Public Empl. Relations Bd.,* 263 AD2d 891.) IV. Permitting an insurer to inquire into the validity of a medical corporation's license or a health provider's compliance with licensing laws would defeat the primary purpose of the no-fault regulations. (*Kurcsics v Merchants Mut. Ins. Co.,* 49 NY2d 451; *Presbyterian Hosp. in City of N.Y. v Maryland Cas. Co.,* 90 NY2d 274.) V. The certified question must be answered in the affirmative, as to find otherwise, the Court will be implying a right of inquiry into licensure compliance as part of the claims process where such process was deliberatively excluded from the no-fault statutes under common canons of construction. VI. Plaintiff's citation to arbitration decisions and case law does not support a judgment that plaintiff is not required to pay based on fraudulent corporate structure. (*Universal Acupuncture Pain Servs., P.C. v State Farm Mut. Auto. Ins. Co.,* 196 F Supp 2d 378.) VII. So long as the actual health providers of services were licensed to provide the services, the issue of the professional corporation defendants' formation is not a basis to deny claims. (*Charlebois v Weller Assoc.,* 72 NY2d 587; *Easterson v Long Is. Jewish Med. Ctr.,* 156 AD2d 636, 76 NY2d 704, 889.) VIII. The number of potential objections to providers' licensing compliance based on interpretation of the corporate practice of medicine by insurers would cause an unfettered and arbitrary obstruction of the speedy no-fault claims process. (*Charlebois v Weller Assoc.,* 72 NY2d 587.)

Friedman Harfenist Langer & Kraut, Lake Success (*Steven J. Harfenist* and *Neil Torczyner* of counsel), for Valley Physical

Medicine and Rehabilitation, P.C. and others, respondents. I. New York's No-Fault Law does not allow an insurer to look beyond a facially valid license. (*Montgomery v Daniels,* 38 NY2d 41; *Presbyterian Hosp. in City of N.Y. v Maryland Cas. Co.,* 90 NY2d 274; *Pajak v Pajak,* 56 NY2d 394; *Bay Shore Family Partners v Foundation of Jewish Philanthropies of Jewish Fedn. of Greater Fort Lauderdale,* 239 AD2d 373; *Nyack Hosp. v Village of Nyack Planning Bd.,* 231 AD2d 617; *Aetna Life & Cas. Co. v Nelson,* 67 NY2d 169; *Country-Wide Ins. Co. v 3-M Prod. Sales,* 96 AD2d 569; *Bernstein v Greater N.Y. Mut. Ins. Co.,* 706 F Supp 287; *Country Wide Ins. Co. v Osathanugrah,* 94 AD2d 513, 62 NY2d 815; *State Farm Mut. Auto. Ins. Co. v Regional Tr. Serv.,* 79 AD2d 858.) II. The no-fault regulations and statutory scheme cannot be construed to support an insurer's ability to look beyond a facially valid license. (*Breen v Cunard Lines S.S. Co.,* 33 NY2d 508; *Matter of New York Pub. Interest Research Group v New York State Dept. of Ins.,* 66 NY2d 444; *Matter of Medical Socy. of State of N.Y. v Serio,* 100 NY2d 854; *Matter of Beer Garden v New York State Liq. Auth.,* 79 NY2d 266; *T.D. v New York State Off. of Mental Health,* 228 AD2d 95; *Matter of Dworman v New York State Div. of Hous. & Community Renewal,* 94 NY2d 359; *Matter of Union Indem. Ins. Co. of N.Y.,* 92 NY2d 107; *Commissioners of State Ins. Fund v Brooklyn Barber Beauty Equip. Co.,* 191 Misc 2d 1; *Matter of Senior Life Mgt. v Dowling,* 225 AD2d 224; *Colten v Kentucky,* 407 US 104.) III. State Farm Mutual Automobile Insurance Co. has failed to plead causes of action for fraud or unjust enrichment. (*People v Buffalo Stone & Cement Co.,* 131 NY 140; *Matter of Brooklyn El. R.R. Co.,* 125 NY 434; *Universal Acupuncture Pain Servs., P.C. v State Farm Mut. Auto. Ins.,* 196 F Supp 2d 378; *New York Cent. Mut. Ins. Co. v 563 Grand Med., P.C.,* 4 Misc 3d 1020[A]; *Graubard Mollen Dannett & Horowitz v Moskovitz,* 86 NY2d 112; *Stuart Silver Assoc. v Baco Dev. Corp.,* 245 AD2d 96; *Marcus v AT&T Corp.,* 138 F3d 46; *Lake Minnewaska Mtn. Houses v Rekis,* 259 AD2d 797; *Wiener v Lazard Freres & Co.,* 241 AD2d 114; *Schank v Schuchman,* 212 NY 352.)

Hoffman, Einiger & Polland, PLLC, New York City (*Mark L. Furman* of counsel), and *Israel, Israel & Purdy, LLP,* Great Neck (*Veronica Renta Irwin, Stuart M. Israel* and *William M. Purdy* of counsel), for Yonkers Medical Services, P.C. and others, respondents. I. In the absence of other fraud allegations, an insurer may not refuse to pay a benefits claim based upon an allegation that, in seeking its original certificate of authority to do business as a professional medical services corporation, the corporation had a ''true owner'' who did not possess a license to practice medicine. (*Matter of Medical Socy. of State of N.Y. v Levin,* 185 Misc 2d 536, 280 AD2d 309; *Walton v Lumbermens Mut. Cas. Co.,* 88 NY2d 211; *Presbyterian Hosp. in City of N.Y. v Maryland Cas. Co.,* 90 NY2d 274; *Aetna Life & Cas. Co. v Nelson,* 67 NY2d 169; *Montgomery v Daniels,* 38 NY2d 41; *Central Gen. Hosp. v Chubb Group of Ins. Cos.,* 90 NY2d 195; *Ostrer v Schenck,* 41 NY2d 782; *Matter of New York Pub. Interest Research Group v New York State Dept. of Ins.,* 66 NY2d 444; *Vinings Spinal Diagnostic v Liberty Mut. Ins. Co.,* 186 Misc 2d 287; *Matter of Pradip Das/N.Y. Med. Rehab v Allstate Ins. Co.,* 297 AD2d 321.) II. Appellant's common-law fraud and unjust enrichment claims were properly dismissed. (*Katz v Zuckermann,* 126 Misc 2d 135, 119 AD2d 732; *United Calendar Mfg. Corp. v Huang,* 94 AD2d 176; *Morissette v United States,* 342 US 246; *Murray Walter, Inc. v Sarkisian Bros.,* 107 AD2d 173; *O'Brien Investigations v Zorn,* 263 AD2d 812; *Remba v Federation Empl. & Guidance Serv.,* 76 NY2d 801; *Deutsch v Health Ins. Plan of Greater N.Y.,* 573 F Supp 1443; *Universal Acupuncture Pain Servs., P.C. v State Farm Mut. Auto. Ins.,* 196 F Supp 2d 378; *Matter of Bingham v Town Bd. of Town of Burlington,* 103 AD2d 923; *Brener & Lewis v Fawcett Publs.*, 197 Misc 207, 276 App Div 994.)

Goodwin Proctor LLP, New York City (*Jeffrey A. Simes* and *Richard M. Strassberg* of counsel), and *La Sorsa & Beneventano,* White Plains (*Gregory M. La Sorsa* of counsel), for Dr. Dipak Nandi and others, respondents. State Farm Mutual Automobile Insurance Co.'s view of the No-Fault Law is inconsistent with the law's purpose and structure and would do violence to what the Legislature sought to achieve. (*Matter of Rosenblum [Government Empls. Ins. Co.],* 41 NY2d 966; *Matter of Sutka v Conners,* 73 NY2d 395; *Walton v Lumbermens Mut. Cas. Co.,* 88 NY2d 211; *Argentina v Emery World Wide Delivery Corp.,* 93 NY2d 554; *Montgomery v Daniels,* 38 NY2d 41; *Agnostakios v Laureano,* 85 Misc 2d 203; *American Tr. Ins. Co. v Sartor,* 3 NY3d 71; *Raritan Dev. Corp. v Silva,* 91 NY2d 98; *Servomation Corp. v State Tax Commn.,* 51 NY2d 608; *Doctors Council v New York City Employees' Retirement Sys.,* 71 NY2d 669.)

Eliot Spitzer, Attorney General, New York City (*Daniel Smirlock* and *Robert H. Easton* of counsel), for Gregory V. Serio, amicus curiae. A fraudulently formed medical corporation is not eligible for reimbursement under the No-Fault Law. (*Matter of*

ATM One v Landerverde, 2 NY3d 472; *Matter of Medical Socy. of State of N.Y. v Serio,* 100 NY2d 854; *Matter of Notre Dame Leasing v Rosario,* 2 NY3d 459; *Matter of Medical Socy. of State of N.Y. v Levin,* 280 AD2d 309; *Matter of Plato's Cave Corp. v State Liq. Auth.,* 68 NY2d 791; *Galbreath-Ruffin Corp. v 40th & 3rd Corp.,* 19 NY2d 354.)

Locks Law Firm, PLLC, New York City (*Seth R. Lesser* and *Andrew P. Bell* of counsel), *Thomas W. Alfano* and *Belesi & Donovan, P.C.,* Garden City (*John Belesi* of counsel), for Meridian Acupuncture Care, amicus curiae. A private right of action exists for violation of the corporate practice prohibition of Business Corporation Law § 1504. (*Sheehy v Big Flats Community Day,* 73 NY2d 629; *Uhr v East Greenbush Cent. School Dist.,* 94 NY2d 32.)

Cadwalader, Wickersham & Taft LLP, New York City (*Francis J. Serbaroli* and *William J. Natbony* of counsel), and *Short & Billy, P.C.* (*Skip Short* of counsel), for Allstate Insurance Company and others, amici curiae. I. Fraudulently formed medical practices are part of the pervasive problem of no-fault fraud and constitute a real danger to patients. (*Matter of Medical Socy. of State of N.Y. v Serio,* 100 NY2d 854; *United States v Lucien,* 347 F3d 45; *Matter of Co-Operative Law Co.,* 198 NY 479; *McConnell v Commonwealth Pictures Corp.,* 7 NY2d 465.) II. The 30-day prompt payment rule does not bar affirmative recovery actions against fraudulently-formed medical practices. (*Montgomery v Daniels,* 38 NY2d 41; *Dermatossian v New York City Tr. Auth.,* 67 NY2d 219; *Liberty Mut. Ins. Co. v United States,* 490 F Supp 328; *Matter of New York State Assn. of Life Underwriters v New York State Banking Dept.,* 83 NY2d 353; *Matter of Gaines v New York State Div. of Hous. & Community Renewal,* 90 NY2d 545; *Matter of Rodriguez v Perales,* 86 NY2d 361; *Matter of Morris v County Bd. of Assessors,* 35 NY2d 624; *Matter of John Paterno, Inc. v Curiale,* 88 NY2d 328; *Udall v Tallman,* 380 US 1; *Lyng v Payne,* 476 US 926.) III. Insurance Law § 5106 also does not bar the denial of no-fault claims on grounds of fraudulent corporate formation beyond the 30-day period. (*Presbyterian Hosp. in City of N.Y. v Maryland Cas. Co.,* 90 NY2d 274; *Central Gen. Hosp. v Chubb Group of Ins. Cos.,* 90 NY2d 195; *McConnell v Commonwealth Pictures Corp.,* 7 NY2d 465.)

Pastel & Rosen, LLP, Albany (*Robert Pastel* of counsel), for New York Insurance Association, Inc., amicus curiae. The Superintendent of Insurance's prohibition against reimbursing fraudulently incorporated medical providers is not unreasonable.

OPINION OF THE COURT

ROSENBLATT, J.

[1, 2] On this certified question from the United States Court of Appeals for the Second Circuit, we are asked whether, under our ''no-fault'' insurance laws (*see* Insurance Law § 5101 *et seq.* and implementing regulations), insurance carriers may withhold payment for medical services provided by fraudulently incorporated enterprises to which patients have assigned their claims. We conclude that they may.

Patients covered by no-fault insurance often assign their claims to their health care providers rather than seek reimbursement from insurance carriers directly (*see* 11 NYCRR 65-3.11). Regulations require the carriers to make prompt decisions on claims once the provider has furnished adequate factual support (*see* 11 NYCRR 65.15).

This case began when State Farm filed a complaint in the United States District Court for the Eastern District of New York seeking a judgment declaring that it need not reimburse defendants—fraudulently incorporated medical corporations—for assigned claims submitted under no-fault. The complaint also sought equitable relief and damages against defendant companies and individuals for unjust enrichment and fraud. State Farm alleged, in essence, that to obtain payments from the carriers under the requirements of no-fault insurance, defendants willfully evaded New York law prohibiting nonphysicians from sharing ownership in medical service corporations.[1]

According to the complaint, the unlicensed defendants paid physicians to use their names on paperwork filed with the State to establish medical service corporations. Once the medical service corporations were established under the facially valid cover of the nominal physician-owners, the nonphysicians actually operated the companies. To maintain the appearance that the physicians owned the entities, the nonphysicians caused the corporations to hire management companies (owned by the nonphysicians), which billed the medical corporations inflated rates

1. *See e.g.* Business Corporation Law § 1507 (''A professional service corporation may issue shares only to individuals who are authorized by law to practice in this state a profession which such corporation is authorized to practice . . .'').

for routine services. In this manner, the actual profits did not go to the nominal owners but were channeled to the nonphysicians who owned the management companies.

Notably, State Farm never alleged that the actual care received by patients was unnecessary or improper. The patients insured by State Farm presumably received appropriate care from a health professional qualified to give that care. State Farm's complaint centers on fraud in the corporate form rather than on the quality of care provided.

The Federal District Court dismissed State Farm's complaint, holding that defendants' noncompliance with the licensing and incorporation statutes did not extinguish State Farm's duty to pay, so long as the actual providers acted within the scope of their licenses in rendering care. The Second Circuit then certified to this Court the question whether

> ''a medical corporation that was fraudulently incorporated under N.Y. Business Corporation Law §§ 1507, 1508, and N.Y. Education Law § 6507(4)(c) [is] entitled to be reimbursed by insurers, under New York Insurance Law §§ 5101 *et seq.,* and its implementing regulations, for medical services rendered by licensed medical practitioners'' (372 F3d 500, 510 [2004]).

We accepted the certification and now answer that such corporations are not entitled to reimbursement.

Insurance Law § 5102 *et seq.* requires no-fault carriers to reimburse patients (or, as in this case, their medical provider assignees) for ''basic economic loss.'' Interpreting the statute, the Superintendent of Insurance promulgated 11 NYCRR 65-3.16 (a) (12) (effective April 4, 2002) and excluded from the meaning of ''basic economic loss'' payments made to unlicensed or fraudulently licensed providers, thus rendering them ineligible for reimbursement.[2]

If State Farm's allegations are true, as we must construe them to be at this stage, the defendant companies undisputedly fail to meet the applicable state licensing requirements, which

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2. *See* 11 NYCRR 65-3.16 (a) (12) (''A provider of health care services is not eligible for reimbursement under section 5102 (a) (1) of the Insurance Law if the provider fails to meet any applicable New York State or local licensing requirement . . .''). In his amicus brief, the Superintendent asserts that he promulgated this rule to combat rapidly growing incidences of fraud in the no-fault regime, fraud that he has identified as correlative with the corporate practice of medicine by nonphysicians.

prohibit nonphysicians from owning or controlling medical service corporations. Furthermore, a fraudulently incorporated medical company is ''[a] provider of health care services'' within the meaning of the regulation.

[1] Defendants contend they are entitled to reimbursement even if fraudulently licensed. They first argue that the actual care that patients received was within the scope of the licenses of those who treated the patients. Defendants posit that this licensing compliance brings them within the regulatory framework for reimbursement. We disagree. The fact remains that the reimbursement goes to the medical service corporation that exists to receive payment only because of its willfully and materially false filings with state regulators.

Defendants also argue that the quoted regulation conflicts with the prompt payment goals of the no-fault statutes. The Second Circuit treated this issue as a difficult policy balance: on the one hand, there is our State's prohibition against lay ownership of shares in medical corporations (and the accompanying potential for fraud), and on the other, our encouragement of prompt payment of insurance claims, as reflected in the statutes.

[2] The regulation is valid. We are guided by the well-established principle of administrative law that the Superintendent's ''interpretation, if not irrational or unreasonable, will be upheld in deference to his special competence and expertise with respect to the insurance industry, unless it runs counter to the clear wording of a statutory provision'' (*Matter of New York Pub. Interest Research Group v New York State Dept. of Ins.*, 66 NY2d 444, 448 [1985]). Where, as here, the Superintendent has properly crafted a rule within the scope of his authority, that rule has the force of law and represents the policy choice of this State.[3]

The Superintendent's regulation allowing carriers to withhold reimbursement from fraudulently licensed medical corporations governs this case. We hold that on the strength of this regulation, carriers may look beyond the face of licensing documents to identify willful and material failure to abide by state and local law. Defendants argue that the carriers will

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3. We have already unanimously concluded that the regulation is within the Superintendent's authority to issue and will not disturb that result (*see Matter of Medical Socy. of State of N.Y. v Serio*, 100 NY2d 854, 866 [2003] [''Here, however, the challenged regulations create not a new category of exclusion, but rather merely a condition precedent with which all claimants must comply in order to receive benefits under the statute.'']).

turn this investigatory privilege into a vehicle for delay and recalcitrance.

The regulatory scheme, however, does not permit abuse of the truth-seeking opportunity that 11 NYCRR 65-3.16 (a) (12) authorizes. Indeed, the Superintendent's regulations themselves provide for agency oversight of carriers, and demand that carriers delay the payment of claims to pursue investigations solely for good cause (*see* 11 NYCRR 65-3.2 [c]). In the licensing context, carriers will be unable to show ''good cause'' unless they can demonstrate behavior tantamount to fraud. Technical violations will not do. For example, a failure to hold an annual meeting, pay corporate filing fees or submit otherwise acceptable paperwork on time will not rise to the level of fraud. We expect, and the Legislature surely intended, vigorous enforcement action by the Superintendent against any carrier that uses the licensing-requirement regulation to withhold or obstruct reimbursements to nonfraudulent health care providers.

The Second Circuit questioned whether, if the fraudulent corporations were not entitled to reimbursement, State Farm could recover money already paid out under theories of fraud or unjust enrichment. Because we rest our holding on the Superintendent's amended regulation declaring fraudulently licensed corporations ineligible for reimbursement, no cause of action for fraud or unjust enrichment would lie for any payments made by the carriers before that regulation's effective date of April 4, 2002. State Farm's complaint does not clearly indicate, one way or the other, whether it has paid money to defendants after the amended regulation took effect. We therefore answer only the certified question and decline to consider whether State Farm has alleged sufficient facts to support causes of action for fraud or unjust enrichment.

Based on the foregoing, the certified question should be answered in the negative.

Chief Judge KAYE and Judges G.B. SMITH, CIPARICK, GRAFFEO, READ and R.S. SMITH concur.

Following certification of a question by the United States Court of Appeals for the Second Circuit and acceptance of the question by this Court pursuant to section 500.17 of the Rules of Practice of the Court of Appeals (22 NYCRR 500.17), and after hearing argument by counsel for the parties and consideration of the briefs and the record submitted, certified question answered in the negative.

[828 NE2d 74, 795 NYS2d 158]

THE PEOPLE OF THE STATE OF NEW YORK, Respondent, v RICHARD AIKEN, Appellant.

Argued February 9, 2005; decided March 31, 2005

SUMMARY

APPEAL, by permission of an Associate Judge of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the First Judicial Department, entered April 13, 2004. The Appellate Division affirmed a judgment of the Supreme Court, Bronx County (Robert L. Cohen, J.), which had convicted defendant, upon a jury verdict, of manslaughter in the first degree.

People v Aiken, 6 AD3d 236, affirmed.

HEADNOTE

Crimes — Justification — Duty to Retreat

Before defensively using deadly physical force against another, a defendant standing in the doorway between his apartment and the common hall of a multi-unit building has a duty under Penal Law § 35.15 to retreat into his home when he can safely do so. Using lethal defensive force is limited to circumstances when the defender cannot ''with complete safety as to himself and others avoid the necessity of so doing by retreating'' (Penal Law § 35.15). However, the duty to retreat does not apply when the defender ''is in his dwelling and was not the initial aggressor'' (Penal Law § 35.15 [2] [a] [i]). The Penal Law and its common-law history reflect the concept behind the castle doctrine that inside one's home a person is in a unique haven from the outside world. While a person is not bound to abandon one's home, requiring a person standing in the doorway to step inside an apartment to avoid a violent encounter is not the equivalent of mandating retreat from one's home. Here, defendant need only have closed the door to be secure in his apartment. Accordingly, defendant was not entitled to a jury instruction that he had no duty to retreat on the theory that he was inside his apartment.

TOTAL CLIENT-SERVICE LIBRARY® REFERENCES

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AM JUR 2d, Homicide §§ 138, 140, 141, 148, 149, 153–157, 168.

CARMODY-WAIT 2d, Criminal Procedure § 172:3736.

MCKINNEY'S, Penal Law § 35.15.

NY JUR 2d, Criminal Law §§ 2478, 3461–3469, 3481, 3484.

ANNOTATION REFERENCE

See ALR Index under Justification or Excuse; Retreat.

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Query: justification /s defense & duty /s retreat /p hall!

POINTS OF COUNSEL

Center for Appellate Litigation, New York City (*Jody Ratner* and *Robert S. Dean* of counsel), for appellant. The court erroneously instructed the jury that appellant had a duty to retreat if the jury found, in accordance with appellant's testimony, that, at the time of the incident, he was (1) inside his dwelling, or (2) in the threshold of his dwelling. (*Cupp v Naughten,* 414 US 141; *People v Hernandez,* 98 NY2d 175; *People v Tomlins,* 213 NY 240; *People v Padgett,* 60 NY2d 142; *People v Mezon,* 80 NY2d 155; *Berman v H.J. Enters.,* 13 AD2d 199; *Payton v New York,* 445 US 573; *People v Reynoso,* 2 NY3d 820; *United States v Santana,* 427 US 38; *People v White,* 127 Misc 2d 219.)

Robert T. Johnson, District Attorney, Bronx (*Andrew N. Sacher, Joseph N. Ferdenzi* and *Nancy Killian* of counsel), for respondent. Defendant was not entitled to an instruction that he had no duty to retreat even assuming arguendo that he was standing in the threshold of his doorway when he fatally struck the victim, and alternatively, any error in the court's charge to the jury regarding self-defense was harmless in light of the overwhelming evidence that there was no justification for defendant's attack on the victim. (*People v Sullivan,* 7 NY 396; *People v Tomlins,* 213 NY 240; *People v Kennedy,* 159 NY 346; *People v Constantino,* 153 NY 24; *People v Seit,* 86 NY2d 92; *People v Crimmins,* 36 NY2d 230; *People v Berk,* 88 NY2d 257; *People v Hernandez,* 98 NY2d 175; *People v Padgett,* 60 NY2d 142; *People v Butts,* 72 NY2d 746.)

OPINION OF THE COURT

Chief Judge KAYE.

Before defensively using deadly physical force against another, does a defendant standing in the doorway between his apartment and the common hall of a multi-unit building have a duty under Penal Law § 35.15 to retreat into his home when he can safely do so? We answer that question in the affirmative.

Facts

Defendant and the victim were next-door neighbors in the same apartment building in the Bronx for nearly 40 years, virtually their entire lives. Their families were close until 1994 or

1995, when a dispute—with ultimately tragic consequences—arose over cable and telephone wiring. The victim and his family believed that defendant was siphoning off their services, even after the service providers found that the suspicion was without basis. In 1997, following a heated verbal exchange, the victim stabbed defendant in the back, hospitalizing him for two days. Although the families remained next-door neighbors, separated only by a common wall, from 1997 to 1999 the victim repeatedly threatened to shoot, stab or otherwise injure defendant. He made these threats to defendant's face, to his father and to neighbors—at one point even brandishing a boxcutter.

On December 21, 1999, defendant and the victim argued through the shared bedroom wall between their apartments. Using a metal pipe, defendant knocked an indentation into his side of the wall. The victim then left his apartment to go downstairs and open the building's front door for the police, who responded to the 911 call his mother had made about defendant. Defendant, inside his apartment, walked to his front door several times, opening it and looking into the public hall until he saw the victim there with a friend.

Still holding the metal pipe he had earlier used to hit the wall, defendant (while remaining in his doorway) then engaged in an angry argument with the victim.[1] According to defendant's trial testimony, he continued standing in the doorway, never going into the hall, when the victim reached into his pocket, came up to defendant's face ''nose to nose,'' and said ''he was going to kill'' him. Believing he was about to be stabbed again, defendant struck the victim on his head with the metal pipe, killing him.

As defendant requested, the trial court instructed the jury as to the Penal Law § 35.15 defense of justification, including that ''a person may nevertheless not use defensive deadly physical force if he knows he can with complete safety to himself avoid such use of deadly physical force by retreating.'' Immediately after this instruction, defendant asked the court to ''charge the jury that if a defendant is in his home and close proximity of a threshold of his home there is no duty to retreat.'' The trial court denied the request, ruling ''[defendant] said he was at the doorway and I don't consider that being inside his home . . . .'' The jury acquitted defendant of murder but convicted him of

1. In reviewing defendant's appeal, we consider the evidence in the light most favorable to defendant (*see People v Padgett*, 60 NY2d 142, 144 [1983]).

manslaughter in the first degree, and he was sentenced to a determinate term of 16 years. The Appellate Division affirmed, as do we.

The Duty to Retreat

Historically, English common law justified deadly force only in circumstances where one was executing the law—effecting a legal arrest or preventing violent felonies (*see* Perkins, *Self-Defense Re-Examined*, 1 UCLA L Rev 133 [1954]). When deadly force was reasonably used in self-defense it only excused—but did not justify—the homicide (*see* Wharton, Homicide, ch IX, § III, at 211 [1855]). The difference was more than theoretical, as the excused killer was subject to property forfeiture and, at times, even a penal sentence (*see* Dressler, Understanding Criminal Law § 17.01, at 205 [3d ed]). However, with the enactment of 24 Henry 8 chapter 5 (1532), the justification defense was enlarged to include deadly force reasonably used in self-defense. This broader reading of the justified use of deadly force was further refined by cases involving attacks in the dwelling of the defender. Such a defender—even if the original aggressor—did not have a duty to retreat when inside the home, or ''Castell'' (Lambard, Eirenarcha or of the Office of the Justices of Peace, at 250 [1599]).

Our contemporary castle doctrine grew out of a turbulent era when retreat from one's home necessarily entailed increased peril and strife (*see* Thompson, *Homicide in Self-Defence*, 14 Am L Rev 545, 548, 554 [1880]). The rationale that evolved—now widely accepted—is that one should not be driven from the inviolate place of refuge that is the home. ''It is not now, and never has been the law that a man assailed in his own dwelling, is bound to retreat. If assailed there, he may stand his ground, and resist the attack. He is under no duty to take to the fields and the highways, a fugitive from his own home'' (*see People v Tomlins*, 213 NY 240, 243 [1914, Cardozo, J.]).

The home exception to the duty to retreat reflects two interrelated concepts—defense of one's home, and defense of one's person and family. ''[T]he house has a peculiar immunity [in] that it is sacred for the protection of [a person's] family,'' and ''[m]andating a duty to retreat for defense of dwelling claims will force people to leave their homes by the back door while their family members are exposed to danger and their houses are burgled'' (*State v Carothers*, 594 NW2d 897, 900, 901 [Minn 1999] [internal quotation marks and citations omitted]). Yet somewhat at odds with this privileged status accorded the home is the state's general interest in protecting life. "The duty to retreat reflects the idea that a killing is justified only as a last resort, an act impermissible as long as other reasonable avenues are open" (*People v Jones*, 3 NY3d 491, 494 [2004]). Indeed, requiring a defender to retreat before using deadly force may in fact be the "more civilized view" (2 LaFave, Substantive Criminal Law § 10.4 [f], at 155 [2d ed]). Inevitably, then, a balance must be struck between protecting life by requiring retreat and protecting the sanctity of the home by not requiring retreat.

Prior to 1940, New York's decisional law tended toward protection of life by imposing a generalized duty to retreat in the face of deadly force (*People v Tomlins*, 213 NY 240 [1914]; *People v Kennedy*, 159 NY 346, 349 [1899]; *People v Constantino*, 153 NY 24 [1897]). However, in *People v Ligouri* (284 NY 309, 317 [1940]), this Court departed from what had been the traditional retreat rule and held that a defendant faced with felonious attack on a public street was justified "in standing his ground and, if necessary, destroying the person making the felonious attack." The Legislature responded in its 1965 revision of the Penal Law (*see* L 1965, ch 1030; *see also* Denzer and McQuillan, Practice Commentary, McKinney's Cons Laws of NY, Book 39, Penal Law § 35.15, at 64 [1967 ed]). Codifying what had been the common law of the state prior to *Ligouri*, Penal Law § 35.15 (2) (a) for the first time statutorily limited the use of lethal defensive force to circumstances when the defender "knows that he can avoid the necessity of using such force with complete safety . . . by retreating" (Penal Law § 35.15 [2] [a]). The Legislature also incorporated the castle doctrine—balancing the competing interests of protecting the home and protecting life—directing that the duty to retreat does not apply when the defender "is in his dwelling and was not the initial aggressor" (Penal Law § 35.15 [2] [a] [i]).[2]

Thus, our current statutory recognition of the castle doctrine in Penal Law § 35.15 reaffirmed New York's traditional self-defense principles (*see People v Hernandez*, 98 NY2d 175, 182 [2002]). If the attack occurs in the dwelling, a defender need not retreat but may use reasonable force to repel it.

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2. Reflecting the principle that the home is a unique place in which one may use force to prevent the commission of a crime, the Penal Law also authorizes a person to use deadly physical force to protect the dwelling from a burglary (*see* Penal Law § 35.20 [3]).

Application to This Case

Defendant argues that the trial court erred in refusing to instruct the jury that he had no duty to retreat because a reasonable view of the evidence supported an inference either that he was inside his apartment when confronted by the victim or that he was in the doorway between his apartment and the common hall.

Initially, we recognize that the evidence supported defendant's request for a justification charge. Only recently, in *People v Jones*, we held that the defendant ''never claimed, and there is no reason to believe, that he was fearful of being killed or harmed by the actions of the deceased'' (3 NY3d at 497). Here, by contrast, defendant presented evidence of his prior history with the victim, the victim's threats and violent conduct, as well as defendant's subjective belief that the victim was about to stab him again. While he was thus entitled to the justification charge, he was not entitled to a jury instruction that he had no duty to retreat.[3]

Under no reasonable view of the evidence was defendant actually inside his apartment when confronted by the victim. Both in his trial testimony and in his pretrial statement to the police, defendant repeatedly stated that he was in the doorway, not inside the apartment, when the victim confronted him. Further, the victim collapsed and died in the hallway, with no part of his body inside defendant's apartment. Consequently, defendant was not entitled to a jury instruction that he had no duty to retreat on the theory that he was inside his apartment.

Nor did defendant's claim that he was standing in the doorway, or threshold, of his apartment entitle him to that instruction.

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3. Having concluded that the trial court correctly charged justification, we have no occasion to address the Appellate Division's alternative holding that ''if there were any error in the refusal to give the requested charge, such error would have been harmless in view of the overwhelming evidence that defendant unjustifiably attacked the victim outside of defendant's apartment, which evidence leaves no significant probability, or even a reasonable possibility, that the verdict would have been different had the requested charge been given'' (6 AD3d 236, 237 [2004]; *compare People v Jones,* 3 NY3d at 497 [because the proof at trial did not support defendant's requested justification charge, the court's refusal to instruct that defendant had no duty to retreat was harmless], *with People v McManus*, 67 NY2d 541, 549 [1986] [''if any reasonable view of the evidence would permit the fact finder to decide that the conduct of the accused was justified, an instruction on the defense should be given . . . (R)efusal to charge that the People must disprove the alleged justification is reversible error'']).

Defendant argues that the doorway between the apartment and the shared hall was part of his dwelling—his private sanctuary. As we recognized in *People v Hernandez* (98 NY2d 175, 183 [2002]), whether a particular area is part of a dwelling under Penal Law § 35.15 ''depends on the extent to which defendant . . . exercises exclusive possession and control over the area in question.''[4]

Here, defendant was in an area that functioned as a portal between an interior world and a public one. It was the region where a stranger, seeking access to the interior, could ask for entry. The actual physical space of the doorway straddled both the private apartment and the public hall. A nonresident could stand there and knock, ring a bell or turn the door's handle. The resident had exclusive control and possession only over that part of the apartment, the private property, from which nonresidents could ordinarily be excluded. The doorway did not function as the asylum of the home—it was instead a hybrid private-public space in which a person did not have the same reasonable expectation of seclusion and refuge from the outside world (*see also People v Reynoso*, 2 NY3d 820 [2004] [defendant in doorway, as opposed to inside apartment, may be arrested without a warrant]).

Indeed, the Penal Law and its common-law history reflect the concept behind the castle doctrine that inside one's home a person is in a unique haven from the outside world. While a person is not bound to abandon one's home, requiring a person standing in the doorway to step inside the apartment to avoid a violent encounter is not the equivalent of mandating retreat from one's home. Here, defendant need only have closed the door, or pulled up the drawbridge, to be secure in his castle.

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4. Depending on the facts, the castle doctrine has been applied to areas immediately surrounding the home, such as a porch or yard (*see* Dressler, Understanding Criminal Law § 18.02 [C] [3], at 228 [3d ed]; *see also State v Blue,* 356 NC 79, 89, 565 SE2d 133, 139-140 [2002] [a porch may be part of the dwelling for self-defense purposes because ''the occupants of a home may engage in many of the same activities on the porch that they enjoy in the more protected areas . . . such as eating, reading, sleeping, entertaining, and relaxing'']; *Doswell v State*, 34 Ala App 546, 42 So 2d 480 [1949] [defendant in garden—which was part of the house's curtilage—was entitled to jury instruction that he had no duty to retreat]).

As we also noted in *Hernandez* (98 NY2d 175 [2002]), different provisions govern what constitutes a dwelling for purposes of justification in defensive use of physical force in a burglary under Penal Law § 35.20.

Accordingly, the order of the Appellate Division should be affirmed.

Judges G.B. SMITH, CIPARICK, ROSENBLATT, GRAFFEO, READ and R.S. SMITH concur.

Order affirmed.

[827 NE2d 762, 794 NYS2d 704]

THE ARGO CORPORATION et al., Appellants, v GREATER NEW YORK MUTUAL INSURANCE COMPANY, Respondent.

Argued February 9, 2005; decided April 5, 2005

SUMMARY

APPEAL, by permission of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the First Judicial Department, entered November 20, 2003. The Appellate Division affirmed an order of the Supreme Court, New York County (Harold B. Beeler, J.), which had granted defendant's motion to dismiss the complaint.

Argo Corp. v Greater N.Y. Mut. Ins. Co., 1 AD3d 264, affirmed.

HEADNOTE

Insurance — Duty to Defend and Indemnify — Late Notice of Lawsuit

Defendant primary insurer was entitled to disclaim coverage for the underlying personal injury lawsuit brought against plaintiff insureds based solely upon plaintiffs' late notice of lawsuit, and was not required to show prejudice. Plaintiffs' failure to notify defendant of the lawsuit until 14 months after service of the complaint, and after an order of default was entered against and a note of issue served upon plaintiffs, was unreasonable as a matter of law. Although the general rule that prejudice need not be shown has been held not to apply to reinsurance, or in the context of supplementary underinsured motorist insurance (SUM) if the carrier either received timely notice of claim but late notice of lawsuit, or timely notice of accident but late notice of SUM claim, that exception should not be extended here. The rationale of the no-prejudice rule is clearly applicable to a late notice of lawsuit under a liability insurance policy.

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AM JUR 2d, Insurance §§ 1315–1318, 1325, 1326, 1396.

COUCH ON INSURANCE (3d ed) §§ 193:1, 193:5, 193:25, 193:26, 193:49, 193:50.

NY JUR 2d, Insurance §§ 1534, 1843, 1847, 1917.

ANNOTATION REFERENCE

Modern status of rules requiring liability insurer to show prejudice to escape liability because of insured's failure or delay in giving notice of accident or claim, or in forwarding suit papers. 32 ALR4th 141.

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POINTS OF COUNSEL

Nicoletti Hornig Campise Sweeney & Paige, New York City (*David R. Hornig* and *Julia M. Moore* of counsel), for appellants. I. *Matter of Brandon (Nationwide Mut. Ins. Co.*) (97 NY2d 491 [2002]) applies to this action and requires prejudice. (*Mark A. Varrichio & Assoc. v Chicago Ins. Co.,* 312 F3d 544; *Security Mut. Ins. Co. of N.Y. v Acker-Fitzsimons Corp.,* 31 NY2d 436; *Unigard Sec. Ins. Co. v North Riv. Ins. Co.,* 79 NY2d 576; *American Home Assur. Co. v International Ins. Co.,* 90 NY2d 433.) II. The time is ripe for New York to abandon its strict adherence to the outdated no-prejudice rule. (*Matter of Brandon [Nationwide Mut. Ins. Co.],* 97 NY2d 491; *Unigard Sec. Ins. Co. v North Riv. Ins. Co.,* 79 NY2d 576; *American Home Assur. Co. v International Ins. Co.,* 90 NY2d 433.)

Thomas D. Hughes, New York City, and *Richard C. Rubinstein* for respondent. I. This Court should not change the rule that commercial-liability insurers need not show prejudice when disclaiming coverage for late notice of the occurrence, claim, or suit because this rule is based on sound principles of contract law and construction, has not prejudiced insureds or advantaged insurers, and is the only equitable rule to apply. (*Security Mut. Ins. Co. of N.Y. v Acker-Fitzsimons Corp.,* 31 NY2d 436; *Unigard Sec. Ins. Co. v North Riv. Ins. Co.,* 79 NY2d 576; *American Tr. Ins. Co. v Sartor,* 3 NY3d 71; *United States Fid. & Guar. Co. v Annunziata,* 67 NY2d 229; *Greenfield v Philles Records,* 98 NY2d 562; *Graf v Hope Bldg. Corp.,* 254 NY 1; *Matter of Davis v Block & Smith,* 297 NY 20; *White v City of New York,* 81 NY2d 955; *American Home Assur. Co. v International Ins. Co.,* 90 NY2d 433.) II. If there is a prejudice requirement in the commercial-liability contract, then the insured should have the burden of proof on this issue for both contractual and public policy reasons. (*Allis-Chalmers Mfg. Co. v Malan Constr. Corp.,* 30 NY2d 225; *American Tr. Ins. Co. v Sartor,* 3 NY3d 71; *Unigard Sec. Ins. Co. v North Riv. Ins. Co.,* 79 NY2d 576; *Security Mut. Ins. Co. of N.Y. v Acker-Fitzsimons Corp.,* 31 NY2d 436.)

Anderson Kill & Olick, P.C., New York City (*John B. Berringer* and *Dennis J. Artese* of counsel), for Catholic Health Services of Long Island, amicus curiae. I. The overwhelming majority of states apply the notice-prejudice rule to late notice. (*Matter of Brandon [Nationwide Mut. Ins. Co.],* 97 NY2d 491; *State*

Farm Mut. Auto. Ins. Co. v Sparacio, 297 AD2d 284; *New York Mut. Underwriters v Kaufman,* 257 AD2d 850; *Mark A. Varrichio & Assoc. v Chicago Ins. Co.,* 99 NY2d 545, 328 F3d 50; *Ellis v Columbian Natl. Life Ins. Co.,* 270 App Div 143, 296 NY 594; *Press Publ. Co. v General Acc. Fire & Life Assur. Corp. of Perth, Scotland,* 160 App Div 537, 217 NY 648; *McCormack v Security Mut. Life Ins. Co.,* 161 App Div 33, 220 NY 447; *Rockaway Park Series Corp. v Hollis Automotive Corp.,* 206 Misc 955, 285 App Div 1140.) II. The insurance industry's objections to the notice-prejudice rule are unjustified and should be rejected. (*American Home Prods. Corp. v Liberty Mut. Ins. Co.,* 565 F Supp 1485; *Marine Basin Co. v Northwestern Fire & Mar. Ins. Co.,* 256 NY 306; *LeCorre v Bijesse Belford Dolewski & DeMicco,* 269 AD2d 569.)

Hiscock & Barclay, LLP, Albany (*Mark W. Blanchfield* of counsel), for New York Insurance Association, Inc., amicus curiae. I. Requiring insurers to show prejudice to enforce the reasonable notice condition would be a complete sea change in New York law. (*Security Mut. Ins. Co. of N.Y. v Acker-Fitzsimons Corp.,* 31 NY2d 436; *Matter of Metropolitan Prop. & Cas. Ins. Co. v Mancuso,* 93 NY2d 487; *D'Aloia v Travelers Ins. Co.,* 85 NY2d 825; *People v Hobson,* 39 NY2d 479; *Heyert v Orange & Rockland Util.,* 17 NY2d 352; *Cenven, Inc. v Bethlehem Steel Corp.,* 41 NY2d 842.) II. The policy reasons behind a no-prejudice rule still exist with respect to notice of the circumstances of the claim. (*Matter of Brandon [Nationwide Mut. Ins. Co.],* 97 NY2d 491; *Unigard Sec. Ins. Co. v North Riv. Ins. Co.,* 79 NY2d 576; *American Tr. Ins. Co. v Sartor,* 3 NY3d 71; *Security Mut. Ins. Co. of N.Y. v Acker-Fitzsimons Corp.,* 31 NY2d 436; *Matter of Medical Socy. of State of N.Y. v Serio,* 100 NY2d 854.) III. The case law from other states is inconsistent with New York's legal scheme. (*Sablosky v Gordon Co.,* 73 NY2d 133; *Morris v Snappy Car Rental,* 84 NY2d 21; *American Tr. Ins. Co. v Sartor,* 3 NY3d 71; *2423 Mermaid Realty Corp. v New York Prop. Ins. Underwriting Assn.,* 142 AD2d 124; *Dyno-Bite, Inc. v Travelers Cos.,* 80 AD2d 471; *Matter of Metropolitan Prop. & Cas. Ins. Co. v Mancuso,* 93 NY2d 487.)

Rivkin Radler LLP, Uniondale (*Evan H. Krinick* and *Alan C. Eagle* of counsel), and *Wiley Rein & Fielding LLP,* Washington, D.C. (*Laura A. Foggan* and *John C. Yang* of counsel), for Complex Insurance Claims Litigation Association, amicus curiae. I. New York consistently has adhered to the no-prejudice rule. (*Security Mut. Ins. Co. of N.Y. v Acker-Fitzsimons Corp.,* 31

NY2d 436; *Unigard Sec. Ins. Co. v North Riv. Ins. Co.,* 79 NY2d 576; *AXA Mar. & Aviation Ins. [UK] Ltd. v Seajet Indus. Inc.,* 84 F3d 622; *Maroney v New York Cent. Mut. Fire Ins. Co.,* 10 AD3d 778; *American Home Assur. Co. v International Ins. Co.,* 90 NY2d 433; *Fisher v Hanover Ins. Co.,* 288 AD2d 806; *T & S Masonry v State Ins. Fund,* 290 AD2d 308; *Centenniel Ins. Co. v Hoffman,* 265 AD2d 629; *Nationwide Mut. Ins. Co. v Vivas,* 267 AD2d 105; *Matter of Allstate Ins. Co. v Kruger,* 264 AD2d 443, 94 NY2d 755, 944.) II. Rationales for the no-prejudice rule are well established and applicable to the present facts. (*Graf v Hope Bldg. Corp.,* 254 NY 1; *First Natl. Stores v Yellowstone Shopping Ctr.,* 21 NY2d 630; *Greenfield v Philles Records,* 98 NY2d 562; *Matter of Southeast Banking Corp.,* 93 NY2d 178; *Nichols v Nichols,* 306 NY 490, 307 NY 677; *Matter of Davis v Block & Smith,* 297 NY 20; *United States Fid. & Guar. Co. v Annunziata,* 67 NY2d 229; *Douglas v Knickerbocker Life Ins. Co.,* 83 NY 492; *AXA Mar. & Aviation Ins. [UK] Ltd. v Seajet Indus. Inc.,* 84 F3d 622; *Commercial Union Ins. Co. v International Flavors & Fragrances, Inc.,* 822 F2d 267.) III. The lower court properly declined to depart from the no-prejudice rule. (*Matter of Brandon [Nationwide Mut. Ins. Co.],* 97 NY2d 491; *American Tr. Ins. Co. v Sartor,* 3 NY3d 71; *Steadfast Ins. Co. v Sentinel Real Estate Corp.,* 283 AD2d 44; *Rekemeyer v State Farm Mut. Auto. Ins. Co.,* 7 AD3d 955, 3 NY3d 669, 608; *Mark A. Varrichio & Assoc. v Chicago Ins. Co.,* 312 F3d 544; *Cade & Saunders, P.C. v Chicago Ins. Co.,* 332 F Supp 2d 490; *Green Door Realty Corp. v TIG Ins. Co.,* 329 F3d 282; *Genesee Mgt. v Barrette,* 4 AD3d 874; *St. Charles Hosp. & Rehabilitation Ctr. v Royal Globe Ins. Co.,* 282 AD2d 593; *Matter of Schulz v State of New York,* 151 Misc 2d 594, 185 AD2d 596, 81 NY2d 336.)

Dickstein Shapiro Morin & Oshinsky LLP, New York City (*David L. Elkind, Edward Tessler* and *Elizabeth A. Sherwin* of counsel), for KeySpan Corporation, amicus curiae. The rationale underlying the no-prejudice rule does not justify allowing insurance companies to evade coverage for claims they would have neither defended nor covered no matter when they received notice of the suit or claim. (*Matter of Brandon [Nationwide Mut. Ins. Co.],* 97 NY2d 491; *Unigard Sec. Ins. Co. v North Riv. Ins. Co.,* 79 NY2d 576; *Jacob & Youngs v Kent,* 230 NY 239; *American Home Assur. Co. v International Ins. Co.,* 90 NY2d 433; *Westview Assoc. v Guaranty Natl. Ins. Co.,* 95 NY2d 334; *Frontier Insulation Contrs. v Merchants Mut. Ins. Co.,* 91 NY2d 169; *Incorporated Vil. of Cedarhurst v Hanover Ins. Co.,* 89 NY2d 293; *Continental Cas. Co. v Rapid-American Corp.,* 80 NY2d

640; *Roofers' Joint Training, Apprentice & Educ. Comm. of W. N.Y. v General Acc. Ins. Co. of Am.,* 275 AD2d 90; *Ansonia Assoc. Ltd. Partnership v Public Serv. Mut. Ins. Co.,* 257 AD2d 84.)

Athari Law Office, Utica (*Mo Athari* of counsel), for Athari Law Office, amicus curiae. I. The exception carved out to protect insurers in New York has failed to justify the rationale, as a matter of law, for not applying the substantial or actual prejudice rule as a factor in considering late notice. (*Security Mut. Ins. Co. of N.Y. v Acker-Fitzsimons Corp.,* 31 NY2d 436; *Unigard Sec. Ins. Co. v North Riv. Ins. Co.,* 79 NY2d 576; *Seals v Powell,* 236 AD2d 700.) II. If this Court allows the substantial or actual prejudice standard to be considered as an additional factor, the burden of proof to show prejudice should be on the insurer.

Kirkpatrick & Lockhart Nicholson Graham LLP, New York City (*Gerald A. Novack* of counsel), *Val Washington, Kirkpatrick & Lockhart Nicholson, Graham LLP,* Pittsburgh, Pennsylvania (*Thomas E. Birsic* and *Paul K. Stockman* of counsel), and *Edgar Snyder & Associates, LLC,* Pittsburgh, Pennsylvania (*James D. Belliveau* and *Michael H. Rosenzweig* of counsel), for Crucible Materials Corporation and others, amici curiae. The court should extend the holding in *Matter of Brandon (Nationwide Mut. Ins. Co.)* (97 NY2d 491 [2002]) to apply to general liability insurance, requiring that insurers be prejudiced before coverage is forfeited due to late notice. (*American Home Assur. Co. v International Ins. Co.,* 90 NY2d 433; *Security Mut. Ins. Co. of N.Y. v Acker-Fitzsimons Corp.,* 31 NY2d 436; *Unigard Sec. Ins. Co. v North Riv. Ins. Co.,* 79 NY2d 576; *Great Canal Realty Corp. v Seneca Ins. Co., Inc.,* 13 AD3d 227; *Carlino v Lumbermens Mut. Cas. Co.,* 74 NY2d 350; *Matthews v American Cent. Ins. Co.,* 154 NY 449; *Matter of Mostow v State Farm Ins. Cos.,* 88 NY2d 321; *Stainless, Inc. v Employers Fire Ins. Co.,* 69 AD2d 27, 49 NY2d 924; *Eagle Star Ins. Co. v International Proteins Corp.,* 45 AD2d 637; *Hanover Ins. Co. v Losquadro,* 157 Misc 2d 1014.)

OPINION OF THE COURT

G.B. SMITH, J.

The issue in this case is whether a primary insurer can disclaim coverage based solely upon a late notice of lawsuit or must show prejudice. We hold that, under the circumstances of this case, plaintiffs' late notice was unreasonable as a matter of law, that the Appellate Division correctly applied *Matter of*

Brandon (*Nationwide Mut. Ins. Co.*) (97 NY2d 491 [2002]) and that the insurer need not show prejudice.

On January 2, 1997, Igo Maidanek slipped and fell on ice on the sidewalk adjacent to 137-01 83rd Avenue in Kew Gardens, New York. Maidanek was a tenant of the premises. The property was owned by Henry Moskowitz and managed by two companies owned by Moskowitz, Argo Corporation and Martinique Realty Associates (Argo).

On December 27, 1999, Maidanek brought suit for personal injuries against Argo by serving a summons and complaint on the New York Secretary of State. Argo acknowledged receipt of the summons and complaint by signing a return-receipt dated February 28, 2000. On November 10, 2000, Argo was served with a default judgment. On February 13, 2001, Argo received a notice of entry of the default judgment and of the scheduling of a hearing on that judgment. On February 21, 2001, Argo received service of a note of issue for trial readiness.

Argo notified Greater New York Mutual Insurance Company (GNY), its commercial liability insurance carrier,[1] on May 2, 2001. On June 4, 2001, GNY disclaimed coverage because of the late notice of the lawsuit and occurrence, which, according to GNY, was a ''condition precedent'' to coverage under the insurance policy.[2]

In January 2003, Argo brought a declaratory judgment action against GNY challenging GNY's disclaimer. GNY responded with a motion to dismiss for failure to comply with the contract provision which required timely notice to the carrier of the occurrence and of the lawsuit against the insured. The contract required notice ''as soon as practicable.''[3]

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1. Previously, ''GNY issued a commercial-package insurance policy to Henry Moskowitz that included commercial-liability insurance coverage for some 35 buildings in New York City.'' (Respondent's brief at 3.)

2. ''A condition precedent is 'an act or event, other than a lapse of time, which, unless the condition is excused, must occur before a duty to perform a promise in the agreement arises' '' (*Oppenheimer & Co. v Oppenheim, Appel, Dixon & Co.*, 86 NY2d 685, 690 [1995] [citations omitted]).

3. ''Section IV—Commercial General Liability Conditions . . .

''2. Duties in The Event of Occurrence, Offense, Claim Or Suit

''a. You must see to it that we are notified *as soon as practicable* of an 'occurrence' or an offense which may result in a claim'. To the extent possible, notice should include:

''(1) How, when and where the 'occurrence' or offense took place;

''(2) The names and addresses of any injured person and witnesses; and

(n. cont'd)

Supreme Court agreed that Argo failed to comply with a condition precedent to coverage under the contract, stating,

> ''Plaintiffs' policy required them to 'see to it that we [the insurer] are notified as soon as practicable of an ''occurrence'' or an offense which may result in a claim.' Plaintiffs never notified defendant of Maidanek's suit until 14 months after service of the complaint upon the Secretary of State as their agent, until 6 months after service of the default motion upon plaintiffs, until more than 3 months after default was entered and until almost 3 months after service of the Note of Issue upon plaintiffs.''

As a result, Supreme Court granted defendant's motion to dismiss for failure to timely notify the insurer.

The Appellate Division affirmed, stating:

> ''[T]he insureds are unable to provide an excuse for their failure to comply with the policy's notice provisions.
>
> ''Unlike *Matter of Brandon* (*Nationwide Mut. Ins. Co.*) (97 NY2d 491 [2002]), this is not a case where the carrier had prior notice of the claim before the action was commenced.'' (1 AD3d 264, 265 [2003] [citations omitted].)

We granted leave to appeal and now affirm.

''(3) The nature and location of any injury or damage arising out of the 'occurrence' or offense.

''b. If a claim is made or 'suit' is brought against any insured, you must:

''(1) Immediately record the specifics of the claim or 'suit' and the date received; and

''(2) Notify us as soon as practicable.

''You must see to it that we receive written notice of the claim or 'suit' as soon as practicable.

''c. You and any other involved insured must:

''(1) Immediately send us copies of any demands, notices, summonses or legal papers received in connection with the claim or 'suit';

''(2) Authorize us to obtain records and other information;

''(3) Cooperate with us in the investigation or settlement of the claim or defense against the 'suit'; and

''(4) Assist us, upon our request, in the enforcement of any right against any person or organization which may be liable to the insured because of injury or damage to which this insurance may also apply.

''d. No insured will, except at that insured's own cost, voluntarily make a payment, assume any obligation, or incur any expense, other than for first aid, without our consent.'' (Emphasis added.)

For years the rule in New York has been that where a contract of primary insurance requires notice "as soon as practicable" after an occurrence, the absence of timely notice of an occurrence is a failure to comply with a condition precedent which, as a matter of law, vitiates the contract (*see Security Mut. Ins. Co. of N.Y. v Acker-Fitzsimons Corp.*, 31 NY2d 436, 440-443 [1972]) [failure to notify in a timely manner allowed insurer to disclaim coverage]). No showing of prejudice is required (*id.*). Strict compliance with the contract protects the carrier against fraud or collusion (*id.*); gives the carrier an opportunity to investigate claims while evidence is fresh; allows the carrier to make an early estimate of potential exposure and establish adequate reserves and gives the carrier an opportunity to exercise early control of claims, which aids settlement (*Unigard Sec. Ins. Co. v North Riv. Ins. Co.*, 79 NY2d 576, 582 [1992]).

We have applied the no-prejudice rule in various contexts in recent years: supplementary underinsured motorist (SUM) insurance (*Matter of Metropolitan Prop. & Cas. Ins. Co. v Mancuso*, 93 NY2d 487, 495-496 [1999]; *cf. Matter of Brandon, and Rekemeyer v State Farm Mut. Auto. Ins. Co.,* 4 NY3d 468 [2005]) and excess insurance (*American Home Assur. Co. v International Ins. Co.*, 90 NY2d 433, 442-443 [1997]). We have held, however, that the rule enunciated in *Security Mutual* does not apply to reinsurance and a reinsurer must show prejudice before it can be relieved of its obligations to perform under a contract (*Unigard Sec. Ins. Co. v North Riv. Ins. Co.*, 79 NY2d 576, 582-584 [1992]).

In *Matter of Brandon* (*Nationwide Mut. Ins. Co.*) (97 NY2d 491 [2002]), we again departed from the general no-prejudice rule and held that the carrier must show prejudice before disclaiming based on late notice of a lawsuit in the SUM context (*see* 97 NY2d 491, 498 [2002]*, supra*). Under the facts of *Brandon*, the carrier received timely notice of claim but late notice of a lawsuit (*see id*. at 494-495). We were unwilling to extend the no-prejudice exception in regard to late notice of a lawsuit because "unlike most notices of claim—which must be submitted promptly after the accident, while an insurer's investigation has the greatest potential to curb fraud—notices of legal action become due at a moment that cannot be fixed relative to any other key event, such as the injury, the discovery of the tortfeasor's insurance limits or the resolution of the underlying tort claim" (*see id*. at 498).

Brandon did not abrogate the no-prejudice rule and should not be extended to cases where the carrier received unreasonably late notice of a claim. The facts here, where no notice of claim was filed and the first notice filed was a notice of lawsuit, are distinguishable from *Brandon* where a timely notice of claim was filed, followed by a late notice of lawsuit, and distinguishable from *Rekemeyer*, where an insured gave timely notice of the accident, but late notice of a SUM claim. Argo was notified of the lawsuit against it in February 2000 but did not notify GNY until May 2001. The burden of establishing that the delay was not unreasonable falls on the insured (*see U.S. Underwriters Ins. Co. v A & D Maja Constr., Inc.*, 160 F Supp 2d 565, 569 [SD NY 2001]).

Argo admits that Maidanek filed the lawsuit against it in late 1999, and that it received notice of the claim in early 2000. Argo further admits that its notice to GNY was late but argues that GNY has not shown prejudice as a result of this late notice. Argo notified GNY 14 months after it was first served with the lawsuit, and six months after a default judgment was entered against it. Argo asks this Court to extend the *Brandon* ''prejudice analysis to notice of suit in commercial policies where the notice was admittedly late.''

The rationale of the no-prejudice rule is clearly applicable to a late notice of lawsuit under a liability insurance policy. A liability insurer, which has a duty to indemnify and often also to defend, requires timely notice of lawsuit in order to be able to take an active, early role in the litigation process and in any settlement discussions and to set adequate reserves. Late notice of lawsuit in the liability insurance context is so likely to be prejudicial to these concerns as to justify the application of the no-prejudice rule. Argo's delay was unreasonable as a matter of law and thus, its failure to timely notify GNY vitiates the contract. GNY was not required to show prejudice before declining coverage for late notice of lawsuit.

Accordingly, the order of the Appellate Division should be affirmed, with costs.

Judges CIPARICK, ROSENBLATT, GRAFFEO, READ and R.S. SMITH concur; Chief Judge KAYE taking no part.

Order affirmed, with costs.

[828 NE2d 583, 795 NYS2d 481]

THE PEOPLE OF THE STATE OF NEW YORK, Respondent, v JAMES COMBEST, Appellant.

Argued January 13, 2005; decided February 22, 2005

SUMMARY

APPEAL, by permission of an Associate Judge of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Second Judicial Department, entered November 17, 2003. The Appellate Division affirmed a judgment of the Supreme Court, Kings County (Lawrence Knipel, J.), which had convicted defendant, upon a jury verdict, of manslaughter in the first degree and criminal possession of a weapon in the second degree.

People v Combest, 1 AD3d 525, reversed.

HEADNOTE

Crimes — Disclosure — Tapes of Defendant's Interrogation — Shield Law

Defendant was entitled pursuant to Civil Rights Law § 79-h (c) (Shield Law) to the production of video and audio tapes of his police interrogation taken by a film company that was making a television show depicting custodial interrogations. The Shield Law affords journalists and newscasters a qualified privilege in nonconfidential news, which news will only be disclosed if the party seeking such news demonstrates that it is highly material and relevant, is critical or necessary to a party's claim or defense, and is not obtainable from any alternative source. Defendant intended to use the tapes in support of his defenses that he acted in self-defense and that his statements were involuntary. Because the tapes constituted the only depictions of his interrogation by the police, defendant met his burden under Civil Rights Law § 79-h (c) as a matter of law. That defendant was provided with the brief videotaped statement he ultimately gave to the prosecutor did not lessen the importance of the evidence he sought. The trial court erred in considering only the allegedly coercive statements that defendant claimed had been made to him by the police, and in analyzing each such statement in isolation. A jury's assessment of the voluntariness of defendant's statements may involve more than an analysis of the words spoken to and by him. Here, only the tapes could establish those intangibles that might properly be considered. Finally, the police may not immunize themselves from their obligation to provide defendants with copies of their own taped statements simply by letting a news organization—invited into the room by the police—operate the cameras.

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By the Publisher's Editorial Staff

AM JUR 2d, Contempt § 109; AM JUR 2d, Witnesses §§ 525, 526.

McKinney's, Civil Rights Law § 79–h (c).
NY Jur 2d, Criminal Law § 1091; NY Jur 2d, Disclosure § 78; NY Jur 2d, Newspapers §§ 30, 33.

ANNOTATION REFERENCE

Reportorial privilege as to nonconfidential news information. 60 ALR5th 75.

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POINTS OF COUNSEL

Appellate Advocates, New York City (*Jonathan M. Kratter* and *Lynn W.L. Fahey* of counsel), for appellant. I. Appellant's constitutional rights to a fair trial, compulsory process, and confrontation were violated when the courts below ruled that, under Civil Rights Law § 79-h (c), he could be denied a copy of a news organization's videotape of his police precinct interrogation, which contained the best evidence of both the voluntariness of his statement and his justification defense. (*O'Neill v Oakgrove Constr.,* 71 NY2d 521; *People v Ray,* 65 NY2d 282; *People v Jones,* 47 NY2d 528; *People v Washington,* 86 NY2d 189; *Payton v New York,* 445 US 573; *Wilson v Layne,* 526 US 603; *Arizona v Hicks,* 480 US 321; *Maryland v Garrison,* 480 US 79; *Lauro v Charles,* 219 F3d 202; *People v Whitaker,* 64 NY2d 347, 474 US 830.) II. The trial court's denial of defense counsel's challenge for cause to a prospective juror, who could say only that she would ''try'' to set aside her sympathy for the victim's family and decide the case based solely on the evidence but that it would be ''difficult'' and ''there's always a but,'' deprived appellant of his rights to due process and an impartial jury. (*Irvin v Dowd,* 366 US 717; *People v Branch,* 46 NY2d 645; *People v Johnson,* 94 NY2d 600; *People v Arnold,* 96 NY2d 358; *People v Chambers,* 97 NY2d 417; *People v Blyden,* 55 NY2d 73; *People v Greene,* 290 AD2d 349; *People v Culhane,* 33 NY2d 90; *People v White,* 260 AD2d 413.)

Charles J. Hynes, District Attorney, Brooklyn (*Shulamit Rosenblum, Leonard Joblove* and *Jane S. Meyers* of counsel), for respondent. I. The Appellate Division correctly held that defendant was not entitled to release of Hybrid Films, Inc.'s videotape of his statements to the police because defendant did not satisfy the three-pronged test of Civil Rights Law § 79-h (c). Moreover, any error resulting from defendant's inability to introduce the tape was harmless. (*Matter of Beach v Shanley,* 62 NY2d 241; *Gonzales v National Broadcasting Co., Inc.,* 194 F3d 29; *O'Neill v Oakgrove Constr.,* 71 NY2d 521; *Shoen v Shoen,* 5 F3d 1289; *Krase v Graco Children Prods., Inc.,* 79 F3d 346; *Matter of American Broadcasting Cos.,* 189 Misc 2d 805; *Matter of Brown & Williamson Tobacco Corp. v Wigand,* 228 AD2d 187; *Matter of Grand Jury Subpoenas [Maguire],* 161 Misc 2d 960; *Matter of CBS Inc.,* 232 AD2d 291; *Simmons v United States,* 390 US 377.)

OPINION OF THE COURT

Chief Judge KAYE.

This appeal tests the scope of the journalist's privilege in nonconfidential information in the context of criminal proceedings.

On April 16, 2000, gunfire between two groups of young men erupted across a Brooklyn intersection. When the shots concluded, a bystander, caught in the crossfire, lay dying on the sidewalk. Two days later, detectives from the Brooklyn North Homicide Task Force arrested 17-year-old defendant in his home.

Accompanying these detectives was a film crew from Hybrid Films, Inc., a production company that was in the process of creating a documentary on the Task Force for Court TV. The show, which aired later that year under the title "Brooklyn North Homicide Squad," consisted of five episodes intended to present a behind-the-scenes look at the inner workings of the Task Force. In its press release announcing the series, Court TV advertised the "unprecedented access" it had been given by the Task Force, "which allowed a crew to capture the daily activities of detectives, including their personal lives, over a period of five months." Each episode was to "focus on the discovery, investigation and resolution of a case, interweaving aspects of the detectives' personal interests and family lives."

Among the show's featured detectives was Tony Viggiani, who was assigned to question defendant after his arrest. The police thus permitted Hybrid's crew to film throughout defendant's arrest and subsequent interrogation, during which he gave oral and written statements confessing to his participation in the shootout, but attempting to explain his actions as justified by self-defense. A few hours after the police interrogation, which was filmed only by Hybrid, defendant gave a 14-minute videotaped statement to an assistant district attorney, filmed by the prosecution.[1] According to defendant, he and his friends had been forced to return fire after being shot at by a drug dealer and his associate.

Indicted for murder and related charges, defendant served a subpoena duces tecum upon Hybrid for the production of those portions of the video and audio tapes taken during his arrest and interrogation that had not been broadcast.[2] Although Hybrid voluntarily turned over the arrest videotape that it had taken in defendant's home (that tape is no longer in issue), it moved to quash the subpoena for portions of the tapes depicting defendant's interrogation by detectives, asserting that defendant did not establish his entitlement to these tapes under the three-pronged test set forth in Civil Rights Law § 79-h (c) (the Shield Law), which affords journalists and newscasters a qualified privilege in nonconfidential news.

Without deciding the application, and over Hybrid's objection, Supreme Court ordered Hybrid to produce its tapes, under seal, for in camera review. The court ruled that defendant would, if necessary, have an opportunity during the trial of the criminal action to make the required showing under the Shield Law, and that the tapes would then be reviewed by the court to determine the existence of any relevant material and to redact any irrelevant material. However, the criminal action was subsequently transferred to a different Justice, who directed that the tapes be turned over to the parties, without review and without a showing by defendant that the three-pronged test set forth in Civil Rights Law § 79-h (c) had been satisfied. The tapes were then provided to both defendant and the People.

The following day, Hybrid obtained a stay of Supreme Court's order from the Appellate Division, and the parties were required to return the tapes to the trial court. Shortly thereafter, the Appellate Division reversed the order and remitted the matter to Supreme Court for further proceedings. The Appellate Division held that the trial court's decision had been premature, and directed the court to maintain possession of the tapes until an

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1. The following day, while defendant was still in custody at the precinct, Hybrid obtained his signature on a release permitting exhibition of the interrogation tapes on television (but forbidding his face from being shown). Defendant subsequently disaffirmed the release on the ground of infancy (*see* General Obligations Law § 3-101 [1]). As it turned out, the episode involving defendant was not used in the series.

2. Defendant's videotaped statement to the prosecutor was provided to him by the People in the course of pretrial discovery.

issue concerning their release arose at trial, at which time defendant would be given an opportunity at a hearing to make the necessary showing under the Shield Law. If defendant satisfied the statutory test, the court was then to review the videotapes in camera and redact any irrelevant material prior to release (*see Matter of Hybrid Films, Inc. v Combest*, 281 AD2d 500, 501 [2001]).

The trial proceeded immediately. After the testimony of Detective Viggiani, a hearing was held on the motion to quash. Concluding that defendant had not met his burden under the Shield Law, the court granted Hybrid's motion. At the trial, defendant's statements were the only evidence connecting him to the crime, as well as supporting his justification defense. The jury, without having seen the subpoenaed tapes, acquitted defendant of murder, but convicted him of manslaughter in the first degree and criminal possession of a weapon in the second degree. The Appellate Division affirmed, holding that the trial court properly granted Hybrid's application to quash the subpoena because defendant failed to satisfy the requirements of Civil Rights Law § 79-h (c). We now reverse and order a new trial.

The Governing Law

We first recognized a journalist's privilege in nonconfidential news in *O'Neill v Oakgrove Constr., Inc.* (71 NY2d 521 [1988]), where we determined that our state constitutional guarantee of freedom of the press requires the protection of a qualified privilege when a party to a civil lawsuit seeks nonconfidential information from a news organization (*see* NY Const, art I, § 8). Explaining that a party's request for a journalist's nonconfidential material calls for a balancing of "competing interests" (71 NY2d at 529), we established a three-pronged test that a litigant must satisfy to obtain such materials. At the same time, however, we noted without deciding that different factors might be involved in criminal cases (*see* 71 NY2d at 528 n 2).

In 1990, the Legislature enacted Civil Rights Law § 79-h (c) to codify our three-pronged test, applying it to both civil and criminal proceedings (*see* L 1990, ch 33, § 2). Under the statute, a news organization may not be required

> "to disclose any unpublished news obtained or prepared by a journalist or newscaster in the course of gathering or obtaining news . . . , or the source of

> any such news, where such news was not obtained or received in confidence, unless the party seeking such news has made a clear and specific showing that the news: (i) is highly material and relevant; (ii) is critical or necessary to the maintenance of a party's claim, defense or proof of an issue material thereto; and (iii) is not obtainable from any alternative source.''

Defendant contends that the Shield Law is unconstitutional as applied to criminal cases, arguing that a criminal defendant is entitled to obtain nonconfidential material possessed by a news organization even when he or she cannot meet the three-pronged showing required by the statute. He maintains that his due process rights to a fair trial, presentation of a defense, compulsory process and confrontation entitled him to obtain the nonconfidential videotapes of his own statements that were recorded by Hybrid.

As made clear in *O'Neill*, when faced with a litigant's request for information in the possession of the media, competing interests must be balanced (*see* 71 NY2d at 529). In a criminal case, defendant's interest in nonconfidential material weighs heavy. Of course, in *any* case, the interest in refusing to share nonconfidential information is significantly lower than when confidential material is at issue. When confidential material is at issue, the media may have real reason to fear that their ability to find sources willing to provide information will soon evaporate if their guarantees of confidentiality will not be honored. While we do not question the importance of nonconfidential news gathering, whose significance we recognized in *O'Neill*, defendant argues that this case involves

> ''no intrusions upon speech or assembly, no prior restraint or restriction on what the press may publish, and no express or implied command that the press publish what it prefers to withhold. No exaction or tax for the privilege of publishing, and no penalty, civil or criminal, related to the content of published material is at issue here. The use of confidential sources by the press is not forbidden or restricted; reporters remain free to seek news from any source by means within the law. No attempt is made to require the press to publish its sources of information or indiscriminately to disclose them on request'' (*Branzburg v Hayes*, 408 US 665, 681-682 [1972]).

Thus, he contends, a reporter's privilege in nonconfidential materials does not easily overcome a criminal defendant's fair trial rights.[3]

Because in this case we conclude that defendant met his burden under the Shield Law, we need not decide what standard is constitutionally required in order to overcome a criminal defendant's substantial right to obtain relevant evidence.

Application to this Case

It is beyond dispute that a defendant's own statements to police are highly material and relevant to a criminal prosecution. It is for this reason that such statements are always discoverable, even when the People do not intend to offer them at trial (*see* CPL 240.20 [1]; *cf.* CPL 710.30 [1] [a] [requiring notice of the People's intention to offer a defendant's statement at trial]). Further, the voluntariness of a defendant's statement is highly material and relevant when put in issue by the defense. Indeed, even when a motion to suppress a statement as involuntarily made has been litigated and denied, a defendant is not precluded ''from attempting to establish at a trial that evidence introduced by the people of a pre-trial statement made by him should be disregarded by the jury or other trier of the facts on the ground that such statement was involuntarily made'' (CPL 710.70). ''[T]he defendant may adduce trial evidence'' in support of his

3. The First, Fourth and Fifth Circuits have ruled that nonconfidential material must be turned over in criminal cases, except in the case of bad faith or harassment of a news organization (*see e.g. United States v LaRouche Campaign*, 841 F2d 1176 [1st Cir 1988]; *In re Shain*, 978 F2d 850, 852 [4th Cir 1992] [''absent evidence of governmental harassment or bad faith, the reporters have no privilege different from that of any other citizen not to testify about knowledge relevant to a criminal prosecution'']; *United States v Smith*, 135 F3d 963, 971 [5th Cir 1998] [''the media must bear the same burden of producing evidence of criminal wrongdoing as any other citizen'']). The Sixth, Seventh and Ninth Circuits have gone further, refusing to recognize the existence of *any* journalist's privilege in the context of a criminal case (*see e.g. In re Grand Jury Proceedings [Storer Communications, Inc. v Giovan]*, 810 F2d 580 [6th Cir 1987]; *McKevitt v Pallasch*, 339 F3d 530 [7th Cir 2003]; *In re Grand Jury Proceedings [Scarce v United States]*, 5 F3d 397 [9th Cir 1993], *cert denied sub nom. Scarce v United States*, 510 US 1041 [1994]). Finally, the Second Circuit has held that a reporter's privilege in nonconfidential material will be overcome in a civil case by a showing that the material is ''of likely relevance to a significant issue in the case, and [is] not reasonably obtainable from other available sources''—a lower standard than that required by Civil Rights Law § 79-h (c) (*Gonzales v National Broadcasting Co., Inc.*, 194 F3d 29, 36 [2d Cir 1999]). Without specifying a standard, the *Gonzales* court noted that even less of a showing would be required in a criminal case (*see* 194 F3d at 34 n 3).

or her contention, and ‘‘the court must submit such issue to the jury under instructions to disregard such evidence upon a finding that the statement was involuntarily made’’ (*id.*).

Here, defendant expressed to the hearing court his intention to pursue two alternative defenses—that he acted in self-defense, and that his statements were involuntary—and to use the subpoenaed videotapes in support of those defenses. In that there was no dispute that Hybrid’s tapes constituted the only depictions of his interrogation by the police, in this case defendant met his burden under Civil Rights Law § 79-h (c) as a matter of law.

Defendant contended that the tapes would support his involuntariness claim in several ways. *First*, he contended that the tapes would show the various ruses undertaken by the interrogating detective in an attempt to induce him to confess. Although the detective admitted that he at times used deception in an effort to elicit a truthful confession, he testified that he could not recall whether in this case he made any of the misleading statements specifically identified by defendant. Defendant, however, maintained that the detective had assured him that if he cooperated, he would be charged only with gun possession, whereas if he did not, he would be prosecuted for murder and subject to the death penalty (which the detective testified he knew to be untrue because of defendant’s age). Defendant further asserted that he had been promised, in exchange for his cooperation, that he would get probation. *Second*, defendant contended that the tapes would show the extent to which he would have felt physically intimidated by the detective’s close proximity to him. *Third*, defendant argued that the tapes would demonstrate the visibility of the detective’s holstered gun, inasmuch as the detective could not recall whether his gun was in view during the interrogation.

Defendant also articulated a number of ways in which the tapes would help to establish his justification defense, as well as to negate the elements of intent and recklessness essential to the intentional and depraved indifference murder counts with which he was charged. *First*, defendant argued that the tapes contained his statement to the police that, when the shooting broke out, his car was not double-parked for a quick getaway, but had instead been parked parallel to the curb, helping to rebut the People’s theory that he was the initial aggressor in a premeditated assassination attempt. *Second*, he asserted that the tapes included his statement to the detective that he was unaware that his friend had been armed with a gun until after the shooting began. *Third*, he maintained that the tapes contained his statements that he had warned a woman to get her children off the street before he returned fire, and that he had not seen the deceased until he was hit—evidence offered to rebut depraved indifference.

That defendant was provided with the brief videotaped statement he ultimately gave to the prosecutor does not lessen the importance of the evidence he sought. Defendant was entitled to present evidence, if he could, that he had been coerced into making a statement through a variety of techniques employed during the earlier interrogation period, which occurred behind closed doors and before the People's cameras began to roll. Defendant argues that only after he had been prepared to give a calm and coherent statement was the prosecutor's camera turned on. In that event, any earlier displays of fear, upset, suggestibility, protestation—all relevant to the determination whether the statement ultimately given was voluntary—would not be memorialized, but his eventual, dispassionate (and therefore seemingly truthful and accurate) account would be.

In this case, the trial court erred in considering only the allegedly coercive statements that defendant claimed had been made to him by the police, and in analyzing each such statement in isolation. Because it found that no single alleged threat was by itself sufficient to establish that defendant's statement was involuntary, the court concluded that defendant had failed to make a clear and specific showing that the subpoenaed information was highly material and relevant, and critical or necessary to his defense. But a jury's assessment of the voluntariness of defendant's statements may, as defendant contends, involve more than an analysis of the words spoken to and by him. Here, only the tapes could establish those intangibles that might properly be considered.[4]

Finally, we note our concern with the troubling practice of the police partnering with the media to make a television show

4. We note that while a court is not always required to review subpoenaed material in camera in order to determine in the first instance whether the requisite showing has been made, in this case it would have been the better practice to do so. A court in a criminal case should also be mindful that ''omissions, contrasts and even contradictions, vital perhaps, for discrediting a witness, are certainly not as apparent to the impartial presiding judge as to single-minded counsel for the accused'' (*People v Rosario*, 9 NY2d 286, 290 [1961]).

depicting custodial interrogations. Defendant argues that by inviting Hybrid into the interrogation room, the police created an agency relationship with the film company, thereby entitling him to copies of his statements. Because we conclude that defendant established his entitlement to the videotapes under the statute, we need not decide whether the indicia of state involvement in this case rise to the level at which private conduct is transformed into state action (*see e.g. People v Ray*, 65 NY2d 282, 286 [1985]).

Nevertheless, the police may not immunize themselves from their obligation to provide defendants with copies of their own taped statements simply by letting a news organization—invited into the room by the police—operate the cameras. Defendant correctly contends that the police here allowed the film company to perform what was in fact a police function—the memorialization of an otherwise private interrogation and admission—by videotaping it, thus possessing the only recording of the event. Had the police made (or had copies of) the videotapes, they would plainly have had to provide them to defendant. Just as plainly, the film company could not have videotaped defendant's interrogation in the absence of an agreement with the police. Of course, much of the difficulty could have been avoided here had the police themselves taped the entire interrogation or conditioned access to the interrogation on Hybrid's agreement to provide the police with a copy of the resulting videotapes.[5]

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5. We note that an increasing number of jurisdictions are now mandating that police questioning of arrestees be recorded, and that a resolution calling for all law enforcement agencies to videotape in their entirety the custodial interrogations of crime suspects has recently been adopted by the New York State and American Bar Associations. Currently, Alaska, Illinois, Maine, Minnesota, Texas and the District of Columbia have, by statute or case law, mandated the electronic recording of certain custodial interrogations (*see Stephan v State*, 711 P2d 1156, 1158 [Alaska 1985] [state constitutional due process]; 725 Ill Comp Stat 5/103-2.1 [homicide cases]; Me Rev Stat Ann, tit 25, § 2803-B [1] [K] [serious crimes]; *State v Scales*, 518 NW2d 587, 592 [Minn 1994] [exercise of supervisory powers]; Tex Crim Proc Code Ann art 38.22 [3] [oral and sign language statements]; DC Code Ann § 5-133.20 [crimes of violence]. *See also Commonwealth v DiGiambattista*, 442 Mass 423, 447-448, 813 NE2d 516, 533-534 [2004] [holding that a defendant whose interrogation has not been completely recorded is entitled, on request, to an instruction that "the State's highest court has expressed a preference that such interrogations be recorded whenever practicable" and that, because of the absence of recording, evidence of the defendant's alleged statement should be weighed "with great caution and care"]; *State v Barnett*, 147 NH 334, 338, 789 A2d 629, 632 [2001] [tape-recorded interrogation inadmissible unless the

(n. cont'd)

In light of our determination, we do not address defendant's further contention that the trial court erred in denying his challenge for cause to a prospective juror.

Accordingly, the order of the Appellate Division should be reversed and a new trial ordered.

R.S. SMITH, J. (dissenting in part). I agree that defendant's conviction cannot be affirmed, because I think Supreme Court erred by not reviewing Hybrid's tapes in camera. I do not agree, however, that on the present record defendant has made the showing required by the Shield Law that the tapes were ''critical or necessary'' to the maintenance of his defense.

I

A bullet from defendant's gun killed a 15-year-old boy, Christopher Hernandez, who had the misfortune to be in the neighborhood when defendant and three other men were trying to settle a disagreement. Defendant gave written and oral statements describing the event to a police officer, and later gave an oral statement to an assistant district attorney. In accordance with common practice, the police did not tape defendant's first oral statement, though the prosecutor did tape the second, and the tape of the second statement was turned over to defendant. This case is unusual because the first oral statement was taped, with the consent of the police, by a documentary film maker, Hybrid Films, Inc., which did not give copies of the resulting tapes to either the police or the defendant.

At trial, defendant's principal defense was justification—he claimed he was firing his gun in self-defense, and he relied on the statements he had given to the police and prosecutor to support this assertion. However, defendant had moved before trial to suppress these statements, and he suggested in closing argu-

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defendant's statement is recorded in its entirety]; *State v Cook*, 179 NJ 533, 562, 847 A2d 530, 547 [2004] [New Jersey Supreme Court exercises its supervisory authority to establish a committee to study and make recommendations on the use of electronic recordation of custodial interrogations]). As of summer 2004, law enforcement agencies in at least 238 cities and counties, including Los Angeles, San Francisco, San Diego and Houston, regularly record custodial interviews of suspects in felony or other serious investigations (*see* Thomas P. Sullivan, *Police Experiences with Recording Custodial Interrogations*, Northwestern University School of Law, Center on Wrongful Convictions, at 4, A1-A10 [2004] published on the Internet at <http://www.law.northwestern.edu/depts/clinic/wrongful/documents/SullivanReport.pdf>, cached at <http://www.courts.state.ny.us/reporter/webdocs/SullivanReport.pdf>).

ment that the tactics used by the police to obtain the statements were coercive. Thus, defendant found himself arguing, in effect: "I was coerced into making the statements that prove my innocence."

In seeking to obtain enforcement of his subpoena to Hybrid for the tapes of his first interrogation, defendant argued that the tapes could give substantial support to either or both of the contradictory themes of his defense. That is, the tapes might contain descriptions of the incident at issue that made defendant's defense of justification significantly more convincing; or they might show that he was coerced by the police. In my opinion, defendant was correct in saying that both these possibilities existed, and the possibilities were real enough that Supreme Court should have examined the tapes in camera. It cannot be said as a matter of law, on this record, that defendant did not meet the requirements for overcoming Hybrid's statutory privilege under New York's Shield Law. But I find even less basis for holding, as the majority does, that the requirements of the Shield Law *were* met here.

The Shield Law (quoted in majority op at 345-346) provides that Hybrid may not be compelled by threat of contempt to disclose its tapes unless the tapes are (1) "highly material and relevant," (2) "critical or necessary to the maintenance of [defendant's] . . . defense or proof of an issue material thereto" and (3) "not obtainable from any alternative source." I acknowledge that the first and third of these requirements are satisfied here. A defendant's recorded statement about his alleged crime will almost always, if not always, be "highly material and relevant" at a criminal trial; and certainly no evidence of defendant's first oral statement comparable in value to video and sound recordings is available from any source but Hybrid.

But I do not see how anyone can conclude, without examining the tapes, that they are "critical or necessary" to the maintenance of defendant's defense or proof of an issue material to it. The tapes might well show that defendant's interrogation by the detective was not particularly coercive (indeed, most police officers probably do not act in a coercive way when they know they are being taped), and that the version of the facts he gave to the detective was no more favorable to himself, or insignificantly so, than the version he gave to the assistant district attorney. If that is true, the second element of the statutory test is not met. I would not give the statutory words "critical or necessary" a draconian reading; I would not hold that a person seeking to compel disclosure under that statute must show that the evidence he seeks is likely to be decisive in the case. But the words must mean, at least, that the evidence is favorable to the party seeking it in some significant way. The record does not show that that was the case here.

The majority finds the ''critical or necessary'' branch of the statutory test to have been met based on its recital of what the defendant *contended* that the tapes would show. I see nothing in the statute that would justify setting aside the privilege on the basis of a party's assertions, without verifying that those assertions are correct. And even apart from that, I find defendant's optimistic description of what might be in the tapes, as summarized by the majority (majority op at 348-349), to be rather unimpressive. Assuming the tapes to be exactly as defendant describes them, they fall well short of proving either that his confession was involuntary or that his killing of Christopher Hernandez was justified. Thus, while I believe Supreme Court should have examined the tapes before making its decision, I am skeptical it would have found sufficient reason to order the tapes' disclosure.

II

Having found the Shield Law test to be met, the majority rightly does not decide whether ''the Shield Law is unconstitutional as applied to criminal cases'' (majority op at 346). I do not attempt to answer that question either, but my view of what the question is differs somewhat from the majority's.

To me, the constitutional question does not require *us* to balance the important ''competing interests'' of free press and fair trial (*see* majority op at 346-347), but only to decide whether the balance the Legislature struck in the Shield Law is within the limits set by the State and Federal Constitutions. Accordingly, I think the most relevant cases are not those cited by the majority in its summary of the issue (majority op at 347 n 3), but cases addressing the issue of when a state-law rule that prevents the presentation of evidence must give way to a criminal defendant's constitutional right to a fair trial (*see Chambers v Mississippi*, 410 US 284 [1973]; *Crane v Kentucky*, 476 US 683 [1986]; *People v Robinson*, 89 NY2d 648 [1997]). I would hold the Shield Law valid if it complies with the limitations reflected in those cases, and invalid if it does not.

I would reverse defendant's conviction solely on the ground that Supreme Court erred by not reviewing the tapes in camera, and would remit the case so that the tapes can be reviewed.

Judges G.B. SMITH, CIPARICK, ROSENBLATT, GRAFFEO and READ concur with Chief Judge KAYE; Judge R.S. SMITH dissents in part and votes to reverse and remit to Supreme Court for further proceedings in a separate opinion.

Order reversed, etc.

[828 NE2d 599, 795 NYS2d 497]

THE PEOPLE OF THE STATE OF NEW YORK, Respondent, v DEREK ANDRADES, Appellant.

Argued February 8, 2005; decided March 29, 2005

SUMMARY

APPEAL, by permission of an Associate Judge of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the First Judicial Department, entered February 19, 2004. The Appellate Division affirmed a judgment of the Supreme Court, Bronx County (John S. Moore, J.), which had convicted defendant, upon a jury verdict, of murder in the second degree.

People v Andrades, 4 AD3d 180, affirmed.

HEADNOTES

Crimes — Right to Counsel — Effective Representation

1. During a nonjury trial, defense counsel's disclosure to the court, which was open to the inference that his client intended to perjure himself upon taking the stand, did not deprive defendant of a fair hearing or of the effective assistance of counsel. Defense counsel properly balanced the duties he owed to his client and the duties he owed to the court and to the criminal justice system. While counsel must pursue all reasonable means to reach the objectives of the client, counsel must not in any way assist a client in presenting false evidence to the court. Here, defense counsel properly discharged his ethical obligations under the circumstances presented. Counsel clearly advised defendant against lying on the witness stand, and when defendant insisted on testifying at the hearing, it was entirely proper for counsel to seek to withdraw as defendant's attorney prior to the hearing based on his perceived ethical dilemma.

Crimes — Right to Representation Pro Se

2. The trial court conducted a sufficient inquiry into defendant's understanding of the perils of self-representation when it engaged defendant in a two-hour colloquy and warned him against proceeding pro se. Given the court's repeated warnings that defendant would be held to the same rules of evidence as would his attorney, no further explanation was needed to address counsel's statement to the court that defendant believed that he could take certain actions that his attorney could not.

Crimes — Right to be Present at Trial

3. Defendant's absence during the colloquy between the court and the attorneys regarding defense counsel's intent to present defendant's testimony in the narrative did not constitute a denial of defendant's right to be present during a material stage of the trial. Inasmuch as the colloquy involved procedural matters at which defendant could offer no meaningful input, defendant had no right to be present.

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By the Publisher's Editorial Staff

AM JUR 2d, Attorneys at Law §§ 138, 189; AM JUR 2d, Criminal Law §§ 997, 1098, 1100, 1115, 1223–1227, 1242, 1246–1248.

Carmody-Wait 2d, Officers of Court §§ 3:303–3:305; Carmody-Wait 2d, Criminal Procedure §§ 172:1753, 172:1754, 172:1759, 172:1760, 172:1770–172:1772, 172:1832, 172:1836, 172:1917, 172:1937.

LaFave, et al., Criminal Procedure (3d ed) §§ 11.7, 23.3, 24.2.

NY Jur 2d, Attorneys at Law §§ 73, 74; NY Jur 2d, Criminal Law §§ 786–788, 795, 798–800, 802–804, 809, 814–816, 2190, 2222, 2224.

ANNOTATION REFERENCE

Rights and duties of attorney in criminal prosecution where client informs him of intention to present perjured testimony. 64 ALR3d 385.

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POINTS OF COUNSEL

Center for Appellate Litigation, New York City (*Jan Hoth* and *Robert S. Dean* of counsel), for appellant. I. Appellant was denied his due process right to a fair hearing, the effective assistance of counsel, and his right to be present, where counsel advised the hearing court (and factfinder), before appellant testified and in his absence, that appellant might commit perjury at the *Huntley* hearing. (*People v DePallo,* 96 NY2d 437; *Nix v Whiteside,* 475 US 157; *People v Salquerro,* 107 Misc 2d 155, 92 AD2d 1091; *Lowery v Cardwell,* 575 F2d 727; *People v Moreno,* 70 NY2d 403; *People v Arthur,* 22 NY2d 325; *People v Williams,* 85 NY2d 945; *People v Roman,* 88 NY2d 18; *People v Spotford,* 85 NY2d 593; *Snyder v Massachusetts,* 291 US 97.) II. Appellant's waiver of counsel was invalid where the court failed to conduct an additional inquiry after it learned that appellant's desire to proceed pro se was influenced by his mistaken belief that he would be permitted to try the case in a manner that counsel could not. (*Faretta v California,* 422 US 806; *People v Arroyo,* 98 NY2d 101; *People v Rosen,* 81 NY2d 237; *People v Reason,* 37 NY2d 351; *Adams v United States ex rel. McCann,* 317 US 269; *People v McIntyre,* 36 NY2d 10; *Johnson v Zerbst,* 304 US 458; *Hacker v Herbert,* 825 F Supp 1143; *People v Smith,* 92 NY2d 516; *People v Kaltenbach,* 60 NY2d 797.)

Robert T. Johnson, District Attorney, Bronx (*Nancy D. Killian* and *Joseph N. Ferdenzi* of counsel), for respondent. I. Defendant's guilt was proven beyond a reasonable doubt by overwhelming evidence. II. Trial counsel acted properly in disclosing to the court below his perceived ''ethical dilemma.'' (*Strickland v Washington*, 466 US 668; *People v Baldi,* 54 NY2d 137; *People v Longtin,* 92 NY2d 640, 526 US 1114; *People v Ortiz,* 76 NY2d 652; *Nix v Whiteside,* 475 US 157; *People v Campos,* 249 AD2d 237; *Harris v New York,* 401 US 222; *People v Tyler,* 245 AD2d 1100, 91 NY2d 978; *People v Diaz,* 199 AD2d 182, 83 NY2d 804; *People v Appel,* 120 AD2d 319, 69 NY2d 824.) III. The trial court properly permitted defendant to proceed pro se, with counsel acting as legal advisor, after engaging defendant in a lengthy inquiry. (*People v Brown,* 45 NY2d 852; *People v Brown,* 258 AD2d 354, 93 NY2d 1001; *People v Arroyo,* 98 NY2d 101; *People v McIntyre,* 36 NY2d 10; *Faretta v California,* 422 US 806; *People v Slaughter,* 78 NY2d 485; *People v Vivenzio,* 62 NY2d 775; *People v Smith,* 92 NY2d 516; *People v Henriquez,* 3 NY3d 210.)

OPINION OF THE COURT

G.B. SMITH, J.

[1] In *People v DePallo* (96 NY2d 437 [2001]), we held that defense counsel properly balanced the duties he owed to his client and the duties he owed to the court and to the criminal justice system when, during a jury trial, counsel notified the court that his client had offered perjured testimony and refused to use that testimony in his closing argument to the jury. We left open the question of the propriety of a similar disclosure under circumstances where the court sits as the factfinder. We address that issue in the case now before us and hold that counsel's disclosure to the court, which was open to the inference that his client intended to perjure himself upon taking the stand, did not deprive defendant of a fair hearing or of the effective assistance of counsel.

Defendant became enraged when he heard rumors that Magalie Nieves, a woman with whom he had had a sexual relationship, was infected with the HIV virus. Defendant, with the aid of 14-year-old Ericka Cruz, confronted Nieves and a fight ensued. Subsequently, defendant and Cruz lured Nieves to an isolated area where defendant choked her with a bandana, and he and Cruz stabbed her in the ear and in the breast, killing her. Days later, the police arrested Cruz, who offered a confession of the killing. The next day, defendant was arrested and charged, inter alia, with second degree murder and first degree manslaughter. Upon his arrest, defendant was read his *Miranda* rights and gave both written and videotaped statements in which he admitted to acting in concert with Cruz in killing Nieves.

Defendant moved to suppress his confessions, and the trial court ordered a *Huntley* hearing. Prior to the hearing, defendant's attorney asked to be relieved as counsel stating, ''There is an ethical conflict with my continuing to represent [defendant] and I can't go any further than that.'' The prosecutor opposed the application, citing the age of the case. The court asked defense counsel to state the nature of the ethical dilemma without disclosing privileged information so that the court could make an effective ruling. Counsel stated, however, that he could not elaborate. The court then presumed that counsel's ethical dilemma concerned defendant's right to testify. The court denied counsel's application and told him that if the problem arose, he would have to offer more specific information to the court.

After the People presented their case at the *Huntley* hearing, defense counsel informed the court that defendant intended to testify. Outside defendant's presence, counsel stated:

> ''As part and parcel of my request to be relieved in this matter, I think I should tell the Court and place on the record that I did tell [defendant] and advise [defendant] that he should not testify at the hearing and as a result of the problem that I'm having, the ethical problem I'm having. What I'm going to do is just basically direct his attention to date, time and location of the statement and let him run with the ball.''

The court, recognizing that defense counsel was not permitted to divulge privileged matters to the court, concluded that counsel's conduct complied with his ethical obligations under the disciplinary rules given his anticipation that defendant ''could possibly, could commit perjury on the witness stand.'' The court further concluded that counsel could still afford defendant the effective assistance of counsel.[1]

Defendant thereafter testified on his own behalf, largely in narrative form, with the court and counsel asking clarifying questions. Defendant testified that at the time he provided his

1. The court also concluded that it was not necessary for defendant to be present during the conference because it did not constitute a critical stage of his trial.

statements to the police, he did not remember the events leading to Nieves's death and specifically did not recall stabbing her. He stated that during his interrogation, the police informed him of Cruz's version of the events, and he believed what she said because he did not think that Cruz would lie about him. Defendant stated that he initially refused to sign the written confession drafted by the police officers because its contents were not true, but that later he signed it only after one of the officers took him into a private room. Defendant further testified that when he gave his videotaped statement, he simply restated Cruz's rendition of the killing as described to him by the officers. Thus, he claimed that this confession was not a recounting of events from his own memory. Finally, defendant stated that by the time he had provided the videotaped confession at approximately 10:00 P.M., he was hungry because he had not eaten all day, and was not permitted food until after he had given that statement.

Defense counsel offered no closing argument, choosing instead to rest on the record and the papers submitted. Following the People's closing statement, the court denied defendant's motion to suppress his confessions. In a subsequent written decision, the court noted that it ''did not find the defendant's testimony credible or worthy of belief.'' The court held that defendant made his written and videotaped statements after voluntarily waiving his constitutional rights.

Upon a jury trial, at which defendant largely defended himself, defendant was convicted of second degree murder and sentenced to a prison term of 25 years to life. The Appellate Division affirmed the conviction, holding that counsel's disclosure of an ethical dilemma and his decision to submit defendant's testimony in narrative form did not deprive defendant of his right to a fair hearing or to the effective assistance of counsel. The Court further held that defendant was not denied his constitutional right to be present at the material stages of his trial insofar as his presence was not required at the colloquy between the court and the attorneys concerning defense counsel's ethical dilemma regarding defendant's testimony. A Judge of this Court granted defendant leave to appeal and we now affirm the conviction.[2]

In *DePallo*, we recognized that a defense attorney's duty to zealously represent a client must be circumscribed by his or her

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2. **[2]** We expressly reject defendant's claim that the trial court failed to conduct a sufficient inquiry into defendant's understanding of the perils of

(n. cont'd)

duty as an officer of the court to serve the truth-seeking function of the justice system (96 NY2d at 441). Moreover, as perjury is a criminal offense, defense counsel has a duty to refrain from participating in the client's commission of it. Thus, we stated that while counsel must pursue all reasonable means to reach the objectives of the client, counsel must not in any way assist a client in presenting false evidence to the court (*id.*; *Nix v Whiteside*, 475 US 157, 166 [1986]).

Indeed, New York's Code of Professional Responsibility specifically addresses an attorney's ethical obligations in providing lawful representation. DR 7-102 (codified at 22 NYCRR 1200.33) expressly states that an attorney may not ''[k]nowingly use perjured testimony or false evidence'' (DR 7-102 [a] [4]); ''[k]nowingly make a false statement of law or fact'' (DR 7-102 [a] [5]); ''[p]articipate in the creation or preservation of evidence when the lawyer knows or it is obvious that the evidence is false'' (DR 7-102 [a] [6]); ''[c]ounsel or assist the client in conduct that the lawyer knows to be illegal or fraudulent'' (DR 7-102 [a] [7]); or ''[k]nowingly engage in other illegal conduct'' (DR 7-102 [a] [8]).

In light of the ethical obligations of an attorney in this state, and in accordance with United States Supreme Court jurisprudence, an attorney faced with a client who intends to commit perjury has the initial responsibility to attempt to dissuade the client from pursuing the unlawful course of action (*see Nix v Whiteside*, 475 US at 169-170; *People v DePallo*, 96 NY2d at 441). Should the client insist on perjuring himself, counsel may seek to withdraw from the case. If counsel's request is denied, defense counsel, bound to honor defendant's right to testify on his own behalf, should refrain from eliciting the testimony in traditional question-and-answer form and permit defendant to present his testimony in narrative form. However, in accordance with DR 7-102 (a) (4), counsel may not use the perjured testimony in making argument to the court.

Here, defense counsel properly discharged his ethical obligations under the circumstances presented. Counsel clearly advised defendant against lying on the witness stand; indeed,

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self-representation. The record makes plain that the court engaged defendant in a two-hour colloquy and warned him against proceeding pro se. And given the court's repeated warnings that defendant would be held to the same rules of evidence as would his attorney, no further explanation was needed to address counsel's statement to the court that defendant believed that he could take certain actions that his attorney could not.

counsel encouraged defendant not to take the stand at all. Yet defendant insisted on testifying at the hearing, and his attorney believed that the evidence he intended to present was false. Thus, it was entirely proper for counsel to seek to withdraw as defendant's attorney prior to the hearing based on his perceived ethical dilemma.

While defendant does not argue the propriety of his attorney's actions up to that point, he does take issue with his attorney's telling the court that the ethical dilemma he faced concerned defendant's right to testify at the hearing. Defendant argues that such a disclosure signifies defendant's intention to commit perjury to the court which sits as the factfinder for the hearing. He contends that such a disclosure inevitably affected the court's ability to assess his credibility in determining the outcome of the hearing.[3] In that same vein, defendant argues that his attorney should not have told the court of his intent to question defendant in the narrative before having done so. Defendant asserts that his attorney should have said nothing, proceeded to question defendant in the narrative and if counsel's suspicions about defendant's testimony ripened into a reality, counsel could simply refrain from using the perjured testimony in his closing argument.

We disagree. As an initial matter, we note that at no time did counsel ever disclose to the court that defendant intended to commit perjury or otherwise disclose any client secrets. Rather the court inferred defendant's perjurious intent based upon the nature of counsel's application. However, counsel could have properly made such a disclosure since a client's intent to com-

3. In support of his position, defendant relies on *Lowery v Cardwell* (575 F2d 727 [9th Cir 1978]). In that case, defendant testified at her bench trial and perjured herself, to the surprise of her attorney. Counsel requested a recess, at which time, he unsuccessfully attempted to withdraw from the case. Counsel then ended the defendant's testimony and made no reference to the defendant's perjured testimony during his closing arguments. The United States Court of Appeals for the Ninth Circuit held that counsel's actions denied the defendant a fair trial because counsel's actions gave the judge the impression that counsel believed that the defendant had testified falsely. The court stated that by his actions, counsel placed himself in opposition to his client's interests (*see id.* at 730). The court suggested that it would have been the better practice for the attorney to have made a record for his own protection in the event that he was ever questioned about his professional conduct (*see id.* at 731 n 5). We expressly reject this approach because it requires an attorney to remain silent while the client commits perjury, which is wholly incompatible with counsel's role as an officer of the court and, more specifically, counsel's obligation to reveal fraud perpetrated by a client upon the court (*see* DR 7-102 [b] [1]; *see also Nix v Whiteside*, 475 US at 174).

mit a crime is not a protected confidence or secret (*see Nix v Whiteside*, 475 US at 174; *People v DePallo*, 96 NY2d at 442; Code of Professional Responsibility DR 4-101 [c] [3] [22 NYCRR 1200.19 (c) (3)]). Moreover, counsel's ethical obligations do not change simply because a judge rather than a jury is sitting as the factfinder. Moreover, as a practical matter, defendant's suggestion would solve nothing because counsel would likely find it difficult to allow defendant to testify in the narrative without prior explanation. Like the direct examination of any witness, defendant's examination must be guided by proper questioning. Had counsel attempted to offer defendant's testimony in the narrative, it would have been subject to objection either by the prosecutor or the court. Even if counsel were permitted to present defendant's testimony in narrative form without objection, the very fact of defendant testifying in such a manner would signify to the court that counsel believes that his client is perjuring himself.

We therefore conclude that defense counsel properly balanced his duties to his client with his duties to the court and the criminal justice system and that in doing so, defendant was not denied his right to a fair hearing. Furthermore, absent a breach of any recognized professional duty, defendant's claim that he was denied the effective assistance of counsel must also fail (*see People v DePallo*, 96 NY2d at 442-443, citing *Nix v Whiteside*, 475 US at 175; *People v Baldi*, 54 NY2d 137, 151-152 [1981]).

[3] Finally, we reject defendant's contention that he was denied his right to be present during a material stage of the trial because he was absent during the colloquy between the court and the attorneys regarding defense counsel's intent to present defendant's testimony in the narrative. As we stated in *DePallo* (96 NY2d at 443) and in *People v Keen* (94 NY2d 533, 539 [2000]), a colloquy of this nature involves procedural matters at which a defendant can offer no meaningful input. Therefore, defendant had no right to be present.

Accordingly, the order of the Appellate Division should be affirmed.

Chief Judge Kaye and Judges Ciparick, Rosenblatt, Graffeo, Read and R.S. Smith concur.

Order affirmed.

[828 NE2d 593, 795 NYS2d 491]

MOSES FLORES, Plaintiff, v THE LOWER EAST SIDE SERVICE CENTER, INC., Defendant and Third-Party Plaintiff-Appellant. PROCIDA REALTY AND CONSTRUCTION CORP., Third-Party Defendant-Respondent.

Argued February 16, 2005; decided March 29, 2005

SUMMARY

APPEAL, by permission of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the First Judicial Department, entered January 29, 2004. The Appellate Division affirmed so much of an order of the Supreme Court, Bronx County (Jerry L. Crispino, J.), as had denied defendant's motion for summary judgment on its third-party claim for indemnification and granted third-party defendant's cross motion to dismiss the third-party complaint.

Flores v Lower E. Side Serv. Ctr., 3 AD3d 459, reversed.

HEADNOTES

Workers' Compensation — Third-Party Action — Written Indemnification Agreement

1. Pursuant to Workers' Compensation Law § 11, which permits an owner to bring a third-party claim against an injured worker's employer where the employer has entered into a written contract to indemnify the owner, the written contract need not be signed. In the absence of statutory language indicating that the written indemnification agreement must be executed, the common-law rule that a contract need not be signed to be enforceable is applicable. The common-law rule—which authorizes review of the course of conduct between the parties to determine whether there was a meeting of the minds sufficient to give rise to an enforceable agreement—governs the validity of a written indemnification agreement under Workers' Compensation Law § 11.

Arbitration — Waiver of Right to Arbitrate

2. In an action in which defendant and third-party plaintiff owner sought indemnification from third-party defendant general contractor for injuries sustained by third-party defendant's employee while performing demolition work, third-party defendant was not entitled to dismissal of the indemnification claim due to the owner's alleged failure to comply with an arbitration clause in the parties' contract. Third-party defendant did not timely assert an arbitration claim either by raising it as a defense in its answer or by moving to compel arbitration, electing instead to fully participate in the litigation for more than 16 months. Third-party defendant's acts were inconsistent with its later claim that the parties were obligated to settle their differences by arbitration.

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Am Jur 2d, Alternative Dispute Resolution §§ 129, 131; Am Jur 2d, Workers' Compensation §§ 458, 466.

Carmody-Wait 2d, Arbitration §§ 141:113–141:116, 141:121.

McKinney's, Workers' Compensation Law § 11.

NY Jur 2d, Arbitration and Award §§ 95–98, 105; NY Jur 2d, Workers' Compensation §§ 103, 104.

ANNOTATION REFERENCE

Defendant's participation in action as waiver of right to arbitration of dispute involved therein. 98 ALR3d 767.

FIND SIMILAR CASES ON WESTLAW®

Database: NY-ORCS

Query: worker /2 compensation /s owner /s employer /p indemnif! /s contract

POINTS OF COUNSEL

Mauro Goldberg & Lilling LLP, Great Neck (*Kenneth Mauro* and *Jennifer B. Ettenger* of counsel), and *Kral, Clerkin, Redmond, Ryan, Perry & Girvan,* New York City, for defendant and third-party plaintiff-appellant. Workers' Compensation Law § 11 does not require the existence of a ''signed'' contract for the purposes of contractual indemnification. (*Crawford v Merrill Lynch, Pierce, Fenner & Smith,* 35 NY2d 291; *Matter of Helen Whiting, Inc. [Trojan Textile Corp.],* 307 NY 360; *Metropolitan Arts & Antiques Pavilion v Rogers Marvel Architects,* 287 AD2d 372; *Rudolph & Beer v Roberts,* 260 AD2d 274; *Atlas Drywall Corp. v District Council of N.Y. City & Vicinity of United Bhd. of Carpenters & Joiners of Am., Carpenters Local Union 531,* 207 AD2d 762; *Liberty Mgt. & Constr. v Fifth Ave. & Sixty-Sixth St. Corp.,* 208 AD2d 73; *Matter of Caldwell v Alliance Consulting Group,* 6 AD3d 761; *Matter of Orens v Novello,* 99 NY2d 180; *Rosner v Metropolitan Prop. & Liab. Ins. Co.,* 96 NY2d 475; *Brown Bros. Elec. Contrs. v Beam Constr. Corp.,* 41 NY2d 397.)

Abrams, Gorelick, Friedman & Jacobson, P.C., New York City (*Steven DiSiervi* of counsel), for third-party defendant-respondent. I. The indemnity provision contained in the purported contract is unenforceable under Workers' Compensation Law § 11, where there was no evidence that the employer had entered into a written contract prior to the accident or had expressly agreed to indemnify appellant. (*Rubeis v Aqua Club, Inc.,* 3 NY3d 408; *Burke v Fisher Sixth Ave. Co.,* 287 AD2d 410; *Beckford v City of New York,* 261 AD2d 158; *Zuckerman v City of New York,* 49 NY2d 557; *Meis v ELO Org.,* 97 NY2d 714; *Castro v United Container Mach. Group,* 96 NY2d 398; *Ferri v 63 Madison Assoc.,* 280 AD2d 419; *Thompson v Janowitz Constr.,* 301 AD2d 588; *Guijarro v V.R.H. Constr. Corp.,* 290 AD2d 485; *Billy v Consolidated Mach. Tool Corp.,* 51 NY2d 152.) II. The intent of the Legislature in modifying Workers' Compensation Law § 11 supports the decisions of the lower courts. (*Majewski v Broadalbin-Perth Cent. School Dist.,* 91 NY2d 577; *Patrolmen's Benevolent Assn. v City of New York,* 41 NY2d 205; *Mowczan v Bacon,* 92 NY2d 281; *Dole v Dow Chem. Co.,* 30 NY2d 143; *Castro v United Container Mach. Group,* 96 NY2d 398; *Rubeis v Aqua Club, Inc.,* 3 NY3d 408.) III. The contractual indemnification claim was properly dismissed as appellant did not comply with a condition precedent to litigation. (*Garofalo Elec. Co. v New York Univ.,* 270 AD2d 76; *Silva v Incorporated Vil. of Hempstead Community Dev. Agency,* 292 AD2d 370.) IV. Appellant failed to meet its burden of establishing its entitlement to summary judgment on the contractual indemnification claim as it offered no evidence that Procida Realty and Construction Corp. was negligent. (*Zuckerman v City of New York,* 49 NY2d 557.)

OPINION OF THE COURT

GRAFFEO, J.

Workers' Compensation Law § 11 permits an owner to bring a third-party claim against an injured worker's employer in only two circumstances: where the injured worker has suffered a ''grave injury'' or the employer has entered into a written contract to indemnify the owner. The issue in this case is whether the ''written contract'' provision in section 11 requires a signed agreement.

Defendant and third-party plaintiff Lower East Side Service Center (LES) is the owner of a multi-story building in Manhattan that was undergoing rehabilitation. Initially, LES hired third-party defendant Procida Realty and Construction Corp. to act as its on-site representative, having retained another firm to function as general contractor on the project. Following a dispute between LES and the other firm, Procida agreed to assume the role of general contractor.

In March 2000, LES sent Procida a written contract including a provision for Procida to indemnify LES for injuries ‘‘arising out of or resulting from performance of the Work’’ on the $3 million project. In accordance with the terms of the agreement, Procida purchased liability insurance and obtained payment and performance bonds. In a June 23, 2000 memorandum entitled ‘‘Attachment 4-Scope Clarifications’’ and forwarded to LES, a Procida representative acknowledged the existence of an agreement, clarifying that under ‘‘this contract’’ Procida assumed no responsibility for work performed by the previous general contractor. For reasons undisclosed in the record, Procida did not sign the March 2000 contract or the June 2000 addendum, but it performed the work specified in the contract and was paid in conformity with the documents.

In September 2000, plaintiff Moses Flores, a laborer employed by Procida, sustained an eye injury while performing demolition work on the project. In addition to obtaining workers' compensation benefits, Flores commenced this personal injury action against LES as owner of the building. LES filed a third-party action against Procida asserting, in addition to common-law claims, that Procida was obligated to indemnify LES for Flores' injuries pursuant to the indemnification clause in the March 2000 contract. In its answer to the third-party complaint, Procida ‘‘admit[ted] the existence of an agreement between the parties,’’ reserving the right to refer to the provisions of the ‘‘written agreement, if any.’’

Following the completion of discovery and the filing of a note of issue, LES moved for summary judgment on its third-party complaint and Procida cross-moved for summary judgment dismissing LES's claims. Although it acknowledged the existence of a contract in its answer, Procida asserted that there was no binding indemnification agreement with LES. Procida relied on the fact that the March 2000 contract was never signed, arguing that LES was precluded from seeking contractual indemnification because Workers' Compensation Law § 11 authorizes such a claim only when there is an executed document. LES countered that, notwithstanding the failure to sign the agreement, Procida's course of conduct demonstrated that it had assented to the terms of the contract months before Flores was injured. Noting that section 11 does not expressly state that an indemnification agreement must be signed, LES contended that the statute authorized enforcement of any ‘‘written contract’’ that was entered into prior to the date of injury.

Supreme Court denied LES's motion and granted Procida's cross motion to dismiss the third-party complaint. After disposing of the common-law claims, Supreme Court reasoned that the contractual indemnification clause in the written agreement was unenforceable under Workers' Compensation Law § 11 because Procida did not sign the document. On appeal, the Appellate Division affirmed, concluding that a contract that was never executed was not "entered into" within the meaning of the statute. This Court granted LES leave to appeal and we now reverse, reinstate the contractual indemnification claim and grant summary judgment to LES.

I.

Workers' Compensation Law § 11, as amended by the Omnibus Workers' Compensation Reform Act of 1996 (L 1996, ch 635, § 2), prohibits most third-party claims for contribution or indemnification against an employer for injuries sustained by an employee acting within the scope of employment. But the statute sets forth two exceptions: the employer may be impleaded when the employee has sustained a "grave injury" or when there is a "written contract entered into prior to the accident or occurrence by which the employer had expressly agreed to contribution to or indemnification of the claimant" (Workers' Compensation Law § 11).

In our prior cases construing section 11, this Court has "attempt[ed] to effectuate the intent of the Legislature" (*Majewski v Broadalbin-Perth Cent. School Dist.*, 91 NY2d 577, 583 [1998] [citations omitted]). "As the clearest indicator of legislative intent is the statutory text, the starting point in any case of interpretation must always be the language itself, giving effect to the plain meaning thereof" (*id.*). In this regard, we have declined to second-guess the policy choices made by the Legislature, adhering to the literal terms of the statute. Thus, in *Castro v United Container Mach. Group* (96 NY2d 398 [2001]) and *Meis v ELO Org.* (97 NY2d 714 [2002]), this Court strictly interpreted the "grave injury" designations specified by the Legislature.

We have had several opportunities to interpret the grave injury exception, but this is the first case requiring us to address the contractual indemnification exception to the prohibition against third-party claims. As previously observed, although the Legislature clearly intended to restrict claims against employers when it adopted the "grave injury" standard, it chose not to abrogate ''the power of a third party to recover under express contractual obligations between the employer and the third party'' (*Majewski*, 91 NY2d at 582). Instead, the Legislature preserved the right of parties to enter into binding contractual indemnification agreements. Procida maintains that a contract is only ''entered into'' within the meaning of section 11 when it is actually signed. In the absence of statutory language indicating that the written indemnification agreement must be executed, LES relies on the common-law rule that a contract need not be signed to be enforceable. Because the Legislature did not express a clear intent to deviate from the common law, we agree with LES.

We have long held that a contract may be valid even if it is not signed by the party to be charged, provided its subject matter does not implicate a statute—such as the statute of frauds (General Obligations Law § 5-701)—that imposes such a requirement. In *Brown Bros. Elec. Contrs. v Beam Constr. Corp.* (41 NY2d 397 [1977]), a landowner entered into a written agreement with a general contractor for the construction of a shopping plaza. The general contractor in turn contracted with Brown, a subcontractor, for electrical work. When the general contractor failed to pay Brown, the owner requested that Brown complete the work, which Brown did. When Brown submitted its bill for services to the owner, the owner refused to pay on the basis that it had never executed a written contract with Brown. After trial, the lower courts found that there was an enforceable agreement, and this Court agreed that ''the course of conduct between [the owner] and Brown, including their writings . . . was sufficient to spell out a binding contract,'' notwithstanding the failure of the parties to sign an integrated agreement (*Brown*, 41 NY2d at 399). We concluded that the absence of an executed document did not end the inquiry, stating:

> ''In determining whether the parties entered into a contractual agreement and what were its terms, it is necessary to look . . . to the objective manifestations of the intent of the parties as gathered by their expressed words and deeds . . .
>
> ''And, while it is the responsibility of the court to interpret written instruments . . . , where a finding of whether an intent to contract is dependent as well on other evidence from which differing infer-

> ences may be drawn, a question of fact arises'' (*Brown*, 41 NY2d at 399-400 [citations and internal quotation marks omitted]).

Thus, under the analysis in *Brown*, an unsigned contract may be enforceable, provided there is objective evidence establishing that the parties intended to be bound (*see also Matter of Municipal Consultants & Publs. v Town of Ramapo*, 47 NY2d 144 [1979] [publishing contract was enforceable even though it was never signed by a representative of the town]).

[1] When it enacted Workers' Compensation Law § 11, the Legislature clearly intended to limit the number of indemnification claims against employers by requiring that indemnification agreements be memorialized in a ''written contract.'' But nothing in the language of the statute or its legislative history provides a basis for us to conclude that, in addition to requiring a written indemnification clause, the Legislature intended to deviate from the common-law rule that written documents can be enforced even if they are not signed. Had the Legislature intended to alter this rule in the context of indemnification claims, it could easily have done so by including the word ''signed'' or ''subscribed'' prior to the phrase ''written contract'' in section 11. Given the many statutes that include language mandating that one or both parties to an agreement sign the document, it is evident that the Legislature knows how to impose such a limitation when it intends to do so.[1] In some instances, the Legislature has gone beyond requiring that agreements be signed by directing that they be executed with a particular level of formality, such as the requirement that separation agreements that serve as the basis of a divorce be memorialized in ''a written agreement . . . subscribed by the parties thereto and acknowledged or proved in the form required to entitle a deed to be recorded'' (Domestic Relations Law § 170 [6]). No similar language appears in section 11.

Under these circumstances, we cannot presume that the Legislature meant to impose a restriction it failed to include in the statute. We therefore hold that the common-law rule—which

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1. General Obligations Law § 5-701 (a), the statute of frauds, specifies that certain types of agreements—including those conveying interests in real property—are void ''unless it or some note or memorandum thereof be in writing, and subscribed by the party to be charged therewith.'' As another example, General Business Law § 454 (2), governing the sale of headstones and other monuments, similarly requires that each sale ''be evidenced by a written contract which shall be signed by all the parties to the contract.''

authorizes review of the course of conduct between the parties to determine whether there was a meeting of minds sufficient to give rise to an enforceable contract—governs the validity of a written indemnification agreement under Workers' Compensation Law § 11.

This interpretation of section 11 is consistent with our decisions analyzing comparable language in CPLR 7501, a statute that confers jurisdiction on courts to enforce arbitration awards only if the parties have a ''written agreement'' to arbitrate. In the arbitration arena, we have determined that the statutory requirement is met even when the parties never signed a contract expressly agreeing to arbitrate, as long as it is evident from the totality of circumstances that the parties intended to be bound by documents containing arbitration obligations (*see Matter of Helen Whiting, Inc. [Trojan Textile Corp.]*, 307 NY 360 [1954] [interpreting predecessor to CPLR 7501, which required that a contract to arbitrate future disputes must be ''in writing'']; *see also Crawford v Merrill Lynch, Pierce, Fenner & Smith*, 35 NY2d 291 [1974] [although there was no integrated contract containing arbitration agreement, documentary proof established that each party was bound to arbitrate dispute]). Of course, arbitration implicates different public policy concerns than third-party claims against employers—public policy favors arbitration while the Legislature sought to reduce the liability of employers under section 11. But we are unpersuaded that this difference provides a reasoned basis for this Court to interpret the term ''written contract'' to impose a signature requirement when the term ''written agreement'' does not. In this case, like our prior cases interpreting section 11, our role is to apply the statute as written—not to embellish or expand upon the language selected by the Legislature.

II.

As the fact-dependent nature of the *Brown* rule suggests, in many instances the issue of whether or when an indemnification agreement came into being in the absence of a signed document will present a question of fact to be resolved by the trier of fact. Based on the record presented in this case, however, LES is entitled to summary judgment on the contractual indemnification claim because Procida failed to come forward with evidence to present a triable dispute concerning the existence of an enforceable written contract.

In its answer, Procida conceded that it had entered into an agreement with LES. When it cross-moved for summary judgment, Procida argued only that the written contract it received from LES was not enforceable because the contract had not been signed. Notably absent from the affidavit of Procida's corporate secretary was any assertion that there had not been a meeting of the minds between LES and Procida concerning the terms of the agreement, nor did Procida claim that it had declined to sign the contract because the parties were engaged in ongoing negotiations.

To the contrary, Procida admitted that it had become the general contractor on the project and the record shows that it acted in conformity with contractual requirements. In June 2000, Procida forwarded the ''Attachment 4'' memorandum clarifying certain terms of the parties' agreement. During the same time frame, Procida obtained a commercial general liability insurance policy naming LES as an additional insured and purchased a performance bond and labor and material bond in the precise amount specified in paragraphs 4.1 (Standard Form of Agreement Between Owner and Contractor) and 11.4 (General Conditions of the Contract for Construction) of the March 2000 document. The bonds, secured more than two months before the Flores accident, reference a written agreement between Procida and the owner of the construction project (LES), providing a contract date of March 20, 2000—the same date that appears on the front page of the contract containing the indemnification clause.[2] Finally, Procida performed the required work as specified in the written document and accepted payment according to its terms. Under these circumstances, Procida failed to raise a question of fact on the issue of whether it had ''entered into'' a ''written [indemnification] contract . . . prior to the accident'' (Workers' Compensation Law § 11), which did not occur until September 2000. LES was therefore entitled to summary judgment on the contractual indemnification claim.

[2] As an alternative ground for affirmance, Procida asks this Court to dismiss the indemnification claim due to LES's alleged failure to comply with an arbitration clause in the contract. This we decline to do. Assuming the provision applied to this type of dispute, Procida did not timely assert an arbitration claim either by raising it as a defense in its answer or by moving to compel arbitration (*see* CPLR 7503), electing instead to fully participate in this litigation for more than 16 months

2. The copies of the performance bond and the material payment bond that appear in the record also do not bear any signatures on behalf of Procida.

through discovery and the filing of a note of issue. "These acts were clearly inconsistent with [its] later claim that the parties were obligated to settle their differences by arbitration" (*Matter of Zimmerman [Cohen]*, 236 NY 15, 19 [1923]; *see Sherrill v Grayco Bldrs.*, 64 NY2d 261, 272 [1985]; *De Sapio v Kohlmeyer*, 35 NY2d 402, 406 [1974]).

Accordingly, the order of the Appellate Division should be reversed, with costs, the third-party defendant's cross motion for summary judgment should be denied, the third-party plaintiff's motion for summary judgment on its cause of action for contractual indemnification should be granted and the case remitted to Supreme Court for further proceedings in accordance with this opinion.

Chief Judge KAYE and Judges G.B. SMITH, CIPARICK, ROSENBLATT, READ and R.S. SMITH concur.

Order reversed, etc.

[828 NE2d 604, 795 NYS2d 502]

JMD HOLDING CORP., Respondent, v CONGRESS FINANCIAL CORPORATION, Appellant, et al., Defendant.

Argued February 15, 2005; decided March 31, 2005

SUMMARY

APPEAL, by permission of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the First Judicial Department, entered March 30, 2004. The Appellate Division affirmed an order and judgment (one paper) of the Supreme Court, New York County (Richard B. Lowe, III, J.; Marian Lewis, Special Ref.), which had awarded plaintiff damages against defendant Congress Financial Corporation in the total sum of $1,098,090.41. The appeal brings up for review a prior nonfinal order of the Appellate Division, entered October 23, 2003 (*see JMD Holding Corp. v Congress Fin. Corp.*, 309 AD2d 645). The Appellate Division had affirmed an order of that Supreme Court, granting reargument and, upon reargument, adhering to an order of that court which (1) granted plaintiff's motion for summary judgment in part to the extent of finding that the early termination fee of $600,000 sought by defendant pursuant to the parties' revolving loan agreement was an unenforceable penalty and that defendant was not entitled under the loan agreement to retain a cash collateral reserve, and (2) referred the issue of the amount to be returned by defendant to plaintiff to a special referee to hear and determine.

JMD Holding Corp. v Congress Fin. Corp., 5 AD3d 334, modified.

HEADNOTES

Damages — Liquidated Damages — Commercial Revolving Loan Agreement — Early Termination Fee

1. Plaintiff borrower failed to satisfy its prima facie burden to show that the early termination fee contained in the parties' commercial revolving loan agreement was an unenforceable penalty rather than an enforceable liquidation of damages. Plaintiff's breaches of multiple provisions of the agreement, which caused defendant to terminate the agreement, were material, inasmuch as plaintiff neglected to provide defendant with the kind of information that any asset-based lender requires in order to track the movement and quality of its borrower's collateral and to determine loan availability accurately. Plaintiff presented no proof to show that defendant's prospective damages upon early termination were capable of precise estimation at the time the parties executed the agreement, or that the early termination fee was grossly disproportionate to this probable loss.

Secured Transactions — Security Agreements — Commercial Revolving Loan Agreement — Cash Collateral Reserve

2. Following defendant's early termination of the parties' commercial revolving loan agreement due to plaintiff's breaches of multiple provisions of the agreement, and plaintiff's payment of all outstanding loans, defendant improperly retained leftover funds in plaintiff's account as a cash collateral reserve to cover losses, including attorneys' fees, allegedly related to plaintiff's contingent obligations under the agreement. Plaintiff's broad promise to indemnify defendant for losses, including attorneys' fees, incurred in connection with disputes related to the agreement's ''negotiation, preparation, execution, delivery, enforcement, performance or administration,'' did not authorize defendant to retain and charge a reserve for these attorneys' fees.

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Am Jur 2d, Damages §§ 489–491, 493, 494, 532–537; Am Jur 2d, Secured Transactions §§ 546, 554.

NY Jur 2d, Damages §§ 154–161, 164, 169, 170; NY Jur 2d, Secured Transactions §§ 111, 321.

ANNOTATION REFERENCE

See ALR Index under Liquidated Damages; Secured Transactions.

FIND SIMILAR CASES ON WESTLAW®

Database: NY-ORCS

Query: revolving /2 loan & early /2 termination

POINTS OF COUNSEL

Otterbourg, Steindler, Houston & Rosen, P.C., New York City (*Richard G. Haddad, Daniel Wallen* and *Stuart J. Wells* of counsel), for appellant. I. Per se rules are disfavored and summary judgment was improperly granted. (*People v Selikoff,* 35 NY2d 227; *Teachers Ins. & Annuity Assn. of Am. v Butler,* 626 F Supp 1229; *Rodolitz v Neptune Paper Prods.,* 22 NY2d 383; *Millerton Agway Coop. v Briarcliff Farms,* 17 NY2d 57; *Sillman v Twentieth Century-Fox Film Corp.,* 3 NY2d 395; *F. Garofalo Elec. Co. v New York Univ.,* 300 AD2d 186; *Morris v Lenox Hill Hosp.,* 232 AD2d 184, 90 NY2d 953; *Friends of Animals v Associated Fur Mfrs.,* 46 NY2d 1065.) II. The early termination fee constituted an enforceable liquidated damages provision because the early termination of the loan deprived Congress Financial Corporation of the benefit of its bargain and was proportional. (*Simon v Electrospace Corp.,* 28 NY2d 136; *Brushton-Moira Cent. School Dist. v Thomas Assoc.,* 91 NY2d 256; *Kenford Co. v*

County of Erie, 73 NY2d 312; *Chapman v Fargo,* 223 NY 32; *Clement v Cash,* 21 NY 253; *Truck Rent-A-Ctr. v Puritan Farms 2nd,* 41 NY2d 420; *P.J. Carlin Constr. Co. v City of New York,* 59 AD2d 847; *Maas v Cornell Univ.,* 94 NY2d 87; *Dubiel v Parkchester Mgt. Corp.,* 284 AD2d 223; *In re United Merchants & Mfrs., Inc. v Equitable Life Assur. Socy.,* 674 F2d 134.) III. The lower courts erred by refusing to enforce the provisions of the amended loan agreement that gave Congress Financial Corporation the right to hold and apply funds for contingent obligations, including Congress's attorneys' fees in this action. (*Rodolitz v Neptune Paper Prods.,* 22 NY2d 383.)

Loeb & Loeb LLP, New York City (*David B. Eizenman, Paula K. Colbath* and *Ronald L. Israel* of counsel), for respondent. I. Section 12.1 (c) of the loan agreement is an unenforceable penalty. (*Truck Rent-A-Ctr. v Puritan Farms 2nd,* 41 NY2d 420; *Seidlitz v Auerbach,* 230 NY 167; *LeRoy v Sayers,* 217 AD2d 63; *Vernitron Corp. v CF 48 Assoc.,* 104 AD2d 409; *Bignall v Gould,* 119 US 495; *Whiteside v Rocky Mtn. Fuel Co.,* 101 F2d 765; *American Multi-Cinema, Inc. v Southroads, L.L.C.,* 119 F Supp 2d 1190; *Gilad Realty Corp. v Ripley Pitkin Ave.,* 48 AD2d 683; *Chrysler Credit Corp. v Dioguardi Jeep Eagle,* 192 AD2d 1066; *Gillman v Chase Manhattan Bank,* 73 NY2d 1.) II. The July letter agreement is an unenforceable agreement for a penalty. (*Motichka v Cody,* 5 AD3d 185; *Quaker Oats Co. v Reilly,* 274 AD2d 565; *Weiss v Weiss,* 206 AD2d 741; *Truck Rent-A-Ctr. v Puritan Farms 2nd,* 41 NY2d 420; *Seidlitz v Auerbach,* 230 NY 167.) III. Congress Financial Corporation's remaining arguments are wrong and irrelevant. (*Truck Rent-A-Ctr. v Puritan Farms 2nd,* 41 NY2d 420; *Dalston Constr. Corp. v Wallace,* 26 Misc 2d 698; *Public Serv. Mut. Ins. Co. v Goldfarb,* 53 NY2d 392; *Jarro Bldg. Indus. Corp. v Schwartz,* 54 Misc 2d 13; *LeRoy v Sayers,* 217 AD2d 63; *In re Trans World Airlines, Inc.,* 145 F3d 124; *Vernitron Corp. v CF 48 Assoc.,* 104 AD2d 409; *City of New York v Brooklyn & Manhattan Ferry Co.,* 238 NY 52; *Pyramid Ctrs. & Co. v Kinney Shoe Corp.,* 244 AD2d 625.) IV. JMD Holding Corp. was entitled to the money that Congress Financial Corporation withheld after the debt was paid in full. (*Hooper Assoc. v AGS Computers,* 74 NY2d 487; *Bonnie & Co. Fashions, Inc. v Bankers Trust Co.,* 955 F Supp 203.)

Balber Pickard Battistoni Maldonado & Van Der Tuin, PC, New York City (*Thomas P. Battistoni* of counsel), and *Goldberg Kohn Bell Black Rosenbloom & Moritz, Ltd.,* Chicago, Illinois (*Richard M. Kohn* and *Kenneth Ulrich* of counsel), for Commercial Finance Association, amicus curiae. Early termination fees have been upheld as reasonable liquidated damages provisions. (*Walter E. Heller & Co., Inc. v American Flyers Airline Corp.,* 459 F2d 896; *In re United Merchants & Mfrs., Inc. v Equitable Life Assur. Socy.,* 674 F2d 134; *Boston Rd. Shopping Ctr. v Teachers Ins. & Annuity Assn. of Am.,* 13 AD2d 106.)

OPINION OF THE COURT

Read, J.

In this action, JMD Holding Corp. seeks to recover $600,000 charged to its loan account by Congress Financial Corporation for early termination of the parties' $40 million commercial revolving loan agreement. After JMD paid off its outstanding loans, Congress also retained leftover funds in JMD's account as a cash collateral reserve to cover losses, including attorneys' fees, allegedly related to JMD's contingent obligations under the loan agreement. JMD also seeks to recover these funds. For the reasons discussed below, we conclude that JMD has not satisfied its prima facie burden to show that the $600,000 early termination fee is an unenforceable penalty. We also conclude that Congress was not entitled to keep the cash collateral reserve.

I.

On August 22, 1997, JMD's predecessor entered into a Loan and Security Agreement with Congress. Under the agreement, Congress agreed to make loans "from time to time in amounts requested by [JMD's predecessor]" in accordance with an asset-based lending formula and up to a maximum credit of $5 million. On January 20, 1998, JMD and Congress executed an Amended, Restated and Consolidated Loan and Security Agreement (Agreement) to increase JMD's maximum credit to $40 million. JMD committed to borrow from Congress to finance its working capital needs through the end of the Agreement's term on August 21, 2000, subject to renewal from year to year thereafter on at least 60 days' written notice.

To secure payment and performance of its obligations[1] under the Agreement, JMD granted Congress "a continuing security interest in, a lien upon, and a right of set off against" its assets, most pertinently including accounts receivable and inventory

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1. The Agreement defined obligations to encompass loans, letter of credit accommodations and generally any other indebtedness owing by JMD to Congress, specifically including contingent obligations.

and their proceeds. The Agreement required JMD and its ''account debtors'' to direct all payments on accounts or payments constituting proceeds of other collateral into blocked bank accounts or ''lockboxes.'' JMD agreed that all payments made into the lockbox were Congress's property. These funds were transferred or ''swept'' on a daily basis from the lockbox into Congress's bank account, and were applied by Congress to pay down the outstanding obligations in JMD's loan account, thus creating availability for new revolving advances.

Interest on the outstanding principal amount of noncontingent obligations was set at 1.5% above the prime rate per annum. At Congress's option and without notice, interest was set at 3.5% above the prime rate per annum on noncontingent obligations for the period from and after the Agreement's termination or nonrenewal or JMD's default until payment; and on any outstanding loans in excess of amounts JMD was eligible to borrow (e.g., advances in excess of amounts available to JMD under the Agreement's asset-based lending formula).

The Agreement afforded Congress seven nonexclusive remedies for JMD's breach, including the right to terminate.[2] Further, if the Agreement was terminated prior to the end of any term, JMD was required to pay Congress an early termination fee of between 1% and 2% of the $40 million maximum credit. The percentage decreased as the end of the Agreement's term drew closer; that is, the closer the termination to the end of a term, the lower the fee.

The Agreement recited that the early termination fee was required ''in view of the impracticality and extreme difficulty of ascertaining actual damages and by mutual agreement of the parties as to a reasonable calculation of [Congress's] lost profits as a result [of early termination].'' Further, the fee was ''presumed to be the amount of damages sustained by [Congress] as a result of such early termination,'' and JMD ''agree[d] that

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2. The other six remedies were the right to accelerate and demand immediate payment of all obligations; to enter upon any premises where collateral was located and take possession of it or complete processing, manufacturing and repair of all or any portion of it; to require JMD at its expense to make any part or all of the collateral available at a time and place of Congress's choosing; to foreclose upon any or all the collateral; to remove any or all of the collateral from the premises where it was located for purposes of sale, foreclosure or other disposition; and to sell, lease, transfer, assign, deliver or otherwise dispose of any and all collateral at such prices or terms as Congress deemed reasonable.

it [the early termination fee] [was] reasonable under the circumstances currently existing.''

On June 22, 1999, Congress sent JMD notice of default in light of JMD's failure to comply with multiple provisions of the Agreement, including those governing collateral reporting and covenants as to accounts receivable and inventory; requirements to maintain minimum working capital and adjusted net worth; and delivery of required documentation, including audited financial statements and reports. JMD does not contest that it was in default. Congress accelerated the payment of all JMD's obligations and demanded their immediate repayment, one of its remedies under the Agreement.

As of the date of the notice of default, the early termination fee was $600,000 (1.5% of $40 million). On July 1, 1999, the parties executed a letter agreement, by which Congress agreed to forgive or discount the early termination fee if JMD paid off its indebtedness before September 3, 1999.[3] As it turned out, JMD did not pay all its outstanding obligations to Congress before the end of this grace period.

On November 10, 1999, Congress charged JMD's loan account in the amount of $600,000 for the early termination fee. JMD paid Congress all loan balances, both principal and interest, no later than November 23, 1999. Nonetheless, Congress continued to retain the remaining funds in JMD's loan account as a cash collateral reserve to cover losses, including attorneys' fees, purportedly related to JMD's contingent obligations.

On December 28, 2000, JMD commenced this action, which included causes of action asserting that Congress had converted approximately $800,000 of JMD's property and for money had and received in the same amount.[4] JMD moved for summary judgment on these claims, arguing that the early termination fee was an unenforceable penalty, not legitimate liquidated dam-

3. Under the letter agreement, Congress agreed to forgive the early termination fee entirely if JMD paid all its outstanding obligations by July 23, 1999. Congress further agreed to discount the fee to $150,000 if JMD paid after July 23, 1999 but on or before August 6, 1999; to $300,000 if JMD paid after August 6, 1999 but on or before August 20, 1999; and to $450,000 if JMD paid after August 20, 1999 but on or before September 3, 1999. Congress expressed its intention to look to JMD for the entire $600,000 early termination fee, however, if JMD did not pay all its outstanding obligations until after September 3, 1999.

4. The $800,000 comprises the $600,000 early termination fee and the funds retained by Congress as a cash collateral reserve, which the parties stipulated amounted to $131,443.40 as of the date JMD brought this lawsuit.

ages, and that Congress had no right to retain cash collateral. In support of its motion, JMD offered the affidavit of its president, who attested in conclusory fashion that, based on the memorandum of law prepared by JMD's attorney, the early termination fee was an ''unenforceable penalty.'' He also alleged that Congress had offered ''no legitimate basis whatsoever for its refusal to turn over'' JMD's funds.

Relying on *Truck Rent-A-Ctr. v Puritan Farms 2nd* (41 NY2d 420 [1977]), Supreme Court concluded in July 2002 that ''the liquidated damages clauses executed by the parties [were] so disproportionate from any potential damages suffered by Congress as to constitute an unenforceable penalty''; and that ''Congress ha[d] not demonstrated that any issues of fact exist[ed] as to whether it [was] entitled to maintain a cash reserve'' and ''ha[d] not identified any additional obligations on JMD's part.''[5] Supreme Court referred the issue of the amount of money to be returned by Congress to JMD to a special referee, who in May 2003 awarded JMD $820,256.41 plus interest at the statutory rate of 9% per annum from December 1, 1999 through entry of judgment. In September 2003, Supreme Court entered an order and judgment accepting the special referee's determination and awarding JMD $1,098,090.41.

In October 2003, the Appellate Division affirmed Supreme Court's award of partial summary judgment to JMD (309 AD2d 645 [1st Dept 2003]). In March 2004, the Appellate Division affirmed Supreme Court's order accepting the special referee's determination (5 AD3d 334 [1st Dept 2004]). We subsequently granted Congress leave to appeal.

II.

[1] This appeal principally involves a liquidated damages clause—the Agreement's provision for an early termination fee—considered by the courts below to be a penalty and therefore unenforceable. Whether the early termination fee represents an enforceable liquidation of damages or an unenforceable penalty is a question of law, giving due consideration to the nature of the contract and the circumstances (*Mosler Safe Co. v Maiden Lane Safe Deposit Co.*, 199 NY 479, 485

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5. Congress sought reargument, contending that Supreme Court had overlooked the fact that the maximum credit was raised from $5 million to $40 million, and that the court had erred in not considering this when evaluating the reasonableness of the liquidated damages provision. In April 2003, Supreme Court granted reargument, and adhered to its original decision.

[1910]; *Leasing Serv. Corp. v Justice*, 673 F2d 70, 74 [2d Cir 1982]). The burden is on the party seeking to avoid liquidated damages—here, JMD—to show that the stated liquidated damages are, in fact, a penalty (*P.J. Carlin Constr. Co. v City of New York*, 59 AD2d 847 [1st Dept 1977]; *Wechsler v Hunt Health Sys.*, 330 F Supp 2d 383, 413 [SD NY 2004]). Further, ''[w]here the court has sustained a liquidated damages clause the measure of damages for a breach will be the sum in the clause, no more, no less. If the clause is rejected as being a penalty, the recovery is limited to actual damages proven'' (*Brecher v Laikin*, 430 F Supp 103, 106 [SD NY 1977] [citations omitted]; *see also* 3 Farnsworth, Contracts § 12.18, at 304 [3d ed] [where a liquidated damages provision is an unenforceable penalty, ''the rest of the agreement stands, and the injured party is remitted to the conventional damage remedy for breach of that agreement, just as if the provision had not been included'']).

In *Truck Rent-A-Center*, we characterized liquidated damages as ''[i]n effect, . . . an estimate, made by the parties at the time they enter into their agreement, of the extent of the injury that would be sustained as a result of breach of the agreement'' (41 NY2d at 424). We called the distinction between liquidated damages and a penalty ''well established'':

> ''A contractual provision fixing damages in the event of breach will be sustained if the amount liquidated bears a reasonable proportion to the probable loss and the amount of actual loss is incapable or difficult of precise estimation. If, however, the amount fixed is plainly or grossly disproportionate to the probable loss, the provision calls for a penalty and will not be enforced'' (*id.* at 425 [citations omitted]).

Thus, JMD must demonstrate either that damages flowing from a prospective early termination were readily ascertainable at the time Congress and JMD entered into their revolving loan agreement, or that the early termination fee is conspicuously disproportionate to these foreseeable losses. Relatedly, we have cautioned generally against interfering with parties' agreements (*see Fifty States Mgt. Corp. v Pioneer Auto Parks*, 46 NY2d 573, 577 [1979] [''Absent some element of fraud, exploitive overreaching or unconscionable conduct . . . to exploit a technical breach, there is no warrant, either in law or equity, for a court to refuse enforcement of the agreement of the parties'']; *cf.* 3 Farnsworth, Contracts § 12.18, at 303-304 [3d ed] [''(I)t has become increasingly difficult to justify the peculiar historical distinction between liquidated damages and penalties. Today the trend favors freedom of contract through the enforcement of stipulated damage provisions as long as they do not clearly disregard the principle of compensation'']; *see also XCO Intl. Inc. v Pacific Scientific Co.*, 369 F3d 998, 1002-1003 [7th Cir 2004] [''The rule (against penalty clauses) hangs on, but is chastened by an emerging presumption against interpreting liquidated damages clauses as penalty clauses'']).

Here, Congress committed to advance such sums as JMD might periodically request throughout the Agreement's entire term, based on an asset-based lending formula and up to a maximum credit of $40 million. The outstanding loan balance would fluctuate based on JMD's needs for working capital and the value of its collateral (e.g., accounts receivable), which secured the sums advanced and was applied to repay Congress so as to create availability for additional loans.

Under this asset-based financing arrangement, JMD only needed to borrow when and to the extent required for adequate cash flow to operate its business. As a result, JMD did not have to take out fixed loans in amounts sufficient to safeguard itself against short-term cash shortfalls or unanticipated contingencies, and thereby avoided unnecessary interest costs. In return for its commitment to make up to $40 million available to JMD for the Agreement's full term, Congress bargained for interest income over this entire time period.

JMD reasons that because it had the right but not the obligation to borrow—a signature feature of any commercial revolving loan agreement—Congress has no entitlement to liquidated damages in lieu of interest lost in the 13 months between the Agreement's early termination and the end of its contractual term. This is so, JMD argues, because Congress was never assured that JMD would ask it to advance any funds whatsoever, much less any particular amounts at any particular time or up to the $40 million maximum credit over this 13-month time period. Under this construct, Congress would necessarily never suffer damages on account of early termination. Having thus hypothetically reduced Congress's prospective damages to zero, JMD argues that the early termination fee obviously does not bear a reasonable proportion to the readily estimated probable loss from the Agreement's breach and its consequent early termination.

Of course, this argument begs the question of why JMD would ever have entered into a contract requiring it to pledge virtually all its assets in order to obtain loans that it did not intend to request. JMD never offers any reason, much less proof, to suppose that at the outset of the parties' agreement it would have been reasonable to predict that JMD planned to borrow considerably less than the maximum credit or, put another way, that it was more likely that JMD intended to borrow amounts closer to nothing than to $40 million.[6] After all, the Agreement increased the maximum credit available to JMD eight-fold over the $5 million line of credit negotiated just five months earlier by its predecessor.

Further, JMD disregards Congress's costs to make $40 million available to loan. Congress had to have adequate funding in place to fulfill its obligation to lend up to $40 million to JMD upon request throughout the Agreement's term. This commitment created costs for Congress as well as diminished its capacity to make profitable loans to other entities. The Second Circuit in *Walter E. Heller & Co., Inc. v American Flyers Airline Corp.* (459 F2d 896, 899 [2d Cir 1972]) identified several similar elements of damages that were real but difficult to estimate ex ante and accordingly enforced $250,000 in liquidated damages for breach of an agreement to borrow $8.9 million to purchase a jet airplane. These damages included the lender's loss of interest over the term of the contract or, alternatively, until the borrower prepaid principal; that the lender ''was, as of the signing of the contract, contractually limiting its lending activities so that the funds to be advanced to [borrower] might be available when needed by [borrower]''; and that if the transaction was not consummated, ''the lender was faced with the cost and expense of procuring substitute . . . borrowers and the attendant delay in lending sums to be lent to [borrower]'' (*id.* [internal quotation marks omitted]). Further, ''when these factors are considered together with the fact that the sum arrived at was the product of an arms-length transaction between sophisticated businessmen, ably represented by counsel, the sum stated for liquidated damages does not seem to be a sum plainly

6. For example, JMD did not even present any suggestive proof on the issue, such as evidence of the sums it actually borrowed from Congress before the Agreement was terminated and, more relevantly, whether or how much money it may have borrowed elsewhere for working capital in the 13 months between the Agreement's early termination and the end of the contractual term. A wide disparity between the early termination fee and the interest that Congress earned or would have earned on these sums might support an inference that the estimate of harm underlying the liquidation of damages was not reasonable.

disproportionate to the possible loss'' (*id.*). The lender's other conceivable but difficult to calculate losses included ''rate of return, duration of the loan, risk, extent and realizability of collateral, and the other obvious uncertainties inherent in this particular contract,'' which made it ''reasonable that a sum for liquidated damages should be agreed to after arms-length negotiations'' (*id.* at 899-900; *accord In re United Merchants & Mfrs., Inc.*, 674 F2d 134 [2d Cir 1982]).

When Congress and JMD entered into the Agreement, they could not readily forecast the credit facilities for which JMD would qualify under the Agreement's asset-based formula, which would fluctuate over its term; how much JMD would actually borrow; whether the Agreement would be terminated early; and how much JMD would have borrowed if the Agreement had not been terminated early. Congress also, as already noted, was required to limit its lending activities to insure that adequate funds were available to fulfill its $40 million obligation to JMD, and would incur costs to procure substitute borrowers in the event that JMD breached the Agreement, causing Congress to terminate it. The Agreement therefore included an early termination fee of between 1% and 2% of the $40 million maximum credit, with the percentage decreasing as the Agreement's term approached. According to amicus Commercial Finance Association, an early termination fee structured as ''liquidated damages . . . based on a sliding scale'' and ''linked to the amount of the commitment as opposed to the outstanding loan balance at any given time'' is a common feature in asset-based lending facilities negotiated by sophisticated commercial parties.

To support its position, JMD also relies heavily on *Seidlitz v Auerbach* (230 NY 167 [1920]), a case in which we considered whether a $7,500 security deposit on a lease was enforceable as liquidated damages. When the lessee failed to pay one month's rent and was evicted, the landlord argued that it was entitled to the entire deposit. We disagreed:

> ''[W]here a contract contains a number of covenants of different degrees of importance and the loss resulting from the breach of some of them will be clearly disproportionate to the sum sought to be fixed as liquidated damages, especially where the loss in some cases is readily ascertainable, the sum so fixed will be treated as a penalty. The strength of a chain is that of its weakest link'' (*id.* at 173).

In *Hackenheimer v Kurtzmann* (235 NY 57 [1923]), however, we held that liquidated damages were enforceable for a material breach of a contract that, read literally, suggested their availability for trivial breaches as well. Otherwise, *Seidlitz* ''may be pressed to so extreme a conclusion as to make it impossible to draw any contract providing for such [liquidated] damages'' (*id.* at 67; *see also United Air Lines, Inc. v Austin Travel Corp.*, 867 F2d 737, 741 [2d Cir 1989] [''(T)he presumed intent of the parties is that a liquidated damages provision will apply only to material breaches'']; 3 Farnsworth, Contracts § 12.18, at 311 n 31 [3d ed]).

JMD does not dispute that it breached multiple provisions of the Agreement, including those governing collateral reporting and covenants as to accounts receivable and inventory; requirements to maintain minimum working capital and adjusted net worth; and delivery of required documentation, including audited financial statements and reports. Nor does JMD dispute that, as a result of these breaches, it was in default and therefore Congress was entitled to terminate the Agreement. Angling for the protection of *Seidlitz*, however, JMD persistently characterizes its breaches, both individually and collectively, as minor recordkeeping deficiencies. But these breaches were material, given the nature of a commercial revolving loan agreement. For one thing, JMD neglected to provide Congress with the kind of information that any asset-based lender requires in order to track the movement and quality of its borrower's collateral and to determine loan availability accurately (*see generally* Levie, *Asset-Based Lending*, SB74 ALI-ABA 95 [May 15, 1997]).

The proponent of a motion for summary judgment ''must make a prima facie showing of entitlement to judgment as a matter of law, tendering sufficient evidence to demonstrate the absence of any material issues of fact. Failure to make such prima facie showing requires a denial of the motion, regardless of the sufficiency of the opposing papers'' (*Alvarez v Prospect Hosp.*, 68 NY2d 320, 324 [1986] [citations omitted]; *see also Friends of Animals v Associated Fur Mfrs.*, 46 NY2d 1065 [1979]). In this regard, CPLR 3212 (b) provides that a summary judgment motion ''shall be supported by affidavit'' of a person ''having knowledge of the facts'' as well as other admissible evidence (*see GTF Mktg. v Colonial Aluminum Sales*, 66 NY2d 965, 967 [1985]). A conclusory affidavit or an affidavit by an individual without personal knowledge of the facts does not establish the proponent's prima facie burden (*see e.g. Vermette v Kenworth Truck Co.*, 68 NY2d 714 [1986]).

The conclusory affidavit of JMD's president, which relied entirely on the memorandum of law prepared by JMD's attorney, provides no factual basis to support any conclusion that the early termination fee was an unenforceable penalty (*see e.g. Bush v St. Clare's Hosp.*, 82 NY2d 738 [1993]). JMD presented no proof to show that Congress's prospective damages upon early termination were capable of precise estimation at the time the parties executed the Agreement, or that the early termination fee was grossly disproportionate to this probable loss.

Congress, which did not cross-move for summary judgment, has asked us nonetheless to grant it this relief or, in the alternative, to determine that material triable issues of fact remain. While Supreme Court and the Appellate Division may search the record and grant summary judgment to a nonmoving party (*see* CPLR 3212 [b]), we may not (*Merritt Hill Vineyards v Windy Hgts. Vineyard*, 61 NY2d 106, 110-111 [1984]). Upon remittal of this matter to Supreme Court, however, Congress may seek summary judgment if it is so advised.

III.

[2] Finally, we conclude that Congress was not entitled to engage in self-help by retaining funds remaining in JMD's loan account after JMD had paid Congress all outstanding loans. Upon termination or nonrenewal of the Agreement and other related financing agreements—notably including security agreements—JMD was required to pay Congress all ''outstanding and unpaid'' obligations ''in full.'' In addition, the Agreement required JMD to ''furnish cash collateral'' to Congress ''in such amounts as [Congress] determine[d] [were] reasonably necessary'' to secure itself against losses in connection with any of JMD's contingent obligations. In short, the Agreement provided for JMD to make cash collateral available to ensure its payment of any potential or not indefeasibly paid indebtedness still known to exist at the time Congress terminated its security interest in JMD's assets. This cash collateral was to be ''remitted by wire transfer'' by JMD to a bank account designated in writing by Congress for this purpose.

That is not what happened here. After paying off its indebtedness, JMD asked Congress to turn over surplus proceeds from deposits in the lockbox and provide a UCC-3 financing statement amendment to terminate Congress's security interest in

JMD's assets (*see* UCC 9-513 [c] [1]). Congress, for its part, offered to remit these monies and terminate its security interest upon JMD's execution of a release of claims. JMD refused to execute a release, and Congress retained the remaining funds in JMD's loan account as a so-called ''cash collateral reserve'' for payment of any contingent obligations that JMD might have owed it.

Congress subsequently substantially drew down the reserve, principally to pay for attorneys' fees related to either competing claims for the funds in JMD's account or this lawsuit. As justification for these charges to the reserve, Congress points to JMD's broad promise to indemnify it for losses, including attorneys' fees, incurred in connection with disputes related to the Agreement's ''negotiation, preparation, execution, delivery, enforcement, performance or administration.'' While we conclude that the Agreement did not authorize Congress to retain and charge a reserve for these attorneys' fees, we view as a separate matter and express no opinion whether Congress may recoup any of its attorneys' fees by way of counterclaim or in a separate action for indemnification (*see Hooper Assoc. v AGS Computers*, 74 NY2d 487 [1989] [promise by one party to a contract to indemnify the other for attorneys' fees incurred in litigation between them must be unmistakably clear in order to be enforceable, such as where some of indemnified subjects are exclusively or unequivocally referable to claims between parties on the contract rather than claims of third parties]). This issue was beyond the scope of Supreme Court's reference to the special referee, who was limited to determining ''the amount to be returned by Congress to JMD'' from the cash collateral reserve retained by Congress.

Accordingly, the order of the Appellate Division should be modified, without costs, and the case remitted to Supreme Court for further proceedings in accordance with this opinion and, as so modified, affirmed.

Chief Judge KAYE and Judges G.B. SMITH, CIPARICK, ROSENBLATT, GRAFFEO and R.S. SMITH concur.

Order modified, etc.

[828 NE2d 964, 796 NYS2d 7]

New York Telephone Company, Respondent, v Supervisor of Town of Oyster Bay et al., Appellants, et al., Defendant. (And a Third-Party Action.) (Action No. 1.)

New York Telephone Company, Respondent, v Supervisor of Town of Oyster Bay et al., Appellants, et al., Defendant. (And a Third-Party Action.) (Action No. 2.)

Argued February 10, 2005; decided March 31, 2005

SUMMARY

Appeal, in the two above-entitled actions, by permission of the Appellate Division of the Supreme Court in the Second Judicial Department, from an order of that Court, entered April 12, 2004. The Appellate Division (1) affirmed an order of the Supreme Court, Nassau County (Daniel Martin, J.), which had granted the plaintiff's motion for summary judgment declaring invalid the defendants' imposition of ad valorem levies against certain properties for garbage and refuse collection services, enjoining the continued imposition of such taxes, directing the defendants to refund with interest those ad valorem levies collected from the plaintiff for the tax years 1995 through 1999, and directing that the calculation of damages for the levies paid by the plaintiff for the tax years 1992 through 1994 be determined at trial, and (2) remitted the matter to the Supreme Court, Nassau County, for further proceedings, including the entry of a judgment declaring that the defendants' imposition of ad valorem levies for garbage and refuse collection services against the subject properties is invalid. The following question was certified by the Appellate Division: ''Was the decision and order of this court dated April 12, 2004, properly made?''

New York Tel. Co. v Supervisor of Town of Oyster Bay, 6 AD3d 511, affirmed.

HEADNOTE

Taxation — Ad Valorem Tax — Telephone Company's Mass Properties — Garbage Collection

RPTL 102 (14), which limits special ad valorem levies to ''benefited'' properties, does not authorize a town to impose a special ad valorem levy for garbage collection on a telephone company's mass properties (transmission equipment), because they do not and cannot receive any direct benefit from that municipal service. That telephone poles, wire and the like constitute real property (*see* RPTL 102 [12] [d]) does not mean that they fall into the category of benefited properties. In determining whether a property is benefited—

i.e., whether it is capable of receiving the municipal service funded by the special ad valorem levy—the innate features and legally permissible uses of the property are considered, not the particularities of its owners or occupants or the state of the property at a fixed point in time. As a class of property, telephone poles can never produce or require municipal garbage collection. For the purposes of a special ad valorem levy to finance garbage collection, they therefore are not benefited.

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By the Publisher's Editorial Staff

AM JUR 2d, State and Local Taxation §§ 18, 133, 134, 139, 140, 143.

MCKINNEY'S, RPTL 102 (12), (14).

NY JUR 2d, Taxation and Assessment §§ 6, 99, 731, 820, 881.

ANNOTATION REFERENCE

See ALR Index under Taxes; Telecommunications.

FIND SIMILAR CASES ON WESTLAW®

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POINTS OF COUNSEL

Anthony J. LaMarca, P.C., Mineola (*Anthony J. LaMarca* of counsel), and *Murphy, Bartol & O'Brien, LLP (Diane K. Mendez* of counsel), for appellants. I. The statutory definition of a special ad valorem levy was given a novel and unnecessary interpretation by the courts below. (*New York Tel. Co. v State of New York,* 169 App Div 310, 218 NY 738; *Matter of New York Tel. Co.,* 257 App Div 415, 282 NY 667; *Sysco Corp. v Town of Hempstead,* 133 AD2d 751; *O'Flynn v Village of E. Rochester,* 292 NY 156; *Matter of New York Tel. Co. v Common Council of City of Rye,* 43 Misc 2d 668, 25 AD2d 682; *Applebaum v Town of Oyster Bay,* 81 NY2d 733; *Long Is. Light. Co. v Office of Supervisor of Town of N. Hempstead,* 233 AD2d 300; *Matter of Sperry Rand Corp. v Town of N. Hempstead,* 53 Misc 2d 970; *Landmark Colony at Oyster Bay Homeowners' Assn. v Town of Oyster Bay,* 145 AD2d 542.) II. The rationale of the Appellate Division decision imperils other special ad valorem levies and unnecessarily jeopardizes a traditional method of financing the costs of local government. (*New York Tel. Co. v State of New York,* 169 App Div 310, 218 NY 738; *Matter of New York Tel. Co. v Common Council of City of Rye,* 43 Misc 2d 668, 25 AD2d 682.)

Cullen and Dykman Bleakley Platt LLP, Brooklyn (*Peter J. Mastaglio, Karen I. Levin, Robert J. Sorge* and *Jo-Ellen P. Holbrook* of counsel), for respondent. I. The Supreme Court and Second Department correctly determined that special ad valorem levies for refuse and garbage collection services may not be imposed upon respondent's mass property because such property cannot benefit from such services. (*Long Is. Light. Co. v Office of Supervisor of Town of N. Hempstead,* 233 AD2d 300, 89 NY2d 1029; *Applebaum v Town of Oyster Bay,* 81 NY2d 733; *Sysco Corp. v Town of Hempstead,* 227 AD2d 544; *Matter of Sperry Rand Corp. v Town of N. Hempstead,* 53 Misc 2d 970, 29 AD2d 968, 23 NY2d 666; *Landmark Colony at Oyster Bay Homeowners' Assn. v Town of Oyster Bay,* 145 AD2d 542; *Barclay Townhouse at Merrick II Corp. v Town of Hempstead,* 289 AD2d 351.) II. Appellants' imposition of special ad valorem levies on respondent's mass property is unconstitutional. (*Myles Salt Co. v Board of Commrs. of Iberia & St. Mary Drainage Dist.,* 239 US 478.) III. The Supreme Court and Second Department correctly determined that an indirect or general benefit is insufficient to support the imposition of special ad valorem levies for refuse and garbage collection services. (*Applebaum v Town of Oyster Bay,* 81 NY2d 733; *O'Flynn v Village of E. Rochester,* 292 NY 156; *Matter of New York Tel. Co. v Common Council of City of Rye,* 43 Misc 2d 668, 25 AD2d 682; *Long Is. Light. Co. v Office of Supervisor of Town of N. Hempstead,* 233 AD2d 300; *Sysco Corp. v Town of Hempstead,* 133 AD2d 751; *Matter of New York Tel. Co.,* 257 App Div 415, 282 NY 667; *New York Tel. Co. v State of New York,* 169 App Div 310, 218 NY 738.) IV. The Supreme Court and Second Department correctly relied upon the *Long Island Lighting Company* decisions. (*Ryan v New York Tel. Co.,* 62 NY2d 494; *Continental Cas. Co. v Rapid-American Corp.,* 80 NY2d 640; *D'Arata v New York Cent. Mut. Fire Ins. Co.,* 76 NY2d 659; *Matter of Halyalkar v Board of Regents of State of N.Y.,* 72 NY2d 261.) V. The Supreme Court and Second Department correctly determined that respondent commenced the appropriate action within the applicable limitation period. (*Niagara Mohawk Power Corp. v City School Dist. of City of Troy,* 59 NY2d 262; *City of Rochester v Chiarella,* 65 NY2d 92, *cert denied sub nom. Quality Packaging Supply Corp. v City of Rochester,* 464 US 828; *Kahal Bnei Emunim & Talmud Bnei Simon Israel v Town of Fallsburg,* 159 Misc 2d 1045; *Niagara Mohawk Power Corp. v City School Dist. of City of Troy,* 59 NY2d 262; *People ex rel. New York Cent. R.R. Co. v Limburg,* 283 NY 344; *Applebaum v Town of Oyster Bay,* 81 NY2d 733; *Sysco Corp.*

v Town of Hempstead, 227 AD2d 544; *Long Is. Light. Co. v Office of Supervisor of Town of N. Hempstead,* 233 AD2d 300; *Landmark Colony at Oyster Bay Homeowners' Assn. v Town of Oyster Bay,* 145 AD2d 542; *Matter of Sperry Rand Corp. v Town of N. Hempstead,* 53 Misc 2d 970, 29 AD2d 968, 23 NY2d 666.) VI. The Supreme Court and Second Department properly rejected appellants' hypothetical ramifications. (*Matter of Cohalan v Gioia,* 88 AD2d 722; *New York Tel. Co. v Nassau County,* 297 AD2d 663, 1 NY3d 485; *Manion v Pan Am. World Airways,* 55 NY2d 398; *Jandreau v La Vigne,* 170 AD2d 861; *McKesson Corp. v Division of Alcoholic Beverages & Tobacco, Dept. of Bus. Regulation of Fla.,* 496 US 18; *McIntosh v Niederhoffer, Cross & Zeckhauser,* 106 AD2d 774, 64 NY2d 608; *De Lisa v Amica Mut. Ins. Co.,* 59 AD2d 380; *Matter of Hellerstein v Assessor of Town of Islip,* 37 NY2d 1; *Foss v City of Rochester,* 65 NY2d 247; *Matter of New York Tel. Co. v Nassau County,* 267 AD2d 629, 95 NY2d 756.)

A. Kevin Crawford, Albany, for Association of Towns of the State of New York, amicus curiae. I. Respondents are time-barred from contesting the determination of the Town Board of the Town of Oyster Bay that their properties are benefited by inclusion in the garbage and refuse collection districts. (*Matter of Palmer v Town of Kirkwood,* 288 AD2d 540; *Herzog v Town of Thompson,* 251 AD2d 917; *Gusdore Corp. v Michaels,* 13 Misc 2d 762, 8 AD2d 663, 9 AD2d 601, 7 NY2d 706.) II. Except as otherwise provided in sections 194 and 195 of the Town Law, neither the Town Law nor the Real Property Tax Law affords an administrative procedure to review a claim that property is not ''benefited'' by a special district improvement or service. III. Even in the case of a special district financed on the basis of a ''special assessment,'' rather than a ''special ad valorem levy,'' once property has been determined to be ''benefited,'' an aggrieved property owner's remedy is to challenge the ''amount of the benefit'' to the property, not the fact that it is ''benefited.''

OPINION OF THE COURT

ROSENBLATT, J.

New York Telephone Company (NYTC) owns and maintains telephone lines, wires, cables, poles, supports and enclosures for electrical conductors within the Town of Oyster Bay. The equipment, referred to as ''mass property,'' is situated on public and private land and is within the Town's refuse and garbage district.[1] NYTC does not, however, own any of the land on, over or under which this equipment is located. The mass properties are not amenable to human occupation, produce no garbage or refuse of any kind, and neither require nor receive garbage collection. Nevertheless, the Town subjects them to a special ad valorem levy (i.e., a levy assessed as a percentage of the value of the mass property) for garbage collection. When NYTC's equipment sits on privately owned land, the Town also imposes the levy on the private fee owner, based on the land's value.

Claiming that its mass properties received no benefit from municipal garbage collection and that the Town's levy therefore violates Real Property Tax Law § 102 (14), NYTC initiated two related actions in 1998 and 1999, seeking a judgment declaring the Town's levy on its mass properties for garbage collection illegal and enjoining the continued imposition of such levies. Further, NYTC argued that it was entitled to a refund, with interest, for the levies it paid in tax years 1995 through 1999, as well as a trial to calculate its damages for tax years 1992, 1993 and 1994.

Supreme Court granted summary judgment to NYTC, invalidating the Town's levy and enjoining future garbage collection levies against NYTC's mass properties. It also directed the Town to refund with interest any levies collected on the mass properties between tax years 1995 through 1999, and determined that the refund for tax years 1992 through 1994 would be calculated at trial. Relying on RPTL 102 (14) and *Applebaum v Town of Oyster Bay* (81 NY2d 733 [1992]), the court concluded that the Town was barred from imposing a special ad valorem levy on a property that could not be benefited by the municipal service funded by the levy. NYTC's mass properties could receive no benefit from municipal garbage collection, the court ruled, because they produced no garbage or refuse. In so finding, the court rejected the Town's contention that NYTC's mass properties were benefited as part of an ''integrated whole'' with other properties owned by NYTC. Finally, Supreme Court determined that, because NYTC was challenging the Town's authority to impose the levy on its mass properties, it was not obliged to exhaust its administrative remedies and commence a proceeding under CPLR article 78.

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1. Pursuant to Town Law § 198 (9) (a), the creation of a refuse and garbage district enables a town to provide or contract for ''the collection and/or resource recovery or disposition, or any combination thereof of garbage, ashes, rubbish and other waste matter in such district.''

Advancing the same reasoning as Supreme Court, the Appellate Division affirmed (6 AD3d 511 [2004]) and certified the appeal to this Court. We affirm and hold that RPTL 102 (14) does not authorize the Town to impose a special ad valorem levy for garbage collection on NYTC's mass properties because they do not and cannot receive any direct benefit from that municipal service.[2]

Special ad valorem levies represent a key vehicle[3] for financing garbage collection in a refuse or garbage collection district (*see* RPTL 102 [16]).[4] As defined by RPTL 102 (14), " '[s]pecial ad valorem levy' means a charge imposed upon *benefited real property* in the same manner and at the same time as taxes for municipal purposes to defray the cost, including operation and maintenance, of a special district improvement or service, but not including any charge imposed by or on behalf of a city or village" (emphasis added).

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2. The dissent argues that a property may be "benefited," and therefore be made subject to possible special ad valorem levies, if it receives an "indirect or general benefit" from the service funded by the levy (dissenting op at 396). This interpretation of "benefited" renders the word meaningless. If an indirect benefit is sufficient for the purposes of RPTL 102 (14), every conceivable species of real property could be said to benefit from garbage removal, or any other municipal service. Any given municipal service will *always* exert a positive influence on a property's value—an indirect benefit under the dissent's reasoning. The Legislature's use of the modifier "benefited" plainly implies that there is some class of property that is not benefited. The dissent's interpretation of the statute would render "not-benefited real property" a nullity, and thereby defeat the legislative intent. Further, its construction disregards the plain distinction between a special ad valorem levy and a general tax (*see* RPTL 102 [20] [no benefit requirement]).

3. In addition to special ad valorem levies, a town may also impose user fees to fund garbage and refuse collection. Town Law § 198 (9) (b) authorizes a town to establish "charges, fees or rates to be paid by users for refuse and garbage collection service and may provide for the payment of said charges in advance." The statute notes that "[s]uch charges, fees or rates may be based upon the volume of refuse, garbage, ashes, rubbish and other waste matter collected, making a proper allowance for commercial or industrial establishments, the number of calls per month, the number of persons or families served in the district, or upon any other equitable basis as the town board may determine."

4. RPTL 102 (16) explains that a "[s]pecial district" is a "town or county improvement district, district corporation or other district established for the purpose of carrying on, performing or financing one or more improvements or services intended to benefit the health, welfare, safety or convenience of the inhabitants of such district or to benefit the real property within such district." In a special district, real property is "subject to special ad valorem levies or special assessments for the purposes for which such district was established" (*id.*).

Undisputedly, NYTC's mass properties constitute "real property" under the statute. RPTL 102 (12) (d) states that "[r]eal property" includes "all telephone and telegragh lines, wires, poles, supports and inclosures for electrical conductors upon, above and underground" when "owned by a telephone company." That telephone poles, wires and the like constitute real property does not mean, however, that they fall into the category of *benefited* real properties. By limiting special ad valorem levies to "benefited" properties, the Legislature obviously contemplated that there is some class of real property that, for the purposes of section 102 (14), is not benefited.

Our decisional law establishes that, for real property to be "benefited," it must be capable of receiving the service funded by the special ad valorem levy. Thus, in *Applebaum v Town of Oyster Bay* (81 NY2d 733 [1992]), we considered the legality of Oyster Bay's imposing a special ad valorem levy for garbage collection on a property that, because of the operation of a covenant, could not receive such services from the municipality. Reasoning that Oyster Bay "does not provide and does not intend to provide the residential property owners with the benefit of garbage collection services," the Court held that the levy imposed by the Town was invalid (*id.* at 735; *see also Landmark Colony at Oyster Bay Homeowners' Assn. v Town of Oyster Bay*, 145 AD2d 542 [2d Dept 1988]; *Barclay Townhouse at Merrick II Corp. v Town of Hempstead*, 289 AD2d 351 [2d Dept 2001]).

As the Appellate Division correctly recognized, the logic of *Applebaum* dictates our result. Although here, no preexisting legal agreement bars NYTC's mass properties from receiving garbage collection from the Town, the inherent characteristics of the subject properties preclude them from receiving such services.[5] The dissent would distinguish *Applebaum* on the ground that the taxpayers in that case were required to pay both the

5. We disagree with the dissent's suggestion that our decision today "obliterates the distinction" between special assessments, which are levied in proportion to the benefit received (*see* RPTL 102 [15]), and special ad valorem levies (dissenting op at 396). Our analysis neither contemplates this result nor demands a strict proportionality review of special ad valorem levies. We note that, in extremely rare cases, a town's severe restrictions on the property owner's use of the municipal service funded by the special ad valorem levy may entitle the property owner to relief (*see Matter of Sperry Rand Corp. v Town of N. Hempstead*, 53 Misc 2d 970 [1967], *affd* 29 AD2d 968 [1968], *affd* 23 NY2d 666 [1968]). We stress, however, that a special ad valorem levy may be validly imposed on a property—in spite of municipal use restrictions—as long as the restrictions do "not reduce the benefit to the [property owner] 'to

(n. cont'd)

special ad valorem levy plus the cost of private garbage collection, whereas here NYTC is responsible only for the levy, from which ''it derives an indirect benefit'' (dissenting op at 397). This is a distinction without a difference. Our focus is on whether a property is capable of receiving a benefit, not what special accommodations an owner must make when a property is denied the municipal service. In this critical sense, *Applebaum* and the present case are on all fours. Moreover, even under the dissent's interpretation of RPTL 102 (14), the property at issue in *Applebaum* received the same—if not greater—degree of indirect ''benefit'' from municipal garbage collection as NYTC's mass properties here.

In determining whether a property is benefited—i.e., whether it is capable of receiving the municipal service funded by the special ad valorem levy—we look to the innate features and legally permissible uses of the property, not the particularities of its owners or occupants or the state of the property at a fixed point in time. As a class of property, telephone poles can never produce or require municipal garbage collection. For the purposes of a special ad valorem levy to finance garbage collection, they therefore are not benefited.

By contrast, a lot that is vacant, but otherwise amenable to development, would be ''benefited.'' Although undeveloped, there is no legal or practical disability to the lot's one day receiving garbage collection. Likewise, a hypothetical home whose owners never produced refuse or garbage of any kind would, for the purposes of RPTL 102 (14), be directly benefited by municipal garbage collection. By the same token, home or business owners could not opt out of a special ad valorem levy funding the local sewer or water district simply by virtue of having a septic tank or well on their properties. The same logic would apply to others who would seek to avoid special ad valorem levies under analogous circumstances. In determining whether a property is capable of receiving a benefit, our focus is on the innate characteristics of an individual property as representative of a species of property (in our last example, homes), not the conditions or proclivities of individual owners.[6]

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the point where it is, in effect, nonexistent' '' (*Sysco Corp. v Town of Hempstead*, 227 AD2d 544, 545 [2d Dept 1996], *lv denied* 89 NY2d 804 [1996]).

6. The dissent argues that our result on this appeal will engender adverse, far-reaching fiscal consequences for municipalities. Neither the Town nor the Association of Towns of the State of New York, as amicus, has advanced this

(n. cont'd)

The species of real property at issue here cannot, even theoretically, produce garbage. NYTC's mass properties therefore are incapable of receiving any direct benefit from the Town's garbage and refuse district.[7] Accordingly, the order of the Appellate Division should be affirmed, with costs, and the certified question answered in the affirmative.

CIPARICK, J. (dissenting). For essentially three reasons, I respectfully dissent and would vote to reverse.

A special ad valorem levy is defined as ''a charge imposed upon *benefited* real property . . . *to defray the cost*, including operation and maintenance, of a special district improvement *or* service'' (RPTL 102 [14] [emphasis added]).[1] The Town of Oyster Bay imposes a number of such ad valorem levies on plaintiff New York Telephone Company (NYTC), as owner of mass properties in the Town. Indeed, NYTC itself pays several ad valorem levies that contribute to the operation and maintenance of special districts, including a sewage collection district, sewage disposal district, public parking district, lighting district, park and drainage district, and a garbage and refuse collection district. Thus far, NYTC has elected to challenge only the ad valorem levy associated with the garbage and refuse collection district within a specific geographic area.

First, the narrow interpretation that both the majority and the lower courts give to the term ''benefited'' is unwarranted. These levies finance varying services associated with the operation and maintenance of ''special districts'' (RPTL 102 [16]). These special districts are established expressly to ''benefit the

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claim in any but the most perfunctory manner, and for good reason. Our decision today does nothing to upset the present, ''traditional method of financing costs of local government'' (dissenting op at 398), and it should not be so construed. As both a conceptual and statutory matter, special ad valorem levies are utterly distinct from general property taxes. Our analysis focuses exclusively on the meaning of the word ''benefited'' in RPTL 102 (14), which concerns only the special ad valorem levy. We are unwilling to embrace a strained construction of the Legislature's plain language solely on the basis of the Town's unsubstantiated or exaggerated claims. If, in the wake of *Applebaum*, the Town has been relying on an ultra vires revenue collection practice, and has continued to do so after Supreme Court and the Appellate Division correctly interpreted the statute and disapproved the practice, any claimed hardship is self-created.

7. We note that NYTC's challenge here constitutes a plenary action attacking the Town's authority to impose special ad valorem levies for garbage and refuse collection on the subject mass properties, and it is therefore not time-barred under Town Law § 195 (2) (*see Niagara Mohawk Power Corp. v City School Dist. of City of Troy*, 59 NY2d 262, 269 [1983]).

1. Black's defines an ad valorem tax as ''[a] tax imposed proportionally on the value of something (esp. real property), rather than on its quantity or some other measure'' (Black's Law Dictionary 1496 [8th ed 2004]).

health, welfare, safety or convenience of the inhabitants of such district or to benefit the real property within such district'' (RPTL 102 [16]; *see also* Town Law § 202 [3]). The mass properties owned by plaintiff are real property as defined by RPTL 102 (12) (d) and subject, like all other real property within the special district, to special ad valorem levies.

While telephone poles may not produce or require municipal garbage collection, the Legislature did not indicate that a direct or actual benefit was necessary to trigger this type of levy. Instead, in its definition, it required only that the property at issue be ''benefited'' (RPTL 102 [14]). Moreover, the validity of a tax does not ''depend on the receipt of some special benefit'' (*O'Flynn v Village of E. Rochester*, 292 NY 156, 165 [1944]; *see also Memphis & Charleston Ry. v Pace*, 282 US 241, 246 [1931]), and an ad valorem tax ''is payable regardless of whether the property is used or not'' (*Ampco Print.-Advertisers' Offset Corp. v City of New York*, 14 NY2d 11, 22 [1964]).

A reading of RPTL 102 (14), in conjunction with other relevant sections of both the Real Property Tax Law and the Town Law, makes clear that an ad valorem levy, by definition, requires only an indirect or general benefit to the subject property. The mass properties at issue here are clearly benefited within the meaning of RPTL 102 (14). An ad valorem levy cannot be based on the commensurate value of services; instead, it is by definition a levy based on the value of the property itself (*see* RPTL 102 [14]).

By contrast, a ''[s]pecial assessment'' is levied in ''proportion to the benefit received'' (RPTL 102 [15]). This language makes clear that there must be a direct benefit supporting a special assessment. Real Property Tax Law § 102 (14), however, does not include an analogous qualification in its definition of an ad valorem levy and the majority obliterates the distinction between the two.

The majority, in requiring the subject property to receive a ''direct benefit from the Town's garbage and refuse district,'' unnecessarily and unjustifiably restricts the availability of, and a town's ability to impose, an ad valorem levy on real property located within a special district (majority op at 395). Moreover, the majority's restrictive reading of this distinct tax provision undermines the Town's ability to operate and maintain necessary special districts. The subject mass properties at issue here, even if not producing trash or refuse, nevertheless are part of the geographically designated special district that requires this relevant and necessary service. Therefore, the telephone poles, wires, cables, lines, supports and enclosures that constitute NYTC's mass property are part of the special district, duly constituted by the Town Board pursuant to Town Law § 194.[2] As such, it is clear that this property derives a benefit from the Town's general maintenance and operation of the district. For example, at a minimum, the Town's removal of trash from the district preserves the value and viability of real property within the district. Clearly, a well maintained and trash-free district benefits NYTC's mass properties.

Second, today's decision is a significant step beyond *Applebaum v Town of Oyster Bay* (81 NY2d 733 [1992]). There, a covenant prohibited plaintiff owners from receiving any garbage collection services from the Town, yet the Town imposed a special ad valorem levy for garbage collection—thus requiring plaintiffs to pay twice for essential garbage collection services. Here, NYTC is only responsible for the ad valorem levy for a garbage and refuse collection district from which it derives an indirect benefit. This indirect benefit is sufficient to support the imposition of the levy.

Third, the majority looks exclusively to the nature or inherent characteristics of the subject property to determine whether any direct benefit is evident. It is inconsequential, however, that the ''species of real property at issue here cannot, even theoretically, produce garbage'' (majority op at 395).[3] The majority attempts to limit its holding to the subject garbage collection district but fails to distinguish how its logic applies exclusively to garbage collection districts, and not to the numerous other districts that depend on ad valorem levies for their maintenance.

The property is likewise incapable of producing sewage, yet NYTC pays an ad valorem levy in support of the sewage district.

2. Requiring only an indirect benefit does not, as the majority suggests, render the term ''benefited'' meaningless (majority op at 392 n 2). To the contrary, the term is used consistently with Town Law § 194 (1) (b) which requires a finding of ''benefited'' property prior to establishment of the district itself. The term is used to ensure that only real property within a special district will be subject to the Town's special ad valorem levy. Therefore, contrary to the majority's assertion, the term is not superfluous and does not cover ''every conceivable species of real property'' (majority op at 392 n 2). Only real property that exists within the geographically designated special district is benefited within the meaning of RPTL 102 (14).

3. There may come a time when the property itself is abandoned and becomes refuse.

Similarly, telephone poles and wires, for example, have no need for a public park, yet NYTC pays a distinct levy in support of this special district. The mass properties will never directly benefit from the availability of public parking in the district, or from an efficient drainage system, yet NYTC, at least thus far, willingly pays an ad valorem levy for each of these services.

In short, the majority's reasoning invalidating this ad valorem levy, and requiring a ''direct benefit'' to the subject real property, has potentially far-reaching consequences, as the majority's rule jeopardizes a traditional method of financing costs of local government.

Judges G.B. SMITH, READ and R.S. SMITH concur with Judge ROSENBLATT; Judge CIPARICK dissents and votes to reverse in a separate opinion in which Chief Judge KAYE and Judge GRAFFEO concur.

Order affirmed, etc.

[828 NE2d 614, 795 NYS2d 511]

ARLENE TOEFER et al., as Coguardians of ERIC CASEY, Appellants, v LONG ISLAND RAIL ROAD, Respondent and Third-Party Plaintiff. JANA CONSTRUCTION CO., INC., et al., Third-Party Defendants-Respondents, et al., Third-Party Defendants. (And a Fourth-Party Action.)

ROBERT V. MARVIN et al., Appellants, v KOREAN AIR INC. et al., Respondents, et al., Defendant.

Argued February 15, 2005; decided April 5, 2005

SUMMARY

APPEAL, in the first above-entitled action, by permission of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Second Judicial Department, entered September 29, 2003. The Appellate Division modified, on the law, so much of an order of the Supreme Court, Queens County (James P. Dollard, J.), as had denied the branch of the motion by defendant third-party plaintiff fourth-party defendant Long Island Rail Road and fourth-party defendant Metropolitan Transportation Authority for summary judgment dismissing the plaintiffs' Labor Law § 240 (1) cause of action as well as the cross motions for that relief by third-party defendant Harris-Camden Terminal Company and third-party defendant fourth-party plaintiff Jana Construction Co., Inc., granted the branch of the motion and cross motions for summary judgment dismissing the Labor Law §§ 200 and 241 (6) causes of action, denied plaintiffs' cross motion for partial summary judgment on their causes of action to recover damages pursuant to Labor Law § 240 (1) and § 241 (6), and granted defendant third-party plaintiff fourth-party defendant Long Island Rail Road leave to amend its third-party complaint to plead a Vehicle and Traffic Law § 388 cause of action. The modification consisted of granting those branches of the motions which were to dismiss the plaintiffs' Labor Law § 240 (1) cause of action.

APPEAL, in the second above-entitled action, by permission of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the First Judicial Department, entered December 11, 2003. The Appellate Division affirmed an order of the Supreme Court, New York County (Barbara Kapnick, J.), which had denied plaintiffs' motion for partial summary judgment as to liability on the Labor Law § 240 (1) cause of action, and had granted defendants' cross motion for summary judgment dismissing the complaint.

Toefer v Long Is. R.R., 308 AD2d 579, affirmed.

Marvin v Korean Air, 2 AD3d 223, affirmed.

HEADNOTES

Labor — Safe Place to Work — Fall from Flatbed Truck — Elevation-Related Risk

1. In two actions to recover damages for injuries plaintiffs sustained when they fell four to five feet to the ground from the surface of a flatbed truck upon which they had been working, plaintiffs were not entitled to recover under Labor Law § 240 (1). Their injuries did not result from the sort of ''elevation-related risk'' that is essential to a cause of action under that section. Performing work on the surface of a flatbed truck only four to five feet from the ground is not a situation that calls for the use of a device like those listed in section 240 (1) to prevent a worker from falling.

Labor — Safe Place to Work — Fall from Flatbed Truck

2. In an action to recover damages for injuries plaintiff worker sustained when he fell four feet to the ground from the surface of a flatbed truck from which he had been unloading large steel beams, plaintiffs were not entitled to recover under Labor Law § 241 (6). Plaintiff had been propelled to the ground when he was struck in the head by a wooden pole being used as a lever to unload the beams, and he alleged that the failure to provide him with a mechanical hoist or a mobile crane to lower the beams from the truck violated subparts 23-6 and 23-8 of the Industrial Code (12 NYCRR). Those regulations, however, do not require the use of hoists or cranes under any particular circumstances; rather, they provide detailed rules to be followed when hoists or cranes are used. Since no hoist or crane was used here, those regulations had no application and plaintiffs could not recover under section 241 (6).

TOTAL CLIENT-SERVICE LIBRARY® REFERENCES

By the Publisher's Editorial Staff

Am Jur 2d, Employment Relationship §§ 256, 258, 263–269.

McKinney's, Labor Law § 240 (1); § 241 (6).

12 NYCRR subparts 23–6, 23–8.

NY Jur 2d, Employment Relations §§ 231–233, 237–240.

New York Pattern Jury Instructions—Civil, PJI 2:216.

Prosser and Keeton, Torts (5th ed) § 80.

ANNOTATION REFERENCE

See ALR Index under Occupational Safety and Health; Trucks and Trucking.

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POINTS OF COUNSEL

Sacks and Sacks, LLP, New York City (*Scott N. Singer*, *Kenneth Sacks* and *Daniel Weir* of counsel), for appellants in the first above-entitled action. I. Insofar as the facts established that the accident occurred because of defendant's failure to furnish proper hoists, guardrails and safety devices, the Appellate Division erred in dismissing plaintiff's complaint. (*Quigley v Thatcher,* 207 NY 66; *Zimmer v Chemung County Performing Arts,* 65 NY2d 513; *Koenig v Patrick Constr. Corp.,* 298 NY 313; *Rocovich v Consolidated Edison Co.,* 78 NY2d 509; *Ross v Curtis-Palmer Hydro-Elec. Co.,* 81 NY2d 494; *Bland v Manocherian,* 66 NY2d 452; *Gordon v Eastern Ry. Supply,* 82 NY2d 555; *Panek v County of Albany,* 99 NY2d 452; *Watson v Hudson Val. Farms,* 276 AD2d 1004; *Moran v Corporate Prop. Invs.,* 251 AD2d 558.) II. Upon the undisputed proof that hoists, guardrails and safety equipment were not provided, plaintiffs are entitled to judgment for all injuries proximately caused. (*Zimmer v Chemung County Performing Arts,* 65 NY2d 513; *Brant v Republic Steel Corp.,* 91 AD2d 841; *Phillips v Flintkote Co.,* 89 AD2d 724; *Rea v Elia Bldg. Co.,* 79 AD2d 1102; *Duda v Rouse Constr. Corp.,* 32 NY2d 405; *Joyce v Rumsey Realty Corp.,* 17 NY2d 118; *Heath v Soloff Constr.,* 107 AD2d 507; *Hagins v State of New York,* 81 NY2d 921; *Klapa v O&Y Liberty Plaza Co.,* 218 AD2d 635; *Boice v Jegarmont Realty Corp.,* 204 AD2d 674.) III. The IAS court erred in dismissing plaintiffs' claim under Labor Law § 241 (6). (*Rizzuto v Wenger Contr. Co.,* 91 NY2d 343; *Ross v Curtis-Palmer Hydro-Elec. Co.,* 81 NY2d 494; *Wood v Lucy, Lady Duff-Gordon,* 222 NY 88.)

Cerussi & Spring, White Plains (*Peter Riggs, Ronald G. Crispi* and *David C. Zegarelli* of counsel), for respondent in the first above-entitled action. I. As the unloading of the flatbed truck did not present an extraordinary elevation-related hazard within the scope of Labor Law § 240 (1), plaintiffs' Labor Law § 240 (1) claim was properly dismissed. (*Esposito v New York City Indus. Dev. Agency,* 1 NY3d 526; *Martinez v City of New York,* 93 NY2d 322; *Karaktin v Gordon Hillside Corp.,* 143 AD2d 637; *Blake v Neighborhood Hous. Servs. of N.Y. City,* 1 NY3d 280; *Abbatiello v Lancaster Studio Assoc.,* 3 NY3d 46; *Groves v Land's End Hous. Co.,* 80 NY2d 978; *Narducci v Manhasset Bay Assoc.,* 96 NY2d 259; *Misseritti v Mark IV Constr.,* 86 NY2d 487; *Ross v Curtis-Palmer Hydro-Elec. Co.,* 81 NY2d 494; *Rodriguez v Tietz Ctr. for Nursing Care,* 84 NY2d 841.) II. Eric Casey's injuries were not proximately caused by a violation of Labor Law § 240 (1). (*Felker v Corning Inc.,* 90 NY2d 219; *Weininger v Hagedorn & Co.,* 91 NY2d 958; *Duda v Rouse Constr. Corp.,* 32 NY2d 405; *Gordon v Eastern Ry. Supply,* 82 NY2d 555; *Dilluvio v City of New York,* 95 NY2d 928.) III. Even if Labor Law § 240 (1) applies, plaintiffs are not entitled to partial summary judgment. (*Blake v Neighborhood Hous. Servs. of N.Y. City,* 1 NY3d 280; *Beesimer v Albany Ave./Rte. 9 Realty,* 216 AD2d 853; *Alava v City of New York,* 246 AD2d 614.) IV. Plaintiffs' Labor Law § 241 (6) cause of action, predicated on alleged violations of subparts 23-6 and 23-8 of the Industrial Code (12 NYCRR), was properly dismissed. (*Rizzuto v Wenger Contr. Co.,* 91 NY2d 343; *Cardenas v American Ref-Fuel Co. of Hempstead,* 244 AD2d 377; *Herman v Lancaster Homes,* 145 AD2d 926; *Kaczmarek v Bethlehem Steel Corp.,* 884 F Supp 768; *Violette v Armonk Assoc., L.P.,* 849 F Supp 923; *Soles v Eastman Kodak Co.,* 162 Misc 2d 406, 216 AD2d 973; *Flihan v Cornell Univ.,* 280 AD2d 994; *Smith v Homart Dev. Co.,* 237 AD2d 77; *Aloi v Structure-Tone, Inc.,* 2 AD3d 375; *Hasty v Solvay Mill Ltd. Partnership,* 306 AD2d 892.)

Montfort, Healy, McGuire & Salley, Garden City (*Michael A. Baranowicz* and *Donald S. Neumann, Jr.* of counsel), for Jana Construction Co., Inc., third-party defendant-respondent in the first above-entitled action. I. The Appellate Division correctly determined that the task of unloading a flatbed truck is not an elevation-related risk simply because there is a difference in elevation between the ground and the truck bed. (*Rocovich v Consolidated Edison Co.,* 78 NY2d 509; *Groves v Land's End Hous. Co.,* 80 NY2d 978; *Narducci v Manhasset Bay Assoc.,* 96 NY2d 259; *Nieves v Five Boro A.C. & Refrig. Corp.,* 93 NY2d 914; *Ross v Curtis-Palmer Hydro-Elec. Co.,* 81 NY2d 494; *Dilluvio v City of New York,* 264 AD2d 115, 95 NY2d 928; *Misseritti v Mark IV Constr. Co.,* 86 NY2d 487; *Melo v Consolidated Edison Co. of N.Y.,* 92 NY2d 909; *Rodriguez v Tietz Ctr. for Nursing Care,* 84 NY2d 841; *Bond v York Hunter Constr.,* 95 NY2d 883.) II. Unloading a flatbed truck under the circumstances present herein is not a covered activity. (*Prats v Port Auth. of N.Y. & N.J.,* 100 NY2d 878; *Panek v County of Albany,* 99 NY2d 452; *Misseritti v Mark IV Constr. Co.,* 86 NY2d 487; *Groves v Land's End Hous. Co.,* 80 NY2d 978; *Blake v Neighborhood Hous. Servs. of N.Y. City,* 1 NY3d 280; *Rocovich v Consolidated Edison Co.,* 78 NY2d 509; *Amo v Little Rapids Corp.,* 268 AD2d 712; *Joblon v Solow,* 91 NY2d 457; *Rodriguez v Tietz Ctr. for Nursing Care,* 84 NY2d 841; *Narducci v Manhasset Bay Assoc.,* 96 NY2d 259.) III. There can be no claim premised on a falling object when the item was deliberately dropped. (*Narducci v Manhasset Bay Assoc.,* 96 NY2d 259; *Bailey v Young Men's Christian Assn. of Capital Dist.,* 267 AD2d 642; *Roberts v General Elec. Co.,* 97 NY2d 737; *Corey v Gorick Constr. Co.,* 271 AD2d 911; *Isabell v U.W. Marx, Inc.,* 299 AD2d 701; *Belcastro v*

Hewlett-Woodmere Union Free School Dist. No. 14, 286 AD2d 744; *Matter of Fischer v State of New York,* 291 AD2d 815; *Ross v Curtis-Palmer Hydro-Elec. Co.,* 81 NY2d 494; *Rocovich v Consolidated Edison Co.,* 78 NY2d 509; *Fegundes v New York Tel. Co.,* 285 AD2d 526.) IV. The Industrial Code rules relied on by plaintiffs do not require use of a mobile crane or chain hoist. (*Ross v Curtis-Palmer Hydro-Elec. Co.,* 81 NY2d 494; *Rizzuto v Wenger Contr. Co.,* 91 NY2d 343; *Francis v Aluminum Co. of Am.,* 240 AD2d 985; *McCole v City of New York,* 221 AD2d 605; *Rice v Board of Educ. of City of N.Y.,* 302 AD2d 578; *Jacome v State of New York,* 266 AD2d 345; *Hasty v Solvay Mill Ltd. Partnership,* 306 AD2d 892; *Lawyer v Hoffman,* 275 AD2d 541; *McGrath v Lake Tree Vil. Assoc.,* 216 AD2d 877; *Ares v State of New York,* 80 NY2d 959.)

Faust Goetz Schenker & Blee LLP, New York City (*Erika C. Aljens* of counsel), for Harris-Camden Terminal Company, third-party defendant-respondent in the first above-entitled action. I. The Appellate Division decision dated September 29, 2003 should be affirmed because plaintiffs' ward was not exposed to an elevation-related risk, there was no failure of safety equipment and he was not struck by an improperly hoisted object. II. The lower court decision should also be affirmed because the accident came about solely due to the negligence of a coemployee of the injured ward in the use of a motor vehicle. (*Heritage v Van Patten,* 59 NY2d 1017; *Macchirole v Giamboi,* 97 NY2d 147; *Naso v Lafata,* 4 NY2d 585; *Rauch v Jones,* 4 NY2d 592; *Rose v Gelco Corp.,* 261 AD2d 381; *Chiriboga v Ebrahimoff,* 281 AD2d 353; *Black v Consolidated Freightways Corp. of Del.,* 219 F Supp 2d 243; *Kelly v Diesel Constr. Div. of Carl A. Morse, Inc.,* 35 NY2d 1; *Brown v Two Exch. Plaza Partners,* 76 NY2d 172; *Allen v Cloutier Constr. Corp.,* 44 NY2d 290.) III. In the alternative, if the decision of the Appellate Division is reversed, this matter should be remanded back to the Appellate Division for a determination of the validity of the order granting leave to amend the third-party complaint. (*Ziecker v Town of Orchard Park,* 75 NY2d 761.)

Fiedelman & McGaw, Jericho (*Jeanne A. Cygan, Andrew Zajac, Dawn C. DeSimone, Elizabeth Anne Bannon* and *Rona L. Platt* of counsel), for Defense Association of New York, Inc., amicus curiae in the first above-entitled action. I. Manually loading or off loading beams from the bed of a flatbed truck is not the type of ''special hazard'' entitling plaintiffs' ward to the extraordinary protection of Labor Law § 240 (1). (*Ross v Curtis-*

Palmer Hydro-Elec. Co., 81 NY2d 494; *Blake v Neighborhood Hous. Servs. of N.Y. City,* 1 NY3d 280; *Narducci v Manhasset Bay Assoc.,* 96 NY2d 259; *Phelan v State of New York,* 238 AD2d 882; *Narrow v Crane-Hogan Structural Sys.,* 202 AD2d 841; *Cabezas v Consolidated Edison,* 296 AD2d 522; *Klimowicz v Furer,* 246 AD2d 330; *Rodriguez v Tietz Ctr. for Nursing Care,* 84 NY2d 841; *Tillman v Triou's Custom Homes,* 253 AD2d 254; *Corey v Gorick Constr. Co.,* 271 AD2d 911.) II. Inasmuch as the alleged dangerous condition arose from the contractor's methods, and Long Island Rail Road exercised no supervisory control over the operation, liability may not attach under Labor Law § 200. (*Russin v Picciano & Son,* 54 NY2d 311; *Comes v New York State Elec. & Gas Corp.,* 82 NY2d 876.)

Powers & Santola, LLP, Albany (*Michael J. Hutter* of counsel), and *Christopher S. Olson*, Huntington, for appellants in the second above-entitled action. I. Plaintiff has established as a matter of law a violation of Labor Law § 240 (1). (*Blake v Neighborhood Hous. Servs. of N.Y. City,* 1 NY3d 280; *Joblon v Solow,* 91 NY2d 457; *Panek v County of Albany,* 99 NY2d 452; *Gordon v Eastern Ry. Supply,* 82 NY2d 555; *Zimmer v Chemung County Performing Arts,* 65 NY2d 513; *Ross v Curtis-Palmer Hydro-Elec. Co.,* 81 NY2d 494; *Groves v Land's End Hous. Co.,* 80 NY2d 978; *Rocovich v Consolidated Edison Co.,* 78 NY2d 509; *Striegel v Hillcrest Hgts. Dev. Corp.,* 100 NY2d 974; *Felker v Corning Inc.,* 90 NY2d 219.) II. Plaintiff has established as a matter of law that the violation of Labor Law § 240 (1) by defendants was a proximate cause of his injuries. (*Gordon v Eastern Ry. Supply,* 82 NY2d 555; *Serpe v Eyris Prods.,* 243 AD2d 375; *Zimmer v Chemung County Performing Arts,* 65 NY2d 513; *Laquidara v HRH Constr. Corp.,* 283 AD2d 169; *Sherman v Piotrowski Bldrs.,* 229 AD2d 959; *Noble v AMCC Corp.,* 277 AD2d 20; *Gontarzewski v City of New York,* 257 AD2d 394; *Musselman v Gaetano Constr. Corp.,* 277 AD2d 691; *Tate v Clancy-Cullen Stor. Co.,* 171 AD2d 292; *Blake v Neighborhood Hous. Servs. of N.Y. City,* 1 NY3d 280.)

Ahmuty, Demers & McManus, Albertson (*Brendan T. Fitzpatrick* of counsel), for respondents in the second above-entitled action. Plaintiff's incident did not fall under the protection of Labor Law § 240 and it was correctly dismissed. (*Bond v York Hunter Constr.,* 95 NY2d 883; *Nieves v Five Boro A.C. & Refrig. Corp.,* 93 NY2d 914; *Narducci v Manhasset Bay Assoc.,* 96 NY2d 259; *Martinez v City of New York,* 93 NY2d 322; *Perchinsky v State of New York,* 232 AD2d 34; *Rocovich v Consolidated Edi-*

son Co., 78 NY2d 509; *Ross v Curtis-Palmer Hydro-Elec. Co.,* 81 NY2d 494; *Misseritti v Mark IV Constr. Co.,* 86 NY2d 487; *Dilluvio v City of New York,* 95 NY2d 928; *Tillman v Triou's Custom House,* 253 AD2d 254.)

OPINION OF THE COURT

R.S. SMITH, J.

We decide in these cases that workers who fall when working on, or getting down from, the surface of a flatbed truck that is between four and five feet off the ground may not recover under Labor Law § 240 (1), because their injuries did not result from the sort of ''elevation-related risk'' that is essential to a cause of action under that section.

Facts and Procedural History

A. *Toefer v Long Island Rail Road*

Toefer is brought by the guardians of Eric Casey, who suffered a disastrous accident while working on the rehabilitation of a Long Island Rail Road bridge. Casey and another man were assigned to unload large steel, lattice-type beams from a flatbed truck. They stood on the surface of the truck's trailer, some four feet above the ground, inserted eight-foot wooden poles into the beams, and pried the beams off by using the poles as levers. When the beams fell to the ground, the levers fell with them.

Casey and his coworker pushed one beam off the truck without incident. When the next beam was unloaded, a wooden lever, for some reason that has not been explained, flew back at Casey with enormous force, striking him on the head and propelling him backwards, over the beams behind him that had not yet been unloaded, to the ground on the other side of the truck. He became a paraplegic as a result.

Casey's guardians sued the Long Island Rail Road, alleging among other things violations of Labor Law § 240 (1) and § 241 (6). The railroad claimed over against Casey's employer, which in turn impleaded several other parties. On a motion and cross motions for summary judgment, Supreme Court dismissed all plaintiffs' claims except those arising under Labor Law § 240 (1). The Appellate Division modified that ruling by ordering all of plaintiffs' claims dismissed. We granted plaintiffs' motion for leave to appeal, and now affirm.

B. *Marvin v Korean Air Inc.*

Robert Marvin was employed by a siding subcontractor that was working on the construction of a cargo building for Korean Air Inc. at Kennedy Airport. Some paneling material was brought to the construction site on a flatbed truck; the trailer of the truck was between four and five feet off the ground. Marvin was assigned to cut the steel straps that secured the material to the truck. No ladder was present. Marvin climbed up on the truck and performed his task. When he was finished, he crouched and began to step off the truck, but his foot became tangled in a safety harness he was wearing and he fell, breaking his ankle.

Marvin and his wife sued Korean Air and several other defendants, alleging among other things a violation of Labor Law § 240 (1). Supreme Court dismissed all plaintiffs' claims, and the Appellate Division affirmed. We granted plaintiffs' motion for leave to appeal, and now affirm.

Discussion

In this Court, plaintiffs in both *Toefer* and *Marvin* seek reinstatement of their claims under Labor Law § 240 (1). Plaintiffs in *Toefer* also seek reinstatement of their Labor Law § 241 (6) claim. We conclude that both the section 240 (1) claims and the section 241 (6) claim were properly dismissed.

A. Labor Law § 240 (1)

Labor Law § 240 (1) provides in pertinent part:

> "All contractors and owners and their agents, . . . in the erection, demolition, repairing, altering, painting, cleaning or pointing of a building or structure shall furnish or erect, or cause to be furnished or erected for the performance of such labor, scaffolding, hoists, stays, ladders, slings, hangers, blocks, pulleys, braces, irons, ropes, and other devices which shall be so constructed, placed and operated as to give proper protection to a person so employed."

In *Rocovich v Consolidated Edison Co.* (78 NY2d 509 [1991]), we discussed the occupational hazards against which this statute was directed. We pointed out that, while the hazards themselves are not spelled out in the statute, they can be inferred from the "protective means" set forth in the statute "for the hazards' avoidance"—scaffolding, hoists, stays, ladders and so forth (*id.* at 513). We explained:

> "The various tasks in which these devices are customarily needed or employed share a common characteristic. All entail a significant risk inherent in the particular task because of the relative elevation at which the task must be performed or at which materials or loads must be positioned or secured. The contemplated hazards are those related to the effects of gravity where protective devices are called for either because of a difference between the elevation level of the required work and a lower level or a difference between the elevation level where the worker is positioned and the higher level of the materials or load being hoisted or secured. It is because of the special hazards in having to work in these circumstances, we believe, that the Legislature has seen fit to give the worker the exceptional protection that section 240 (1) provides." (*Id.* at 514.)

Applying this reasoning in *Rocovich*, we held that a worker who had been injured when he slipped into a 12-inch-deep trough carrying a stream of hot oil had not suffered injury from an elevation-related risk, and so was not within the protection of the statute.

The above-quoted language from *Rocovich* identifies two distinct sources of elevation-related risk: "the relative elevation at which the task must be performed" and the elevation "at which materials or loads must be positioned or secured." In *Narducci v Manhasset Bay Assoc.* (96 NY2d 259, 267 [2001]), we described cases involving these risks as "falling worker" and "falling object" cases respectively. But, as we said in *Narducci*, "[n]ot every worker who falls at a construction site, and not every object that falls on a worker, gives rise to the extraordinary protections of Labor Law § 240 (1)" (*id.*). In some cases involving falls of workers and objects, we have held that where a plaintiff "was exposed to the usual and ordinary dangers of a construction site, and not the extraordinary elevation risks envisioned by Labor Law § 240 (1)," the plaintiff cannot recover under the statute (*Rodriguez v Margaret Tietz Ctr. for Nursing Care, Inc.*, 84 NY2d 841, 843 [1994]).

We have previously decided two Labor Law § 240 (1) cases involving falls from trucks—though not flatbed trucks—in which we held that the elevation-related risks contemplated by the statute were not present. In *Bond v York Hunter Constr.* (95

NY2d 883 [2000]) we denied recovery to a worker who, getting down from the cab of a construction vehicle, placed his foot on the vehicle's track to use it as a step, slipped and fell three feet to the ground. We held as a matter of law that ''the risk of alighting from [a] construction vehicle was not an elevation-related risk which calls for any of the protective devices of the types listed in Labor Law § 240 (1)'' (*id.* at 884-885 [citation omitted]). In *Dilluvio v City of New York* (95 NY2d 928 [2000]), we reached a similar result where the plaintiff fell some three feet from the back of a pickup truck in which he was riding. The Appellate Division has decided several cases involving flatbed trucks under Labor Law § 240 (1). The results in these cases vary, but most find elevation-related risk to be absent, as do both of the Appellate Division decisions now before us (*see e.g. Tillman v Triou's Custom Homes, Inc.*, 253 AD2d 254 [4th Dept 1999]; *Cabezas v Consolidated Edison*, 296 AD2d 522 [2d Dept 2002]; *but see e.g. Monroe v Bardin*, 249 AD2d 650 [3d Dept 1998]; *Orr v David Christa Constr., Inc.,* 206 AD2d 881 [4th Dept 1994]).

[1] We conclude that the flatbed trucks in these two cases, like the trucks in *Bond* and *Dilluvio*, did not present the kind of elevation-related risk that the statute contemplates.

In *Toefer*, Casey was working on a large and stable surface only four feet from the ground. That is not a situation that calls for the use of a device like those listed in section 240 (1) to prevent a worker from falling. Plaintiffs in *Toefer* argue that a hoist, which is one of the devices listed in the statute, should have been used instead of wooden poles to lower the beams from the truck, but this argument misconceives the issue. Labor Law § 240 (1) is arguably implicated in this case only because Casey fell from the truck's trailer to the ground. The purpose of a hoist here would not have been to prevent Casey from falling; it would have been to prevent the beams themselves from doing damage. But Casey was not injured by a beam, or by any falling object; the object that struck him inexplicably flew at him either upwards or horizontally. His injury, horrendous as it is, is not attributable to the sort of elevation-related risk that Labor Law § 240 (1) was meant to address.

The same is true of Marvin's less serious injury. A four-to-five-foot descent from a flatbed trailer or similar surface does not present the sort of elevation-related risk that triggers Labor Law § 240 (1)'s coverage. Safety devices of the kind listed in the statute are normally associated with more dangerous activity than a worker's getting down from the back of a truck. Obviously, the distance between the work platform and the ground is relevant; no one would expect a worker to come down without a ladder or other safety device from a work platform that was 10 feet high. But the lesser distance Marvin had to travel, considering the nature of the platform he was departing from, was not enough to make Labor Law § 240 (1) applicable.

The Appellate Division correctly dismissed the Labor Law § 240 (1) claims in both the *Toefer* and *Marvin* cases.

B. Labor Law § 241 (6)

Labor Law § 241 (6) provides:

> ''All areas in which construction, excavation or demolition work is being performed shall be so constructed, shored, equipped, guarded, arranged, operated and conducted as to provide reasonable and adequate protection and safety to the persons employed therein or lawfully frequenting such places. The commissioner may make rules to carry into effect the provisions of this subdivision, and the owners and contractors and their agents for such work, except owners of one and two-family dwellings who contract for but do not direct or control the work, shall comply therewith.''

We pointed out in *Ross v Curtis-Palmer Hydro-Elec. Co.* (81 NY2d 494, 503 [1993]) that this statute ''is, in a sense, a hybrid.'' Its first sentence, requiring ''reasonable and adequate'' measures, ''reiterates the general common-law standard of care''; the second sentence, however, ''contemplates the establishment of specific detailed rules'' (*id.*). Our cases hold that the statute imposes a nondelegable duty on owners and contractors to comply with those ''specific detailed rules.'' Thus, the statute creates a cause of action against owners and contractors, making them vicariously liable for the negligence of others whom they did not supervise, where, and only where, a ''specific, positive command[ ]'' (*Ross*, 81 NY2d at 503) or a ''concrete specification'' (*Rizzuto v L.A. Wenger Contr. Co.*, 91 NY2d 343, 350 [1998]) of a regulation promulgated by the Commissioner pursuant to the statute has been violated.

[2] The *Toefer* plaintiffs contend that the failure to provide Casey with a mechanical hoist or a mobile crane to lower the beams from the truck violated specific provisions of the Commissioner's regulations. This contention is without merit. The regulations on which plaintiffs rely, subparts 23-6 and 23-8 of the Industrial Code (12 NYCRR), do not require the use of hoists or cranes under any particular circumstances; rather, they provide detailed rules to be followed when hoists or cranes are used. Since no hoist or crane was used on the job involved in *Toefer*, these regulations have no application and plaintiffs' Labor Law § 241 (6) claim must fail.

Conclusion

Accordingly, in each case the order of the Appellate Division should be affirmed, with costs.

Chief Judge KAYE and Judges G.B. SMITH, CIPARICK, ROSENBLATT, GRAFFEO and READ concur.

In each case: Order affirmed, with costs.

[828 NE2d 983, 796 NYS2d 26]

THE PEOPLE OF THE STATE OF NEW YORK, Respondent, v AARON J. LOREN, Appellant.

Argued March 31, 2005; decided April 28, 2005

SUMMARY

APPEAL, by permission of the Chief Judge of the Court of Appeals, from an order of the Herkimer County Court (Patrick L. Kirk, J.), entered August 16, 2004. The County Court affirmed a judgment of the Village Court of the Village of Poland (Jerry R. Briggs Sr., J.), which had convicted defendant, after a nonjury trial, of violating Vehicle and Traffic Law § 1102.

HEADNOTE

Motor Vehicles — Traffic Infractions — Delegation of Fire Chief's Authority to Regulate Traffic to Subordinates

Vehicle and Traffic Law § 1102, which provides that ''[n]o person shall fail to or refuse to comply with any lawful order or direction of any police officer or flagperson or other person duly empowered to regulate traffic,'' permits a fire chief to empower subordinate firefighters to regulate and direct traffic at the scene of a fire or accident. This power derives from the ''Emergency rule'' (Vehicle and Traffic Law § 1602), which authorizes a fire chief to direct traffic at the scene of an accident, fire or other emergency. Fire chiefs may delegate their section 1602 authority to regulate traffic to their subordinates under Village Law § 10-1018, which specifies that the fire chief shall ''have exclusive control of the members [of the department] at all fires.'' Accordingly, defendant, who failed to observe a roadblock set up by two volunteer firefighters at the direction of the fire chief and ignored their order to stop, was guilty of violating Vehicle and Traffic Law § 1102.

TOTAL CLIENT-SERVICE LIBRARY® REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Municipal Corporations, Counties, and Other Political Subdivisions §§ 241, 242, 404.

MCKINNEY'S, Vehicle and Traffic Law §§ 1102, 1162; Village Law § 10–1018.

NY JUR 2d, Automobiles and Other Vehicles §§ 636, 637; NY JUR 2d, Counties, Towns, and Municipal Corporations § 1161.

ANNOTATION REFERENCE

See ALR Index under Automobiles and Highway Traffic; Fire Departments and Firefighters.

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POINTS OF COUNSEL

Karl E. Manne, Herkimer, for appellant. Members of a volunteer fire department, who are not members of the fire police squad, are not ''person[s] duly empowered to regulate traffic''; therefore, a conviction for failure to comply with said volunteers' commands under section 1102 of the Vehicle and Traffic Law cannot be upheld. (*People v Jennings,* 75 Misc 2d 408; *People v Bassett,* 156 Misc 2d 346.)

John H. Crandall, Sr., District Attorney, Herkimer (*Jeffrey S. Carpenter* of counsel), for respondent. I. Members of a volunteer fire department are ''person[s] duly empowered to regulate traffic'' pursuant to Vehicle and Traffic Law § 1102 in situations wherein the ''Emergency rule'' of section 1602 of the Vehicle and Traffic Law requires the regulation of traffic. (*People v Jennings,* 75 Misc 2d 408; *People v Bassett,* 156 Misc 2d 346.) II. The order given must be a lawful order. (*People v Donovan,* 53 Misc 2d 687; *People v Jennings,* 75 Misc 2d 408.)

OPINION OF THE COURT

Rosenblatt, J.

We hold that Vehicle and Traffic Law § 1102 permits a fire chief to empower subordinate firefighters to regulate and direct traffic at the scene of a fire or accident.

On December 17, 2003, units from the Village of Poland Volunteer Fire Department, commanded by the department's chief, responded to an automobile accident on a public road. The chief ordered two firefighters, Mary Reddington and Edward Squire, to close the thoroughfare to southbound traffic. Neither Reddington nor Squire had been designated a ''fire police'' officer.* The two firefighters set up a roadblock using flares and Squire's personal vehicle, with its blue emergency lights turned on. Red-

* General Municipal Law § 209-c authorizes the creation of fire police squads within fire departments, to be ''composed of volunteer firemen who are members of such departments or companies.'' The statute provides that fire police officers ''shall have the powers of and render service as peace officers.'' Pursuant to Vehicle and Traffic Law § 1602, fire police squad members have the same authority as police officers to regulate traffic at the scene of fires or other emergencies. Vehicle and Traffic Law § 132 defines as ''police officers . . . every duly designated peace officer as defined'' by CPL 2.20. That provision incorporates CPL 2.10 (41), which designates members of fire police squads as ''peace officers.''

dington was dressed in full firefighter's ''turn out'' gear, and Squire wore a green flourescent vest and was holding an orange highway flag.

Approaching the roadblock from the north, defendant ignored the firefighters' order to stop. Instead, he swerved into the northbound lane, which was not closed by the firefighters, and continued southward. Other drivers attempted to follow defendant around the roadblock. The two firefighters ran after defendant, shouting, waving their arms as well as the orange flag. Defendant stopped his car briefly, and Squire opened the passenger door in an attempt to identify him. Defendant refused to give his name, and, with Squire wedged between the door and the passenger compartment, attempted to drive off. Defendant then stopped his car and informed Squire that he was driving home. Squire replied that he was going to call the State Police. Undeterred, defendant drove off. A State Police officer later called on defendant at his residence and issued him a ticket for violating Vehicle and Traffic Law § 1102. That section provides that ''[n]o person shall fail to or refuse to comply with any lawful order or direction of any police officer or flagperson or other person duly empowered to regulate traffic.''

Before the Village Court, defendant argued that he did not violate Vehicle and Traffic Law § 1102 because volunteer firefighters, who are not members of a fire police squad, have no authority to direct traffic. Reasoning that a fire chief has authority to direct traffic at the scene of an emergency and can delegate this responsibility to subordinates, the court found that defendant violated Vehicle and Traffic Law § 1102. County Court affirmed. A Judge of this Court granted leave, and we affirm.

We determine that the two volunteer firefighters were ''duly empowered to regulate traffic'' under Vehicle and Traffic Law § 1102 because they were acting under instructions from the department's fire chief, who enjoys independent statutory authority to direct traffic at the scene of an accident, fire or other emergency. This power derives from Vehicle and Traffic Law § 1602—the ''Emergency rule.'' Section 1602 (b) provides that

> ''*[i]n the event of a fire or other emergency or to expedite traffic or to safeguard pedestrians or property* . . . [a] *person empowered to regulate traffic at the scene may*, to the extent authorized by local law, ordinance, order, rule, regulation or administrative

> code provision adopted by local authorities with respect to highways within their corporate boundaries, *direct traffic as conditions may require* notwithstanding the provisions of this chapter or of local laws, ordinances, orders, rules, regulations, administrative code or sanitary code provisions regulating traffic'' (emphasis added).

We have little difficulty in concluding that the ''Emergency rule'' authorizes a fire chief to direct traffic at the scene of an accident or a fire. A fire chief's responsibility to coordinate a department's response to an emergency necessarily includes the power both to keep the public out of harm's way and to keep people from obstructing firefighters' all-important mission of protecting life and limb.

Further, we hold that fire chiefs may delegate their Vehicle and Traffic Law § 1602 authority to regulate traffic to their subordinates. Village Law § 10-1018 specifies that the fire chief shall ''have *exclusive control* of the members [of the department] at all fires'' (emphasis added). Our interpretation of this language respects the fire chief's authority to direct firefighters to undertake tasks critical to public safety, such as diverting traffic away from the scene of a fire or dangerous accident. Accordingly, the order of County Court should be affirmed.

Chief Judge KAYE and Judges G.B. SMITH, CIPARICK, GRAFFEO, READ and R.S. SMITH concur.

Order affirmed.

[828 NE2d 975, 796 NYS2d 18]

SCOTT MAYBEE, Doing Business as SMOKE SIGNALS, Appellant, v STATE OF NEW YORK et al., Respondents.

Argued March 21, 2005; decided April 28, 2005

SUMMARY

APPEAL, on constitutional grounds, from a judgment of the Supreme Court, Erie County (Kevin M. Dillon, J.), entered June 24, 2004. The judgment dismissed the complaint for failure to state a cause of action.

HEADNOTE

Constitutional Law — Messages of Necessity — Sufficiency of Facts May Not be Challenged

A message of necessity sent by the Governor to the Legislature for an immediate vote on a bill to regulate certain sales and shipments of cigarettes could not be challenged by plaintiff in his action seeking a declaratory judgment that the bill was not validly enacted. New York Constitution, article III, § 14 provides that no bill shall be passed unless it has been printed and on the desks of the members of the Legislature for three days prior to passage or unless the Governor has certified "the facts which in his or her opinion necessitate an immediate vote thereon." The Constitution on its face makes the Governor's judgment of the facts determinative, and whether a court's opinion is or is not the same as the Governor's does not matter. As long as the Governor's certificate contains some factual statements, the sufficiency of the stated facts to support the Governor's conclusion may not be challenged.

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AM JUR 2d, Declaratory Judgments §§ 14–16, 53, 92; AM JUR 2d, Statutes § 24.

CARMODY-WAIT 2d, Proceeding Against a Body or Officer §§ 145:501–145:503, 145:510; CARMODY-WAIT 2d, Declaratory Judgments §§ 147:3, 147:5, 147:6, 147:27, 147:28, 147:35.

MCKINNEY'S, NY Const, art III, § 14.

NY JUR 2d, Declaratory Judgments and Agreed Case §§ 4–6, 33, 118; NY JUR 2d, Statutes § 38.

ANNOTATION REFERENCE

See ALR Index under Declaratory Judgments or Relief; Statutes.

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Query: message /3 necessity /p immediate /3 vote & challeng!

POINTS OF COUNSEL

Margaret A. Murphy, Buffalo, and *Colucci & Gallaher, P.C.* (*Joseph F. Crangle* of counsel) for appellant. I. On its face, a message of necessity must comply with the mandates of article III, § 14 of the Constitution of the State of New York. (*People ex rel. Hatch v Reardon,* 184 NY 431, 204 US 152; *Franklin Natl. Bank of Long Is. v Clark,* 26 Misc 2d 724; *Norwick v Rockefeller,* 70 Misc 2d 923, 40 AD2d 956, 33 NY2d 537; *Finger Lakes Racing Assn. v New York State Off-Track Pari-Mutuel Betting Commn.,* 30 NY2d 207.) II. The Governor's message states the necessity for the passage, but not the necessity for an immediate vote. (*Finger Lakes Racing Assn. v New York State Off-Track Pari-Mutuel Betting Commn.,* 30 NY2d 207; *Norwick v Rockefeller,* 70 Misc 2d 923, 40 AD2d 956, 33 NY2d 537; *Matter of Joslin v Regan,* 63 AD2d 466, 48 NY2d 746; *Matter of King v Cuomo,* 81 NY2d 247; *Matter of Schulz v Silver,* 212 AD2d 293.)

Eliot Spitzer, Attorney General, Albany (*Robert M. Goldfarb, Caitlin J. Halligan, Daniel Smirlock* and *Peter H. Schiff* of counsel), for respondents. I. The Governor's message of necessity was constitutionally sufficient. (*Clark v Cuomo,* 66 NY2d 185; *Matter of New York State Inspection, Sec. & Law Enforcement Empls., Dist. Council 82, AFSCME, AFL-CIO v Cuomo,* 64 NY2d 233; *Matter of Johnson v Pataki,* 91 NY2d 214; *Matter of King v Cuomo,* 81 NY2d 247; *Settle v Van Evrea,* 49 NY 280; *Finger Lakes Racing Assn. v New York State Off-Track Pari-Mutuel Betting Commn.,* 30 NY2d 207, 409 US 1031; *Norwick v Rockefeller,* 70 Misc 2d 923, 40 AD2d 956, 33 NY2d 537; *People ex rel. Hatch v Reardon,* 184 NY 431, 204 US 152; *Dalton v Pataki,* 11 AD3d 62; *Browne v City of New York,* 213 App Div 206, 241 NY 96.) II. In the event this Court should find the message of necessity insufficient, any relief should be prospective only. (*Matter of King v Cuomo,* 81 NY2d 247; *Matter of McCann v Scaduto,* 71 NY2d 164; *Matter of Campaign for Fiscal Equity v Marino,* 87 NY2d 235.)

OPINION OF THE COURT

R.S. SMITH, J.

Article III, § 14 of the State Constitution provides that no bill shall be passed unless it has been printed and on the desks of the members of the Legislature for three days prior to passage or ''unless the governor . . . shall have certified . . . the facts which in his or her opinion necessitate an immediate vote thereon.'' Plaintiff claims that the bill at issue here was not validly passed because the ''facts'' that the Governor ''certified'' do not support the conclusion that ''an immediate vote'' was necessary. We hold that, as long as the Governor's certificate contains some factual statements, the sufficiency of the stated facts to support the Governor's conclusion may not be challenged.

Facts and Procedural History

Senate Bill S 8177 of 2000, a bill to regulate certain sales and shipments of cigarettes, was first printed on June 14, 2000. On the same day, the Governor sent to both the Senate and Assembly a ''message of necessity'' that contained the following language:

> ''The facts necessitating an immediate vote on the bill are as follows:
>
> ''This bill is necessary to amend the public health law in relation to the shipment and transportation of cigarettes to any person not licensed as a cigarette tax agent or wholesale dealer. This bill also amends the tax law and the administrative code of the City of New York with respect to imposing and enhancing civil and criminal penalties for unlawfully possessing, selling and transporting cigarettes.
>
> ''Because the bill has not been on your desks in final form for three calendar legislative days, this message is necessary to permit its immediate consideration.''

The bill was passed by the Senate on the same day it was printed and by the Assembly on the following day. Plaintiff, the owner of a business that sells cigarettes, seeks a declaratory judgment that the bill was not validly enacted. Supreme Court dismissed the complaint for failure to state a cause of action, and plaintiff appeals directly to this Court pursuant to CPLR 5601 (b) (2). We affirm.

Discussion

Article III, § 14 of the Constitution provides in relevant part:

> ''No bill shall be passed or become a law unless it

> shall have been printed and upon the desks of the members, in its final form, at least three calendar legislative days prior to its final passage, unless the governor, or the acting governor, shall have certified, under his or her hand and the seal of the state, the facts which in his or her opinion necessitate an immediate vote thereon, in which case it must nevertheless be upon the desks of the members in final form, not necessarily printed, before its final passage . . . .''

In *Finger Lakes Racing Assn. v New York State Off-Track Pari-Mutuel Betting Commn.* (30 NY2d 207 [1972]) and *Norwick v Rockefeller* (33 NY2d 537 [1973]) we rejected claims that the facts stated in a Governor's certificates were insufficient to comply with article III, § 14. While *Finger Lakes* may have left open the possibility that some statements of facts could be found inadequate, *Norwick* did not. We now make explicit what our affirmance without opinion in *Norwick* implied: the sufficiency of the facts stated by the Governor in a certificate of necessity is not subject to judicial review.

The certificate in *Finger Lakes*, as we summarized it, ''described the general purposes of the bill . . . and certified that because the bill had not been on the legislative desks three days 'the Leaders of your Honorable bodies have requested this message to permit immediate consideration of the bill prior to your anticipated final adjournment' '' (30 NY2d at 219). Noting that adjournment was imminent and ''the bill could not reasonably have been in final printed form for three days before adjournment,'' we held that the Governor's certificate was ''a compliance in terms and in spirit'' with article III, § 14 (*id.*). Our next words seemed to imply that it was for the Governor to decide on the sufficiency of the facts: ''It is the Governor who must express the opinion that an immediate vote is desirable. The facts on which he forms that opinion must satisfy him.'' (*Id.*) We added, however: ''The facts supporting his opinion . . . are rational and reasonable'' (*id.*)—arguably suggesting that a certificate that was not ''rational and reasonable'' would be insufficient.

The apparent ambiguity in *Finger Lakes* was resolved in *Norwick*. There, the plaintiff challenged ''all laws enacted on messages of necessity during the 1971 regular legislative session'' (*Norwick v Rockefeller*, 70 Misc 2d 923, 925 [Sup Ct, NY County 1972], *affd without op* 40 AD2d 956 [1st Dept 1972], *affd without* *op* 33 NY2d 537 [1973]). Supreme Court (Saypol, J.) summarized certain of the disputed certificates as follows:

> ''It appears that many of the messages currently issuing contain the following *pro forma* language: 'Because the bill in its final form has not been on your desks three calendar legislative days the Leaders of your Honorable bodies have requested this message to permit its immediate consideration;' or, *mutatis mutandis*, 'Because the bill in its final form has not been on your desks three calendar legislative days, the Leaders of your Honorable bodies have requested this message to permit immediate consideration of the bill prior to your anticipated final adjournment.' '' (70 Misc 2d at 931-932.)

Justice Saypol analyzed our decision in *Finger Lakes*, and observed that, as we mentioned above, the key language in *Finger Lakes* ''can be read broadly to support the Governor's action in all cases where he issues messages of necessity'' or more narrowly (*id.* at 933). Justice Saypol, referring to ''the dominant doctrine of separation of powers with concomitant adherence to judicial self-limitation,'' chose the broader reading. He held that the sufficiency of the ''facts'' stated by the Governor in a message of necessity ''is unassailable'' (*id.* at 934).

By affirming without opinion in *Norwick* we endorsed the result Justice Saypol reached. In this case, endorsement of the result implies endorsement of the critical element in his rationale: that the sufficiency of the facts stated by the Governor as necessitating expedited consideration of a bill may not be challenged. Some of the certificates upheld in *Norwick* said only that the bill in question had not been on the legislators' desks for three days and that ''the Leaders of your Honorable bodies have requested this message to permit its immediate consideration.'' If these facts are sufficient under the Constitution, it follows that any facts will be, as long as they satisfy the Governor.

Thus we conclude that the question presented in this case is already answered by *Norwick*. But if we were deciding the question afresh, we would decide it the same way. The Constitution on its face makes the Governor's judgment of the facts determinative; he or she is to state facts that ''in his or her opinion'' necessitate prompt action. Whether a court's opinion is or is not the same as the Governor's does not matter.

Some contexts might justify reading into a statute or constitutional provision a requirement that a public official's ''opinion'' be reasonable. Here, however, there are several reasons for giving complete deference to the Governor's views: The Governor is far better equipped than the courts to assess the need for speedy passage of a bill; the very need for haste that prompts him or her to issue a certificate may make it difficult to prepare a detailed and persuasive statement of the reasons for it; the Legislature has its own remedy for an inadequate certificate, since if it does not think the Governor's reasons are good ones, it is not required to act in fewer than three days—or even to consider the bill at all; and the consequences of judicial second-guessing of the Governor's and the Legislature's choice to expedite passage can be draconian. If we accepted plaintiff's argument here, any statute, no matter how important to the state, would have to be thrown out by the courts if the facts stated in the certificate of necessity that permitted its prompt passage were found insufficient.

Plaintiff acknowledges that both precedent and logic support giving much deference to the Governor's statements of facts. Plaintiff argues, however, that the deference should be less than total. Even in *Norwick*, plaintiff urges, the certificate of necessity contained a fact supporting a prompt vote—the fact that the leaders of the Legislature had asked for one. Here, plaintiff says, the Governor's certificate states only reasons for passing the bill, not for voting on it promptly. We are unpersuaded by the distinction. A good reason for action can be, in some circumstances, in itself a good reason for acting promptly, and it is for the Governor and not for us to decide when that is true. And in any event, we do not think there is a significant difference between facts that support the Governor's conclusion only weakly and facts that do not support it at all. Under *Norwick*, the legislative leaders' wish for expedition is a sufficient fact—as would be, presumably, the Governor's own wish to move the bill quickly. No useful purpose is served by trying to draw a line between such facts and those stated in the certificate at issue here; on either side of the line are factual statements that may be called ''pro forma,'' but are sufficient under the Constitution.

The concurring opinion argues that our ruling fails to honor the ''long and substantial history'' of article III, § 14 (concurring op at 422). But this argument is based heavily on the history of a provision proposed in 1915 that would have abolished certificates of necessity entirely—a provision that was never adopted. The abortive 1915 proposal is relevant here, if at all, only as an indication of what the voters decided not to do. Our holding that the Governor's stated reasons for seeking expedition are unchallengeable is consistent with the history of the constitutional provision that actually was enacted, so far as that history throws light on the authors' expectations.

From 1894 until the present article III, § 14 was adopted in 1938, the three-day waiting period for the passage of a bill could be dispensed with if the Governor "certified to the necessity of its immediate passage." (1894 NY Const, art III, § 15.) The present version differs by requiring the Governor to certify not only the necessity for prompt action, but the facts that give rise to the necessity. A comment at the 1938 Constitutional Convention by George Fearon, one of the delegates who sponsored the change, shows that he understood that the effectiveness of this new requirement would depend on the Governor's cooperation. Fearon said:

> "it is the *hope* of the members of the committee that if the Governor is required to certify facts which in his opinion constitute an emergency, it will not fall into a pro forma signing of a printed message which reads, in effect, 'I hereby certify the necessity for the immediate passage of bill No. so and so.' " (2 Rev Record, 1938 NY Constitutional Convention, at 1435 [emphasis added].)

The key word is "hope"; Fearon hoped the Governor's certificates would be more than pro forma, but he evidently did not expect the courts to invalidate the legislation if his hope was disappointed. He presumably recognized, as do we, that invalidation of statutes on grounds like this would do less good than harm.

Accordingly, the judgment of Supreme Court should be affirmed, with costs.

Chief Judge Kaye (concurring in result). I begin, as do my Colleagues, with the clear words of the New York State Constitution. That is the appropriate place to begin, as the Court is obliged to honor the Constitution.

> "No bill shall be passed or become a law unless it shall have been printed and upon the desks of the members, in its final form, at least three calendar

> legislative days prior to its final passage, unless the governor, or the acting governor, shall have certified, under his or her hand and the seal of the state, *the facts which in his or her opinion necessitate an immediate vote thereon*, in which case it must nevertheless be upon the desks of the members in final form, not necessarily printed, before its final passage'' (NY Const, art III, § 14 [emphasis added]).

Today, however, the Court honors neither the words, nor the surprisingly long and substantial history, of this constitutional provision.

In an effort to break with past practice and ensure that both legislators and the public would know the content of bills being voted on by the Legislature, the Constitution of 1894 required—for the first time—that bills be printed and distributed to the members of the Legislature at least three days before final passage (*see* 1894 NY Const, art III, § 15). The objects of this reform were to prevent hasty and careless legislation, to prohibit last-minute amendments—deemed to be ''one of the principal evils in the way of legislation'' (1 Revised Rec, 1894 NY Constitutional Convention, at 902)—and to secure public comment prior to passage (*see People ex rel. Hatch v Reardon*, 184 NY 431, 439 [1906]; *Matter of Schneider v Rockefeller*, 31 NY2d 420, 434 [1972]). Nevertheless, because of grave doubt expressed as to whether it would be possible to print bills and get them on the desks of the members so quickly, as well as fears that public emergencies might require rapid legislation, an exception was adopted for those instances in which the Governor certified the necessity of immediate passage of the bill.

At both the Constitutional Convention of 1915 and the Constitutional Convention of 1938, the indiscriminate use of gubernatorial messages of necessity was much criticized (*see e.g.* 1 Revised Rec, 1915 NY Constitutional Convention, at 767 [''It was intended, beyond a doubt, that these messages should be used only in the case of a real public emergency and it was not intended . . . that they should be used as a dose of strychnine for legislation which was in its last gasps, on the last day or two of the legislative session, and which had not received proper attention earlier in the session. . . . I think it may well be doubted whether there ever has been, since 1894, a real emergency where it was actually necessary to pass a bill within three days of its introduction'']; *id.* at 823 [''When this matter was brought before the Convention of 1894 . . . the amendment was proposed for the purpose of preventing hasty and ill-considered legislation. . . . It never entered the head of anybody in that Convention that this . . . (message of) necessity . . . should be resorted to for the purpose of defeating the very object which we had in view in incorporating this provision in the Constitution so as to require at least three days for deliberation.'']; 2 Revised Rec, 1938 NY Constitutional Convention, at 975).

The 1915 Constitution, not adopted by the electorate, proposed to eliminate the exception for such messages altogether (*see e.g.* 1 Revised Rec, 1915 NY Constitutional Convention, at 824 [''I do not think among the important things that we have to do, that there is anything more important than the elimination of this so-called emergency message. Nothing can be done which will tend to secure more deliberative legislation in the future than the doing away with this message.'']; *id.* [''I have such a strong feeling upon the subject that I believe, if this Convention did nothing more than to take out this emergency message, it would have rendered a very great service to the State.'']).

The framers of the 1938 Constitution (our current Constitution) similarly sought to decrease the frequency of these messages—the use of which was especially prevalent in the hectic last few days of each legislative session—by amending the Constitution to its present form, to require that the Governor accompany a message of necessity with a certification of ''the facts which in his opinion necessitate an immediate vote thereon'' (*see* 1938 NY Const, art III, § 14).

In explaining the intent of this amendment, the sponsor explained:

> ''It provides first that instead of the Governor certifying as to the necessity for the immediate passage, which is exactly what he does, any Governor does: He has a printed form in which he certifies to the necessity for the immediate passage; under the new proposal the Governor will certify the facts which, in his opinion, necessitate an immediate vote on the bill, not necessarily its passage, but an immediate consideration of it and an immediate vote upon it. And it is the hope of the members of the committee that if the Governor is required to certify facts which in his opinion constitute an emergency, it will not fall into a pro forma signing of a printed

> message which reads, in effect, 'I hereby certify the necessity for the immediate passage of bill No. so and so' '' (2 Revised Rec, 1938 NY Constitutional Convention, at 1435).

The purpose of the amendment was thus to slow the emergency enactment process, prohibit last-minute amendments, force legislators to bring bills to a vote earlier in the legislative term, and reduce the number of bills requiring an immediate vote at the end of the term (*see* 2 Revised Rec, 1938 NY Constitutional Convention, at 975, 980).

In contravention of the clear words and intent of the constitutional framers not only in 1894 and 1915 but also in 1938, the Court today endorses the pro forma issuance of messages of necessity *without limitation*, concluding that by use of the word ''hope,'' the framers recognized that the amendment would in fact have no effect. The common thread woven through 44 years of constitutional history is that messages of necessity were meant to be the exception, not the rule.

I cannot agree that the failure of the Governor to certify facts which in his or her opinion necessitate an immediate vote on the bill when issuing a message of necessity is of no consequence. Rather, when the constitutional command is clear, it may not be waived even with the concurrence of the Legislature.

Here, the facts certified by the Governor stated simply that the bill was

> ''necessary to amend the public health law in relation to the shipment and transportation of cigarettes to any person not licensed as a cigarette tax agent or wholesale dealer. This bill also amends the tax law and the administrative code of the City of New York with respect to imposing and enhancing civil and criminal penalties for unlawfully possessing, selling and transporting cigarettes.''

These facts do nothing more than set forth the content of the bill itself and are in no way relevant to the necessity of immediate consideration.* To be sure, the facts are relevant to the utility of eventual adoption of the bill—that is, by setting forth the proposed provisions of law, including that penalties would be enhanced for dealing in black-market cigarettes, the message

* The message also contained the truism that such a message was needed in order to waive the otherwise constitutionally mandated three-day waiting period.

perhaps made the case for *ultimate* passage. But that is not the constitutional test.

In both *Finger Lakes Racing Assn. v New York State Off-Track Pari-Mutuel Betting Commn.* (30 NY2d 207, 219-220 [1972], *appeal dismissed* 409 US 1031 [1972]), and *Matter of Joslin v Regan* (48 NY2d 746 [1979], *affg* 63 AD2d 466, 468-469 [4th Dept 1978]), we rejected challenges to gubernatorial messages of necessity premised on claims that the reasons given by the Governor were not good enough. Of course, as the Constitution makes clear, the facts must justify immediate consideration in the Governor's opinion. That being so, the Court will not analyze whether facts which pertain to a need for expeditiousness are sufficient to justify the asserted need, as long as they are sufficient to satisfy the Governor. The Governor, having stated such facts, is the final arbiter of their quality, and the Court will not question that judgment.

Thus, in *Finger Lakes*, we upheld a message setting forth the Governor's opinion that expedited consideration was necessary to permit consideration of the bill before the Legislature's anticipated final adjournment. Similarly, in *Joslin*, we sustained a message—sent on March 31, 1977—providing that ''[e]nactment of this bill is necessary in connection with the Budget for the 1977-78 Fiscal Year, which begins April 1'' (63 AD2d at 469). But when the Governor states no facts at all that relate to timing, the Constitution has been violated, both ''in terms and in spirit'' (*Finger Lakes*, 30 NY2d at 219).

The Court relies on *Norwick v Rockefeller* (70 Misc 2d 923, 934 [Sup Ct, NY County 1972]) for the proposition that a message of necessity ''may not be challenged'' (majority op at 419). There, the messages at issue provided simply that ''[b]ecause the bill in its final form has not been on your desks three calendar legislative days the Leaders of your Honorable bodies have requested this message to permit its immediate consideration'' (70 Misc 2d at 931). The *Norwick* trial court—in analyzing *Finger Lakes*—expressed the view that our precedent could be read either narrowly (to set forth a rule pertaining only to messages containing facts plainly relating to the need for speed, such as the imminency of a final legislative adjournment) or broadly (to mean that messages of necessity are always beyond judicial review) (70 Misc 2d at 933-934). Stating that to forecast which reading an appellate court would ultimately endorse was ''precarious'' for a lower court, the trial court assumed the broader interpretation (*id.* at 934). The Appellate Division simply affirmed (40 AD2d 956 [1st Dept 1972]), and this Court affirmed ''[n]o opinion'' (33 NY2d 537, 538 [1973]), declining an opportunity to affirm on the reasoning of the trial court, as we have done innumerable times when that is our intention. ''*[S]tare decisis* does not spring full-grown from a 'precedent' but from precedents which reflect principle and doctrine rationally evolved'' (*People v Hobson*, 39 NY2d 479, 488 [1976]).

To sanction the instant message is to read the provision out of the Constitution. This, not the Governor, the Legislature or this Court—nor all three together—is empowered to do.

I concur in the result, however, because—although the very purpose of the amendment at issue here was to avoid pro forma messages of necessity—it has nevertheless become the practice of government that messages like the one before us have been routinely used. To strike or put in doubt legislation enacted on such messages would lead to great unsettlement. Thus, while I conclude that the instant message failed to comply with the constitutional mandate of article III, § 14, I would give this ruling prospective effect only (*see Matter of King v Cuomo*, 81 NY2d 247, 256-257 [1993] [although bicameral recall practice used by Legislature to reacquire bill from Governor's desk found unconstitutional, relief was prospective because of longstanding recall practice and ''disorder and confusion'' retroactive ruling or ruling with resuscitative effect would produce]; *Matter of Campaign for Fiscal Equity v Marino*, 87 NY2d 235, 239 [1995] [although practice of withholding bills passed by both houses of Legislature from Governor violated State Constitution, retroactive ruling was not warranted]).

Finally, I note that article III, § 14 of the Constitution does not ask much of the Governor when a message of necessity is in order. Any facts which in the Governor's opinion necessitate an immediate vote will satisfy the constitutional test. I therefore hope that, despite the Court's ruling today, the Governor will in the future take the simple step of including in any message of necessity the minimal statement of facts that compliance with the Constitution requires.

Judges ROSENBLATT, GRAFFEO and READ concur with Judge R.S. SMITH; Chief Judge KAYE concurs in result in a separate opinion in which Judges G.B. SMITH and CIPARICK concur.

Judgment affirmed, with costs.

[829 NE2d 276, 796 NYS2d 312]

In the Matter of THOMAS L. HUCKABY, Appellant, v NEW YORK STATE DIVISION OF TAX APPEALS, TAX APPEALS TRIBUNAL, et al., Respondents.

Argued January 5, 2005; decided March 29, 2005

SUMMARY

APPEAL, on constitutional grounds, from a judgment of the Appellate Division of the Supreme Court in the Third Judicial Department, entered April 29, 2004, in a proceeding pursuant to CPLR article 78. The Appellate Division confirmed a determination of respondent Tax Appeals Tribunal which had sustained an assessment of personal income tax imposed under Tax Law article 22, and dismissed the petition.

Matter of Huckaby v New York State Div. of Tax Appeals, Tax Appeals Trib., 6 AD3d 988, affirmed.

HEADNOTE

Taxation — Personal Income Tax — Income of Nonresident Employed by New York Employer — Convenience of Employer Test

Under New York's "convenience of the employer" test (*see* 20 NYCRR 132.18 [a]), when a nonresident is employed by a New York employer, income derived from work in another state is taxable by New York unless performed out of state for the necessity of the employer. New York taxes the income of nonresidents to the extent that such income is "derived from or connected with New York sources" (Tax Law § 631 [b] [1]; *see* Tax Law § 601 [e]), including any income attributable to "a business, trade, profession or occupation carried on in this state" (Tax Law § 631 [b] [1] [B]). The minimal connection required by due process between the taxpayer and the taxing state was present in this case where the nonresident taxpayer accepted employment from a New York employer and worked in his employer's New York office approximately 25% of the time annually. By taxing only income sourced to New York, the convenience test is rationally related to values connected with New York because New York has the right to tax 100% of a nonresident employee's income derived from New York sources. The convenience test complies with both the Due Process Clause and the Commerce Clause. The Equal Protection Clause is also satisfied since, in distinguishing between those employees who work out of state for personal convenience and those who work out of state as a necessity, New York properly taxes nonresidents only on income sourced to New York, and, concomitantly, avoids taxing income derived from interstate commerce.

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AM JUR 2d, State and Local Taxation §§ 408, 507.

McKinney's, Tax Law § 601 (d); § 631 (b) (1).
20 NYCRR 132.18 (a).
NY Jur 2d, Taxation and Assessment §§ 1186, 1188, 1190.

ANNOTATION REFERENCE

See ALR Index under Income Tax.

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POINTS OF COUNSEL

McDermott Will & Emery LLP, New York City (*Peter L. Faber, Margaret C. Wilson* and *Richard A. Leavy* of counsel), for appellant. I. This appeal directly involves a substantial constitutional question. (*Matter of Zelinsky v Tax Appeals Trib. of State of N.Y.*, 1 NY3d 85, 541 US 1009.) II. The convenience of the employer test is unconstitutional as applied to Mr. Huckaby because it taxes income out of all proportion to Mr. Huckaby's work sourced to, and benefits from, New York; his employer's benefits from New York are relevant only to New York's taxation of his employer—not Mr. Huckaby. (*Shaffer v Carter,* 252 US 37.) III. The convenience of the employer test violates due process by taxing income that clearly was not derived from New York State. (*Shaffer v Carter,* 252 US 37; *Hans Rees' Sons, Inc. v North Carolina*, 283 US 123; *Matter of British Land [Md.] v Tax Appeals Trib. of State of N.Y.,* 85 NY2d 139; *Moorman Mfg. Co. v Bair,* 437 US 267; *Norfolk & W. Ry. Co. v Missouri State Tax Commn.,* 390 US 317; *Trinova Corp. v Michigan Dept. of Treasury,* 498 US 358; *Wisconsin v J.C. Penney Co.,* 311 US 435; *International Harvester Co. v Wisconsin Dept. of Taxation,* 322 US 435; *Connecticut Gen. Life Ins. Co. v Johnson,* 303 US 77; *Matter of Allen [Commissioner of Labor],* 100 NY2d 282.) IV. The application of the convenience of the employer test to Mr. Huckaby violates the Equal Protection Clause by applying an arbitrary and irrational standard to determine which nonresidents cannot allocate any income outside the state. (*Harrah Ind. School Dist. v Martin,* 440 US 194; *Fitzgerald v Racing Assn. of Cent. Iowa,* 539 US 103; *Matter of Colleary v Tully,* 69 AD2d 922.) V. This Court's decision in *Matter of Zelinsky v Tax Appeals Trib. of State of N.Y.* (1 NY3d 85 [2003]) was limited to its facts and did not reach the constitutionality of the convenience of the employer test in the unique context of a telecommuter whose principal job and place of business are outside New York. (*Matter of Speno v Gallman,* 35 NY2d 256; *Norfolk & W. Ry. Co. v Missouri State Tax Commn.,* 390 US 317; *Oklahoma Tax Commn. v Jefferson Lines, Inc.,* 514 US 175; *Moorman Mfg. Co. v Bair,* 437 US 267.) VI. The statute does not permit respondent Division of Tax Appeals to tax a nonresident on income that is compensation for services that are in fact performed outside the state. (*Matter of McNulty v New York State Tax Commn.,* 70 NY2d 788; *Matter of Linsley v Gallman*, 38 AD2d 367, 33 NY2d 863; *Matter of D.S. Alamo Assoc. v Commissioner of Fin. of City of N.Y.,* 71 NY2d 340; *Kurcsics v Merchants Mut. Ins. Co.,* 49 NY2d 451; *American Locker Co. v City of New York,* 308 NY 264; *Matter of Speno v Gallman,* 35 NY2d 256; *Matter of Burke v Bragalini,* 10 AD2d 654; *Matter of Burke v Murphy,* 33 AD2d 581; *Matter of Carpenter v Chapman,* 276 App Div 634; *Matter of Colleary v Tully,* 69 AD2d 922.) VII. Because the Division of Tax Appeals has disregarded its own published guidelines to force Mr. Huckaby to court, with no rational basis, Mr. Huckaby is entitled to his reasonable administrative and litigation costs.

Eliot Spitzer, Attorney General, Albany (*Julie S. Mereson, Caitlin J. Halligan, Daniel Smirlock* and *Andrew D. Bing* of counsel), for respondents. I. New York's taxation of all of Thomas Huckaby's income from his New York employment pursuant to the convenience test is consistent with constitutional norms governing taxation of nonresidents and with Tax Law § 601 (e) and § 631 (b). (*Oklahoma Tax Commn. v Chickasaw Nation,* 515 US 450; *International Harvester Co. v Wisconsin Dept. of Taxation,* 322 US 435; *Travis v Yale & Towne Mfg. Co.,* 252 US 60; *Brady v State of New York,* 80 NY2d 596, 509 US 905; *Shaffer v Carter,* 252 US 37; *Matter of Speno v Gallman,* 35 NY2d 256; *Matter of Zelinsky v Tax Appeals Trib. of State of N.Y.,* 1 NY3d 85; *Matter of Linsley v Gallman,* 38 AD2d 367, 33 NY2d 863; *Quill Corp. v North Dakota,* 504 US 298.) II. The application of the convenience rule to Thomas Huckaby is consistent with the Due Process Clause. (*Matter of Zelinsky v Tax Appeals Trib. of State of N.Y.,* 1 NY3d 85; *Moorman Mfg. Co. v Bair,* 437 US 267; *Wisconsin v J.C. Penney Co.,* 311 US 435; *Shaffer v Carter,* 252 US 37; *Matter of Tamagni v Tax Appeals Trib. of State of N.Y.,* 91 NY2d 530.) III. The application of the convenience rule to Thomas Huckaby does not violate his equal protection rights. (*Miriam Osborn Mem. Home Assn. v Chassin,* 100 NY2d 544; *Trump v Chu,* 65 NY2d 20; *Lehnhausen v Lake Shore Auto Parts Co.,* 410 US 356.) IV. Thomas Huckaby is not entitled to administrative and litigation costs pursuant to Tax Law § 3030. (*Matter of Speno v Gallman,* 35 NY2d 256; *Matter of Colleary v Tully,* 69 AD2d 922; *Matter of Wheeler v State Tax Commn.,* 72 AD2d 878; *Matter of Kitman v State Tax Commn.,* 92 AD2d 1018, 59 NY2d 603; *Matter of Phillips v New York State Dept. of Taxation & Fin.,* 267 AD2d 927, 94 NY2d 763; *Matter of Zelinsky v Tax Appeals Trib. of State of N.Y.,* 1 NY3d 85; *Matter of Carpenter v Chapman,* 276 App Div 634.)

OPINION OF THE COURT

READ, J.

This appeal revisits New York's "convenience of the employer" test, which provides that when a nonresident is employed by a New York employer, income derived from work in another state is taxable by New York unless performed out of state for the necessity of the employer. Here, the taxpayer, a Tennessee resident who works for a New York employer, contends that the convenience test violates the statute that it implements as well as the Due Process and Equal Protection Clauses of the Fourteenth Amendment to the United States Constitution. We disagree, and uphold the challenged tax as applied to this taxpayer.

I.

Until 1991, petitioner Thomas L. Huckaby, a Tennessee resident, worked as a computer programmer for Multi-User Computer Solutions (MCS), a Tennessee employer engaged in the business of developing and selling computer software. In 1991, MCS underwent a reorganization, and petitioner's employment was terminated as a result. He was subsequently hired by the National Organization of Industrial Trade Unions (NOITU), an organization based in Jamaica, New York. NOITU had been an MCS client, and Huckaby had worked on NOITU matters while he was employed by MCS.

NOITU is an umbrella organization of industrial trade unions, which provides administrative services for its members. Petitioner's duties included supporting the software programs that MCS had developed for NOITU; assisting the computer department's manager in selecting new information technology; and, in general, meeting NOITU's programming needs.

NOITU and petitioner agreed that he would work primarily from his home in Tennessee, and would travel to the New York office only as needed to "gather guidelines for revision of existing or creation of new computer programs, and to instruct NOITU's New York personnel in their use.'' NOITU set up a long-distance data line to connect its Jamaica office to petitioner's Tennessee home office, where he also maintained a dedicated voice telephone line for business purposes and two computer terminals, which were eventually replaced with a personal computer and a printer. NOITU reimbursed petitioner monthly for office expenses, including telephone bills and supplies.

Petitioner concedes that he performed the bulk of his work for NOITU in Tennessee rather than in New York solely for personal reasons; NOITU did not require him to perform any work in Tennessee and would not have objected if he had worked out of its New York office. In 1994, petitioner split his time between NOITU's New York office, where he worked 59 days, and his Tennessee home office, where he worked 187 days. In 1995, he worked in NOITU's New York office for 62 days and in his Tennessee home office for 180 days. Thus, over this two-year period, petitioner spent roughly 25% of his workdays in New York and 75% of his workdays in Tennessee. He did not work in 1994 or 1995 for any person or any entity other than NOITU as either an employee or an independent contractor.

Petitioner timely filed 1994 and 1995 nonresident income tax returns with New York. He allocated his income between New York and Tennessee based on the number of days he worked in each state relative to the total number of days he worked in each tax year.

Upon subsequently auditing petitioner's 1994 and 1995 returns, the New York State Department of Taxation and Finance allocated 100% of his income to New York State and New York City and issued notices of deficiency. The Department explained that ''[a]ny allowance claimed for days worked outside New York State must be based upon the performance of services which, because of the necessity of the employer, obligate the employee to out-of-state duties in the service of his employer. Such duties are those which, by their very nature, cannot be performed at the employer's place of business.''

Petitioner paid the deficiencies under protest. After a conciliation conferee sustained the assessments, he took an administrative appeal seeking a refund. An administrative law judge sustained the notices of deficiency, and the Tax Appeals Tribunal affirmed. Petitioner then commenced this CPLR article 78 proceeding in the Appellate Division pursuant to Tax Law

§ 2016. The Appellate Division confirmed the administrative determination and dismissed the petition (6 AD3d 988 [3d Dept 2004]).

II.

Tax Law § 601 (e) (1) imposes a tax on ''income which is derived from *sources in this state* of every nonresident'' (emphasis added). Section 631 (a) (1) of the Tax Law defines the ''New York source income of a nonresident individual'' as including ''[t]he net amount of items of income, gain, loss and deduction entering into his federal adjusted gross income, as defined in the laws of the United States for the taxable year, *derived from or connected with New York sources*'' (emphasis added). Tax Law § 631 (b) (1) (B), in turn, provides that ''[i]tems of income, gain, loss and deduction derived from or connected with New York sources shall be those items attributable to: . . . (B) a business, trade, profession or occupation *carried on in this state*'' (emphasis added).

The ''carried on'' language first appeared in the Tax Law in 1919, the year New York adopted an income tax (*see* L 1919, ch 627). The 1919 law imposed a tax on ''the entire net income . . . from all property owned and from every business, trade, profession or occupation carried on in this state by natural persons not residents of the state'' (former Tax Law § 351). The 1919 law also provided that ''[i]n the case of taxpayers other than residents, gross income includes only the gross income from sources within the state'' (former Tax Law § 359 [3]). Other sections provided for deductions (former Tax Law § 360), exemptions (former Tax Law § 362) and credits (former Tax Law § 363) for nonresidents. The United States Supreme Court in *Travis v Yale & Towne Mfg. Co.* (252 US 60 [1920]) vindicated New York's nonresident income tax from charges that it violated the Commerce, Due Process and Equal Protection Clauses.[1]

Petitioner contends that sections 601 and 631 of the Tax Law preclude New York from taxing income attributable to work that he carried out for his New York employer in his Tennessee home office. Nothing in the Tax Law's legislative history, however, indicates whether the Legislature intended business ''carried on in this state'' and ''sources in this state'' to refer to the location of the employee or of the employer. Petitioner's as-

1. The Court, however, held that an exemption that discriminated against nonresidents violated the Privileges and Immunities Clause (252 US at 80).

sumption that these phrases signify the employee's place of performance traces to a 1919 opinion of the Attorney General construing the phrase "sources [of income] within the State" (1919 Report Atty Gen 301). Attorney General Charles D. Newton opined that "[i]t seems to me that the work done, rather than the person paying for it, should be regarded as the 'source' of the income" (*id.*). He went on to conclude that "[w]here services are rendered partially within and partially without the State, the income therefrom should be divided *pro rata* into income from sources within and without the State" (*id.*).

In 1960, the Tax Law was recodified and reconfigured so as to allow taxpayers to use federal figures for their state returns (Message of Governor, 1960 McKinney's Session Laws of NY, at 2026). Section 601 and what later became section 631 were added and mirror, to a large extent, the language found in the predecessor statutes. Importantly, however, new language was folded into the latter as subdivision (c). This subdivision, referring to New York source income of nonresidents, states that

> "[i]f a business, trade, profession or occupation is carried on partly within and partly without this state, as determined under regulations of the tax commission, the items of income, gain, loss and deduction derived from or connected with New York sources shall be determined by apportionment and allocation under such regulations." (Tax Law § 631 [c].)

The Legislature thus recognized the complexities of administering an income tax for a nonresident who works both within and without the state, and left it up to the State Tax Commission, whose functions and duties in this regard were subsequently transferred to the Commissioner of Taxation and Finance (*see* L 1986, ch 282), to develop a rule for apportionment and allocation.

This rule, the convenience of the employer test, provides that

> "[i]f a nonresident employee . . . performs services for his employer both within and without New York State, his income derived from New York State sources includes that proportion of his total compensation for services rendered as an employee which the total number of working days employed within New York State bears to the total number of working days employed both within and without New

> York State. . . . However, any allowance claimed for days worked outside New York State must be based upon the performance of services which of necessity, as distinguished from convenience, obligate the employee to out-of-state duties in the service of his employer'' (20 NYCRR 132.18 [a]).

When the convenience test first came into use is obscure; however, it was embodied in regulation by 1960, the tax year at issue in *Matter of Speno v Gallman* (35 NY2d 256 [1974]).[2]

In *Speno*, we addressed the language ''sources within the state'' (former Tax Law § 632) in relation to the taxation of the income of the nonresident president of a company with offices in New York and abroad. We endorsed a ''refinement'' of the Attorney General's 1919 ''place of performance'' opinion. (*Speno* at 259.) That is, we accepted the Department's interpretation of the Tax Law in the convenience test, and held that ''sources within the state'' does not simply mean ''place of performance.'' Rather, it calls for a more complicated analysis that takes into consideration why work is performed out of state. Our recent decision in *Matter of Zelinsky v Tax Appeals Trib. of State of N.Y.* (1 NY3d 85 [2003], *cert denied* 541 US 1009 [2004]), which rejected challenges to the convenience test on federal due process and Commerce Clause grounds, was premised on our conclusion in *Speno* that the convenience test is a valid interpretation of the Tax Law.

Petitioner contends that while the convenience test as applied in *Speno* and *Zelinsky* may have comported with the Tax Law, his circumstances are different because he was not seeking to avoid or evade taxes. But our decisions in *Speno* and *Zelinsky* did not rest on any notion that these taxpayers were motivated to work at home to sidestep New York income tax liability. Further, although petitioner may not be in a position to commute physically into New York State each day to work,[3] he is the one who chose to accept employment from a New York employer (with the advantages of a New York salary and fringe benefits)

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2. The convenience test was formerly found at 20 NYCRR 131.16 (*see Speno*). The policy, if not the regulation, appears to have been in place since at least 1951, the tax year considered in *Matter of Burke v Bragalini* (10 AD2d 654 [3d Dept 1960]).

3. The taxpayer in *Speno* was arguably also unable to commute physically to his employer's New York workplace daily; he lived in Summit, New Jersey and his company's New York offices were located upstate in Ithaca and Syracuse. The taxpayer in *Zelinsky* lived in Connecticut and commuted to work in Manhattan.

while maintaining his residence in Tennessee, some 900 miles and a two-hour plane trip distant from his New York employer's office.

In short, the statute facially evidences the Legislature's intent to tax nonresidents on all New York source income, and to task the Commissioner to develop a workable rule for apportioning and allocating the taxable income of nonresidents who work both within and without the state. The Commissioner has carried out his statutory responsibility by adopting the convenience of the employer test.

III.

Petitioner's due process challenge to the convenience test relies principally on Supreme Court cases involving taxes on interstate businesses (*see e.g. Wisconsin v J.C. Penney Co.*, 311 US 435, 441 [1940] [upholding from due process challenge tax on the " 'privilege of declaring and receiving dividends, out of income derived from property located and business transacted in' Wisconsin"]; *Moorman Mfg. Co. v Bair*, 437 US 267 [1978] [upholding from due process challenge Iowa's "single-factor" formula for allocating interstate business income for tax purposes]; *Hans Rees' Sons v North Carolina ex rel. Maxwell*, 283 US 123 [1931] [invalidating under Commerce Clause tax on 84% of corporation's income where only 17% was sourced in North Carolina]). In *Matter of British Land (Md.) v Tax Appeals Trib. of State of N.Y.* (85 NY2d 139 [1995]), we summarized this multistate business case law as follows:

> "[A] formula-based tax on income may be struck down if the income attributed to the State is in fact out of all appropriate proportions to the business transacted [by the taxpayer] in that State or if application of the apportionment formula has led to a grossly distorted result. The taxpayer bears the burden of showing by clear and cogent evidence that [application of the formula] results in extraterritorial values being taxed" (*id.* at 146 [citations and internal quotation marks omitted]).

While instructive, these cases are not directly relevant to this appeal. Income derived from a business's interstate activities differs from income a nonresident earns from a New York employer—nonresidents do not implicate themselves or their employers in interstate commerce merely by working from home (*see Zelinsky*, 1 NY3d at 92-93), while interstate businesses are, by definition, engaged in interstate commerce. In order for these interstate business precedents to bear on petitioner's due process challenge to the convenience rule, we must tease out their Commerce Clause implications.[4]

The dormant Commerce Clause "prohibits state taxation, or regulation, that discriminates against or unduly burdens interstate commerce and thereby imped[es] free private trade in the national marketplace" (*General Motors Corp. v Tracy*, 519 US 278, 287 [1997] [citations and internal quotation marks omitted]). A four-pronged test has developed over the course of the Supreme Court's Commerce Clause jurisprudence. A state tax on interstate commerce violates the dormant Commerce Clause unless it "is applied to an activity with a substantial nexus with the taxing State, is fairly apportioned, does not discriminate against interstate commerce, and is fairly related to the services provided by the State" (*Complete Auto Tr., Inc. v Brady*, 430 US 274, 279 [1977] [upholding under Commerce Clause "a state tax for the privilege of carrying on within a state, certain activities related to a corporation's operation of an interstate business" (*id.* at 274 [internal quotation marks omitted])]).

The Commerce Clause's requirement of fair apportionment has been said to be a "principle of fair share . . . which is threatened whenever one State's act of overreaching combines with the possibility that another State will claim its fair share of the value taxed" (*Oklahoma Tax Commn. v Jefferson Lines, Inc.*, 514 US 175, 184 [1995] [holding superseded by statute]). "[T]he central purpose behind the apportionment requirement is to ensure that each State taxes only its fair share of an interstate transaction" (*Goldberg v Sweet*, 488 US 252, 260-261 [1989]).[5]

Shaffer v Carter (252 US 37 [1920]) is the Supreme Court's last decisive statement on a state's ability to tax the income of a

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4. We note that petitioner does not claim that application of the convenience rule in his case violates the Commerce Clause.

5. The "threat" of misapportionment is measured by two factors—internal and external consistency. "Internal consistency is preserved when the imposition of a tax identical to the one in question by every other State would add no burden to interstate commerce that intrastate commerce would not also bear" (*Oklahoma Tax Commn.*, 514 US at 185). External consistency looks to "the economic justification for the State's claim upon the value taxed, to discover whether a State's tax reaches beyond that portion of value that is fairly attributable to economic activity within the taxing State" (*id.*). The external consistency test asks "whether the State has taxed only that portion of the revenues from the interstate activity which reasonably reflects the in-state component of the activity being taxed" (*Goldberg*, 488 US at 262).

nonresident as opposed to a business engaged in interstate commerce. There, the Court held that ''just as a state may impose general income taxes upon its own citizens and residents whose persons are subject to its control, it may, as a necessary consequence, levy a duty of like character, and not more onerous in its effect, upon incomes accruing to nonresidents from their property or business within the state, or their occupations carried on therein'' (*id.* at 52).

Petitioner contends that the convenience rule violates due process because he is taxed out of all proportion to the benefits that he receives from New York. Accordingly, he asks us to engraft a proportionality requirement upon existing due process precedent. The Supreme Court, however, has established distinct Commerce Clause and due process restraints in its state taxation rules. Specifically, the Court has stated that the dormant Commerce Clause is ''a means for limiting state burdens on interstate commerce'' (*Quill Corp. v North Dakota*, 504 US 298, 313 [1992]). It is in this context that the apportionment standard was developed. If a state overreaches by taxing an activity that another state is also justified in taxing, the burden placed on interstate commerce is too great to withstand constitutional scrutiny.

Due process, on the other hand, is ''a proxy for notice'' (*id.*) and looks to the connection that must be present between the taxpayer and the taxing state before the state has authority to impose its power to tax (*see Northwestern States Portland Cement Co. v Minnesota*, 358 US 450 [1959]; *Quill*, 504 US 298 [1992], *supra*). All that is required to satisfy due process is some ''minimal connection'' between the taxpayer and the state, and that the income the state seeks to tax be ''rationally related to values connected with'' the state (*see Moorman Mfg. Co.,* 437 US at 273 [internal quotation marks omitted]).

As the Commissioner argues, the convenience test is, in effect, a surrogate for interstate commerce. Where work is performed out of state of necessity for the employer, the employer creates a nexus with the foreign state and essentially establishes itself as a business entity in the foreign state. This nexus is often enough to expose the employer to corporate and sales and use taxes in the foreign state (*see e.g. Amerada Hess Corp. v Director, Div. of Taxation, N.J. Dept. of Treasury*, 490 US 66, 73 [1989] [finding substantial nexus between state and income from oil company's oil production which occurred entirely without the state because oil company had some operations in state and was a ''unitary business'']). The convenience test stands for the proposition that New York will not tax a nonresident's income derived from a New York employer's participation in interstate commerce because in such a case, the nonresident's income would not be derived from a New York source.

In *Zelinsky*, we found the minimal connection called for by due process on account of the taxpayer's ''physical presence in New York and because he . . . purposefully avail[ed him]self of the benefits of an economic market in'' New York (*Zelinsky*, 1 NY3d at 97 [internal quotation marks omitted]). Here, petitioner objects that, read and applied literally, the convenience of the employer test would allow New York to tax 100% of the income of a nonresident who worked out of his employer's place of business in New York just one day a year. He argues that due process demands proportionality in order to prevent this presumed overreaching. Whether due process would countenance this particular result—taxation of 100% of the income of a nonresident who spends a trivial amount of time working in New York—is simply not before us. We conclude that the minimal connection required by due process plainly exists in this case where petitioner accepted employment from a New York employer and worked in his employer's New York office approximately 25% of the time annually. Moreover, the amount of time that petitioner spent working in New York—25%—is significant enough to satisfy any rough proportionality requirement called for by due process.

As to whether New York's taxation of 100% of the nonresident's income was ''rationally related'' to values connected with the state, in *Zelinsky* we noted the ''host of tangible and intangible protections, benefits and values'' New York provided to the taxpayer and his employer, and that these benefits were provided every day, regardless of whether the taxpayer chose to absent himself from New York (*id.* at 95). ''New York may require contributions from [the taxpayer] because he thus realiz[ed] current pecuniary benefits under the protection of the government, and *the tax imposed need not bear an exact relation* to the services actually provided to the individual taxpayer'' (*id.* [emphasis added, citations and internal quotation marks omitted], quoting *Matter of Tamagni v Tax Appeals Trib. of State of N.Y.*, 91 NY2d 530, 544 [1998]). Certainly, the same may be said of petitioner.

Under the convenience of the employer test, New York taxes a nonresident employee's income from a New York employer except to the extent the income is connected with the employer's participation in interstate commerce. By taxing only income sourced to New York, the convenience test is rationally related to values connected with New York because New York has the right to tax 100% of a nonresident employee's income derived from New York sources. Where a nonresident employee must perform work out of state for the employer's necessity, a nexus is created between the employer and the foreign state. New York does not tax the nonresident employee's income derived from these activities, which are properly sourced to the foreign state. Thus, the convenience test constitutes an across-the-board standard designed to comply with both due process and the Commerce Clause.[6]

IV.

Nordlinger v Hahn (505 US 1 [1992]) established the equal protection standard for tax cases:

> ''the Equal Protection Clause is satisfied so long as there is a plausible policy reason for the classification, the legislative facts on which the classification is apparently based rationally may have been considered to be true by the governmental decisionmaker, and the relationship of the classification to its goal is not so attenuated as to render the distinction arbitrary or irrational'' (*id.* at 11 [citations omitted]).

Further, ''[a]bsolute equality is impracticable in taxation, and is not required by the equal protection clause . . . . [I]nequalities that result not from hostile discrimination, but occasionally and incidentally in the application of a system that is not arbitrary in its classification, are not sufficient to defeat the law'' (*Maxwell v Bugbee*, 250 US 525, 543 [1919]).

Petitioner argues that the convenience test impermissibly discriminates between those employees who work out of state for personal convenience and those who work out of state as a

6. The dissent fails to acknowledge the two factors that drive our analysis and our conclusion that due process is not offended when New York taxes all of petitioner's income from his New York employer. First, nonresident individuals are simply not the same as interstate businesses, and these differences must be taken into account when considering whether a tax meets with due process. Second, the purposes and scope of the Due Process and Commerce Clauses are not coextensive and, as the Supreme Court has held, a tax can burden interstate commerce without violating due process (*see Quill*).

necessity. New York distinguishes between these two classes of nonresidents because by doing so, it properly taxes nonresidents only on income sourced to New York, and, concomitantly, avoids taxing income derived from interstate commerce. This classification, which is designed to comply with both the Commerce Clause and the Due Process Clause, is therefore rational in every respect.

Petitioner criticizes the convenience test as unfair and unsound as a matter of tax policy and a discouragement to telecommuting. Maybe so. We do not view it as our role, however, to upset the Legislature's and the Commissioner's considered judgments so long as the convenience test has been constitutionally applied in this case. For all the reasons given, we conclude that the convenience test as applied to petitioner complies with the requirements of due process and equal protection.

Finally, we agree with the Appellate Division that petitioner is not a prevailing party entitled to recover litigation and administrative costs pursuant to Tax Law § 3030. Accordingly, the judgment of the Appellate Division should be affirmed, with costs.

R.S. SMITH, J. (dissenting). The issue here is to what extent the salary paid by a New York employer to a resident of another state who works most of his time outside, and beyond commuting distance from, New York is subject to New York State income tax. The majority holds that 100% of the employee's income is taxable in New York, so long as (1) any significant part of the employee's work is performed in New York and (2) the employer does not require the employee to work outside New York. I dissent, because I believe that the application of this rule to this case is contrary to the Tax Law, and that the Tax Law as interpreted by the majority violates the Due Process Clause of the United States Constitution.

I

Tax Law § 601 (e) (1) imposes a tax on ''the taxable income which is derived from sources in this state'' of nonresident individuals. Tax Law § 631 uses the words ''New York source income,'' ''income . . . from New York sources'' and ''income . . . derived from . . . New York sources'' to identify the same concept. These interchangeable terms are defined by Tax Law § 631 (b) (1), which lists four categories of ''New York source income''; only one of the four is relevant to this case. Tax Law

§ 631 (b) (1) (B) includes as ''New York source income'' that income which is ''attributable to . . . a business, trade, profession or occupation carried on in this state.'' The statutory issue in this case is how much of Thomas Huckaby's income is in that category.

Huckaby argues that, since only 25% of his ''business, trade, profession or occupation'' is ''carried on in this state,'' only 25% of his income is subject to tax under the Tax Law. The Commissioner seeks to tax 100% of it, relying on the ''convenience'' regulation (20 NYCRR 132.18 [a]), which provides that income will be allocated to New York in proportion to the days worked there, but that ''any allowance claimed for days worked outside New York State must be based upon the performance of services which of necessity, as distinguished from convenience, obligate the employee to out-of-state duties in the service of his employer.'' I think the convenience rule as applied to Huckaby is inconsistent with the Tax Law, because the rule does not here, as it does in other cases, serve the legitimate purpose of avoiding manipulation or fraud; and because there is no other good reason for attributing the part of Huckaby's income that is earned in Tennessee to ''a business, trade, profession or occupation carried on in this state.'' Thus, I would hold that Huckaby is correct in asserting that only 25% of his income is taxable in New York.

We have previously upheld the application of the Commissioner's convenience rule to permit New York to tax income paid for work done outside New York (*Matter of Speno v Gallman*, 35 NY2d 256 [1974]; *Matter of Zelinsky v Tax Appeals Trib. of State of N.Y.*, 1 NY3d 85 [2003]). *Speno* and *Zelinsky* rest, however, on the proposition that an employee's discretionary decision to do work at home rather than in the office should not have significant tax consequences; if the rule were otherwise, the door would be open to abuse. This rationale does not support the application of the Commissioner's rule to Huckaby.

The taxpayer in *Speno*, Frank Speno, Jr., was employed as president of the Frank Speno Railroad Ballast Cleaning Co., Inc., which had its principal office in Ithaca, New York. He lived in Summit, New Jersey. In his 1960 and 1961 tax returns, he claimed to have worked 106 days at his home in 1960, and 174 days in 1961. We observed that ''the work performed at home in New Jersey consisted essentially of making phone calls. No business calls were received on the unlisted [New] Jersey number, and Mr. Speno entertained no business contacts in

New Jersey'' (35 NY2d at 258). In upholding the application of the ''convenience'' test to reject Speno's allocation of income to his days worked in New Jersey, we explained:

> ''The policy justification for the 'convenience of the employer' test lies in the fact that since a New York State resident would not be entitled to special tax benefits for work done at home, neither should a nonresident who performs services or maintains an office in New York State.'' (*Id.* at 259.)

In *Zelinsky*, the taxpayer was a professor at Cardozo Law School who did all his teaching in New York City, and commuted there from his Connecticut home three days a week. On the other two days, ''he stayed at home, where he prepared examinations, wrote student recommendations, and conducted scholarly research and writing'' (1 NY3d at 89). He also ''worked exclusively at home'' when school was not in session, and when he was on sabbatical leave (*id.*). In rejecting his attempt to allocate much of his law school salary to work done outside New York, we noted that a contrary ruling would allow the taxpayer to manipulate the system. We said:

> ''The convenience test was originally adopted to prevent abuses arising from commuters who spent an hour working at home every Saturday and Sunday and then claimed that two sevenths of their work days were non-New York days and that two sevenths of their income was thus non-New York income, and either free of tax (if the state of their residence had no income tax) or subject to a lower rate than New York's. In the present case, the taxpayer's efforts to reduce the amount of tax owed to New York on his New York source income earned during the work week raise similar concerns.'' (*Id.* at 92.)

Although there was no suggestion in either *Speno* or *Zelinsky* that the taxpayer was not telling the truth, of course not all taxpayers are so scrupulous. We noted in *Zelinsky* that ''in the absence of the convenience test, opportunities for fraud are great and administrative difficulties in verifying whether an employee has actually performed a full day's work while at home are readily apparent'' (*id.* n 4). We also remarked that ''the test 'serves to protect the integrity of the apportionment scheme by including income as taxable' when the income results from services derived from New York sources performed out-of-state 'to effect a subterfuge' (*Matter of Colleary v Tully*, 69 AD2d 922, 923 [3d Dept 1979])'' (*Zelinsky*, 1 NY3d at 92 n 5).

In short, in *Speno* and *Zelinsky*, we justified the application of the ''convenience'' test on the ground that not to apply the rule would facilitate tax avoidance or evasion. That is not true here. Huckaby does not work in Tennessee to avoid New York taxes; he works there because that is where he lives. There is no undue difficulty in verifying his claim that three quarters of his working days are spent in Tennessee. While it might be said that he chooses to work in Tennessee for his own ''convenience'' in the sense that he could, if he wished, uproot his family and move to or near New York, a choice based on that sort of ''convenience'' is not subject to the sort of manipulation about which we expressed concern in *Speno* and *Zelinsky*.

Thus, the Commissioner cannot prevail here unless he offers some justification other than the prevention of abuse for treating 100% of Huckaby's income as ''New York source income.'' He has not succeeded in finding such a justification.

The Commissioner argues that Huckaby's income comes from ''a business, trade, profession or occupation carried on in this state'' and is therefore ''New York source income'' on the ground that the business of Huckaby's *employer* is ''carried on'' in New York. The majority artfully avoids either embracing or rejecting this argument; it raises, but does not answer, the question of whether ''the Legislature intended business 'carried on in this state' . . . to refer to the location of the employee or of the employer'' (majority op at 432). I think the Commissioner's argument is completely untenable.

The natural and obvious reading of the words in Tax Law § 631 (b) (1) (B), ''a business, trade, profession or occupation carried on in this state,'' is ''a business, trade, profession or occupation'' that is ''carried on'' *by the taxpayer*. As the majority notes (majority op at 432-433), these words were so read in an Attorney General's opinion contemporaneous with the enactment of the statute in 1919 (1919 Report Atty Gen 301 [''(T)he work done, rather than the person paying for it, should be regarded as the 'source' of the income'']). We endorsed this reading in *Matter of Oxnard v Murphy* (15 NY2d 593 [1964], *affg on op below* 19 AD2d 138, 140 [3d Dept 1963]; s*ee also Matter of Linsley v Gallman*, 38 AD2d 367, 370 [3d Dept 1972], *affd* 33 NY2d 863 [1973]; *Matter of Hayes v State Tax Commn.,* 61 AD2d 62, 63 [3d Dept 1978]).

Yet the Commissioner, without citing authority, and ignoring our decision in *Oxnard*, asserts that ''in determining whether a nonresident *employee* who works both inside and outside New York is earning income from New York sources, the business 'carried on' in New York refers to the business of the employer'' (emphasis added). The Commissioner does not dispute that, as to nonemployees—i.e., independent contractors—the location of the taxpayer's work is dispositive. The Commissioner's theory not only contradicts the apparent meaning of the statute and our prior interpretation of it; it is riddled with logical flaws.

First, what language in the statute even hints at a distinction between employee taxpayers and others of the kind the Commissioner advocates? Secondly, what indication is there in the background or legislative history of the statute that the Legislature had any such intention? Thirdly, if the relevant location is that of the employer and not the employee, why does the Commissioner's own regulation make the place of performance of the employee's duties the governing factor, as a general rule to which the ''convenience'' test is an exception? And finally, if he really believes his reading of the statute is sound, why does the Commissioner not carry it to its logical conclusion, by trying to tax the salaries of all out-of-state employees of New York-based firms?

The Commissioner attempts to answer only the last of these questions, and his answer to that one is completely unpersuasive. He suggests that taxing employees who work out of state for reasons other than convenience might violate the Commerce Clause, but he does not support this suggestion with either reasoning or authority. (The majority, in dealing with the constitutional issue in this case, adopts a version of the Commissioner's ''Commerce Clause'' theory, which I discuss below.)

In short, the view that ''carried on in this state'' means ''carried on by the taxpayer's employer'' is without merit. Thus, the only two possible rationales for treating all of Huckaby's income as ''New York source income'' within the meaning of the statute—the ''avoidance of abuse'' rationale and the ''location of the employer'' rationale—clearly fail. The majority upholds the Commissioner's position here without approving either of these two rationales for it, and without suggesting a third one. The majority makes no attempt to offer any justification, in the words of the statute or in the policy underlying it, for holding that 100% of Huckaby's income is taxable in New York.

The majority's sole ground for holding that Huckaby's income is ''New York source income'' is that the Commissioner says it is. The majority says that the Legislature ''recognized the complexities'' of taxing those who work both within and outside the state (majority op at 433), and ''task[ed] the Commissioner to develop a workable rule'' (majority op at 435). No doubt. But the Commissioner's rule is still supposed to make sense (*New York State Assn. of Counties v Axelrod*, 78 NY2d 158, 166 [1991] [a state regulation should be upheld only if it has a rational basis and is not unreasonable, arbitrary, capricious or contrary to the statute under which it was promulgated]; *Matter of Jones v Berman*, 37 NY2d 42, 53 [1975] [''(a)dministrative agencies can only promulgate rules to further the implementation of the law as it exists; they have no authority to create a rule out of harmony with the statute'']). As applied to Huckaby, the Commissioner's convenience rule does not make sense.

I would hold that only 25% of Huckaby's income is ''New York source income'' within the meaning of the Tax Law.

II

Since the majority holds that the Tax Law permits New York to tax the 75% of Huckaby's income that he earned by work done in Tennessee, the Court must decide whether the Tax Law, as so interpreted, is valid under the Due Process Clause. I would hold that it is not, and I therefore dissent on constitutional as well as on statutory grounds.

The basic due process limitation on a state's taxing power is that jurisdiction to tax is limited by the state's borders. To take a simple example, it would be an obvious violation of the Due Process Clause if New York sought to levy a real property tax on the Tennessee home in which Huckaby lives. Or, to move a step closer to this case, if Huckaby owned four parcels of real property—one in New York and three in Tennessee—due process would permit New York to collect real property tax only on the New York property, not on the other three. Huckaby's argument is, essentially, that an income tax on his salary is subject to a similar limitation, and that New York is free to tax only the one quarter of his salary that he earns in New York. I believe this argument is correct.

As we noted in *Zelinsky*, under the Due Process Clause ''[a] state . . . may not tax value earned outside its borders'' (1 NY3d at 96, citing *Allied-Signal, Inc. v Director, Div. of Taxation*, 504 US 768, 777 [1992]). This general principle has been implemented by a two-part test, which we summarized in *Zelinsky* as follows:

> "The Due Process Clause places two restrictions on a state's power to tax income generated by interstate activities. First, it 'requires some definite link, some minimum connection, between a state and the person, property or transaction it seeks to tax' (*Quill Corp. v North Dakota*, 504 US 298, 306 [1992] [citation omitted]). Second, the 'income attributed to the State for tax purposes must be rationally related to values connected with the taxing State' (*Moorman* [*Mfg. Co. v Bair*], 437 US [267,] at 273 [1978] [citation and internal quotation marks omitted])." (1 NY3d at 96.)

The first part of the two-part test is met here. Huckaby works one quarter of his time in New York, and therefore has a "minimum connection" to the state. Huckaby does not challenge New York's power to tax him. Rather, relying on the second part of the test, he challenges the State's power to tax more than the one quarter of his income earned in New York. He argues that a tax on 100% of his income is not "rationally related to" the 25% of his time spent working in the state.

United States Supreme Court precedent, and our own, establish that a tax is not "rationally related to values connected with the taxing State" unless it bears some reasonable proportion to those values. Thus in *Hans Rees' Sons v North Carolina ex rel. Maxwell* (283 US 123 [1931]), the Supreme Court held that North Carolina's income tax was invalid under the Due Process Clause as applied to a particular taxpayer because the state taxed as much as 85% of the taxpayer's income, of which only some 17% was attributable to that state. The Supreme Court said:

> "It is sufficient to say that, in any aspect of the evidence, and upon the assumption made by the state court with respect to the facts shown, the statutory method, as applied to the appellant's business for the years in question operated unreasonably and arbitrarily, in attributing to North Carolina a percentage of income *out of all appropriate proportion* to the business transacted by the appellant in that state. In this view, the taxes as laid were beyond the state's authority. *Shaffer* v. *Carter*, 252 U.S. 37, 52, 53, 57." (283 US at 135 [emphasis added].)

The existence of a proportionality requirement under the Due Process Clause was reaffirmed in *Moorman Mfg. Co. v Bair* (437 US 267 [1978]). The Court upheld the tax in that case, noting that "the States have wide latitude in the selection of apportionment formulas," but, quoting from *Hans Rees' Sons*, said that a tax is invalid under the Due Process Clause where "the income attributed to the State is in fact 'out of all appropriate *proportion* to the business transacted . . . in that State' . . . ." (437 US at 274 [emphasis added]; *see also Zelinsky*, 1 NY3d at 97 [incorporating by reference into Due Process Clause analysis aspects of our analysis under the Commerce Clause].) Thus I see no basis for the majority's suggestion that the Due Process Clause does not require proportionality (*see* majority op at 437 [Huckaby "asks us to engraft a proportionality requirement upon existing due process precedent"], at 438 ["any rough proportionality requirement called for by due process"]).

It also seems to me beyond question that the tax in this case—applied to 100% of Huckaby's income—is out of all proportion to the time he spent working in New York—25%. Again, I see no basis for the majority's view that, while it might be disproportionate to tax 100% of Huckaby's income if he spent only a "trivial" percentage of his time in New York, "the amount of time that petitioner spent working in New York—25%—is significant enough to satisfy any rough proportionality requirement . . . ." (Majority op at 438.) I do not think it can plausibly be argued that, while 1% would not be close enough to 100% to be "proportional," 25% is close enough. Even if this proposition were not indefensible on its face, it is surely inconsistent with the Supreme Court's holding in *Hans Rees' Sons* that 17% was not close enough to 85%.

As I read the majority opinion, it does not rely primarily on the unsupportable argument that the Due Process Clause's requirement of proportionality is either nonexistent or so weak that 25% can be called roughly equivalent to 100%. The main basis for the majority's holding that a tax on 100% of Huckaby's income is "rationally related to values connected with" New York is the majority's theory that the entity that pays Huckaby's salary, his employer, is a "value" on which jurisdiction to tax may be based, and this "value" is located 100% in New York. This theory, unsupported by any precedent, is a radical departure from long-accepted limits on the powers of states to tax nonresidents.

Since state income taxes on nonresidents were first upheld in *Shaffer v Carter* (252 US 37 [1920]), such taxes have been levied on income derived either from work done within the state, or from property located in, or sent into, the state. I am aware of no case in which it has been held, or even argued, that an in-state source of payment for services done outside the state is a constitutionally valid basis for taxing the recipient of the payment. Nor am I aware of any state statute—other than New York's Tax Law as interpreted by the majority in today's decision—that attempts to levy nonresident income tax on this basis. This obviously does not reflect any reticence by states in seeking to collect taxes; they are not reticent. A statement issued by the Multi-State Tax Commission contains the unsurprising assertion: ''It is the policy of the state signatories hereto to impose their net income tax, subject to State and Federal legislative limitations, to the fullest extent constitutionally permissible'' (Statement of Information Concerning Practices of Multistate Tax Commission and Signatory States under Public Law 86-272 [July 29, 1994], 1 Hellerstein and Hellerstein, State Taxation, at App D-1 [3d ed]).

Until today's decision, it has been universally assumed that an in-state entity that pays a taxpayer's salary is not, in itself, in-state ''value'' for due process purposes. The majority's departure from this assumption has potentially troubling consequences. If the location of a taxpayer's employer is taxable ''value,'' there is no reason in principle why New York may not tax all out-of-state employees of New York firms—for example, a New York company's California sales manager, or a secretary who works in a New York law firm's Boston office. And other states can return the compliment, applying their own income taxes to New York residents who work for firms headquartered in California or Massachusetts. The result could be ''an inequitable and perhaps ruinously overlapping scramble'' for tax dollars (*see American Ins. Assn. v Lewis*, 50 NY2d 617, 624 [1980]).

The majority, perhaps aware of this danger, seemingly feels a need to limit the implications of its holding that an employee is subject to income tax in the state where his employer is located. Thus the majority, if I am correctly interpreting its opinion, comes up with a novel Commerce Clause theory as a companion to its novel due process theory. The Commerce Clause, the majority seems to be saying, will prevent states from taxing in-state companies' out-of-state employees—except those employees who, like Huckaby, work outside the state for their own ''convenience.'' In other words, the majority advances a rule of constitutional law that is identical to the Commissioner's convenience regulation. As the majority puts it, ''the convenience test is, in effect, a surrogate for interstate commerce'' (majority op at 437).

The majority cites no authority at all, and offers no persuasive reason, in support of this new interpretation of the Commerce Clause. It may be true that, ''[w]here work is performed out of state of necessity for the employer, the employer creates a nexus with the foreign state,'' which may be ''enough to expose the employer to corporate and sales and use taxes in the foreign state'' (majority op at 437). But why should this have any impact on the power of the employer's home state to levy income tax on nonresident employees? What is the source of, or the reason for, a rule that says, in effect: ''If Tennessee can tax a New York company, New York loses the right to tax that company's Tennessee employees''? It is simply not true that, as the majority suggests, ''in such a case, the nonresident's income would not be derived from a New York source'' (majority op at 438). On the contrary, the majority's assumption that the New York company is involved in interstate commerce would if anything support the argument that the company's Tennessee employees are getting income from a New York source. The word ''interstate'' seems to imply a source in one state and a recipient in another.

It is evident, I suggest, that the majority's constitutionalizing of the Commissioner's convenience rule is based on a different kind of ''convenience'': it conveniently allows New York State to tax telecommuters like Huckaby. I see no other basis for rules of constitutional law to the effect that (1) due process permits a state to tax income earned out of state by nonresident employees of local employers, but (2) the Commerce Clause forbids such taxation except where the employee works out of state for his own convenience. I believe the majority errs in adopting these rules.

III

Accordingly, I would reverse the order of the Appellate Division and hold that the Commissioner may not tax that portion of Huckaby's salary earned outside the State of New York.

Chief Judge KAYE and Judges ROSENBLATT and GRAFFEO concur with Judge READ; Judge R.S. SMITH dissents and votes to reverse in a separate opinion in which Judges G.B. SMITH and CIPARICK concur.

Judgment affirmed, with costs.

[828 NE2d 959, 796 NYS2d 2]

GENERAL MOTORS ACCEPTANCE CORPORATION et al., Respondents, v NATIONWIDE INSURANCE COMPANY, Appellant.

Argued February 10, 2005; decided March 31, 2005

SUMMARY

APPEAL, by permission of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the First Judicial Department, entered March 18, 2004. The Appellate Division affirmed a judgment of the Supreme Court, New York County (Herman Cahn, J.), which had awarded plaintiffs $289,052.18, in an action to recover the reasonable attorneys' fees and expenses incurred in defending personal injury actions arising out of an accident.

General Motors Acceptance Corp. v Nationwide Ins. Co., 5 AD3d 252, reversed.

HEADNOTE

Insurance — Duty to Defend and Indemnify — Allocation of Defense Costs

Where two coincidental primary policies existed—one excess to the other by reason of competing ''other insurance'' provisions—and where the excess carrier had voluntarily assumed and marshaled the insured's defense, an allocation of defense costs between the primary and excess insurer based on primary policy limits was warranted. Inasmuch as the primary policy limits were identical, a 50-50 split was warranted. Both primary insurance policies contained specific language reaffirming their duties, as primary insurers, to defend the insured. While one primary policy coverage was deemed ''excess'' by virtue of other collectible insurance, the limiting language was directed to its obligation to contribute to a settlement or judgment, not to its duty to defend. Requiring both insurers, as coincidental primary insurers having the same policy limits, to contribute equally to defense costs was consistent with the requirement that insurance contracts be interpreted according to the reasonable expectation and purpose of the ordinary businessman when making an ordinary business contract.

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By the Publisher's Editorial Staff

AM JUR 2d, Insurance §§ 1755, 1761–1764.

COUCH ON INSURANCE (3d ed) §§ 219:5, 219:8, 219:18, 219:33, 219:44, 219:45, 219:47.

NY JUR 2d, Insurance §§ 2156, 2160–2162, 2169, 2170.

ANNOTATION REFERENCE

Resolution of conflicts, in non–automobile liability insurance policies, between excess or pro rata ‘‘other insurance’’ clauses. 12 ALR4th 993.

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POINTS OF COUNSEL

Nixon Peabody LLP, New York City (*David H. Tennant* and *Aidan M. McCormack* of counsel), for appellant. I. Fireman’s Fund Insurance Company was obligated to pay the defense costs for its insured (General Motors Acceptance Corporation) after Nationwide Insurance Company tendered its policy limits. (*Fama v Metropolitan Prop. & Cas. Ins. Co.,* 169 Misc 2d 872; *Argonaut Ins. Co., Inc. v U.S. Fire Ins. Co.,* 728 F Supp 298.) II. Even if Fireman’s Fund Insurance Company was not contractually obligated to pay for the defense costs despite its declared duty to do so after assuming control of the defense, Fireman’s Fund was obligated to pay its fair share of those defense costs under equitable principles recognized in New York. (*Schulman Inv. Co. v Olin Corp.,* 514 F Supp 572; *Sanabria v American Home Assur. Co.,* 113 AD2d 193, 68 NY2d 866; *Cassara v Nationwide Mut. Ins. Co.,* 144 AD2d 974; *Pallotta v Aetna Ins. Co.,* 66 Misc 2d 929; *Russo v Rochford,* 123 Misc 2d 55; *Hertz Corp. v Government Empls. Ins. Co.,* 250 AD2d 181; *Guaranty Natl. Ins. Co. v American Motorists Ins. Co.,* 758 F Supp 1394; *Belmer v Nationwide Mut. Ins. Co.,* 157 Misc 2d 845; *Lumbermens Mut. Cas. Co. v Allstate Ins. Co.,* 51 NY2d 651.) III. The lower court improperly awarded prejudgment interest to Fireman’s Fund Insurance Company.

Lawrence, Worden & Rainis, P.C., Melville (*Roger B. Lawrence* of counsel), for respondents. I. The offer to settle the *Mammano* suit for the single limit of $100,000 that was rejected by plaintiff was not tender of the limits of the Nationwide Insurance Company policy and did not serve to relieve Nationwide of its obligation to defend its insureds under the policy. (*Fama v Metropolitan Prop. & Cas. Ins. Co.,* 169 Misc 2d 872, 242 AD2d 663; *State Farm Mut. Auto. Ins. Co. v Tucker,* 188 AD2d 458.) II. Defendant-appellant Nationwide Insurance Company’s insurance policy is the only primary policy available to the underlying claim, and as such contained the sole obligation to pay all defense costs of the insured, General Motors Acceptance

Corporation. (*Hartford Acc. & Indem. Co. v Continental Natl. Am. Ins. Cos.,* 861 F2d 1184; *Texas Empls. Ins. Assn. v Underwriting Members of Lloyds,* 836 F Supp 398; *Continental Cas. Co. v Synalloy Corp.,* 667 F Supp 1523; *Insurance Co. of N. Am. v Medical Protective Co.,* 768 F2d 315; *Guaranty Natl. Ins. Co. v American Motorists Ins. Co.,* 758 F Supp 1394; *Hartford Acc. & Indem. Co. v Michigan Mut. Ins. Co.,* 93 AD2d 337, 61 NY2d 569; *Firemen's Ins. Co. of Washington, D.C. v Federal Ins. Co.,* 233 AD2d 193; *Fidelity Gen. Ins. Co. v Aetna Ins. Co.,* 27 AD2d 932; *International Paper Co. v Continental Cas. Co.,* 35 NY2d 322; *Everlast Sporting Goods Mfg. Co. v Aetna Ins. Co.,* 23 AD2d 641.) III. Forcing excess insurers to share in the costs of defense with primary insurers, while benefiting Nationwide Insurance Company in this specific case, would otherwise work against the concepts of fairness and the predictable and efficient administration of justice. (*Thomas v Washington Gas Light Co.,* 448 US 261; *Dankoff v Bowling Proprietors Assn. of Am.,* 69 Misc 2d 658; *Broome County Coop. Fire Ins. Co. v Aetna Life & Cas. Co.,* 75 Misc 2d 587.) IV. Prejudgment interest was mandated where the basis for the judgment was the contractual breach of defendant-appellant Nationwide Insurance Company as well as the quasi contractual obligation to plaintiff-respondent insurer. (*Board of Educ. of Hudson City School Dist. v Sargent, Webster, Crenshaw & Folley,* 71 NY2d 21; *Pilewski v Solymosy,* 266 AD2d 83; *Isaacs v Incentive Sys.,* 52 AD2d 550; *Utica Mut. Ins. Co. v Sweet Constr. Corp.,* 169 AD2d 382; *Employers' Liab. Assur. Corp. v Empire City Iron Works,* 19 Misc 2d 963; *Neimark v Martin,* 7 AD2d 934; *Fagnani v American Home Assur. Co.,* 101 AD2d 803; *Saratoga Spa & Bath v Beeche Sys. Corp.,* 230 AD2d 326, 90 NY2d 979; *Aetna Cas. & Sur. Co. v Home Ins. Co.,* 882 F Supp 1328, 1355; *Baratta v S.D. Cohn & Co.,* 656 F Supp 1.)

OPINION OF THE COURT

Ciparick, J.

We are called upon to determine whether an allocation of defense costs between a primary and excess insurer is warranted. We conclude that where, as here, two coincidental primary policies exist—one excess to the other by reason of competing ''other insurance'' provisions—and where the excess carrier has voluntarily assumed and marshaled the insured's defense, an allocation of defense costs based on primary policy limits is appropriate. Here the primary policy limits are identical, warranting a 50-50 split.

In 1994, John C. Sabin, not a party to this action, leased an SUV from plaintiff General Motors Acceptance Corporation (GMAC). The lease agreement required Sabin to obtain an automobile insurance policy and include GMAC as an additional insured under the policy. Sabin procured a suitable primary insurance policy through defendant Nationwide Insurance Company. This policy limited liability to $100,000 per person and $300,000 per occurrence. Nationwide's policy made explicit that it would ''defend at [its] expense, with attorneys of [its] choice, any suit against the insured.''

In order to cover its potential liability in the event the lessee failed to fulfill its obligation to obtain insurance, and to obtain excess coverage in the event of catastrophic injury, GMAC purchased two distinct policies from plaintiff Fireman's Fund Insurance Company. Fireman's issued both a primary ''Business Auto Policy,'' with liability limits comparable to Nationwide's policy, and an ''Excess Liability Policy,'' or an ''umbrella'' policy, with a substantially greater limit of $9,000,000 per occurrence. The primary Business Auto Policy stated that Fireman's had ''the right and duty to defend any suit asking for [ ] damages.'' As to other insurance, the policy stated that the primary policy's insurance coverage was ''excess over any other collectible insurance, whether primary, excess, or contingent.'' There was no similar limitation on Fireman's duty to defend. Fireman's true excess or umbrella policy, by contrast, specifically limited the duty to defend to instances where no primary policy or other insurance applied, stating that it would ''assume charge of the settlement or defense of any claim or Suit against the Insured seeking damages to which this policy applies and to which no *Primary Insurance* or *Other Insurance* applies.''

On April 5, 1995, Sabin drove his leased vehicle through an intersection, colliding with a dump truck and another passenger vehicle. Two individuals were seriously injured and a third died in the accident. The injured parties, and decedent's estate, commenced three separate lawsuits against, among others, GMAC as owner of the offending vehicle. Jeanette Mammano, as guardian of Elizabeth Mammano, whose injuries left her in a permanent vegetative state, commenced the action that exposed GMAC to the greatest potential liability. Nationwide's primary policy and both Fireman's policies were in effect on the date of the accident. Prior to commencement of this action, Nationwide—reasonably expecting any award to exceed policy limits—tendered its entire policy to Mammano's attorney in exchange for a general release. Counsel refused the tender and the case proceeded.

Nationwide originally undertook GMAC's defense of the *Mammano* action. In a letter dated October 24, 1997, however, Nationwide wrote that it was tendering the defense to Fireman's. ''As our available liability limit is only $100,000 it represents only 1% of the total indemnification potential considering [Fireman's] limits of nine million.'' Nationwide further wrote that ''[i]t only makes sense therefore that [Fireman's] designate counsel that should continue with the defense of this matter, under your direction.'' In a letter dated November 25, 1997, Fireman's voluntarily agreed that it would ''assume the defense of . . . GMAC, but it [would] do so while reserving its rights to pursue collection of all defense costs from Nationwide expended in Fireman's Fund's defense of these actions.'' Thereafter Fireman's retained counsel vigorously defended the action in an effort to reduce the enormous exposure of GMAC and Fireman's.

In January 1999, the parties settled the *Mammano* action. The settlement agreement provided for a one-time payment of $4.5 million, of which Fireman's paid $3.3 million and provided an annuity of $10,000 a month for life with guaranteed payments for 10 years. The settlement nearly exhausted the $9.1 million limit provided under both Fireman's policies. Nationwide contributed its entire $100,000 policy to the settlement. Prior to settling, Fireman's amassed over $200,000 in legal fees defending the action.

Following settlement, Fireman's sought to recover all its legal expenses from Nationwide. When Nationwide refused to contribute, Fireman's and GMAC commenced the underlying action to recover the defense costs. Supreme Court granted plaintiffs Fireman's and GMAC summary judgment and awarded them full reimbursement of defense costs, and the Appellate Division affirmed.* We granted defendant Nationwide leave to appeal and now reverse.

A primary insurer ''has the primary duty to defend on behalf of [its] insureds'' (*General Acc. Fire & Life Assur. Corp. v Piazza*, 4 NY2d 659, 669 [1958]; *see also* Ostrager and Newman, Handbook on Insurance Coverage Disputes § 6.03 [a] [12th ed]).

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* Supreme Court approved a total award to Fireman's and GMAC of $289,052.18, representing reasonable attorneys' fees and costs, with statutory interest from January 1999.

Moreover, a primary insurer has a duty to defend ‘‘without any entitlement to contribution from an excess insurer’’ (*Firemen’s Ins. Co. of Washington, D.C. v Federal Ins. Co.*, 233 AD2d 193 [1st Dept 1996]). An excess carrier may, in its discretion, ‘‘protect its interest . . . by participating in the defense’’ (*General Acc. Fire & Life*, 4 NY2d at 669). Unlike a primary insurer, however, there is no obligation to do so.

We have liberally construed an insurer’s general duty to defend in order to ensure the adequate and timely investigation of a claim and defense of an insured, regardless of the insured’s ultimate likelihood of success on the merits. Consequently, an insurer’s duty to defend is broader than its duty to indemnify (*see Fitzpatrick v American Honda Motor Co.*, 78 NY2d 61, 65-66 [1991]).

Here, Fireman’s issued two distinct policies—a primary policy deemed excess by the competing ‘‘other insurance’’ provisions and a true excess, or ‘‘umbrella,’’ policy where the duty to defend and the duty to indemnify came into effect only after the limits of the underlying primary coverage were exhausted. Furthermore, Fireman’s accepted the defense of the action and conducted it in a most thorough manner suitable to protect its own interests and that of its insured. The circumstances of this case thus allowed both Nationwide and Fireman’s to defend the action on behalf of GMAC. Moreover, insofar as both Nationwide and Fireman’s shared this obligation, and each participated in the defense, they are both liable for the defense costs, here in equal shares as the policy limits of the coincidental primary auto liability policies are identical.

Both primary insurance policies contain specific language reaffirming their duties, as primary insurers, to defend the insured. While Fireman’s primary policy coverage is deemed ‘‘excess’’ by virtue of other collectible insurance, the limiting language is directed to its obligation to contribute to a settlement or judgment, not to its duty to defend. Moreover, when Nationwide tendered the defense, Fireman’s accepted and proceeded to defend the action in a manner that it deemed most appropriate—albeit reserving its rights to collect defense costs from Nationwide. In essence, Fireman’s, in accepting the defense here, embraced the specific language of its primary policy requiring it to ‘‘defend any suit asking for [ ] damages.’’ In assuming the defense, Fireman’s triggered its own duty to defend the action, a duty that overlapped with Nationwide’s same obligation.

Fireman's reservation of rights put Nationwide on notice that Fireman's acceptance did not relieve Nationwide of its policy obligations. At a minimum, Nationwide knew that it would be liable for a share of the defense costs. Consequently, insofar as the primary insurers' respective policy limits were identical, an allocation in this case requires that the total defense costs be shared equally.

We are mindful of the fact that these policies were both coincidental primary policies. Primary insurance premiums are based, at least in part, on the insurer's consideration that it may be liable to defend an action. In this sense, "primary" policy premiums are higher, relatively speaking, than "excess" premiums, because the primary insurer contemplates defending a potential lawsuit when it contracts with the insured. A primary insurer's duty to defend is not diminished, however, nor is it entitled to defend an action less vigorously, simply because its policy limits are more easily exceeded in any given case. Relieving primary insurers of this duty to defend would provide a windfall to the carrier insofar as the costs of defense—litigation insurance—are contemplated by, and reflected in, the premiums charged for primary coverage. This is in contrast to a true excess, or "umbrella," policy, where the duty to defend is not as readily triggered.

Both Fireman's and Nationwide issued primary policies commensurate with their respective expectations and bargained-for rights and obligations. Therefore, requiring both Fireman's and Nationwide, as coincidental primary insurers having the same policy limits, to contribute equally to defense costs is consistent with the requirement that insurance contracts be interpreted "according to the reasonable expectation and purpose of the ordinary businessman when making an ordinary business contract" (*Atlantic Cement Co., Inc. v Fidelity & Cas. Co. of N.Y.*, 91 AD2d 412, 418 [1st Dept 1983], *affd* 63 NY2d 798 [1984]). It is also consistent with our general reluctance to relieve a primary insurer of its duty to defend (*see generally Fitzpatrick*, 78 NY2d 61 [1991]). In this instance, it is apparent that both Fireman's and Nationwide, by virtue of their status as primary insurers, and additionally through their course of conduct, could reasonably have expected to share the expense of the defense.

Thus, we reject Nationwide's position, followed in only a minority of jurisdictions, that an equitable allocation between a primary and excess insurer must be realized and hold only that, under the circumstances of this case, both insurers should be required to share defense costs. Here, the policy limits of the coincidental policies lead to a 50-50 split (*cf. Federal Ins. Co. v Atlantic Natl. Ins. Co.*, 25 NY2d 71 [1969]).

Accordingly, the order of the Appellate Division should be reversed, with costs, and the case remitted to Supreme Court for further proceedings in accordance with this opinion.

R.S. SMITH, J. (concurring). I agree with the result reached by the majority, and I agree in part with its reasoning. I think the majority is correct in rejecting a general doctrine of ‘‘equitable allocation’’ between primary and excess insurers. I also agree that, since Fireman’s chose to take over the defense in this case, it is liable under its policy for a fair portion of defense costs. Indeed, I think the facts here would support allocating to Fireman’s more than 50% of the burden, but allocations like this are not an exact science, and the majority’s 50-50 division is not unreasonable.

I differ with the majority, however, in its reliance on the existence of two ‘‘coincidental’’ defense policies. As the majority notes, the terms of Nationwide’s policy and Fireman’s ‘‘Business Auto Policy’’ render the latter ‘‘excess’’ with respect to the former. The relevant language in the Fireman’s Business Auto Policy—‘‘The insurance provided by this policy is excess over any other collectible insurance, whether primary, excess, or contingent’’—is on its face equally applicable to defense costs and damages. The majority seems to suggest that, as to defense costs, the Nationwide policy and the Fireman’s Business Auto Policy were both primary, but I see no valid reason for reaching that conclusion.

I believe the Fireman’s ‘‘true excess’’ policy, the ‘‘Excess Liability Policy,’’ provides a sounder basis for compelling Fireman’s to share defense costs. That policy provided nine million dollars in coverage—many times the amount provided by the other two policies. This large exposure obviously furnished the motivation for Fireman’s to assume, as it did, control of the defense of the case.

The Excess Liability Policy also gave Fireman’s the right to defend the case—at its own expense. The policy provided that Fireman’s ‘‘will have the right and opportunity, although not the obligation, to associate with the Primary Insurer in the defense and control of any claim or Suit.’’ The policy also provided that ‘‘[w]ith respect to any claim or Suit of which We

[Fireman's] assume charge of the settlement or defense, We will pay . . . All expenses We incur.''

Fireman's did assume charge of the defense of the *Mammano* case, and thus it became obligated to pay the expenses it incurred. That did not release Nationwide from its own obligation under the primary policy. Nationwide's policy excused it from defending claims only ''[a]fter the limits of this coverage have been paid,'' and I agree with the majority that that never occurred.

Thus, the terms of the Fireman's Excess Liability Policy and the terms of the Nationwide policy both rendered the insurers liable for defense costs on the facts of this case. It is only these policy clauses that, in my view, make an allocation between the two insurers appropriate.

Chief Judge KAYE and Judges G.B. SMITH, GRAFFEO and READ concur with Judge CIPARICK; Judge R.S. SMITH concurs in result in a separate opinion in which Judge ROSENBLATT concurs.

Order reversed, etc.

[829 NE2d 292, 796 NYS2d 328]

MELISSA DICKINSON KAMENS et al., Appellants, v UTICA MUTUAL INSURANCE COMPANY et al., Respondents. (Appeal No. 1.)

MELISSA DICKINSON KAMENS et al., Appellants, v UTICA MUTUAL INSURANCE COMPANY et al., Respondents. (Appeal No. 2.)

Argued February 17, 2005; decided March 31, 2005

SUMMARY

APPEAL from orders of the Appellate Division of the Supreme Court in the Fourth Judicial Department, entered April 30, 2004. The Appellate Division, with two Justices dissenting, (1) reversed, on the law, so much of orders of the Supreme Court, Monroe County (Thomas A. Stander, J.), as had denied defendants' motion and cross motion for summary judgment dismissing the complaint and granted in part plaintiffs' cross motion for summary judgment, and had granted plaintiffs summary judgment dismissing the affirmative defenses and counterclaims of intervenor-defendant, (2) granted defendants' motion and cross motion, (3) denied plaintiffs' cross motion in its entirety and (4) dismissed the complaint against defendants and intervenor-defendant.

Kamens v Utica Mut. Ins. Co., 6 AD3d 1237, affirmed.

Kamens v Utica Mut. Ins. Co., 6 AD3d 1245, affirmed.

HEADNOTE

Husband and Wife — Stipulations — Effect of Wife's Agreement to Remove Herself as Primary Contingent Beneficiary on Annuity

An agreement by a wife, as part of a divorce settlement, to "remove herself as the primary contingent beneficiary" on an annuity payable to her husband, had the effect of allowing the husband to select his own primary contingent beneficiary. It did not have the effect of promoting plaintiffs, the couple's children and secondary contingent beneficiaries on the annuity, to primary status. The record of the couple's divorce proceedings showed that it was their intention that the husband, not plaintiffs, benefit from the wife's agreement to "remove herself."

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AM JUR 2d, Annuities § 21; AM JUR 2d, Divorce and Separation § 479.

CARMODY-WAIT 2d, Spousal Support, Counsel Fees, Child Support, and Property Distribution in Matrimonial Actions §§ 118:145, 118:173, 118:174.

NY JUR 2d, Annuities § 28; NY JUR 2d, Domestic Relations § 2470.

ANNOTATION REFERENCE

See ALR Index under Annuities; Divorce and Separation; Equitable Distribution.

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POINTS OF COUNSEL

Underberg & Kessler, LLP, Rochester (*Paul V. Nunes* and *Ronald G. Hull* of counsel), for appellants. I. The purported change of beneficiary was ineffectual and void. (*Altman v Altman,* 246 AD2d 565; *McCarthy v Aetna Life Ins. Co.,* 92 NY2d 436; *John Hancock Mut. Life Ins. Co. v McManus,* 247 AD2d 513.) II. Susan Dickinson renounced her status as primary beneficiary of the annuity. (*John Hancock Mut. Life Ins. Co. v McManus,* 247 AD2d 513; *Silber v Silber,* 99 NY2d 395; *Curley v Giltrop,* 68 NY2d 651; *Matter of Hayman-Chaffey v Landy,* 267 AD2d 142; *Teachers Ins. & Annuity Assn. of Am. v Rogers,* 41 AD2d 1020; *Mohawk Airlines v Peach,* 61 AD2d 346, 44 NY2d 645; *Flaherty v McCall,* 262 AD2d 890; *Simonds v Simonds,* 45 NY2d 233.) III. The theory of conveyance also fails because of the restrictions in the structured settlement agreement and public policy. (*Allstate Ins. Co. v American Bankers Ins. Co. of Fla.,* 882 F2d 856; *Singer Asset Fin. Co. v Bachus,* 294 AD2d 818; *Reed v Tompkins Terrace,* 209 AD2d 595; *Liberty Life Assur. Co. of Boston v Stone St. Capital, Inc.,* 93 F Supp 2d 630; *CGU Life Ins. Co. v Metropolitan Mtge. & Sec. Co., Inc.,* 131 F Supp 2d 670.) IV. The death of Susan Dickinson is not an ‘‘indispensable condition’’ to the vesting of plaintiffs’ rights. (*Doyle v Sullivan,* 176 AD2d 55; *Matter of Dominquez,* 143 Misc 2d 1010; *Matter of Ginsberg,* 142 Misc 2d 192; *Massachusetts Mut. Life Ins. Co. v Thorpe,* 260 AD2d 706; *Flaherty v McCall,* 262 AD2d 890; *Simonds v Simonds,* 45 NY2d 233; *Rogers v Rogers,* 63 NY2d 582; *McCourt v McCourt,* 122 AD2d 539.) V. Plaintiffs have standing. (*Strianese v Metropolitan Life Ins. Co.,* 221 App Div 81; *John Hancock Mut. Life Ins. Co. v McManus,* 247 AD2d 513; *Matter of International Assn. of Bridge, Structural & Iron Workers, Local Union No. 6, AFL-CIO v State of New York,* 280 AD2d 713; *Sardanis v Sumitomo Corp.,* 282 AD2d 322.)

Goldberg Segalla LLP, Buffalo (*Susan E. Van Gelder* and *Al-*

bert J. D'Aquino of counsel), for Utica Mutual Insurance Company, respondent. I. Charles Dickinson became the sole owner of the subject annuity payments with unrestricted power to designate beneficiaries following Susan Dickinson's divestiture. (*Curley v Giltrop,* 68 NY2d 651; *Mohawk Airlines v Peach,* 61 AD2d 346; *Silber v Silber,* 99 NY2d 395.) II. Appellants do not have a vested interest in the structured settlement agreement because the indispensable condition precedent has not occurred. (*Drew v Prudential Ins. Co. of Am.,* 224 AD2d 1036; *Doyle v Sullivan,* 176 AD2d 55; *Silber v Silber,* 99 NY2d 395.) III. There was no renunciation under EPTL 2-1.11. (*Matter of Chofeng Lin Lee,* 155 Misc 2d 689; *Matter of Ginsberg,* 142 Misc 2d 192.) IV. There is no legal or factual support for the imposition of a constructive trust. (*Simonds v Simonds,* 45 NY2d 233.) V. Appellants currently do not have standing to maintain this action. (*Society of Plastics Indus. v County of Suffolk,* 77 NY2d 761; *Truty v Federal Bakers Supply Corp.,* 217 AD2d 951; *Matter of International Assn. of Bridge, Structural & Ornamental Ironworkers, Local Union No. 6, AFL-CIO v State of New York,* 280 AD2d 713; *Salesky v Hat Corp. of Am.,* 20 AD2d 114; *Silber v Silber,* 99 NY2d 395; *Doyle v Sullivan,* 176 AD2d 55; *Cole v Metropolitan Life Ins. Co.,* 273 AD2d 832; *Roosevelt Islanders for Responsible Southtown Dev. v Roosevelt Is. Operating Corp.,* 291 AD2d 40; *Drake v Drake,* 89 AD2d 207; *Binghamton Masonic Temple v City of Binghamton,* 213 AD2d 742.)

Shapiro, Rosenbaum, Liebschutz & Nelson, LLP, Rochester (*Warren B. Rosenbaum* of counsel), for Violetta Q. Dickinson, respondent. I. The postdivorce change of beneficiary was consistent and complied with both the settlement agreement and stipulation. (*Niagara County Sewer Dist. No. 1 v Town of Niagara,* 214 AD2d 978; *Teitelbaum Holdings v Gold,* 48 NY2d 51; *Meinwald v Meinwald,* 56 AD2d 565; *Hallock v State of New York,* 64 NY2d 224.) II. Susan Dickinson gave up her rights as primary death beneficiary of Charles Dickinson in consideration for transfers to her under the divorce settlement. (*United States v Davis,* 370 US 65; *Matter of Maul,* 176 Misc 170, 262 App Div 941, 287 NY 694.) III. The Appellate Division correctly held that the divestiture of Susan Dickinson's interests had the effect of making Charles Dickinson's estate the primary death beneficiary. (*Silber v Silber,* 99 NY2d 395; *Curley v Giltrop,* 68 NY2d 651; *Matter of Hayman-Chaffey v Landy,* 267 AD2d 142; *Teachers Ins. & Annuity Assn. of Am. v Rogers,* 41 AD2d 1020; *Mohawk Airlines v Peach,* 61 AD2d 346; *Flaherty v McCall,* 262 AD2d 890.) IV. Even if Susan Dickinson's exchange of her right as primary death beneficiary can be construed as a "renunciation," it does not accelerate the interests of appellants under EPTL 2.1-11 (d) and (f) or otherwise. (*Matter of Chofeng Lin Lee,* 155 Misc 2d 689; *Flaherty v McCall,* 262 AD2d 890; *Curley v Giltrop,* 68 NY2d 651; *Matter of Ginsberg,* 142 Misc 2d 192.) V. Susan Dickinson would not be required to hold the funds in a constructive trust for the benefit of appellants. (*Simonds v Simonds,* 45 NY2d 233; *Rogers v Rogers,* 63 NY2d 582; *Matter of Salvano v Merrill Lynch, Pierce, Fenner & Smith,* 85 NY2d 173; *Doyle v Sullivan,* 176 AD2d 55; *Life & Cas. Ins. Co. v Martin,* 603 F Supp 281, *affd sub nom. Webb v Voirol,* 773 F2d 208.) VI. Appellants lack standing to challenge Violetta Dickinson's right to receive agreement proceeds prior to the death of Susan Dickinson. (*Decolator, Cohen & DiPrisco v Lysaght, Lysaght & Kramer,* 304 AD2d 86; *Leavitt-Berner Tanning Corp. v American Home Assur. Co.,* 129 AD2d 199; *Fourth Ocean Putnam Corp. v Interstate Wrecking Co.,* 66 NY2d 38; *Cole v Metropolitan Life Ins. Co.,* 273 AD2d 832; *Binghamton Masonic Temple v City of Binghamton,* 213 AD2d 742.)

OPINION OF THE COURT

R.S. SMITH, J.

The question here is the effect of an agreement by a wife, as part of a divorce settlement, to "remove herself as primary contingent beneficiary" on an annuity payable to her husband. Plaintiffs, the secondary contingent beneficiaries on the annuity, claim that the wife's removal promoted them to primary status. Defendants claim the agreement allowed the husband to select his own primary contingent beneficiary. We hold that defendants' interpretation is correct.

Facts and Procedural History

Charles Dickinson was seriously injured in an accident in 1982, and as a result had a claim against parties who were insured by Utica Mutual Insurance Company. The claim was resolved by a settlement agreement dated September 1, 1983 among Utica Mutual, Charles Dickinson and his wife Susan Dickinson.

The agreement provided for a structured settlement, by which Charles was to receive a $447,200 payment immediately; payments of $3,000 per month for the rest of his life; and deferred payments increasing from $50,000 to $300,000, on the 5th, 10th, 15th and 20th anniversaries of the agreement. The agreement also provided for payments (not involved in the present dispute) to plaintiffs here, the couple's daughters Melissa, Amy and Sarah, when they reached their 18th, 19th, 20th and 21st birthdays.

The present dispute arises from the provisions of the settlement agreement dealing with the contingency that Charles would die within 30 years (by September 1, 2013). In that event, the agreement provided, the $3,000 monthly payments, until September 1, 2013, ''shall be made in the following order: to Susan B. Dickinson if she is then living; if not, to Melissa, Amy and Sarah Dickinson, in equal shares, or their survivor(s); otherwise to the estate of Charles G. Dickinson.'' Identical language was used to describe the recipients of the payments to be made on the 5th, 10th, 15th and 20th anniversaries of the agreement, in the event Charles was no longer living when those payments became due.

Susan later began an action for divorce against Charles, which was settled by a stipulation placed on the record in open court on September 30, 1985. The settlement of the divorce action provided, among other things, for Susan's removal as a contingent beneficiary on the agreement with Utica Mutual. The key language of the stipulation is as follows:

> ''[Susan] will execute any and all forms or instruments necessary to remove herself as primary contingent beneficiary on annuity owned by Utica Mutual Life Insurance Company implementing a structured settlement that the parties received as a result of injuries suffered by [Charles].''

Charles remarried, and attempted to substitute his second wife, Violetta Dickinson, for Susan as the primary beneficiary under the Utica Mutual agreement. Although Susan did not sign any forms consenting to the change, Utica Mutual honored the request.

Charles died on August 29, 1999. Utica Mutual then began making the $3,000 monthly payments to Violetta. Plaintiffs sued Utica Mutual and Violetta, claiming that they and not Violetta were entitled to receive the monthly payments and the $300,000 payment due September 1, 2003. Supreme Court later directed that the payments be made into an interest-bearing account pending resolution of the case.

Supreme Court decided the case in plaintiffs' favor. The Appellate Division, with two Justices dissenting, reversed, holding that Violetta was entitled to the payments in issue. Plaintiffs appeal to this Court as of right, pursuant to CPLR 5601 (a).

Susan died on January 22, 2005, while this appeal was pending. The parties agree that plaintiffs are entitled to all payments due under the Utica Mutual agreement after Susan's death. The monthly payments that became due between Charles's death in 1999 and Susan's death in 2005, and the $300,000 payment due September 1, 2003, remain in issue. We affirm the Appellate Division's holding that those payments should be made to Violetta.

Discussion

The case turns on the interpretation of the 1985 divorce settlement: What did the parties mean when they agreed that Susan would ''execute any and all forms or instruments necessary to remove herself as primary contingent beneficiary''?

Plaintiffs argue that Susan was agreeing to a ''renunciation'' of her interest in the Utica Mutual agreement, and point out that under Estates, Powers and Trusts Law § 2-1.11 (d) the effect of a renunciation is ''as though the renouncing person had died at the time of filing'' the renunciation. While it is undisputed that Susan did not file a formal renunciation, plaintiffs' argument is that she in substance agreed to do so. If Susan renounced her interest prior to Charles's death, she must be deemed to have predeceased Charles, and by the terms of the Utica Mutual agreement the payments after Charles's death should go to plaintiffs.

Defendants argue that the purpose of Susan's agreement ''to remove herself as primary contingent beneficiary'' was to convey her rights under the Utica Mutual agreement to Charles. Again, it is undisputed that no formal ''conveyance'' was executed, but defendants argue that a conveyance is what Susan in substance agreed to. If Susan's rights were conveyed to Charles, Charles was entitled to name Violetta, or anyone else he liked, to receive the payments that Susan would have been entitled to under the Utica Mutual agreement.

Thus, the abstract nouns ''renunciation'' and ''conveyance'' are simply ways of describing the parties' contentions about what Charles and Susan intended in their divorce settlement in 1985. The real issue is whether they meant that Susan step aside in favor of her daughters, or in favor of Charles. The record shows that defendants are correct: The parties intended

Charles, not plaintiffs, to benefit from Susan's agreement to "remove herself."

A primary purpose in any divorce settlement is to divide assets between the husband and the wife, and where, as here, the wife agrees not to claim a particular asset, the natural reading of the agreement is that the asset becomes the husband's. It is true, of course, that parties may and often do agree to give assets to their children, but where that occurs one would normally expect the children to be mentioned. Susan's agreement to "remove herself" makes no mention of plaintiffs, suggesting that there was no intention to benefit them.

Other language in the divorce settlement supports this inference. The sentence immediately following the one in dispute in this case expressly gives a benefit to "the children." That sentence provides:

> "In addition, [Susan] will execute any and all forms or instruments necessary to change her as primary beneficiary under the husband's life insurance policy and [Charles] will agree that he will appoint the children irrevocable beneficiaries of such policy."

Thus, when the parties sought to confer rights on plaintiffs, they left no doubt of their intention.

Finally, a colloquy that occurred in open court during the divorce settlement confirms that the clause in dispute was meant to benefit Charles. Charles's attorney, in response to a question asked by Charles himself, recited on the record that the parties had "tried to make an accommodation" so that not only Susan, but also plaintiffs, "would not be alternate beneficiaries under the Utica Mutual contract." The plan had been for Charles to buy out plaintiffs' contingent interests, for the modest sum of $5,000 each. According to counsel's recital this plan failed, not because Susan and Charles did not agree to it, but because the Supreme Court Justice "indicated that he has no jurisdiction over the girls." If, as this colloquy implies, Susan and Charles were ready to agree to extinguish plaintiffs' contingent interests in the Utica Mutual contract completely, it is most unlikely that the extinction of Susan's interest was intended to benefit plaintiffs rather than Charles.

In short, the Appellate Division correctly concluded that the effect of the disputed provision in the 1985 divorce settlement was to give Charles the right to name anyone he chose as the primary contingent beneficiary of the Utica Mutual agreement.

Charles named Violetta, and Violetta is therefore entitled to the payments that became due under the Utica Mutual agreement between Charles's death and Susan's death.

Accordingly, the orders of the Appellate Division should be affirmed, with costs.

Chief Judge KAYE and Judges G.B. SMITH, CIPARICK, ROSENBLATT, GRAFFEO and READ concur.

Orders affirmed, with costs.

[828 NE2d 970, 796 NYS2d 13]

CYNTHIA A. REKEMEYER, Appellant, v STATE FARM MUTUAL AUTOMOBILE INSURANCE COMPANY, Respondent.

Argued February 9, 2005; decided April 5, 2005

SUMMARY

APPEAL, by permission of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Third Judicial Department, entered May 20, 2004. The Appellate Division (1) reversed, on the law, an order of the Supreme Court, Albany County (Edward A. Sheridan, J.), which had denied in part defendant's motion for summary judgment dismissing the complaint and granted plaintiff's cross motion for summary judgment, (2) granted defendant's motion, (3) denied plaintiff's cross motion, (4) awarded summary judgment to defendant, and (5) dismissed the complaint.

Rekemeyer v State Farm Mut. Auto. Ins. Co., 7 AD3d 955, modified.

HEADNOTE

Insurance — Automobile Insurance — Underinsured Motorist Endorsement

Where defendant automobile insurance carrier was given timely notice of an accident by plaintiff insured, it was required to show that it was prejudiced by plaintiff's late notice of a claim under the policy's supplementary uninsured/underinsured motorists provision before it could disclaim coverage. The no-prejudice rule, which provides that an insured's failure to provide timely notice of an accident relieves the carrier of its obligation to perform regardless of whether it can demonstrate prejudice, should not have been applied under the facts of this case. Plaintiff's timely notice of the accident was sufficient to promote the valid policy objective of curbing fraud or collusion. Further, the record indicated that defendant undertook an investigation of the accident and required plaintiff to undergo medical exams. Under such circumstances, application of the no-prejudice rule, which contravenes general contract principles, was not justified. Defendant insurer should bear the burden of establishing prejudice because it has the relevant information about its own claims-handling procedures and because the alternative approach would saddle the policyholder with the task of proving a negative.

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By the Publisher's Editorial Staff

AM JUR 2d, Automobile Insurance §§ 358, 360–364.

COUCH ON INSURANCE (3d ed) §§ 193:1, 193:5, 193:25, 193:26, 193:36, 193:53.

NY Jur 2d, Insurance §§ 1707, 1843, 1847, 1917.

ANNOTATION REFERENCE

Modern status of rules requiring liability insurer to show prejudice to escape liability because of insured's failure or delay in giving notice of accident or claim, or in forwarding suit papers. 32 ALR4th 141.

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POINTS OF COUNSEL

Brennan, Rehfuss & Liguori, P.C., Albany (*Joseph M. Brennan* of counsel), for appellant. I. The reasoning set forth in *Matter of Brandon (Nationwide Mut. Ins. Co.*) (97 NY2d 491 [2002]) should be extended to require an insurer to demonstrate prejudice before disclaiming coverage based upon late notice of claim in a claim for supplemental uninsured/underinsured motorists benefits. (*Mark A. Varrichio & Assoc. v Chicago Ins. Co.,* 312 F3d 544; *Security Mut. Ins. Co. of N.Y. v Acker-Fitzsimons Corp.,* 31 NY2d 436; *Banks v American Mfrs. Mut. Ins. Co.,* 306 AD2d 120; *New York Mut. Underwriters v Kaufman,* 257 AD2d 850; *Freeman v MBL Life Assur. Corp.,* 60 F Supp 2d 259; *Gaidon v Guardian Life Ins. Co. of Am.,* 255 AD2d 101; *Rochester Radiology Assoc., P.C. v Aetna Life Ins. Co.,* 616 F Supp 985; *Barile v Kavanaugh,* 67 NY2d 392; *Continental Auto Lease Corp. v Campbell,* 19 NY2d 350; *Fried v Seippel,* 80 NY2d 32.) II. The Appellate Division, Third Department, erred when it reversed the determination of the trial court that plaintiff-appellant notified defendant-respondent of her claim for supplemental uninsured/underinsured motorists coverage "as soon as practicable" under the particular circumstances of this case. (*Matter of Metropolitan Prop. & Cas. Ins. Co. v Mancuso,* 93 NY2d 487; *Mighty Midgets v Centennial Ins. Co.,* 47 NY2d 12; *Unwin v New York Cent. Mut. Fire Ins. Co.,* 268 AD2d 669; *Matan v Nationwide Mut. Ins. Co.,* 243 AD2d 978; *Murphy v New York Cent. Mut. Fire Ins. Co.,* 307 AD2d 689; *Medina v State Farm Mut. Auto. Ins. Co.,* 303 AD2d 987; *Rose v Furgerson,* 281 AD2d 857, 97 NY2d 602; *Owen v Allstate Ins. Co.,* 250 AD2d 1018; *Matter of Brandon [Nationwide Mut. Ins. Co.],* 97 NY2d 491.)

Goldberg Segalla LLP, Buffalo (*Daniel W. Gerber, Thomas F. Segalla* and *Matthew S. Lerner* of counsel), for respondent. I. A denial upon late notice of claim requires no demonstration of prejudice. (*Matter of Metropolitan Prop. & Cas. Ins. Co. v Mancuso,* 93 NY2d 487; *Security Mut. Ins. Co. of N.Y. v Acker-Fitzsimons Corp.,* 31 NY2d 436; *American Home Assur. Co. v International Ins. Co.,* 90 NY2d 433; *Martinson v Massachusetts Bay Ins. Co.,* 947 F Supp 124; *Fireman's Fund Ins. Co., Inc. v Schuster Films, Inc.,* 811 F Supp 978; *Brown v Travelers Ins. Co.,* 4 AD3d 835; *DiGuglielmo v Travelers Prop. Cas.,* 6 AD3d 344; *Blue Ridge Ins. Co. v Jiminez,* 7 AD3d 652; *Banks v American Mfrs. Mut. Ins. Co.,* 306 AD2d 120; *Unwin v New York Cent. Mut. Fire Ins. Co.,* 268 AD2d 669.) II. It is unnecessary and it would be a mistake for this Court to depart from the well-settled late note of claim rule. (*Unigard Sec. Ins. Co. v North Riv. Ins. Co.,* 79 NY2d 576; *Security Mut. Ins. Co. of N.Y. v Acker-Fitzsimons Corp.,* 31 NY2d 436; *Restoration Realty Corp. v Robero,* 58 NY2d 1089; *J.N.A. Realty Corp. v Cross Bay Chelsea,* 42 NY2d 392; *Lauritano v American Fid. Fire Ins. Co.,* 3 AD2d 564, 4 NY2d 1028; *First Fin. Ins. Co. v Jetco Contr. Corp.,* 1 NY3d 64; *All City Ins. Co. v Pioneer Ins. Co.,* 194 AD2d 424; *Solomon v Continental Fire Ins. Co. of City of N.Y.,* 160 NY 595; *Jacob & Youngs v Kent,* 230 NY 239; *Coleman v New Amsterdam Cas. Co.,* 247 NY 271.) III. *Matter of Brandon (Nationwide Mut. Ins. Co.)* (97 NY2d 491 [2002]) did not depart from the no-prejudice rule for late notice of claim in the supplemental uninsured/underinsured motorists context. (*Lauritano v American Fid. Fire Ins. Co.,* 3 AD2d 564.) IV. The policy rationales upon which other courts have relied do not warrant departing from the well-settled case law concerning the no-prejudice rule. (*Bersani v General Acc. Fire & Life Assur. Corp.,* 36 NY2d 457; *Matter of Manhattan & Bronx Surface Tr. Operating Auth. v Evans,* 95 AD2d 470; *Matter of Metropolitan Prop. & Cas. Ins. Co. v Mancuso,* 93 NY2d 487; *Coleman v New Amsterdam Cas. Co.,* 247 NY 271; *Matter of New York Cent. Mut. Fire Ins. Co. [Benson],* 277 AD2d 920.) V. Any change in this Court's application of prejudice to late notice should only be applied prospectively. (*Gurnee v Aetna Life & Cas. Co.,* 55 NY2d 184; *Gager v White,* 53 NY2d 475; *Security Mut. Ins. Co. of N.Y. v Acker-Fitzsimons Corp.,* 31 NY2d 436.) VI. The Appellate Division correctly held that Cynthia Rekemeyer did not give notice of her intent to file a supplemental uninsured/underinsured motorists claim as soon as practicable. (*Owen v Allstate Ins. Co.,* 250 AD2d 1018; *Matter of State Farm Mut. Auto. Ins. Co. v Bennett,* 289 AD2d 496; *Zuckerman v City of New York,* 49 NY2d 557; *Matter of Nationwide Ins. Co. [De Rose],* 241 AD2d 607; *Matter of*

Nationwide Mut. Ins. Co. v Wexler, 276 AD2d 490; *Matter of Nationwide Ins. Co. v Bietsch,* 224 AD2d 623.)

Hiscock & Barclay, LLP, Albany (*Mark W. Blanchfield* of counsel), for New York Insurance Association, Inc., amicus curiae. I. Requiring insurers to show prejudice to enforce the reasonable notice condition would be a complete sea change in New York law. (*Security Mut. Ins. Co. of N.Y. v Acker-Fitzsimons Corp.,* 31 NY2d 436; *Matter of Metropolitan Prop. & Cas. Ins. Co. v Mancuso,* 93 NY2d 487; *D'Aloia v Travelers Ins. Co.,* 85 NY2d 825; *People v Hobson,* 39 NY2d 479; *Heyert v Orange & Rockland Util.,* 17 NY2d 352; *Cenven v Bethlehem Steel Corp.,* 41 NY2d 842.) II. The policy reasons behind a no-prejudice rule still exist with respect to notice of the circumstances of the claim. (*Matter of Brandon [Nationwide Mut. Ins. Co.],* 97 NY2d 491; *Unigard Sec. Ins. Co. v North Riv. Ins. Co.,* 79 NY2d 576; *American Tr. Ins. Co. v Sartor,* 3 NY3d 71; *Security Mut. Ins. Co. of N.Y. v Acker-Fitzsimons Corp.,* 31 NY2d 436; *Matter of Medical Socy. of State of N.Y. v Serio,* 100 NY2d 854.) III. The case law from other states is inconsistent with New York's legal scheme. (*Sablosky v Gordon Co.,* 73 NY2d 133; *Morris v Snappy Car Rental,* 84 NY2d 21; *American Tr. Ins. Co. v Sartor,* 3 NY3d 71; *2423 Mermaid Realty Corp. v New York Prop. Ins. Underwriting Assn.,* 142 AD2d 124; *Dyno-Bite, Inc. v Travelers Cos.,* 80 AD2d 471; *Matter of Metropolitan Prop. & Cas. Ins. Co. v Mancuso,* 93 NY2d 487.)

Rivkin Radler LLP, Uniondale (*Evan H. Krinick* and *Alan C. Eagle* of counsel), and *Wiley Rein & Fielding LLP,* Washington, D.C. (*Laura A. Foggan* and *John C. Yang* of counsel), for Complex Insurance Claims Litigation Association, amicus curiae. I. New York consistently has adhered to the no-prejudice rule. (*Security Mut. Ins. Co. of N.Y. v Acker-Fitzsimons Corp.,* 31 NY2d 436; *Unigard Sec. Ins. Co. v North Riv. Ins. Co.,* 79 NY2d 576; *Matter of Brandon [Nationwide Mut. Ins. Co.],* 97 NY2d 491; *Matter of Metropolitan Prop. & Cas. Ins. Co. v Mancuso,* 93 NY2d 487; *Argo Corp. v Greater N.Y. Mut. Ins. Co.,* 1 AD3d 264; *American Home Assur. Co. v International Ins. Co.,* 90 NY2d 433; *Fisher v Hanover Ins. Co.,* 288 AD2d 806; *T & S Masonry v State Ins. Fund,* 290 AD2d 308; *Centenniel Ins. Co. v Hoffman,* 265 AD2d 629; *Nationwide Mut. Ins. Co. v Vivas,* 267 AD2d 105.) II. Rationales for the no-prejudice rule are well-established and applicable to the present facts. (*Graf v Hope Bldg. Corp.,* 254 NY 1; *First Natl. Stores v Yellowstone Shopping Ctr.,* 21 NY2d 630; *Greenfield v Philles Records,* 98 NY2d 562; *Matter of*

Southeast Banking Corp., 93 NY2d 178; *Matter of Davis v Block & Smith,* 297 NY 20; *United States Fid. & Guar. Co. v Annunziata,* 67 NY2d 229; *Douglas v Knickerbocker Life Ins. Co.,* 83 NY 492; *AXA Mar. & Aviation Ins. [U.K.] Ltd. v Seajet Indus. Inc.,* 84 F3d 622; *Unigard Sec. Ins. Co. v North Riv. Ins. Co.,* 79 NY2d 576; *American Ins. Co. v Fairchild Indus., Inc.,* 56 F3d 435.) III. The lower court properly declined to depart from the no-prejudice rule. (*Matter of Metropolitan Prop. & Cas. Ins. Co. v Mancuso,* 93 NY2d 487; *Unwin v New York Cent. Mut. Fire Ins. Co.,* 268 AD2d 669; *Matter of Nationwide Ins. Co. [De Rose],* 241 AD2d 607; *DiGuglielmo v Travelers Prop. Cas.,* 6 AD3d 344; *Sayed v Macari,* 296 AD2d 396; *Shaw Temple A.M.E. Zion Church v Mount Vernon Fire Ins. Co.,* 199 AD2d 374; *Matter of Brandon [Nationwide Mut. Ins. Co.],* 97 NY2d 491; *Mark A. Varrichio & Assoc. v Chicago Ins. Co.,* 312 F3d 544; *Cade & Saunders, P.C. v Chicago Ins. Co.,* 332 F Supp 2d 490; *Green Door Realty Corp. v TIG Ins. Co.,* 329 F3d 282.)

OPINION OF THE COURT

G.B. SMITH, J.

This is a declaratory judgment action in which plaintiff seeks a declaration that she is entitled to payment under the supplementary uninsured/underinsured motorists (SUM) provision of her insurance contract. The insurance carrier disclaimed on the ground that written notice of the SUM claim was not given as soon as practicable and that a copy of the summons and complaint in plaintiff's legal action was not immediately given to it. On the facts of this case, we hold that the carrier must show prejudice before it may disclaim coverage due to plaintiff's late notice of SUM claim.

On May 8, 1998, plaintiff, Cynthia Rekemeyer, was rear-ended while driving her car. Shortly after the accident occurred, Rekemeyer notified State Farm of the occurrence and made a claim for no-fault benefits. At the time of the accident, plaintiff had been unable to work for 18 years due to an existing back problem. Throughout 1998, plaintiff received medical care from a number of doctors for accident related injuries. In December 1998 and again in February 2000, at the request of State Farm, plaintiff was evaluated by a doctor of State Farm's choice concerning accident related injuries.

On April 27, 1999, plaintiff filed suit against the driver of the other car, Sherwood Bouyea. By letter dated July 21, 1999, plaintiff notified State Farm of the lawsuit. In a bill of particulars dated July 1999, plaintiff alleged that she had suffered "severe and permanent injuries to her left arm and cervical spine." In September 1999, plaintiff learned that Bouyea's maximum liability coverage was $50,000. Plaintiff's demand was for $1 million.

In October 1999, plaintiff underwent surgery on her back for injuries she alleges she sustained as a result of the car accident. On March 12, 2000, Bouyea's attorney offered $45,000 to settle the claim. On March 31, 2000, plaintiff notified State Farm that she would pursue SUM coverage under her own policy. On April 10, 2000, Bouyea's attorney made a settlement offer of $50,000. On April 25, 2000, State Farm disclaimed coverage based upon plaintiff's failure to notify it of the SUM claim as soon as practicable and because of failure to notify it immediately of the lawsuit.

In October 2000, plaintiff brought this declaratory judgment action against State Farm. State Farm answered the complaint. It then filed a motion for summary judgment dismissing the complaint for failure to comply with the insurance contract provision requiring notice of the SUM claim as soon as practicable. On June 19, 2003, Supreme Court denied defendant's motion to dismiss, and, citing *Matter of Metropolitan Prop. & Cas. Ins. Co. v Mancuso* (93 NY2d 487 [1999]), granted plaintiff's motion for a declaratory judgment for SUM coverage. Supreme Court stated:

> "On the facts of this case, it cannot be concluded that plaintiff did not give notice of her SUM claim as soon as practicable as a matter of law. The slowly evolving nature of plaintiff's injuries, her preexisting injury and daily pain, intervening surgeries and the bona fide questions as to severity and causation of the new injury, along with the tortfeasor's defenses on the issue of liability can reasonably be said to have prevented knowledge that the tortfeasor was underinsured until at or about such time as a settlement offer near or at the limit of his policy was tendered. It was at that point that plaintiff promptly notified defendant of her SUM claim. Thus, defendant's motion must be denied and plaintiff's cross motion will be granted."

On May 20, 2004, Appellate Division reversed and determined:

> "[P]laintiff knew or reasonably should have known

> that Bouyea's insurance was insufficient to provide full compensation for her injuries and yet she inexplicably waited six months before providing notice to defendant of her intent to make a claim for supplemental coverage. We find such notice to have been untimely and, thus, Supreme Court erred in granting her cross motion for summary judgment.'' (7 AD3d 955, 957 [2004].)

On September 21, 2004, this Court granted plaintiff leave to appeal.

Initially, plaintiff argues that she submitted her notice of SUM claim to State Farm as soon as practicable and did not breach the insurance contract. We have held that in the SUM context, the phrase ''as soon as practicable'' means that ''the insured must give notice with reasonable promptness after the insured knew or should reasonably have known that the tortfeasor was underinsured'' (*Matter of Metropolitan Prop. & Cas. Ins. Co. v Mancuso*, 93 NY2d at 495). The requirement that the insured give notice as soon as practicable ''contemplates elasticity and a case-by-case inquiry as to whether the timeliness of the notice was reasonable, taking all of the circumstances into account'' (*see id.* at 494; *see also Mighty Midgets v Centennial Ins. Co.*, 47 NY2d 12, 19 [1979]).

We agree with the Appellate Division that plaintiff did not submit her notice of SUM claim as soon as practicable. Although plaintiff had disabling injuries prior to the accident that may have interfered with her assessment of the extent of new injuries, she stated in her bill of particulars in the underlying personal injury action—drafted eight months before plaintiff notified defendant of her claim for SUM coverage—that she had suffered serious and permanent injuries as a result of the accident. The record thus belies any claim that she was unaware that her injuries were serious. Moreover, Bouyea informed plaintiff in September 1999 that he was insured for only $50,000. Accordingly, the Appellate Division appropriately concluded that plaintiff's notice of her SUM claim in March 2000—approximately six months later—was untimely.

Plaintiff also urges this Court to relax its application of the no-prejudice rule in SUM cases where the carrier has been timely put on notice of the accident. This argument is persuasive. The rule in New York has been for years that an insured's failure to provide timely notice of an accident relieves the carrier of its obligation to perform regardless of whether it can demonstrate prejudice (*see Security Mut. Ins. Co. of N.Y. v Acker-Fitzsimons Corp.*, 31 NY2d 436, 442-443 [1972]). This rule is known as the no-prejudice rule. Although this rule has sometimes been characterized as the "traditional rule," it is actually a limited exception to two established contract principles: "(1) that ordinarily one seeking to escape the obligation to perform under a contract must demonstrate a material breach or prejudice; and (2) that a contractual duty [requiring strict compliance] ordinarily will not be construed as a condition precedent absent clear language showing that the parties intended to make it a condition" (*Unigard Sec. Ins. Co. v North Riv. Ins. Co.*, 79 NY2d 576, 581 [1992] [citations omitted]). The idea behind strict compliance with the notice provision in an insurance contract was to protect the carrier against fraud or collusion (*see id.*).

More recently in *Matter of Brandon* (*Nationwide Mut. Ins. Co.*), this Court held that a SUM carrier that received timely notice of a claim must show prejudice before disclaiming SUM benefits based on late notice of a legal action (*see* 97 NY2d 491, 494-495, 498 [2002]). In the SUM context, the *Brandon* court was unwilling to extend the no-prejudice exception in regard to late notice of a legal suit because "unlike most notices of claim—which must be submitted promptly after the accident, while an insurer's investigation has the greatest potential to curb fraud—notices of legal action become due at a moment that cannot be fixed relative to any other key event, such as the injury, the discovery of the tortfeasor's insurance limits or the resolution of the underlying tort claim." (*Id.* at 498.)

There are important public policy issues that continue to arise both in federal and state courts which warrant a review of the no-prejudice exception, particularly when the insured has given timely notice of occurrence or claim (*see Mark A. Varrichio & Assoc. v Chicago Ins. Co.*, 312 F3d 544, 548-550 [2002] [certified question to New York Court of Appeals of whether timely notice of occurrence required the insurer to show prejudice before disclaiming for late notice of lawsuit; question withdrawn because parties settled]). This case presents us with an opportunity to reexamine the applicability of the no-prejudice rule in the SUM context.

The facts of the current case, while different from *Brandon*, also warrant a showing of prejudice by the carrier. Here, plaintiff gave timely notice of the accident and made a claim for no-fault benefits soon thereafter. That notice was sufficient to promote the valid policy objective of curbing fraud or collusion. Moreover, the record indicates that State Farm undertook an investigation of the accident. It also required plaintiff to undergo medical exams in December 1998 and February 2000. Under these circumstances, application of a rule that contravenes general contract principles is not justified. Absent a showing of prejudice, State Farm should not be entitled to a windfall (*Brandon*, 97 NY2d at 496 n 3, citing *Clementi v Nationwide Mut. Fire Ins. Co.*, 16 P3d 223, 230 [Colo 2001]). Additionally, State Farm should bear the burden of establishing prejudice ''because it has the relevant information about its own claims-handling procedures and because the alternative approach would saddle the policyholder with the task of proving a negative'' (*id.* at 498; *see also Unigard*, 79 NY2d at 584 [placing the burden of showing prejudice on the reinsurer]). Thus, we hold that where an insured previously gives timely notice of the accident, the carrier must establish that it is prejudiced by a late notice of SUM claim before it may properly disclaim coverage.

Our analysis today is in line with other jurisdictions which require that carriers show prejudice before untimely notice of a SUM claim is held to be a material breach in the contract warranting disclaimer (*see Clementi v Nationwide Mut. Fire Ins. Co.*, 16 P3d 223*, supra*; *State Auto. Mut. Ins. Co. v Youler*, 183 W Va 556, 396 SE2d 737 [1990]; *Ouellette v Maine Bonding & Cas. Co.*, 495 A2d 1232 [Me 1985]; *State Farm Mut. Auto. Ins. Co. v Burgess*, 474 So 2d 634 [Ala 1985]; *Pennsylvania Gen. Ins. Co. v Becton*, 475 A2d 1032 [RI 1984]; *Rampy v State Farm Mut. Auto. Ins. Co.*, 278 So 2d 428, 435 [Miss 1973]; *see also Alcazar v Hayes*, 982 SW2d 845, 854 [Tenn 1998] [where an insured has failed to provide timely notice of a claim, there is a rebuttable presumption that the carrier has been prejudiced]).

Accordingly, the order of the Appellate Division should be modified, without costs, by denying defendant's motion for summary judgment and remitting to the trial court for the carrier to have an opportunity to demonstrate prejudice, and, as so modified, affirmed.

Judges CIPARICK, ROSENBLATT, GRAFFEO, READ and R.S. SMITH concur; Chief Judge KAYE taking no part.

Order modified, etc.

[829 NE2d 266, 796 NYS2d 302]

In the Matter of THE NEW YORK TIMES COMPANY et al., Appellants-Respondents, and CATHERINE T. REGENHARD et al., Intervenors-Appellants, v CITY OF NEW YORK FIRE DEPARTMENT, Respondent-Appellant.

Argued February 9, 2005; decided March 24, 2005

SUMMARY

CROSS APPEALS, by permission of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the First Judicial Department, entered January 8, 2004 in a combined proceeding pursuant to CPLR article 78 and action for declaratory judgment challenging respondent Fire Department's denial of petitioners' Freedom of Information Law (FOIL) request for transcripts of interviews that respondent conducted of its employees (oral histories) concerning their activities at the World Trade Center on September 11, 2001, and for audio tapes and transcripts of 911 calls and internal radio dispatch calls made on September 11, 2001. The Appellate Division modified, on the law, a judgment of the Supreme Court, New York County (Richard F. Braun, J.; op 195 Misc 2d 119), which had (1) denied the motion of nine family members, each of whom had a husband or son die in the World Trade Center attacks on September 11, 2001, for leave to intervene as petitioners, but granted them amici status, and (2) granted the petition to the extent of declaring the following items subject to disclosure under FOIL: (a) the 911 tapes and transcripts of the September 11, 2001 calls of the husbands and sons of the amici curiae; (b) the tapes and transcripts of the operators, dispatchers and units reporting portions of all other calls and communications on September 11, 2001 except for the parts that constituted intra-agency materials, and (c) the factual portions of the oral histories. The Appellate Division modification consisted of granting the motion to intervene, and directing disclosure of respondent's employees' personal expressions of feeling contained in the oral histories.

Matter of New York Times Co. v City of N.Y. Fire Dept., 3 AD3d 340, modified.

HEADNOTES

Records — Freedom of Information Law — Disclosure of 911 Calls Made to Fire Department on September 11, 2001

1. City of New York Fire Department was required to disclose, pursuant to the Freedom of Information Law (Public Officers Law art 6 [FOIL]), tapes

and transcripts of calls made on September 11, 2001 to its 911 emergency service, to the extent that the words recorded were those of public employees and of the eight men whose survivors sought disclosure. Redaction was required to delete the words of other people who called 911. FOIL exempts from disclosure records or portions thereof that if disclosed would constitute an unwarranted invasion of personal privacy (Public Officers Law § 87 [2] [b]). Disclosure of the words spoken by other callers would constitute such an unwarranted invasion of personal privacy. Surviving relatives have an interest protected by FOIL in keeping private the affairs of the dead. The public interest in the words of the 911 callers is outweighed by the interest in privacy of those family members and callers who prefer that those words remain private.

Records — Freedom of Information Law — Disclosure of Calls Made on September 11, 2001 on Fire Department's Internal Communications System

2. Respondent City of New York Fire Department was required to disclose, pursuant to the Freedom of Information Law (Public Officers Law art 6 [FOIL]), tapes and transcripts of calls made on September 11, 2001 on respondent's internal communications system, involving respondent's dispatchers and other employees, redacted to delete the opinions and recommendations of respondent's employees. FOIL exempts from disclosure records or portions thereof that are intra-agency materials which are not statistical or factual tabulations or data, or instructions to staff that affect the public (Public Officers Law § 87 [2] [g] [i], [ii]). The intra-agency exception exists to permit people within an agency to exchange opinions, advice and criticism freely and frankly, without the chilling prospect of public disclosure. The purpose applies not only to comments made in official policy meetings and well-considered memorandums, but also to suggestions and criticisms offered with little change for reflection in moments of crisis.

Records — Freedom of Information Law — Disclosure of Oral Histories of Fire Department Personnel Concerning Events of September 11, 2001

3. Respondent City of New York Fire Department was required to disclose, pursuant to the Freedom of Information Law (Public Officers Law art 6 [FOIL]), transcripts of interviews conducted with its members concerning the events of September 11, 2001 (oral histories). FOIL requires state and municipal agencies to make available all records, subject to 10 exceptions (Public Officers Law § 87 [2]). The oral histories were not protected from disclosure by FOIL's privacy or intra-agency exceptions (Public Officers Law § 87 [2] [b], [g]). It could be inferred that the oral histories were spoken words recorded for the benefit of posterity, and that respondent intended, and the people interviewed for these histories understood or reasonably should have understood, that the words spoken were destined for public disclosure. However, because some firefighters may have made certain personal statements in what they were led to believe was a private setting, specific portions of the oral histories that could be shown likely to cause serious pain or embarrassment to an interviewee could be subject to the privacy exception (Public Officers Law § 87 [2] [b]).

Records — Freedom of Information Law — Materials Provided by Fire Department to Federal Government for Use in Prosecution of Alleged Terrorist

4. On the record presented, six unidentified tapes and/or transcripts provided to the United States Department of Justice by respondent City of

New York Fire Department for use in the investigation and prosecution of an individual alleged to have had a role in the September 11, 2001 attacks on the World Trade Center were subject to disclosure pursuant to the Freedom of Information Law (Public Officers Law art 6 [FOIL]). FOIL exempts from disclosure records or portions thereof that are compiled for law enforcement purposes which, if disclosed, would interfere with law enforcement investigations or judicial proceedings, or deprive a person of a right to a fair trial or impartial adjudication (Public Officers Law § 87 [2] [e] [i], [ii]). However, the Department of Justice should be given a chance to demonstrate that disclosure of the six potential exhibits would interfere with the prosecution of the alleged terrorist, or would deprive either the United States Government or the alleged terrorist of a fair trial.

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By the Publisher's Editorial Staff

Am Jur 2d, Freedom of Information Acts §§ 60–67, 102–106, 184, 186, 195, 287, 290, 291, 295, 309–314.

Carmody-Wait 2d, Proceeding Against a Body or Officer §§ 145:630–145:632, 145:634.

McKinney's, Public Officers Law § 87 (2).

NY Jur 2d, Records and Recording §§ 19–23, 35–42, 45, 47.

Siegel, NY Prac § 348.

ANNOTATION REFERENCE

See ALR Index under Freedom of Information Acts; 9–11; 911 Emergency Number.

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POINTS OF COUNSEL

David E. McCraw, New York City, for appellants-respondents. I. The Appellate Division erred in applying the intra-agency exemption to materials that were not part of a deliberative process. (*Matter of Russo v Nassau County Community Coll.,* 81 NY2d 690; *Matter of Gould v New York City Police Dept.,* 89 NY2d 267; *Matter of Xerox Corp. v Town of Webster,* 65 NY2d 131; *Jordan v United States Dept. of Justice,* 591 F2d 753; *Maricopa Audubon Socy. v United States Forest Serv.,* 108 F3d 1089; *Assembly of State of Cal. v United States Dept. of Commerce,* 968 F2d 916; *Vaughn v Rosen,* 523 F2d 1136; *Grand Cent. Partnership, Inc. v Cuomo,* 166 F3d 473; *Immuno AG. v Moor-Jankowski,* 77 NY2d 235.) II. Release of unredacted 911 tapes will not constitute an unwarranted invasion of personal privacy.

(*Brandes Meat Corp. v Cromer,* 146 AD2d 666; *Matter of Empire Realty Corp. v New York State Div. of Lottery,* 230 AD2d 270; *Matter of Johnson v New York City Police Dept.,* 257 AD2d 343, 94 NY2d 791; *Matter of Dobranski v Houper,* 154 AD2d 736; *Bethel v New York City Tr. Auth.,* 92 NY2d 348; *Howell v New York Post Co.,* 81 NY2d 115; *New York Times Co. v National Aeronautics & Space Admin.,* 920 F2d 1002; *Matter of New York 1 News v Office of President of Borough of Staten Is.,* 231 AD2d 524; *Matter of Newsday, Inc. v Empire State Dev. Corp.,* 98 NY2d 359; *Matter of Laureano v Grimes,* 179 AD2d 602.)

Michael A. Cardozo, Corporation Counsel, New York City (*John Hogrogian, Lawrence S. Kahn, Pamela Seider Dolgow* and *Marilyn Richter* of counsel), for respondent-appellant. I. As the Supreme Court and the Appellate Division correctly held, the Fire Department can properly redact the callers' words from the records of the 911 telephone calls before disclosing those records. The Fire Department did show that the personal privacy exemption under the Freedom of Information Law authorizes such redaction. (*Matter of Capital Newspapers Div. of Hearst Corp. v Burns,* 109 AD2d 92, 67 NY2d 562; *Matter of Hanig v State of N.Y. Dept. of Motor Vehs.,* 79 NY2d 106; *Matter of Empire Realty Corp. v New York State Div. of Lottery,* 230 AD2d 270; *Matter of Dobranski v Houper,* 154 AD2d 736; *Matter of Encore Coll. Bookstores v Auxiliary Serv. Corp. of State Univ. of N.Y. at Farmingdale,* 87 NY2d 410; *Matter of Fink v Lefkowitz,* 47 NY2d 567; *National Archives and Records Admin. v Favish,* 541 US 157; *New York Times Co. v National Aeronautics & Space Admin.,* 920 F2d 1002; *Matter of Scott, Sardano & Pomeranz v Records Access Officer of City of Syracuse,* 65 NY2d 294; *Matter of De Oliveira v Wagner,* 274 AD2d 904.) II. As the Supreme Court and the Appellate Division correctly held, the Fire Department can properly redact intra-agency materials from the records of the dispatch calls and of the oral histories before disclosing those records. The Fire Department did show that the intra-agency materials exemption under the Freedom of Information Law authorizes such redaction. (*Matter of Gould v New York City Police Dept.,* 89 NY2d 267; *Matter of Russo v Nassau County Community Coll.,* 81 NY2d 690; *Matter of Morgan v New York State Dept. of Envtl. Conservation,* 9 AD3d 586; *Matter of Xerox Corp. v Town of Webster,* 65 NY2d 131; *Matter of Kaufman v New York State Dept. of Envtl. Conservation,* 289 AD2d 826; *National Labor Relations Bd. v Sears, Roebuck & Co.,* 421 US 132; *Maricopa Audubon Socy. v United States Forest Serv.,* 108 F3d 1089; *Rothenberg v City Univ. of*

N.Y., 191 AD2d 195, 81 NY2d 710.) III. The Appellate Division erred as a matter of law in holding that the Fire Department could not, prior to disclosure, redact from the records of the oral histories passages recounting moments of high emotion and revealing personal details. Such material comes within the exemption for personal privacy. (*Matter of Encore Coll. Bookstores v Auxiliary Serv. Corp. of State Univ. of N.Y. at Farmingdale,* 87 NY2d 410.) IV. Contrary to the holdings of the Supreme Court and the Appellate Division, the Fire Department did show that the law enforcement exemption under the Freedom of Information Law applied to the records at issue. The Fire Department compiled these records for law enforcement purposes, namely, at the request of the prosecution in the Zacarias Moussaoui criminal case. Disclosure of the records that may be offered into evidence at trial would interfere with the Moussaoui trial and endanger Moussaoui's right to a fair trial. (*John Doe Agency v John Doe Corp.,* 493 US 146.)

Norman Siegel, New York City, and *Kramer Levin Naftalis & Frankel LLP* (*Thomas H. Moreland, Ilyssa B. Sena* and *Jennifer Jones* of counsel) for intervenors-appellants. I. The privacy exemption does not apply to any of the materials. (*Matter of M. Farbman & Sons v New York City Health & Hosps. Corp.,* 62 NY2d 75; *Matter of Buffalo News v Buffalo Enter. Dev. Corp.,* 84 NY2d 488; *Matter of Fink v Lefkowitz,* 47 NY2d 567; *Matter of American Socy. for Prevention of Cruelty to Animals v Board of Trustees of State Univ. of N.Y.,* 147 Misc 2d 847; *Matter of Tri-State Publ. Co. v City of Port Jervis,* 138 Misc 2d 147; *National Archives and Records Admin. v Favish,* 541 US 157; *Matter of Encore Coll. Bookstores v Auxiliary Serv. Corp. of State Univ. of N.Y. at Farmingdale,* 87 NY2d 410; *Anthony v City of New York,* 339 F3d 129; *Matter of Empire Realty Corp. v New York State Div. of Lottery,* 230 AD2d 270; *Bethel v New York City Tr. Auth.,* 92 NY2d 348.) II. The Appellate Division's decision should be reversed to the extent that it held that the materials fall under the intra-agency exception. (*Matter of M. Farbman & Sons v New York City Health & Hosps. Corp.,* 62 NY2d 75; *Matter of Fink v Lefkowitz,* 47 NY2d 567; *Matter of Russo v Nassau County Community Coll.,* 81 NY2d 690; *Matter of Mothers on Move v Messer,* 236 AD2d 408; *Matter of New York 1 News v Office of President of Borough of Staten Is.,* 231 AD2d 524; *Matter of Xerox Corp. v Town of Webster,* 65 NY2d 131; *Matter of David v Lewisohn,* 142 AD2d 305; *Rothenberg v City Univ. of N.Y.,* 191 AD2d 195; *Matter of MacRae v Dolce,* 130 AD2d 577; *Matter of Johnson Newspaper Corp. v Stainkamp,* 94 AD2d 825, 61 NY2d 958.)

OPINION OF THE COURT

R.S. SMITH, J.

The issue here is whether the New York City Fire Department is required by the Freedom of Information Law (FOIL) to disclose tapes and transcripts of certain conversations that occurred on and shortly after September 11, 2001. Supreme Court and the Appellate Division held that FOIL requires disclosure of some, but not all, of the materials in dispute. We affirm most of the rulings below, but we modify the Appellate Division's order in two respects.

Facts and Procedural History

Some four months after the September 11 attacks on the World Trade Center, Jim Dwyer, a New York Times reporter, requested "various records" from the Fire Department. In the two requests that are still disputed, he asked for:

> "All transcripts of interviews conducted by the department with members of the FDNY concerning the events of Sept. 11, 2001. (These might be called 'oral histories.') . . .
>
> "Any and all tapes and transcripts of any and all radio communications involving any FDNY personnel on Sept. 11, starting from 8:46 AM."

The Fire Department denied the first of the above requests, and also denied the second in large part. As a result, three categories of tapes and transcripts are now at issue. They contain: (1) calls made on September 11 to the Department's 911 emergency service; (2) calls made on the same day on the Fire Department's internal communications system, involving Department dispatchers and other employees, which are referred to as "dispatch calls"; and (3) "oral histories," consisting of interviews with firefighters in the days following September 11.

The New York Times and Dwyer brought this CPLR article 78 proceeding to compel disclosure. Later, family members of eight men who died at the World Trade Center were permitted to intervene in support of the Times's and Dwyer's position. No family member of anyone else killed in the September 11 attacks has appeared on either side.

Supreme Court ordered disclosure of tapes and transcripts containing: (1) the 911 calls, to the extent that the words recorded are those of public employees and of the eight men whose survivors sought disclosure, but redacted to delete the words of other people who called 911; (2) the dispatch calls, redacted to delete the opinions and recommendations of Fire Department employees; and (3) the oral histories, redacted to delete opinions and recommendations and the ''personal expressions of feelings'' of the interviewees. The Appellate Division affirmed these rulings, except that it ordered the ''personal expressions of feelings'' in the oral histories disclosed. We granted both sides' motions for leave to appeal.

In this Court, the Times, Dwyer and the intervenors seek disclosure of all materials in all three categories. The Fire Department asks us to affirm the Appellate Division's order with two exceptions: It asks us to ''reinstate'' Supreme Court's ruling by authorizing the redaction from the oral histories of ''passages recounting moments of high emotion and revealing personal details,'' and it asks that disclosure be denied as to six records said by the United States Department of Justice to be possible exhibits in the impending federal criminal trial of Zacarias Moussaoui, who is alleged to have had a role in the September 11 attacks.

We now affirm the Appellate Division's order with two modifications: (1) we direct that the entire oral histories be disclosed, except for specifically-identified portions that can be shown likely to cause serious pain or embarrassment to an interviewee; and (2) we direct that the Department of Justice be given a chance to demonstrate that disclosure of the six potential exhibits would interfere with the Moussaoui case, or would deprive either the United States Government or Moussaoui of a fair trial.

Discussion

FOIL requires state and municipal agencies to ''make available for public inspection and copying all records,'' subject to 10 exceptions (Public Officers Law § 87 [2]). Here, the Fire Department relies on three of those exceptions—the ''privacy,'' ''law enforcement'' and ''intra-agency'' exceptions. To the extent they are relevant here, these exceptions permit agencies to

> ''deny access to records or portions thereof that:
>
> . . .
>
> ''(b) if disclosed would constitute an unwarranted invasion of personal privacy under the provisions of

> subdivision two of section eighty-nine of this article;
>
> . . .
>
> ''(e) are compiled for law enforcement purposes and which, if disclosed, would:
>
> ''i. interfere with law enforcement investigations or judicial proceedings; [or]
>
> ''ii. deprive a person of a right to a fair trial or impartial adjudication; . . .
>
> ''(g) are inter-agency or intra-agency materials which are not:
>
> ''i. statistical or factual tabulations or data; [or]
>
> ''ii. instructions to staff that affect the public.'' (*Id.*)

The Fire Department contends that the privacy exception applies to the portions of the 911 calls that are in dispute; that the intra-agency exception applies to the disputed portions of the dispatch calls; and that both these exceptions apply to portions of the oral histories. The Department also contends that the law enforcement exception applies to the six potential exhibits at the Moussaoui trial, but it does not identify those six exhibits or say which categories they belong to. Thus, we first consider the application of the privacy and intra-agency exceptions to each category of materials, and then discuss the law enforcement exception.

A. The 911 Calls

[1] The Fire Department does not now oppose disclosure of the words spoken in the 911 calls by 911 operators, or by the eight men whose families are seeking disclosure. Thus, the only issue before us is whether the disclosure of words spoken by other callers would constitute an ''unwarranted invasion of personal privacy.'' Supreme Court and the Appellate Division both held that it would, and, in view of the extraordinary facts in this case, we agree.

We first reject the argument, advanced by the parties seeking disclosure here, that no privacy interest exists in the feelings and experiences of people no longer living. The privacy exception, it is argued, does not protect the dead, and their survivors cannot claim ''privacy'' for experiences and feelings that are not their own. We think this argument contradicts the common understanding of the word ''privacy.''

Almost everyone, surely, wants to keep from public view some aspects not only of his or her own life, but of the lives of loved ones who have died. It is normal to be appalled if intimate moments in the life of one's deceased child, wife, husband or other close relative become publicly known, and an object of idle curiosity or a source of titillation. The desire to preserve the dignity of human existence even when life has passed is the sort of interest to which legal protection is given under the name of privacy. We thus hold that surviving relatives have an interest protected by FOIL in keeping private the affairs of the dead (*cf. National Archives and Records Admin. v Favish*, 541 US 157 [2004]).

The recognition that surviving relatives have a legally protected privacy interest, however, is only the beginning of the inquiry. We must decide whether disclosure of the tapes and transcripts of the 911 calls would injure that interest, or the comparable interest of people who called 911 and survived, and whether the injury to privacy would be ''unwarranted'' within the meaning of FOIL's privacy exception. Public Officers Law § 87 (2) (b), which creates the privacy exception, refers to section 89 (2), which contains a partial definition of ''unwarranted invasion of personal privacy,'' but section 89 (2) (b) is of little help here; it says only that ''[a]n unwarranted invasion of personal privacy includes, but shall not be limited to'' six specific kinds of disclosure. None of the six is relevant to this case, and so we must decide whether any invasion of privacy here is ''unwarranted'' by balancing the privacy interests at stake against the public interest in disclosure of the information.

The privacy interests in this case are compelling. The 911 calls at issue undoubtedly contain, in many cases, the words of people confronted, without warning, with the prospect of imminent death. Those words are likely to include expressions of the terror and agony the callers felt and of their deepest feelings about what their lives and their families meant to them. The grieving family of such a caller—or the caller, if he or she survived—might reasonably be deeply offended at the idea that these words could be heard on television or read in the New York Times.

We do not imply that there is a privacy interest of comparable strength in all tapes and transcripts of calls made to 911. Two factors make the September 11 911 calls different. First, while some other 911 callers may be in as desperate straits as those who called on September 11, many are not. Secondly, the September 11 callers were part of an event that has received and will continue to receive enormous—perhaps literally unequalled—public attention. Many millions of people have reacted, and will react, to the callers' fate with horrified fascination. Thus it is highly likely in this case—more than in almost any other imaginable—that, if the tapes and transcripts are made public, they will be replayed and republished endlessly, and that in some cases they will be exploited by media seeking to deliver sensational fare to their audience. This is the sort of invasion that the privacy exception exists to prevent.

We acknowledge that not everyone will have the same reaction to disclosure of the 911 tapes. The intervenors in this case, whose husbands and sons died at the World Trade Center, favor disclosure. They may feel, as other survivors may also, that to make their loved ones' last words public is a fitting way to allow the world to share the callers' sufferings, to admire their courage, and to be justly enraged by the crime that killed them. This normal human emotion is no less entitled to respect than a desire for privacy. Recognizing this, the Fire Department does not challenge the lower courts' rulings that the words of the eight relatives of the intervenors be disclosed, and has assured us that it will honor similar requests made in the future by the families of other September 11 callers. That commitment must be kept. Surviving callers who want disclosure are also entitled to it (Public Officers Law § 89 [2] [c] [ii]). But the privacy interests of those family members and surviving callers who do not want disclosure nevertheless remain powerful.

On the other hand, there is a legitimate public interest in the disclosure of these 911 calls. In general, it is desirable that the public know as much as possible about the terrible events of September 11. And more specifically, as the Times and Dwyer point out, the public has a legitimate interest in knowing how well or poorly the 911 system performed on that day. The National Commission on Terrorist Attacks Upon the United States, which had access to the tapes and transcripts at issue here, identified significant flaws in the system's performance (9/11 Commission Report, at 286-287, 295, 304, 318, available on the Internet at <http://www.9-11commission.gov>, cached at <http://www.courts.state.ny.us/reporter/webdocs/fullreport.pdf>), and more public scrutiny might make these problems better understood. But the parties seeking disclosure here do not request only particular calls that may be relevant to this subject; they seek complete disclosure of all the 911 calls.

We are not persuaded that such disclosure is required by the public interest. Those requesting it have not shown that the information that will be disclosed under our ruling—including the words of the 911 operators, and of callers whose survivors seek, or who themselves seek, disclosure—will be insufficient to meet the public's need to be informed. We conclude that the public interest in the words of the 911 callers is outweighed by the interest in privacy of those family members and callers who prefer that those words remain private.

B. The Dispatch Calls

[2] The dispatch calls are communications within the Fire Department; the only participants in the calls were Department dispatchers and other Department employees. The tapes and transcripts of these calls are therefore ''intra-agency materials,'' and are protected from disclosure by Public Officers Law § 87 (2) (g) unless they fit within one of two exclusions from the intra-agency exception: the exclusions for ''statistical or factual tabulations or data'' (§ 87 [2] [g] [i]) and for ''instructions to staff that affect the public'' (§ 87 [2] [g] [ii]). We interpreted the first of these exclusions in *Matter of Gould v New York City Police Dept.* (89 NY2d 267, 277 [1996]), where we said that ''[f]actual data . . . simply means objective information, in contrast to opinions, ideas, or advice exchanged as part of the consultative or deliberative process of government decision making'' (citations omitted). Here, Supreme Court and the Appellate Division ordered that the dispatch calls be disclosed to the extent they consist of factual statements or instructions affecting the public, but that they be redacted to eliminate nonfactual material—i.e., opinions and recommendations. This is, in our view, a straightforward and correct application of the statute as we interpreted it in *Gould*.

The parties seeking disclosure argue otherwise, relying on cases in which we have characterized the intra-agency exception as being applicable to '' 'deliberative material,' i.e., communications exchanged for discussion purposes not constituting final policy decisions'' (*Matter of Russo v Nassau County Community Coll.*, 81 NY2d 690, 699 [1993], citing *Matter of Xerox Corp. v Town of Webster*, 65 NY2d 131 [1985]). In *Russo* and *Xerox*, however, we were concerned with materials that were arguably not ''intra-agency'' at all—in *Russo*, films shown by a public college to its students, and in *Xerox*, a report prepared for a public agency by an outside consultant. In deciding that the films were not intra-agency materials, and that the report was, we relied on the facts that the films were not used by the college as part of an internal decision-making process, while the report was used for just that purpose. Neither case implies that materials that fit squarely within the plain meaning of ''intra-agency''—in this case, tapes and transcripts of internal conversations about the agency's work—are not within the scope of the intra-agency exception to FOIL.

The parties seeking disclosure also rely on our reference in *Gould* to ''the consultative or deliberative process of government decision making'' (81 NY2d at 277). But we used those words in *Gould* simply to define the scope of the ''factual data'' exclusion from the intra-agency exception; we spoke of ''objective information, in contrast to'' exchanges that were part of ''the consultative or deliberative process.'' (*Id.*) *Gould* does not hold, as the parties seeking disclosure seem to suggest, that the intra-agency exception shields from disclosure only formal, lengthy or profound policy discussions.

The point of the intra-agency exception is to permit people within an agency to exchange opinions, advice and criticism freely and frankly, without the chilling prospect of public disclosure (*see Xerox*, 65 NY2d at 132, citing *Matter of Sea Crest Constr. Corp. v Stubing*, 82 AD2d 546, 549 [2d Dept 1981]). This purpose applies not only to comments made in official policy meetings and well-considered memorandums, but also to suggestions and criticisms offered with little chance for reflection in moments of crisis. A Fire Department dispatcher who believes that a rescue operation is being badly handled should feel free to say so without the concern that a tape of his or her remarks will be made public.

C. The Oral Histories

[3] The record here leads us to conclude, subject to the qualification discussed below, that the oral histories are not protected from disclosure by either the privacy or the intra-agency exception. We infer from the record that the oral histories were exactly what their name implies—spoken words recorded for the benefit of posterity—and that the Department intended, and the people interviewed for these histories understood or reasonably should have understood, that the words spoken were destined for public disclosure. If this inference is correct, the privacy exception obviously has no application here. Nor does the intra-agency exception apply where, though agency employees are speaking to each other, the agency and the employees understand and intend that a tape of the conversation will be made public. The point of the intra-agency exception, as we explained above, is to permit the internal exchange of candid advice and opinions between agency employees. The exception is not applicable to words that are intended to be passed on verbatim to the world at large.

The record evidence about the purpose and origin of the oral histories comes largely from an affidavit submitted by a representative of the Fire Department. The affidavit adopts the title ''oral histories,'' previously used in Dwyer's request, to identify these materials, and says that after September 11 the Fire Department decided ''to promptly record the recollections of Fire Department personnel who were present at the World Trade Center site on that day.'' These recollections, the affidavit says, were collected for two purposes: ''to be an invaluable historical record, in addition to assisting in any investigations or assessments of the incident.''

The Fire Department's affidavit also says that all interviewees ''were assured that the interviews would be held in complete confidence.'' This statement, if true, would be highly relevant to this case—but it was later acknowledged to be in error. The parties stipulated that the Fire Department ''has withdrawn its claim that each of these interviews ('oral histories') with Fire Dept. personnel was recorded with a promise of confidentiality to the interviewee, since it has come to the [Department's] attention that only some interviews included such a promise.'' After the stipulation, the Fire Department made no attempt to substantiate even the claim that ''some'' interviewees were promised confidentiality. The Department does not now rely on the existence of any such promise.

While the record is less clear than it might be, it establishes that the interviews were intended as an ''historical record''—which implies that the interviews would be disclosed to the public. If that is the case, they should not be protected from disclosure merely because they also were, as the Fire Department says, intended to be used in ''investigations or assessments.'' The record does not show that any interviewee was given a promise of confidentiality or led to believe that his or her words would be kept secret. Thus, the best inference is that the Department intended, and the interviewees knew or should have known, that the words spoken in the interviews would become a public record. If this is not true the burden was on the Department—which is in possession of the relevant facts—to prove otherwise (*see Matter of Newsday, Inc. v Empire State Dev. Corp.*, 98 NY2d 359, 362 [2002]; *Matter of Mantica v New*

York State Dept. of Health, 94 NY2d 58, 61 [1999]). The Department has not met that burden.

This logic leads to the conclusion that all of the oral histories are discloseable under FOIL. We add one qualification, however, because we are given pause by the Fire Department's insistence that ''the oral histories contain numerous statements which are exceedingly personal in nature, describing the interviewees' intimate emotions such as fears, concern for themselves and loved ones, and horror at what they saw and heard.'' If indeed some firefighters made such statements in what they were led to believe was a private setting, it may be unfair to invade their privacy based solely on the inadequacy of the evidence the Department has submitted. We therefore direct that the Department be given an opportunity, on remand, to call to Supreme Court's attention specific portions of the oral histories which, in the Fire Department's view, would cause serious pain or embarrassment to interviewees if they were disclosed. Supreme Court should then consider, following an in camera inspection if necessary, whether those portions of the oral histories are subject to the privacy exception, taking into account any further evidence that may be submitted on the question of whether the interviewees thought the interviews were private.

D. The Law Enforcement Exception

[4] As to the six unidentified tapes and/or transcripts which the United States Department of Justice has said it intends to use in evidence at the trial of Zacarias Moussaoui, the issue is whether they were ''compiled for law enforcement purposes'' and whether their disclosure would either ''interfere with law enforcement investigations or judicial proceedings'' or would ''deprive a person of a right to a fair trial or impartial adjudication.'' We agree with the courts below that, on this record, there is no showing that disclosure would interfere with the Moussaoui trial or cause any unfairness.

The materials in issue are already in the Justice Department's possession, and have been made available to Moussaoui; thus their public disclosure would not give the equivalent of discovery to either side in the criminal case. Theoretically, their disclosure before Moussaoui's jury is selected might create some prejudice among potential jurors. But the items cannot, by their nature, contain anything specifically relating to Moussaoui; they relate to the September 11 events generally. Potential jurors are already exposed to an enormous mass of publicly available information about the events of September 11—most of which obviously will not be offered in evidence at the Moussaoui trial. In this context, it is hard to see how the public disclosure of six items that the jury will see at trial anyway could have any significant effect on the federal court's ability to impanel an impartial jury.

In short, the record would justify affirming the Appellate Division's ruling that the law enforcement exception does not apply to the records in issue. Once again, however, we qualify our conclusion, because we are mindful of the enormous importance to the public interest of an orderly and fair trial for Moussaoui. The federal court has shown some concern about pretrial publicity; it has entered an order, binding on the parties to the Moussaoui case—though not, of course, on the Fire Department or the Times—prohibiting disclosure of ''discovery materials'' produced by the prosecutors to Moussaoui and his counsel. It may be that there is some good reason, not apparent from the record before us, why the disclosure of the six potential exhibits at issue here would create problems in the criminal case, and it can do no harm for the Department of Justice to have an opportunity to point out such a good reason to Supreme Court. If such a submission is made, Supreme Court should decide, in light of the additional information submitted and following an in camera inspection if necessary, whether the potential exhibits are subject to the law enforcement exception to FOIL.

Conclusion

Accordingly, the order of the Appellate Division should be modified to the extent described in this opinion, and, as modified, affirmed, without costs.

Rosenblatt, J. (dissenting in part). I disagree with the majority only with respect to the 911 calls. The Freedom of Information Law (FOIL) requires more disclosure. The public is well aware of the function of the 911 system and the sort of information it is designed to relay. Ordinarily, there is no reasonable expectation of privacy in a call to 911, and the full contents are generally subject to disclosure under FOIL.[1]

Here, because of the unique nature of the attack, the Court

1. Other courts considering the availability of 911 calls under FOIL have uniformly required their disclosure, and the majority appears to be in agreement in the ordinary case (*see* majority op at 484). In *State ex rel. Cincin-*

(n. cont'd)

has ordered disclosure of words spoken by the operators, while deleting the words of the callers. There is, of course, a need to balance the competing public and private interests. On the side of full disclosure lies the public's interest in a complete and coherent account of what happened on September 11, 2001. FOIL's goal of making information public is inhibited when only half the conversation is divulged. The value of a response is compromised when the words that prompt the response are deleted. In some instances, the thrust of an incomplete communication can be inferred or constructed; in others it will be incoherent or even misleading.

The public interest supports disclosure broader than the Court has allowed. September 11th is a date burned in the minds of Americans, an event in which our security was profoundly violated. Precisely because of the importance of the September 11th attacks, Americans deserve to have as full an account of that event as can be responsibly furnished. Indisputably, the 911 tapes would shed light on the effectiveness of the City's disaster response. In turn, the City (and other municipalities) may adopt response plans that take into account the lessons of September 11th. This will surely save lives in the event of future disasters or emergencies. Indeed, the public report of the National Commission on Terrorist Attacks Upon the United States found various inadequacies in the City's 911 system and clearly found value in reviewing the 911 tapes (*see* 9/11 Commission Report, at 286-296, available on the Internet at <http://www.9-11commission.gov>, cached at <http://www.courts.state.ny.us/reporter/webdocs/fullreport.pdf>).

Balanced against disclosure is FOIL's narrow exception for an "unwarranted invasion of personal privacy" (Public Officers Law § 87 [2] [b]; § 89 [2] [b]). I agree with the Court that those who suffered the loss of loved ones could be traumatized by the disclosure of tapes that identify victims and contain dramatic, highly personal utterances different from ordinary 911 calls. Not every call, however, falls into that category. But for their connection with September 11th, many of the calls in question

nati Enquirer v Hamilton County (75 Ohio St 3d 374, 377-378, 662 NE2d 334, 337 [1996]), the Ohio Supreme Court held that there was no expectation of privacy in a 911 call and, accordingly, ordered the release of 911 tapes under that state's version of FOIL. It further held that the tapes became public records at the moment they were made and that their content was irrelevant (*see* 75 Ohio St 3d at 378, 662 NE2d at 337). In accord are *Meredith Corp. v City of Flint* (256 Mich App 703, 708-709, 671 NW2d 101, 104-105 [2003]), *Asbury Park Press v Lakewood Twp. Police Dept.* (354 NJ Super 146, 161, 804 A2d 1178, 1187 [Ocean County 2002]) and *Brazas v Ramsey* (291 Ill App 3d 104, 106-107, 682 NE2d 476, 477-478 [2d Dist 1997], *appeal denied* 174 Ill 2d 555, 686 NE2d 1158 [1997]).

are ordinary 911 calls: people reporting factual information and seeking help.[2] Notably, the City has not provided any affidavits from survivors or victims' family members suggesting that disclosure of 911 tapes, or any other material sought, would violate their privacy. The record contains only the opposite: affidavits from nine intervenors, family members who want full disclosure. Nevertheless, I do not challenge the majority's assumption that full disclosure would cause considerable anguish to many victims' families.

Even so, the goals of privacy and openness can both be met by additional, limited disclosure. I would expand the majority's ruling and release a written transcript of the callers' side of the 911 conversations.[3] The City could redact everything that would identify nonofficial callers in calls that have some unusually personal component, such as an expression of dying wishes to be relayed to family members, as opposed to the ordinary reporting of crime scene facts. With such calls, the City should, however, be allowed to withhold any utterance that would by name or other means identify the caller. The public interest would be served by meaningful disclosure, while the grieving families and friends of the callers would be spared the agony of having their personal lives and emotions thrust into the public realm.

My final thought relates to the performance of the firefighters, police officers and others who spearheaded the rescue efforts. It may well be that the 911 transcripts reveal imperfections or mistakes amid the chaos. This, however, is no reason to withhold the transcripts. On the contrary, they will give the public the clearest picture of how the first responders reacted, and that picture should be as comprehensive as possible. The revelation of any deficiencies on the part of the departments or their personnel is essential to improving and enhancing lifesaving procedures. Of course, no one can rightly expect perfection and exquisite orderliness in the face of an attack as horrific as this one. Exposing mistakes may prove discomforting, but this

2. The 9/11 Commission, for instance, cites the testimony of a person who called 911 from the 31st floor of the South Tower and complained that he had been put on hold multiple times before deciding on his own to flee the building (*see* 9/11 Commission Report, *supra*, at 295).

3. *See generally New York Times Co. v National Aeronautics & Space Admin.*, 920 F2d 1002 (DC Cir 1990) (where the majority remanded for a balancing test to determine whether a complete transcript or tapes must be disclosed under the federal Freedom of Information Act [5 USC § 552]).

will pale in the face of the unforgettable heroics that we will always associate with September 11th. For every person critical of an error or omission, ten thousand voices will rise up in praise of the firefighters, police officers and others who risked life and limb in the line of duty.

Judges G.B. SMITH, GRAFFEO and READ concur with Judge R.S. SMITH; Judge ROSENBLATT dissents in part in a separate opinion in which Chief Judge KAYE and Judge CIPARICK concur.

Order modified, without costs, by remitting to Supreme Court, New York County, for further proceedings in accordance with the opinion herein and, as so modified, affirmed.

[829 NE2d 295, 796 NYS2d 331]

THE PEOPLE OF THE STATE OF NEW YORK, Appellant, v FAYE DUNN, Respondent.

Argued March 31, 2005; decided April 28, 2005

SUMMARY

APPEAL, by permission of an Associate Judge of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Second Judicial Department, entered June 8, 2004. The Appellate Division granted the People's motion for reargument and, upon reargument, adhered to an order of that Court entered December 22, 2003 (op 2 AD3d 747) dismissing the plaintiff's appeal from an order of the Supreme Court, Kings County (Anne G. Feldman, J.), which had, sua sponte, set aside defendant's conviction, upon a jury verdict, of murder in the second degree.

People v Dunn, 2 AD3d 747, affirmed.

HEADNOTE

Crimes — Appeal — Appeal from Sua Sponte Order Setting Aside Verdict

The People may not appeal pursuant to CPL 450.20 (3) from a sua sponte order of the trial court setting aside defendant's guilty verdict pursuant to Judiciary Law § 2-b (3) on the ground that defense counsel had failed to meaningfully represent defendant. Although CPL 450.20 (3) authorizes an appeal by the People from an order setting aside a verdict pursuant to CPL 330.30 or 370.10, the trial court's order here was premised on Judiciary Law § 2-b (3), which is not one of the enumerated statutory predicates for an appeal by the People. The order must instead be challenged in a CPLR article 78 proceeding.

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By the Publisher's Editorial Staff

AM JUR 2d, Appellate Review § 222; AM JUR 2d, Criminal Law §§ 1185, 1223; AM JUR 2d, Trial § 1953.

CARMODY-WAIT 2d, Courts and Their Jurisdiction § 2:248; CARMODY-WAIT 2d, Criminal Procedure § 172:4331.

LAFAVE, ET AL., CRIMINAL PROCEDURE (3d ed) § 27.3.

MCKINNEY'S, CPL 450.20 (3); Judiciary Law § 2–b (3).

NY JUR 2d, Criminal Law §§ 783, 3054, 3158, 3161.

ANNOTATION REFERENCE

See ALR Index under Appeal and Error; Criminal Procedure Rules.

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POINTS OF COUNSEL

Charles J. Hynes, District Attorney, Brooklyn (*Seth M. Lieberman, Leonard Joblove* and *Ann Bordley* of counsel), for appellant. The trial court's order setting aside the verdict was appealable pursuant to CPL 450.20 (3). Consequently, the Appellate Division erred in dismissing the People's appeal from the trial court's order. (*People v Hernandez,* 98 NY2d 8; *People v Laing,* 79 NY2d 166; *People v McDonald,* 68 NY2d 1; *People v Carthrens,* 171 AD2d 387; *People v Carter,* 63 NY2d 530; *People v Fai Cheung,* 247 AD2d 405; *Matter of Theroux v Reilly,* 1 NY3d 232; *Matter of Jose R.,* 83 NY2d 388; *People v Sanchez,* 276 AD2d 723; *People v Rice,* 199 AD2d 1054.)

Feldman and Feldman, Uniondale (*Steven A. Feldman* of counsel), for respondent. This Court should affirm the order of the Appellate Division, which correctly found it lacked jurisdiction to hear the People's appeal, because section 450.20 of the Criminal Procedure Law does not authorize an appeal from an order setting aside a verdict made on a trial court's own motion. (*People v Linares,* 2 NY3d 507; *People v Baldi,* 54 NY2d 137; *People v Harris,* 98 NY2d 452; *People v Dorta,* 56 AD2d 607; *Neder v United States,* 527 US 1; *People v McDonald,* 68 NY2d 1; *Tippins v Walker,* 77 F3d 682; *People v Coppa,* 45 NY2d 244; *People v Edwards,* 78 AD2d 582; *People v Bussey,* 6 AD3d 621.)

OPINION OF THE COURT

GRAFFEO, J.

The issue in this case is whether CPL 450.20 allows the People to appeal from a sua sponte order of a trial court setting aside a verdict pursuant to Judiciary Law § 2-b (3). We conclude that such an appeal is not authorized by the Criminal Procedure Law and must instead be challenged in a CPLR article 78 proceeding.

Defendant was charged with murder and related offenses stemming from her alleged participation in a shooting outside a Brooklyn nightclub. She was convicted of murder in the second degree and moved to set aside the verdict under CPL 330.30. Supreme Court denied the motion but nevertheless overturned the verdict sua sponte. Relying on Judiciary Law § 2-b (3) in a procedure that the trial judge recognized to be ''highly unusual,''* the court vacated defendant's conviction on the ground that defense counsel had failed to meaningfully represent defendant.

The People's appeal from the order was dismissed by the Appellate Division. The Court concluded that the Criminal Procedure Law does not authorize an appeal by the People from an order setting aside a verdict made on a trial court's own motion. The Appellate Division adhered to its determination on reargument. A Judge of this Court granted leave to appeal and we now affirm.

It is well settled that ''[n]o appeal lies from a determination made in a criminal proceeding unless specifically provided for by statute'' (*People v Hernandez*, 98 NY2d 8, 10 [2002]). CPL 450.20 delineates the orders that may be appealed by the People to an intermediate appellate court. As relevant to this case, subdivision (3) of the statute authorizes a People's appeal from ''[a]n order setting aside a verdict, entered pursuant to section 330.30 or 370.10'' of the Criminal Procedure Law. The trial court's order in this case, however, was premised on Judiciary Law § 2-b (3), which is not one of the enumerated statutory predicates for an appeal by the People. Consequently, the trial court's order was facially nonappealable under CPL 450.20 (3).

The People, recognizing that the trial court relied upon Judiciary Law § 2-b (3) to set aside the verdict, contend that the court's order should be deemed to have been made pursuant to CPL 330.30 because it was based on the ineffective assistance of counsel, a claim that could have been reviewed on direct appeal. In light of the unequivocal declaration by the trial court that it was not relying on CPL 330.30, we will '' 'not resort to interpretative contrivances to broaden the scope and application' '' of CPL 450.20 (*People v Hernandez*, 98 NY2d at 10, quoting *People v Laing*, 79 NY2d 166, 170-171 [1992]), especially when an adequate legal remedy aside from a direct appeal was available to the People. As we explained in *Matter of Pirro v Angiolillo* (89 NY2d 351 [1996]), the People may seek a writ of prohibition in a CPLR article 78 proceeding when a trial court clearly acts in excess of its authorized powers and there is ''no adequate remedy at law'' to address the People's grievance (*id.*

* Judiciary Law § 2-b (3) provides that a court may ''devise and make new process and forms of proceedings, necessary to carry into effect the powers and jurisdiction possessed by it.''

at 359). Here, as in *Pirro*, the proper vehicle for the People to challenge Supreme Court's order was an article 78 proceeding, not a direct appeal.

Accordingly, the order of the Appellate Division should be affirmed.

Chief Judge KAYE and Judges G.B. SMITH, CIPARICK, ROSENBLATT, READ and R.S. SMITH concur.

Order affirmed.

[829 NE2d 1188, 797 NYS2d 20]

LEWIS KOVIT et al., Respondents, v ESTATE OF KATHERINE HALLUMS, Deceased, Respondent, and CITY OF NEW YORK, Appellant, et al., Defendant.

Argued and submitted March 29, 2005; decided May 3, 2005

NORMAN LAZAN et al., Respondents, v COUNTY OF SUFFOLK, Appellant.

Argued March 29, 2005; decided May 3, 2005

SUMMARY

APPEAL, in the first above-entitled action, by permission of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Second Judicial Department, entered July 28, 2003. The Appellate Division (1) modified, on the facts and as an exercise of discretion, an amended judgment of the Supreme Court, Kings County (Richard Rivera, J.), entered upon a jury verdict in favor of plaintiffs finding defendant City of New York 97% at fault in the happening of the accident and awarding plaintiff Lewis Kovit the sum of $5,000,000 for past pain and suffering, $10,000,000 for future pain and suffering, $440,381 for past loss of earnings, and $800,618 for future loss of earnings, and awarding plaintiff Marie Kovit the sum of $250,000 on her derivative cause of action, and (2) affirmed an order of that Supreme Court (Sebastian Leone, J.), which had denied defendant's motion pursuant to CPLR 4404 to set aside the verdict. The modification consisted of deleting the provisions thereof awarding plaintiff Lewis Kovit damages for past and future pain and suffering. As so modified, the Appellate Division affirmed the judgment and granted a new trial on the issue of damages for past and future pain and suffering only, unless plaintiff Lewis Kovit stipulated to reduce the verdict as to past pain and suffering from the sum of $5,000,000 to the sum of $2,000,000, and as to future pain and suffering from the sum of $10,000,000 to the sum of $1,750,000, and to the entry of an amended judgment accordingly. In the event that plaintiff Lewis Kovit so stipulated, the judgment, as so reduced and amended, was deemed affirmed. Plaintiff Lewis Kovit so stipulated.

APPEAL, in the second above-entitled action, by permission of the Appellate Division of the Supreme Court in the Second Judicial Department, from an order of that Court, entered October 18, 2004. The Appellate Division affirmed an order of the Supreme Court, Suffolk County (Arthur G. Pitts, J.), which had denied defendant's motion for summary judgment dismissing the complaint. The following question was certified by the Appellate Division: ''Was the decision and order of this court dated October 18, 2004, properly made?''

Kovit v Estate of Hallums, 307 AD2d 336, reversed.

Lazan v County of Suffolk, 11 AD3d 589, reversed.

HEADNOTES

Municipal Corporations — Tort Liability — Police — Special Relationship

1. Defendant City could not be held liable for injuries sustained by plaintiff when he was struck by a vehicle allegedly due to a city police officer's negligence in telling the driver to move her vehicle while she was unfit to drive. A municipality is not liable for the negligent performance of a discretionary act in the absence of a special relationship between the plaintiff and the municipality. Here, there was no special relationship between plaintiff and the City. The City did not assume a duty to plaintiff since there was no direct contact between the police officer and plaintiff.

Municipal Corporations — Tort Liability — Police — Special Relationship

2. In an action against defendant County to recover for injuries sustained by plaintiff when he lost control of his vehicle and drove into a guardrail after a county police officer told him to move his vehicle from the shoulder of an expressway, the County was entitled to summary judgment dismissing the complaint notwithstanding that plaintiff allegedly told the officer he had chest pains and was not feeling well before the officer directed plaintiff to move his vehicle. A municipality is not liable for the negligent performance of a discretionary act in the absence of a special relationship between the plaintiff and the municipality. For there to be special relationship-based liability, a municipality's agent must be clearly on notice of palpable danger, as where it is so obvious that a layman would ascertain it without inquiry, or where a person unambiguously communicated his incapacity to the officer. Here, the County did not assume a duty to plaintiff since plaintiff never expressly told the police officer he was too sick to drive, and it was not manifestly clear to the officer that plaintiff was so disabled that he could not drive a short distance to a safer location.

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By the Publisher's Editorial Staff

Am Jur 2d, Municipal, County, School, and State Tort Liability §§ 99, 100, 102–105, 446.

NY Jur 2d, Government Tort Liability §§ 10, 12–14, 25, 130, 146, 147, 153.

New York Pattern Jury Instructions—Civil, PJI 2:229A.

Prosser and Keeton, Torts (5th ed) § 131.

ANNOTATION REFERENCE

Modern status of rule excusing governmental unit from tort liability on theory that only general, not particular, duty was owed under circumstances. 38 ALR4th 1194.

FIND SIMILAR CASES ON WESTLAW®

Database: NY-ORCS

Query: city county /4 police & negligen! /s discretionary /p special /2 relationship

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POINTS OF COUNSEL

Michael A. Cardozo, Corporation Counsel, New York City (*Pamela Seider Dolgow* and *Stephen J. McGrath* of counsel), for appellant in the first above-entitled action. I. The City of New York cannot be liable for the discretionary acts of its police officers undertaken at an accident scene, under this Court's controlling precedents, including *Tango v Tulevech* (61 NY2d 34 [1983]), *Kenavan v City of New York* (70 NY2d 558 [1987]), and *Lauer v City of New York* (95 NY2d 95 [2000]). As a matter of law, the judgment against the City must be reversed and the complaint dismissed. (*Rottkamp v Young,* 21 AD2d 373, 15 NY2d 831; *Mon v City of New York,* 78 NY2d 309; *Pelaez v Seide,* 2 NY3d 186; *Desmond v City of New York,* 88 NY2d 455; *Cooper v City of New York,* 81 NY2d 584; *McCormack v City of New York,* 80 NY2d 808; *Santana v Seagrave Fire Apparatus Corp.,* 305 AD2d 395, 1 NY3d 502; *Shubert v City of New York,* 301 AD2d 365; *Smullen v City of New York,* 214 AD2d 508, 86 NY2d 705.) II. The police officers were engaged in traffic regulation which is quintessentially a governmental function for which there can be no liability absent a special relationship with plaintiff, which did not exist here. The Appellate Division's holding to the contrary is in conflict with precedents of this Court, including *Balsam v Delma Eng'g Corp.* (90 NY2d 966 [1997]). (*Miller v State of New York,* 62 NY2d 506; *Lauer v City of New York,* 95 NY2d 95; *O'Connor v City of New York,* 58 NY2d 184; *Pelaez v Seide,* 2 NY3d 186; *Cuffy v City of New York,* 69 NY2d 255; *Smullen v City of New York,* 28 NY2d 66; *Kircher v City of Jamestown,* 74 NY2d 251; *Gonzalez v County of Suffolk,* 228 AD2d 411; *Pinkney v City of New York,* 50 AD2d 928, 40 NY2d 1004; *Respass v City of New York,* 288 AD2d 286.) III. The sole proximate cause of plaintiff's injuries was the unforeseeable, intervening action of Mrs. Hallums in putting her car into reverse when she intended to move her car forward, or in her car malfunctioning, not any violation of a duty by the City of New York's police officers. (*Boltax v Joy Day Camp,* 67 NY2d 617; *Solomon v City of New York,* 66 NY2d 1026; *Pulka v Edelman,* 40 NY2d 781; *Sheehan v City of New York,* 40 NY2d 496; *Dunn v State of New York,* 29 NY2d 313; *Derdiarian v Felix Contr.*

Corp., 51 NY2d 308; *Ely v Pierce,* 302 AD2d 489, 100 NY2d 505; *Tomassi v Town of Union,* 46 NY2d 91; *Saviano v City of New York,* 5 AD3d 581; *Wang v County of Rockland,* 179 AD2d 977, 80 NY2d 753.) IV. Having arrived only moments earlier at the scene of a fender-bender accident, the police officers, in directing Mrs. Hallums to move her car, which was partially blocking traffic, to a space at the side of the road, were not negligent as a matter of law. The case should have been dismissed for failure to make out a prima facie case. (*Cohen v Hallmark Cards,* 45 NY2d 493.)

Sullivan Papain Block McGrath & Cannavo, P.C., New York City (*Stephen C. Glasser* and *Vito Cannavo* of counsel), for Lewis Kovit and another, respondents in the first above-entitled action. I. In a case largely dependent upon the jury's assessment of conflicting accounts and now subject to the affirmed finding of fact rule, there was ample evidence to support the jury's finding that the police officers were negligent in that (i) as a result of her first accident, Mrs. Hallums was ''extremely distraught,'' ''extremely upset''; ''stunned, dazed'' and ''hysterical almost'' to the point that she was not in any condition to drive her vehicle; (ii) despite her apparent condition, a police officer ordered her to move her car and, when she did not comply immediately, ''insisted'' that she do so; (iii) he did so despite the fact that, according to Officer Justiniano, Mr. Kovit was standing only one foot directly behind the Hallums vehicle at the time; and (iv) the unrebutted testimony of plaintiff's police expert established that the police officer's ordering of Mrs. Hallums to move her car in the physical condition that she was in, coupled with the officer's failure to warn plaintiff standing directly behind it to get out of the way and to stop traffic, violated police procedure and constituted actionable negligence. (*Matter of Donner,* 82 NY2d 574; *Friedman v State of New York,* 67 NY2d 271; *Matter of Grinker [Rose],* 77 NY2d 703; *Birnbaum v Birnbaum,* 73 NY2d 461; *Alpert v 28 Williams St. Corp.,* 63 NY2d 557; *Adamy v Ziriakus,* 92 NY2d 396; *Candelier v City of New York,* 129 AD2d 145; *Ferrer v Harris,* 55 NY2d 285; *Toure v Avis Rent A Car Sys.,* 98 NY2d 345; *Negri v Stop & Shop,* 65 NY2d 625.) II. The City of New York's special duty and immunity for discretionary judgment defenses are inapplicable where plaintiffs' claim here is not based upon the police officers' failure to act, their exercise of acceptable choices or the allocation of resources. Since plaintiffs argued that the officers took ''positive direction and control'' of the situation and negligently set in motion a force which directly caused harm to plaintiff, liability is based upon *affirmative* misfeasance rather than nonfeasance. Neither *Balsam v Delma Eng'g Corp.* (90 NY2d 966 [1997]) nor *Lauer v City of New York* (95 NY2d 95 [2000]) nor *Pelaez v Seide* (2 NY3d 186 [2004]) is to the contrary. (*Weiner v Metropolitan Transp. Auth.,* 55 NY2d 175; *H.R. Moch Co. v Rensselaer Water Co.,* 247 NY 160; *Parvi v City of Kingston,* 41 NY2d 553; *Ramundo v Town of Guilderland,* 108 AD2d 995; *Persaud v City of New York,* 267 AD2d 220; *Persaud v City of New York,* 307 AD2d 346, 1 NY3d 502; *Johnson City Cent. School Dist. v Fidelity & Deposit Co. of Md.,* 272 AD2d 818; *Walsh v Town of Cheektowaga,* 237 AD2d 947, 90 NY2d 889; *Ferrer v Riverbay Corp.,* 214 AD2d 312; *Rodriguez v City of New York,* 189 AD2d 166.) III. As for the City of New York's brand new argument that the sole proximate cause of the accident was supposedly the intervening act by Mrs. Hallums, the City has not preserved this argument in this Court. Its proximate cause argument in the Appellate Division was directed only to the jury's allocation of fault vis-à-vis weight of the evidence and sought a new trial, not dismissal. Should the court entertain it, the jury's (and Appellate Division's) finding that the actions of the police officers were, in large part, responsible for this accident is supported by legally sufficient evidence given that Mrs. Hallums never would have moved the car on her own with Mr. Kovit standing directly behind it but for being forced to comply with the repeated "command" of a police officer to do so. (*Cohen v Hallmark Cards,* 45 NY2d 493; *Matter of Gonzalez v State Liq. Auth.,* 30 NY2d 108; *Rentways, Inc. v O'Neill Milk & Cream Co.,* 308 NY 342; *Kriz v Schum,* 75 NY2d 25; *Maheshwari v City of New York,* 2 NY3d 288; *Derdiarian v Felix Contr. Corp.,* 51 NY2d 308; *Kush v City of Buffalo,* 59 NY2d 26; *Matter of Ortenberg v Commissioner of Motor Vehs.,* 191 AD2d 898.)

Martyn, Toher, Esposito, Martyn & Adler, Mineola (*David C. Smith* of counsel), for estate of Katherine Hallums, respondent in the first above-entitled action. The jury's verdict as to defendant-respondent, estate of Katherine Hallums, was not against the weight of the evidence and should not be set aside. (*Cohen v Hallmark Cards,* 45 NY2d 493; *Matter of Poggemeyer,* 87 AD2d 822; *67 Wall St. Co. v Franklin Natl. Bank,* 44 AD2d 825, 37 NY2d 245.)

Christine Malafi, County Attorney, Hauppauge (*Christopher A. Jeffreys* of counsel), for appellant in the second above-entitled action. I. Plaintiffs cannot establish a special duty sufficient to give rise to liability against the County of Suffolk. (*Lauer v City* *of New York,* 95 NY2d 95; *De Angelis v Lutheran Med. Ctr.,* 58 NY2d 1053; *Cuffy v City of New York,* 69 NY2d 255; *Kircher v City of Jamestown,* 74 NY2d 251; *Bass v City of New York,* 38 AD2d 407, 32 NY2d 894; *Napolitano v County of Suffolk,* 61 NY2d 863; *Shinder v State of New York,* 62 NY2d 945; *Escribano v Town of Haverstraw,* 303 AD2d 621; *Pinkney v City of New York,* 50 AD2d 928, 40 NY2d 1004; *Balsam v Delma Eng'g Corp.,* 90 NY2d 966.) II. The County of Suffolk did not assume a duty to protect plaintiff. (*Parvi v City of Kingston,* 41 NY2d 553; *Florence v Goldberg,* 44 NY2d 189.) III. The County of Suffolk is entitled to immunity for the actions of its police officer. (*Tango v Tulevech,* 61 NY2d 34; *Harland Enters. v Commander Oil Corp.,* 64 NY2d 708; *Haddock v City of New York,* 75 NY2d 478; *McCormack v City of New York,* 80 NY2d 808; *Lauer v City of New York,* 95 NY2d 95.) IV. Plaintiff's fainting spell was the sole proximate cause of plaintiff's accident. (*Derdiarian v Felix Contr. Corp.,* 51 NY2d 308; *Blake v Neighborhood Hous. Servs of N.Y. City,* 1 NY3d 280; *Tishler v Town of Brookhaven,* 205 AD2d 611; *Gomez v City of New York,* 249 AD2d 362; *Tigulla v Porzio,* 255 AD2d 504; *Murray v New York City Hous. Auth.,* 269 AD2d 288; *Green v New York City Hous. Auth.,* 82 AD2d 780, 55 NY2d 966; *Silber v Motorola, Inc.,* 274 AD2d 511, 96 NY2d 704; *Babcock v County of Oswego,* 169 Misc 2d 605, 247 AD2d 843, 92 NY2d 802; *Prysock v Metropolitan Transp. Auth.,* 251 AD2d 308, 92 NY2d 817.)

Gruenberg & Kelly, PC, Ronkonkoma (*Peter Lavrenchik* of counsel), for respondent in the second above-entitled action. I. Appellant's conduct directing respondent, Norman Lazan, to move his vehicle, was misfeasance. (*Balsam v Delma Eng'g Corp.,* 90 NY2d 966; *Johnson v New York City Health & Hosps. Corp.,* 246 AD2d 88; *Persaud v City of New York,* 267 AD2d 220.) II. A special relationship existed between Norman Lazan and Officer Robert McNaughton thereby creating a duty towards Norman Lazan. (*Mastroianni v County of Suffolk,* 91 NY2d 198; *Pascucci v Board of Educ. of City of N.Y.,* 305 AD2d 103; *Cuffy v City of New York,* 69 NY2d 255; *De Long v County of Erie,* 60 NY2d 296; *Freidfertig Bldrs. v Spano Plumbing & Heating,* 173 AD2d 454; *Escribano v Town of Haverstraw,* 303 AD2d 621.) III. Aside from the special relationship, appellant assumed a duty under the circumstances. (*Parvi v City of Kingston,* 41 NY2d 553.) IV. Appellant's claim for governmental immunity is misplaced and inapplicable. (*Haddock v City of New York,* 75 NY2d 478; *Galapo v City of New York,* 219 AD2d 581.) V. Appellant's argument that plaintiff-respondent's accident was solely caused by plaintiff has been waived as not previously raised. (*Wolkstein v Morgenstern,* 275 AD2d 635; *Dunlap v United Health Servs.,* 189 AD2d 1072; *Lewis v Metropolitan Transp. Auth.,* 99 AD2d 246.) VI. Appellant's argument that there is a legally sufficient intervening or superceding cause is without merit and inapplicable.

OPINION OF THE COURT

ROSENBLATT, J.

As we explained in *Pelaez v Seide* (2 NY3d 186, 193 [2004]), municipalities generally enjoy immunity from liability for discretionary activities they undertake through their agents, except when plaintiffs establish a ''special relationship'' with the municipality. The two cases before us present questions of municipal liability for the actions of police officers in traffic situations. We conclude that in both instances the plaintiffs have not established a special relationship, and their claims must therefore be dismissed.

I. *Kovit v Estate of Hallums*

While driving her car, Katherine Hallums collided with a vehicle carrying security officers from the Kings County Hospital. According to witnesses, the accident left her shaken and so ''hysterical'' that the security officers tried to calm her down. When New York City police arrived on the scene, an officer told her to move her car forward and out of the middle of the intersection where it had stopped. Although plaintiff was standing directly behind Hallums's car, she moved the vehicle backward instead of forward, crushing plaintiff's legs between her car and the one behind her. In his suit against the City, plaintiff alleged that the police officer acted negligently when he told Hallums to move her car while she was unfit to drive.[1] A jury found the City 100% responsible for plaintiff's injuries, even though it found that Hallums was also negligent. The Appellate Division reversed, concluding that on the facts, it was impossible for Hallums to have been negligent but not in some degree responsible for plaintiff's injuries (*see* 261 AD2d 442 [2d Dept 1999]). Upon retrial, another jury found the City 97% at fault. In a second appeal, the Appellate Division upheld the li-

1. Plaintiff also sued Hallums and the other driver. Only the issue of the City's liability is before us.

ability determination (*see* 307 AD2d 336 [2d Dept 2003]).[2] We granted leave and now reverse.

[1] The police officer was exercising his discretion when he told Hallums to move her car. Even if we were to assume Hallums was unfit to drive and that the officer knew or should have known it, municipal liability to plaintiff would not follow. To hold the City liable for the negligent performance of a discretionary act, a plaintiff must establish a special relationship with the municipality.

We made this point in *Kenavan v City of New York* (70 NY2d 558, 569 [1987]). There, the plaintiff was injured because firefighters had parked fire trucks improperly. The Court held that there is municipal immunity from suit when the conduct complained of ''involves the exercise of professional judgment,'' even if the judgment was poor in retrospect (*id.*; *see also Balsam v Delma Eng'g Corp.*, 90 NY2d 966, 967 [1997]). We have municipal immunity because of what we demand from public officials in the performance of their duties. If liability flowed from every negligent action, officials would be trained to shrink from their responsibility so as to avoid possible costs to their municipal employers. We expect better of our government, and therefore protect the discretion of its agents so municipalities will encourage them to carry out their duties in the service of the public.

The exception to the rule, as we noted in *Pelaez* (2 NY3d at 193), is when the plaintiff establishes a special relationship with the municipality.[3] Here, plaintiff fails to do so. Establishing a special relationship based on a municipality's assumption of a duty requires (1) an assumption by a municipality, through promises or actions, of an affirmative duty to act on behalf of the injured party; (2) knowledge on the part of a municipality's agents that inaction could lead to harm; (3) some form of direct contact between the municipality's agents and the injured party; and (4) that party's justifiable reliance on the municipality's af-

2. Finding the award excessive, the Appellate Division modified the judgment by ordering a new trial unless plaintiff agreed to a reduction in damages.

3. *See also Kircher v City of Jamestown*, 74 NY2d 251, 255 (1989) (describing as ''legion'' the cases of this Court holding municipalities immune from suit for exercising governmental powers including police protection absent a special relationship, and holding there could be no liability when a police officer learned about a possible crime in progress but took no action).

firmative undertaking (*see Pelaez*, 2 NY3d at 202; *Cuffy v City of New York*, 69 NY2d 255, 260 [1987]).

Plaintiff does not satisfy the third element of this test.[4] The police officer's contact was with Hallums, not plaintiff. Not only was there a lack of a special relationship between plaintiff and the police officer, there was no material communication or relationship at all. As we held in *Lauer v City of New York* (95 NY2d 95, 100 [2000]), "[w]ithout a duty running directly to the injured person there can be no liability in damages, however careless the conduct or foreseeable the harm." Factually and legally, plaintiff and the police were strangers. Under those circumstances, the City cannot be held liable.

II. *Lazan v County of Suffolk*

After plaintiff pulled his car over to the shoulder of the Long Island Expressway, a Suffolk County highway patrol officer came up behind him with flashing lights. Plaintiff left his car and walked back to the police cruiser to speak with the officer. In his complaint, plaintiff alleges that he told the officer he had chest pains and was not feeling well. He did not, however, allege that he told the officer he was too ill or dizzy to drive.[5] After explaining that it was not safe to park on the side of the road, the officer told plaintiff to move his car to the nearest service station. Plaintiff drove off, but soon lost control of his car and suffered serious injuries after driving it into a guardrail and a telephone pole. Plaintiff sued Suffolk County, asserting that the police officer—with whom he alleged a special relationship—was to blame for his injuries. Supreme Court denied the County's motion for summary judgment and the Appellate Division affirmed, certifying to us the question whether its order was proper. We answer in the negative.

[2] The second prong of the *Pelaez/Cuffy* test for special relationship liability requires "knowledge on the part of a municipality's agents that inaction could lead to harm" (*Pelaez*, 2 NY3d

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4. Although the parties dispute the application of the other three elements, we need not consider them because plaintiff's failure to satisfy the third is dispositive.

5. At one point in his deposition, plaintiff explained that he told the police officer that he only parked on the shoulder because he did not feel well. He also said that he had felt dizzy and faint and did not feel like driving, but was unclear as to whether he told those things to the officer. Later in the same deposition, plaintiff stated that he could not remember what he told the officer. Moreover, the record includes a transcript of a police department internal investigation hearing where plaintiff testified that he himself did not realize he was not well enough to drive when he pulled off the shoulder.

at 202). Here, plaintiff never expressly told the police officer he was too sick to drive, and the record shows it was not manifestly clear to the officer that plaintiff was so disabled that he could not drive a short distance to a safer location. Therefore, as a matter of law, neither plaintiff's explanation to the police officer nor his appearance put the officer on notice that instructing plaintiff to remove his car from the shoulder of the expressway could lead to harm. Under these circumstances, we cannot expect the police to make a refined, expert medical diagnosis of a motorist's latent condition. Requiring them to do so would improperly burden police in carrying out their duties.

For there to be special relationship-based liability, a municipality's agent must be clearly on notice of palpable danger, as where it is so obvious that a layman would ascertain it without inquiry, or where a person unambiguously communicated his incapacity to the officer. At that point, the officer would have to weigh the danger of leaving the car in a dangerous situation (at least until help arrived) against the danger posed by having the driver move the car. This calls for discretion and could result in liability only when it is clear that the danger in having the driver move the car outweighs the danger inherent in leaving the car in place for some time. In this case, however, the highway patrol officer was not adequately on notice to satisfy this test.

Accordingly, in *Kovit*, the order of the Appellate Division should be reversed, with costs, and the complaint against the City dismissed. In *Lazan*, the order of the Appellate Division should be reversed, with costs, defendant's motion for summary judgment dismissing the complaint granted and the certified question answered in the negative.

Chief Judge KAYE and Judges G.B. SMITH, CIPARICK, GRAFFEO, READ and R.S. SMITH concur.

In *Kovit v Estate of Hallums:* Order reversed, etc.

In *Lazan v County of Suffolk:* Order reversed, etc.

[829 NE2d 661, 796 NYS2d 569]

In the Matter of ANNETTE B. ORANGE COUNTY DEPARTMENT OF SOCIAL SERVICES, Respondent; JOSEPH B., Appellant.

Argued March 30, 2005; decided May 3, 2005

SUMMARY

APPEAL, by permission of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Second Judicial Department, entered December 22, 2003. The Appellate Division affirmed an order of the Family Court, Orange County (Carol Savits Klein, J.), which, after a fact-finding hearing, had terminated respondent's parental rights on the ground of abandonment and had transferred custody and guardianship of the child to petitioner for the purpose of adoption.

Matter of Annette B., 2 AD3d 721, affirmed.

HEADNOTE

Parent and Child — Termination of Parental Rights — Abandonment

In a proceeding to terminate respondent's parental rights on the ground of abandonment, there was legally sufficient evidence that respondent, who had not seen or had contact with his daughter since she had moved away five years earlier, abandoned his daughter even though the Department of Social Services (DSS) failed to give him notice to which he was legally entitled of two previous, related proceedings involving his daughter during that five-year period. The failure of DSS to give respondent the legally required notices, although inexcusable, did not prevent or discourage him from contacting his daughter, which he admittedly did not do in the six-month period immediately prior to the filing of the petition (*see* Social Services Law § 384-b [4] [b]; [5]). Although respondent claimed to have made three attempts to locate his daughter after she moved away, he did not attempt to contact her after the abandonment proceeding was commenced and he found out that she was in foster care. Family Court was entitled to find that, even if respondent had received notice of the two previous proceedings, those notices would no more have prompted him to get in touch with his daughter than did the notice he did receive of the abandonment proceeding.

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By the Publisher's Editorial Staff

AM JUR 2d, Parent and Child §§ 16–18, 27, 36, 37.

CARMODY-WAIT 2d, Proceedings Involving Abused and Neglected Children; Juvenile Delinquents, and Persons in Need of Supervision §§ 119A:632, 119A:633, 119A:647, 119A:655, 119A:663, 119A:665, 119A:667–119A:670, 119A:693, 119A;697.

5 LAW AND THE FAMILY NEW YORK (2d ed) §§ 5:19, 5:26.
MCKINNEY'S, Social Services Law § 384–b (4) (b); (5).
NY JUR 2d, Domestic Relations §§ 1241–1243, 1256, 1260, 1261, 1281–1289, 1305–1307.

ANNOTATION REFERENCE

See ALR Index under Termination of Parental Rights.

FIND SIMILAR CASES ON WESTLAW®

Database: NY-ORCS

Query: termination /2 parental & abandon! /p fail! prevent! /5 communicat! /p notice

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POINTS OF COUNSEL

Neal D. Futerfas, White Plains, for appellant. The Appellate Division erred and abused its discretion in affirming the decision and order of the Family Court which (1) determined that respondent had proved by the requisite burden of proof that appellant had abandoned the subject child, (2) terminated appellant's parental rights to that child and (3) freed that child for adoption, where respondent failed to prove abandonment—and lack of interference on the part of the Orange County Department of Social Services—by clear and convincing evidence. (*Halloran v Virginia Chems.,* 41 NY2d 386; *Telaro v Telaro,* 25 NY2d 433; *Matter of Richardson v Fiedler Roofing,* 67 NY2d 246; *Massachusetts Natl. Bank v Shinn,* 163 NY 360; *Santosky v Kramer,* 455 US 745; *Matter of Michael B.,* 58 NY2d 71; *Matter of I.R.,* 153 AD2d 559; *Matter of Jasmine T.,* 162 AD2d 756; *Matter of Anthony M.,* 195 AD2d 315; *Matter of Christina W.,* 162 AD2d 997.)

Susan M. Damplo, Ardsley, for Annette B., respondent. I. The Second Department erred in affirming the abandonment disposition where the Family Court lacked jurisdiction in those proceedings since the Orange County Department of Social Services (DSS) had never notified the father of the original proceedings in which DSS took custody of his daughter. (*Matter of Julius P.,* 63 NY2d 477; *Matter of Raven Carol L.,* 295 AD2d 610; *Matter of Samantha L.J.,* 155 AD2d 980.) II. The Appellate Division erred in affirming the Family Court's decision to terminate Joseph B.'s parental rights based on abandonment because appellant's attempts to contact and communicate with his daughter, Annette, were thwarted by the mother's move without disclosing the child's whereabouts and the Orange County

Department of Social Service's failure to notify appellant that Annette was in foster care. (*People v Harris,* 77 NY2d 434; *Matter of Ricky Ralph M.,* 56 NY2d 77; *Matter of Maxwell,* 4 NY2d 429; *Matter of Anonymous,* 40 NY2d 96; *Santosky v Kramer,* 455 US 745; *St. Mary's Honor Ctr. v Hicks,* 509 US 502; *Matter of Goldman,* 41 NY2d 894; *Matter of Shawn P.,* 187 AD2d 432; *Matter of Joseph Michael D.,* 138 AD2d 974; *Matter of Madeline S.,* 3 AD3d 13.)

David Darwin, Acting County Attorney, Goshen (*Stephen Toole* and *Peter R. Schwarz* of counsel), for Orange County Department of Social Services, respondent. The Appellate Division did not abuse its discretion in affirming the decision and order of the Family Court which found by clear and convincing evidence that appellant had abandoned his child based upon an analysis of the credible facts and an application of the relevant statutory and case law. (*Matter of Omar RR.,* 270 AD2d 588; *Matter of Andrea A.,* 12 AD3d 991; *Matter of Marie Luz C.,* 6 AD3d 304; *Matter of Matthew YY.,* 274 AD2d 685; *Matter of Charles U.,* 254 AD2d 588; *Matter of Jose Andres M.,* 8 AD3d 385; *Matter of Ronald D.,* 282 AD2d 533; *Matter of Shakim Ravon B.,* 257 AD2d 547; *Matter of Orange County Dept. of Social Servs. [Christine S.],* 203 AD2d 367; *Matter of Anthony M.,* 195 AD2d 315.)

OPINION OF THE COURT

R.S. SMITH, J.

The issue is whether there was legally sufficient evidence to support Family Court's finding, affirmed by the Appellate Division, that Joseph B. abandoned his daughter, Annette B. We hold that there was.

This case is difficult because, although Joseph received proper notice of this proceeding, the Department of Social Services (DSS) failed to give him notice of two previous, related proceedings in which he was entitled to notice by law. These were significant derelictions, and might have warranted Family Court in finding that there was no abandonment because the agency "prevented or discouraged" Joseph from communicating with Annette. But Family Court found, in substance, that Joseph's failure to communicate resulted from his own choice, not from the agency's failings, and the Appellate Division agreed. The affirmed finding is supported by the record.

Facts and Procedural History

Annette was born on August 22, 1991. The record does not indicate that Joseph was ever married to Annette's mother, Marissa R., or that Annette ever lived with him. In the first years of Annette's life, Joseph lived in Bellport, Long Island, and Annette with Marissa in Central Islip. Joseph testified that in those years he saw Annette every weekend.

At some point, apparently in 1996, Marissa and Annette moved from their home in Central Islip. Also in 1996, Joseph was arrested for an offense involving the sale of drugs. Joseph remained in prison through the time of the trial of this case in 2001, and admittedly had no contact with Annette after she moved away.

Joseph testified that he did not know where Marissa had taken Annette, and that he made three attempts to find out. He testified that he went to the Central Islip house and was told by the occupant that Marissa no longer lived there. He also testified that he spoke to Marissa's foster mother, Geneva L., who told him she did not know where Marissa had gone. Finally, he testified that, after he was in prison, he asked his mother to contact DSS on Long Island to ask where Annette was, and that she reported she could get no information. Joseph's testimony about these three inquiries contains little more detail than we have just recited; none of it is corroborated by any document, or by any other witness. There is no evidence that Joseph made any other attempt to contact Annette from 1996 on.

Marissa moved with Annette to Orange County where, in 1998, Annette came into the care of Orange County DSS as a result of an emergency child neglect removal. Family Court Act § 1035 (d) requires that both parents be notified of such a removal proceeding. The record does not show that any notice was sent to Joseph, or that DSS made any effort to find out Joseph's address.

Marissa later surrendered her parental rights to Annette. The order approving the surrender is dated June 27, 2001. Joseph was entitled to notice of this second proceeding also (Social Services Law § 384-c), but none was sent to him.

DSS began the present proceeding to terminate Joseph's parental rights on August 15, 2001. This time, notice was sent to Joseph. A DSS caseworker testified that Joseph's address was found "[t]hrough Child Support Collection Unit." Nothing in the record explains why he could not have been located through the same source when the two previous proceedings were brought. Around the time this proceeding was begun, Joseph also received, through his mother, a letter from Geneva saying that Annette was in foster care.

At the hearing in this case, Joseph testified that he did not write to Annette while in prison because he did not know she was in foster care. He admitted, however, that he did know she was in foster care after he received notice of the present proceeding in August 2001, and that he had not written to her as of November 26, 2001, the date he testified.

Family Court found ''by clear and convincing evidence'' that Joseph had abandoned Annette, and ordered that Joseph's guardianship and custody rights be committed to DSS. The Appellate Division, with one Justice dissenting, affirmed. We granted leave to appeal, and now affirm.

Discussion

An order ''committing the guardianship and custody of a child,'' also known as a termination of parental rights, may be granted where the parent whose rights are at issue ''abandoned such child for the period of six months immediately prior to the date on which the petition is filed in the court'' (Social Services Law § 384-b [4] [b]). Abandonment is defined in Social Services Law § 384-b (5), which provides:

> ''(a) For the purposes of this section, a child is 'abandoned' by his parent if such parent evinces an intent to forego his or her parental rights and obligations as manifested by his or her failure to visit the child and communicate with the child or agency, although able to do so and not prevented or discouraged from doing so by the agency. In the absence of evidence to the contrary, such ability to visit and communicate shall be presumed.
>
> ''(b) The subjective intent of the parent, whether expressed or otherwise, unsupported by evidence of the foregoing parental acts manifesting such intent, shall not preclude a determination that such parent has abandoned his or her child. In making such determination, the court shall not require a showing of diligent efforts, if any, by an authorized agency to encourage the parent to perform the acts specified in paragraph (a) of this subdivision.''

''[P]arent'' is defined to include an incarcerated parent (Social Services Law § 384-b [2] [b]). While such a parent of course is not able to visit the child, he or she is still presumed able to communicate absent proof to the contrary (*see Matter of I.R.*, 153 AD2d 559 [2d Dept 1989]). Abandonment must be proved by clear and convincing evidence (*Santosky v Kramer*, 455 US 745 [1982]).

Joseph argues that this record will not support Family Court's finding of abandonment. While he admits that he did not communicate with Annette during the six months immediately before the filing of the petition, he says that he was not able to do so because, through no fault of his own, he did not know where she was. He also says that he was ''prevented or discouraged'' from contacting her by DSS's failure to give him the legally required notice either of the 1998 neglect proceeding or of the 2001 termination of Marissa's parental rights.

Joseph's interpretation of the evidence is a possible one, but it is not the only permissible one. Family Court could and did find, by clear and convincing evidence, that Joseph, had he made a reasonable effort, would not have lost touch with Annette so completely, and that DSS's failure to send him two required notices, while inexcusable, was not in fact the reason he failed to communicate with his daughter.

Joseph testified to three attempts to locate Annette—inquiries of the woman who lived at her former home, of Geneva (Marissa's foster mother) and (through Joseph's mother) of DSS. His testimony to these inquiries was brief, vague and uncorroborated, and Family Court was not required to credit it. Even if it accepted his testimony, Family Court was entitled to conclude that a parent in Joseph's position who was not willing to abandon his child would have done more. The record does not show that all possible means of finding Annette vanished after 1996; on the contrary, the record shows that Geneva and Joseph's mother were in touch around the time of the filing of the petition in 2001, and that Geneva then knew of Annette's status. And even if the only open avenues of inquiry were those that Joseph tried, Family Court could find that a truly interested parent would have tried them more persistently.

Family Court found ''very telling,'' as do we, Joseph's conduct after he learned, no later than August 2001, that his daughter was in foster care. While he opposed the petition to terminate his parental rights, there is no evidence in the record that he made any effort to get in touch with Annette. While his postpetition conduct is not determinative—the relevant period, for abandonment purposes, is the six months *before* the filing of the petition—it was permissible for Family Court to infer that Joseph would not have done before the petition what he did not do afterwards. Specifically, Family Court could find that, if Joseph had received the notice he was entitled to of the two previous proceedings, those notices would no more have prompted him to get in touch with Annette than did the August 2001 notice he did receive.

We thus conclude that there was legally sufficient evidence to support Family Court's affirmed findings, and that its conclusion that Joseph abandoned Annette is supported by the record. We do not reach this conclusion lightly. Joseph had an important, constitutionally-protected right to a parental relationship with his daughter, and DSS gave his rights too little attention. But Annette's interests are important too. At the time of the hearing below, she was nine years old and living in foster care; her mother had surrendered parental rights to her. DSS was seeking to free Annette for adoption, opposed by a father Annette had never lived with and with whom she had had no contact since she was four or five. Under these sad circumstances, it was Family Court's duty, giving careful attention both to Joseph's interests and Annette's, to evaluate the facts as best it could. It did so, and the Appellate Division found it had done so correctly. Their conclusion is based on record evidence; the result is one that we may not disturb.

Accordingly, the order of the Appellate Division should be affirmed, without costs.

Chief Judge KAYE and Judges G.B. SMITH, CIPARICK, ROSENBLATT, GRAFFEO and READ concur.

Order affirmed, without costs.

[829 NE2d 1201, 797 NYS2d 33]

ROGER JOHNSON et al., Respondents, v DANIEL A. WARD, Appellant.

Argued March 29, 2005; decided May 5, 2005

SUMMARY

APPEAL, by permission of the Appellate Division of the Supreme Court in the First Judicial Department, from an order of that Court, entered April 22, 2004. The Appellate Division (1) reversed, on the law, an order of the Supreme Court, New York County (Milton A. Tingling, J.), which had granted plaintiffs' motion for reargument and, upon reargument, had adhered to a previous order of that Supreme Court granting defendant's motion to dismiss the complaint for lack of personal jurisdiction over him, (2) denied the motion to dismiss, and (3) reinstated the complaint. The following question was certified by the Appellate Division: ''Was the order of this Court, which reversed the order of the Supreme Court, properly made?''

Johnson v Ward, 6 AD3d 286, reversed.

HEADNOTE

Courts — Jurisdiction — Long-Arm Jurisdiction

In a personal injury action arising out of a motor vehicle accident that occurred out of state, Supreme Court did not have personal jurisdiction over defendant, a nonresident who had possessed a New York driver's license and vehicle registration at the time of the accident. The relationship between the negligence claim and defendant's possession of a New York license and registration at the time of the accident was too insubstantial to warrant the exercise of personal jurisdiction over defendant pursuant to CPLR 302 (a) (1). Plaintiffs' cause of action arose out of defendant's allegedly negligent driving in New Jersey, and not from the purported transactions of business in New York.

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AM JUR 2d, Courts § 106.

CARMODY-WAIT 2d, Jurisdiction in Personam and in Rem §§ 25:19, 25:22–25:26, 25:31, 25:33.

MCKINNEY'S, CPLR 302 (a) (1).

NY JUR 2d, Courts and Judges §§ 588–590, 611, 649.

SIEGEL, NY PRAC §§ 85, 86.

ANNOTATION REFERENCE

See ALR Index under Long Arm Statutes.

FIND SIMILAR CASES ON WESTLAW®

Database: NY-ORCS

Query: jurisdiction /s non-resident /p license /s regist! & accident

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POINTS OF COUNSEL

Stockschlaeder, McDonald & Sules, P.C., New York City (*Richard T. Sules* and *Gail S. Karan* of counsel), for appellant. I. The Appellate Division, First Department erred in finding that CPLR 302 (a) (1), New York's long-arm jurisdiction statute, applied against defendant who was no longer a New York resident on the date plaintiff commenced the within action which arose out of an out-of-state automobile accident. More specifically, the Court erred in holding that possession of a New York State driver's license and car registration constitutes the ''transact[ion] of business'' sufficient to confer in personam jurisdiction. (*McGowan v Smith,* 52 NY2d 268; *Talbot v Johnson Newspaper Corp.,* 71 NY2d 827; *George Reiner & Co. v Schwartz,* 41 NY2d 648; *Roseland v National Transp. Co.,* 52 Misc 2d 921; *Shuba v Greendonner,* 271 NY 189; *American Motorists Ins. Co. v Snyder,* 63 Misc 2d 690.) II. The Appellate Division, First Department erred in relying upon cases which do not apply to the facts of the within case in that they involve business transactions with a commercial, contractual or employment aspect. (*Lancaster v Colonial Motor Frgt. Line,* 177 AD2d 152; *McLenithan v Bennington Community Health Plan,* 223 AD2d 777, 88 NY2d 1017; *Gaboury v Central Vt. Ry. Co.,* 250 NY 233; *Kreutter v McFadden Oil Corp.,* 71 NY2d 460; *George Reiner & Co. v Schwartz,* 41 NY2d 648; *Talbot v Johnson Newspaper Corp.,* 71 NY2d 827; *McGowan v Smith,* 52 NY2d 268.) III. The lower court correctly found that defendant-appellant was not subject to personal jurisdiction pursuant to CPLR 302, and properly granted defendant-appellant's motion dismissing plaintiffs-respondents' complaint. (*Keane v Kamin,* 94 NY2d 263; *Purification v Kindler,* 253 AD2d 869, 92 NY2d 818; *Agra Chem. Distrib. Co., Inc. v Marion Labs., Inc.,* 523 F Supp 699.)

Pops & Associates, New York City (*Daniel W. Coffey* and *Paul R. Pops* of counsel), for respondents. I. The Appellate Division, First Department held correctly that defendant-appellant was subject to personal jurisdiction pursuant to CPLR 302 (a) (1). (*Kreutter v McFadden Oil Corp.,* 71 NY2d 460; *LaMarca v Pak-Mor Mfg. Co.,* 95 NY2d 210; *Parke-Bernet Galleries v Franklyn,* 26 NY2d 13; *Murdock v Arenson Intl. USA,* 157 AD2d 110;

International Shoe Co. v Washington, 326 US 310; *Citibank v Intercontinental Bank,* 169 Misc 2d 342; *World-Wide Volkswagen Corp. v Woodson,* 444 US 286; *Comprehensive Foot Care Group v Lincoln Natl. Life,* 135 Misc 2d 862; *Hanson v Denckla,* 357 US 235; *Lancaster v Colonial Motor Frgt. Line,* 177 AD2d 152.) II. The State of New York retains personal jurisdiction over defendant-appellant through CPLR 302 (a) (1) and the Appellate Division, First Department's decision is supported by Vehicle and Traffic Law § 388 (1). (*Ames v Cross,* 177 AD2d 771; *Aetna Cas. & Sur. Co. v Brice,* 72 AD2d 927; *Farber v Smolack,* 20 NY2d 198.)

OPINION OF THE COURT

GRAFFEO, J.

In this case, we are asked whether long-arm jurisdiction exists over a nonresident holding a New York driver's license and car registration for a tort claim arising from an out-of-state motor vehicle accident. We conclude that personal jurisdiction does not lie under CPLR 302 (a) (1) because there is an insufficient nexus between plaintiffs' personal injury action and any New York transactions.

On October 12, 1997, plaintiffs Roger Johnson and Monique White allegedly sustained injuries when their vehicle was struck from behind by a car driven by defendant Daniel Ward. Although the accident occurred in New Jersey, all three individuals were New York residents. At that time, defendant possessed a New York driver's license and had registered his vehicle in New York. In December 1997, defendant moved to New Jersey and in 1998 he surrendered his New York license in favor of a New Jersey license.

After these events, plaintiffs commenced this negligence action against defendant in Supreme Court, New York County, in October 2000. Defendant moved to dismiss the complaint for lack of personal jurisdiction pursuant to CPLR 3211 (a) (8). Supreme Court granted the motion and dismissed the complaint, finding no basis for long-arm jurisdiction. Upon reargument, the court adhered to its original determination.

The Appellate Division, with one Justice dissenting, reversed and reinstated the complaint. The majority reasoned that defendant's New York license and vehicle registration satisfied the ''transacting business'' requirement of CPLR 302 (a) (1) and that a substantial nexus existed between the cause of action and defendant's New York activities inasmuch as plaintiffs' claim "arose over the operation by a driver licensed in New York of a vehicle registered in New York" (6 AD3d 286, 287 [1st Dept 2004]). In contrast, the dissent determined that defendant's possession of a New York license and vehicle registration did not constitute a transaction of business within the meaning of CPLR 302 (a) (1) because the statute contemplates only commercial or financial activities. Alternatively, the dissent concluded that the New York license and vehicle registration were not "in any way related to this out-of-state accident so as to create the necessary nexus to invoke long-arm jurisdiction" (*id.* at 292). The Appellate Division granted leave to this Court, certifying the following question: "Was the order of this Court, which reversed the order of the Supreme Court, properly made?" We answer in the negative and therefore reverse.

CPLR 302 provides in part:

> "(a) Acts which are the basis of jurisdiction. As to a cause of action arising from any of the acts enumerated in this section, a court may exercise personal jurisdiction over any non-domiciliary . . . who in person or through an agent:
>
> "1. transacts any business within the state or contracts anywhere to supply goods or services in the state."

As relevant in this case, long-arm jurisdiction over a nondomiciliary exists where (i) a defendant transacted business within the state and (ii) the cause of action arose from that transaction of business. If either prong of the statute is not met, jurisdiction cannot be conferred under CPLR 302 (a) (1).

We have recognized that a "substantial relationship" must be established between a defendant's transactions in New York and a plaintiff's cause of action in order to satisfy the nexus requirement of the statute (*Kreutter v McFadden Oil Corp.*, 71 NY2d 460, 467 [1988]). Consequently, we have upheld long-arm jurisdiction over a nondomiciliary where the claim had the requisite nexus to an in-state transaction (*see e.g. George Reiner & Co. v Schwartz*, 41 NY2d 648, 653 [1977] [concluding there was jurisdiction over a Massachusetts resident for breach of an employment contract entered into in New York]; *Singer v Walker*, 15 NY2d 443, 467 [1965] [sustaining jurisdiction because plaintiff's personal injury claim resulting from the use of a defective hammer arose from "the purposeful activities engaged in by [defendant] in this State in connection with the sale of its products in the New York market''], *cert denied sub nom. Estwing Mfg. Co. v Singer*, 382 US 905 [1965]). On the other hand, we have ruled that jurisdiction is not justified where the relationship between the claim and transaction is too attenuated (*see e.g. Talbot v Johnson Newspaper Corp.*, 71 NY2d 827, 829 [1988] [holding that the nexus between a coach's defamation action and a former student's pursuit of a college degree in New York was insufficient to support jurisdiction]).

Here, we conclude that plaintiffs have failed to establish a sufficient nexus between the purported transactions of business in New York and the negligence claim.* Plaintiffs' cause of action arose out of defendant's allegedly negligent driving in New Jersey, not from the issuance of a New York driver's license or vehicle registration. The relationship between the negligence claim and defendant's possession of a New York license and registration at the time of the accident is too insubstantial to warrant a New York court's exercise of personal jurisdiction over defendant. The negligent driver could have had a license from any state, or no license—that defendant had a New York license and registration is merely coincidental. As such, plaintiffs cannot rely on CPLR 302 (a) (1) to establish long-arm jurisdiction based on the facts of this case.

Accordingly, the order of the Appellate Division should be reversed, with costs, defendant's motion to dismiss the complaint granted and the certified question answered in the negative.

Chief Judge KAYE and Judges G.B. SMITH, CIPARICK, ROSENBLATT, READ and R.S. SMITH concur.

Order reversed, etc.

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* In light of this determination, it is unnecessary for us to decide whether defendant's possession of a New York driver's license and vehicle registration qualifies as a transaction of ''business'' within the meaning of CPLR 302 (a) (1).

[829 NE2d 1192, 797 NYS2d 24]

THE PEOPLE OF THE STATE OF NEW YORK, Respondent, v STEPHEN G. SCHULZ, Appellant.

Argued March 30, 2005; decided May 5, 2005

SUMMARY

APPEAL, by permission of an Associate Judge of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Second Judicial Department, entered March 29, 2004. The Appellate Division (1) affirmed a judgment of the Supreme Court, Suffolk County (John Copertino, J.), which had convicted defendant, upon a jury verdict, of robbery in the first degree, (2) affirmed an order of that Supreme Court which had denied, without a hearing, defendant's motion pursuant to CPL 440.10 to vacate the judgment, and (3) affirmed an order of that Supreme Court which had denied, without a hearing, defendant's motion pursuant to CPL 440.10 (1) (g) to vacate the judgment.

People v Schulz, 5 AD3d 799, affirmed.

HEADNOTES

Crimes — Evidence — Third-Party Culpability

1. In a robbery prosecution, the trial court properly denied defendant's request to enter into evidence a photograph of the man who defendant claimed was the actual robber. Defendant claimed that because the other man had robbed two or three establishments in the area both before and after the robbery defendant was accused of, and because the other man resembled the description of the robber given by the two witnesses to the robbery, there was a chance that the other man was the robber. The court allowed the defense to make a proffer of evidence concerning the photograph outside the presence of the jury concerning how he would lay a foundation to enter the photograph, but then determined that there was no sufficient nexus between the other man and the robbery. Defendant offered no evidence which showed a modus operandi, a witness who saw the other man at the scene, or even a connection between the getaway car and the other man. Under the circumstances, the trial court did not abuse its discretion in determining that the photograph would have caused undue delay, prejudice and confusion.

Crimes — Verdict — Sufficiency of Evidence — Robbery

2. In a first degree robbery prosecution in which it was alleged that defendant entered a restaurant, pulled a knife on the cashier, and took money from the cash register, the evidence of defendant's guilt was legally sufficient. Under Penal Law § 160.15, the jury had to find that defendant forcibly stole property, and in the course of the commission of the crime or immediate flight therefrom, he or another participant in the crime used or threatened the immediate use of a dangerous instrument. Here, the restaurant's owner testified that he saw defendant in the restaurant and spoke with him, that he saw de-

fendant leaving the restaurant after having committed the robbery, and that he chased the defendant in his car. He also identified defendant in a photo array, in a police lineup, and at trial. The restaurant's cashier testified that someone pulled a knife on her and forcibly took money from the cash register. Although she identified defendant in a photo array the next day, she did not identify him at trial. The witnesses' conflicting identification testimony created a credibility question for the jury to determine, and it found the owner's identification of defendant to be credible.

Crimes — Right to Counsel — Effective Representation

3. In a robbery prosecution, trial counsel's failure to have defendant's roommate testify as an alibi witness concerning defendant's whereabouts on the evening of the robbery and counsel's failure to interview the cashier prior to trial did not constitute ineffective assistance of counsel. Counsel made a tactical decision not to call defendant's roommate after the cashier failed to identify defendant, and hindsight should not escalate what may have been a few tactical errors into ineffective assistance of counsel.

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Am Jur 2d, Criminal Law §§ 1223–1227; Am Jur 2d, Evidence §§ 307, 318, 327, 328, 332, 346–350, 353, 971; Am Jur 2d, Robbery §§ 50, 58.

Carmody-Wait 2d, Criminal Procedure §§ 172:1832–172:1836, 172:1839, 172:1844, 172:1845, 172:1889, 172:1890, 172:1926, 172:2990, 172:2994, 172:2997, 172:3070.

LaFave, et al., Criminal Procedure (3d ed) §§ 11.10, 24.6, 24.11.

McKinney's, Penal Law § 160.15.

NY Jur 2d, Criminal Law §§ 815–818, 824, 827, 848, 1850, 1967, 1975, 2415, 4239.

ANNOTATION REFERENCE

See ALR Index under Attorney or Assistance of Attorney; Evidence Rules; Robbery.

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Query: robbery /s photo! /s evidence /p nexus foundation

POINTS OF COUNSEL

William E. Hellerstein, Brooklyn*, Marjorie M. Smith* and *Daniel S. Medwed* for appellant. I. Appellant's federal and state constitutional rights to present a defense were violated by the trial court's refusal to allow him to introduce evidence that another person may have been the actual perpetrator of the El

Classico robbery. (*People v Primo,* 96 NY2d 351; *Taylor v Illinois,* 484 US 400; *Pennsylvania v Ritchie,* 480 US 39; *Chambers v Mississippi,* 410 US 284; *United States v Robinson,* 544 F2d 110; *People v Crimmins,* 38 NY2d 407.) II. The evidence against appellant was insufficient as a matter of law and renders his conviction a violation of his right to due process of law. (*People v Calabria,* 3 NY3d 80; *People v Contes,* 60 NY2d 620; *Jackson v Virginia,* 443 US 307; *People v Lee,* 96 NY2d 157; *United States v Wade,* 388 US 218.) III. The denial, without a hearing, of appellant's motion to vacate his judgment of conviction on the basis of newly discovered evidence was an abuse of discretion as a matter of law and violated his rights to due process of law. (*People v Salemi,* 309 NY 208; *People v Hildenbrandt,* 125 AD2d 819; *People v Collins,* 173 Misc 2d 350, 250 AD2d 379; *People v Santos,* 1 NY3d 548; *People v Baxley,* 84 NY2d 208; *People v Fields,* 66 NY2d 876; *People v Brown,* 56 NY2d 242; *People v Crimmins,* 38 NY2d 407; *People v Calabria,* 3 NY3d 80; *People v Cole,* 1 Misc 3d 531.) IV. Should the court reject point III because of a lack of due diligence on trial counsel's part, it should hold that appellant was deprived of his federal and state constitutional rights to the effective assistance of counsel because defense counsel did not sufficiently investigate the possibility that another person committed the crime. (*McMann v Richardson,* 397 US 759; *Strickland v Washington,* 466 US 668; *People v Henry,* 95 NY2d 563; *People v Benevento,* 91 NY2d 708; *Wiggins v Smith*, 539 US 510; *People v Bennett,* 29 NY2d 462; *People v Bell,* 48 NY2d 933; *People v Droz,* 39 NY2d 457; *People v LaBree,* 34 NY2d 257; *Eze v Senkowski,* 321 F3d 110.)

Thomas J. Spota, District Attorney, Riverhead (*Anne E. Oh* of counsel), for respondent. I. The unanimous jury verdict convicting defendant of robbery in the first degree was proper in all respects. (*People v Leonti,* 18 NY2d 384; *People v De Tore,* 34 NY2d 199; *People v Cerullo,* 18 NY2d 839; *People v Lobel,* 298 NY 243; *People v Martin,* 50 NY2d 1029; *People v Calabria,* 3 NY3d 80; *People v Lee,* 96 NY2d 157; *People v Contes,* 60 NY2d 620; *Jackson v Virginia,* 443 US 307; *People v Malizia,* 62 NY2d 755, 469 US 932.) II. The trial court properly prohibited defense counsel from showing an unauthenticated photograph to the jury. (*People v Gray,* 86 NY2d 10; *People v Hines,* 97 NY2d 56; *People v Finger,* 95 NY2d 894; *People v Norman,* 85 NY2d 609; *People v Primo,* 96 NY2d 351; *People v Feldman,* 299 NY 153; *People v Nitzberg,* 287 NY 183; *People v Ventimiglia,* 52 NY2d 350; *People v Austin,* 112 AD2d 242; *Taylor v Illinois,* 484 US 400.) III. Although it is beyond the court's review, the trial court's discretionary denial of defendant's postconviction motion to vacate on grounds of newly discovered evidence was appropriate. (*People v Santos,* 1 NY3d 548; *People v Fields,* 66 NY2d 876; *People v Crimmins,* 38 NY2d 407; *People v Brown,* 56 NY2d 242; *People v Baxley,* 84 NY2d 208; *People v Smith,* 63 NY2d 41; *People v Salemi,* 309 NY 208; *People v Welcome,* 37 NY2d 811; *People v Zambrana,* 142 AD2d 744; *People v Mendez,* 147 AD2d 712.) IV. Defendant was not deprived of effective assistance of counsel at trial. (*People v Hobot,* 84 NY2d 1021; *People v Clark,* 254 AD2d 299; *People v Jackson,* 70 NY2d 768; *People v Flores,* 84 NY2d 184; *People v Benevento,* 91 NY2d 708; *People v Baldi,* 54 NY2d 137; *People v Ellis,* 81 NY2d 854; *Strickland v Washington,* 466 US 668; *People v Vilardi,* 76 NY2d 67; *People v Rivera,* 71 NY2d 705.)

OPINION OF THE COURT

G.B. SMITH, J.

There are two primary issues before us on this appeal. First, defendant alleges that the trial court abused its discretion in denying third-party culpability evidence that would have shown that someone other than defendant committed the robbery charged in the indictment (*see People v Primo*, 96 NY2d 351, 356-357 [2001]). Second, defendant also contends that the People failed to prove his guilt of the crime of robbery, first degree beyond a reasonable doubt. We reject both contentions and affirm the order of the Appellate Division.[1]

Facts

A jury convicted defendant of robbing the El Classico Restaurant in Brentwood, New York. One of the two persons in the restaurant, Jose Vasquez, the owner and cook, identified defendant at trial. The second witness, an employee at the restaurant, Otilia Ruiz, failed to identify defendant at trial.

At approximately 8:20 P.M. on February 3, 1999, defendant entered the restaurant, asked for a menu and ordered a shrimp dinner. He subsequently went to the kitchen door to ask how long it would take to prepare the meal. Velasquez responded 10 to 15 minutes. Thereafter, Velasquez came out of the kitchen

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1. While defendant additionally seeks relief on the ground of newly discovered evidence, "[t]his [C]ourt . . . has no power to review the discretionary denial of a motion to vacate judgment upon the ground of newly discovered evidence" (*People v Crimmins*, 38 NY2d 407, 409 [1975]; *see also People v Smith*, 63 NY2d 41, 66 n 4 [1984]; *People v Brown*, 56 NY2d 242, 246 [1982]).

and went over to Ruiz who was standing behind the cash register in the bar area. He asked Ruiz what she was doing with the dollar bill in her hand, and she responded that the customer (defendant), who was also in the bar area, wanted change.

Ruiz testified that after Velasquez returned to the kitchen, the customer went to the cash register, opened it and began taking money. Ruiz grabbed the robber by the shirt, told him not to take the money and screamed to Velasquez that they were being robbed. The robber pulled out a knife and held Ruiz by the neck with his other hand. Velasquez heard Ruiz scream. He came out of the kitchen and saw the defendant leaving the restaurant. Velasquez described the defendant as a ''white male, tall, like 6'2", heavy, weigh like 250, 275.'' He described the defendant as having chestnut colored hair. Velasquez also described the car as ''like Chevy or Oldsmobile or Buick, four door, 2-tone, brown on the bottom, beige on the top.'' This description matched the car of defendant's roommate, Anthony Tralongo.[2] Velasquez attempted to follow the car but lost it after a few blocks.

Also on February 3, 1999, Ruiz gave a statement to Detective Conde of the Suffolk County Police Department describing the robber as a ''big white guy'' wearing blue docker type pants, a blue striped shirt, and brown work boots. She also told the police that defendant was ''very large, about 6' 2,'' 250-275 pounds, clean shaven, rotten teeth, and bad breath and dark hair.

On the day following the robbery, both Velasquez and Ruiz identified defendant from a photograph of six white men. Based on the descriptions, the detectives went to defendant's home where they saw a two-toned brown Chevrolet Celebrity in the driveway. The detectives arrested the defendant and impounded the car, which belonged to his roommate. Several days later, Velasquez identified the car at the police precinct where the police had placed it among 20 other cars.

At trial, Velasquez, in addition to testifying about the facts of the robbery, also testified to selecting defendant from two lineups of six men, all in white jumpsuits. According to testimony by Detective Gieck, defendant was allowed to select his number in the lineup. The lineups occurred sequentially. In

2. During the cross-examination of Velasquez and Detective Gieck, defense counsel brought out that Velasquez had told the police that the getaway car had a license plate with a ''1'' and a ''T'' but this did not match the license plate in the defendant's driveway.

the first lineup, he selected number three and in the second, number six. According to the detective, defendant was selected both times by Velasquez as the robber of El Classico Restaurant.[3]

At trial the arresting officer, Detective Gieck, testified that Velasquez told him on the night of February 3, 1999, that the person who robbed his restaurant was ''a big white male, 250 pounds.'' Defense counsel asked defendant to stand up and asked Detective Gieck how much his client appeared to weigh. The detective replied ''about 250 pounds.'' Defense counsel also asked Detective Gieck about a string of robberies being investigated in a nearby precinct at the time of the El Classico robbery. The detective indicated that the perpetrator of those robberies weighed over 450 pounds.

Defense counsel also had a newspaper photo of a third party marked for identification as Exhibit E. The detective was shown the picture of Guilfoyle but did not recognize it. Ruiz, however, failed to make a positive identification, and in fact did not identify defendant as the person who robbed the restaurant. On the People's application, defendant was required to stand and show his teeth to the jury so that they could make an analysis of whether or not the teeth were rotten and chipped.

Defendant chose not to cross-examine Ruiz and, thus, did not show her a picture of Guilfoyle. At the end of Ruiz's testimony, defendant made a motion to dismiss based upon insufficient evidence, which was denied. Defendant next made an offer of proof to enter a newspaper photograph of Anthony Guilfoyle, who defendant claims is the actual robber of the restaurant. Counsel claimed that because Guilfoyle had robbed two or three establishments in the area prior to February 3, 1999 and two or three after February 3, 1999, and because he resembled the description of the robber given by Velasquez and Ruiz, there was a chance that Guilfoyle was the robber. To lay a foundation for the photograph, defendant offered to call the police officers, who made the arrests in the Guilfoyle case, to describe the prior robberies, and the indictment against Guilfoyle. The officers were produced on September 2. Prior to any testimony from the officers, the court ruled that it would not permit the photograph into evidence because there was no evidence linking that person to the restaurant robbery. The defense attorney then stated

3. Prior to trial, a *Wade* hearing was held on April 7 and April 15, 1999, and the motions to suppress the lineup identifications of defendant were denied.

that the defendant would not put in a case and would not call the officers.

Defendant was convicted of first degree robbery and sentenced to a determinate term of 11 years. On June 14, 2000, defendant moved pro se in the trial court to vacate his conviction on the basis of ineffective assistance of counsel, and on the basis that the prosecution failed to prove his guilt beyond a reasonable doubt (*see* CPL 440.10 [1] [h]). On September 5, 2000, the trial court denied the motion.

On February 10, 2003, Supreme Court also denied defendant's CPL 440.10 (1) (g) motion to vacate the conviction based on newly discovered evidence, concluding that the affidavit made in support of the motion, in which Ruiz stated that she is ''90%'' certain that Guilfoyle is the person who robbed her, was not newly discovered, and that defense counsel had the opportunity to use the photograph of Guilfoyle at trial to cross-examine her but chose not to. Supreme Court wrote:

> ''Here, the 'newly discovered evidence' offered by the defendant consists of an affidavit in which Otilia Ruiz states that the defendant was not the robber, and that she is 90% certain that Anthony Guilfoyle was the true perpetrator. Although the defendant contends that this evidence would probably change the result if a new trial is granted, the court is not convinced that such is the case. Ruiz essentially testified at trial that the defendant was not the robber, and the jury nevertheless found the defendant guilty based on identification testimony by Jose Velasquez. It is by no means probable that Ruiz's ability to identify Guilfoyle as the robber would have affected the jury's assessment of the identification testimony.''

Moreover, there is no evidence that the picture revealed the rotten teeth that Ruiz noted in her description of the robber.

Defendant appealed to the Appellate Division which, on March 29, 2004, affirmed the conviction and affirmed both orders denying defendant's CPL 440.10 motions to vacate the judgment of conviction. The Appellate Division found that the evidence against defendant was ''legally sufficient to establish the defendant's guilt beyond a reasonable doubt'' (*see People v Schulz*, 5 AD3d 799, 800 [2d Dept 2004]). Further, the Appellate Division determined that defendant had not proffered newly discovered evidence and that the motion to vacate the conviction was properly denied without a hearing.

A Judge of this Court granted defendant leave to appeal.

Discussion

People v Primo (96 NY2d 351, 356 [2001]), which held that before permitting evidence that another party committed the crime for which a defendant is on trial, the court must balance the probity of the evidence against the prejudicial effect to the People, is determinative of this appeal. In that case, this Court reversed a conviction for attempted murder in the second degree based upon the trial court's exclusion of ballistics evidence tied to another person who was present at the scene. This Court stated (at 357), ''The admission of evidence of third-party culpability may not rest on mere suspicion or surmise.'' The concern is that the evidence of third-party culpability will cause ''undue prejudice, delay and confusion'' of the evidence presented to the jury. In order to determine whether the evidence will be admitted, the court must allow the defense ''to make an offer of proof outside the presence of the jury to explain how it would introduce evidence of third party culpability.'' Then, the court must allow the prosecutor to make counter-arguments.

In the case at bar, the court allowed the defense to make a proffer of evidence concerning the photograph outside the presence of the jury concerning how he would lay a foundation to enter the photograph of Guilfoyle. The prosecution countered that there was no foundation for entering the photograph. The court, after hearing the defense, determined that there was no ''sufficient nexus between that suspect or the person that you say committed the crimes, and this crime, to show that that person committed this particular crime.'' However, the court stated it would allow the defense to call two officers to testify concerning the photograph of Guilfoyle, but defendant in the end chose not to call those witnesses. Moreover, Ruiz was not cross-examined and was not shown Guilfoyle's photograph.

Defendant offers no evidence which shows a modus operandi, a witness who saw Guilfoyle at the scene or even a connection between the getaway car and Guilfoyle. What defendant offers on this appeal is a Newsday article, dated March 10, 1999, which describes Guilfoyle's crime spree, and the affidavit of Ruiz, dated March 10, 2002, taken three years after the crime was committed, Ruiz's inability to identify defendant at trial as the robber, a picture which allegedly shows that defendant and Guilfoyle resemble one another, and the fact that Guilfoyle committed several robberies in the vicinity of El Classico around February 3, 1999.[4]

[1] Unlike in *Primo*, where the alleged suspect was at the scene of the crime, identified as the shooter, and where the ballistics report matched a gun of the person who defendant said committed the crime, here there is no evidence linking Guilfoyle to the crime at El Classico. ''While evidence tending to show that another party might have committed the crime would be admissible, before such testimony can be received there must be such proof of connection with it, such a train of facts or circumstances as tend clearly to point out someone besides the prisoner as the guilty party'' (*see Greenfield v People*, 85 NY 75, 89 [1881]). ''Remote acts, disconnected and outside of the crime itself, cannot be separately proved'' to show that someone other than the defendant committed the crime (*see id.*). In the circumstances of this case, the trial court did not abuse its discretion in determining that the photograph of Guilfoyle would have caused undue delay, prejudice and confusion, and properly precluded the evidence.

Insufficient Evidence

Defendant argues that the evidence against him was insufficient and that his CPL 440.10 (1) (h) motion should have been granted. The standard for sufficiency of evidence is whether ''after viewing the evidence in the light most favorable to the prosecution, *any* rational trier of fact could have found essential elements of the crime beyond a reasonable doubt'' (*see Jackson v Virginia*, 443 US 307, 319 [1979] [citation omitted]; *see also People v Jennings*, 69 NY2d 103, 114 [1986]).

[2] Under Penal Law § 160.15, the jury had to find that defendant forcibly stole property, and in the course of the commission of the crime or immediate flight therefrom, he or another

4. The dissent highlights the ''extraordinary proximity in time and place of Guilfoyle's crimes compared with the El Classico robbery'' and points out that Guilfoyle was charged with robberies of small businesses only miles away (dissenting op at 532). Miles away, however, is hardly ''extraordinary proximity'' in the suburbs of Suffolk County, which are densely inhabited by people and small businesses. Moreover, the dissent states that the defense could have established ''a foundation by testimony from the detectives who had worked on the Guilfoyle cases'' (dissenting op at 533). Perhaps, but it chose not to. The dissent fails to recognize that the People produced both detectives in court the day after defense counsel's request. Defense counsel, however, chose to rest its case, stating ''[a]fter the time given to us by the Court to discuss the next phase of this trial with my client, I state to the Court we do not intend to call any witnesses on behalf of the defendant.''

participant in the crime used or threatened the immediate use of a dangerous instrument. In the case at bar, defendant is accused of entering El Classico Restaurant, taking money from the cash register and using a knife to accomplish the robbery. All acts, if found to be true, support a finding of robbery in the first degree.

Velasquez testified that he saw defendant in the restaurant and spoke with him, and then again saw him leaving the restaurant after having committed the robbery. He chased the defendant in his car. Velasquez identified defendant in a photo array, and in a police lineup. At trial, Velasquez pointed out the defendant as the one who had committed the crime. Ruiz testified that someone forcibly took money from the cash register where she was working and that this person had no authority to take the money. While she did identify defendant in a photo array the next day, she could not point out defendant at trial as the one who had committed the crime.

As we noted in *People v Arroyo* (54 NY2d 567, 578 [1982]) "the testimony of a single witness [can be enough] to support a conviction," noting that it is typically the province of the jury to determine a witness' credibility (*see also People v Contes*, 60 NY2d 620, 621 [1983] [defendant identified by tattoos enough evidence to convict]).

When two eyewitnesses to a crime give conflicting testimony, it is the jury that must weigh the evidence and determine who to believe (*see People v Jackson*, 65 NY2d 265, 272 [1985] ["That two or more witnesses give conflicting testimony, however, simply creates a credibility question for the jury to be determined by them in the context of the entire body of evidence before them" (citation omitted)]; *see also People v Stewart*, 40 NY2d 692, 699 [1976] [it is different when the evidence comes from a single prosecution witness "who offer(s) irreconcilable testimony pointing in both directions to guilt and innocence"]; *People v Ledwon*, 153 NY 10, 18 [1897]). In the instant matter, the jury weighed the evidence and found Velasquez's identification of defendant to be credible.

Ineffective Assistance of Counsel

In order to sustain a claim of ineffective assistance of counsel, New York courts examine the trial as a whole to determine whether defendant was afforded meaningful representation (*People v Benevento*, 91 NY2d 708, 713 [1998]). In the case at bar, defendant argues that trial counsel's failure to have

Anthony Tralongo, his roommate, testify as an alibi witness concerning his whereabouts on the evening of February 3, 1999, and failure to interview Ruiz prior to trial constitute ineffective assistance of counsel. ''The benchmark for judging any claim of ineffectiveness must be whether counsel's conduct so undermined the proper functioning of the adversarial process that the trial cannot be relied on as having produced a just result'' (*see Strickland v Washington*, 466 US 668, 686 [1984]).

[3] Here, there has been no showing that trial counsel was deficient in failing to provide a meaningful defense in light of the circumstances (*see People v Hobot*, 84 NY2d 1021, 1022 [1995] [claim for ineffective assistance of counsel failed; defendant did not meet ''high burden of demonstrating that he was deprived of a fair trial by less than meaningful representation'']; *People v Flores*, 84 NY2d 184, 189 [1994] [defendant received meaningful representation]). The trial record indicates that defense counsel made a tactical decision not to call defendant's roommate after Ruiz failed to identify defendant. ''Hindsight should not escalate what may have been a few tactical errors into ineffective assistance of counsel'' (*People v Baldi*, 54 NY2d 137, 151 [1981]).

Accordingly, the order of the Appellate Division should be affirmed.

ROSENBLATT, J. (dissenting in part). Respectfully, I dissent from so much of the Court's decision as upholds the denial of defendant's CPL 440.10 (1) (g) motion without a hearing. On the record before us, the possibility of defendant's actual innocence is too high to justify denial of the CPL 440.10 motion without a hearing. The majority determined that the case is legally sufficient, and no one can quarrel with that. My discomfort stems from the combined effect of two rulings: the first, denying the introduction at trial of Guilfoyle's photograph; and the second, summarily denying defendant's posttrial motion after the primary victim, Ruiz (who at trial said defendant was not the robber), submitted an affidavit stating that she is 90% certain that the person in the photograph—Guilfoyle—was the robber. Coming on the heels of a borderline ruling disallowing Guilfoyle's photograph at trial, the affidavit is too potent to be cast aside.

I'll elaborate.

(1) As between Ruiz and Velasquez, Ruiz is the more important witness. She was the one whom the robber held at knife-

point. Velasquez did not testify that he saw the actual crime; he did not see it. He said he saw defendant in the restaurant. I do not discount his testimony or his identification of the car. It is important evidence and inferential enough to give the prosecution a legally sufficient case, but it is not as compelling as Ruiz's testimony combined with her posttrial affidavit.

(2) The majority states that defendant was arrested based on the descriptions of both Velasquez and Ruiz. On the record before us, however, we do not know how it came about that police suspicion settled on defendant. At oral argument, the People told us they did not know.

(3) The majority points out that Guilfoyle robbed two or three establishments before and two or three after the robbery in question. This characterization is accurate, but it does not emphasize, as I think it should, the extraordinary proximity in time and place of Guilfoyle's crimes compared with the El Classico robbery. Guilfoyle's arrest reports reveal that he was charged with a robbery the same night as the El Classico robbery, roughly three hours before the El Classico crime and only 10-12 miles away. Guilfoyle's other robberies occurred on January 27, 1999, at a small business fewer than three miles away from El Classico; then again, later in the evening on January 27, at another small business roughly five miles away from El Classico; again on February 1, at a small business 8-10 miles away; on February 5, at 5:45 P.M. roughly five miles from El Classico; and finally, on March 7, at another small business about five miles away.

There was also Guilfoyle's modus operandi: in each instance, he took money from the cash register of a small business by intimidating the worker and sometimes pretending to have a gun. The El Classico robber's method seems similar enough to Guilfoyle's technique that the connection should have been explored. I cannot agree with the majority that Guilfoyle's robberies were marked by ''remoteness'' from the one involved here.

Affirming both the conviction and the CPL 440.10 denial is disquieting, but not because *Primo (People v Primo,* 96 NY2d 351, 356 [2001]) created a rule that, if applied to a pre-*Primo* case, would call for a different result. *Primo* articulates a better test than the earlier ''clear link'' standard because it is less mechanical and allows the court, in a conventional way, to balance probative value against prejudice. The problem here would be much the same had *Primo* never been decided. *Primo* implicitly recognized that a trial, if not properly constrained, could become skewed and the prosecution put to the impossible burden of having to disprove the guilt of everyone who, in a photograph, looks like the accused.

If that were allowed, a criminal case could deteriorate into a chaotic series of minitrials, one per photograph, given the ease with which defendants can find pictures of felons who resemble them (at least the ordinary defendant can, even if not this one). *Primo* should not be read as having opened that door. On the contrary, most judges, I suspect, had instinctively applied a *Primo* prejudice/probative value test without calling it that. We just gave it a better name, reminding judges that discretion is antithetical to rigidity and some rulings call for more elasticity than others.

This is all worth mentioning because of what happened at the trial. In refusing to let the jury see Guilfoyle's photograph, the court did not rule it prejudicial or valueless. Rather, the court considered whether a proper foundation had been proffered, which was the prosecution's only objection, and ruled that the photograph's connection to the case was too tenuous. It was a very close call.

In trying to get Guilfoyle's photograph into evidence, the defense pointed out that it could establish a foundation by testimony from the detectives who had worked on the Guilfoyle cases. The defense argued that the detectives' description would confirm that Guilfoyle's method of operation matched the El Classico crime. In response to the prosecution's challenge that Guilfoyle's appearance may have changed since the date of the photograph, the defense explained that the police officers would be able to describe any differences between the photograph and Guilfoyle's contemporary appearance. It was only after the defense had rebuffed the prosecution's foundation objection that the trial court, on its own, began wondering aloud whether a sufficient link existed between the photograph and the crime. The trial court based its ruling on the proper conclusion that a mere similarity of appearance would not suffice to make the photograph admissible. The court rejected the defense's protestations that the close proximity in time and place, coupled with the similarity of method, of Guilfoyle's crimes made the admissibility of the photograph rest on a good deal more than mere physical resemblance.

Had the court allowed the jury to see the photograph, no one could have justly criticized the ruling on ''foundation'' grounds or as an exercise of discretion. But excluding Guilfoyle's photograph was within the court's discretion, and if that were all there was before us I would close the book on this case.

It's what happened afterward that's unsettling. By submitting a posttrial affidavit identifying Guilfoyle, Ruiz has, in hindsight, shaken the court's ruling barring the photograph. Her affidavit does not make the ruling wrong, or reversible, because we do not use hindsight to overturn trial judges' determinations. For that reason, I agree with the Court that reversal of the conviction is not now warranted.

The CPL 440.10 motion, however, should not have been denied without a hearing, and in my view it was an abuse of discretion to, in effect, reject the Ruiz affidavit out of hand. Rather than affirming the denial of a hearing, this Court should remand so that Ruiz can be called before the court, under oath, to give her a chance to see Guilfoyle under court-arranged auspices. The court could then determine whether the conviction was a miscarriage of justice. As a dissenter, of course, I cannot make this happen. It would seem to me, though, that there is nothing to be lost and everything to be gained if this chapter were fulfilled. The Guilfoyle photograph is too blurry to justify any kind of certainty. After seeing Guilfoyle in person, however, Ruiz may conclude that he is not the robber. If so, the case is over and justice is served. But if Ruiz insists that Guilfoyle is the man who robbed her, I should think that any right-minded prosecutor would want to know of it. Given the affirmance, the prosecutor's alternative is to do nothing and never put Ruiz to a test before the wise and experienced judge who heard this case. Given her affidavit, Ruiz's testimony at a CPL 440.10 hearing would necessarily produce an additional measure of truth. Prosecutorial inaction would be lawful, but regrettable. The interests of finality count for a great deal, and may be alluring, but they are not always consistent with the higher ends of justice.

Chief Judge KAYE and Judges CIPARICK, GRAFFEO, READ and R.S. SMITH concur with Judge G.B. SMITH; Judge ROSENBLATT dissents in part in a separate opinion.

Order affirmed.

[829 NE2d 1203, 797 NYS2d 35]

THE PEOPLE OF THE STATE OF NEW YORK, Appellant, v JASON WILLIAMS, Respondent.

Argued April 14, 2005; decided May 10, 2005

SUMMARY

APPEAL, by permission of an Associate Judge of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Fourth Judicial Department, entered February 11, 2004. The Appellate Division (1) affirmed an order of the Supreme Court, Erie County (Russell P. Buscaglia, J.), which had granted defendant's motion to suppress all items of physical evidence seized and any statements made by him, and (2) dismissed the indictment.

People v Williams, 4 AD3d 848, affirmed.

HEADNOTE

Crimes — Unlawful Search and Seizure — Traffic Stop by Peace Officers Outside Geographical Jurisdiction

The traffic stop of defendant by two Housing Authority peace officers on a public street adjacent to the housing project, but outside of the officers' geographical jurisdiction, could not be validated using the citizen's arrest provisions of the Criminal Procedure Law. The authority to make a citizen's arrest extends only to a ''person acting other than as a police officer or a peace officer'' (CPL 140.35, 140.40). Here, the officers were not acting other than as peace officers when they stopped defendant for allegedly not wearing a seat belt, but rather under color of law and with all the accouterments of official authority.

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By the Publisher's Editorial Staff

AM JUR 2d, Arrest §§ 47, 69, 71.
CARMODY-WAIT 2d, §§ 172:732, 172:734, 172:738.
MCKINNEY'S, CPL 140.35, 140.40.
NY JUR 2d, Criminal Law §§ 112, 114, 146.

ANNOTATION REFERENCE

Validity, in state criminal trial, of arrest without warrant by identified peace officer outside of jurisdiction, when not in fresh pursuit. 34 ALR4th 328.

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POINTS OF COUNSEL

Frank J. Clark, District Attorney, Buffalo (*J. Michael Marion* of counsel), for appellant. Defendant was lawfully detained by peace officers acting outside their geographical jurisdiction. (*People v La Fontaine,* 235 AD2d 93, 92 NY2d 470; *People v Patterson,* 78 NY2d 711; *People v Taylor,* 73 NY2d 683; *People v Gallina,* 66 NY2d 52; *People v Moselle,* 57 NY2d 97; *People v Karp,* 80 Misc 2d 965; *Sutton v Evans,* 4 AD2d 580; *People v Alvarez,* 84 Misc 2d 897; *People v Averill,* 124 Misc 383.)

Respondent precluded.

Kevin L. Wright, Albany, *Susan L. Valle* and *Lisa Drury* for District Attorneys Association of State of New York, amicus curiae. Suppression is not the appropriate remedy for a technical and unintended violation of a state statute that was not implemented to protect a constitutional right. (*United States v Leon,* 468 US 897; *Arizona v Evans,* 514 US 1; *United States v Calandra,* 414 US 338; *Illinois v Krull,* 480 US 340; *United States v Janis,* 428 US 433; *Sackler v Sackler,* 15 NY2d 40; *Schwartz v Texas,* 344 US 199; *People v Dinan,* 11 NY2d 350; *People v Harris,* 48 NY2d 208; *People v Patterson,* 78 NY2d 711.)

Mark J. Mahoney, New York City, *Alfred O'Connor,* Albany, and *Timothy P. Murphy,* Buffalo, for New York State Association of Criminal Defense Lawyers and others, amici curiae. I. As appellant failed to argue at the trial court level that the exclusionary rule was not required as a result of the unauthorized arrest, this Court is precluded from deciding the issue. (*People v Romero,* 91 NY2d 750; *People v Chavis,* 91 NY2d 500; *People v Goodfriend,* 64 NY2d 695; *People v Parris,* 83 NY2d 342; *People v Nieves,* 67 NY2d 125; *People v Johnson,* 64 NY2d 617; *People v Dodt,* 61 NY2d 408.) II. Evidence obtained as a result of an arrest made outside a peace officer's authorized powers must be excluded like any other illegally seized evidence. (*People v Cantor,* 36 NY2d 106; *People v Hollman,* 79 NY2d 181; *People v Burr,* 70 NY2d 354; *People v Martinez,* 37 NY2d 662; *People v Payton,* 51 NY2d 169; *People v Bigelow,* 66 NY2d 417; *Mapp v Ohio,* 367 US 643; *Miller v United States,* 357 US 301; *People v Rogers,* 52 NY2d 527; *People v Young,* 55 NY2d 419.) III. A peace officer who takes advantage of his apparent authority to effect an unauthorized arrest and investigation of a citizen by utilizing a patrol vehicle with activated emergency lights, by interrogating and removing the person from his vehicle and searching the person may not have the seized evidence admitted as the product of a hypothetical ''citizen's arrest.'' (*People v Stith,* 69 NY2d 313; *People v Adams,* 53 NY2d 241; *People v Mendez,* 28 NY2d 94; *People v Di Stefano,* 38 NY2d 640; *People v Roth,* 66 NY2d 688; *People v Knapp,* 52 NY2d 689; *People v Payton,* 45 NY2d 300; *People v Fitzpatrick,* 32 NY2d 499; *People v Harris,* 77 NY2d 434, 495 US 14; *People v Ingle,* 36 NY2d 413.)

OPINION OF THE COURT

GRAFFEO, J.

While patrolling a housing project, two peace officers employed by the Buffalo Municipal Housing Authority observed defendant driving an automobile on a public street adjacent to the project. The officers stopped defendant because he allegedly was not wearing a seat belt. After defendant informed the officers that he did not have a valid driver's license, the officers ordered him to step out of his vehicle.

In response to questioning by an officer, defendant replied in a manner that led the officer to suspect that defendant had an object in his mouth. Defendant opened his mouth, revealing what appeared to be a plastic bag protruding from underneath his tongue. When asked to lift his tongue, defendant shoved the officer and fled. Upon being apprehended after a brief chase, defendant spit the bag onto the ground. The bag, which was recovered by the officers, appeared to contain crack cocaine.

As a result of this incident, defendant was indicted for criminal possession of a controlled substance in the fifth degree and several violations of the Vehicle and Traffic Law. Before trial, defendant moved to dismiss the charges, arguing that the initial seizure for a traffic infraction was unlawful because the Housing Authority peace officers lacked jurisdiction outside the boundaries of the housing project and the officers were not acting pursuant to their special duties as Housing Authority peace officers when they stopped him for a seat belt violation. The People countered that the seizure was lawful because the peace officers were within their geographical jurisdiction and, even if they were not, the stop was justified as a ''citizen's arrest.''

Supreme Court agreed with defendant and dismissed the charges. The court concluded that there was no statutory authority for the peace officers to apprehend defendant for an offense committed outside their geographic area of employment and the People had failed to demonstrate that the officers were acting pursuant to their special duties when they stopped defendant for a seat belt violation. The court further rejected the People's contention that the traffic stop was a valid citizen's arrest.

On the People's appeal, the Appellate Division affirmed for the reasons stated by Supreme Court. A Judge of this Court granted leave.

Before this Court, the People concede that the alleged traffic infractions and the seizure of defendant occurred outside the geographical jurisdiction of the Buffalo Municipal Housing Authority peace officers. Instead, the People rely on their assertion that the apprehension of defendant was the equivalent of a citizen's arrest. We are unpersuaded and therefore affirm.

The Criminal Procedure Law differentiates between the respective powers of arrest possessed by peace officers and private citizens (*compare* CPL 140.25 and 140.27, *with* CPL 140.30, 140.35 and 140.40). In fact, the Legislature has specified that the authority to make a citizen's arrest extends only to a ''person acting *other than as a police officer or a peace officer*'' (CPL 140.35, 140.40 [emphasis added]).

Aside from this statutory distinction, there also are functional differences between the powers of peace officers and private citizens. A peace officer may arrest upon reasonable cause to believe an offense has occurred (*see* CPL 140.25 [1]), whereas a citizen's arrest is justifiable only if the arrestee ''has in fact committed'' an offense (CPL 140.30 [1]). Additionally, peace officers generally are authorized to apprehend an individual for criminal activity only when the offense is committed within the officer's ''geographical area of . . . employment'' (CPL 140.25 [3]) or when the officer acts ''pursuant to his special duties'' (CPL 140.25 [1]), unless the arrest is for a felony (CPL 140.25 [4]). Similar limitations are not placed on the ability of a private citizen to make an arrest; the only limitation is that an arrest for a nonfelony offense occurring in the citizen's presence must be made ''in the county in which such offense was committed'' (CPL 140.30 [2]). To accept the People's argument and treat a peace officer as an ordinary citizen would render these purposefully drawn differences—and the plain language chosen by the Legislature—meaningless. This we decline to do.

We therefore conclude that the traffic stop in this case cannot be validated using the citizen's arrest provisions of the Criminal Procedure Law because the Housing Authority peace officers were not ''acting other than as a police officer or a peace officer'' (CPL 140.35, 140.40; *cf. McKinley v Commonwealth*, 564 Pa 565, 583 n 18, 769 A2d 1153, 1164 n 18 [2001]; *People v Lahr*, 147 Ill 2d 379, 383, 589 NE2d 539, 540-541 [1992]). This, of course, is not to say that an individual employed as a peace officer may never under any circumstances effect a citizen's arrest. We hold only that a peace officer who acts under color of law and with all the accouterments of official authority cannot.

The People's remaining argument—that despite the violation of CPL 140.25, suppression of evidence and dismissal of the charges is unnecessary under *People v Patterson* (78 NY2d 711 [1991])—is not preserved for our review.

Accordingly, the order of the Appellate Division should be affirmed.

Chief Judge KAYE and Judges G.B. SMITH, CIPARICK, ROSENBLATT, READ and R.S. SMITH concur.

Order affirmed.

[830 NE2d 250, 797 NYS2d 352]

CAPITOL RECORDS, INC., Appellant, v NAXOS OF AMERICA, INC., Respondent.

Argued February 8, 2005; decided April 5, 2005

SUMMARY

PROCEEDING, pursuant to NY Constitution, article VI, § 3 (b) (9) and Rules of the Court of Appeals (22 NYCRR) § 500.17, to review a question certified to the New York State Court of Appeals by the United States Court of Appeals for the Second Circuit. The following question was certified by the United States Court of Appeals and accepted by the New York State Court of Appeals, ''In view of the District Court's assessment of the undisputed facts, but without regard to the issue of abandonment, is Naxos entitled to defeat Capitol's claim for infringement of common law copyrights in the original recordings? This overall question subsumes the following subquestions: (1) 'Does the expiration of the term of a copyright in the country of origin terminate a common law copyright in New York?' (2) 'Does a cause of action for common law copyright infringement include some or all of the elements of unfair competition?' (3) 'Is a claim of common law copyright infringement defeated by a defendant's showing that the plaintiff's work has slight if any current market and that the defendant's work, although using components of the plaintiff's work, is fairly to be regarded as a ''new product''?' ''

HEADNOTES

Copyrights — Common-Law Copyright — Sound Recordings Made Prior to February 15, 1972

1. Plaintiff, which owned the rights to several classical recordings made in the 1930s, was entitled to maintain a copyright infringement action premised on the common law of New York against defendant, which copied those recordings from the original shellac record format and, using technological advances, remastered the recordings for sale to the public as compact discs. Although sound recordings created before February 15, 1972 are not protected from infringement under federal copyright law, New York provides common-law copyright protection for such recordings until February 15, 2067, when federal law mandates that any state common-law rights will cease. In the realm of sound recordings, it has been the law in New York for over 50 years that, in the absence of federal statutory protection, the public sale of a sound recording otherwise unprotected by statutory copyright does not constitute a publication sufficient to divest the owner of common-law copyright protection.

Copyrights — Common-Law Copyright — Expiration of Term of Copyright in Country of Origin

2. The expiration of the term of a copyright in the country of origin does not terminate a common-law copyright in New York. Neither federal statutory nor

constitutional law prohibits the states from providing common-law protection to artistic works that are in the public domain in the country of origin. Accordingly, New York provides common-law copyright protection to sound recordings not covered by the federal Copyright Act, regardless of the public domain status in the country of origin, if the alleged act of infringement occurred in New York.

Copyrights — Infringement — Elements of Cause of Action

3. A cause of action for common-law copyright infringement in New York consists of two elements: (1) the existence of a valid copyright, and (2) unauthorized reproduction of the work protected by the copyright. Fraud or bad faith is not an element of an infringement action in modern New York law. Copyright infringement is distinguishable from unfair competition, which in addition to unauthorized copying and distribution requires competition in the marketplace or similar actions designed for commercial benefit.

Copyrights — Infringement — Musical Performances

4. A claim of copyright infringement by plaintiff, which owned the rights to several classical recordings made in the 1930s, against defendant, which copied those recordings from the original shellac record format and, using technological advances, remastered the recordings for sale to the public as compact discs, was not defeated by defendant's showing that plaintiff's work had slight if any current market and that defendant's work, although using components of plaintiff's work, was fairly to be regarded as a ''new product.'' The ability to enforce copyright protections provided by New York common law is not diminished due to the size of the market and, therefore, the popularity of a product does not affect a state common-law copyright infringement claim. Additionally, even assuming that defendant created a ''new product'' due to its remastering efforts that enhanced sound quality, that product could be deemed to infringe on plaintiff's copyright to the extent that it utilized the original elements of the protected performances.

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By the Publisher's Editorial Staff

Am Jur 2d, Copyright and Literary Property §§ 5, 6, 10–12, 15, 16, 39, 93, 153, 208, 219, 220.

NY Jur 2d, Literary and Artistic Property §§ 4, 5, 16, 20, 24.

ANNOTATION REFERENCE

See ALR Index under Copyright and Literary Property.

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POINTS OF COUNSEL

Mayer, Brown, Rowe & Maw LLP, New York City (*Philip Allen Lacovara* and *Todd Lundell* of counsel), and *Kaplan & Leven-*

son LLP (Paul R. Levenson of counsel) for appellant. I. New York common law prohibits misappropriation of pre-1972 sound recordings until 2067, despite the expiration of a foreign statutory copyright. (*Firma Melodiya v ZYX Music GmbH,* 882 F Supp 1306; *Capitol Records v Greatest Records,* 43 Misc 2d 878; *Metropolitan Opera Assn. v Wagner-Nichols Recorder Corp.,* 199 Misc 786, 279 App Div 632; *Apple Corps v Adirondack Group,* 124 Misc 2d 351; *Radio Corp. of Am. v Premier Albums,* 19 AD2d 62; *A & M Records, Inc. v M.V.C. Distrib. Corp.,* 574 F2d 312; *G.M.L., Inc. v Mayhew,* 188 F Supp 2d 891; *CBS, Inc. v Garrod,* 622 F Supp 532, 803 F2d 1183; *People v Winley,* 105 Misc 2d 474; *Goldstein v California,* 412 US 546.) II. New York common law requires showing only ownership of a valid right and unauthorized copying but does not require a separate showing of bad faith. (*Capitol Records v Greatest Records,* 43 Misc 2d 878; *Roy Export Co. Establishment of Vaduz, Liechtenstein v Columbia Broadcasting Sys., Inc.,* 672 F2d 1095; *Green v Lindsey,* 885 F Supp 469; *Capitol Records, Inc. v Wings Digital Corp.,* 218 F Supp 2d 280; *G. Ricordi & Co. v Haendler,* 194 F2d 914; *Mastro Plastics Corp. v Emenee Indus.,* 16 AD2d 420, 12 NY2d 826; *Saratoga Vichy Spring Co., Inc. v Lehman,* 625 F2d 1037; *Eagle Comtronics v Pico Prods.,* 256 AD2d 1202; *Computer Assoc. Intl., Inc. v Computer Automation, Inc.,* 678 F Supp 424.) III. Naxos of America, Inc.'s conduct constitutes misappropriation and infringement of Capitol Records, Inc.'s common-law copyright, despite alleged enhancement of sound quality. (*Durham Indus., Inc. v Tomy Corp.,* 630 F2d 905; *Metropolitan Opera Assn. v Wagner-Nichols Recorder Corp.,* 199 Misc 786; *Capitol Records v Greatest Records,* 43 Misc 2d 878; *Firma Melodiya v ZYX Music GmbH,* 882 F Supp 1306; *Apple Corps v Adirondack Group,* 124 Misc 2d 351; *UMG Recordings, Inc. v MP3.Com, Inc.,* 92 F Supp 2d 349; *Harvey Mach. Co. v Harvey Aluminum Corp.,* 9 Misc 2d 1078; *Eldred v Ashcroft,* 537 US 186; *Agee v Paramount Communications, Inc.,* 853 F Supp 778, 59 F3d 317.)

Schiff Hardin, LLP, New York City (*Maxim H. Waldbaum, Lori D. Greendorfer* and *John Becker* of counsel), for respondent. Naxos of America, Inc. is entitled to defeat Capitol Records, Inc.'s claim for infringement of common-law copyrights in the source recordings. (*Capitol Records v Mercury Records Corp.,* 221 F2d 657; *Agee v Paramount Communications, Inc.,* 853 F Supp 778, 59 F3d 317; *Hasbro Bradley, Inc. v Sparkle Toys, Inc.,* 780 F2d 189; *Procter & Gamble Co. v Colgate-Palmolive Co.,* 199 F3d 74; *Saratoga Vichy Spring Co., Inc. v Lehman,* 625 F2d

1037; *Computer Assoc. Intl., Inc. v Computer Automation, Inc.,* 678 F Supp 424; *Eagle Comtronics v Pico Prods.,* 256 AD2d 1202; *Metropolitan Opera Assn. v Wagner-Nichols Recorder Corp.,* 199 Misc 786, 279 App Div 632; *Fame Publ. Co., Inc. v Alabama Custom Tape, Inc.,* 507 F2d 667; *Green v Lindsey,* 885 F Supp 469, 9 F3d 1537.)

Loeb & Loeb LLP, New York City (*Barry I. Slotnick* and *Eleanor M. Lackman* of counsel), and *Stanley Pierre-Louis,* Washington, D.C., for Recording Industry Association of America, amicus curiae. I. New York common-law copyright remains in effect despite expiration of foreign statutory copyright. (*Fonotipia Ltd. v Bradley*, 171 F 951; *Apple Corps v Adirondack Group,* 124 Misc 2d 351; *Radio Corp. of Am. v Premier Albums,* 19 AD2d 62; *Metropolitan Opera Assn. v Wagner-Nichols Recorder Corp.,* 199 Misc 786, 279 App Div 632; *Dowling v United States,* 473 US 207; *Firma Melodiya v ZYX Music GmbH,* 882 F Supp 1306; *Capitol Records v Greatest Records,* 43 Misc 2d 878; *Goldstein v California,* 412 US 546; *Capitol Records v Mercury Records Corp.,* 221 F2d 657; *Ferris v Frohman,* 223 US 424.) II. A cause of action for infringement of a common-law copyright does not require a showing of bad faith. (*International News Serv. v Associated Press,* 248 US 215; *Apple Corps v Adirondack Group,* 124 Misc 2d 351; *Metropolitan Opera Assn. v Wagner-Nichols Recorder Corp.,* 199 Misc 786, 279 App Div 632; *Fonotipia Ltd. v Bradley,* 171 F 951; *Capitol Records v Greatest Records,* 43 Misc 2d 878; *Radio Corp. of Am. v Premier Albums,* 19 AD2d 62; *Roy Export Co. Establishment of Vaduz, Liechtenstein v Columbia Broadcasting Sys., Inc.,* 672 F2d 1095, 459 US 826; *Electrolux Corp. v Val-Worth, Inc.,* 6 NY2d 556; *Saratoga Vichy Spring Co., Inc. v Lehman,* 625 F2d 1037; *Feist Publs., Inc. v Rural Tel. Serv. Co., Inc.,* 499 US 340.) III. A ''new product'' founded on a misappropriated work is an infringement of the common-law copyright in the original work. (*Stewart v Abend,* 495 US 207; *Grand Upright Music Ltd. v Warner Bros. Records, Inc.,* 780 F Supp 182; *Jarvis v A & M Records,* 827 F Supp 282; *Metropolitan Opera Assn. v Wagner-Nichols Recorder Corp.,* 199 Misc 786; *Apple Corps v Adirondack Group,* 124 Misc 2d 351; *Harvey Mach. Co. v Harvey Aluminum Corp.,* 9 Misc 2d 1078; *Capitol Records v Greatest Records,* 43 Misc 2d 878; *A&M Records, Inc. v Napster, Inc.,* 239 F3d 1004; *Micro Star v Formgen Inc.,* 154 F3d 1107; *Castle Rock Entertainment, Inc. v Carol Publ. Group, Inc.,* 150 F3d 132.)

OPINION OF THE COURT

GRAFFEO, J.

Sound recordings produced after February 15, 1972 can be protected from infringement under federal copyright law but Congress did not extend statutory protection to recordings created before that date. In a certified question, the United States Court of Appeals for the Second Circuit asks us whether there is common-law copyright protection in New York for sound recordings made prior to 1972.

This case involves a dispute between two music recording companies. Capitol Records, Inc. owns the rights to several classical recordings made in the 1930s. Naxos of America, Inc. copied those recordings from the original shellac record format and, using technological advances, remastered the recordings for sale to the public as compact discs. Naxos did not request permission from Capitol to use the recordings. The issue here is whether Capitol may maintain a copyright infringement action against Naxos premised on the common law of New York. Because the answer to this question will have significant ramifications for the music recording industry, as well as these litigants, we were offered and accepted certification.

I. Factual and Procedural Background

During the 1930s, the Gramophone Company Limited, currently known as EMI Records Limited—the parent company of Capitol—recorded classical musical performances of three world-renowned artists: Yehudi Menuhin's July 1932 performance of Edward Elgar's "Violin Concerto in B minor, Opus 61"; Pablo Casals' performances of J.S. Bach's cello suites, recorded between November 1936 and June 1939; and Edwin Fischer's performances of Bach's "The Well Tempered Clavier, Book I," recorded between April 1933 and August 1934, and of Bach's "The Well Tempered Clavier, Book II," recorded between February 1935 and June 1936. The artists' contracts specified that Gramophone would have absolute, worldwide rights to the performances, including the right to reproduce and sell copies of the performances to the public.

Gramophone recorded all of the performances in England. At that time, the United Kingdom provided statutory copyright protection to sound recordings for 50 years (*see* UK Copyright Act of 1911, 1 & 2 Geo 5, ch 46, § 19). Thus, all of the Gramophone recordings at issue had entered the public domain in the United Kingdom by 1990.

In 1996, subsidiaries of EMI entered into a series of agreements whereby Capitol was granted an exclusive license to exploit the Gramophone recordings in the United States. Using modern electronic methods, Capitol remastered the original recordings to improve their audio quality and transferred them to digital format for sale to the public.

Naxos also wished to preserve these important historical recordings. It located copies of the original 1930s shellac recordings and undertook its own multistep restoration process in the United Kingdom. The remastered compact disc versions produced by Naxos were distributed for sale in the United States beginning in 1999, competing with the compact disc products marketed by Capitol. Naxos never obtained a license from Capitol and rebuffed Capitol's demand to cease and desist the sale of the Naxos compact discs.

Capitol commenced an action against Naxos in the United States District Court for the Southern District of New York in 2002. The complaint set forth claims of common-law copyright infringement, unfair competition, misappropriation and unjust enrichment, all of which were premised on the law of the State of New York, the situs of the alleged infringement. Naxos moved to dismiss for failure to state a claim, arguing that the recordings had entered the public domain in the United Kingdom and, hence, the United States as well. Capitol moved for, among other relief, partial summary judgment on liability.

The District Court granted summary judgment to Naxos. The court characterized Capitol's cause of action as a ''hybrid copyright, unfair competition'' claim and concluded that Capitol did not have intellectual property rights in the original recordings because its copyrights had expired in the United Kingdom. (262 F Supp 2d 204, 210 [2003].) With respect to the unfair competition cause of action, the District Court opined that the Naxos recordings were not a ''duplicate'' or ''imitation'' of the original recordings but ''an entirely new and commercially viable product'' because the original shellac records were obsolete and Naxos had removed ''numerous sound imperfections'' from the records. (*Id.* at 213, 214.) Finding that public policy favored the preservation and redissemination of classical performances, the court held that Capitol failed to show that Naxos had engaged in the type of bad faith required to sustain an unfair competition cause of action. In a second written decision, the court adhered to its ruling.[1]

On appeal, the Second Circuit determined that this case raises several unsettled issues of New York law. After noting that, under federal law, ''it is entirely up to New York to determine the scope of its common law copyright with respect to pre-1972 sound recordings,'' the Second Circuit certified the following question to this Court: ''In view of the District Court's assessment of the undisputed facts, but without regard to the issue of abandonment, is Naxos entitled to defeat Capitol's claim for infringement of common law copyrights in the original recordings?'' (372 F3d 471, 478, 484 [2004].) We are also asked to answer three questions:

> ''(1) 'Does the expiration of the term of a copyright in the country of origin terminate a common law copyright in New York?' (2) 'Does a cause of action for common law copyright infringement include some or all of the elements of unfair competition?' (3) 'Is a claim of common law copyright infringement defeated by a defendant's showing that the plaintiff's work has slight if any current market and that the defendant's work, although using components of the plaintiff's work, is fairly to be regarded as a ''new product''?' '' (*Id.* at 484-485.)

II. English Copyright Law

Because of the close connection between the evolution of copyright protection in England and the American adaptation of copyrights, it is helpful to examine the historical roots of property rights in tangible intellectual products (*see generally Eldred v Ashcroft*, 537 US 186, 200 [2003] [when examining copyright law, '' 'a page of history is worth a volume of logic' ''], quoting *New York Trust Co. v Eisner*, 256 US 345, 349 [1921] [Holmes, J.]).

With the introduction of the printing press in England in the 15th century, a commercial interest in written works was born. It was, however, not authors but printers and publishers who initially sought to control the right to publish literary works (*see* Patterson, Copyright in Historical Perspective, at 6, 21). The concept of an exclusive right to reproduce works sprang

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1. The District Court also addressed issues of waiver and abandonment, which are not relevant to the certified question posed to us.

from the commercial objectives of stationers or printers who wished to create a monopoly over the printing trade (*see id.* at 28-64). At the same time, the Crown had an interest in maintaining censorship authority over the press. Thus, the granting of an exclusive right to reproduce printed materials served the government's desire to control the flow and content of information, and supported the economic viability of the printers' trade guild (*see id.* at 223). This symbiotic relationship gave rise to early English copyright laws, such as those issued by the Star Chamber in its Decrees of 1586 and 1637, which reflected trade and guild regulations that assisted in preserving government censorship (*see id.* at 6, 9-11, 121, 125).

After the abolition of the Star Chamber in 1641 and the civil war between the Crown and Parliament, English law began to recognize an author's natural property right to control the dissemination of a literary creation (*see id.* at 160-162; *see also* 2 Blackstone, Commentaries on the Laws of England, at 405-406 [1769]; *Millar v Taylor*, 98 Eng Rep 201, 257, 4 Burr 2303, 2406-2407 [KB 1769] [Mansfield, L.C.J.] [discussing the ''uniform( )'' decisions of the Chancery Court]; 98 Eng Rep at 212, 4 Burr at 2323 [Willes, J.] [same]). Parliament's passage of the Statute of Anne in 1709 (8 Anne ch 19) signaled an attempt to end government censorship and trade guild monopoly. It broadened the concept of copyrights to include the ability of an author to decide whether a literary work would be published and disseminated to the public (referred to as the ''right of first publication'') and, if distributed, how the work would be reproduced in the future. The Statute of Anne vested an author or publisher of a literary work with statutory copyright protection for specified time periods—new works received 14 years of copyright protection (with the possibility of a 14-year renewal) and previously published works were entitled to 21 years of protection (*see* Patterson, Copyright in Historical Perspective, at 143-150).

In the latter half of the 18th century, a recognition emerged that the creation of a literary work should vest rights in its author similar to the ownership rights in perpetuity associated with other forms of tangible property. The common law embraced this concept of ownership for literary works (*see* 2 Blackstone, Commentaries on the Law of England, at 405-406). This caused a ''great question of literary property'' to arise (*Proceedings in the Lords on the Question of Literary Property*, 17 Parliamentary History of England, at 953, 953-954 n [HL

1774]): did the Statute of Anne supplant the common law or did it provide additional rights and remedies that coexisted with the common law?

The first definitive ruling on this question appears in *Millar v Taylor* (98 Eng Rep 201, 4 Burr 2303 [KB 1769]). Millar, a bookseller, had purchased the rights to a certain book from its author. The dispute involved the unauthorized reproduction of the book by another publisher after copyright protection extended by the Statute of Anne had expired. The primary issues were whether common-law rights continued to exist in perpetuity after the first publication of a literary work and, if so, whether the Statute of Anne had abrogated the perpetual common-law copyright. In a 3-1 decision in favor of the bookseller, the court of King's Bench concluded that the common law furnished perpetual copyright protection that did not terminate upon the first publication of a literary work. More importantly, the Statute of Anne was viewed as not extinguishing common-law protections (*see* 98 Eng Rep at 252-253, 4 Burr at 2398-2399 [Mansfield, L.C.J.]; *see also* Patterson, Copyright in Historical Perspective, at 168-172).

Several years later, however, the House of Lords reached a different result in the seminal case of *Donaldson v Beckett* (4 Burr 2408; 17 Parliamentary History of England, at 953 [HL 1774]). Relying on the *Millar* precedent, the Chancery Court had granted an injunction against the sale of an unauthorized reproduction of a literary work even though the work was not entitled to protection under the Statute of Anne. Given the importance of the issues presented, the House of Lords sought advisory opinions from 12 judges on five questions.[2] The judges were asked to rule on whether the common law recognized the right of first publication; and if perpetual protection existed in common law for literary works, whether the Statute of Anne operated to curtail that protection.[3]

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2. One of the judges was Lord Chief Justice Mansfield, who, as a member of the House of Lords, declined to provide an opinion because of his participation in *Millar v Taylor* (4 Burr at 2417).

3. The texts of the inquiries by the House of Lords were as follows:

1. ''Whether, at common law, an author of any book or literary composition, had the sole right of first printing and publishing the same for sale, and might bring an action against any person who printed, published, and sold the same without his consent?''

2. ''If the author had such right originally, did the law take it away upon his printing and publishing such book or literary com-

(n. cont'd)

The judges determined that the common law recognized a right of first publication (*see Donaldson v Beckett*, 4 Burr at 2417 [vote was 8-3]; *cf.* Patterson, Copyright in Historical Perspective, at 175 [vote was 10-1]) and that the common-law copyright protection extended beyond first publication into perpetuity (*see Donaldson v Beckett*, 4 Burr at 2417 [vote was 7-4]). By a 6-5 margin, the judges disagreed with the *Millar* court and concluded that the Statute of Anne was intended to abrogate the common law with respect to the duration of copyright protection (*see id.*). Applying the restrictions of the Statute of Anne, the House of Lords reversed and rescinded the injunction (*see id.*; *Proceedings in the Lords on the Question of Literary Property*, 17 Parliamentary History of England, at 958 n).[4] The

position, and might any person afterward reprint and sell, for his own benefit, such book or literary composition, against the will of the author?''

3. ''If such an action would have lain at common law, is it taken away by the statute of 8th Anne: and is an author, by the said statute, precluded from every remedy except on the foundation of the said statute, and on the terms and conditions prescribed thereby?''

4. ''Whether the author of any literary composition, and his assigns, had the sole right of printing and publishing the same, in perpetuity, by the common law?''

5. ''Whether this right is in any way impeached, restrained, or taken away, by the statute 8th Anne?'' (*Proceedings in the Lords on the Question of Literary Property*, 17 Parliamentary History of England, at 970-971.)

4. The precise ruling by the House of Lords is the subject of scholarly debate. Professor Nimmer, among other commentators, takes the position that the House of Lords voted to overrule *Millar* only with regard to the abrogation question (*see* 1 Nimmer on Copyright § 4.02 [B], at 4-14, and n 12; *see also* Bowker, Copyright, Its History and Its Law, at 7 [1912]; Patterson, Copyright in Historical Perspective, at 174 [''The actual holding of the *Donaldson* case is that the author's common-law right to the sole printing, publishing, and vending of his works, a right which he could assign in perpetuity, is taken away and supplanted by the Statute of Anne'']; Burger, *The Berne Convention: Its History and Its Key Role in the Future*, 3 J Law & Tech 1, 6 n 25 [1988]; Cambridge Research Institute, Omnibus Copyright Revision, Comparative Analysis of the Issues, at 6 [1973]). It has been argued, however, that the House of Lords actually held that the common law never provided any copyright protection and that the rights of authors and publishers were solely statutory in nature (*see* Abrams, *The Historic Foundation of American Copyright Law: Exploding the Myth of Common Law Copyright*, 29 Wayne L Rev 1119, 1164 [Spring 1983]; Deazley, *Re-Reading Donaldson [1774] in the Twenty-First Century and Why It Matters*, 25 [6] Eur Intell Prop Rev 270, 274 [2003]; Brown, Kaplan and Brown's Copyright, at 53, and n 32 [2d ed 1974]). The controversy stems from the lack of any contemporaneous report of the

(n. cont'd)

supremacy of statutory time limitations for copyright protection was now firmly established in English law.

III. Development of American Copyright Law

We enter the colonial era in America. In the midst of the Revolutionary War and transformation of the British colonies into independent states and commonwealths, it was generally presumed that colonial common law, derived from English law, should be applied as long as it was consistent with the acts of the colonial legislatures. Notably, preservation of existing common law was addressed in the first Constitution of the State of New York (*see* NY Const art XXXV [1777] [renumbered as article I, § 14 and amended by Constitutional Convention of 1938]). Our Founders were aware that there was common-law copyright protection in England, as evidenced in James Madison's writings, which observed that ''[t]he copyright of authors has been solemnly adjudged, in Great Britain, to be a right of common law'' (Madison, Federalist No. 43).

Similar to the British experience, the new states responded to the needs of authors and publishers by adopting statutory copyrights. Using the Statute of Anne as a model, Connecticut, followed by Massachusetts and Maryland, enacted statutes assuring copyright protection for between 14 and 28 years following first publication (*see* Library of Congress, Copyright Enactments, 1783-1900, at 9-14). Soon thereafter, the Colonial Congress (operating under the Articles of Confederation) recommended that each state pass legislation providing at least 14 years of copyright protection after first publication (*id.* at 9). Twelve of the 13 original states would eventually heed this call (*see id.* at 14-29; Nachbar, *Constructing Copyright's Mythology*, 6 Green Bag 2d 37, 38 [Autumn 2002]). When the New York Legislature acted, it contemplated the existence of common-law copyright protections separate from statutory rights: ''nothing in this act, shall extend to effect prejudice, or confirm the rights, which any person may have, to the printing or publishing of any book or pamphlet, at common law, in cases not mentioned in this act'' (L 1786, ch 54, § IV).

As the drafting of the national Constitution was underway, the Founders decided that federal copyright protection would be more effective and desirable than leaving the matter to the

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opinions of the Lords, because at that time it was ''contempt punishable by imprisonment to publish any statements made by a member of Parliament in the course of parliamentary business'' (Abrams, *supra* at 1159).

discretion of the states (*see* Madison, Federalist No. 43; Patterson, Copyright in Historical Perspective, at 192-193). In fact, the need for ''national protection for intellectual property seems to have been accepted at first and full impression by both the [Constitutional] Convention and the states adopting the Constitution'' (Sutak, The Great Motion Picture Soundtrack Robbery, at xiii-xiv [1976]). This fundamental belief in the need for uniform copyright protection led to the constitutional provision vesting Congress with the ''Power . . . To promote the Progress of Science and useful Arts, by securing for limited Times to Authors and Inventors the exclusive Right to their respective Writings and Discoveries'' (US Const, art I, § 8 [8]). When the first Congress convened under the authority of the new Constitution, it enacted America's first federal copyright statute—the Copyright Act of 1790. The Act provided the author ''of any map, chart, book or books,'' or the author's assignee, the exclusive ''right and liberty of printing, reprinting, publishing and vending such map, chart, book or books'' for up to 28 years (Act of May 31, 1790 § 1 [1st Congress, 2d Sess, ch 15], 1 US Stat 124, reprinted in Library of Congress, Copyright Enactments, 1783-1900, at 30-32).

The American counterpart to *Millar* and *Donaldson* reached the United States Supreme Court in the case of *Wheaton v Peters* (8 Pet [33 US] 591 [1834]). The plaintiff, who had been the third official reporter for the United States Supreme Court, invoked statutory and common-law copyright claims to prevent his successor from copying and republishing material contained in the volumes published by the first three official reporters (*see* Patterson, Copyright in Historical Perspective, at 203). The Supreme Court, with two Justices dissenting, remanded for factual determinations on the statutory copyright claim but held that Wheaton could not maintain a common-law copyright cause of action. The majority and dissenting opinions extensively debated the impact of *Millar* and *Donaldson* on colonial copyright law. The majority acknowledged that the common law insured copyright protection prior to publication but believed that in the absence of federal common law under our constitutional system, a party seeking common-law protection must look to the state where the controversy arose (*see Wheaton v Peters*, 8 Pet [33 US] at 658).

The lasting effect of the *Wheaton* decision was that it ''became accepted, and in most cases unquestioned, doctrine that . . . it was the act of publication which divested common law rights''

(1 Nimmer on Copyright § 4.02 [C], at 4-17).[5] New York courts also adhered to this view with regard to literary works, declaring the ''settled'' principle that ''a statutory copyright operates to divest a party of the common-law right'' (*Jewelers' Mercantile Agency v Jewelers' Weekly Publ. Co.*, 155 NY 241, 247 [1898]; *see e.g. Palmer v De Witt*, 47 NY 532, 536 [1872]).

With the dawn of the 20th century, courts throughout the country were confronted with issues regarding the application of copyright statutes, which were created with sole reference to the written word, to new forms of communication. One of the first such challenges involved music. In *White-Smith Music Publ. Co. v Apollo Co.* (209 US 1 [1908]), the United States Supreme Court was asked to determine whether the federal Copyright Act encompassed perforated rolls of music used in player pianos.[6] Although acknowledging that the federal statute had been amended as far back as 1831 to include ''musical composition[s],'' the Court believed that only written works that could be ''see[n] and read'' met the requirement for filing with the Library of Congress—a prerequisite to securing federal copyright protection (*id.* at 17). Because the music rolls were incapable of being read by a person, the Court concluded that federal statutory protection for ''copies or publications of the copyrighted music'' did not extend to music rolls (*id.* at 18).

Following the *White-Smith* decision, Congress passed the Copyright Act of 1909. Since the Supreme Court had declared that player piano rolls and, by implication, sound recordings could not be ''published'' (i.e., read by a person) under federal law, Congress did not include audio musical works within the scope of the statute (*see* Keller and Cunard, Copyright Law: A Practitioner's Guide § 1:3:1, at 1-18 [Aug. 2004]). Despite the fact that sound recordings could not be ''published'' under federal law, they were eligible for state common-law protection (*see Wheaton v Peters*, 8 Pet [33 US] at 687 [Thompson, J., dissenting]). To insure that the 1909 Act would not be interpreted to deny any existing common-law protection, Congress explicitly stated that the Act ''shall [not] be construed to annul or limit

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5. The majority opinion in *Wheaton* has been criticized for its failure to rely on the rationale of *Donaldson* (that common-law rights cease upon publication because divestment is required by statute) and the majority's ''unpersuasive analysis of Pennsylvania common law'' (1 Nimmer on Copyright § 4.03, at 4-18).

6. At this time, Congress was in the process of revising the copyright statutes but decided to wait for the Supreme Court's decision.

the right of the author or proprietor of an unpublished work, at common law or in equity, to prevent the copying, publication, or use of such unpublished work without his consent, and to obtain damages therefor'' (17 USC § 2, added by 35 US Stat 1076 [1909]). Congress therefore confirmed that, although sound recordings were not protected under federal law, there was nothing to prevent the states from guaranteeing copyright protection under common law.

State courts then had to deal with the operation of this dual system of copyright protection. In *Waring v WDAS Broadcasting Sta.* (327 Pa 433, 194 A 631 [1937]), the plaintiff, a conductor and owner of an orchestra, had contracted with a phonograph company to produce recordings of the orchestra's performances to be sold to phonograph dealers and the public. To avoid interfering with a different contract the orchestra had for weekly radio broadcasts of live performances, the record labels contained a printed warning that they were ''[n]ot licensed for radio broadcast.'' (327 Pa at 436, 194 A at 633.) The plaintiff sued to prevent the owner of a radio station from broadcasting the recorded performances over the airwaves.

The Supreme Court of Pennsylvania found that the records were protected by state common law. Beginning with the premise that sound recordings were not copyrightable under federal law, the court explained:

> ''[a]t common law, rights in a literary or artistic work were recognized on substantially the same basis as title to other property. Such rights antedated the original copyright act of 8 Anne c. 19, and, while it has been uniformly held that the rights given by the act supersede those of the common law so far as the act applies . . . the common-law rights in regard to any field of literary or artistic production which does not fall within the purview of the copyright statute are not affected thereby'' (327 Pa at 439, 194 A at 634).

The court declared that a performer who transforms a musical composition into a sound product creates ''something of novel intellectual or artistic value [and] has undoubtedly participated in the creation of a product in which he is entitled to a right of property'' (327 Pa at 441, 194 A at 635). Even if the common law offered protection to sound recordings only to the point of first publication, the court held that the sale of records was not a publication of the work that operated to divest the orchestra of its common-law property right because the phonograph records had been marked ''[n]ot . . . for radio broadcast,'' which indicated that the manufacturer did not intend, by the sale alone, to make the records the '' 'common property' '' of the public (327 Pa at 443, 194 A at 636, quoting *American Tobacco Co. v Werckmeister*, 207 US 284, 300 [1907]).

A similar dispute arose in New York in *Metropolitan Opera Assn. v Wagner-Nichols Recorder Corp.* (199 Misc 786 [Sup Ct, NY County 1950], *affd* 279 App Div 632 [1st Dept 1951]). The plaintiff's operatic performances had been broadcast on radio and records of the performances were sold to the public. The defendant copied those performances and created its own records for sale. In granting an injunction preventing the sale of the defendant's records, the trial court observed that ''[a]t common law the public performance of a play, exhibition of a picture or sale of a copy of the film for public presentation did not constitute an abandonment of nor deprive the owner of his common-law rights'' (199 Misc at 798). Far from expressing an intent to commit intellectual property to the public domain, the court determined that an owner who grants exclusive rights to record a performance to a particular company ''shows clearly no intent to abandon but, on the contrary, an attempt to retain effective control over the . . . recording of its performances'' (*id.* at 799). Thus, the court characterized the public sale of a sound recording as a ''limited publication'' that did not divest a composer or artist of common-law copyright protection (*id.*).

A contrary view was initially expressed by the Second Circuit in *RCA Mfg. Co. v Whiteman* (114 F2d 86 [2d Cir 1940], *cert denied* 311 US 712 [1940]). The court concluded that the sale of a record to the public is a general publication that ends common-law copyright protection. But the Second Circuit reconsidered this rule after *Metropolitan Opera* and subsequently stated that *RCA Mfg.* was ''not the law of the State of New York'' (*Capitol Records v Mercury Records Corp.*, 221 F2d 657, 663 [2d Cir 1955]). Instead, the court announced that the appropriate governing principle was that ''where the originator, or the assignee of the originator, of records of performances by musical artists puts those records on public sale, his act does not constitute a dedication of the right to copy and sell the records'' (*id.*).[7] *Capitol Records v Mercury Records* was consistent with the

7. This rule was reaffirmed in *Rosette v Rainbo Record Mfg. Corp.* (546 F2d 461 [2d Cir 1976], *affg* 354 F Supp 1183 [SD NY 1973]).

long-standing practice of the federal Copyright Office and became the accepted view within the music recording industry (*see* 1 Nimmer on Copyright § 4.05 [B] [4], at 4-35; Bailey, *Phonorecords and Forfeiture of Common-Law Copyright in Music*, 71 Wash L Rev 151, 157 [Jan. 1996]; Kaplan, *Publication in Copyright Law: The Question of Phonograph Records*, 103 U Pa L Rev 469, 472 [Jan. 1955]).

The *Waring*, *Metropolitan Opera* and *Capitol Records* decisions may appear to conflict with the accepted principle that a public sale of a literary work is a ''general publication'' terminating a common-law copyright, and any copyright protection thereafter must be derived from statute. But the historical distinction in the treatment of literary and musical works by Congress accounts for the lack of federal statutory copyright protection for sound recordings. In the absence of protective legislation, Congress intended that the owner of rights to a sound recording should rely on the ''broad and flexible'' power of the common law to protect those property rights after public dissemination of the work. As *Metropolitan Opera* so aptly observed more than five decades ago, the common law ''has allowed the courts to keep pace with constantly changing technological and economic aspects so as to reach just and realistic results'' (199 Misc at 799).

In recent times, state legislatures have found common-law remedies inadequate to deter the widespread prevalence of ''music piracy.'' By the 1970s, the technological ease of reproducing existing recordings for resale without securing authorization had motivated about one half of the state legislatures, including New York (*see* Penal Law former § 441-c [L 1966, ch 988]), to adopt criminal statutes prohibiting such piracy (*see* HR Rep No. 94-1476, 94th Cong, 2d Sess, at 133, reprinted in 1976 US Code Cong & Admin News, at 5659, 5749). Spurred by the action of the states, Congress finally responded in 1971 and amended the Copyright Act of 1909 to expressly include ''[s]ound recordings'' within the classes of artistic and intellectual works entitled to federal copyright protection (17 USC § 5 [n], added by Pub L 92-140, 85 US Stat 391 [Act of Oct. 15, 1971]). But the 1971 amendments were prospective only, so recordings created before February 15, 1972—the effective date of the amendment—were not protected by federal law (*see* Pub L 92-140 § 3 [1971]). During the drafting of the amendment, debate arose concerning the scope of protection to be afforded to pre-1972 sound recordings. Both the Senate and the House of

Representatives recognized that decisional law had allowed sound recordings to be ''protected by State statute or common law'' (*see* HR Rep No. 94-1476, 94th Cong, 2d Sess, at 133, reprinted in 1976 US Code Cong & Admin News, at 5659, 5749). The Senate was content to permit the states to provide perpetual protection to pre-1972 sound recordings, but the House objected (*see id.*). The two houses eventually reached a compromise, deciding that existing state common-law copyright protection for pre-1972 recordings would not be preempted by the new federal statute until February 15, 2047—75 years after the effective date of the 1971 amendment (*see* 17 USC § 301 [c] [1976]).[8]

The 1971 amendments raised new problems for the music recording industry. Because the status of pre-1972 sound recordings was a matter left to the states, there was uncertainty as to how claims of copyright infringement would be treated in different jurisdictions. The amendments also did not include a technical definition of the term ''publication,'' which clouded the meaning of that term of art in the recording industry. Finally, there was concern that the amendments could be read as abrogating existing state statutes proscribing music piracy (*see* HR Rep No 94-1476, 94th Cong, 2d Sess, at 133, reprinted in 1976 US Code Cong & Admin News, at 5659, 5749).

Initial guidance came from the United States Supreme Court in *Goldstein v California* (412 US 546 [1973]). The defendant, convicted of criminal music piracy, challenged the constitutionality of a California penal statute on the grounds that it conflicted with the Copyright Clause, the Supremacy Clause and the federal Copyright Act by ''establish[ing] a state copyright of unlimited duration'' (*id.* at 551). Rejecting the defendant's claim, the Court noted that ''[a]lthough the Copyright Clause . . . recognizes the potential benefits of a national system, it does not indicate that all writings are of national interest or that state legislation is, in all cases, unnecessary or precluded'' (*id.* at 556-557). The Court further observed that, because the Constitution does not require Congress to ''take affirmative action either to authorize protection of all categories of writings or to free them of all restraint,'' it was sensible that the states

8. The preemption date was later extended by 20 years, to February 15, 2067 (*see* Pub L 105-298, 112 US Stat 2827 [105th Congress, 2d Sess, Oct. 27, 1998] [termed the ''Sonny Bono Copyright Term Extension Act''], amending 17 USC § 301 [c]).

did not relinquish all power to provide copyright protection (*id.* at 560).

The Supreme Court also acknowledged that the states were free to act with regard to sound recordings precisely because Congress had not, and in the absence of conflict between federal and state law, the Supremacy Clause was not a barrier to a state's provision of copyright protection to a work not covered under federal copyright law (*see id.* at 569-570). Nor did the Court find fault with the perpetual nature of California's copyright (*see id.* at 560-561). Rejecting the defendant's ''publication'' argument, the Court clarified that

> ''[f]or purposes of federal law, 'publication' serves only as a term of the art which defines the legal relationships which Congress has adopted under the federal copyright statutes. As to categories of writings which Congress has not brought within the scope of the federal statute, the term has no application'' (*id.* at 570 n 28).

The effect of *Goldstein* was more than an affirmation of the states' right to enact criminal laws prohibiting music piracy. Its rationale clearly deviated from the *Wheaton* view—that publication divests common-law rights even in the absence of statutory protection. Instead, the Court relied on the rule that state common-law copyright protection can continue beyond the technical definition of publication in the absence of contrary statutory authority (*see* 1 Nimmer on Copyright § 4.02 [C], at 4-17 n 23).

In the aftermath of *Goldstein*, Congress rectified some of the problems that erupted with the 1971 amendment of the Copyright Act. A major revision and restructuring of the Act occurred in 1976 and took effect in 1978. Included among the amendments was a statutory definition of ''publication,'' now defined to include ''the distribution of copies or phonorecords of a work to the public by sale or other transfer of ownership'' (17 USC § 101). This definition applied prospectively only, thereby continuing to exclude pre-1972 recordings from the scope of the statute. Congress again left to the states the decision how to handle the meaning and effect of ''publication'' for pre-1972 sound recordings.

The music industry's belief that state common law could provide copyright protection for pre-1972 recordings (until the date of federal preemption), without regard to the ''publication'' or sale of recordings, was undermined by the Ninth Circuit in *La Cienega Music Co. v ZZ Top* (53 F3d 950 [9th Cir 1995], *cert denied* 516 US 927 [1995]). This controversy pitted the owner of certain John Lee Hooker recordings against the band ZZ Top, which allegedly performed a top-selling song that was similar to earlier performances by Hooker. ZZ Top defended on the ground that any common-law protection was extinguished when the Hooker recordings were ''published,'' i.e., released for sale to the public. This contention challenged the Second Circuit holdings in *Capitol Records* (221 F2d 657 [1955]) and *Rosette* (546 F2d 461 [1976])—the only other United States Court of Appeals to have addressed the issue. The defendants in *La Cienega* were successful in convincing the Ninth Circuit not to adopt the rationale of the Second Circuit, and the court therefore held that public sale of a pre-1972 sound recording is a publication that divests the owner of common-law copyright protection.

La Cienega was criticized in Congress as exposing pre-1972 sound recordings to unauthorized uses and as ''overturn[ing] nearly 90 years of [precedential] decisions'' (143 Cong Rec H9882-01 [statement of Rep. Coble]). It was estimated that the ruling, if allowed to stand, would cause musicians, composers and publishers to lose over a billion dollars in annual revenue (*see id.* [statement of Rep. Delahunt]). Congress reacted to *La Cienega* by amending section 303 of the federal Copyright Act to clarify that ''[t]he distribution before January 1, 1978, of a phonorecord shall not for any purpose constitute a publication of the musical work embodied therein'' (17 USC § 303 [b]). After the passage of this amendment, the Ninth Circuit acknowledged that the intent of Congress was to '' 'restore national uniformity on this important issue by confirming the wisdom of the custom and usage of the affected industries and of the Copyright Office for nearly 100 years' '' (*ABKCO Music, Inc. v LaVere*, 217 F3d 684, 690 [2000] [quoting 143 Cong Rec S11301 (statement of Sen. Hatch)], *cert denied* 531 US 1051 [2000]). Congress had confirmed that sound recordings created before 1972 could be eligible for common-law copyright protection until federal preemption of state law in 2067.

IV. The Scope of Common-Law Copyright Protection in New York

The first New York State Constitution in 1777 permitted the continuation of colonial common law, derived from English common law. One such principle was that the creator of a literary work was entitled to perpetual common-law copyright protection in the absence of abrogation by statute (*see* Madison, Federalist No. 43; *see also* Whicher, *The Ghost of Donaldson v. Beckett: An Inquiry Into the Constitutional Distribution of Powers Over the Law of Literary Property in the United States*, 9 Bull Copyright Socy 102, 131-143 [1962]; Taubman, Copyright and Antitrust, at 9, 14 [1960]). The State Legislature acted to supplant common-law copyright protection when it passed a statute in 1786 ''to promote literature'' (L 1786, ch 54). The statute restricted the copyright protection an author of a literary work could receive after first publication for up to 28 years (*see id.*). This statute was superseded by Congress in 1790 when the first national copyright act was enacted (*see* Act of May 31, 1790, reprinted in Library of Congress, Copyright Enactments, 1783-1900, at 30-32). Consistent with the statutory abrogation rule, this Court established that New York common law would provide copyright protection to a literary work up to the point that federal law governed (*see e.g. Jewelers' Mercantile Agency v Jewelers' Weekly Publ. Co.*, 155 NY at 247; *see also Palmer v De Witt*, 47 NY at 536; *Estate of Hemingway v Random House*, 23 NY2d 341, 346 [1968]).

As earlier discussed, federal copyright statutes in the early 20th century encompassed only written musical compositions, not sound recordings (*see White-Smith Music Publ. Co. v Apollo Co.*, 209 US at 18). Because the federal Copyright Act did not protect musical recordings, state common law could supply perpetual copyright protection to recordings without regard to the limitations of ''publication'' under the federal act (*see Goldstein v California*, 412 US at 560-561, 570). It is clear that both the judiciary and the State Legislature intended to fill this void by protecting the owners of sound recordings in the absence of congressional action (*see Rosette v Rainbo Record Mfg. Corp.*, 546 F2d 461 [1976]; *Capitol Records v Mercury Records Corp.*, 221 F2d 657 [1955]; *Metropolitan Opera Assn. v Wagner-Nichols Recorder Corp.*, 199 Misc 786 [1950]; *Firma Melodiya v ZYX Music GmbH*, 882 F Supp 1306, 1316 n 14 [SD NY 1995]; *see also* Penal Law art 275; Arts and Cultural Affairs Law § 31.01; General Business Law former § 561 [L 1967, ch 680, § 59]; Penal Law former § 441-c [L 1966, ch 988]).

[1] With the 1971, 1976 and subsequent congressional amendments to the federal Copyright Act, New York common-law protection of sound recordings has been abrogated, but only in two respects. First, the common law does not apply to any sound recording fixed, within the meaning of the federal act, after February 15, 1972, because recordings made after that date are eligible for federal statutory copyright protection. Second, state common-law copyright protection is no longer perpetual for sound recordings not covered by the federal act (those fixed before February 15, 1972), because the federal act mandates that any state common-law rights will cease on February 15, 2067. The musical recordings at issue in this case, created before February 15, 1972, are therefore entitled to copyright protection under New York common law until the effective date of federal preemption—February 15, 2067.

Even assuming, however, that common-law copyright protection ceases upon ''first publication'' without regard to the existence of an applicable statute covering the type of literary or artistic work at issue, our common law would continue to protect sound recordings made before 1972.

The evolution of copyright law reveals that the term ''publication'' is a term of art that has distinct meanings in different contexts. With regard to literary works, it has long been the rule that common-law protection ends when a writing is distributed to the public (*see e.g. Palmer v De Witt*, 47 NY at 536; *Chamberlain v Feldman*, 300 NY 135, 139 [1949]; *Estate of Hemingway v Random House*, 23 NY2d at 345-346) because it is at that point that federal statutory copyright protection controls (*see Jewelers' Mercantile Agency v Jewelers' Weekly Publ. Co.*, 155 NY at 247). In contrast, in the realm of sound recordings, it has been the law in this state for over 50 years that, in the absence of federal statutory protection, the public sale of a sound recording otherwise unprotected by statutory copyright does not constitute a publication sufficient to divest the owner of common-law copyright protection (*see Rosette v Rainbo Record Mfg. Corp.*, 546 F2d 461 [2d Cir 1976], *affg* 354 F Supp 1183 [SD NY 1973]; *Capitol Records v Mercury Records Corp.*, 221 F2d at 663; *Radio Corp. of Am. v Premier Albums, Inc.*, 19 AD2d 62, 63-64 [1st Dept 1963]; *Gieseking v Urania Records*, 17 Misc 2d 1034, 1035 [Sup Ct, NY County 1956]; *Metropolitan Opera Assn. v Wagner-Nichols Recorder Corp.*, 199 Misc at 799; *see also* Note*, Copyrights—Unfair Competition—Property Right* *of Performer in Recorded Performance*, 7 Air L Rev 122, 125 [1936]).[9]

V. The Certified Questions

Having concluded that the musical recordings here are presumptively entitled to common-law copyright protection in New York, we proceed to address the three subquestions posed by the Second Circuit.

First: ''Does the expiration of the term of a copyright in the country of origin terminate a common law copyright in New York?''

When the recordings here were created in England, they received statutory copyright protection in the United Kingdom (UK) for 50 years after the date of creation (*see* Copyright Act of 1911, 1 & 2 Geo 5, ch 46, § 19). As a result, the UK copyrights for all of the recordings expired by the 1990s—years before Naxos's allegedly infringing actions. Naxos argues, and the District Court apparently agreed, that the expiration of the foreign copyrights prevents the enforcement of copyright protections in other jurisdictions, including the United States and New York. We disagree and concur with the Second Circuit's observation that ''nothing in federal law denies Capitol enforceable rights in the original recordings simply because the U.K. copyrights have expired'' (372 F3d 471, 480 [2d Cir 2004]).

Under the Federal Constitution, treaties that the United States enters with other countries have the force of federal law and must be respected by the states (*see* US Const art VI [2]). Although the Berne Convention and the Universal Copyright Convention both recognize the ''Rule of the Shorter Term,''

9. This appears to be the position of the United States Copyright Office and the sound recording industry with respect to recordings not covered by the national Copyright Act (*see ABKCO Music, Inc. v LaVere*, 217 F3d at 690; *see also* 1 Nimmer on Copyright § 4.05 [B] [4], at 4-35; Bailey, *Phonorecords and Forfeiture of Common-Law Copyright in Music*, 71 Wash L Rev at 157; Kaplan, *Publication in Copyright Law: The Question of Phonograph Records*, 103 U Pa L Rev at 472). The international community also does not deem the sale of such a sound recording to be a ''publication'' (*see* Universal Copyright Convention art IV, 25 UST 1341, TIAS No. 7868 [1974]), a definition crafted on the ''understanding by the delegates [to the Convention] that the issuance of phonograph records does not amount to publication under United States law'' and a belief '' 'that a contrary provision in the Convention would require an amendment of the United States Copyright Law unlikely to be accepted by Congress' '' (Landau, *''Publication,'' Musical Compositions, and the Copyright Act of 1909: Still Crazy After All These Years*, 2 Vand J Ent L & Prac 29, 40 [Winter 2000] [citing Universal Copyright Convention art IV]).

which generally provides that the term of copyright in the nation where a work is first published should be applied by other nations that would grant a longer period of protection, neither treaty applies this rule to sound recordings (*see* Universal Copyright Convention art IV [4] [a], 25 UST 1341, TIAS No. 7868 [1974]; Berne Convention for the Protection of Literary and Artistic Works art 7 [8], July 24, 1971 [Paris Text], S Treaty Doc No. 99-27 [amended 1979]; 4 Nimmer on Copyright § 17.06 [A], at 17-48.2). Instead, sound recordings fall within the ambit of the Phonograms Convention but this treaty applies only to recordings fixed after the date it became law (March 10, 1974 in the United States). Furthermore, the Phonograms Convention does not contain a rule of the shorter term (*see* Convention for the Protection of Producers of Phonograms Against Unauthorized Duplication of Their Phonograms, arts 4, 7 [3], 25 UST 309, TIAS No. 7808 [1974]). Nor does the statutory implementation of the Uruguay Round Agreements Act (Pub L 103-465, 108 US Stat 4809 [1994]), which appears in 17 USC § 104A, alter the common law with respect to the recordings at issue. That provision restores United States copyright protection to certain public domain works but does not apply to recordings, like those here, that were in the public domain in the country of origin prior to 1996 (*see* 17 USC § 104A [h] [6] [B]).

[2] Thus, neither federal statutory nor constitutional law prohibits the states from providing common-law protection to artistic works that are in the public domain in the country of origin (*see generally Hasbro Bradley, Inc. v Sparkle Toys, Inc.*, 780 F2d 189, 192-193 [2d Cir 1985]). Nothing in the statutes of this state or in our jurisprudence suggests such a prohibition is warranted. Indeed, there are indications that the opposite is true (*see* 1 Nimmer on Copyright § 5.11, at 5-90; *see also Rostropovich v Koch Intl. Corp.*, 34 USPQ2d 1609, 1614, 1995 WL 104123, *5 [SD NY 1995]), given that the copyright protection extended by state common law to sound recordings not covered by the federal Copyright Act is similar to the scope of common-law ownership rights in other forms of property, which can exist indefinitely (*see generally People ex rel. International Nav. Co. v Barker*, 153 NY 98, 101 [1897]). Until 2067, no federal or state statutory impediment constricts this common-law durational component for pre-1972 sound recordings. Applying the copyright law of the situs where the infringement occurs (*see e.g. Itar-Tass Russian News Agency v Russian Kurier, Inc.*, 153 F3d 82, 89 [2d Cir 1998]), there is no justification under New York law for substituting the British copyright term in place of New York's common-law protection for these recordings, which continues until federal preemption occurs. We therefore answer the first subquestion in the negative because we conclude that New York provides common-law copyright protection to sound recordings not covered by the federal Copyright Act, regardless of the public domain status in the country of origin, if the alleged act of infringement occurred in New York.

Second: ''Does a cause of action for common law copyright infringement include some or all of the elements of unfair competition?''

[3] We understand this question to ask whether the District Court was correct to assume that some type of malicious intent or bad faith is a necessary element of a state common-law copyright infringement claim. A copyright infringement cause of action in New York consists of two elements: (1) the existence of a valid copyright; and (2) unauthorized reproduction of the work protected by the copyright (*see e.g.* L 1786, ch 54, § I). To the extent that any inference of deceptive or fraudulent intent may have been referred to in early copyright case law, it appears to have been the view that bad faith was inherent in the act of copying and selling a work without permission from a competitor because this would deprive the true owner of the work's value (*see Millar v Taylor*, 98 Eng Rep at 203, 4 Burr at 2305; *see also Capitol Records, Inc. v Wings Digital Corp.*, 218 F Supp 2d 280, 286 [ED NY 2002]). But fraud or bad faith is not an element of an infringement action in modern New York law (*see Chamberlain v Feldman*, 300 NY 135 [1949] [enjoining publication of Mark Twain manuscript on behalf of his estate's trustees in the absence of any indication of fraud or bad faith]).[10] Copyright infringement is distinguishable from unfair competition, which in addition to unauthorized copying and distribution requires competition in the marketplace or similar actions designed for commercial benefit (*see Roy Export Co. Establishment of Vaduz, Liechtenstein v Columbia Broadcasting Sys., Inc.*, 672 F2d 1095, 1105 [2d Cir 1982], *cert denied* 459 US 826 [1982]; *G. Ricordi & Co. v Haendler*, 194 F2d 914, 916 [2d Cir

10. As the United States Supreme Court has explained, a federal statutory copyright infringement cause of action consists of two elements: ''(1) ownership of a valid copyright, and (2) copying of constituent elements of the work that are original'' (*Feist Publs. v Rural Tel. Serv. Co.*, 499 US 340, 361 [1991]). Commentators are in accord (*see* 3 Goldstein, Copyright § 15.5.2, at 15:45 [2d ed 1996; 2005 Supp]; 4 Nimmer on Copyright § 13.01, at 13-5).

1952]; *Capitol Records, Inc. v Wings Digital Corp.*, 218 F Supp 2d at 286; *Metropolitan Opera Assn. v Wagner-Nichols Recorder Corp.*, 199 Misc at 793), or deception of the public (*see e.g. Shaw v Time-Life Records*, 38 NY2d 201, 206 [1975]). In response to the second subquestion, we hold that the causes of action for copyright infringement and unfair competition are not synonymous under New York law.

Third: ''Is a claim of common law copyright infringement defeated by a defendant's showing that the plaintiff's work has slight if any current market and that the defendant's work, although using components of the plaintiff's work, is fairly to be regarded as a 'new product'?''

[4] We begin by noting that Naxos does not contend that ''market size'' or ''new product'' issues are relevant to the existence of a common-law copyright regarding sound recordings. Its discussion of those terms is limited to the context of an unfair competition cause of action. In any event, the ability to enforce copyright protections provided by New York common law is not diminished due to the size of the market and, therefore, the popularity of a product does not affect a state common-law copyright infringement claim (*see generally* Nimmer, *Copyright in the Dead Sea Scrolls: Authorship and Originality*, 38 Hous L Rev 1, 177-179 [Spring 2001]).

Nor do we believe that a state common-law copyright claim can be defeated under the so-called ''new product'' analysis. We note that the Second Circuit has declared that the ''[i]ndependent creation'' of a new product ''[can]not consist of actual copying'' of an entire work (*Durham Indus., Inc. v Tomy Corp.*, 630 F2d 905, 910 [2d Cir 1980]). In the related area of the federal ''fair use'' doctrine, it is a general rule that the reproduction of an entire copyrighted work constitutes infringement (*see Infinity Broadcast Corp. v Kirkwood*, 150 F3d 104, 109 [2d Cir 1998], quoting 4 Nimmer on Copyright § 13.05 [A] [3], at 13-181). We see no justification for adopting a different rule of state law. Thus, even assuming that Naxos has created a ''new product'' due to its remastering efforts that enhance sound quality,[11] that product can be deemed to infringe on Capitol's copyright to the extent that it utilizes the original elements of

11. Although we express no view on whether Naxos has, in fact, created a ''new product,'' we simply note that Capitol has a protected property interest in the performances embodied on the shellac records (*cf. Capitol Records v Greatest Records*, 43 Misc 2d 878, 880 [Sup Ct, NY County 1964]) and that Naxos is selling remastered copies of the identical performances.

the protected performances. We conclude that the third subquestion should be answered in the negative.

VI. Conclusion

[1] In light of our responses to these inquiries and our conclusion that state common law protects ownership interests in sound recordings made before 1972 that are not covered by the federal Copyright Act, the answer to the main certified question is that, without regard to the issue of abandonment, Naxos is not entitled to defeat Capitol's claim for infringement of common-law copyright in the original recordings. Accordingly, the certified question should be answered in the negative.

Chief Judge KAYE and Judges G.B. SMITH, CIPARICK, ROSENBLATT, READ and R.S. SMITH concur.

Following certification of a question by the United States Court of Appeals for the Second Circuit and acceptance of the question by this Court pursuant to section 500.17 of the Rules of Practice of the Court of Appeals (22 NYCRR 500.17), and after hearing argument by counsel for the parties and consideration of the briefs and the record submitted, certified question answered in the negative.

[830 NE2d 278, 797 NYS2d 380]

ANTHONY POMMELLS, Appellant, v FRANCISCO R. PEREZ et al., Respondents.

DAVID G. BROWN, Appellant, v ATHENA D. DUNLAP et al., Respondents.

Argued March 23, 2005; decided April 28, 2005

MIGUEL CARRASCO, Appellant, v AURORA MENDEZ, Respondent.

Decided April 28, 2005

SUMMARY

APPEAL, in the first above-entitled action, from an order of the Appellate Division of the Supreme Court in the First Judicial Department, entered February 3, 2004. The Appellate Division, with two Justices dissenting, affirmed an order of the Supreme Court, Bronx County (Bertram Katz, J.), which had granted defendants' motion and cross motion for summary judgment dismissing the complaint.

APPEAL, in the second above-entitled action, from an order of the Appellate Division of the Supreme Court in the First Judicial Department, entered April 1, 2004. The Appellate Division, with two Justices dissenting, affirmed an order of the Supreme Court, New York County (Milton A. Tingling, J.), which had granted defendants' motion and cross motion for summary judgment dismissing the complaint, and had denied, as moot, plaintiff's cross motion for summary judgment "on the issue of the tort threshold."

APPEAL, in the third above-entitled action, by permission of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Second Judicial Department, entered March 29, 2004. The Appellate Division affirmed an order of the Supreme Court, Queens County (Orin R. Kitzes, J.), which had granted defendant's motion for summary judgment dismissing the complaint.

Pommells v Perez, 4 AD3d 101, affirmed.

Brown v Dunlap, 6 AD3d 159, reversed.

Carrasco v Mendez, 5 AD3d 716, affirmed.

HEADNOTES

Insurance — No-Fault Automobile Insurance — Serious Injury — Interruption in Chain of Causation

1. In a negligence action to recover damages for a herniated disc and other soft-tissue injuries allegedly sustained in a motor vehicle accident, defendants were entitled to summary judgment dismissing the complaint on the ground

that plaintiff did not sustain a serious injury within the meaning of Insurance Law § 5102 (d). Proof of a herniated disc, without additional objective medical evidence establishing that the accident resulted in significant physical limitations, is not alone sufficient to establish a serious injury. Although here plaintiff did submit objective evidence regarding physical limitations, his history revealed two interrupting factors: cessation of treatment six months after the accident and a kidney condition resulting in the removal of his kidney more than two years after the accident. Neither plaintiff nor his doctors offered any explanation as to why plaintiff failed to pursue any treatment for his injuries after the initial six-month period of physical therapy. Moreover, plaintiff failed to address the effect of his kidney disorder on his claimed accident injuries.

Insurance — No-Fault Automobile Insurance — Serious Injury — Interruption in Chain of Causation

2. In a negligence action to recover damages for a herniated disc and other soft-tissue injuries allegedly sustained in a motor vehicle accident, defendants were not entitled to summary judgment dismissing the complaint on the ground that plaintiff did not sustain a serious injury within the meaning of Insurance Law § 5102 (d). Although defendants' submissions, indicating that plaintiff suffered only minor limitations as a result of the automobile accident and did not receive any outside treatment for a 2½-year period, were sufficient to meet their initial burden on the summary judgment motion, plaintiff's submissions in opposition raised material issues of fact as to whether he sustained a "permanent consequential limitation of use of a body organ or member" or a "significant limitation of use of a body function or system." Plaintiff's cessation of treatment was explained sufficiently to raise an issue of fact and survive summary judgment. Moreover, the conclusory notation by defendants' radiologist that plaintiff's disc problems were "chronic and degenerative in origin" was itself insufficient to establish that plaintiff's pain might be due to a preexisting condition, and plaintiff was not obliged to do more to overcome defendants' summary judgment motions.

Insurance — No-Fault Automobile Insurance — Serious Injury — Interruption in Chain of Causation

3. In a negligence action to recover damages for herniated discs and other soft-tissue injuries allegedly sustained in a motor vehicle accident, defendants were entitled to summary judgment dismissing the complaint on the ground that plaintiff did not sustain a serious injury within the meaning of Insurance Law § 5102 (d). Defendant presented evidence of a preexisting degenerative disc condition causing plaintiff's alleged injuries, and plaintiff failed to rebut that evidence sufficiently to raise an issue of fact. The reports from plaintiff's initial treating physician and defendant's orthopedic surgeon stated that plaintiff's pain was due to the preexisting condition. That conclusion was not refuted by plaintiff's expert, who actually explained in his report that plaintiff's pain and loss of range of motion was consistent with those formations set forth by the other physicians as related to a degenerative condition.

TOTAL CLIENT-SERVICE LIBRARY® REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Automobile Insurance §§ 504, 506, 616; AM JUR 2d, Negligence §§ 555–564, 570, 573, 642.

CARMODY-WAIT 2d, Summary Judgment §§ 39:100–39:107, 39:130.

COUCH ON INSURANCE (3d ed) §§ 125:67, 125:68, 125:73.
MCKINNEY'S, Insurance Law § 5102 (d).
NY JUR 2d, Insurance §§ 1401, 1822, 1826, 1827, 2362, 2379; NY JUR 2d, Negligence §§ 56–58.
PROSSER AND KEETON, TORTS (5th ed) § 44.

ANNOTATION REFERENCE

What constitutes sufficiently serious personal injury, disability, impairment, or the like to justify recovery of damages outside of no–fault automobile insurance coverage. 33 ALR4th 767.

FIND SIMILAR CASES ON WESTLAW®

Database: NY-ORCS

Query: no-fault /s serious /2 injury /p physical /2 limitation

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POINTS OF COUNSEL

Pollack, Pollack, Isaac & De Cicco, New York City (*Brian J. Isaac* of counsel), and *Ripka, Rotter & King, LLP* (*Alan S. Ripka* of counsel) for appellant in the first above-entitled action. Plaintiff adequately raised triable issues of fact regarding whether or not he sustained a serious injury, thereby mandating denial of defendants' summary judgment motions; conflicts in expert testimony based on the same evidence go to the weight of the evidence as did any gap in treatment; plaintiff cannot be faulted for relying on documents also used by defendants' experts; under *Toure v Avis Rent A Car Sys.* (98 NY2d 345 [2002]) plaintiff's expert's testimony was sufficient to raise a question of fact as to serious injury. (*Kordana v Pomellito,* 121 AD2d 783, 68 NY2d 848; *Countermine v Galka,* 189 AD2d 1043; *Oberly v Bangs Ambulance,* 96 NY2d 295; *Gaddy v Eyler,* 79 NY2d 955; *Scheer v Koubek,* 70 NY2d 678; *Miller v Miller,* 100 AD2d 577, 68 NY2d 871; *Scamacca v Bennett,* 161 AD2d 1197; *Montgomery v Daniels,* 38 NY2d 41; *Licari v Elliott,* 57 NY2d 230; *Matter of Granger v Urda,* 44 NY2d 91.)

Norman Volk & Associates, New York City (*Michael I. Josephs* of counsel), for Francisco R. Perez, respondent in the first above-entitled action. I. Plaintiff was not too young to develop a degenerative back condition. II. During the four-year gap, any connection between plaintiff's initial injury and the symptoms found by Dr. Rose was irreversibly severed. (*Franchini v Palmieri,* 307 AD2d 1056; *Kallicharan v Sooknanan,* 282 AD2d 573.) III. It was appropriate for defendants to have plaintiff examined by a neurologist. (*Zoldas v Louise Cab Corp.,* 108 AD2d 378.) IV. A herniated disc in plaintiff's lumbar spine was not alleged to be part of plaintiff's claims of serious injury. (*Jeng-Jen Chen v Marc,* 10 AD3d 295.) V. There were no acceptable objective tests conducted by Dr. Rose. (*Brown v Achy,* 9 AD3d 30; *Nitti v Clerrico,* 98 NY2d 345; *Grossman v Wright,* 268 AD2d 79; *Waldman v Dong Kook Chang,* 175 AD2d 204.) VI. Appellant has not provided medical support for a serious injury under the 90/180 day category. (*Beaubrun v New York City Tr. Auth.,* 9 AD3d 258; *Dabiere v Yager,* 297 AD2d 831.)

Galvano & Xanthakis, P.C., New York City (*Matthew Kelly* of counsel), for Rohit Latchman, respondent in the first above-entitled action. The Appellate Division, First Department, correctly affirmed the trial court's decision to grant defendants' summary judgment motions to dismiss plaintiff's complaint because there are no issues of fact as to whether plaintiff sustained a ''serious injury'' within the meaning of Insurance Law § 5102 (d). (*Cosmos Forms v American Computer Forms,* 193 AD2d 577; *Paltrow v Town of Lewisboro,* 199 AD2d 372; *Capelin Assoc. v Globe Mfg. Corp.,* 34 NY2d 338; *Hewett v Marine Midland Bank of Southeastern N.Y.,* 86 AD2d 263; *Licari v Elliott,* 57 NY2d 230; *Pagano v Kingsbury,* 182 AD2d 268; *Dwyer v Tracey,* 105 AD2d 476; *Schaming v Saunders Constr. Carriers,* 172 AD2d 957; *Scheer v Koubek,* 70 NY2d 678.)

Barry Siskin, New York City, for appellant in the second above-entitled action. I. Plaintiff can prove a ''significant impairment'' without sustaining a herniated disc. (*Lopez v Senatore,* 65 NY2d 1017; *Toure v Avis Rent A Car Sys.,* 98 NY2d 345.) II. The statute does not refer to a gap in treatment and that should be a fact-finding issue for the jury to determine. (*Akamnonu v Rodriguez,* 12 AD3d 187; *Toure v Avis Rent A Car Sys.,* 98 NY2d 345; *Cruz v Castanos,* 10 AD3d 277.) III. Plaintiff's doctor's opinion to a reasonable degree of medical certainty, following range of motion tests of the various movements of the cervical and lumbar spines, in degrees, with comparison to the norm that plaintiff sustained a serious injury is all that is required by this Court. (*Villalta v Schechter,* 273 AD2d 299; *Grossman v Wright,* 268 AD2d 79.)

Rivkin Radler LLP, Uniondale (*Cheryl F. Korman, Evan H. Krinick* and *Stuart M. Bodoff* of counsel), for Athena D. Dunlap and another, respondents in the second above-entitled action. The Supreme Court and Appellate Division correctly granted

Mr. Saunders' cross motion for summary judgment inasmuch as plaintiff failed to raise an issue of fact as to whether he sustained a serious injury as defined by Insurance Law § 5102 (d). (*Licari v Elliott,* 57 NY2d 230; *Scheer v Koubek,* 70 NY2d 678; *Toure v Avis Rent A Car Sys.,* 98 NY2d 345; *Dufel v Green,* 84 NY2d 795; *Lowe v Bennett,* 122 AD2d 728, 69 NY2d 700; *Gaddy v Eyler,* 79 NY2d 955; *Calcagno v New York City Tr. Auth.,* 273 AD2d 334, 95 NY2d 875; *Lopez v Senatore,* 65 NY2d 1017; *Brown v Dunlap,* 6 AD3d 159; *Franchini v Palmieri,* 1 NY3d 536.)

Curtis Vasile Devine & McElhenny, Merrick (*Samantha B. Lansky* of counsel), for Trucklease Corporation and others, respondents in the second above-entitled action. I. The court below properly granted summary judgment as defendants presented sufficient proof in admissible form that appellant did not sustain a serious injury. (*Grossman v Wright,* 268 AD2d 79; *Villalta v Schechter,* 273 AD2d 299.) II. The court below properly granted summary judgment to defendants as appellant's proof was insufficient to raise a triable issue of fact that appellant did not sustain a serious injury. (*Pramnieks v Bush,* 272 AD2d 596; *Toure v Avis Rent A Car Sys.,* 98 NY2d 345; *Grossman v Wright,* 268 AD2d 79; *Dan v Luke,* 237 AD2d 165; *Monaco v Davenport,* 277 AD2d 209; *Goldin v Lee,* 275 AD2d 341; *Shay v Jerkins,* 263 AD2d 475; *Jeng-Jen Chen v Marc,* 10 AD3d 295; *Hernandez v Bahlke,* 6 AD3d 578.)

Ginsberg & Katsorhis, P.C., Flushing (*Nicole D. Katsorhis* of counsel), for appellant in third above-entitled action. It is obvious that the medical affidavit submitted was, in and of itself, sufficient to deny summary judgment as a matter of law without the proffering of any other medical evidence or testimony.

Epstein, Grammatico, Frankini & Marotta, Woodbury (*Mona Haas* of counsel), for respondent in the third above-entitled action. It is clear that the Supreme Court and Appellate Division's finding that plaintiff failed to raise a triable issue of fact as to whether or not he sustained a "serious injury" should be affirmed by this Court.

OPINION OF THE COURT

Chief Judge Kaye.

In 1973 the Legislature enacted the "Comprehensive Automobile Insurance Reparations Act" (*see* L 1973, ch 13)—commonly known as the No-Fault Law—with the objective of promoting prompt resolution of injury claims, limiting cost to consumers and alleviating unnecessary burdens on the courts (*see* Governor's Mem approving L 1973, ch 13, 1973 McKinney's Session Laws of NY, at 2335). Every car owner must carry automobile insurance, which will compensate injured parties for ''basic economic loss'' occasioned by the use or operation of that vehicle in New York State, irrespective of fault (Insurance Law § 5102 [a]; § 5103). Only in the event of ''serious injury'' as defined in the statute, can a person initiate suit against the car owner or driver for damages caused by the accident (Insurance Law § 5104 [a]).[1]

No-Fault thus provides a compromise: prompt payment for basic economic loss to injured persons regardless of fault, in exchange for a limitation on litigation to cases involving serious injury (*see Montgomery v Daniels*, 38 NY2d 41, 50-51 [1975]). Abuse nonetheless abounds. From 1992 to 2000, reports of No-Fault fraud rose more than 1,700% and constituted 75% of all automobile fraud reports received by the Insurance Department in 2000 (*see Matter of Medical Socy. of State of N.Y. v Serio*, 100 NY2d 854 [2003]; *see also State Farm Mut. Auto. Ins. Co. v Mallela*, 4 NY3d 313 [2005]). There is, similarly, abuse of the No-Fault Law in failing to separate ''serious injury'' cases, which may proceed in court, from the mountains of other auto accident claims, which may not. That ''basic economic loss'' has remained capped at $50,000 since 1973 provides incentive to litigate.

In the context of soft-tissue injuries involving complaints of pain that may be difficult to observe or quantify, deciding what is a ''serious injury'' can be particularly vexing. Additionally, whether there has been a ''*significant*'' limitation of use of a body function or system (the threshold statutory subcategory into which soft-tissue injury claims commonly fall) can itself be a complex, fact-laden determination. Many courts have approached injuries of this sort with a well-deserved skepticism. Indeed, failure to grant summary judgment even where the evi-

1. Insurance Law § 5102 (d) defines a ''serious injury'' as ''a personal injury which results in death; dismemberment; significant disfigurement; a fracture; loss of a fetus; permanent loss of use of a body organ, member, function or system; permanent consequential limitation of use of a body organ or member; significant limitation of use of a body function or system; or a medically determined injury or impairment of a non-permanent nature which prevents the injured person from performing substantially all of the material acts which constitute such person's usual and customary daily activities for not less than ninety days during the one hundred eighty days immediately following the occurrence of the injury or impairment.''

dence justifies dismissal, burdens court dockets and impedes the resolution of legitimate claims. As a hint of the dimension of the situation, in less than three years, *Toure v Avis Rent A Car Sys.* (98 NY2d 345 [2002])—addressing similar issues—already has been cited more than 500 times in published decisions of our trial and appellate courts (representing only a small portion of the trial court activity).

In all three cases we decide today, as in *Toure*, plaintiffs claim to have suffered soft-tissue injuries—herniated discs—caused by car accidents, challenging us once again to articulate criteria that will enable serious injury claims to proceed yet prevent abuses that clog the courts and harm the public. We conclude that, even where there is objective medical proof, when additional contributory factors interrupt the chain of causation between the accident and claimed injury—such as a gap in treatment, an intervening medical problem or a preexisting condition—summary dismissal of the complaint may be appropriate.

Pommells v Perez

Plaintiff Anthony Pommells was in a three-car accident on March 15, 1998. Days later, on his lawyer's referral, plaintiff visited the North Bronx Medical Center where he had a neurological exam and began a course of daily physical therapy, which he continued for six months, while he remained out of work. Plaintiff initiated suit on June 24, 1998, alleging that he suffered serious injury under Insurance Law § 5102 (d).[2] Plaintiff sought no further medical treatment or review of his alleged accident-related injury for more than three years, when, on January 11, 2002, he consulted with the physician who furnished a report in this case.

In the course of his deposition, plaintiff revealed that in July 2000—more than two years after the accident—he experienced severe pain in his back and side, sending him to a hospital emergency room where doctors inserted a stent in his kidney. After four weeks, doctors determined that surgery was necessary. Plaintiff's kidney was removed on August 18, 2000, and he again was out of work for six months.

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2. Plaintiff claimed a serious injury under two section 5102 (d) clauses: "significant limitation of use of a body function or system" and "a medically determined injury or impairment of a non-permanent nature which prevents the injured person from performing substantially all of the material acts which constitute such person's usual and customary daily activities for not less than ninety days during the one hundred eighty days immediately following the occurrence of the injury or impairment."

Defendants sought summary judgment dismissing plaintiff's claim for failing to raise a triable issue of fact as to the existence of serious injury. In support of their motion, defendants submitted three doctors' reports. Neurologist Michael J. Carciente, based on an October 22, 2001 examination of plaintiff and plaintiff's medical records (including the unsworn MRI report and consideration of plaintiff's kidney problem), opined that there was "no evidence of a cervical or a lumbosacral spine radiculopathy" and "no evidence of a causally related neurologic disability." Radiologist Steven Brownstein, after also reviewing plaintiff's MRI, reported that plaintiff suffered "[n]o diffuse bulge or focal disc protrusion" and stated that he could detect only a muscle spasm in plaintiff. Radiologist Richard Rafal reported plaintiff suffered "[n]o gross acute pathology."

In response, plaintiff submitted an unsworn report by Dr. Leonid Slutsky[3] from the March 1998 examination, which, based on a stated series of range of motion tests, revealed limitations in mobility and recommended a course of follow-up medical treatment, including physical therapy, chiropractic treatment, painkilling medication and neurological examinations. Plaintiff also offered a May 11, 1998 unsworn report by Dr. Robert Kronenberg relying on somatosensory evoked potentials (or SSEPs), and which, based on nerve stimulations and recorded limitations in movement, recommended physical therapy, but did not opine as to injury or causation.

Finally, plaintiff submitted the sworn report of orthopedist Louis C. Rose, based on the range of motion tests he performed on January 11, 2002 (detailed in the report), opining that plaintiff had "MRI documented evidence of a herniated lumbar disk with clinical evidence of radiculopathy" and was at risk of "development of osteoarthritic changes in an advanced fashion" due to "the destabilization and micromotion of the cervical and lumbar spine." Dr. Rose noted that plaintiff's symptoms were "causally related to the history as stated," which included both the 1998 car accident and plaintiff's past medical history, notably "[s]ignificant for right-sided nephrectomy which was undertaken on 8/18/00."

The trial court granted defendants' motion for summary dismissal and the Appellate Division affirmed, two Justices dissenting, bringing this appeal before us as a matter of right (CPLR 5601 [a]). We now affirm.

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3. Throughout this writing, where areas of specialization are not stated, it is because they are unidentified in the record.

[1] Proof of a herniated disc, without additional objective medical evidence establishing that the accident resulted in significant physical limitations, is not alone sufficient to establish a serious injury. Defendants initially made a prima facie showing that plaintiff's alleged injuries did not satisfy No-Fault's serious injury threshold, leaving for plaintiff the burden to present objective medical proof of a serious injury causally related to the accident in order to survive summary dismissal. While plaintiff submitted objective evidence regarding physical limitations, his history revealed two interrupting factors: cessation of treatment six months after the accident and a kidney condition.

We first address the ''gap in treatment'' noted by the trial court and Appellate Division—the period of time between the end of plaintiff's physical therapy in 1998 and his visit to Dr. Rose to obtain an expert medical report in 2002.[4] Defendants argue that the ''gap'' both renders the medical expert's later opinion on causation speculative and places into question the seriousness of the injuries themselves.

In the present case, the so-called gap in treatment was, in reality, a cessation of all treatment. Plaintiff ended his physical therapy six months after the accident and sought no other treatment until years later, when he visited Dr. Rose in connection with this case. While a cessation of treatment is not dispositive—the law surely does not require a record of needless treatment in order to survive summary judgment—a plaintiff who terminates therapeutic measures following the accident, while claiming ''serious injury,'' must offer some reasonable explanation for having done so. Here, plaintiff provided no explanation whatever as to why he failed to pursue any treatment for his injuries after the initial six-month period, nor did his doctors (*see Franchini v Palmieri*, 1 NY3d 536 [2003]).

Further, plaintiff failed to address the effect of his kidney disorder on his claimed accident injuries. Dr. Rose's report—the only competent evidence supporting plaintiff's response to the summary judgment motion (*see Grasso v Angerami*, 79 NY2d 813 [1991])—in fact noted the kidney surgery in plaintiff's medical history and then relied on that medical history in opining as

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4. In recent No-Fault cases, ''gap in treatment'' has become a prominent factor in summary judgment motions (*see e.g. Garces v Yip*, 16 AD3d 375 [2d Dept 2005]; *Bent v Jackson*, 15 AD3d 46 [1st Dept 2005]; *Brown v Achy*, 9 AD3d 30 [1st Dept 2004]; *Rivera v Francis*, 7 AD3d 690 [2d Dept 2004]; *Melendez v Feinberg*, 306 AD2d 98 [1st Dept 2003]; *Vaughan v Baez*, 305 AD2d 101 [1st Dept 2003]).

to causation. Plaintiff's submission left wholly unanswered the question whether the claimed symptoms diagnosed by Dr. Rose were caused by the accident (*see Franchini*, 1 NY3d at 537; *see also Simms v APA Truck Leasing Corp.*, 14 AD3d 322 [1st Dept 2005]; *Blackwell v Fraser*, 13 AD3d 157 [1st Dept 2004]; *Mooney v Edwards*, 12 AD3d 424 [2d Dept 2004]; *Shaw v Looking Glass Assoc., LP*, 8 AD3d 100 [1st Dept 2004]; *Shinn v Catanzaro*, 1 AD3d 195 [1st Dept 2003]; *Lagois v Public Adm'r of Suffolk County*, 303 AD2d 644 [2d Dept 2003]; *Pajda v Pedone*, 303 AD2d 729 [2d Dept 2003]; *Monette v Keller*, 281 AD2d 523 [2d Dept 2001]). On this record, we conclude that defendants' motion for summary dismissal of the complaint was correctly granted.

Brown v Dunlap

On June 25, 1999, plaintiff, then 17 years of age, was a rear seat passenger in a vehicle owned by defendant Athena Dunlap and operated by defendant Louis Saunders (collectively Saunders) when it was struck from behind by a vehicle owned by defendant Trucklease Corporation and operated by defendant Gilberto Schasiepen (collectively Schasiepen). An ambulance transported plaintiff to St. Luke's-Roosevelt Hospital, where he complained of neck and back pain. After x-rays revealed no fracture, plaintiff was given pain medication and released. A week later, referred by his counsel, plaintiff sought treatment from Dr. Samuel Melamed who, in August 1999, sent him to Ultra Diagnostics Imaging for an MRI of the lumbosacral spine. At that time, radiologist Mark Freilich reported: ''Bulging is seen of discs L3-L5. There is herniation of disc L5-S1 towards the right and centrally indenting the thecal sac. Desiccative changes are noted of herniated disc L5-S1 as well.''

In September 1999, neurologist Daniel Feuer diagnosed plaintiff with a lumbosacral herniated disc and lumbosacral radiculitis. He recommended that plaintiff continue a course of physical therapy supplemented by over-the-counter anti-inflammatory medications. Additionally, Dr. Melamed, relying on Dr. Freilich's earlier MRI report, noted spasms and tenderness and opined that, as a result of the accident, plaintiff sustained an acute cervical sprain and a lumbosacral sprain, and explained that plaintiff's continued pain and limitation of movement over the spine was a permanent injury. In March 2000, plaintiff commenced this action alleging that he had sustained serious injury within the meaning of Insurance Law § 5102 (d).

Following joinder of issue, defendant Schasiepen moved for summary judgment dismissing the complaint on the ground that plaintiff did not suffer a serious injury, and submitted the sworn reports of radiologist Jessica Berkowitz, orthopedist Norman Heyman and neurosurgeon Donald Frank. Defendant Saunders thereafter joined in the motion, adopting Schasiepen's arguments and submissions, and adding the reports of orthopedic surgeon Howard Baruch and neurologist Robert April. According to defendants' medical evidence, any limitations plaintiff suffered as a result of the accident were minor at best. However, those injuries that existed, according to Dr. Frank and Dr. Baruch, were causally related to the car accident. Only defendants' radiologist, Dr. Berkowitz, noted—without more—that the ''[d]isc desiccation and minimal diffuse disc bulge'' were ''chronic and degenerative in origin.''

In opposition, plaintiff submitted the affirmation of his treating physician, Dr. Melamed, opining that plaintiff suffered from ''a herniated disc, confirmed by MRI testing, at L5-S1 towards the right centrally indenting the thecal sac; bulging discs, also confirmed by MRI, at levels L3-L5; and acute cervical sprain.'' He added that his April 22, 2002 examination revealed numerical deficiencies in plaintiff's extension and flexion of the cervical and lumbar spine, and he opined, with a reasonable degree of medical certainty, that plaintiff's ''inability to move his spine (lower back and neck) to the full range of what is normal [constituted a] . . . definite severe and permanent injury'' that was causally related to the accident. Finally, Dr. Melamed explained that ''[w]hen it became clear, after extensive therapy in my office, that further treatment and visits would be only palliative in nature, upon discharge from this office, I instructed [plaintiff] as to strengthening and stabilizing home exercises, which consisted of back and neck stretches and strengthening techniques.'' Plaintiff's own affidavit noted that he continues to suffer ''excruciating'' pain in his neck and lower back when he stands for more than 15 minutes, and can no longer lift heavy objects; experiences numbness in his legs when he remains too long in the same position; and cannot continue his prior sports activities.

Based on these submissions, Supreme Court granted defendants' motions dismissing the complaint, holding that plaintiff failed to explain a 2½ year gap in treatment and also fatally relied on unsworn MRI reports. The Appellate Division affirmed, holding that plaintiff failed to both furnish an adequate explanation of the gap in treatment and address the suggested chronic disc condition. Two Justices dissented, bringing the appeal before us as a matter of right. We now reverse and reinstate the complaint.

[2] Defendants' submissions, indicating that plaintiff suffered only minor limitations as a result of the automobile accident, were sufficient to meet their initial burden. Plaintiff's submissions in opposition, however, raise material issues of fact as to whether he sustained a ''permanent consequential limitation of use of a body organ or member'' or a ''significant limitation of use of a body function or system.''

On plaintiff's behalf, Dr. Melamed identified measurements of loss of range of motion in plaintiff's cervical and lumbar spine, and on that predicate opined that plaintiff suffered severe and permanent injuries as a result of the accident. Dr. Melamed concluded that plaintiff's ''continuing condition accounts for [his] extreme pain, stiffness and inability to move his . . . spine[ ] to the degree of range of motion characteristic of a normal twenty year-old'' (*see Toure*, 98 NY2d at 350-351, 353; *Melino v Lauster*, 195 AD2d 653, 655 [3d Dept 1993], *affd* 82 NY2d 828 [1993]). Moreover, Dr. Melamed, in his own sworn statement, noted that the MRI of plaintiff's spine—taken by Dr. Freilich approximately two months after the accident, and made part of the record—revealed one herniated and three bulging discs (*cf. Toure [Nitti v Clerrico]*, 98 NY2d at 357-358).[5]

Neither of the dispositive grounds in *Pommells* applies here. First, as to the so-called gap in treatment—the 2½ years when plaintiff's injuries received no outside attention—Dr. Melamed explained that, once he determined further medical therapy would ''be only palliative in nature,'' he terminated treatment and instructed plaintiff to continue exercises at home. A plaintiff need not incur the additional expense of consultation, treatment or therapy, merely to establish the seriousness or causal relation of his injury. Unlike *Pommells*, plaintiff's cessation of treatment was explained sufficiently to raise an issue of fact and survive summary judgment.

Second, as to an alleged preexisting condition, there is only Dr. Berkowitz's conclusory notation, itself insufficient to establish that plaintiff's pain might be chronic and unrelated to the

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5. Though the MRI reports were unsworn, the various medical opinions relying on those MRI reports are sworn and thus competent evidence (*see Grasso*, 79 NY2d at 814).

accident. As opposed to the undisputed proof of plaintiff's contemporaneous, causally relevant kidney condition in *Pommells*, here even two of defendants' other doctors acknowledged that plaintiff's (relatively minor) injuries were caused by the car accident. On this record, plaintiff was not obliged to do more to overcome defendants' summary judgment motions (*contrast Shinn*, 1 AD3d 195 [2003]; *Lorthe v Adeyeye*, 306 AD2d 252 [2d Dept 2003]), and we therefore reverse the Appellate Division's order and reinstate the complaint.

Carrasco v Mendez

On May 31, 2000, defendant's car struck plaintiff's vehicle as plaintiff was attempting to park and, on July 24, 2000, plaintiff commenced this action alleging that he suffered an accident-related ''serious injury.'' Following joinder of issue, defendant sought summary dismissal of the complaint on the ground that plaintiff had not sustained a serious injury within the meaning of the No-Fault Law.

In support of her motion, defendant submitted two reports of the doctor, Vadim Miloradovich, who treated plaintiff for several months immediately following the accident. Initially, Dr. Miloradovich diagnosed plaintiff with ''[a]nterior spur formation of C5-C6 and C6-C7 disc,'' traumatic herniation of the disc (C4-C5, C5-C6, C6-C7 and L2-L3) and ''[d]isc bulge L3-L4,'' and opined that plaintiff's injuries were a direct result of the accident. Several months later, however, in his ''Final Report,'' Dr. Miloradovich noted that ''*any degenerative condition that existed prior to [plaintiff]'s current trauma ha[d] served to destabilize the spine*'' and that ''although the return to '*Base line*' ha[d] been achieved, prior existing conditions may continue with limited symptomatology.'' Having determined that therapy would no longer benefit plaintiff, Dr. Miloradovich discharged plaintiff in December 2000 ''with instruction to continue physical therapy and exercise at home for maintenance and to preclude exacerbation.''

Defendant also proffered the report of orthopedic surgeon Robert Orlandi, who conducted a physical examination of plaintiff on June 25, 2002 and reviewed his medical records, including reports of MRIs of his cervical and lumbar spine. Dr. Orlandi reported that the MRI reports of plaintiff's spine revealed degenerative conditions, including a ''pre-existent spondylitic spur formation at C5/C6 and C6/C7'' and disc desiccation at L2/L3 which was indicative of degenerative disc disease. He concluded that his orthopedic examination did not ''document the presence of permanent residuals or a musculoskeletal disability.''

Plaintiff rejoined with the affidavit of Dr. Emmanuel Lambrakis, who explained that he had treated plaintiff since August 30, 2001—beginning more than a year after the accident. Dr. Lambrakis averred that his November 21, 2002 physical examination of plaintiff—conducted after defendant's motion—revealed specific numerical deficiencies in plaintiff's extension, flexion and rotation of the cervical and lumbar spine. In addition, Dr. Lambrakis noted that he found ''severe muscle spasms in the cervical spine with excruciating pain when compressing C3 and C7'' and that ''[t]he pain complained of and the loss of motion in the cervical spine is completely consistent with the disc herniations diagnosed at C4, 5, 6 and 7, as well as the anterior spur formation on C5, 6 and 7, after MRIs of the cervical spine were conducted after the accident.'' He also explained that ''the degree of pain exhibited by the Plaintiff with regard to his lumbar spine is consistent with the herniated disc at L2-L3, as well as a protrusion bulge on the L3-L4 level,'' also diagnosed after an MRI. Dr. Lambrakis opined to a reasonable degree of medical certainty that plaintiff ''sustained permanent severe partial disabilities as a result of the motor vehicle accident.''

Based on these submissions, Supreme Court granted defendant's motion and dismissed the complaint. The Appellate Division unanimously affirmed. We granted leave and now affirm.

[3] As in *Pommells* and *Brown*, defendant's submissions shifted to plaintiff the burden of coming forward with evidence indicating a serious injury causally related to the accident. Unlike *Brown*, however, defendant presented evidence of a preexisting degenerative disc condition causing plaintiff's alleged injuries, and plaintiff failed to rebut that evidence sufficiently to raise an issue of fact.

Dr. Orlandi, after physically examining plaintiff and reviewing prior medical records, including MRIs and x-rays, concluded that the pain in areas identified as herniated by Dr. Miloradovich was caused by preexisting and degenerative conditions. Even plaintiff's original doctor, Dr. Miloradovich, noted, in his final report, that plaintiff's pain was related to a prior condition.

While plaintiff provided Dr. Lambrakis's expert report of specific losses of range of motion in plaintiff's spine, opining that plaintiff suffered serious and permanent injuries which were causally related to the accident (*Lopez v Senatore*, 65 NY2d 1017, 1020 [1985]), plaintiff did not refute defendant's evidence of a preexisting degenerative condition. To the contrary, the Lambrakis report supplied by plaintiff explained that the pain and loss of range of motion in the cervical spine was entirely consistent with those formations identified by the MRI and set forth by Drs. Miloradovich and Orlandi as related to a degenerative condition. In this case, with persuasive evidence that plaintiff's alleged pain and injuries were related to a preexisting condition, plaintiff had the burden to come forward with evidence addressing defendant's claimed lack of causation. In the absence of any such evidence, we conclude—as did the trial court and Appellate Division—that defendant was entitled to summary dismissal of the complaint (*see Franchini*, 1 NY3d at 537; *see also Licari v Elliott*, 57 NY2d 230, 237 [1982]).

Accordingly, in *Pommells v Perez* and *Carrasco v Mendez*, the orders of the Appellate Division should be affirmed, with costs, and in *Brown v Dunlap*, the order of the Appellate Division should be reversed, with costs, and defendants' motions for summary judgment denied.

Judges G.B. SMITH, CIPARICK, ROSENBLATT, GRAFFEO, READ and R.S. SMITH concur.

In *Pommells v Perez:* Order affirmed, with costs.

In *Brown v Dunlap:* Order reversed, with costs, and defendants' motions for summary judgment denied.

In *Carrasco v Mendez:* On review of submissions pursuant to section 500.4 of the Rules of the Court of Appeals (22 NYCRR 500.4), order affirmed, with costs.

[830 NE2d 268, 797 NYS2d 370]

In the Matter of Blossom View Nursing Home, Appellant, v Antonia C. Novello, M.D., as Commissioner of Health of State of New York, et al., Respondents.

Argued March 22, 2005; decided April 28, 2005

SUMMARY

Appeal, by permission of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Fourth Judicial Department, entered March 19, 2004. The Appellate Division (1) reversed, on the law, a judgment (denominated order) of the Supreme Court, Monroe County (Andrew V. Siracuse, J.), which, in a proceeding pursuant to CPLR article 78, had enjoined respondents from auditing or adjusting petitioner's case mix index for the period of January 1, 1994 through December 31, 1996 and ordered respondents to recalculate petitioner's Medicaid reimbursement rates for the period January 1, 1994 through December 31, 1996 by implementing the case mix index as calculated using the patient review instruments originally submitted by petitioner for 1994, 1995 and 1996, and (2) dismissed the petition.

Matter of Blossom View Nursing Home v Novello, 5 AD3d 1056, reversed.

HEADNOTE

Health — Medicaid Reimbursement Rates — Timeliness of Audit

Audits of a nursing home's patient review instruments (PRIs) by the Department of Health (DOH) are not subject to the six-year limitations period specified in 10 NYCRR 86-2.7 and 18 NYCRR 517.3 (a) and (c) for audits of fiscal and statistical records and reports used for establishing Medicaid reimbursement rates. PRIs are not fiscal and statistical records and reports. Further, DOH has promulgated a separate regulation governing PRIs, which does not impose any specific deadline for PRI audits and instead simply instructs that they must be timely conducted (*see* 10 NYCRR 86-2.30 [e] [5]). Deference is due DOH's interpretation of its regulation. Nevertheless, in light of the facts of this case, DOH was barred from auditing petitioner nursing home's PRIs for 1995 and 1996, or from using its audit of petitioner's 1994 PRIs to determine Medicaid reimbursement rates. DOH sought to audit petitioner's January 1994 PRIs more than six years after they were filed solely because DOH neglected to wrap up its audit of petitioner's July 1993 PRIs until 2002, and PRI audits take place sequentially. Because DOH offered no better explanation than ''administrative oversight'' (meaning inadvertence, not supervision) for the seven-year hiatus in its nearly nine-year long audit of petitioner's July 1993 PRIs, any audit of petitioner's PRIs filed in 1995 and 1996 was untimely as a matter of law.

TOTAL CLIENT-SERVICE LIBRARY® REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Welfare Laws §§ 33, 34.
10 NYCRR 86–2.7; 18 NYCRR 517.3 (a), (c).
NY JUR 2d, Public Welfare and Old Age Assistance §§ 54, 159.

ANNOTATION REFERENCE

See ALR Index under Medicaid; Nursing and Convalescent Homes.

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POINTS OF COUNSEL

Harter, Secrest & Emery LLP, Rochester (*Thomas G. Smith* of counsel), for appellant. I. State regulations imposing a six-year time limit for audits of records underlying a nursing facility's Medicaid rates apply to audits of patient review instrument records. (*Matter of Elcor Health Servs. v Novello,* 100 NY2d 273; *Matter of Teresian House Nursing Home Co. v Chassin,* 218 AD2d 250.) II. The Department of Health's inexcusable delay in scheduling audits of Blossom View Nursing Home's patient review instrument data for more than six years is untimely as a matter of law. (*Matter of Cortlandt Nursing Home v Axelrod,* 66 NY2d 169; *St. Joseph's Hosp. Health Ctr. v Department of Health of State of N.Y.,* 247 AD2d 136, 93 NY2d 803.)

Eliot Spitzer, Attorney General, Albany (*Victor Paladino, Caitlin J. Halligan, Daniel Smirlock* and *Nancy A. Spiegel* of counsel), for respondents. I. Prohibition does not lie because the proposed audit of Blossom View Nursing Home's 1994 through 1996 patient review instruments is not untimely as a matter of law. (*Matter of Doe v Axelrod,* 71 NY2d 484; *Matter of Teresian House Nursing Home Co. v Chassin,* 218 AD2d 250; *Matter of Monroe County v Axelrod,* 125 AD2d 981; *Matter of Rossi v Axelrod,* 178 AD2d 813; *Matter of St. Luke's Presbyt. Nursing Ctr. v Perales,* 170 AD2d 915; *Matter of Elcor Health Servs. v Novello,* 100 NY2d 273; *Matter of Ellis Ctr. for Long Term Care v DeBuono,* 261 AD2d 791, 93 NY2d 1037; *Matter of Cortlandt Nursing Care Ctr. v Whalen,* 46 NY2d 979; *Matter of Sigety v Ingraham,* 29 NY2d 110; *Matter of Orange County Home & Infirmary* *v Axelrod,* 141 Misc 2d 135.) II. The factual question of whether Blossom View Nursing Home would be substantially prejudiced cannot be decided in advance of the audit, but must be decided by the agency in the first instance. (*St. Joseph's Hosp. Health Ctr. v Department of Health of State of N.Y.,* 247 AD2d 136, 93 NY2d 803; *Matter of Cortlandt Nursing Home v Axelrod,* 66 NY2d 169; *Matter of Monroe County v Axelrod,* 125 AD2d 981; *Matter of Town of Huntington v New York State Div. of Human Rights,* 82 NY2d 783; *Matter of Dondi v Jones,* 40 NY2d 8; *Matter of Cerniglia v Ambach,* 145 AD2d 893, 74 NY2d 603.)

Neiman Ginsburg & Mairanz P.C., New York City (*Marvin Neiman* and *Theodore T. Mairanz* of counsel), for Concourse Rehabilitation & Nursing Center, Inc. and another, amici curiae. I. The State of New York is estopped from arguing that the six-year limitations period does not apply to reviews of patient review instrument reports. (*Matter of Astor Gardens Health Care Ctr. v Novello,* 304 AD2d 961; *Matter of Thrift Assns. Serv. Corp. v DeBuono,* 255 AD2d 809.) II. The regulations provide for a 90-day period to adjust a facility's rates. (*Flanagan v Mount Eden Gen. Hosp.,* 24 NY2d 427; *Kassner & Co. v City of New York,* 46 NY2d 544.) III. The Department of Health cannot give itself an open ended limitations period. (*Boreali v Axelrod,* 71 NY2d 1; *Hartnett v New York City Tr. Auth.,* 86 NY2d 438; *State of New York v Mayflower Nursing Home,* 144 AD2d 657; *Hollander v Brezenoff,* 787 F2d 834.)

O'Connell and Aronowitz, Albany (*Cornelius D. Murray* of counsel), for New York State Health Facilities Association, Inc., amicus curiae. I. Patient review instruments are fiscal and statistical records within the meaning of 10 NYCRR 86-2.7. (*Matter of Elcor Health Servs. v Novello,* 100 NY2d 273; *Matter of Astor Gardens Health Care Ctr. v Novello,* 304 AD2d 961; *Matter of Cortlandt Nursing Home v Axelrod,* 66 NY2d 169.) II. Even under the alternative regulation, 18 NYCRR 517.3 (a) (1), the patient review instruments would be subject to the six-year audit limitation. III. Nursing homes would obviously be prejudiced if books and records were still subject to audit after they had legally disposed of them.

Cadwalader, Wickersham & Taft LLP, New York City (*Peter G. Bergmann* and *Kathy H. Chin* of counsel), for New York Association of Homes and Services for the Aging, amicus curiae. I. The proposed patient review instrument audit was untimely as a matter of law. (*Matter of Cortlandt Nursing Home v Axelrod,* 66 NY2d 169, 476 US 1115; *Matter of Monroe County v Axelrod,* 125 AD2d 981, 76 NY2d 714.) II. The decision will impact nursing homes adversely. (*St. Joseph's Hosp. Health Ctr. v Department of Health of State of N.Y.,* 247 AD2d 136, 93 NY2d 803; *Matter of Cortlandt Nursing Home v Axelrod,* 66 NY2d 169, 476 US 1115.)

OPINION OF THE COURT

READ, J.

In this CPLR article 78 proceeding, petitioner Blossom View Nursing Home (Blossom) appeals from an Appellate Division order dismissing its petition seeking to bar respondents Commissioner of Health and Director of the Division of the Budget from auditing its patient review instruments (PRIs) for the years 1994 though 1996. The New York State Department of Health (DOH) did not announce its intention to commence audits of Blossom's PRIs for any of these years until August 2002, and the parties dispute whether DOH may ever audit PRIs more than six years after they are filed. For the reasons that follow, we conclude that DOH is not required by its regulations to notice or commence an audit of PRIs within six years of filing; however, in light of the facts of this case, DOH may not audit Blossom's PRIs for 1995 and 1996, or use its audit of Blossom's 1994 PRIs to determine Medicaid reimbursement rates.[1]

I.

The Commissioner administers the State's Medical Assistance Plan (Medicaid) and sets Medicaid reimbursement rates for nursing homes, more formally called ''residential health care facilities,'' for medical services provided to the indigent (Public Health Law § 2807 [3]; § 2808 [3]). Prior to 1986, the State's Medicaid per diem reimbursement rate—the daily rate at which a facility can bill Medicaid for every Medicaid-eligible resident—was not in any way tied to the level of care required. As a result, nursing homes were thought to be discouraged from admitting individuals requiring more intensive care, who were as a consequence shunted into costly hospital beds. To reduce any rate-induced disincentive for nursing homes to provide services for individuals requiring institutional but not hospital care, DOH

1. Blossom's request for injunctive and declaratory relief with respect to the audit of its 1994 PRIs is moot because DOH has already commenced and completed this audit; however, the question of this audit's use remains open for our consideration.

developed and implemented the Resource Utilization Group-II (RUG-II) case mix reimbursement methodology, effective January 1, 1986.

RUG-II is a prospective system that establishes reimbursement rates by using a nursing home's allowable costs in a base year or period,[2] adjusted for regional wage differentials, inflation and changes in the level of care required by its residents. RUG-II provides for reimbursement of capital and operating costs, the latter of which is composed of direct,[3] indirect[4] and noncomparable[5] components (10 NYCRR 86-2.10 [a] [7]; [b] [1] [ii]; [2]).

The direct component of operating costs is based upon a patient classification system that establishes 16 RUG-II categories grouped into five ''hierarchies,'' each of which is characterized by specifically diagnosed physical or mental conditions.[6] The five hierarchies are further divided to create the 16 RUG-II categories based on the resident's functional ability to perform activities of daily living (ADL), measured by the resident's score on an ADL index designed to reflect the need for supervision or assistance in eating, toileting and transferring (*see* 10 NYCRR Appendix 13-A).

Each of the RUG-II categories represents a different combination of the two components—condition (the hierarchy) and functional ability (the ADL)—and reflects the costs associated with caring for nursing home residents classified within the particular category, expressed as a numeric value or case mix index (CMI). Generally, the higher the CMI, the more intensive and costly the care required.

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2. For most nursing homes, 1983 is the base year. Because of a major construction and expansion project, Blossom's costs are based on the six-month period from May 1, 1991 through October 31, 1991 (10 NYCRR 86-2.2 [e]; 86-2.15). A base year is used in a prospective system to control for cost growth in excess of inflation.

3. Direct costs encompass the hands-on care provided to patients, such as nursing, social services, occupational therapy and physical therapy services (10 NYCRR 86-2.10 [c] [1]).

4. Indirect costs include administrative services, grounds, housekeeping, food and laundry services (10 NYCRR 86-2.10 [d] [1]).

5. Noncomparable costs are those specific to a particular facility.

6. In descending order of resource utilization, these five hierarchies are heavy rehabilitation, special care, clinically complex, severe behavioral and reduced physical functioning. A nursing home resident who does not have a condition qualifying for one of the four higher hierarchies is automatically placed in the fifth, reduced physical functioning.

The number of a nursing home's residents classified in the various RUG-II categories determines the facility's overall CMI and thus significantly influences its per diem Medicaid reimbursement rate. Consequently, it is essential for each resident's condition and functional ability to be assessed accurately. This is accomplished by means of the PRI.

A qualified registered nurse completes the PRI, which summarizes the resident's condition, including medical diagnosis and treatments, ADLs, behavior and specialized services required during the four weeks prior to the PRI's completion. Each resident is assigned to one of the 16 RUG-II categories based on the information in the completed PRI, for which DOH has provided detailed instructions and clarification documents specifying certain ''qualifiers'' or criteria that must be met before any PRI question may be answered ''Yes.'' These qualifiers take the form of time period (the four weeks before the PRI's completion), frequency (how often something needs to occur to meet the qualifier), the specific medical record documentation called for and exclusions (types of behavior or care to be disregarded when answering the question).

Nursing homes submit new PRIs electronically for all the residents in their care every six months, in accordance with a schedule set by DOH. Twice a year, at the halfway point between these ''full-house'' PRI filings, a nursing home must update its submission to DOH to account for new admissions and discharges (10 NYCRR 86-2.11 [b]). To insure the accuracy of a nursing home's PRIs and thus the integrity of its reimbursement rates, DOH has developed a three-stage audit process. DOH has represented in this litigation that ''PRI audits are performed at each facility [in the state] approximately every 18 months.''

DOH sends a list of nursing homes to be audited to an independent organization with which it has contracted to accomplish this work. For Stage I audits, DOH typically provides audit forms for 40 of a nursing home's residents during the audit period, which the auditor completes independently to validate the ADL level assigned by the nursing home. The auditor usually completes a hierarchy verification sheet, or checklist, for 16 of the 40 residents, which addresses the qualifiers relevant to the resident's specific classification. Auditors principally examine a resident's medical records to complete the audit form, although they may also observe the residents whose PRIs are being audited or discuss the residents' care with nursing home staff.

The Stage I auditor returns the completed Stage I audit forms to DOH with an explanation for any differences between PRIs after auditing and as originally submitted. DOH substitutes Stage I audited PRIs for those filed by the nursing home, and also determines whether there is a statistically significant variance (a change in RUG-II category for more than 25% of residents whose PRIs are audited or a change in CMI for the audited residents of .05 or greater), warranting Stage II review of an additional 80 residents.[7]

A different auditor conducts the Stage II audit, which follows the same general format as the Stage I audit. The nursing home may dispute Stage I audit results with the Stage II auditor, who examines any documentation presented and either agrees with or overturns the Stage I auditor's adverse findings, referred to as ''controverted items.'' The Stage II auditor may also seek to resolve any discrepancies between the audit findings and the nursing home's PRIs through discussion with staff or observations of residents. The Stage II auditor returns the completed Stage II audit forms to DOH, which substitutes Stage II audited PRIs for those originally filed by the nursing home, and again determines whether there is a statistically significant variance, warranting a Stage III review of all remaining residents (except those in the lowest-rung RUG-II category).

Yet a third auditor conducts the Stage III audit, which follows the same general format as the Stage I and Stage II audits. The nursing home may seek to persuade the Stage III auditor to overturn controverted items from the Stage II audit. If after completion of the Stage III audit the nursing home is again found to have completed PRIs inaccurately to a statistically significant degree, DOH directs the nursing home to have its PRIs completed by an outside assessor at its own expense for at least one year (10 NYCRR 86-2.30 [f] [1] [ii]; [2]).[8]

Finally, DOH's procedures call for kicking off each stage of the audit with an entrance conference at which the auditor outlines the review's purpose, scope and timetable. During the entrance conference, the auditor must secure the nursing home's written determination as to whether an exit conference is requested. Nursing homes are entitled to an exit conference

7. For a nursing home with a population under 120, Stage II review encompasses all remaining residents except those in the lowest-rung RUG-II category, and is the last stage in the audit process.

8. For a nursing home with a population under 120, DOH would take this step after an unsatisfactory Stage II audit.

at the conclusion of each stage of the audit so long as requested at the entrance conference. At the exit conference, the auditor conveys the provisional results of the review just conducted.

II.

On August 11, 1993, DOH's contract auditor conducted a Stage I audit of Blossom's July 1993 PRIs, and so examined records to determine the ADL levels of 40 residents and completed hierarchy checklists for 16 of them. The auditor placed 8 of these 40 residents in a different RUG-II classification, yielding a statistically significant decrease in the CMI for these 40 residents. Accordingly, a Stage II audit was scheduled for December 6, 1993.

The Stage II auditor examined the records pertaining to the remaining residents living at Blossom in July 1993 and, at Blossom's request, reassessed the Stage I auditor's findings. The Stage II auditor overturned three of the items controverted by Blossom in the Stage I audit, but agreed with the Stage I auditor as to the others. Further, the Stage II auditor concluded that PRIs for 32 additional residents were unsupported by documentation. There was an exit conference at which the auditor informed Blossom's personnel of these provisional results.

Blossom's administrator wrote a health care fiscal analyst at DOH on December 17, 1993 to complain about how the contract auditors had carried out the Stage I and II audits, and to dispute their findings. Although Blossom's resident population was too small to qualify for a Stage III audit, DOH's health care fiscal analyst nonetheless offered Blossom an additional review and thus another chance to contest Stage II audit results.

Two new outside auditors undertook this third review on March 14, 1994. The auditors examined the records of 24 patients involving 27 controverted items from the Stage II audit and agreed with the Stage II auditor on all of them, although Blossom did not know this at the time. More significantly, the auditors prepared a report "detail[ing] what occurred" during their review. This report conveys the auditors' distinct impression that Blossom's staff was at least uncooperative if not downright intimidating and hostile. Upon completing their work, the auditors told Blossom's administrator that they were finished, but needed time to compile their findings for the exit conference. When the administrator objected that the auditors "were <u>not</u> to leave the building until an exit interview was granted," the auditors "explained again that [they] were not prepared to do this yet and [Blossom] would hear from the [auditors' home] office.''

On March 30, 1994, Blossom's attorney wrote to the health care fiscal analyst at DOH to request the exit conference. His version of the ''confusion as to what exactly happened on March 14,'' demonstrates yet again the wisdom of *Rashomon*: perspective distorts reality and makes the absolute truth unknowable. According to the attorney, during the morning session of the review there was ''[a] great deal of constructive dialogue'' between the auditors and Blossom's staff. In the afternoon, however, the auditors' attitude changed and they ''became difficult to work with.'' This turn of events ''dismayed'' Blossom's staff ''since the review, until that point, had proceeded with the smooth exchange of assistance and information.'' Worse yet, ''the auditors left . . . without giving the nursing home staff any chance to discuss the patient records with the auditors or to see the results of the audit itself.''

Blossom's attorney stated that he had since learned secondhand from DOH that the auditors ''had no intention of ever returning'' to conduct an exit conference, and that DOH was preparing Blossom's CMI based on the March 14, 1994 review. He protested that ''without question'' Blossom was ''not afforded its right'' to an exit conference; he requested the exit conference in advance of DOH's making any final decision regarding Blossom's CMI.

No one from DOH ever replied to Blossom's attorney's letter. Indeed, Blossom did not hear from anyone at DOH on the subject of the Stage II audit until March 28, 2001—almost exactly seven years later—when the same health care fiscal analyst responsible for affording Blossom the March 14, 1994 review wrote to offer yet another reexamination. DOH offers no explanation for this seven-year gap other than ''administrative oversight.''

On April 30, 2001, Blossom's attorney (not the same one who had written to DOH before), accepted the offer of another review of the July 1993 PRIs and chided DOH for not promptly providing Blossom with the exit conference requested seven years earlier. Further, he disputed DOH's right to use the audited PRIs to calculate the facility's Medicaid reimbursement rate retroactively for periods from July 1993 forward.

On July 2, 2001, the Director of DOH's Bureau of Financial Management and Information Support responded to Blossom's attorney by denying his ''request'' for DOH to accept Blossom's PRIs without auditing their accuracy. Noting that although DOH ''sincerely regret[s] that the final adjudication of the July[ ] 1993 PRI review has yet to occur, we cannot agree to disregard audit findings and circumvent longstanding protocols for determining when reviews are necessary.'' He reiterated DOH's offer to afford Blossom a ''re-review'' of the 27 controverted items from the Stage II audit, and pledged to ''take all steps practical to move the audit process along as expeditiously as possible for subsequent periods'' so as ''to make the facility current at the earliest possible date.''

This second bonus review took place another eight months later, on February 22, 2002. Blossom did not question about half of the controverted items, apparently because supporting documentation for the July 1993 PRIs was in some cases no longer available. Of the remaining disputed findings, the auditors agreed with their predecessors on most, and with Blossom on only a few. As a result, the level of discrepancy between the July 1993 PRIs as submitted by Blossom and after audit was still statistically significant. Consequently, on March 28, 2002, DOH's health care fiscal analyst directed Blossom to enter into a contract with an outside assessor approved by DOH to perform its next four rounds of PRIs (10 NYCRR 86-2.30 [f] [1] [ii]; [2]).

On May 3, 2002, Blossom's administrator requested a ''waiver for Part 86-2.30,'' essentially citing DOH's tardiness in completing the audit of the July 1993 PRIs. On June 12, 2002, the Director responded, stating that it was ''unclear'' whether Blossom was requesting that DOH ''forego processing of the audit results in total'' or ''rescind its instruction that the facility utilize an independent assessor for PRI submissions between July 2002 and April 2003.'' In either event, he denied the request.

In August 2002, DOH notified Blossom of its intention to audit Blossom's January 1994 PRIs in November 2002. Blossom's attorney wrote the Director and the fiscal health care analyst to object that DOH could ''no longer conduct a timely, lawful audit of the 1994 rate period,'' asked DOH to withdraw its audit request and threatened a lawsuit if it did not. On October 17, 2002, the Director denied the request and stated that the audit would take place on November 18, 2002. Further, he warned, ''If medical records are not made available to the auditor, we cannot presume the facility's PRIs are correct. Consequently, all issues relating to hierarchies would need to be denied and all issues relating to [ADLs] would need to be reduced to their lowest level.''

When further efforts to persuade DOH to withdraw or postpone the impending audit proved futile, Blossom commenced this proceeding in Supreme Court on November 15, 2002. Blossom sought judgment declaring respondents' ''announced intention'' to audit 1994 PRIs to be arbitrary, capricious, irrational and contrary to state and federal law because ''untimely as a matter of law''; declaring any ''attempt'' by respondents to audit PRIs for 1995 and 1996 to be arbitrary, capricious, irrational and contrary to state and federal law; ordering respondents to recalculate its Medicaid reimbursement rates for 1994, 1995 and 1996 using the CMI derived from the PRIs originally filed for these years; and enjoining respondents from auditing Blossom for ''all periods'' in 1994, 1995 and 1996.

By order to show cause dated November 18, 2002, Supreme Court granted Blossom a temporary restraining order barring respondents from auditing PRIs filed for the time period from January 1, 1994 through December 31, 1996. On January 3, 2003, Supreme Court issued a decision in Blossom's favor; on February 4, 2003, Supreme Court entered an order barring respondents from auditing Blossom's PRIs for 1994 through 1996 and directing them to recalculate Blossom's Medicaid reimbursement rates for those years in accordance with the PRIs as originally filed. The Appellate Division reversed on the law and dismissed the petition. We subsequently granted Blossom leave to appeal, and now reverse.

III.

Prior to April 1, 1983, Medicaid audit responsibilities were ''inefficiently distributed among various State agencies including the Departments of Social Services and Health and the Offices of Mental Hygiene and Mental Retardation and Developmental Disabilities'' (Mem of State Exec Dept, reprinted in McKinney's 1983 Session Laws, at 2415, 2417). Accordingly, as of April 1, 1983 all Medicaid-related audit activities were vested in the Department of Social Services (DSS), including auditing the fiscal and statistical records and reports filed by nursing homes to support their Medicaid reimbursement rates (*see* L 1983, ch 83, §§ 4, 9; Social Services Law §§ 364, 368-c; 18 NYCRR 517.3 [a] [1]). DOH continued to set and adjust Medicaid rates (*see* Public Health Law § 2803 [2]; § 2807 [3]; § 2808) and so also, after the advent of RUG-II, undertook to review PRIs (10 NYCRR 86-2.30 [e] [3], [5]).

As of October 1, 1996, responsibility for administering the Medicaid program was shifted from DSS to DOH (*see* L 1996, ch

474, §§ 233-248; Social Services Law § 363-a [1]; Public Health Law § 201 [1] [v]). DSS's rules and regulations pertaining to transferred Medicaid functions continued in full force and effect as rules and regulations of DOH (*see* L 1996, ch 474, § 242). DSS retained the Medicaid audit function until April 1, 1997, when it was renamed the Department of Family Assistance, and the ''medicaid audit function pursuant to sections 364 and 368-c of the social services law'' was placed with DOH (*see* L 1997, ch 436, part B, § 122 [a], [e]).

The specific DOH and DSS regulations cited by the parties as relevant to this appeal are 10 NYCRR 86-2.7 (relating to audits of fiscal and statistical records and reports), promulgated by DOH in 1976; 18 NYCRR 517.3 (relating to audits of fiscal and statistical records and reports), promulgated by DSS in 1985; 10 NYCRR 86-2.30 (relating to PRIs), promulgated by DOH in 1985; and 10 NYCRR 415.22 (relating to patients' clinical records), promulgated by DOH in 1990.

There is considerable overlap between 10 NYCRR 86-2.7 and 18 NYCRR 517.3. This is not surprising since these provisions both address auditing fiscal and statistical records and reports, the task transferred from DOH to DSS in 1983, and then returned from DSS to DOH in 1997. Thus, 10 NYCRR 86-2.7 provides that

> ''[a]ll fiscal and statistical records and reports shall be subject to audit. All underlying books, records and documentation which formed the basis for the fiscal and statistical reports, filed by [the nursing home] with the [State], *shall be kept and maintained by the facility for a period of time not less than six years from the date of filing, or the date upon which the fiscal and statistical records were to be filed, whichever is the later date*. In this respect, any rate of payment . . . will be construed to represent a provisional rate until such audit is performed and completed, at which time such rate or adjusted rate will be construed to represent the audited rate'' (emphasis added).[9]

Similarly, 18 NYCRR 517.3 (a) (1) specifies that for cost-based providers such as Blossom

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9. As originally promulgated in 1976, what is now 10 NYCRR 86-2.7 was subdivision (a) of a provision composed of subdivisions (a) through (h). On September 25, 1996, DOH proposed to amend section 86-2.7 by deleting subdivisions (b) through (h) ''to eliminate obsolete language in order to recognize the transfer to [DSS in 1983] of the authority/responsibility for [nursing

(n. cont'd)

> ''[a]ll fiscal and statistical records and reports . . . used for the purpose of establishing rates . . . and all underlying books, records, documentation and reports which formed the basis for such fiscal and statistical records and reports are subject to audit. All underlying books, records and documentation which formed the basis for the fiscal and statistical reports filed by a provider with any State agency responsible for the establishment of rates of payment or fees *must be kept and maintained by the provider for a period of not less than six years from the date of filing of such reports, or the date upon which the fiscal and statistical records were required to be filed, or two years from the end of the last calendar year during any part of which a provider's rate or fee was based on the fiscal and statistical reports, whichever is later*. . . . [A]ny rate of payment certified or established . . . will be construed to represent a provisional rate until an audit is performed and completed, or the period within which to conduct an audit has expired without such audit having been begun or notice of such having been issued, at which time such rate or adjusted rate will be construed to represent the final rate as to those items audited'' (emphasis added).

18 NYCRR 517.3 (a) (2) concomitantly specifies that ''[a]ll required fiscal and statistical reports are subject to audit *for a period of six years from the date of their filing or from the date when such reports were required to be filed, whichever is later*'' (emphasis added); and 18 NYCRR 517.3 (c) directs that

> ''[n]otification by the department to the provider of the department's intent to audit shall toll *the six-year period for record retention and audit*. The department shall not notify a provider of its intent to audit more than six years from the date of filing of the fiscal and statistical reports to be audited'' (emphasis added).

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home] Medicaid rate audits'' and to recognize that ''[t]he responsibility for the Medicaid rate audit function was previously transferred to [DSS] and is authorized by DSS regulation [i.e., 18 NYCRR part 517]'' (XVIII NY Reg, Issue 39, Sept. 25, 1996, at 14). Accordingly, subdivisions (b) through (h) of 10 NYCRR 86-2.7 were repealed, effective January 14, 1997 (XIX NY Reg, Issue 4, Jan. 29, 1997, at 10), shortly before the Legislature shifted the Medicaid audit function again, this time away from DSS to DOH (*see* L 1997, ch 436, part B, § 122 [a], [e]).

With respect to PRIs, 10 NYCRR 86-2.30 (e) (3) states that ''[t]he patient review form (PRI) and any underlying books, records, and/or documentation which formed the basis for the completion of such form shall be subject to review by [DOH].'' Further, ''[DOH], in order to ensure accuracy of the [PRI], may also *conduct timely on-site observations and/or interviews of patients/residents and review of their medical records*'' (10 NYCRR 86-2.30 [e] [5] [emphasis added]). Finally, 10 NYCRR 415.22 (b) requires a nursing home resident's ''[c]linical records'' to ''be retained *for six years from the date of discharge or death*'' (emphasis added).

As Blossom points out, PRIs and ''any underlying books, records, and/or documentation which form[ ] the basis for [their] completion'' (10 NYCRR 86-2.30 [e] [3]) in common with ''fiscal and statistical records and reports'' and ''[a]ll underlying books, records and documentation which form[ ] the basis for . . . fiscal and statistical reports'' (10 NYCRR 86-2.7; 18 NYCRR 517.3 [a] [1]), significantly influence a facility's Medicaid reimbursement rate; and six years is indisputably the period for record retention and audit of fiscal and statistical reports and their supporting documentation as well as for the retention of a resident's clinical records after discharge or death. It does not follow, however, that DOH must audit PRIs within six years of filing.

As an initial matter, PRIs are not ''fiscal and statistical records and reports.'' The latter are the ''cost reports'' that nursing homes must file annually with DOH pursuant to 10 NYCRR 86-2.2. Nor are PRIs the ''underlying books, records and documentation which form[ ] the basis for . . . fiscal and statistical reports,'' which include such things as employee payroll records, mortgage and loan documents, and purchase records. For one thing, fiscal and statistical reports must be completed in accordance with generally accepted accounting principles and certified by an accountant (10 NYCRR 86-2.4, 86-2.5). These requirements make no sense with respect to PRIs, which are instead subject to a three-stage audit process (10 NYCRR 86-2.30 [e], [f], [g]) and certification by ''the [facility] operator and the nurse assessor responsible for [PRI] completion'' (10 NYCRR 86-2.30 [c] [3]). Further, DOH promulgated 10 NYCRR 86-2.30 in 1985, a time when DSS—not DOH—was responsible for auditing a nursing home's fiscal and statistical reports.

Courts normally ''defer to an administrative agency's interpretation of its regulations if not irrational'' (*Matter of Sylcox*

Nursing Home & Health Related Facility v Axelrod, 184 AD2d 986, 988 [1992], *lv denied* 80 NY2d 761 [1992]). Deference is especially fitting here where DOH has promulgated a separate regulation governing PRIs, which does not impose any specific deadline for PRI audits and instead simply instructs that they must be timely conducted (*see* 10 NYCRR 86-2.30 [e] [5]).

Nonetheless, Blossom protests that the ''only rational interpretation that can be gleaned'' from the relevant regulations is that 10 NYCRR 86-2.30 (e) (5) incorporates the six-year limitations period specified in 10 NYCRR 86-2.7 and 18 NYCRR 517.3 (a) and (c). Otherwise, nursing homes would be subject to financial uncertainty and would have to cope with PRI audits many years after residents had died or been discharged (which usually occurs within 2.5 years of arrival), staff had left and the rules for completing or auditing PRIs might have changed. Consequently, Blossom argues, any audit of PRIs conducted more than six years after filing places the nursing home in an untenable position. The auditor must review residents' clinical records to validate PRIs, but the nursing home may have lawfully destroyed these records for at least some of the residents in the audit population.

These are valid points. It is also true that significantly delayed or protracted PRI audits harm the public fisc by thwarting prompt recoupment of any Medicaid overpayments. As we pointed out in *Matter of Elcor Health Servs. v Novello* (100 NY2d 273, 280 [2003]), however, ''[t]hat [DOH's] interpretation might not be the most natural reading of the regulation, or that the regulation could be interpreted in another way, does not make the interpretation irrational.''

Although PRI audits are not subject to the six-year limitations period specified in 10 NYCRR 86-2.7 and 18 NYCRR 517.3 (a) and (c), ''timely'' is not synonymous with ''timeless.'' In this case, DOH sought to audit Blossom's January 1994 PRIs more than six years after they were filed solely because DOH neglected to wrap up its Stage II audit of Blossom's July 1993 PRIs until 2002, and PRI audits take place sequentially. Because DOH offers no better explanation than ''administrative oversight'' (meaning inadvertence, not supervision) for the seven-year hiatus in its nearly nine-year long audit of Blossom's

July 1993 PRIs, we hold that any audit of Blossom's PRIs filed in 1995 and 1996 is untimely as a matter of law.[10]

Accordingly, the order of the Appellate Division should be reversed, with costs, the proceeding converted to a declaratory judgment action and judgment granted declaring that respondents may not audit or adjust Blossom's CMI for the period January 1, 1995 through December 31, 1996, and that Blossom's Medicaid reimbursement rates for the period from January 1, 1994 through December 31, 1996 be determined by implementing the CMI as calculated using the PRIs originally filed by Blossom for 1994, 1995 and 1996.

Chief Judge KAYE and Judges G.B. SMITH, CIPARICK, ROSENBLATT, GRAFFEO and R.S. SMITH concur.

Order reversed, etc.

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10. We also note that a nursing home's Medicaid reimbursement rates are provisional until the cost reports upon which the rates are based have been audited, or the period within which to conduct an audit has expired without either an audit having begun or a notice of audit having been issued (10 NYCRR 86-1.8, 86-2.7; 18 NYCRR 517.3 [a] [1]). Further, notice of intent to audit must be given within six years from the date the cost reports are filed (18 NYCRR 517.3 [c]). A nursing home has no entitlement to Medicaid payments until these audits of cost reports have been completed, or the time for conducting them has expired without an audit having been begun or noticed (*Matter of Cortlandt Nursing Home v Axelrod*, 66 NY2d 169, 178-179 [1985]). From the record in this case, it is impossible to tell whether Blossom's Medicaid reimbursement rates for the years 1994 through 1996 were still provisional or instead were final when DOH sought to audit the January 1994 PRIs. Accordingly, we have no occasion to address in this appeal whether an audit of PRIs for time periods for which there are audited or final rates may ever be ''timely'' within the meaning of 10 NYCRR 86-2.30 (e) (5).

[830 NE2d 287, 797 NYS2d 389]

In the Matter of CHESTERFIELD ASSOCIATES, Appellant, v NEW YORK STATE DEPARTMENT OF LABOR, Respondent.

Argued March 30, 2005; decided May 3, 2005

SUMMARY

APPEAL, by permission of the Court of Appeals, from a judgment of the Appellate Division of the Supreme Court in the Second Judicial Department, entered January 12, 2004, in a proceeding pursuant to CPLR article 78. The Appellate Division (1) confirmed a determination of the Commissioner of Labor which had (a) found that petitioner failed to pay the prevailing wages and supplements on five public works projects, (b) found that petitioner's failure to pay the prevailing wages was willful, (c) ordered petitioner to pay the principal sums of $50,449.47 in wages and $597,236.45 in supplements with interest at the rate of 16% per year from the date of the underpayment to the date of payment, except for the period between April 17, 2000 and November 18, 2001, and (d) assessed a civil penalty in the amount of 10% of the total amount of the unpaid wages, (2) denied the petition, and (3) dismissed the proceeding.

Matter of Chesterfield Assoc. v New York State Dept. of Labor, 3 AD3d 491, affirmed.

HEADNOTE

Labor — Prevailing Rate of Wages — Annualization of Contributions to Profit-Sharing Plan

In determining whether a contractor has fulfilled its obligation under the prevailing wage law (*see* Labor Law § 220 [3]) to pay or provide prevailing supplements to employees for work on a public project, the Commissioner of Labor reasonably annualized the contributions that petitioner contractor made to a profit-sharing plan on behalf of its employees working on the public projects at issue, pursuant to 12 NYCRR 220.2 (d). Under the annualization rule, the contractor's actual contribution or cost for providing a benefit is divided "by the total annual hours worked [by employees] on both public and private work" (12 NYCRR 220.2 [d] [1]), and the "hourly cash equivalent" thus derived is then multiplied by the total annual hours the contractor's employees worked on the public project, with the resulting figure acting as a credit to offset the contractor's obligation to pay or provide for supplements. Because petitioner's pension contributions were allocated to individual employees based on their total annual earnings and without regard to whether or how many hours they worked on public projects, application of the annualization rule to compute the hourly cash equivalent of petitioner's contributions to its profit-sharing plan was reasonable. Annualization neither regulates private work nor forces a contractor to pay cash supplements in lieu of providing fringe benefits.

TOTAL CLIENT-SERVICE LIBRARY® REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Public Works and Contracts §§ 218, 228, 229.
NY JUR 2d, Public Works and Contracts §§ 93, 94, 97, 98.

ANNOTATION REFERENCE

What are ''prevailing wages,'' or the like, for purposes of state statute requiring payment of prevailing wages on public works projects. 7 ALR5th 400.

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POINTS OF COUNSEL

Jackson Lewis LLP, White Plains (*Greg A. Riolo, Thomas V. Walsh* and *Michelle McKee Cubbon* of counsel), for appellant. The annualization regulation, 12 NYCRR 220.2, is invalid because it contradicts Labor Law § 220 (6). (*Weiss v City of New York,* 95 NY2d 1; *Finger Lakes Racing Assn. v New York State Racing & Wagering Bd.,* 45 NY2d 471; *Matter of Jones v Berman,* 37 NY2d 42; *Kuppersmith v Dowling,* 93 NY2d 90; *Matter of New York Botanical Garden v Board of Stds. & Appeals of City of N.Y.,* 91 NY2d 413; *Matter of National R.R. Passenger Corp. v Hartnett,* 169 AD2d 127; *Matter of Cayuga-Onondaga Counties Bd. of Coop. Educ. Servs. v Sweeney,* 89 NY2d 395; *Matter of Action Elec. Contrs. Co. v Goldin,* 64 NY2d 213; *Matter of Beltrone Constr. Co. v McGowan,* 260 AD2d 870; *HMI Mech. Sys., Inc. v McGowan,* 266 F3d 142.)

Eliot Spitzer, Attorney General, New York City (*Benjamin N. Gutman, Michael S. Belohlavek, M. Patricia Smith* and *Pico Paul Ben-Amotz* of counsel), for respondent. I. Annualization is a reasonable method of valuing benefits under prevailing-wage statutes. (*Miree Constr. Corp. v Dole,* 930 F2d 1536; *Tom Mistick & Sons, Inc. v Reich,* 54 F3d 900.) II. Annualizing all fringe benefits is a reasonable means of assuring compliance with the law. (*Matter of Unimax Corp. v Tax Appeals Trib. of State of N.Y.,* 79 NY2d 139; *Matter of New York Assn. of Homes & Servs. for Aging v Commissioner of N.Y. State Dept. of Health,* 87 NY2d 978; *HMI Mech. Sys., Inc. v McGowan,* 266 F3d 142.) III. Annualization does not regulate private work, favor unions, or make it impossible to comply with Labor Law § 220. (*HMI Mech. Sys.,* *Inc. v McGowan,* 266 F3d 142; *Rondout Elec., Inc. v New York State Dept. of Labor,* 335 F3d 162; *Miree Constr. Corp. v Dole,* 930 F2d 1536; *Commissioners of State Ins. Fund v Eugene Iovine, Inc.,* 5 Misc 3d 487; *New York State Conference of Blue Cross & Blue Shield Plans v Travelers Ins. Co.,* 514 US 645; *Matter of Action Elec. Contrs. Co. v Goldin,* 64 NY2d 213.) IV. The Department of Labor's past inconsistency in enforcing the regulation does not undermine annualization's legitimacy. (*Burgio & Campofelice, Inc. v New York State Dept. of Labor,* 914 F Supp 931, 107 F3d 1000; *HMI Mech. Sys., Inc. v McGowan,* 266 F3d 142; *General Elec. Co. v New York State Dept. of Labor,* 936 F2d 1448; *Matter of HMI Mech. Sys. v McGowan,* 277 AD2d 657, 96 NY2d 705; *Matter of American Tel. & Tel. Co. v State Tax Commn.,* 61 NY2d 393; *Matter of Varrington Corp. v City of N.Y. Dept. of Fin.,* 85 NY2d 28.)

OPINION OF THE COURT

READ, J.

Petitioner, Chesterfield Associates, challenges respondent Department of Labor's use of the ''annualization'' rule (12 NYCRR 220.2 [d]) to assess whether a contractor has fulfilled its obligation under the prevailing wage law (Labor Law art 8) to pay or provide prevailing supplements to employees for work on a public project. For the reasons that follow, we conclude that the Commissioner of Labor reasonably annualized the contributions that Chesterfield made to a profit-sharing plan on behalf of its employees working on the public projects at issue in this case.

I.

Article I, § 17 of the New York State Constitution declares that

> ''[n]o laborer, worker or mechanic, in the employ of a contractor or sub-contractor engaged in the performance of any public work, shall be . . . paid less than the rate of wages prevailing in the same trade or occupation in the locality within the state where such public work is to be situated, erected or used.''

The prevailing wage law carries out the constitutional mandate in Labor Law § 220 (3). This provision requires a contractor undertaking a public work project to pay its employees the prevailing rate of wages and to pay or provide them with supplements[1] in accordance with prevailing practices for private sector work in the same locality.

The Commissioner has established and annually updates a schedule of prevailing wages and supplements, expressed as hourly rates and pegged to collectively bargained wages and fringe benefits for different work classifications (carpenters, electricians, painters, etc.) in different localities (*id.*; Labor Law § 220 [5] [a]; 12 NYCRR 220.3).[2] The public entity attaches the relevant prevailing rate schedule to its bid specifications for a public project and to the eventual contract; the schedule must be posted at the job site so that workers know how much compensation they are entitled to receive (Labor Law § 220 [3-a] [a], [b]).

Contractors may provide or pay for supplements by furnishing their employees with benefits whose value matches the relevant supplements, paying the supplements in cash or combining benefits and cash payments (12 NYCRR 220.2 [a]-[b]; *Matter of Action Elec. Contrs. Co. v Goldin*, 64 NY2d 213 [1984]). In short, a contractor may provide supplements in any form or combination so long as the sum total is not less than the prevailing rate.

The Commissioner enforces the prevailing wage law through compliance investigations undertaken in response to a complaint or on his/her own initiative (Labor Law § 220 [7]). After a hearing, the Commissioner may issue an order determining that the contractor is liable for underpayments—the difference between the prevailing wages or supplements that the schedules call for and the sums actually paid or provided to employees—plus interest (Labor Law § 220 [7], [8]). In addition to liability for underpayments, contractors face potential civil and criminal penalties for violating article 8 (Labor Law § 220 [8], [9]).

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1. ''Supplements'' or fringe benefits include ''all remuneration for employment paid in any medium other than cash, or reimbursement for expenses, or any payments which are not 'wages' within the meaning of the law'' (Labor Law § 220 [5] [b]).

2. The Commissioner issues the schedules separately for ''General Construction Projects'' (buildings, heavy and highway, tunnel and water and sewer projects) and ''Residential Construction Projects'' on a county-by-county basis (Labor Law § 220 [3-a] [a]; *see also* <http://www.labor.state.ny.us/business_ny/employer_responsibilities/prevwage/3webwagetypestatus.shtm>, cached at <http://www.courts.state.ny.us/reporter/webdocs/NYSDOL_Business_in_NY_responsibilities_as_an_employer.htm>). The Comptroller of the City of New York, the City's chief fiscal officer, determines the prevailing rate schedules and otherwise enforces article 8 for public projects let by the City (Labor Law § 220 [3], [5] [e]).

The prevailing wage law ''has been characterized as an attempt by the State to hold its territorial subdivisions *to a standard of social justice* in their dealings with laborers, workmen, and mechanics'' (*Matter of Cayuga-Onondaga Counties Bd. of Coop. Educ. Servs. v Sweeney*, 89 NY2d 395, 402 [1996] [internal quotation marks omitted]). As the Department puts it, section 220 ''seeks to equalize competing contractors' labor costs, which ensures that the winning bid on a public project is not made on the backs of the contractor's employees.''

Whether a contractor pays a prevailing wage is easy enough to figure out, as wages are received by employees as hourly cash payments or are easily converted into the equivalent. How an employer's fringe benefits relate to a prevailing supplement is less straightforward. Accordingly, the Commissioner has adopted a regulation called the annualization rule (12 NYCRR 220.2 [d]) for computing the hourly cash equivalent of a supplement.

Under the annualization rule, the Commissioner ''divide[s] the [contractor's] actual contribution or cost for providing'' a benefit ''by the total annual hours worked [by employees] on both public and private work'' (12 NYCRR 220.2 [d] [1]). The Commissioner then multiplies the ''hourly cash equivalent'' thus derived by the total annual hours the contractor's employees worked on the public project (which the parties here refer to as ''public hours''). The resulting figure acts as a credit to offset the contractor's obligation to pay or provide for supplements.

In this case, the Department received complaints from employees and union representatives that Chesterfield was not paying or providing prevailing wages and supplements on five public projects carried out during 1994 through 1997 to repair certain bridges and roads in Nassau and Suffolk counties. Chesterfield furnished supplements to its employees by way of three categories of fringe benefits: paid vacation, sick days and holidays; health insurance; and pension plans. These benefits were supplied to all of Chesterfield's employees, even those who performed no public work.

Upon investigation, the Department concluded that Chesterfield had underpaid wages and supplements on the projects and the matter went to hearing. The parties stipulated to the figures to be used to calculate the value of Chesterfield's fringe benefits.[3] Further, Chesterfield ultimately conceded that its health insur-

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3. Specifically, for the 1994-1997 time period the parties stipulated to the amount that Chesterfield contributed on behalf of all of its employees (i.e.,

(n. cont'd)

ance and vacation, holiday and sick pay benefits should be annualized.

Chesterfield disputed use of the annualization rule to calculate the hourly cash equivalent of its contributions for pension benefits, however, and so Chesterfield and the Department computed this credit alternatively. They stipulated that if pension contributions were not annualized and were instead given what Chesterfield calls dollar-for-dollar credit (i.e., if Chesterfield's pension contributions on behalf of employees who worked on the public projects were divided by only the public hours worked by these employees), Chesterfield would be entitled to a credit of $7.92 per hour to offset its supplement obligation;[4] if annualized (i.e., if Chesterfield's pension contributions on behalf of employees who worked on the public projects were divided by the total hours worked by these employees), the credit decreased by approximately two thirds to $2.54 an hour. The practical effect was a swing in Chesterfield's liability for underpayment of supplements from roughly $18,000 (if not annualized) to almost $600,000 (if annualized).

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those who worked exclusively on private sector work as well as those who worked full or part time on the public projects) to a contractor's benefit trust for health benefits only; the total hours worked by all of Chesterfield's employees; the total hours worked by the employees who worked on the public projects as well as the total public hours worked by these employees (roughly 32% of the total hours worked); the total supplements that the employees who worked on the public projects should have been provided according to the prevailing rate schedule; the vacation, holiday and sick pay that Chesterfield paid to the employees who worked on the public projects; and the pension contributions made by Chesterfield on behalf of the employees who worked on the public projects.

4. The Department evidently often used the dollar-for-dollar methodology to calculate a benefit's hourly cash equivalent even after adopting the annualization rule in 1992. Chesterfield regards the Department's post-1992 forbearance from annualizing as evidence of doubt about its authority to do so. The Department, however, attributes any seeming inconsistencies in its enforcement policies to uncertainty as to how the federal Employee Retirement Income Security Act ([ERISA], 29 USC § 1001 *et seq.*) might affect supplements (*compare General Elec. Co. v New York State Dept. of Labor*, 891 F2d 25 [2d Cir 1989] [prevailing wage law may not be enforced with respect to ERISA benefits], *with Burgio & Campofelice, Inc. v New York State Dept. of Labor*, 107 F3d 1000 [2d Cir 1997] [ERISA does not preempt the State's prevailing wage law because it does not mandate a particular set of benefits]; *see also HMI Mech. Sys., Inc. v McGowan*, 266 F3d 142 [2d Cir 2001] [ERISA does not preempt the Department's implementation of the prevailing wage law using an annualization formula]). The Department did not annualize Chesterfield's pension contributions to determine underpayments until after the Second Circuit's decision in *HMI*.

From 1994 through 1997, Chesterfield made contributions to a profit-sharing pension plan. Under this plan, an employee's rights did not vest immediately; instead, an employee became fully vested (at a rate of 20% per year) only at the end of five years. According to the Department,[5] Chesterfield's contributions to the plan were allocated to individual employees based on their total earnings for the year; that is, without regard to whether or for how many hours the employee worked on a public project.[6]

After nine days of hearings spanning roughly 21 months, the Department's hearing officer issued a report and recommendation concluding, among other things, that the Department had "permissibly and properly" annualized Chesterfield's contributions for pension benefits. He consequently concluded that Chesterfield had underpaid supplements by almost $600,000.[7]

The Commissioner issued a determination and order adopting the hearing officer's findings of fact, conclusions of law and recommendations in their entirety, and Chesterfield commenced this CPLR article 78 proceeding pursuant to Labor Law § 220 (8). The Appellate Division confirmed the Commissioner's determination, denied Chesterfield's petition and dismissed the proceeding. We subsequently granted Chesterfield leave to appeal, and now affirm.

II.

Chesterfield contests only the annualization of its contributions for pension benefits. Specifically, Chesterfield argues that annualization violates Labor Law § 220 (3) by penalizing

5. There are no plan documents in the record.

6. Chesterfield also made small contributions in 1994 to the so-called Plan Data plan, a retirement plan and trust administered by Plan Data, Inc. The Plan Data plan was apparently discontinued during 1994. The record contains no information to describe it, or to show the degree to which any contributions to the Plan Data plan were attributable to the projects and time periods at issue in this case. We therefore limit our discussion to Chesterfield's profit-sharing plan.

7. The hearing officer also recommended that the Commissioner determine and order that Chesterfield was liable for failure to pay prevailing wages totaling roughly $50,000; that Chesterfield was liable for interest on the underpayment of prevailing wages and supplements at the rate of 16% per year from the date of underpayment to the date of restitution, minus a 19-month period of delay on account of the Department's re-auditing of the public projects; that Chesterfield's failure to pay prevailing wages constituted a single willful violation of Labor Law § 220; and that the Commissioner assess a civil penalty amounting to 10% of the underpaid wages.

contractors unless they provide for supplements at the prevailing rate on both public and private work or, alternatively, pay the supplements in cash.

To prove this point, Chesterfield describes a benefit plan into which a contractor contributes at the prevailing rate for public hours and at a lesser rate for private hours. According to the Department, however, this is a hypothetical plan that in no way resembles Chesterfield's actual profit-sharing plan; Chesterfield's pension contributions were allocated to individual employees based on their total annual earnings and without regard to whether or how many hours they worked on public projects.

Chesterfield also relies on *Tom Mistick & Sons, Inc. v Reich* (54 F3d 900 [DC App 1995]). There, the D.C. Circuit determined that it was unreasonable for the federal Department of Labor to annualize the employer's contributions to a fringe benefit plan established to comply with the Davis-Bacon Act (40 USC § 276a *et seq.* [now 40 USC § 3141 *et seq.*]), the federal prevailing wage law. The contractor in *Mistick*, however, maintained and made contributions to two separate fringe benefit plans—the Davis-Bacon plan for public work only and another fringe benefit plan for private work only. We cannot conclude from this record that Chesterfield similarly maintained and contributed to separate profit-sharing plans for its employees' public and private work.

This appeal does not call on us to engage in "pure statutory reading and analysis, dependent only on accurate apprehension of legislative intent" (*Kurcsics v Merchants Mut. Ins. Co.*, 49 NY2d 451, 459 [1980]). Rather, we are asked to decide whether the Commissioner applied a reasonable methodology to evaluate Chesterfield's compliance with its obligation under Labor Law § 220 (3) to pay or provide for supplements at the prevailing rate on the five public projects at issue. Accordingly, the Commissioner's determination to annualize Chesterfield's contributions to the profit-sharing plan is entitled to deference (*Matter of Howard v Wyman*, 28 NY2d 434, 438 [1971] ["construction given statutes and regulations by the agency responsible for their administration, if not irrational or unreasonable, should be upheld"]).

Chesterfield seeks credit for the full cost of its contributions to the profit-sharing plan on behalf of employees who worked full or part time on the five public projects. Because Chesterfield contributed to the profit-sharing plan not only for its employees' public work but also for their private work, however, there was room for shifting costs on paper to overstate its payments on behalf of public hours, which would have bestowed an unfair competitive advantage on Chesterfield and denied its employees the full value of the supplements to which they were entitled. To enforce against this potential cost shifting, the Commissioner chose to average Chesterfield's contributions over all work, both public and private, to which pension benefits might be related. This resulted in a proportionate credit to offset Chesterfield's supplement obligations. We cannot say that the Commissioner acted unreasonably or irrationally in taking this approach under the circumstances of this case.

Nor can we say on this record that annualization regulates private work or forces a contractor to pay cash supplements in lieu of providing fringe benefits (*see Rondout Elec., Inc. v New York State Dept. of Labor*, 335 F3d 162, 169 [2d Cir 2003] [''New York's annualization regulation does not require prevailing wages or benefits for any employee who works on a private contract. The only time the prevailing wage standard is imposed is when an employee works on a public project'']; *see also Miree Constr. Corp. v Dole*, 930 F2d 1536, 1546 [11th Cir 1991] [''if an employer chooses to make contributions to a year-long (benefit) . . . such contributions can only be credited on an annualized basis'']). In sum, annualization is a methodology for valuing fringe benefits, which the Commissioner reasonably applied here to compute the hourly cash equivalent of Chesterfield's contributions to its profit-sharing plan.

Accordingly, the judgment of the Appellate Division should be affirmed, with costs.

Chief Judge Kaye and Judges G.B. Smith, Ciparick, Rosenblatt, Graffeo and R.S. Smith concur.

Judgment affirmed, with costs.

[830 NE2d 292, 797 NYS2d 394]

JANET OLIVIA SCANTLEBURY, Appellant, v NEW YORK CITY HEALTH AND HOSPITALS CORPORATION, Respondent.

Argued March 31, 2005; decided May 5, 2005

SUMMARY

APPEAL, by permission of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Second Judicial Department, entered May 24, 2004. The Appellate Division affirmed an order of the Supreme Court, Kings County (Jules L. Spodek, J.), which had granted defendant's motion for summary judgment dismissing the complaint for failure to serve a timely notice of claim.

Scantlebury v New York City Health & Hosps. Corp., 7 AD3d 776, affirmed.

HEADNOTE

Municipal Corporations — Notice of Claim — Service upon Wrong Public Entity

In a medical malpractice action against defendant New York City Health and Hospitals Corporation (HHC) initiated by the service of a notice of claim upon the Comptroller of the City of New York, who subsequently held a General Municipal Law § 50-h hearing to examine plaintiff's claim, plaintiff's failure to timely serve an authorized representative of HHC with a timely notice of intention to commence an action was not excused by General Municipal Law § 50-e (3) (c), which saves claims from dismissal on account of defects in the manner of service. The City of New York and HHC are separate entities for purposes of a notice of claim, and section 50-e (3) (c) was intended to cure improper methods of service, such as service by ordinary mail, not service on the wrong public entity.

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AM JUR 2d, Municipal Corporations, Counties, and Other Political Subdivisions §§ 647, 739.

CARMODY-WAIT 2d, Actions By and Against Public Bodies and Public Officers §§ 144:66, 144:69.

MCKINNEY'S, General Municipal Law § 50–e (3) (c).

NY JUR 2d, Government Tort Liability §§ 362, 434, 436, 438.

PROSSER AND KEETON, TORTS (5th ed) § 131.

SIEGEL, NY PRAC § 32.

ANNOTATION REFERENCE

Waiver of, or estoppel to assert, failure to give, or defects in, notice of claim against state or local political subdivision—modern status. 64 ALR5th 519.

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POINTS OF COUNSEL

Law Offices of Joseph M. Lichtenstein, P.C., Mineola (*Joseph Lichtenstein* and *Elliot Lewis* of counsel), for appellant. I. The ‘‘savings provision’’ of General Municipal Law § 50-e (3) (c) applies to the instant case such that service of plaintiff-appellant’s notice of claim upon the New York City Comptroller was proper service as against New York City Health and Hospitals Corporation. (*Mercado v New York City Health & Hosps. Corp.,* 247 AD2d 55; *Hazell v New York City Health & Hosps. Corp.,* 290 AD2d 533; *Stallworth v New York City Health & Hosps. Corp.,* 243 AD2d 704.)

Michael A. Cardozo, Corporation Counsel, New York City (*Larry A. Sonnenshein* and *Leonard Koerner* of counsel), for respondent. The Appellate Division properly affirmed the dismissal of the complaint against New York City Health and Hospitals Corporation (NYCHHC) based on plaintiff’s failure to serve the notice of claim on NYCHHC which is a statutory condition precedent to the commencement of litigation. (*Jones v City of New York,* 300 AD2d 359; *Davidson v Bronx Mun. Hosp.,* 64 NY2d 59; *Hall v New York City Health & Hosps. Corp.,* 304 AD2d 617; *Hazell v New York City Health & Hosps. Corp.,* 290 AD2d 533; *Viruet v City of New York,* 97 NY2d 171; *Stallworth v New York City Health & Hosps. Corp.,* 243 AD2d 704; *Badgett v New York City Health & Hosps. Corp.,* 227 AD2d 127; *Kroin v City of New York,* 210 AD2d 95; *Ceely v New York City Health & Hosps. Corp.,* 162 AD2d 492; *Binyard v City of New York,* 151 AD2d 712.)

OPINION OF THE COURT

Read, J.

The issue on this appeal is whether General Municipal Law § 50-e (3) (c) excuses plaintiff’s failure to serve the New York City Health and Hospitals Corporation (HHC) with a timely notice of intention to commence an action, a statutory condition precedent to suit, because she served a timely notice on the

Comptroller of the City of New York and he held a General Municipal Law § 50-h hearing to examine her claim. We hold that section 50-e (3) (c), which saves claims from dismissal on account of defects in the manner of service, does not excuse a plaintiff's failure to serve a timely notice of claim on the correct public entity, which is what happened here when plaintiff served her notice on the Comptroller rather than HHC.

I.

Plaintiff Janet Olivia Scantlebury was treated for an elbow injury at HHC's Kings County Hospital from July 31, 1999 until November 18, 1999. On November 3, 1999, the Comptroller received a notice of claim from plaintiff alleging medical malpractice against HHC. By letter dated November 23, 1999, the Comptroller served plaintiff with notice of a General Municipal Law § 50-h hearing, directing her to appear at the Office of the Corporation Counsel for this purpose. The section 50-h hearing took place on July 19, 2000.

On August 8, 2000, plaintiff filed a summons and complaint against HHC for medical malpractice and failure to obtain informed consent; on August 15, 2000, she served HHC with the complaint. Plaintiff alleged that a notice of claim had been served upon HHC within 90 days after her claim arose; that at least 30 days had elapsed since this service and that adjustment or payment had been neglected or refused; that she had complied with HHC's demand for a section 50-h hearing; and that she was commencing her action within one year and 90 days after the happening of the event upon which her claim was based. In its answer, dated September 5, 2000, HHC denied each of these specific allegations, "except admitt[ed] that on or about November 3, 1999 a purported notice of claim was presented to the Comptroller of the City of New York, and that more than thirty days [had] elapsed since such presentation and that no adjustment thereof [had] been made; and that a hearing was held on July 19, 2000 pursuant to § 50-h of the General Municipal Law."

Plaintiff filed a note of issue on February 7, 2003. On February 25, 2003, HHC moved for summary judgment to dismiss the complaint on the ground that plaintiff had failed to serve a timely notice of claim on HHC. HHC further noted that plaintiff's time to apply to Supreme Court for leave to serve a late notice of claim had expired on February 16, 2001, one year and 90 days after November 18, 1999, her last date of treatment. Supreme Court granted HHC's motion for summary judgment and dismissed the complaint. The Appellate Division affirmed, as do we.

II.

Three statutory provisions bear on the outcome of this appeal. They are section 7401 (2) of McKinney's Unconsolidated Laws of New York (New York City Health and Hospitals Corporation Act [L 1969, ch 1016, § 1, as amended] § 20 [2]), which sets out notice of intention requirements and time limitations applicable to actions against HHC; section 50-e (3) (a) of the General Municipal Law, which specifies the manner of service requirements for a notice of claim; and section 50-e (3) (c), which excuses defects in a notice of claim's manner of service under specified circumstances.

Section 7401 (2) provides that an action against HHC for personal injuries

> ''shall not be commenced more than one year and ninety days after the cause of action thereof shall have accrued, *nor unless a notice of intention to commence such action* and of the time when and the place where the tort occurred and the injuries or damage, were sustained, together with a verified statement showing in detail . . . the personal injuries alleged to have been sustained and by whom, *shall have been filed with a director or officer of [HHC] within ninety days after such cause of action shall have accrued*'' (emphasis added).

The parties do not dispute that the ''notice of intention to commence [an] action'' required by section 7401 (2) is a condition precedent to a suit against HHC, the functional equivalent of a notice of claim (*cf.* Court of Claims Act § 10 [service on Attorney General of a ''notice of intention to file a claim'' extends claimant's time to file and serve a claim]). In fact, we have treated section 7401 (2) as a notice of claim provision, and have used the terms ''notice of intention'' and ''notice of claim'' interchangeably when discussing section 7401 (2) (*see e.g. Viruet v City of New York*, 97 NY2d 171 [2001]).

Section 7401 (2) also states that ''[a]ll the provisions of section fifty-e of the general municipal law shall apply to such notice [of intention].'' Further, HHC ''may require any claimant hereunder to be examined as provided in section fifty-h of the general municipal law, and all the provisions of such section shall apply to such examinations.''

Under General Municipal Law § 50-e (3) (a), proper service of a notice of claim against a public corporation such as HHC requires delivery of

> ''a copy thereof personally, or by registered or certified mail, to the person designated by law as one to whom a summons in an action in the supreme court issued against such corporation may be delivered, or to an attorney regularly engaged in representing such public corporation.''[1]

General Municipal Law § 50-e (3) (c), a savings provision, specifies that if a notice of claim is timely served ''*but in a manner not in compliance with the provisions of this subdivision [3]*'' (emphasis added), service is nonetheless valid ''if the public corporation against which the claim is made demands that the claimant or any other person interested in the claim be examined in regard to it'' or, alternatively, ''if the notice is actually received by a proper person within the time specified by this section [i.e., within 90 days after the claim arises], and the public corporation fail [*sic*] to return the notice, specifying the defect in the manner of service, within thirty days after the notice is received'' (emphasis added).[2]

Plaintiff asks us to apply General Municipal Law § 50-e (3) (c), the savings provision, to excuse her mistaken service on the Comptroller. In particular, she urges us to salvage her complaint by adopting the reasoning of the First Department in *Mercado v New York City Health & Hosps. Corp.* (247 AD2d 55 [1st Dept 1998] [where timely notice of claim names only HHC and is served on Comptroller who demands section 50-h hearing, General Municipal Law § 50-e (3) (c) applies and service of notice is valid]). HHC advocates for the contrary view, which was espoused by the Second Department here by force of its decision in *Stallworth v New York City Health & Hosps. Corp.* (243 AD2d 704 [2d Dept 1997], *lv denied* 91 NY2d 807 [1998] [service on Comptroller is insufficient to constitute service on HHC, and

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1. Reading Unconsolidated Laws § 7401 (2) and General Municipal Law § 50-e (3) (a) together, we held in *Viruet* that a plaintiff may file a notice of intention on HHC by serving a director or officer or, alternatively, the Corporation Counsel, HHC's attorney.

2. Plaintiff has never alleged or argued that the notice was ''actually received by a proper person'' (a director or officer of HHC or the Corporation Counsel) within 90 days of the claim's accrual.

lack of service on HHC is not excused by its participation in section 50-h hearing or by provisions of General Municipal Law § 50-e (3) (c)]).

As an initial matter, we have long recognized that the City of New York and HHC are separate entities for purposes of a notice of claim (*see Bender v New York City Health & Hosps. Corp.*, 38 NY2d 662 [1976]). Further, our decisions respecting the former version of the savings provision as well as the current version's legislative history demonstrate that section 50-e (3) (c) was intended to cure improper *methods* of service, such as service by ordinary mail, not service on the wrong public entity (*Adkins v City of New York*, 43 NY2d 346, 350-351 [1977] [former savings provision "was designed to permit effective service within the statutory period by means other than (those articulated in the former statute)" (citing legislative history)]; *Munroe v Booth*, 305 NY 426 [1953] [former savings provision not applicable where notice of claim against board of education was served on school district business manager rather than member of board, trustee or clerk thereof, the only persons authorized by statute to receive service]).

The former savings clause was part of General Municipal Law § 50-e (3), which provided that the notice

> "shall be served on the party against whom the claim is made by delivering a copy thereof, in duplicate, personally, or by registered mail, to the person, officer, agent, clerk or employee, designated by law as a person to whom a summons in an action in the supreme court issued against such party may be delivered; *provided that if service of such notice be made within the period prescribed by this section, but in a manner not in compliance with the provisions of this subdivision, such service shall be deemed valid if such notice is actually received by such person, officer, agent, clerk or employee and such party against whom the claim is made shall cause the claimant or any other person interested in the claim to be examined in regard to such claim*" ([emphasis added]; Graziano, Recommendations Relating to Section 50-e of the General Municipal Law and Related Statutes, 21st Ann Report of NY Jud Conf, at 368 [1976]).

In *Adkins*, we reviewed the legislative history of the former savings provision as well as the cases applying it. Noting the ''harsh'' results when complaints were dismissed because timely service was made by ordinary rather than registered mail, we concluded that the former savings provision was added ''to permit effective service within the statutory period by means other than registered mail or personal delivery'' (43 NY2d at 350, 351).

We also observed in *Adkins* that the former savings provision contained two requirements—first, that timely notice of claim was ''actually received'' by a person designated by law to receive service on behalf of the party against whom the claim was made; and second, that this party demanded an examination of the claimant (*id.* at 351). Only where both conditions were met could defects in the ''manner'' of service be cured (*id.*; *see also Munroe*, 305 NY at 428 [construing the former provision, and noting that the savings provision would not apply unless the notice was ''actually received'' by a statutorily designated representative of the public entity]; *Camarella v East Irondequoit Cent. School Bd.*, 34 NY2d 139, 142 [1974] [noting severe consequences of former section 50-e with regard to procedure for obtaining relief from late filing of notice of claim; dictum rejects suggestion that other papers be deemed a notice of claim where ''it is not at all clear that (these papers) were served on the proper parties'' and cites former subdivision (3)]).

In 1976, the Legislature amended section 50-e (3), turning it into four paragraphs. Paragraph (a) contains the requirement that service be made on ''the person designated by law'' to receive service. Paragraphs (a) and (b) now allow service by personal service, registered or certified mail. Paragraph (c) still applies only where service is timely, and refers only to defects in the ''manner'' of service. The Legislature also refashioned former section 50-e (3) slightly to create two separate and alternative circumstances which, if fulfilled, allow for defects in the manner of service to be excused—if the public corporation demands a section 50-h hearing, or if the notice is actually timely received by a proper person and the public corporation does not return it within 30 days of receipt, specifying the defect in the manner of service.

Plaintiff, who relies solely on the demand for a hearing, correctly notes that the 1976 amendments were designed to incorporate some flexibility into section 50-e (*see* Mem of Off of Ct Admin in Support, Bill Jacket, L 1976, ch 745 [''The purpose of this bill is to follow the suggestion of the Court of Appeals in (*Camarella*): to reconsider the harsher aspects of section 50-

e'']). In this regard, however, the legislative history primarily discusses revisions to relax the provisions governing late filing. References to section 50-e (3) focus strictly on the manner of service, consistent with the statutory language. If the amendments to section 50-e (3) were nonetheless also intended to relieve a plaintiff from the consequences of serving a notice of claim on the wrong public entity, one would expect to find some comment somewhere in the legislative history to this effect.

Here, plaintiff served a notice of claim on the City of New York. The proper—and different—party was HHC. A ''party sustaining injury allegedly attributable to these health facilities [must] file a verified notice of claim with [HHC] prior to the commencement of a lawsuit'' (*Bender*, 38 NY2d at 665). Plaintiff was put on notice of her error by HHC's answer to the complaint, which was served on September 5, 2000.[3] She had ample time to seek leave to serve a late notice of claim before her time to do so expired on February 16, 2001.

Plaintiff, as noted, counts on *Mercado*, a case in which the First Department reasoned that where the notice of claim names only HHC and is served on the Comptroller who then demands a section 50-h hearing, HHC is the only public entity on whose behalf the section 50-h hearing could have been demanded. But this reading of section 50-e (3) (c) disregards plaintiff's obligation to comply with subdivision (3) (a) by serving the correct public entity before defects in the manner of service may be excused (*Mercado*, 247 AD2d at 60 [''In order for (General Municipal Law § 50-e [3] [c]) to apply . . . service must have been made on the proper party; service cannot be 'valid' if it was never made''] [Tom, J., dissenting]).

The City properly cites *Stallworth* for the propositions that service on ''the Comptroller of the City of New York is insufficient to constitute service on [HHC], the proper party to be served,'' and that ''[t]he lack of service . . . [is] not cured by the participation of [HHC] in the General Municipal Law § 50-h hearing or by the provisions of General Municipal Law § 50-e

3. Because timely service of a notice of claim is a statutory condition precedent to a suit against HHC, a plaintiff must plead timely service in the complaint and HHC must therefore either admit or deny timely service in the answer. Accordingly, a plaintiff who unwittingly fails to serve HHC with a notice of claim would always have time to seek leave to serve a late notice assuming, of course, that the plaintiff served the complaint against HHC sufficiently before expiration of the one-year-and-90-day limitations period, not at the last minute.

(3) (c)'' (243 AD2d at 704-705). In short, because plaintiff served the wrong public entity, the savings provision of General Municipal Law § 50-e (3) (c), which is limited in scope to defects in the manner of serving a notice of claim on the correct public entity, does not rescue her complaint from dismissal.

Accordingly, the order of the Appellate Division should be affirmed, with costs.

Chief Judge KAYE and Judges G.B. SMITH, CIPARICK, ROSENBLATT, GRAFFEO and R.S. SMITH concur.

Order affirmed, with costs.

[830 NE2d 298, 797 NYS2d 400]

HEARY BROS. LIGHTNING PROTECTION CO., INC., et al., Appellants, v INTERTEK TESTING SERVICES, N.A., INC., Formerly Known as ETL TESTING LABORATORIES, INC., and Others, Respondent.

Argued March 29, 2005; decided May 5, 2005

SUMMARY

APPEAL, pursuant to CPLR 5601 (c), from an order of the Appellate Division of the Supreme Court in the Fourth Judicial Department, entered July 9, 2004. The Appellate Division modified, on the law, an order of the Supreme Court, Erie County (Joseph G. Makowski, J.), which had granted defendants' motion to set aside a jury verdict in plaintiffs' favor in the amount of $2,208,360 to the extent of ordering a new trial on damages unless plaintiffs stipulated to an award of damages in the amount of $410,000. The modification consisted of vacating the provision that plaintiffs stipulate to an award of damages in the amount of $410,000 and providing that the retrial shall be on damages from September 1998 to April 2000. No questions of fact were considered by the Appellate Division. Plaintiffs stipulated for judgment absolute in the event of affirmance.

Heary Bros. Lightning Protection Co., Inc. v Intertek Testing Servs., N.A., Inc., 9 AD3d 870, affirmed.

HEADNOTES

Appeal — Matters Reviewable — Court of Appeals — Legal Sufficiency of Evidence

1. The Appellate Division's determination that the jury's award of damages in a breach of contract case "is against the weight of evidence" was actually a determination of the sufficiency, not the weight of the evidence, and was therefore reviewable by the Court of Appeals. By ordering a new trial "on damages from September 1998 to April 2000," the Appellate Division effectively directed a verdict against plaintiffs as to post-April 2000 damages. That constituted a ruling of law the Court of Appeals was empowered to review.

Damages — Measure of Damages — Lost Profits

2. In a breach of contract action brought against a private testing laboratory hired to test and certify plaintiffs' products, plaintiffs had no viable claim for lost profits attributable to any time later than April 2000, the date of rejection of the prospective industry standard against which plaintiffs' products had been tested. While it would have been physically possible, after April 2000, to run tests comparing plaintiffs' products to the requirements contained in the rejected draft standard, plaintiffs failed to explain why it would have made any sense to do so. There was no evidence from which a jury could conclude

that defendant's breach of contract caused plaintiffs any damages after April 2000.

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Am Jur 2d, Appellate Review §§ 79, 184; Am Jur 2d, Contracts § 699; Am Jur 2d, Damages §§ 442, 448; Am Jur 2d, Trial § 1779.

Calamari and Perillo, Contracts (5th ed) §§ 14.4, 14.8.

Carmody-Wait 2d, Appeals to the Court of Appeals §§ 71:96, 71:105, 71:110, 71:141.

NY Jur 2d, Appellate Review §§ 72, 88, 562, 575; NY Jur 2d, Contracts § 426; NY Jur 2d, Damages §§ 32, 103–111.

Siegel, NY Prac §§ 10, 528.

Williston on Contracts (4th ed) §§ 64:10, 64:11.

ANNOTATION REFERENCE

See ALR Index under Appeal and Error; Damages; New Trial.

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POINTS OF COUNSEL

Schroder, Joseph & Associates, LLP, Buffalo (*Linda H. Joseph* of counsel), for appellants. I. The Appellate Division committed an error of law when it concluded that the terms of the listing agreement required a published standard. (*Greenfield v Philles Records,* 98 NY2d 562; *Thomas v Scutt,* 127 NY 133.) II. The Appellate Division committed an error of law when it concluded that the award of damages after April 2000 was against the weight of the evidence. (*Ohdan v City of New York,* 268 AD2d 86; *Lolik v Big V Supermarkets,* 86 NY2d 744.)

Thaler & Thaler, Ithaca (*Richard T. John* of counsel), for respondent. I. The Appellate Division did not err in finding that any award of damages after April 2000 was against the weight of the evidence. (*Morales v County of Nassau,* 94 NY2d 218; *McMurren v Carter,* 38 NY2d 742; *Sage v Fairchild-Swearingen Corp.,* 70 NY2d 579; *Matter of Von Bulow,* 63 NY2d 221; *Cohen v Hallmark Cards,* 45 NY2d 493; *Ashland Mgt. v Janien,* 82 NY2d 395; *Kenford Co. v County of Erie,* 73 NY2d 312; *Kenford*

Co. v County of Erie, 67 NY2d 257; *Lolik v Big V Supermarkets,* 86 NY2d 744; *Matter of De Zimm v Connelie,* 64 NY2d 860.) II. The Appellate Division did not err as a matter of law in limiting damages to April 2000. (*Freund v Washington Sq. Press,* 34 NY2d 379; *Swain v Schieffelin,* 134 NY 471; *Bogdan & Faist v CAI Wireless Sys.,* 295 AD2d 849; *Kenford Co. v County of Erie,* 67 NY2d 257; *Kenford Co. v County of Erie,* 73 NY2d 312.) III. Plaintiff is not entitled to reinstatement of the jury award of damages. (*O'Connor v Papertsian,* 309 NY 465; *Morales v County of Nassau,* 94 NY2d 218.)

OPINION OF THE COURT

R.S. SMITH, J.

In this breach of contract case, the issue is the extent to which plaintiffs can recover for lost profits. We hold, as did the Appellate Division, that plaintiffs have no viable claim for lost profits attributable to any time later than April 2000.

Facts and Procedural History

Plaintiffs are two affiliated companies that manufacture and distribute lightning protection systems. Defendant is a private testing laboratory. The parties entered into an agreement in 1994 pursuant to which defendant would test and certify plaintiffs' "Early Streamer Emission" (ESE) products.

ESE was a controversial technology that, according to plaintiffs, represented a significant improvement on traditional lightning rods. In 1994, no officially adopted industry standard for ESE products existed; a draft of such a standard, known as "Draft NFPA 781," did exist, and plaintiffs were engaged in what proved to be a long and fruitless effort to obtain final approval of the draft by the National Fire Protection Association (NFPA). After much analysis and controversy, the NFPA finally and definitively rejected the draft on April 28, 2000.

Meanwhile defendant agreed to, and for some years did, test plaintiffs' products for compliance with the requirements contained in Draft NFPA 781. Defendant certified the products when they passed the tests—meaning, among other things, that plaintiffs were allowed to affix defendant's "certification mark" to the products. After a rocky relationship whose details need not be recounted, defendant informed plaintiffs in 1998 that it would no longer permit plaintiffs to use its mark. As a result, plaintiffs sued defendant on various theories. Only their breach of contract claims survive.

The case was tried in 2001. At trial, plaintiffs presented, through an expert, evidence of the profits they claimed to have lost, based on historical data, through November 2000, and of profits they expected to lose, based on projections, through 2014. The jury found that defendant had breached the contract and awarded plaintiffs $2,208,360 in lost profits damages, of which only $197,449 was attributable to the period ending in November 2000.

On defendant's posttrial motion, Supreme Court upheld the liability verdict but ordered a new trial on damages unless plaintiffs accepted the reduced amount of $410,000. The Appellate Division modified, ordering a new trial on damages without offering the option of a smaller judgment, and providing that no damages could be awarded for the period after April 2000. Plaintiffs appeal to this Court as of right pursuant to CPLR 5601 (c), on a stipulation for judgment absolute. We affirm.

Discussion

A. Reviewability

Defendant argues that we have no power to review the Appellate Division's decision because it resolved a question of fact, not a question of law (*see* CPLR 5501 [b]). We disagree, and hold that the decision is reviewable.

[1] The problem arises because the Appellate Division opinion says that Supreme Court's order is ''modified on the law,'' but also says that ''the jury's award of damages is against the weight of evidence'' (9 AD3d 870, 870, 872 [2004]). A ''weight of the evidence'' determination is a factual one that we have no power to review (*see Cohen v Hallmark Cards*, 45 NY2d 493, 498-500 [1978]).

The result reached shows that in reality the Appellate Division ruled on the sufficiency, not the weight, of the evidence. The Appellate Division held that the new trial it ordered ''shall be on damages from September 1998 to April 2000,'' thus prohibiting any award of damages for a later time (9 AD3d at 871). In effect, the Appellate Division directed a verdict against plaintiffs as to post-April 2000 damages—a ruling of law that this Court is empowered to review (*see Cohen*, 45 NY2d at 497-498, 500; Karger, Powers of the New York Court of Appeals § 77 [c], at 475-476 [3d ed]).

B. The Merits

We agree with the Appellate Division that no legally sufficient evidence supports an award of damages attributable to any time after April 2000.

April 28, 2000 is a key date, because that was when the NFPA rejected Draft NFPA 781 for the last time, putting an end to plaintiffs' long efforts to get the draft adopted as the industry standard for ESE products. Defendant argues in substance that, even if it had complied with what the jury found to be its contractual duties, it would not and could not have tested and certified plaintiffs' products after April 2000 because there was not even a tentative or prospective industry standard to test them against. It may have made sense, defendant's argument runs, to test and certify products for compliance with the draft standard while there was still a possibility that the industry would adopt it, but testing products against a definitively rejected standard made no sense. No credible testing laboratory could certify products as complying with a rejected standard, and plaintiffs were not entitled to, and could not benefit from, such a meaningless certification. Thus, defendant argues, its breach of contract did not cause plaintiffs to lose any profits after April 2000. We find this argument to be sound.

Plaintiffs' response is that, even after April 2000, defendant could have tested plaintiffs' products against the requirements contained in the now-defunct draft standard, and could have certified that the products passed the tests. The parties' contract, plaintiffs point out, did not require tests to be against an industry standard. Indeed, the contract, which is on a standard form used by defendant with all its clients, refers to ''the published Standard or Standards, *if any*, applicable from time to time'' (emphasis added).

[2] No doubt it would have been physically possible, after April 2000, to run tests comparing plaintiffs' products to the requirements contained in the rejected Draft NFPA 781. And we assume that there are times when it makes sense for defendant to test a client's products against something other than an industry-wide standard; defendant suggests that this may occur, for example, where a customer of the client (perhaps a municipality or other public body) has specifications of its own that the client must meet. But plaintiffs do not explain why it would have made any sense in this case to test their products against requirements contained in a draft standard that had been abandoned. Nothing in the record suggests that a certification showing that such tests were passed would have had commercial value to plaintiffs, or that the absence of such a certification could have caused plaintiffs to lose any profits. There was, in short, no evidence from which a jury could conclude that defendant's breach of contract caused plaintiffs any damages after April 2000.

Accordingly, the order of the Appellate Division should be affirmed with costs, and judgment absolute ordered against plaintiffs on the stipulation.

Chief Judge KAYE and Judges G.B. SMITH, CIPARICK, ROSENBLATT, GRAFFEO and READ concur.

Order affirmed, etc.

[830 NE2d 1127, 797 NYS2d 799]

Svetlana Tikhonova, Respondent, v Ford Motor Company et al., Appellants, et al., Defendants.

Argued March 22, 2005; decided May 5, 2005

SUMMARY

Appeal, by permission of the Appellate Division of the Supreme Court in the First Judicial Department, from an order of that Court, entered June 22, 2004. The Appellate Division (1) reversed, on the law, so much of an order of the Supreme Court, Bronx County (Douglas E. McKeon, J.), as had, upon reargument, granted a motion by defendants Ford Motor Company and Ford Motor Credit Corporation for summary judgment dismissing the complaint against them, (2) denied the motion, and (3) reinstated the complaint. The following question was certified by the Appellate Division: ''Was the order of this Court, which reversed the order of the Supreme Court, properly made?''

Tikhonova v Ford Motor Co., 10 AD3d 185, affirmed.

HEADNOTE

Motor Vehicles — Imputing Driver's Negligence to Owner — Diplomatic Immunity of Driver

Pursuant to Vehicle and Traffic Law § 388, the owner of a vehicle is liable for the negligence of its driver, even if the negligent driver is protected by diplomatic immunity. The driver's immunity from suit does not extinguish the vicarious liability of the owner. 28 USC § 1364, which is part of the Diplomatic Relations Act, which requires members of a diplomatic mission to secure automobile liability insurance and gives injured persons the right to sue the wrongdoers' insurance carriers in federal court, is not an exclusive remedy that bars an action by the diplomat driver's injured passenger against the vehicle's owner. Nor was there any public policy consideration which would preclude the owner's vicarious liability.

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Am Jur 2d, Ambassadors, Diplomats, and Consular Officials § 12; Am Jur 2d, Automobiles and Highway Traffic §§ 726, 728, 744, 745.

McKinney's, Vehicle and Traffic Law § 388.

NY Jur 2d, Automobiles and Other Vehicles §§ 1060, 1061, 1063; NY Jur 2d, Consular and Diplomatic Officers § 1.

28 USCA § 1364.

ANNOTATION REFERENCE

Applicability of diplomatic immunity under Vienna Convention and Diplomatic Relations Act. 1 ALR Fed 2d 351.

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POINTS OF COUNSEL

Nixon Peabody LLP, Garden City (*Frank L. Amoroso, Joseph J. Ortego* and *Santo Borruso* of counsel), for appellants. I. Since a mandatory liability insurance requirement was imposed when diplomatic immunity was enacted, there is no justification for imposing vicarious liability under Vehicle and Traffic Law § 388 on the lessor of a motor vehicle driven by a diplomat. (*Fried v Seippel,* 80 NY2d 32; *Windsor v State Farm Ins. Co.,* 509 F Supp 342; *Kenny v Bacolo,* 61 NY2d 642; *Finkel v Blair & Co.,* 213 AD2d 588; *Mowczan v Bacon,* 92 NY2d 281.) II. Since the Appellate Division's reversal of the trial court's order of dismissal conflicts with existing authority of this Court, and the Second and Fourth Departments, as well as the lower courts, the order appealed should be reversed. (*Naso v Lafata,* 4 NY2d 585; *Rauch v Jones,* 4 NY2d 592; *Rodriguez v Lodato Rental,* 267 AD2d 293; *Jaglall v Supreme Petroleum Co. of N.J.,* 185 AD2d 971; *Ulysse v Nelsk Taxi*, 135 AD2d 528, 73 NY2d 702; *Trizzino v Mildank Taxi Corp.,* 128 AD2d 607; *Samba v Delligard,* 116 AD2d 563; *Sikora v Keillor,* 17 AD2d 6, 13 NY2d 610; *Nelson v Garcia,* 152 AD2d 22; *Padlo v Spoor,* 90 Misc 2d 1002, 72 AD2d 665.)

Pollack, Pollack, Isaac & De Cicco, New York City (*Brian J. Isaac* of counsel), and *Sherman & Basichas LLP* (*Alyssa Lebensohn* and *Mark Basichas* of counsel), for respondent. The Appellate Division majority rightly upheld plaintiff's right to sue Ford Motor Company, which was vicariously liable for Alexey Konovalov's negligence under the Vehicle and Traffic Law, as the decision did not permit avoidance of a direct action statute or conflict with any public policy; Ford, according to this record, charged the Russian mission its normal rate, and is not entitled to a special benefit; upholding plaintiff's right of action comported with the strong public policy of ensuring that those injured in automobile accidents have access to adequate and fair compensation from a responsible party. (*Plath v Justus,* 28 NY2d

16; *Rolfe v Hewitt,* 227 NY 486; *Morris v Snappy Car Rental,* 84 NY2d 21; *Mills v Gabriel,* 259 App Div 60; *Plaumbo v Ryan,* 213 App Div 517; *Motor Veh. Acc. Indem. Corp. v Continental Natl. Am. Group Co.,* 35 NY2d 260; *Fried v Seippel,* 80 NY2d 32; *Continental Auto Lease Corp. v Campbell,* 19 NY2d 350; *Murdza v Zimmerman,* 99 NY2d 375; *Reich v Manhattan Boiler & Equip. Corp.,* 91 NY2d 772.)

OPINION OF THE COURT

ROSENBLATT, J.

On this appeal two statutes intersect: on the one hand, vehicle owners are vicariously liable for the negligence of those whom they allow to drive their vehicles (Vehicle and Traffic Law § 388). On the other, a diplomat who drives a vehicle negligently is immune from suit (22 USC § 254d). The question before us is whether a vehicle owner is vicariously liable for the negligence of a diplomat, himself immune from suit. Put differently, when these two statutes go head to head, does the driver's immunity extinguish the vicarious liability of the owner?

At issue is the scope of 28 USC § 1364. That statute is part of the Diplomatic Relations Act, which requires members of a diplomatic mission to secure automobile liability insurance and gives injured persons the right to sue the wrongdoers' insurance carriers in federal court. We must decide whether 28 USC § 1364 is an exclusive remedy that bars the action before us.

We hold that the driver's immunity does not shield the owner. Moreover, because 28 USC § 1364 does not provide an exclusive remedy, the suit before us is tenable.

Alexey Konovalov, a Russian diplomat driving in New York City, rear-ended another car. Konovalov's passenger, plaintiff here, was seriously injured and sued Konovalov and Ford, the car's owner.[1] Supreme Court dismissed the suit against Konovalov owing to his diplomatic immunity. By way of affirmative defense, Ford asserted that given the driver's immunity it could not be held vicariously liable. Plaintiff moved for summary judgment against Ford, which cross-moved to dismiss. Supreme Court agreed with Ford, concluding that the company could not be held vicariously liable, and further, that 28 USC § 1364 relegated plaintiff to a federal court action against Konovalov's insurance carrier.

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1. Ford Motor Credit Company owned the car; Ford Motor Company was the lessor, pursuant to a long-term lease with the Russian mission. For convenience, and because the defendants are jointly and severally liable if they are liable at all, we refer to both companies jointly as Ford.

The Appellate Division reversed and reinstated the complaint against Ford (10 AD3d 185 [1st Dept 2004]). We affirm.

Under the Diplomatic Relations Act (22 USC § 254a *et seq.*) an action against an individual entitled to immunity must be dismissed where immunity is established ''upon motion or suggestion by or on behalf of the individual'' (22 USC § 254d).[2] Konovalov's diplomatic immunity is conceded.

In pertinent part, section 388 of the Vehicle and Traffic Law provides that:

> ''Every owner of a vehicle used or operated in this state shall be liable and responsible for death or injuries to person or property resulting from negligence in the use or operation of such vehicle, in the business of such owner or otherwise, by any person using or operating the same with the permission, express or implied, of such owner'' (§ 388 [1]).

In 1924, the Legislature enacted Highway Law § 282-e, the predecessor to section 388. In the 80 years since then, the Legislature has amended or consolidated the section 14 times, but never once has it retreated from its intention to assure injured plaintiffs that there will be a financially responsible party to provide compensation for negligent driving.

In arguing against liability, Ford asserts that, in other contexts, this Court has declined to impose derivative liability where the tortfeasor enjoys immunity. In *Naso v Lafata* (4 NY2d 585, 589 [1958]), we explained that a worker injured in a car driven negligently by a coemployee (and in the course of their employment) may not resort to the Vehicle and Traffic Law for a cause of action against the car's owner. The Workers' Compensation Law, we held, offers the only remedy for injuries caused by the coemployee's negligence. This conclusion flowed directly from the statutory language in what was then Workmen's Compensation Law § 29 (6), which stated that ''[t]he right to compensation or benefits under this chapter, shall be the exclusive remedy to an employee . . . when such employee is injured or killed by the negligence or wrong of another in the same employ'' (quoted in *Naso*, 4 NY2d at 589 [emphasis omitted]). Similarly, in the companion case of *Rauch v Jones* (4 NY2d

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2. See generally Sean D. Murphy, *Contemporary Practice of the United States Relating to International Law*, 95 Am J Int'l L 873 (2001). Article 31 of the Vienna Convention on Diplomatic Relations, April 18, 1961 (23 UST 3227, 3240-3241, 500 UNTS 96, 112) forecloses suit against certain foreign agents in American courts.

592, 596 [1958]), we confirmed that the statute prohibits any remedy but that provided by the Workers' Compensation Law.

Contrary to Ford's assertion, the basis for these decisions was not that derivative liability could never derive from an immune party's negligence. Rather, both decisions rest on the statutory language making plain that in the special context of workers' compensation, the system of remedies provided by the Workers' Compensation Law supplants all other statutory or common-law causes of action. The federal statute providing diplomats' tort victims with a direct action against the diplomats' insurance carriers contains nothing like the ''exclusive remedy'' clause specified in the Workers' Compensation Law (*see* 28 USC § 1364).

Ford also argues that our precedents denying the liability of owners of cars lent to emergency workers should apply here. In *Sikora v Keillor* (13 NY2d 610 [1963], *affg* 17 AD2d 6, 8 [2d Dept 1962]), we affirmed, without opinion, the Appellate Division's determination that no liability attaches to a vehicle owner where the negligent driver (a volunteer firefighter) was immune from suit under General Municipal Law § 205-b. That case does not govern the appeal before us. The Appellate Division reasoned that the owner's vicarious liability could derive only from a finding of liability against the driver. On policy grounds, a contrary result would have discouraged volunteers from responding to emergencies by reducing the number of people willing to lend vehicles to those volunteers. By interpreting section 388 as we did, the Court stood behind the strong policy interest in protecting those who aid emergency workers. That result, however, is not compelled in every instance in which the vehicle's operator benefits from some immunity. We do not see a strong state policy in favor of renting cars to diplomats.

Moreover, a finding that the owner was not liable did not leave the injured party without the opportunity to seek full compensation, because General Municipal Law § 205-b holds the fire district liable for the negligence of its volunteer firefighters. Here, by contrast, the Russian mission's insurance, although greater than the state minimum, would likely not be enough to compensate the victim in full.

Ford would have us interpret section 388 to necessarily absolve the owner of liability whenever the driver cannot be held liable. The statute, however, is not written that way. It hinges the owner's liability not on the driver's liability but on the driver's negligence.

As a final argument, Ford maintains that 28 USC § 1364 bars this action. Congress enacted that statute to assure that deserving plaintiffs can look to financially responsible parties to answer for injuries negligently caused by diplomats.[3] Section 6 (b) of the Act requires members of the diplomatic mission to acquire liability insurance for risks "arising from the operation in the United States of any motor vehicle, vessel, or aircraft" (22 USC § 254e [b]), while section 7 authorizes an injured party to sue the diplomat's carrier directly in federal court (28 USC § 1364).

Ford argues that because plaintiff has this right, she is barred from suing the company in state court. We disagree. There is nothing in the federal statutes that can be read to prohibit this action. Allowing a federal suit against the driver's carrier does not foreclose a state court suit against another party—in this case, Ford.[4]

Accordingly, the order of the Appellate Division should be affirmed, with costs, and the certified question answered in the affirmative.

Chief Judge KAYE and Judges G.B. SMITH, CIPARICK, GRAFFEO, READ and R.S. SMITH concur.

Order affirmed, etc.

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3. *See Windsor v State Farm Ins. Co.* (509 F Supp 342, 343 [D DC 1981] ["The Diplomatic Relations Act (the Act) was designed, in part, to deal with the inequities associated with the immunity of members of diplomatic missions in civil court proceedings"]).

4. Plaintiff also argues that the diplomat's minimum statutory insurance coverage is far short of what it would take to compensate her for her injuries. Further, she asserts that although the lease between Ford and the Russian mission obligates the mission to indemnify Ford for any losses in excess of the federally mandated insurance, diplomatic immunity would extend to any counterclaim or indemnification agreement. Given the grounds for our decision, we need not address these arguments.

[830 NE2d 301, 797 NYS2d 403]

JO'ELL SHEPPARD-MOBLEY, by His Father and Natural Guardian, LEMUEL MOBLEY, et al., Respondents, v LESLIE KING, M.D., et al., Appellants.

Argued March 21, 2005; decided May 10, 2005

SUMMARY

APPEAL, by permission of the Appellate Division of the Supreme Court in the Second Judicial Department, from an order of that Court, entered June 7, 2004. The Appellate Division modified, on the law, an order of the Supreme Court, Kings County (Joseph S. Levine, J.), which had (1) granted those branches of the motion of defendants Leslie A. King and Obstetrical & Gynecological Services of Rockville Centre, and the oral application of defendant Ira J. Spector, pursuant to CPLR 3211 (a) (7) and 3212, to dismiss so much of the first and second causes of action as asserted a claim by the infant plaintiff to recover damages for medical malpractice, (2) granted those branches of the separate motions of defendants Leslie A. King and Obstetrical & Gynecological Services of Rockville Centre, and defendants Sheila Kumari-Subaiya and Promedica Imaging, P.C., and the oral application of defendant Ira J. Spector to dismiss the sixth cause of action asserted by plaintiff mother to recover damages for emotional distress and mental anguish, and (3) deleted the infant plaintiff from the caption of the case. The modification consisted of (1) deleting the provisions of Supreme Court's order granting those branches of the motion of defendants Leslie A. King and Obstetrical & Gynecological Services of Rockville Centre, and the oral application of defendant Ira J. Spector, pursuant to CPLR 3211 (a) (7) and 3212, to dismiss the first and second causes of action in their entirety and substituting therefor a provision granting those branches of the motion and oral application which were to dismiss so much of the first and second causes of action as asserted a claim by the infant plaintiff to recover damages for ''wrongful life'' and otherwise denying those branches of the motion and oral application, (2) deleting the provisions thereof granting those branches of the separate motions of defendants Leslie A. King and Obstetrical & Gynecological Services of Rockville Centre, and the defendants Sheila Kumari-Subaiya and Promedica Imaging, P.C., and the oral application of defendant Ira J. Spector, to dismiss the sixth cause of action in its entirety and substituting therefor a provision denying those branches of the

motions and oral application, and (3) restoring the infant plaintiff's name to the caption of the case. As so modified, the order was affirmed insofar as appealed from. The following question was certified by the Appellate Division: ''Was the opinion and order of this Court dated June 7, 2004, properly made?''

Sheppard-Mobley v King, 10 AD3d 70, modified.

HEADNOTES

Physicians and Surgeons — Malpractice — Emotional Distress Resulting from Birth of Impaired Child

1. In the absence of an independent injury, a mother may not recover damages for emotional harm where medical malpractice causes in utero injury to the fetus, subsequently born alive. The narrow holding in *Broadnax v Gonzalez* and *Fahey v Canino* (2 NY3d 148 [2004]), permitting a mother to recover for emotional injuries when medical malpractice caused a stillbirth or a miscarriage, even without a showing that she suffered an independent physical injury, was intended to permit a cause of action where otherwise none would be available to redress the wrongdoing that resulted in a miscarriage or stillbirth. It should not be extended to permit recovery of damages for emotional harm based on the birth of a live infant with physical injuries.

Physicians and Surgeons — Malpractice — Emotional Distress Resulting from Birth of Impaired Child — Independent Injury to Mother

2. A mother may recover damages for emotional harm where medical malpractice causes in utero injury to the fetus, subsequently born alive, where such damages were suffered as a result of an independent injury, caused by defendants' breach of their duties owed directly to her. Accordingly, plaintiff mother, who gave birth to a seriously impaired child after she had been given an abortive drug in an attempt to terminate the pregnancy because of the presence of fibroid tumors in her uterus, was permitted to amend her complaint to allege injury independent of the birth of the impaired child, where she claimed that she suffered emotional distress and mental anguish as a result of defendants' malpractice in erroneously advising her that she would be unable to carry a fetus to term and then advising her to undergo a chemical abortion.

Physicians and Surgeons — Malpractice — Prenatal Injuries — Improper Administration of Abortive Drug

3. A cause of action based on a claim of ''wrongful life'' could not be maintained on behalf of the infant plaintiff, who was born with serious impairments after his mother had been given an abortive drug in an attempt to terminate the pregnancy because of the presence of fibroid tumors in her uterus. However, causes of action for medical malpractice were stated by the infant plaintiff, who alleged that his injuries were caused by defendants' erroneous advice to his mother that she would not be able to carry the fetus to term and thereby wrongly advised her to undergo a chemical abortion.

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AM JUR 2d, Fright, Shock, and Mental Disturbance §§ 1, 11, 26–30, 43, 48; Am Jur 2d, Physicians, Surgeons, and Other Healers §§ 259, 342; Am Jur 2d, Prenatal Injuries; Wrongful Life, Birth, or Conception §§ 8–10, 15, 17, 97, 98.

NY Jur 2d, Fright, Shock, and Mental Disturbance §§ 1, 5, 6; NY Jur 2d, Malpractice §§ 247–249.

New York Pattern Jury Instructions—Civil, PJI 2:284, PJI 2:318.

Prosser and Keeton, Torts (5th ed) § 33.

ANNOTATION REFERENCE

Recovery for mental or emotional distress resulting from injury to, or death of, member of plaintiff's family arising from physician's or hospital's wrongful conduct. 77 ALR3d 447.

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POINTS OF COUNSEL

McAloon & Friedman, P.C., New York City (*Timothy J. O'Shaughnessy* and *Lawrence W. Mumm* of counsel), for Leslie A. King, M.D. and another, appellants. I. The Appellate Division erred in failing to dismiss the infant's claim in its entirety on the ground that it is a wrongful life claim. (*Hayes v Kearney,* 237 AD2d 769; *Miccarelli v Fleiss,* 219 AD2d 469; *Batson v La Guardia Hosp.,* 194 AD2d 705; *Heyward v Ellenville Community Hosp.,* 215 AD2d 967; *Bellen v Baghei-Rad,* 148 AD2d 827.) II. The Appellate Division should have dismissed the mother's claims for emotional distress in their entirety. (*Heyward v Ellenville Community Hosp.,* 215 AD2d 967.) III. The Appellate Division erred in holding that *Broadnax v Gonzalez* (2 NY3d 148 [2004]) requires that a mother may recover for her emotional distress upon the birth of her baby in an impaired state. (*Becker v Schwartz,* 46 NY2d 401; *Howard v Lecher,* 42 NY2d 109; *Vaccaro v Squibb Corp.,* 52 NY2d 809; *Tebbutt v Virostek,* 65 NY2d 931; *Lafferty v Manhasset Med. Ctr. Hosp.,* 54 NY2d 277; *Landon v New York Hosp.,* 101 AD2d 489, 65 NY2d 639; *Royal v Booth Mem. Med. Ctr.,* 270 AD2d 243; *Altman v Alpha Obstetrics & Gynecology,* 255 AD2d 276, 93 NY2d 801; *Bermeo v Atakent*, 241 AD2d 235.)

Marulli & Associates, P.C., New York City (*John Tomaszewski* and *Pamela M. Gleit* of counsel), for Ira J. Spector, M.D., appellant. I. The Appellate Division's reversal of the IAS court, insofar as it reinstated the sixth cause of action seeking damages on behalf of respondent Karen Sheppard for the emotional distress and mental anguish allegedly suffered as a result of the infant respondent's birth-related injury, was in error. (*Becker v Schwartz,* 46 NY2d 401; *Howard v Lecher,* 42 NY2d 109*; Broadnax v Gonzalez,* 2 NY3d 148; *Park v Chessin,* 46 NY2d 401; *Vaccaro v Squibb Corp.,* 52 NY2d 809; *Tebbutt v Virostek,* 65 NY2d 931.) II. The Appellate Division erred in affirming the IAS court's denial of summary judgment in favor of appellant Ira J. Spector, M.D. (*Alvarez v Prospect Hosp.,* 68 NY2d 320; *Kleinert v Begum,* 144 AD2d 645; *Yasin v Manhattan Eye, Ear & Throat Hosp.,* 254 AD2d 281; *Chulla v DiStefano,* 242 AD2d 657; *Markley v Albany Med. Ctr. Hosp.,* 163 AD2d 639; *Gedon v Bry-Lin Hosps.,* 286 AD2d 892; *Megally v LaPorta,* 253 AD2d 35; *Lipton v Kaye,* 214 AD2d 319; *Fridovich v David*, 188 AD2d 984; *Ferrara v South Shore Orthopedic Assoc.*, 178 AD2d 364.) III. The Appellate Division erred in reversing the IAS court and concluding that the first and second causes of action stated cognizable claims. (*Becker v Schwartz,* 46 NY2d 401; *Alquijay v St. Luke's-Roosevelt Hosp. Ctr.,* 63 NY2d 978; *Spano v Bertocci,* 299 AD2d 335.)

Aaronson Rappaport Feinstein & Deutsch, LLP, New York City (*Steven C. Mandell* of counsel), for Sheila Kumari-Subaiya, M.D. and another, appellants. I. A mother may not recover damages for emotional distress on the theory that her child was born impaired as a result of defendant's negligence. (*Landon v New York Hosp.,* 65 NY2d 639; *Vaccaro v Squibb Corp.,* 52 NY2d 809; *Becker v Schwartz,* 46 NY2d 401; *Howard v Lecher,* 42 NY2d 109; *Stewart v Long Is. Coll. Hosp.,* 30 NY2d 695; *Tobin v Grossman,* 24 NY2d 609; *DeCintio v Lawrence Hosp.,* 299 AD2d 165; *Burgess v Miller,* 124 AD2d 692; *Anderson v Wiener,* 100 AD2d 919; *Osborn v Andrus Pavilion of St. John's Riverside Hosp.,* 100 AD2d 840.) II. The parties by their stipulation may limit the issues to be litigated or otherwise make the law of the case. Here, plaintiffs' stipulation established that they did not possess a malpractice claim as to appellant Sheila Kumari-Subaiya, M.D., effectively ratifying the propriety of its dismissal by the Supreme Court. Therefore, the Appellate Division was required—but failed—to dismiss plaintiff Karen Sheppard's derivative sixth cause of action. (*Tebbutt v Virostek,* 65 NY2d 931; *Hallock v State of New York,* 64 NY2d 224; *Mitchell v New York Hosp.,* 61 NY2d 208; *Martin v City of Cohoes,* 37 NY2d 162;

Matter of Frutiger, 29 NY2d 143; *Stevenson v News Syndicate Co.,* 302 NY 81; *Matter of Malloy,* 278 NY 429; *Matter of New York, Lackawana & W. R.R. Co.,* 98 NY 447; *Dolitsky's Dry Cleaners v Y L Jericho Dry Cleaners,* 203 AD2d 322; *Nottenberg v Walber 985 Co.,* 160 AD2d 574.) III. On the testimony adduced, as a pure matter of logic, and upon plaintiffs' stipulation, Karen Sheppard's emotional distress claim should have been dismissed on proximate cause grounds. (*Dempsey v Methodist Hosp.,* 159 AD2d 541; *Mortensen v Memorial Hosp.,* 105 AD2d 151; *Monahan v Weichert,* 82 AD2d 102; *Kimball v Scors,* 59 AD2d 984; *Vaccaro v Squibb Corp.,* 52 NY2d 809; *Howard v Lecher,* 42 NY2d 109; *Becker v Schwartz,* 46 NY2d 401; *Stewart v Long Is. Coll. Hosp.,* 30 NY2d 695; *Koehler v Schwartz,* 48 NY2d 807.) IV. Beyond the foregoing, on the facts here, to rule otherwise would result in a threefold recovery of damages for emotional distress, once on behalf of the infant plaintiff for his own injuries and twice for the infant plaintiff's mother. (*Hill v St. Clare's Hosp.,* 67 NY2d 72; *Derby v Prewitt,* 12 NY2d 100; *Matter of Parchefsky v Kroll Bros.,* 267 NY 410; *Milks v McIver,* 264 NY 267; *Zarcone v Perry,* 78 AD2d 70; *Clark v Halstead,* 276 App Div 17.)

Davidson & Cohen, P.C., Rockville Centre (*Bruce E. Cohen* of counsel), for respondents. I. The surviving infant's claim for damages for medical malpractice sustained in utero was properly recognized by the Appellate Division and, to the extent that claims sounded in "wrongful life," same was previously conceded as inapplicable and dismissed by the Appellate Division. (*Becker v Schwartz,* 46 NY2d 401; *Alquijay v St. Luke's-Roosevelt Hosp. Ctr.,* 63 NY2d 978; *Solicitor for Affairs of His Majesty's Treasury v Bankers Trust Co.,* 304 NY 282; *Matter of McDonald,* 211 NY 272; *Gregoire v G.P. Putnam's Sons,* 298 NY 119; *Gordon v Eastern Ry. Supply,* 82 NY2d 555; *Lynch v Bay Ridge Obstetrical & Gynecological Assoc.,* 72 NY2d 632; *Derdiarian v Felix Contr. Corp.,* 51 NY2d 308; *Cohn v Lionel Corp.,* 21 NY2d 559; *McCaskey, Davies & Assoc. v New York City Health & Hosps. Corp.,* 59 NY2d 755.) II. The Appellate Division correctly permitted Karen Sheppard's claim for emotional distress. (*Johnson v State of New York,* 37 NY2d 378; *Broadnax v Gonzalez,* 2 NY3d 148; *Ferrara v Bernstein,* 81 NY2d 895; *Lynch v Bay Ridge Obstetrical & Gynecological Assoc.,* 72 NY2d 632; *Martinez v Long Is. Jewish Hillside Med. Ctr.,* 70 NY2d 697; *Endresz v Friedberg,* 24 NY2d 478; *Tebbutt v Virostek,* 65 NY2d 931; *Perry-Rogers v Obasaju,* 282 AD2d 231; *Kennedy v McKesson Co.,* 58 NY2d 500; *Howard v Lecher,* 42 NY2d 109.)

III. There can be no limitations placed upon the surviving infant's right of recovery for tortiously inflicted prenatal injuries. (*Woods v Lancet,* 303 NY 349; *Endresz v Friedberg,* 24 NY2d 478; *LaBello v Albany Med. Ctr. Hosp.*, 85 NY2d 701.) IV. Additional arguments advanced by appellant Ira J. Spector, M.D. are not subject of this appeal. (*Lee v City of New York,* 162 AD2d 34; *Markley v Albany Med. Ctr. Hosp.*, 163 AD2d 639; *Sawh v Schoen,* 215 AD2d 291; *Bienz v Central Suffolk Hosp.*, 163 AD2d 269; *Cogswell v Chapman,* 249 AD2d 865; *Gordon v Eastern Ry. Supply,* 82 NY2d 555; *Lynch v Bay Ridge Obstetrical & Gynecological Assoc.*, 72 NY2d 632; *Derdiarian v Felix Contr. Corp.,* 51 NY2d 308.) V. New and novel arguments of appellants Sheila Kumari-Subaiya, M.D. and Promedica Imaging, P.C., regarding the effect of the stipulation were not raised before the Appellate Division and are not preserved for review. (*Rohring v City of Niagara Falls,* 84 NY2d 60.)

Law Offices of Michael A. Haskel, Mineola (*Michael A. Haskel* of counsel), for University Associates in Obstetrics and Gynecology, P.C., amicus curiae. I. *Broadnax v Gonzalez* (2 NY3d 148 [2004]) should not be extended. (*Matter of Doyle v Amster,* 79 NY2d 592; *Matter of Dettmer,* 178 Misc 401, 266 App Div 877, 292 NY 688; *People v Bing,* 76 NY2d 331; *Payne v Tennessee*, 501 US 808; *Maxton Bldrs. v Lo Galbo,* 68 NY2d 373; *Vaccaro v Squibb Corp.,* 52 NY2d 809; *Pratt Inst. v City of New York,* 183 NY 151; *Matter of Weinbaum,* 51 Misc 2d 538; *Johnson, Drake & Piper v State of New York,* 24 AD2d 11; *Empire Sq. Realty Co. v Chase Natl. Bank of City of N.Y.,* 181 Misc 752, 267 App Div 817, 901.) II. Practical considerations militate against extending *Broadnax v Gonzalez* (2 NY3d 148 [2004]). (*Tebbutt v Virostek,* 65 NY2d 931; *People v Hobson,* 39 NY2d 479.) III. Public policy weighs heavily in favor of limiting *Broadnax v Gonzalez* (2 NY3d 148 [2004]).

Mauro Goldberg & Lilling LLP, Great Neck (*Kenneth Mauro* and *Richard J. Montes* of counsel), for New York and Presbyterian Hospital and others, amici curiae. I. The Appellate Division erred in interpreting this Court's decision in *Broadnax v Gonzalez* (2 NY3d 148 [2004]) to allow a mother to assert a cause of action for the alleged emotional distress she sustained by giving birth to a child born alive, but impaired by medical malpractice. (*Vaccaro v Squibb Corp.,* 52 NY2d 809; *Becker v Schwartz,* 46 NY2d 401; *Howard v Lecher,* 42 NY2d 109; *Tebbutt v Virostek,* 65 NY2d 931; *Martinez v Long Is. Jewish Hillside Med. Ctr.,* 70 NY2d 697; *Woods v Lancet,* 303 NY 349; *Miller v Rivard,* 180

AD2d 331; *Weintraub v Brown,* 98 AD2d 339; *Endresz v Friedberg,* 24 NY2d 478; *Desiderio v Ochs,* 100 NY2d 159.)

Shaub, Ahmuty, Citrin & Spratt, LLP, Lake Success (*Steven J. Ahmuty, Jr.* of counsel), and *Susan C. Waltman,* New York City, for Beth Israel Medical Center and others, amici curiae. The Appellate Division decision directly conflicts with, and constitutes an unwarranted major expansion of, the injury-specific rule set forth in *Broadnax v Gonzalez* (2 NY3d 148 [2004]). (*Landon v New York Hosp.,* 101 AD2d 489, 65 NY2d 639; *Vaccaro v Squibb Corp.,* 52 NY2d 809; *Becker v Schwartz,* 46 NY2d 401; *Howard v Lecher,* 42 NY2d 109; *Stewart v Long Is. Coll. Hosp.,* 30 NY2d 695; *Tobin v Grossman,* 24 NY2d 609; *Tebbutt v Virostek,* 65 NY2d 931; *Endresz v Friedberg,* 24 NY2d 478.)

Michael A. Cardozo, Corporation Counsel, New York City (*Fay Leoussis, Laurel Hoffman, Kristin M. Helmers* and *Alan G. Krams* of counsel), for New York City Health and Hospitals Corporation, amicus curiae. A mother does not have a separate cause of action for emotional distress arising out of injuries to her newborn child where the child has been born alive and can seek damages for any impairments caused by malpractice. (*Endresz v Friedberg,* 24 NY2d 478; *Broadnax v Gonzalez,* 2 NY3d 148; *Tebbutt v Virostek,* 65 NY2d 931.)

Bartlett, McDonough, Bastone & Monaghan, LLP, White Plains (*Edward J. Guardaro, Jr.* of counsel), for Combined Coordinating Counsel, Inc., amicus curiae. I. The Appellate Division's reinstatement of plaintiff's sixth cause of action was error. (*Broadnax v Gonzalez,* 2 NY3d 148; *Becker v Schwartz*, 46 NY2d 401; *Tebbutt v Virostek,* 65 NY2d 931; *Endresz v Friedberg,* 24 NY2d 478; *Howard v Lecher,* 42 NY2d 109; *Johnson v State of New York,* 37 NY2d 378; *Lauer v City of New York,* 258 AD2d 92; *Murphy v American Home Prods. Corp.,* 58 NY2d 293.) II. The policy considerations against a further expansion of the law are significant. (*Broadnax v Gonzalez,* 2 NY3d 148; *Tobin v Grossman,* 24 NY2d 609; *Ellis v Peter,* 211 AD2d 353, 86 NY2d 885; *O'Toole v Greenberg,* 64 NY2d 427; *Weintraub v Brown,* 98 AD2d 339; *Sorkin v Lee,* 78 AD2d 180; *Sala v Tomlinson,* 73 AD2d 724, 49 NY2d 701, 801; *Howard v Lecher,* 42 NY2d 109.) III. Plaintiff's claims are clearly for wrongful life. (*Becker v Schwartz,* 46 NY2d 401; *Park v Chessin,* 46 NY2d 401.)

Shoshana T. Bookson, New York City, *Val Washington, Clifford S. Nelson* and *Glenn von Nostitz* for New York State Trial

Lawyers Association, Inc., amicus curiae. I. A cause of action for emotional distress is proper on behalf of a woman who gives birth to a live child in a severely impaired state. (*Broadnax v Gonzalez,* 2 NY3d 148; *Tebbutt v Virostek,* 65 NY2d 931; *Woods v Lancet,* 303 NY 349; *Endresz v Friedberg,* 24 NY2d 478; *Johnson v State of New York,* 37 NY2d 378; *Ferrara v Bernstein,* 81 NY2d 895; *Lynch v Bay Ridge Obstetrical & Gynecological Assoc.,* 72 NY2d 632; *Vaccaro v Squibb Corp.,* 52 NY2d 809; *Martinez v Long Is. Jewish Hillside Med. Ctr.,* 70 NY2d 697; *Fahey v Canino,* 304 AD2d 1069.) II. The public policy arguments advanced by defendants are contradicted by the facts.

LeBoeuf, Lamb, Greene & MacRae, L.L.P., New York City (*Jay G. Safer* and *Brian K. Friedman* of counsel), for Medical Society of the State of New York and another, amici curiae. The Appellate Division misapplied the holding of *Broadnax v Gonzalez* (2 NY3d 148 [2004]) in its decision. (*Tebbutt v Virostek,* 65 NY2d 931; *Woods v Lancet,* 303 NY 349; *Bovsun v Sanperi,* 61 NY2d 219; *Trombetta v Conkling,* 82 NY2d 549; *Howard v Lecher,* 42 NY2d 109; *Becker v Schwartz,* 46 NY2d 401; *Vaccaro v Squibb Corp.,* 52 NY2d 809; *Tobin v Grossman,* 24 NY2d 609; *Pratt Inst. v City of New York,* 183 NY 151; *532 Madison Ave. Gourmet Foods v Finlandia Ctr.,* 96 NY2d 280.)

OPINION OF THE COURT

G.B. SMITH, J.

In *Broadnax v Gonzalez* and *Fahey v Canino* (2 NY3d 148 [2004]), this Court held that medical malpractice resulting in a miscarriage or stillbirth must be construed as a violation of the duty of care to the expectant mother, entitling her to damages for emotional distress. This case calls upon us to determine whether an expectant mother may recover damages for emotional harm where the alleged medical malpractice causes in utero injury to the fetus, subsequently born alive. We hold that, under *Broadnax/Fahey*, she may not.

In July 1999, plaintiff Karen Sheppard met with defendant Dr. Leslie A. King, of defendant Obstetrical & Gynecological Services of Rockville Centre (OGSRC), complaining of lower abdominal discomfort. After conducting various tests, Dr. King informed her both that she was pregnant and that she had large fibroids in her uterus. Dr. King told her that as a result of her fibroids, she was not likely to carry the fetus to term. Sheppard alleges that Dr. King advised her to terminate the pregnancy.

Dr. King subsequently referred Sheppard to Dr. Ira J. Spector for a second opinion concerning the performance of a surgical abortion. She asserts that Dr. Spector informed her that as a result of the fibroids, her pregnancy would not last beyond the fifth month, and that if the fibroids did not abort the pregnancy, "the baby would be terrible." However, Dr. Spector advised her that, given her condition, a surgical abortion would be difficult and dangerous. Thus, Dr. Spector suggested that a nonsurgical abortion be accomplished with the drug methotrexate, which breaks down fetal tissue.

In August 1999, while Sheppard was in her seventh week of pregnancy, Dr. King administered the methotrexate. According to Dr. King, he acted in consultation with Dr. Spector, who allegedly advised that the drug be administered in two separate 50-milligram doses, the second dose to be administered one week after the first. Upon administering the second dose, Dr. King allegedly advised Sheppard that she could detect no fetal heartbeat. Shortly thereafter, Sheppard met with defendant Dr. Sheila Kumari-Subaiya, a radiologist and owner of defendant Promedica Imaging, P.C., because although Sheppard believed the pregnancy to be terminated, she was concerned about the absence of fetal discharge. Dr. Kumari-Subaiya performed a sonogram and advised Sheppard that there was no fetal heartbeat.

Sheppard asserts that over the next few months, she experienced abdominal and pelvic discomfort and was concerned about the possibility of ovarian, cervical or uterine cancer. She consulted with a different radiology group, and after a sonogram was performed, learned that the abortion procedure had failed and that she was in her 28th week of pregnancy. Sheppard alleges that Dr. King had given her too small a dose of methotrexate to accomplish the abortion.

When Drs. King and Spector learned that Sheppard was still pregnant and that the fetus was at risk of birth defects due to exposure to methotrexate, they discussed with her the possibility of an out-of-state late-term abortion. Sheppard ultimately rejected that option and decided to carry the child to term. On March 3, 2000, infant plaintiff Jo'Ell Sheppard-Mobley was born, suffering from fetal methotrexate syndrome, manifested through serious congenital impairments. This action was commenced in Supreme Court on behalf of Sheppard, the infant and the infant's father, Lemuel Mobley, alleging malpractice by Drs. King, Spector and Kumari-Subaiya, as well as OGSRC and Promedica. In seven causes of action, the complaint alleges that infant plaintiff suffered severe physical injuries caused by defendants' failure to properly diagnose, care for and treat Sheppard during the course of her pregnancy. The complaint seeks to recover damages on behalf of the infant for his physical injuries and for the parents' loss of the child's services and medical expenses. On behalf of Sheppard, the complaint alleges physical and emotional injuries caused by defendants' alleged medical malpractice. Finally, as against Dr. King, OGSRC and Dr. Spector, the complaint alleges lack of informed consent in their treatment of Sheppard.

Defendants made motions for summary judgment dismissing various causes of action, the most pertinent of which was their motion to dismiss the sixth cause of action seeking damages for Sheppard's emotional distress. While the trial court granted defendants' motion, the Appellate Division overturned that decision. Noting that during the pendency of the appeal, this Court decided *Broadnax/Fahey* and thereby implicitly overruled *Tebbutt v Virostek* (65 NY2d 931 [1985]), the Appellate Division concluded that even in the absence of physical injuries, Sheppard could recover damages for emotional distress caused by a violation of the duty of care owed to her while she was being treated during her pregnancy. The Court concluded that while *Broadnax/Fahey* involved the stillbirth or miscarriage due to alleged malpractice, this Court's analysis was also applicable to cases involving the live birth of a severely impaired child. Thus, the Court reinstated this cause of action, and granted defendants leave to appeal to this Court. We now modify the order of the Appellate Division by dismissing the sixth cause of action with leave to plaintiffs to replead that claim, and otherwise affirm.

Our decision in *Broadnax/Fahey* was intended to fill a gap created by our previous decision in *Tebbutt* which concerned the medical malpractice performed upon the body of an expectant mother resulting in a miscarriage or stillbirth. Our jurisprudence has long permitted infants who suffer a legally cognizable injury in the womb and survive the pregnancy to seek damages for their injuries (*see Woods v Lancet*, 303 NY 349 [1951]). We also have long permitted a pregnant mother who suffered an independent injury as a result of malpractice to bring suit for her own personal injuries (*see Ferrara v Bernstein*, 81 NY2d 895 [1993]; *Martinez v Long Is. Jewish Hillside Med. Ctr.*, 70 NY2d 697 [1987]). However, where medical malpractice caused a miscarriage or stillbirth, no claim for wrongful death existed on behalf of the child (*see Endresz v Friedberg*, 24 NY2d 478 [1969]). As we held in *Tebbutt*, the expectant mother could not bring a cause of action for negligently causing a miscarriage or stillbirth (65 NY2d 931 [1985]).

As we recognized in *Broadnax/Fahey*, our tort jurisprudence in this area created a ''peculiar result'' in that ''it exposed medical caregivers to malpractice liability for in utero injuries when the fetus survived, but immunized them against any liability when their malpractice caused a miscarriage or stillbirth'' (2 NY3d at 154). Moreover, we recognized the injustice created by ''categorically denying recovery to a narrow, but indisputably aggrieved, class of plaintiffs'' (*id.*). It was this particular injustice that we sought to rectify when we held that a mother could recover for emotional injuries when medical malpractice caused a stillbirth or a miscarriage, even without a showing that she suffered an independent physical injury. In other words, our holding in *Broadnax/Fahey* is a narrow one, intended to permit a cause of action where otherwise none would be available to redress the wrongdoing that resulted in a miscarriage or stillbirth.

[1] In the case now before us, the Appellate Division improperly extended our decision in *Broadnax/Fahey* by reinstating Sheppard's sixth cause of action seeking damages for emotional harm based on the birth of a live infant with physical injuries. The rule pronounced in *Broadnax/Fahey* does not apply here, where infant plaintiff was injured in utero, but carried to term and born alive. After all, as we stated in *Woods v Lancet*, a child born alive may bring a medical malpractice action for physical injuries inflicted in the womb (303 NY 349 [1951]).

[2] However, as defendants conceded during oral argument, Sheppard's sixth cause of action can proceed to the extent that she seeks damages for emotional harm that she suffered as a result of an independent injury (*see Ferrara*, 81 NY2d at 898 [plaintiff permitted to recover emotional damages caused by negligent abortion services and the defendant's failure to inform her of the incomplete abortion and the need to promptly return to the medical facility]; *Martinez*, 70 NY2d at 699 [plaintiff entitled to recover damages for mental anguish suffered as a result of the defendant's breach of duty to her in negligently advising her that her child would be born with severe congenital defects, thus convincing her to obtain an unnecessary abortion, contrary to her strongly held beliefs]).

[2, 3] Sheppard now alleges that as a result of defendants' breach of their duties owed directly to her, she suffered mental anguish resulting from an independent injury. Specifically, Sheppard claimed that she was advised that due to fibroids, she would not be able to carry her child to term. Relying on defendants' advice, she underwent a chemical abortion. She was subsequently informed that the procedure was a success when, in fact, it had failed. Upon learning that she was carrying a compromised fetus, she had to decide whether to seek an out-of-state late-term abortion or give birth to a child likely to have congenital defects due to exposure to methotrexate. Such allegations may support a finding of injury independent of the birth of an impaired child. Because the complaint does not set forth these independent allegations, however, we dismiss the sixth cause of action and remit for Sheppard to amend her complaint to plead such injury. Finally, we conclude that the Appellate Division properly reinstated the first two causes of action against Drs. King and Spector brought on behalf of infant plaintiff. To be sure, a cause of action may not be maintained on behalf of an infant plaintiff based on a claim of ''wrongful life'' or the assertion that but for the negligence of the healthcare provider, the parent would have aborted the fetus rather than giving birth to a child with abnormalities (*see Alquijay v St. Luke's-Roosevelt Hosp. Ctr.*, 63 NY2d 978 [1984]; *Becker v Schwartz*, 46 NY2d 401 [1978]). However, as the Appellate Division properly concluded, the first two causes of action are not limited to wrongful life claims. Thus, infant plaintiff does not claim that defendant doctors negligently failed to administer the proper dosage of methotrexate in order to abort the pregnancy. Rather, he has alleged that his injuries were caused by defendants' erroneous advice to Sheppard that she would not be able to carry the fetus to term and thereby wrongly advised her to undergo the chemical abortion. Infant plaintiff claims that had defendants not been negligent in this regard, Sheppard would not have undergone methotrexate treatments and she would have given birth to a healthy child. These claims are sufficient to overcome defendants' motion to dismiss (*see Woods*, 303 NY at 356-357).

Accordingly, the order of the Appellate Division should be modified, without costs, and the case remitted to Supreme Court for further proceedings in accordance with this opinion and, as so modified, affirmed. The certified question should be answered in the negative.

Chief Judge KAYE and Judges CIPARICK, ROSENBLATT, GRAFFEO, READ and R.S. SMITH concur.

Order modified, etc.

[830 NE2d 1130, 797 NYS2d 802]

THE PEOPLE OF THE STATE OF NEW YORK, Appellant, v ANDREW H. VAN BUREN, Respondent.

THE PEOPLE OF THE STATE OF NEW YORK, Appellant, v MARY B. JEANNITON, Respondent.

Argued March 22, 2005; decided May 10, 2005

SUMMARY

APPEAL, in the two above-entitled actions, by permission of an Associate Judge of the Court of Appeals, from an order of the Delaware County Court (Carl F. Becker, J.), entered March 31, 2004. The County Court affirmed an order of the Justice Court of the Town of Hamden, Delaware County, which had dismissed the simplified traffic informations charging defendants with speeding.

HEADNOTE

Motor Vehicles — Traffic Infractions — Authority of New York City Department of Environmental Protection Water Supply Police to Enforce Traffic Laws

New York City Department of Environmental Protection (DEP) Water Supply police officers who were on patrol in the New York City watershed were authorized as police officers under CPL 140.10 to issue speeding tickets to defendants. Police power has been expressly delegated to the DEP officers by the Criminal Procedure Law (*see* CPL 1.20 [34] [o]), and the DEP Commissioner is statutorily empowered to protect New York City's potable water supply throughout the region of the watershed. Although the issuance of speeding tickets is not a core function of the DEP force, the officers here, as police officers with full authority to protect the public within the city watershed, did not act in excess of their jurisdiction. Nor are the DEP officers prohibited from patrolling the watershed by the municipal home rule provisions in the State Constitution. The protection of the public water supply is integral to the public health and welfare and, consequently, a matter of sufficient concern to the State to exclude it from the strictures of those provisions.

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By the Publisher's Editorial Staff

AM JUR 2d, Automobiles and Highway Traffic §§ 295, 1048; AM JUR 2d, Sheriffs, Police, and Constables § 1.

MCKINNEY'S, CPL 1.20 (34) (o); 140.10.

NY JUR 2d, Automobiles and Other Vehicles §§ 6, 720; NY JUR 2d, Criminal Law § 6.

ANNOTATION REFERENCE

See ALR Index under Environmental Law; Police and Law Enforcement Officers; Speed and Speeding.

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POINTS OF COUNSEL

Richard D. Northrup, Jr., District Attorney, Delhi (*John Hubbard* of counsel), for appellant. I. Criminal Procedure Law § 1.20 (34) (o) controls over the 1906 Water Supply Act relied on by County Court in outlining the powers of the Water Supply Police. (*Sega v State of New York,* 60 NY2d 183; *People ex rel. Thorpe v Clark,* 62 AD2d 216; *Matter of State of New York v Ford Motor Co.,* 74 NY2d 495; *Patrolmen's Benevolent Assn. of City of N.Y. v City of New York,* 41 NY2d 205.) II. The designation of Water Supply Police as police officers under Criminal Procedure Law § 1.20 (34) (o) does not violate home rule provisions of the New York State Constitution. (*Wambat Realty Corp. v State of New York,* 41 NY2d 490; *Matter of Town of Islip v Cuomo,* 64 NY2d 50; *Matter of Board of Educ. of City School Dist. of City of N.Y. v City of New York,* 41 NY2d 535; *Matter of City of Utica v Water Pollution Control Bd.,* 5 NY2d 164; *Matter of Board of Supervisors of Ontario County v Water Power & Control Commn.,* 255 NY 531.) III. Under Criminal Procedure Law § 1.20 (34) (o), the geographic area of Department of Environmental Protection Water Supply Police authority encompasses the entire watershed. (*City of New York v Village of Tannersville,* 263 AD2d 877; *City of New York v Mancini-Ciolo, Inc.,* 188 AD2d 633.) IV. As "police officers" designated by Criminal Procedure Law § 1.20 (34) (o), the Department of Environmental Protection Water Supply Police are authorized to issue simplified traffic informations throughout the watershed.

Andrew H. Van Buren, Hobart, respondent pro se. I. The geographical area of employment of the Department of Environmental Protection does not include Hamden, New York. (*People v Graham,* 192 Misc 2d 528, 1 AD3d 1066, 2 NY3d 762; *People v Wolf,* 166 Misc 2d 372; *People v Edmonds,* 157 Misc 2d 966; *People v Firth,* 3 NY2d 472; *People v Byron,* 17 NY2d 64.) II. Department of Environmental Protection (DEP) officers lack authority to act outside of New York City's municipal boundaries, its reservoirs, or its surrounding property, which amount to the water "sources" the DEP is charged with protecting. (*People v Woodford,* 85 Misc 2d 213; *People v Hartman,* 114 Misc 2d 138.) III. The language contained in Criminal Procedure Law § 1.20 (34) (o) limits Department of Environmental Protection officers to law enforcement duties which accomplish the stated purpose of protecting New York City's water supply. (*People v Hartman,* 114 Misc 2d 138; *People v Lanzot,* 67 AD2d 864, 49 NY2d 796.) IV. Absent clear legislative authority, the Department of Environmental Protection lacks jurisdiction to act outside New York City's municipal boundaries.

Terence P. O'Leary, Walton, for Mary B. Jeanniton, respondent. I. Both the Eminent Domain Law of 1905 and the 1906 law which created and authorized the City of New York's police force defined specific geographic areas, and the areas addressed in the law of 1906 were necessarily contained within the areas taken by the 1905 Eminent Domain Law. (*City of New York v Town of Colchester,* 66 Misc 2d 83; *Matter of Long Beach Land Co.,* 182 NY 489.) II. The law of 1906 that legislatively created the City of New York's police force only authorized the performance of special duties which were expressly, clearly and unequivocally limited in scope, purpose and kind to activities involving the transient laborers at water supply construction sites within the reservoir lands. (*Nebbia v People of N.Y.,* 291 US 502; *People v Hogencamp,* 295 AD2d 808.) III. The law of 1983 that wrapped up the Legislature's 1980 strengthening of law enforcement across New York State contained a brief and piecemeal amendment which quoted words and phrases from the 1905 and 1906 laws, as codified for decades before 1983 into the Administrative Code of the City of New York, merely to clarify the police officer status of the water supply officers forgotten in 1980, and it was enacted without any indication the 1983 Legislature intended to either change the special duties of the Water Supply Police or their area of employment. IV. The ''human resources'' in the watershed possess, inter alia, the eyes and ears of eternal vigilance and want to go sailing in the reservoir lands pursuant to the rights secured a century ago but unreasonably curtailed by the City of New York.

Michael A. Cardozo, Corporation Counsel, Kingston (*Leonard Koerner, Hilary Meltzer* and *Linda A. Geary* of counsel), for City of New York, amicus curiae. I. The County Court ignored the plain language, obvious intent and legislative history of the 1983 Criminal Procedure Law amendment and therefore violated long established rules of statutory interpretation. (*New Amsterdam Cas. Co. v Stecker,* 3 NY2d 1; *Matter of Thomas v Bethlehem Steel Corp.,* 95 AD2d 118, 63 NY2d 150; *People v Collins,* 38 Misc 2d 952; *Matter of Grand Jury Subpoena Duces Tecum [Museum of Modern Art],* 253 AD2d 211.) II. The County

Court erred because it ignored several other basic principles of statutory construction which, if applied properly, would render the 1906 statute inapplicable to the New York City Department of Environmental Conservation Water Supply Police. (*Iazzetti v City of New York,* 94 NY2d 183; *Matter of Independence Party State Comm. v New York State Bd. of Elections,* 297 AD2d 459; *Davis v Supreme Lodge, Knights of Honor,* 165 NY 159; *People v Newman,* 32 NY2d 379, 414 US 1163; *Matter of New York State Cable Tel. Assn. v Public Serv. Commn. of State of N.Y.,* 87 AD2d 288; *Matter of Grand Jury Subpoena Duces Tecum [Museum of Modern Art],* 253 AD2d 211; *People ex rel. Thorpe v Clark,* 62 AD2d 216; *People v Lanzot,* 67 AD2d 864; *Pardi v Barone,* 257 AD2d 42; *Matter of American Motors Sales Corp. v Brown,* 152 AD2d 343.) III. The 1983 amendment to the Criminal Procedure Law did not violate the home rule powers of upstate local governments because the amendment addresses matters of state concern. (*Wambat Realty Corp. v State of New York,* 41 NY2d 490; *Matter of Kelley v McGee,* 57 NY2d 522; *Matter of Board of Educ. of City School Dist. of City of N.Y. v City of New York,* 41 NY2d 535; *Adler v Deegan,* 251 NY 467; *Matter of Town of Islip v Cuomo,* 64 NY2d 50; *Matter of City of Utica v Water Pollution Control Bd.,* 5 NY2d 164; *Matter of Board of Supervisors of Ontario County v Water Power & Control Commn.,* 255 NY 531; *Robertson v Zimmermann,* 268 NY 52; *Lawrence Constr. Corp. v State of New York,* 293 NY 634; *Matter of Stein,* 131 AD2d 68.)

Eliot Spitzer, Attorney General, Albany (*Caitlin J. Halligan, Daniel Smirlock, Peter H. Lehner, Denise A. Hartman* and *James Tierney* of counsel), for State of New York, amicus curiae. I. The Department of Environmental Protection's Water Supply Police have the authority to act as police officers under the Criminal Procedure Law within the entire New York City watershed area. II. The State of New York's designation of New York Water Supply Police as ''police officers'' does not violate the home rule provisions of the New York Constitution. (*Matter of Town of Islip v Cuomo,* 64 NY2d 50; *Wambat Realty Corp. v State of New York,* 41 NY2d 490; *Robertson v Zimmermann,* 268 NY 52; *Matter of Board of Supervisors of Ontario County v Water Power & Control Commn.,* 227 App Div 345, 255 NY 531.)

Young Sommer Ward Ritzenberg Baker & Moore, LLC, Albany (*Jeffrey S. Baker* of counsel), for Coalition of Watershed Towns, amicus curiae. I. The Coalition of Watershed Towns has an interest in having this issue resolved. II. Department of Environmental Conservation police jurisdiction should be limited to the reservoirs and New York City-owned property. (*Matter of City of Schenectady v Flacke,* 100 AD2d 349, 63 NY2d 603.) III. Affirmance of the lower court will permit a legislative resolution of the dispute.

OPINION OF THE COURT

GRAFFEO, J.

We are asked in this case whether the New York City Department of Environmental Protection (DEP) Water Supply Police are authorized to enforce traffic laws within the city watershed. Based on the statutes underlying their authority as police officers, we reverse the dismissal of the simplified traffic informations at issue.

I.

By the end of the 19th century, the State Legislature and the City of New York recognized the need to insure an adequate and safe supply of water for an ever-growing city population. In furtherance of this purpose, in 1905 the City was granted eminent domain powers over areas outside the City in order to create new reservoirs and build water supply facilities (*see* L 1905, ch 724). Due to the magnitude of construction contemplated and the large labor force needed to work on the project, the Legislature mandated that the New York City Board of Water Supply:

> ''provide proper police protection to the inhabitants of the localities in which any work may be constructed under the authority of this act and during the period of construction, against the acts or omissions of persons employed on such works or found in the neighborhood thereof; and to that end the said board is hereby authorized and required to appoint a sufficient number of persons to adequately police the said localities for the said periods'' (L 1906, ch 314, § 6).

The members of this policing force were issued certificates of appointment that were provided to the sheriffs of the counties where the officers operated (*id.*).[1]

Once the water facilities were substantially completed and the work camps closed, the need for watershed police, as

1. Using substantially the same language, the 1906 Act was codified in the New York City Code (*see* Administrative Code of City of NY § 24-355).

contemplated by the 1906 Act, subsided. Instead, the focus of their responsibilities switched to protecting the reservoirs and watershed lands from pollution, and to providing security for the new facilities. The Legislature eventually decided that permanent protection of the City's infrastructure was necessary, but that the cost of such protection would be borne by the City. In 1937, the Legislature imposed upon the Commissioner of the DEP ''the duty . . . to preserve the purity of all waters from which any part of the city water supply is drawn, and to protect such supply and the lands adjacent thereto from injury or nuisance . . . [and] preserve . . . all other property connected with the water supply'' (L 1937, ch 929, § 1, enacting Administrative Code § 734[1]-1.0).

Despite the fact that for many years the Legislature had recognized the authority of the City to maintain a water supply protection force (*see* L 1983, ch 969; Mem of Assembly in Support, Bill Jacket, L 1983, ch 969; Budget Report on Bills, Bill Jacket, L 1983, ch 969; Sponsor's Mem, Bill Jacket, L 1983, ch 969), the members of that force were not expressly designated ''police officers'' as defined in the Criminal Procedure Law. But in 1983 the Legislature conferred police officer status on DEP officers by including them in CPL 1.20 (34), the statute that lists the groups of persons that constitute police officers in New York (*see* L 1983, ch 969, § 7). This provision vested DEP police with jurisdiction over areas outside of the City in order ''to protect the sources, works, and transmission of water supplied to the city of New York, and to protect persons on or in the vicinity of such water sources'' (CPL former 1.20 [34] [o]). The DEP police were thus charged with ''enhancing the enforcement and prosecution of violators of the laws which protect the City's water supply'' (Mem of Mayor of City of NY, Bill Jacket, L 1983, ch 969).[2]

According to the City, the DEP Commissioner currently employs a departmental force of approximately 170 officers who are engaged in law enforcement activities. Over nine million people in New York City and surrounding communities rely on the New York City watershed system as their primary source of potable water. As the largest surface water supply in the United States, the City's three watershed resources—the Croton, Dela-

2. A subsequent amendment expanded the jurisdiction of the DEP police to encompass areas within New York City and to the protection of individuals ''in the vicinity of'' the City's water sources and facilities (CPL 1.20 [34] [o]; *see* L 2000, ch 599).

ware and Catskill watersheds—span an area of almost 2,000 square miles in eight upstate New York counties. The watershed includes 19 reservoirs and three controlled lakes, in addition to an extensive aqueduct system, and water control and treatment facilities.[3]

II.

In January 2003, DEP police officers issued speeding tickets to defendants Mary Jeanniton and Andrew Van Buren, returnable in Hamden Town Court in Delaware County. Defendants separately moved to dismiss their respective uniform traffic informations on several grounds. They argued that the alleged speeding infractions occurred outside the geographical jurisdiction of the DEP police, which defendants maintained was limited to city-owned property within the watershed. Defendants also contended that DEP had failed to comply with the requirements of its 1906 enabling legislation and that enforcement of the Vehicle and Traffic Law was inconsistent with the mission of the DEP—to protect New York City's water supply. Finally, they claimed that the municipal home rule provisions of the New York Constitution prohibited such DEP law enforcement action without the consent of local government.

The Town of Hamden Justice Court dismissed both tickets and Delaware County Court affirmed. County Court reasoned that the 1906 legislation and related departmental regulations authorized DEP police functions only during the construction of water supply facilities, which concededly was not occurring at the time the tickets were issued. The court also concluded that DEP had violated the state constitutional provision regarding municipal home rule by engaging in law enforcement activities absent the consent of the Town of Hamden. A Judge of this Court granted leave to appeal and we now reverse.

III.

As relevant here, a police officer is generally authorized to arrest an individual for a petty offense, which includes a traffic violation (*see* Vehicle and Traffic Law § 155), when: (1) there is "reasonable cause to believe that such person has committed

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3. For the history of the development of the New York City water supply, see Miele, *An Enormous Amount of Work to be Done: Protecting the New York City Watershed*, 12 Fordham Envtl LJ 467 (2001) and Finnegan, *New York City's Watershed Agreement: A Lesson in Sharing Responsibility*, 14 Pace Envtl L Rev 577 (Summer 1997).

such offense in [the officer's] presence'' (CPL 140.10 [1] [a]); (2) ''[s]uch offense was committed or believed by [the officer] to have been committed within the geographical area of such officer's employment or within one hundred yards of such geographical area'' (CPL 140.10 [2] [a]); and (3) ''[s]uch arrest is made in the county which such offense was committed or believed to have been committed or in an adjoining county'' (CPL 140.10 [2] [b]).

It is undisputed in this case that the DEP police officers had reasonable cause to believe that defendants violated the Vehicle and Traffic Law by speeding and that they were apprehended in the county where the alleged infractions occurred. It is also clear that the DEP officers were on patrol in their geographical jurisdiction, which encompasses all of the land within the ''watershed'' (Rules of City of NY Dept of Envtl Protection [15 RCNY] § 18-16 [a] [114]) as demarcated on the relevant official maps (*see* Rules of City of NY Dept of Envtl Protection [15 RCNY] Appendix A, maps 18-A.1[a], 18-A.1[b]). This watershed area includes most of the Town of Hamden (*see* map 18-A.1[b]) and defendants concede that the alleged traffic infractions occurred within the boundaries of the watershed. The DEP officers were therefore authorized as police officers under CPL 140.10 to stop defendants for speeding infractions.

Defendants' claim that DEP police should be restricted to law enforcement activities related specifically to the protection of water facilities or a direct water source (a lake or reservoir, for example) is inconsistent with the express delegation of police power to this force under the Criminal Procedure Law (*see* CPL 1.20 [34] [o]). Aside from the relevant provisions of the Criminal Procedure Law, the DEP Commissioner is statutorily empowered to protect New York City's potable water supply throughout the region of the watershed (*see* Public Health Law § 1100 *et seq*.), an authority that is similarly reflected in state regulations (*see* 10 NYCRR 128-1.1), the New York City Charter (*see* NY City Charter § 1403), the New York City Administrative Code (*see* Administrative Code of City of NY § 24-302) and the Rules of the City of New York (*see* Rules of City of NY Dept of Envtl Protection [15 RCNY] § 18-11 [a]).

Protection of that water supply cannot be accomplished by guarding lakes and reservoirs alone since watershed lands are ''water sources'' (CPL 1.20 [34] [o]) that the DEP police are required to protect (*see e.g.* Rules of City of NY Dept of Envtl Protection [15 RCNY] § 18-16 [a] [30]). A DEP officer who observes a motorist traveling at high speed in excess of posted limits could be justifiably concerned that the driver poses a danger to the watershed because of the increased probability of an accident that could cause a ''[p]etroleum product'' (§ 18-16 [a] [78]) or other pollutants to be discharged onto watershed lands, which would seep into groundwater or flow toward a water supply site. And, aside from protecting the watershed itself, the Legislature has authorized the DEP police ''to protect persons'' who are within or in the vicinity of the watershed (CPL 1.20 [34] [o]). This authority includes enforcing the Vehicle and Traffic Law, violations of which necessarily create a danger to the driver of an automobile, passengers and other members of the public.

Despite the broad police powers vested in the DEP force, the DEP properly recognizes that its mission does not necessarily demand that it be in the business of setting ''speed traps'' merely for the sake of enforcing the Vehicle and Traffic Law—a function better left to local law enforcement agencies. The enormous expanse of the region that DEP police must patrol, the breadth of their responsibilities associated with guarding the watershed resources and transmission facilities, and the fact that they are funded by New York City, all indicate the need for administrative oversight regarding the efficient and appropriate deployment of DEP resources. As one DEP administrator has noted:

> ''The primary mission of this Department is to safeguard the drinking water of the City of New York. Enforcement efforts are focused to protect the sources, works and transmissions of the New York City Water Supply System.
>
> ''As law enforcement professionals, threats to the environment, threats to NYC property and threats to security of facilities, works and transmissions is our primary focus. Officers will focus on enforcement efforts directly related to our mission. The enforcement of vehicle and traffic law violations, except in extenuating circumstances, undermines our ability to meet our Department mission.''[4]

Although the issuance of speeding tickets is not a core function

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4. *See also* Miele, *An Enormous Amount of Work to be Done: Protecting the New York City Watershed*, 12 Fordham Envtl LJ at 485 (quoting DEP Commissioner, responding to a question about DEP police conducting traffic stops,

(n. cont'd)

of the DEP force, as police officers with full authority to protect the public within the city watershed, it cannot be said that the officers in this case acted in excess of their jurisdiction.[5] We therefore conclude that the simplified traffic informations should not have been dismissed.

We also reject defendants' argument that DEP police are prohibited from patrolling the watershed by the municipal home rule provisions in the State Constitution. The right of a ''local government[ ]'' to administer its own affairs and enact ''local legislation'' affecting its ''property, affairs or government'' is enshrined in article IX of the State Constitution (NY Const, art IX, § 2 [b] [1], [2]). Section 3 of article IX provides, however, that ''nothing in this article shall restrict or impair any power of the legislature in relation to . . . [m]atters other than the property, affairs or government of a local government'' (art IX, § 3 [a] [3]). In the precarious balance between state and local powers, one definitive principle has emerged: ''that a proper concern of the State may also touch upon local concerns does not mean that the State may not freely legislate with respect to such concerns'' (*Wambat Realty Corp. v State of New York*, 41 NY2d 490, 494 [1977]). Hence, we have recognized that the protection of the public water supply is integral to the public health and welfare and, consequently, a matter of sufficient concern to the State to exclude it from the strictures of the municipal home rule provisions of the State Constitution (*see Matter of Town of Islip v Cuomo*, 64 NY2d 50, 57 [1984]; *Matter of City of Utica v Water Pollution Control Bd.*, 5 NY2d 164, 168 [1959]; *see also Matter of Board of Supervisors of Ontario County v Water Power & Control Commn.*, 255 NY 531 [1930], *affg* 227 App Div 345 [3d Dept 1929]). The same holds true for the vital watersheds that supply water to New York City.

Accordingly, in each case, the order of County Court should be reversed and the simplified traffic information reinstated.

Chief Judge KAYE (dissenting). I agree with the majority that

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as stating ''when they step out of the environmental end, it is because they see a danger. Now, if they see someone drunk driving . . . we are not going to ignore it. We are not going to go out of our way to go after it, but that is how our police get involved in less than environmental issues'').

5. Nor do we agree with the courts below that the DEP police are limited to actions covered by chapter 314 of the Laws of 1906. Subsequent legislative enactments have expanded the jurisdiction of the DEP force beyond providing protection only during the construction of water facilities (*see* CPL 1.20 [34] [o]; Mem of Mayor of City of NY, Bill Jacket, L 2000, ch 599; L 1983, ch 969, § 7; L 1937, ch 929, § 1, enacting Administrative Code § 734[1]-1.0).

the geographical jurisdiction of Department of Environmental Protection (DEP) officers encompasses all of the land within the watershed (Rules of City of NY Dept of Envtl Protection [15 RCNY] § 18-16 [a] [114]) as set forth on the relevant official maps (*see* Rules of City of NY Dept of Envtl Protection [15 RCNY] Appendix A, maps 18-A.1[a], 18-A.1[b]). I cannot agree, however, that, under CPL 1.20 (34) (o), the New York City Department of Environmental Protection police had authority to hunt out speeders and issue traffic tickets. CPL 1.20 (34) (o) vests the DEP police with jurisdiction over land within the watershed only when acting ''to protect the sources, works, and transmission of water supplied to the city of New York, and to protect persons on or in the vicinity of such water sources.'' The DEP police are trusted with ''enhancing the enforcement and prosecution of violators of the laws which protect the City's water supply'' (Statement of Mayor of City of NY in Support, Bill Jacket, L 1983, ch 969, at 34).

Subsection (o) is specific and discrete. It does not vest DEP officers with authority to apprehend speeders, unless such enforcement is related to protecting the watershed or the City's facilities, or an individual near a water source or facility. The People make no such showing here.

R.S. SMITH, J. (dissenting). I dissent because I accept defendants' argument, rejected by the majority in its footnote 5 (at 649), that the only statutory authorization for the police force now called the ''DEP police'' is contained in a 1906 enactment that became obsolete long ago.

The 1906 statute, now codified as New York City Administrative Code § 24-355, provides in relevant part:

> ''It shall be the duty of the board of water supply of the city of New York, to provide proper police protection to the inhabitants of the localities in which any work may be constructed under the authority of this act [L 1905, ch 724] and *during the period of construction*, against the acts or omissions of persons employed on such works or found in the neighborhood thereof; and to that end the said board is hereby authorized and required to appoint a sufficient number of persons to adequately police the said localities *for the said periods. . . . The said board shall give to each person so appointed a certificate of appointment and certified copies thereof, one*

> *of which shall be filed in the office of the sheriff of each county in which any work shall be in process of construction under this act and in which said person shall be authorized to perform his duties*. Each of said persons so appointed shall be and have all the powers of a peace officer in the county where any work is being constructed under the authority of this act . . . . The sheriff of a county wherein a certificate of appointment of any such person as a peace officer is filed may cancel such certificate for cause, and shall immediately give notice in writing of such cancellation to the board of water supply of the city of New York, specifying the cause of such revocation. . . . On such cancellation the authority of such person as a peace officer shall immediately cease.'' (L 1906, ch 314, § 6 [emphasis added].)

Thus the original authorization was only for the period of construction of water supply facilities, and required that certificates of appointment be filed with the sheriff of each affected county, who could cancel any certificate ''for cause.'' It is undisputed that the construction has been complete for many decades, and that no certificates of appointment are on file.

There has never been another statutory authorization. None of the three statutes cited by the majority in its footnote 5 authorizes the employment of New York City police in the watershed area. As to two of them, no argument is or can be made that they authorize anything of the kind. Chapter 929, § 1 of the Laws of 1937 (enacting Administrative Code of City of NY § 734[1]-1.0), quoted by the majority (majority op at 645), provides that what is now the Department of Environmental Protection (DEP) shall ''preserve the purity of . . . waters . . . and . . . protect [the water] supply and the lands adjacent thereto from injury or nuisance.'' It makes no mention of a police force. Chapter 599 of the Laws of 2000 amended Criminal Procedure Law § 1.20 (34) (o) in a way not relevant here.

Indeed, it is undisputed that, from whenever construction of the ''works'' referred to in the 1906 act was finished until 1983, no statutory authorization for what is now called the DEP police existed. The force created in 1906 continued to function, and I have no doubt that the people who served on it were—as the DEP police still are—performing important public duties in complete good faith. Legally, however, when they acted outside New York City they were civilians; they had no authority to act as police officers.

The People argue here that the force was effectively revived in 1983, when a section referring to ''the water-supply police employed by the city of New York'' was added to the definition of ''police officer'' in the Criminal Procedure Law. The new section, CPL 1.20 (34) (o) included within the definition:

> ''A sworn officer of the water-supply police employed by the city of New York and acting outside said city, appointed to protect the sources, works, and transmission of water supplied to the city of New York, and to protect persons on or in the vicinity of such water sources.''

I think it is plain from the text of the statute and its legislative history, however, that the 1983 Legislature did not think it was either creating a new police force or reviving an old one; it was only giving ''police officer'' status to members of a force that it believed—mistakenly—already existed.

On its face, the statute merely defines a term. It does not purport to create a police force. It specifies the category, ''police officer'' rather than ''peace officer'' or something else, to which members of a certain force shall belong—a force that, the Legislature wrongly assumed, was already in existence. The legislative history makes even clearer that the Legislature did not think it was authorizing a police force. The Assembly memorandum in support of the legislation says:

> ''this bill would *clarify* that a sworn officer of the Water-Supply police employed by the City of New York and acting outside New York City [is] a police officer having been so designated in 1905 but inadvertently omitted from the peace-officer 1980 recodification provisions of the CPL'' (Assembly Mem in Support of 1983 NY Assembly Bill 5782-A, Bill Jacket, L 1983, ch 969 [emphasis added]).

I think the majority—for understandable reasons—is reading the 1983 legislation as though it were sufficient to make the Legislature's mistaken assumption come true—i.e., to do what the Legislature probably would and should have done, if it had been correctly informed. I sympathize with the majority's wish to accomplish a common-sense result, and if this case involved something other than the authorization of a police force—if the public employees involved were, say, lawyers or bus drivers—I might be prepared to go along. But I am unwilling to hold that some citizens have become police, with the power to use force to deprive other citizens of their liberty, until and unless the Legislature has unmistakably expressed an intention to confer that power on them. I would thus hold that the gap in the law that these cases have brought to light can be repaired only by new legislation.

I agree with the courts below that there was no statute permitting the officers who issued the speeding tickets in these cases to act as police officers in the watershed, and I would therefore affirm the dismissal of the simplified traffic informations.

Judges G.B. SMITH, CIPARICK and READ concur with Judge GRAFFEO; Chief Judge KAYE dissents in a separate opinion; Judge R.S. SMITH dissents and votes to affirm in another opinion in which Judge ROSENBLATT concurs.

In each case: Order reversed, etc.

[830 NE2d 306, 797 NYS2d 408]

THE PEOPLE OF THE STATE OF NEW YORK, Respondent, v ABDEL HAMILTON, Appellant.

Argued April 26, 2005; decided June 7, 2005

SUMMARY

APPEAL, by permission of the Chief Judge of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the First Judicial Department, entered January 20, 2004. The Appellate Division affirmed a judgment of the Supreme Court, Bronx County (Robert L. Cohen, J.), which had convicted defendant, upon a jury verdict, of manslaughter in the first degree, assault in the first degree, criminal possession of a weapon in the second degree, and reckless endangerment in the first degree, and sentenced defendant to consecutive prison terms of 12½ to 25 years for manslaughter and 7½ to 15 years for assault, to a 2⅓ to 7 year term for reckless endangerment to run concurrently with the manslaughter and assault sentences, and to a 7½ to 15 year term for weapon possession to run consecutively with the manslaughter and assault sentences.

People v Hamilton, 3 AD3d 405, modified.

HEADNOTE

Crimes — Sentence — Concurrent and Consecutive Terms

In a prosecution arising out of an incident which occurred when defendant shot two people, killing one of them, the trial court violated Penal Law § 70.25 (2) when it imposed defendant's weapon possession sentence to run consecutively with his sentence for manslaughter and assault. Penal Law § 70.25 (2) mandates the imposition of concurrent sentences ''[w]hen more than one sentence of imprisonment is imposed on a person for two or more offenses committed through a single act or omission, or through an act or omission which in itself constituted one of the offenses and also was a material element of the other.'' The proof established that defendant used a pistol—the only one involved in the case—to shoot the two victims. There was no allegation that the weapon count referred to a different pistol or a different event. The weapon count overlapped with the manslaughter and assault counts, and there was no proof of a separate intent to use the gun unlawfully. To be sentenced consecutively on the weapon charge, it would have been necessary for the People to establish that defendant possessed the pistol with a purpose unrelated to his intent to shoot the victims.

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By the Publisher's Editorial Staff

AM JUR 2d, Criminal Law §§ 886, 887, 925.

Carmody-Wait 2d, Criminal Procedure §§ 172:3897, 172:3899.

LaFave, et al., Criminal Procedure (3d ed) § 26.3.

McKinney's, Penal Law § 70.25 (2).

NY Jur 2d, Criminal Law §§ 2853, 2854, 2857, 2860.5.

ANNOTATION REFERENCE

See ALR Index under Concurrent and Consecutive Sentences; Weapons and Firearms.

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Query: weapon /2 possession /s sentence /4 consecutively /s manslaughter assault

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POINTS OF COUNSEL

Office of the Appellate Defender, New York City (*Melissa Rothstein* and *Richard M. Greenberg* of counsel), for appellant I. The imposition of a consecutive sentence for criminal possession of a weapon violated Penal Law § 70.25 and Abdel Hamilton's federal and state constitutional rights to due process and a trial by jury. (*Apprendi v New Jersey,* 530 US 466; *Ring v Arizona,* 536 US 584; *United States v White,* 240 F3d 127; *Garrett v United States,* 471 US 773; *People v Young,* 94 NY2d 171; *People v Page,* 88 NY2d 1; *People v Ahmed,* 66 NY2d 307; *People v Thomas,* 50 NY2d 467; *People v Patterson,* 39 NY2d 288, 432 US 197; *People v Parks,* 95 NY2d 811.) II. Abdel Hamilton's rights to due process and a fair trial were violated by the admission, individually and cumulatively, of uncharged bad act allegations that overwhelmed the trial. (*People v Ventimiglia,* 52 NY2d 350; *McKinney v Rees,* 993 F2d 1378; *Tucker v Makowski,* 883 F2d 877; *Michelson v United States,* 335 US 469; *People v Till,* 87 NY2d 835; *People v Hudy,* 73 NY2d 40; *People v Cintron,* 95 NY2d 329; *People v Bennett,* 79 NY2d 464; *People v Moses,* 63 NY2d 299; *People v Allweiss,* 48 NY2d 40.) III. Abdel Hamilton was denied his right to a fair trial when Michael Agola stated that Mr. Hamilton had a witness killed, and the court refused to charge the jury that Barrington Robinson's absence should not be considered against either party. (*People v Robinson,* 68 NY2d 541; *People v Cook,* 93 NY2d 840; *People v Till,* 87 NY2d 835; *People v Hudy,* 73 NY2d 40; *People v Thomas,* 51 NY2d 466; *People v Seabrooks,* 244 AD2d 514; *People v Foster,* 164 AD2d 894; *People v Williams,* 212 AD2d 388.) IV. The late disclosure, delayed hearing and midtrial decision regarding the admissibility of papers seized from Dwayne Darby violated Abdel Hamilton's rights to due process and a fair trial. (*People v Copicotto,* 50 NY2d 222; *People v Dennis,* 265 AD2d 271; *People v Ventimiglia,* 52 NY2d 350; *People v Cintron,* 95 NY2d 329; *People v Bennett,* 79 NY2d 464; *People v Moses,* 63 NY2d 299.)

Robert T. Johnson, District Attorney, Bronx (*Yael V. Levy, Joseph N. Ferdenzi* and *Nancy D. Killian* of counsel), for respondent. I. Defendant's guilt was proven beyond a reasonable doubt by overwhelming evidence. II. The court properly imposed a consecutive sentence for the weapon possession conviction after it found that that crime was separate and distinct from the shooting crimes, and it was not required to submit that question to the jury. (*Apprendi v New Jersey,* 530 US 466; *People ex rel. Maurer v Jackson,* 2 NY2d 259; *People v Rosen,* 96 NY2d 329; *United States v Cotton,* 535 US 625; *People v Casey,* 95 NY2d 354; *Jones v United States,* 526 US 227; *McMillan v Pennsylvania,* 477 US 79; *Almendarez-Torres v United States,* 523 US 224; *United States v Gaudin,* 515 US 506; *In re Winship,* 397 US 358.) III. The court properly admitted the Dwayne Darby documents and evidence of defendant's gang affiliation into evidence; the timing of the documents' disclosure and of the court's determination that they were admissible was appropriate. (*People v Molineux,* 168 NY 264; *People v Ventimiglia,* 52 NY2d 350; *Matter of Holtzman v Hellenbrand,* 92 AD2d 405; *People v Espinal,* 174 AD2d 500, 79 NY2d 826; *People v Lynes,* 49 NY2d 286; *People v Dunbar Contr. Co.,* 215 NY 416; *People v Gruttola,* 43 NY2d 116; *People v Jean-Louis,* 272 AD2d 626, 95 NY2d 890; *People v Thomas,* 272 AD2d 892, 95 NY2d 858.) V. The trial court properly (1) admitted into evidence Michael Agola's testimony that defendant admitted killing a witness, and (2) declined to instruct the jury not to draw an inference adverse to defendant from Barrington Robinson's absence. (*People v Narayan,* 54 NY2d 106; *People v Iannelli,* 69 NY2d 684; *People v Bryant,* 280 AD2d 403, 96 NY2d 826; *People v Tucker,* 55 NY2d 1; *People v MacDonald,* 89 NY2d 908; *People v Yazum,* 13 NY2d 302; *People v Iannone,* 2 AD3d 1283, 2 NY3d 741; *People v Rosario,* 309 AD2d 537, 1 NY3d 579; *People v Carroll,* 95 NY2d 375; *People v Aska,* 91 NY2d 979.)

OPINION OF THE COURT

ROSENBLATT, J.

Concluding that he shot two people, killing one of them, a Supreme Court jury found defendant guilty of manslaughter in the first degree (Penal Law § 125.20 [1]), assault in the first degree (Penal Law § 120.10 [3]), criminal possession of a weapon in the second degree (Penal Law § 265.03), and reckless endangerment in the first degree (Penal Law § 120.25). We hold that the trial court violated Penal Law § 70.25 (2) when it imposed defendant's weapon possession sentence to run consecutively with his sentences for manslaughter and assault.

The People's evidence came largely from Anthony Smith, Anthony Bunch and Albert Hale. They testified that while on a Bronx street, they encountered Hubert Roberts. At the time, defendant was peeking out of the doorway of a building in which defendant's cousin, Rondell Purnell, lived. When Roberts said he was about to leave, defendant went inside the building and immediately emerged with a gun in his hand. He approached Roberts and, after a verbal dispute, shot him in the head, killing him. Defendant then shot Anthony Smith in the back, as Smith was running away. As for motive, the People introduced proof that defendant was enraged over the disappearance of a gun from Purnell's residence, and that he shot Roberts and Smith, mistakenly believing they stole the weapon.

The court sentenced defendant to consecutive prison terms of $12^{1}/_{2}$ to 25 years for manslaughter for killing Roberts and $7^{1}/_{2}$ to 15 years for assault for having shot and injured Smith, to run concurrently with a $2^{1}/_{3}$ to 7 year sentence for reckless endangerment. Pertinent to this appeal, the court also imposed a $7^{1}/_{2}$ to 15 year sentence for weapon possession to run consecutively with the manslaughter and assault sentences. Defendant acknowledges that the court had the authority to sentence him consecutively for the Roberts manslaughter and the Smith assault. He contends, however, that by running the weapon sentence consecutively to the others, the court violated Penal Law § 70.25 (2). The Appellate Division affirmed defendant's conviction and a Judge of this Court granted defendant leave to appeal. We agree with defendant's contention and therefore modify the Appellate Division order and remit the case to Supreme Court for resentencing.

Penal Law § 70.25 governs the imposition of concurrent and consecutive sentences. Pursuant to subdivision (2),

> "[w]hen more than one sentence of imprisonment is imposed on a person for two or more offenses committed through a single act or omission, or through an act or omission which in itself constituted one of

> the offenses and also was a material element of the other, the sentences . . . must run concurrently.''

Under either of those circumstances, the court has no discretion; concurrent sentences are mandated (*see People v Ramírez*, 89 NY2d 444 [1996]; *see generally* William Donnino, Practice Commentary, McKinney's Cons Laws of NY, Book 39, Penal Law § 70.25, at 241-242).

Here, the jury found defendant guilty of second-degree weapon possession for having possessed a pistol ''with intent to use [it] unlawfully against another.'' There is no doubt as to who the other person or persons were.

According to the other counts of the indictment and the proof at trial, defendant used a pistol—the only one involved in this case—to shoot Roberts and Smith. There is no allegation that the weapon count referred to a different pistol or a different event and the prosecution does not contend otherwise.[1] The weapon count thus overlapped with the manslaughter and assault counts, and there was no proof of a separate intent to use the gun unlawfully.

Defendant correctly argues that, to be sentenced consecutively on the weapon charge, it would have been necessary for the People to establish that he possessed the pistol with a purpose unrelated to his intent to shoot Roberts and Smith. *People v Parks* (95 NY2d 811 [2000]) and *People v Sturkey* (77 NY2d 979 [1991]) support defendant's argument.

In *Parks*, defendant was indicted on several counts of murder and robbery, along with other related crimes. The felony murder count charged Parks with having killed one of the victims in the course and furtherance of a robbery. He was also charged with robbing other victims at the scene. The indictment, however, did not identify which robbery served as the predicate for felony murder, nor did the court in its instructions to the jury. Because it was impossible to tell which robbery was ''separate and distinct'' from the felony murder, we held that the court improperly sentenced defendant to consecutive sentences on two of the robbery counts.

The same issue arose in *Sturkey*. There, the defendant was convicted of robbery, reckless endangerment and criminal pos-

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1. Defendant has argued that, to the extent the trial court found a different purpose for defendant's weapon possession, such a finding would violate *Apprendi v New Jersey* (530 US 466 [2000]). Given our holding that no evidence at all suggests an independent purpose for the weapon, we need not reach the *Apprendi* issue.

session of a weapon in the third degree, arising out of a scuffle with a police officer. During the encounter, Sturkey seized the officer's gun. We held that the robbery and gun possession were part of the same act of seizing the gun from the officer. Under those circumstances, consecutive sentences for robbery and weapon possession were impermissible under Penal Law § 70.25 (2). The same holds true here.[2] Because the weapon possession was not separate and distinct from the shootings, the statute prohibits consecutive sentences.

We have considered defendant's other contentions by which he seeks a reversal and a new trial and find them without merit. Accordingly, the order of the Appellate Division should be modified by vacating the sentence imposed on defendant's conviction for criminal possession of a weapon in the second degree and remitting to Supreme Court for resentencing, and, as so modified, affirmed.

Chief Judge KAYE and Judges G.B. SMITH, CIPARICK, GRAFFEO, READ and R.S. SMITH concur.

Order modified, etc.

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2. In addition to our holdings in *Parks* and *Sturkey*, courts in New York have applied this rule consistently (*see e.g. People v Washington*, 9 AD3d 499 [3d Dept 2004] [holding that consecutive sentences for weapon possession and murder were prohibited where the People did not allege at trial that defendant possessed the gun for any purpose other than the murder]; *People v Reyes*, 239 AD2d 524 [2d Dept 1997]; *People v Terry*, 104 AD2d 572 [2d Dept 1984]; *People v Rudolph*, 16 AD3d 1151 [4th Dept 2005]).

[830 NE2d 308, 797 NYS2d 410]

In the Matter of the Arbitration between BUFFALO POLICE BENEVOLENT ASSOCIATION, Respondent, and CITY OF BUFFALO, Appellant.

Argued April 14, 2005; decided June 7, 2005

SUMMARY

APPEAL, by permission of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Fourth Judicial Department, entered October 2, 2003. The Appellate Division affirmed a judgment of the Supreme Court, Erie County (Edward A. Rath, J.), which had granted petitioner's motion to confirm, and denied respondent's cross motion to vacate, an arbitration award.

Matter of Buffalo Police Benevolent Assn. (*City of Buffalo*), 309 AD2d 1246, reversed.

HEADNOTE

Civil Service — Police — Appointment and Promotion — Retention of Statutory Authority to Select One of Three Candidates

An arbitrator's ruling that the Police Commissioner was bound by a collective bargaining agreement to appoint the highest-scoring candidate on a competitive examination to the position of detective was set aside as violative of public policy. With respect to the promotion of police officers, public policy requires that police departments retain the authority given them by Civil Service Law § 61 (1) to select one of three candidates for such promotions. There was no agreement to promote the highest-scoring candidate; rather, the arbitrator's award was based on a general agreement to leave the status quo unchanged, coupled with a "past practice" of appointing the highest-scoring candidate. More importantly, because the selection of an officer to fill a position important to the safety of the community was involved, public policy did not permit a ruling that the Commissioner had given up his statutory power to choose the person he thought best qualified for that position—at least in the absence of compelling evidence that the Commissioner made a conscious choice to do so.

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AM JUR 2d, Civil Service §§ 25, 26, 36, 57–59.

MCKINNEY'S, Civil Service Law § 61 (1).

NY JUR 2d, Civil Servants and Other Public Officers and Employees §§ 328, 364, 381, 400.

ANNOTATION REFERENCE

See ALR Index under Civil Service; Police and Law Enforcement Officers.

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POINTS OF COUNSEL

Jaeckle Fleischmann & Mugel, LLP, Buffalo (*Matthew C. Van Vessem* of counsel), for appellant. I. It is against public policy for an arbitrator to impose a restriction on an appointing authority's discretionary power provided by Civil Service Law § 61 (1). (*People ex rel. Balcom v Mosher,* 163 NY 32; *Matter of Berger v Walsh,* 291 NY 220; *Matter of Andriola v Ortiz,* 82 NY2d 320; *Matter of Professional, Clerical, Tech. Empls. Assn. [Buffalo Bd. of Educ.],* 90 NY2d 364; *Matter of Cassidy v Municipal Civ. Serv. Commn. of City of New Rochelle,* 37 NY2d 526; *City of Schenectady v State Div. of Human Rights,* 37 NY2d 421; *Matter of Delicati v Schechter,* 3 AD2d 19; *Matter of Blackburne [Governor's Off. of Empl. Relations],* 87 NY2d 660; *Garrity v Lyle Stuart, Inc.,* 40 NY2d 354; *Matter of Cohoes City School Dist. v Cohoes Teachers Assn.*, 40 NY2d 774.) II. *Matter of Professional, Clerical, Tech. Empls. Assn. (Buffalo Bd. of Educ.)* (90 NY2d 364 [1997]) does not permit an arbitration award to limit an appointing authority's promotional rights under Civil Service Law § 61, in the absence of collective negotiations and voluntary agreement. (*People ex rel. Balcom v Mosher,* 163 NY 32; *Matter of Berger v Walsh,* 291 NY 220; *Matter of Andriola v Ortiz,* 82 NY2d 320.) III. Utilizing past practice alone to impose a restriction on an appointing authority's Civil Service Law powers violates public policy. (*Matter of Professional, Clerical, Tech. Empls. Assn. [Buffalo Bd. of Educ.],* 90 NY2d 364; *Matter of Silverman [Benmor Coats],* 61 NY2d 299; *Port Washington Union Free School Dist. v Port Washington Teachers Assn.,* 45 NY2d 746; *Matter of Apuzzo v County of Ulster,* 98 AD2d 869, 62 NY2d 960; *People ex rel. Balcom v Mosher,* 163 NY 32; *Matter of Cassidy v Municipal Civ. Serv. Commn. of City of New Rochelle,* 37 NY2d 526; *Matter of Larkin v Sardino,* 79 AD2d 1096; *Matter of Havern v Senko,* 210 AD2d 480; *Matter of City of New York v Uniformed Fire Officers Assn., Local 854, IAFF, AFL-CIO,* 95 NY2d 273; *Matter of Berger v Walsh,* 291 NY 220.)

Law Offices of W. James Schwan, Buffalo (*W. James Schwan* of counsel), for respondent. I. The arbitrator's award does not violate public policy. (*Matter of Professional, Clerical, Tech. Empls. Assn. [Buffalo Bd. of Educ.],* 90 NY2d 364.) II. Appellant's claim that an external source, the arbitrator, imposed a limitation on appellant's right to promote is misplaced. (*People ex rel. Balcom v Mosher,* 163 NY 32; *Matter of Berger v Walsh,* 291 NY 220; *Matter of Andriola v Ortiz,* 82 NY2d 320; *Matter of Professional, Clerical, Tech. Empls. Assn. [Buffalo Bd. of Educ.],* 90 NY2d 364; *City of Schenectady v State Div. of Human Rights,* 37 NY2d 421; *Matter of City of New York v New York State Div. of Human Rights,* 93 NY2d 768.) III. The arbitrator's finding that the parties' collective bargaining agreement compels the appointment of the highest-scoring candidate is not subject to review. (*Matter of Sprinzen [Nomberg],* 46 NY2d 623; *Matter of Associated Teachers of Huntington v Board of Educ., Union Free School Dist. No. 3, Town of Huntington*, 33 NY2d 229; *Matter of New York State Correctional Officers & Police Benevolent Assn. v State of New York,* 94 NY2d 321; *Board of Educ. of Lakeland Cent. School Dist. of Shrub Oak v Barni,* 49 NY2d 311.)

OPINION OF THE COURT

R.S. SMITH, J.

We held in *Matter of Professional, Clerical, Tech. Empls. Assn.* (*Buffalo Bd. of Educ.*) (90 NY2d 364 [1997] [*PCTEA*]) that a public employer could, without violating public policy, agree to forgo its statutory authority to choose any one of three candidates for promotion to clerical and secretarial positions. We now hold that the rule of *PCTEA* does not apply to the promotion of police officers. Public policy requires that police departments retain the authority given them by Civil Service Law § 61 (1) to select one of three candidates for such promotions.

Facts and Procedural History

Following the administration of competitive examinations for the position of detective in the Buffalo Police Department, the Buffalo Municipal Civil Service Commission promulgated an ''eligible list'' of candidates who passed the examination, ranked by test scores. Officer Raymond Wrafter was first on the list, but when a position became vacant the Police Commissioner bypassed Officer Wrafter and promoted another of the top three candidates. The Buffalo Police Benevolent Association (PBA) filed a grievance, claiming that the Commissioner's action violated article XV of the Collective Bargaining Agreement between the PBA and the City of Buffalo, which provides:

''All conditions or provisions beneficial to employees

> now in effect which are not specifically provided for in this Agreement or which have not been replaced by provisions of this Agreement shall remain in effect for the duration of this Agreement, unless mutually agreed otherwise between the City and the Union.''

The PBA's theory was that this provision obligated the City to continue a long-standing practice by which the Commissioner appointed only the first-ranked candidate to positions in the competitive class of the civil service. An arbitrator, relying on our decision in *PCTEA*, agreed that the City had violated article XV and awarded Officer Wrafter compensatory damages. Supreme Court confirmed the arbitrator's award, and the Appellate Division affirmed. We now reverse.

Discussion

Civil Service Law § 61 (1) provides in pertinent part:

> ''Appointment or promotion from an eligible list to a position in the competitive class shall be made by the selection of one of the three persons certified by the appropriate civil service commission as standing highest on such eligible list who are willing to accept such appointment or promotion . . . .''

In *PCTEA* we addressed the application of this statute to two arbitration awards rendered against the Buffalo Board of Education—one involving the position of associate account clerk, the other that of senior typist. The Board had passed over the highest-scoring candidate for each position, in favor of candidates lower on the eligible list. In each case, an arbitrator held that the Board's actions violated a collective bargaining agreement, relying in part on a ''Maintenance of Benefits'' clause similar to the clause in issue here, but also on an ''explicit agreement of the parties,'' reflected in minutes of a series of labor-management meetings, to promote the first person on the eligible list (90 NY2d at 370). In each case, we reversed a decision vacating the arbitrator's award. We held that, while the Civil Service Law conferred discretion on the appointing authority to choose one of the three highest-scoring candidates, ''a public employer may . . . voluntarily bargain with respect to the exercise of such discretion'' (*id.* at 376), and thus could surrender it by contract.

Here, it is much less clear that the appointing authority ''voluntarily'' surrendered its power to choose. This case does not involve, as *PCTEA* did, minutes of meetings showing that an agreement to promote the highest-scoring candidate was explicitly discussed; the arbitrator's award here was based on a general agreement to leave the status quo unchanged, coupled with a ''past practice'' of appointing the highest-scoring candidate. But more important, this case, unlike *PCTEA*, involves the selection by the Police Commissioner of an officer to fill a position important to the safety of the community. Public policy does not permit a ruling that the Commissioner has given up his statutory power to choose the person he thinks best qualified for that position—at least in the absence of compelling evidence that the Commissioner made a conscious choice to do so.

''Despite [the] policy of according an arbitrator seemingly unfettered discretion in matters submitted to him by the consent of the parties, it is the established law in this State that an award which is violative of public policy will not be permitted to stand'' (*Matter of Sprinzen [Nomberg]*, 46 NY2d 623, 630 [1979]). We conclude that this is one of those relatively rare ''cases in which public policy considerations, embodied in statute or decisional law, prohibit, in an absolute sense, particular matters being decided or certain relief being granted by an arbitrator'' (*id.* at 631). The arbitrator's ruling that the Commissioner was bound by a collective bargaining agreement to appoint the highest-scoring candidate to the position of detective must be set aside.

Accordingly, the order of the Appellate Division should be reversed with costs and the arbitrator's award vacated.

Chief Judge KAYE and Judges G.B. SMITH, CIPARICK, ROSENBLATT, GRAFFEO and READ concur.

Order reversed, with costs, and arbitration award vacated.

[830 NE2d 1118, 797 NYS2d 790]

In the Matter of NASSAU COUNTY GRAND JURY SUBPOENA DUCES TECUM DATED JUNE 24, 2003. "DOE LAW FIRM" et al., Appellants; ELIOT SPITZER, as Attorney General of the State of New York, Respondent.

Argued March 29, 2005; decided May 3, 2005

SUMMARY

APPEAL, on constitutional grounds, from an order of the Appellate Division of the Supreme Court in the Second Judicial Department, entered May 24, 2004. The Appellate Division affirmed an order of the Nassau County Court (Jeffrey S. Brown, J.; op 1 Misc 3d 902[A], 2003 NY Slip Op 51469[U]), which had denied petitioners' application pursuant to CPLR 2304 to quash or limit a grand jury subpoena duces tecum.

Matter of Nassau County Grand Jury Subpoena Duces Tecum Dated June 24, 2003, 7 AD3d 802, affirmed.

HEADNOTES

Grand Jury — Subpoena Duces Tecum — Privilege against Self-Incrimination

1. Petitioners, the individual partners of a small law firm, were not entitled to invoke the privilege against compelled self-incrimination under either the Federal or New York Constitution in response to a grand jury subpoena duces tecum, served upon the custodian of records of their firm, seeking production of firm financial and payment records, copies of retainer and closing statements, and various other records. Nor may the privilege be invoked by an individual partner subpoenaed to produce records required to be kept by law. Under federal law a partner in a law firm, even a small law firm, cannot rely on the federal Fifth Amendment privilege against compelled self-incrimination to avoid producing firm records even if the records might incriminate him or her personally. New York Constitution, article I, § 6 affords a partnership no greater right against self-incrimination than the Fifth Amendment.

Grand Jury — Subpoena Duces Tecum — Unreasonable Search and Seizure

2. The grand jury subpoena duces tecum served upon the custodian of records of petitioners' law firm, which sought production of firm financial and payment records, copies of retainer and closing statements, and various other records over a 2½-year period, did not violate petitioners' right to be protected against unreasonable searches and seizures. A grand jury subpoena duces tecum, unlike an office subpoena, enjoys a presumption of validity that requires the party challenging the subpoena to demonstrate, by concrete evidence, that the materials sought have no relation to the matter under investigation. Here, petitioners did not produce evidence that the subpoena was overbroad or that the subpoenaed documents were irrelevant to the grand jury investigation. Nor did petitioners show that compliance with the subpoena would have been unduly burdensome.

Grand Jury — Subpoena Duces Tecum — Attorney-Client Privilege

3. The firm financial and payment records, copies of retainer and closing statements, and various other records of petitioners' law firm being sought in a grand jury subpoena duces tecum served upon the custodian of records of petitioners' law firm were not protected under the attorney-client privilege. The attorney-client privilege protects confidential communications between a lawyer and client relating to legal advice sought by the client, but communications regarding a client's identity and information about fees paid by the client are not generally protected under the privilege. Here, the courts below considered the subpoena on its face and noted that petitioners failed to meet their burden in establishing that the records sought were protected under the privilege, although nothing prevented petitioners from compiling a privilege log and asserting the privilege as to particular documents in the grand jury proceeding.

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AM JUR 2d, Criminal Law § 1138; AM JUR 2d, Depositions and Discovery §§ 27–29; AM JUR 2d, Grand Jury §§ 25, 31, 38; AM JUR 2d, Searches and Seizures §§ 5, 6, 10, 76; AM JUR 2d, Witnesses §§ 331, 333, 357–363.

CARMODY-WAIT 2d, Criminal Procedure §§ 172:70, 172:927, 172:928, 172:1021, 172:1025.

LAFAVE, ET AL., CRIMINAL PROCEDURE (3d ed) §§ 3.1, 8.3, 8.12.

MCKINNEY'S, NY Const, art I, § 6.

NY JUR 2d, Criminal Law §§ 211, 241, 546, 990, 991, 1077, 1089, 2137; NY JUR 2d, Evidence and Witnesses §§ 747, 748, 872, 873, 877.

US Const 5th Amend.

ANNOTATION REFERENCE

Right of partners to assert personal privilege against self–incrimination with respect to production of partnership books or records. 17 ALR4th 1039.

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POINTS OF COUNSEL

Kenneth J. Weinstein, Garden City, and *Judah Serfaty* for appellants. I. The subpoena violates the individual partners' state constitutional rights against compelled self-incrimination. (*Bellis v United States,* 417 US 85; *United States v Doe,* 465 US 605;

Fisher v United States, 425 US 391; *In re Grand Jury Subpoena Duces Tecum Dated Oct. 29, 1992,* 1 F3d 87; *People ex rel. Taylor v Forbes,* 143 NY 219; *People v P.J. Video,* 68 NY2d 296; *Boyd v United States,* 116 US 616; *People v Scott,* 79 NY2d 474; *People v Dunn,* 77 NY2d 19; *People v Torres,* 74 NY2d 224.) II. Even under *Bellis v United States* (417 US 85 [1974]) the partnership here is not a ''separate entity.'' III. The subpoena violates the individual partners' federal and state constitutional ''act of production'' privilege against self-incrimination. (*Fisher v United States,* 425 US 391; *In re Grand Jury Subpoena Duces Tecum Dated May 9, 1990,* 741 F Supp 1059; *Boyd v United States,* 116 US 616; *United States v Hubbell,* 530 US 27; *Prudential Sec. v Brigianos,* 233 AD2d 18; *[Under Seal] v United States,* 634 F Supp 732; *United States v Fox,* 721 F2d 32; *In re Grand Jury Subpoena Duces Tecum Dated Nov. 13, 1984,* 616 F Supp 1159.) IV. The New York Constitution continues to protect private personal and business papers. (*Matter of Grand Jury Subpoena [Bekins Record Stor. Co.],* 62 NY2d 324; *United States v Doe,* 465 US 605; *People v Defore,* 242 NY 13; *People ex rel. Ferguson v Reardon,* 197 NY 236; *People ex rel. Kenny v Adams,* 292 NY 65; *People v Laino,* 10 NY2d 161; *People v Copicotto,* 50 NY2d 222; *Couch v United States,* 409 US 322.) V. All or the vast majority of the documents demanded in the subpoena are not ''required records.'' (*Gross v United States,* 390 US 62; *People v Doe,* 59 NY2d 655; *Matter of Grand Jury Subpoena Duces Tecum Dated Dec. 14, 1984, Y., M.D., P.C. v Kuriansky,* 69 NY2d 232.) VI. The subpoena violates the attorney-client and attorney work product privileges of the law firm, the individual partners, and their clients. (*In re Grand Jury Proceedings,* 219 F3d 175; *Matter of Grand Jury Subpoena Duces Tecum Dated Dec. 14, 1984, Y., M.D., P.C. v Kuriansky,* 69 NY2d 232; *Matter of Subpoena Duces Tecum to Doe [Park Assoc.—New York State Attorney Gen., Medicaid Fraud Control Unit],* 99 NY2d 434; *Matter of Stolar,* 196 Misc 2d 175; *Matter of Priest v Hennessy,* 51 NY2d 62; *Diversified Group, Inc. v Daugerdas,* 304 F Supp 2d 507; *Clarke v American Commerce Natl. Bank,* 974 F2d 127; *Fochetta v Schlackman,* 257 AD2d 546; *Teich v Teich,* 245 AD2d 41; *Matter of Jacqueline F.,* 47 NY2d 215.) VII. The subpoena violates the law firm and individual partners' rights under CPLR 2304, CPL 190.50, and Search and Seizure Clauses. (*People v Weiss,* 176 Misc 2d 496; *In re Grand Jury Proceedings,* 219 F3d 175; *United States v Fox,* 721 F2d 32; *Corporate Interiors v Pappas,* 293 AD2d 640; *Abbene v Griffin,* 208 AD2d 483; *Consentino v Schwartz,* 155 AD2d 640; *United States v Dionisio,* 410 US 1;

Hale v Henkel, 201 US 43; *Oklahoma Press Publ. Co. v Walling,* 327 US 186.)

Eliot Spitzer, Attorney General, New York City (*Peter B. Pope, Daniel Smirlock* and *Robin A. Forshaw* of counsel), for respondent. I. Because of the commands of article 190 of the Criminal Procedure Law, this Court should not determine the scope of appellants' Fifth Amendment privilege prior to the production of the subpoenaed evidence. (*Matter of Rush v Mordue,* 68 NY2d 348; *Kastigar v United States,* 406 US 441; *People v Slavin,* 1 NY3d 392; *United States v Fox,* 721 F2d 32; *In re Grand Jury Subpoena Duces Tecum Dated Oct. 29, 1992,* 1 F3d 87; *Prudential Sec. v Brigianos,* 233 AD2d 18; *Matter of Momah v Rogers,* 93 NY2d 864; *People v Avant,* 33 NY2d 265; *Matter of Lee v County Ct. of Erie County,* 27 NY2d 432, 404 US 823; *Matter of Altman v Bradley,* 184 AD2d 131.) II. If this Court reaches the issue of appellants' rights against self-incrimination under the New York State Constitution, it should not craft a rule that allows appellants to veto the giving of grand jury evidence against them by their employees. (*Matter of Vanderbilt [Rosner—Hickey],* 57 NY2d 66; *Big Apple Concrete Corp. v Abrams,* 103 AD2d 609; *Bellis v United States,* 417 US 85; *People v P.J. Video,* 68 NY2d 296; *People v Harris,* 77 NY2d 434; *Matter of Grand Jury Subpoena Duces Tecum Dated Dec. 14, 1984, Y., M.D., P.C. v Kuriansky,* 69 NY2d 232; *Matter of Cappetta,* 42 NY2d 1066; *Matter of Friedman v Hi-Li Manor Home for Adults,* 42 NY2d 408; *United States v White,* 322 US 694; *Matter of Havemeyer,* 17 NY2d 216.) III. The documents called for in the subpoena are records of an enterprise, not personal records, and compelling their production does not implicate the constitutional privilege against self-incrimination. (*People v Hager,* 69 NY2d 141; *United States v Doe,* 465 US 605; *Fisher v United States,* 425 US 391; *Henry v Lewis,* 102 AD2d 430; *Wilson v United States,* 221 US 361; *Matter of Sigety v Hynes,* 38 NY2d 260; *Shapiro v United States,* 335 US 1; *United States v Hubbell,* 530 US 27; *Matter of Subpoena Duces Tecum to Doe [Park Assoc.—New York State Attorney Gen., Medicaid Fraud Control Unit],* 99 NY2d 434.) IV. The documents called for do not implicate the attorney-client privilege and appellants have failed in their burden of proving that they do. (*Matter of Grand Jury Subpoena [Bekins Record Stor. Co.],* 62 NY2d 324; *People v Mitchell,* 58 NY2d 368; *Matter of Priest v Hennessy,* 51 NY2d 62; *Matter of Stolar,* 196 Misc 2d 175; *Matter of Jacqueline F.,* 47 NY2d 215; *Matter of Kaplan [Blumenfeld],* 8 NY2d 214; *Nab-Tern-Betts v City of New York,* 209 AD2d 223; *Matter of Williams & Connolly* *v Axelrod,* 139 AD2d 806.) V. The requested records are not attorney work product. (*Hickman v Taylor,* 329 US 495; *Kinge v State of New York,* 302 AD2d 667.) VI. The County Court properly determined that the subpoena does not violate appellants' Fourth Amendment right to be free from unreasonable search and seizure. (*United States v Dionisio,* 410 US 1; *Hale v Henkel,* 201 US 43; *Matter of Grand Jury Subpoenas for Locals 17, 135, 257 & 608 of United Bhd. of Carpenters & Joiners of Am., AFL-CIO [People],* 72 NY2d 307; *Matter of Hynes v Moskowitz,* 44 NY2d 383; *In re Nwamu,* 421 F Supp 1361; *Virag v Hynes,* 54 NY2d 437; *Blair v United States,* 250 US 273.)

OPINION OF THE COURT

G.B. SMITH, J.

The issue here is whether individual partners of a small law firm may invoke the privilege against compelled self-incrimination in response to a grand jury subpoena duces tecum, served upon the custodian of records of their firm, seeking production of firm financial and payment records, copies of retainer and closing statements, and various other records. On the central issue before us, we agree with the motion court and Appellate Division that the individual partners cannot invoke the state or federal constitutional privilege against compelled self-incrimination.

FACTS

On June 24, 2003, the Attorney General issued a subpoena duces tecum, on behalf of a Nassau County grand jury, commanding the custodian of records of the appellant law firm to appear before the grand jury on July 7, 2003 and directing the custodian to bring and produce documents relating to the firm's personal injury cases handled from January 1, 2001 to June 24, 2003.[1] The subpoena, which did not identify the nature of the grand jury proceeding,[2] sought production of the following documents:

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1. The schedule of documents subpoenaed indicated that the period covered for the subpoena was ''January 1, 1999 to the present (unless otherwise designated).''

2. Respondent, however, provided some general information about what the matter concerned in its brief. Respondent stated, ''Because of concerns that dramatic increases in the cost of motor vehicle insurance were attributable to fraud, in 2001[,] Governor [ ] Pataki appointed New York State Attorney General Eliot Spitzer [ ] special prosecutor for auto insurance fraud [*see* Executive Order (Pataki) No. 109, 9 NYCRR 5.109 (2001)]. Pursuant to

(n. cont'd)

''1. All books of record (and accountant's work[ ]papers and reconciliations), including[,] but not limited to[,] General Ledgers, General Journals, Cash Disbursements Books, Cash Receipts Books, and Petty Cash Books for the period from January 1, 1999 through December 31, 2002.

''2. All financial records, including[,] but not limited to[,] personal lists, memoranda, or other documentation of monies paid and received, check registers, check stubs, cancelled checks, and bank statements for all accounts, including operating, payroll, IOLA and escrow accounts, tax returns[,] including all schedules, attachments, and accountant's work papers.

''3. Copies of all Retainer Statements filed with the Office of Court Administration by the firm and any partners and associates of the firm.

''4. Copies of all Closing Statements filed with the Office of Court Administration by the firm and any partners and associates of the firm.

''5. Regarding the aforesaid Retainer and Closing Statements, the index-numbered postal cards sent by the Office of Court Administration.

''6. Regarding the aforesaid Closing Statements, any and all records, in whatever form kept, reflecting payments to persons or entities reported to have been paid for services provided from the settlement funds, including, but not limited to, books of account such as general ledger, general journal, cash disbursement books, petty cash register (with supporting documentation), cancelled checks, money orders, correspondence, memoranda, notes, and invoices.

''7. Records of any and all payments made to any persons or entities whose services were provided,

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this authority, on June 17, 2003, [respondent] filed criminal court complaints in Queens County and Nassau County charging 19 defendants with Conspiracy in the Fourth Degree in violation of Penal Law § 105.10. . . . [T]he cases charged conspiracies among lawyers, medical providers, insurance brokers, and middlemen known as 'steerers' to defraud insurance companies providing no-fault insurance.''

relative to those cases for which partners and associates filed Retainer Statements, or were required to file retainer statements but did not or have not yet done so.

''8. Records of any and all payments made to persons or entities whose services were performed for the firm and in connection with no-fault personal injury matters generally and not for one client or group of clients, including for such services as investigation, referral of clients, transportation of clients, outreach, community relations, and publicity, including, but not limited to[,] books of account such as general ledger, general journal, cash disbursement books, petty cash register (with supporting documentation), cancelled checks, money orders, correspondence, memoranda, notes, and invoices.

''9. Records of any and all payments to medical practitioners, medical facilities, or any management or marketing companies representing such practitioners or facilities, for reports, records, or other goods or services.

''10. Any and all contracts, leases or agreements with medical practitioners, medical facilities or any management or marketing companies representing such practitioners or facilities, and all auxiliary documents reflecting such contracts, agreements, or leases, including rental statements, cancelled checks, tax form 1099s and correspondence.

''11. Records of all cash payments to any persons or entities, including cash books, petty cash books, diary entries, memoranda, invoices, and receipts.

''12. Records of any and all debts, open or paid, to or from all the providers of services listed above, and medical facilities, medical practitioners, management or marketing firms, including diary entries, memoranda, lists, and file notations.

''13. Copies of all Retainer Agreements obtained from clients by non-salaried employees or providers of services listed above.

''14. Copies of all Retainer Agreements obtained

> from clients by any person, within or without the law firm, at a medical facility or medical practitioner[']s office.
>
> "15. Payroll books, and tax forms 941.
>
> "16. Records showing the names of all present and past Associate Attorneys and Partners."

On July 17, 2003, by order to show cause, appellants moved to quash the subpoena or modify its scope. Appellants argued that the subpoena violated: the individual partners' state and federal rights against compelled self-incrimination; the law firm's and individual partners' rights against unreasonable searches and seizures; and the attorney-client privilege. Appellants also argued that the subpoena was unduly burdensome and overbroad, and that the statements filed with the Office of Court Administration were confidential pursuant to 22 NYCRR 691.20 (c), and thus not subject to disclosure. Finally, in a supporting affirmation they stated that "[i]f required by this Court, and if given an opportunity to compile a privilege log, Applicants will submit a privilege log, or if compelled, a privilege log along with the compiled documents, for an in camera inspection by the Court only for the purpose of determining the availability of the claimed privileges."

By order dated September 22, 2003, Nassau County Court denied appellants' application in its entirety. By order dated May 24, 2004, the Appellate Division unanimously affirmed. Appellants appeal as of right pursuant to CPLR 5601 (b) (1).

DISCUSSION

The constitutional privilege against compelled self-incrimination is a personal one—"it cannot be utilized by or on behalf of any organization, such as a corporation" (*United States v White*, 322 US 694, 699 [1944]). This privilege "protects the individual from any disclosure, in the form of oral testimony, documents or chattels, sought by legal process against him as a witness" (*id.*; *see* US Const Amend V; NY Const, art I, § 6). Further, "the papers and effects which the privilege protects must be the private property of the person claiming the privilege, or at least in his possession in a purely personal capacity" (*Bellis v United States*, 417 US 85, 90 [1974], quoting *White*, 322 US at 699).

Under federal law, it is well settled that a partner in a law firm, even a small law firm, cannot rely on the federal Fifth

Amendment privilege against compelled self-incrimination ''to avoid producing the records of a collective entity which are in his possession in a representative capacity, even if these records might incriminate him personally'' (*Bellis v United States*, 417 US 85, 88 [1974]).[3] The *Bellis* court—which also had before it a three-partner law firm—set forth two rationales for its holding. First, since the privilege against compelled self-incrimination applies only to natural individuals, neither an artificial organization nor individuals acting as representatives of that organization can invoke the privilege. In support of this rationale, the *Bellis* court stated,

> ''In view of the inescapable fact that an artificial entity can only act to produce its records through its individual officers or agents, recognition of the individual's claim of privilege with respect to the financial records of the organization would substantially undermine the unchallenged rule that the organization itself is not entitled to claim any Fifth Amendment privilege, and largely frustrate legitimate governmental regulation of such organizations'' (417 US at 90).[4]

Second, the *Bellis* court noted the lack of privacy interest a representative of an organization has in organization records

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3. In *Bellis*, a former partner of a dissolved three-partner law firm was served with a subpoena directing him to appear before a federal grand jury and to bring all records in his possession pertaining to the dissolved partnership for the years 1968 and 1969. In response to the subpoena, the former partner asserted the federal Fifth Amendment privilege against compelled self-incrimination.

4. Quoting *United States v White*, 322 US 694, 700 (1944), the *Bellis* court further stated:

> ''The scope and nature of the economic activities of incorporated and unincorporated organizations and their representatives demand that the constitutional power of the federal and state governments to regulate those activities be correspondingly effective. The greater portion of evidence of wrongdoing by an organization or its representatives is usually to be found in the official records and documents of that organization. Were the cloak of the privilege to be thrown around these impersonal records and documents, effective enforcement of many federal and state laws would be impossible. The framers of the constitutional guarantee against compulsory self-disclosure, who were interested primarily in protecting individual civil liberties, cannot be said to have intended the privilege to be available to protect economic or other interests of such organizations so as to nullify appropriate governmental regulations'' (*id.* at 90-91 [citations omitted]).

(*see id.* at 91-92).[5] Similarly, with regard to partnerships, the *Bellis* court noted that ''partnerships may and frequently do represent organized institutional activity so as to preclude any claim of Fifth Amendment privilege with respect to the partnership's financial records'' (*id.* at 93).[6]

As this Court has never expressly determined whether the New York privilege against compelled self-incrimination (NY Const, art I, § 6) applies to a partnership, and as this Court has, on occasion, afforded greater protection regarding fundamental rights than the Federal Constitution and the United States Supreme Court, we now consider whether *Bellis* should be adopted in New York.

This Court has adopted a two-pronged ''interpretive'' and ''noninterpretive'' analysis of various factors to determine if a provision of our State Constitution should be construed more broadly than its federal analog (*see People v P.J. Video*, 68 NY2d 296 [1986]). We first review the text of the state and federal constitutional provisions. ''If the language of the State Constitution differs from that of its Federal counterpart, then the court may conclude that there is a basis for a different interpretation of it'' (*id.* at 302 [citations omitted]). Here, there is no material textual difference between the relevant constitutional

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5. Regarding the difficulty of maintaining a claim of privacy or confidentiality with respect to the financial records of an organized collective entity, the *Bellis* court stated:

> ''Control of such records is generally strictly regulated by statute or by the rules and regulations of the organization, and access to the records is generally guaranteed to others in the organization. In such circumstances, the custodian of the organization's records lacks the control over their content and location and the right to keep them from the view of others which would be characteristic of a claim of privacy and confidentiality'' (*id.* at 92).

6. In determining that the *Bellis* law firm engaged in ''organized institutional activity'' so as to preclude a Fifth Amendment claim, the *Bellis* court considered whether the organization: (1) existed ''as an independent entity apart from its individual members''; (2) was well structured ''and not merely a loose, informal association of individuals''; and (3) maintained ''a distinct set of organizational records, and recognize[d] rights in its members of control and access to them'' (*id.* at 92, 93). Additionally, the records subpoenaed must actually be organization records held in a representative capacity rather than records of an individual held in a personal capacity (*id.* at 93).

provisions.[7] As such, this Court need only conduct a ''noninterpretive'' review of the constitutional provisions. A noninterpretive review ''proceeds from a judicial perception of sound policy, justice and fundamental fairness'' and seeks to discover, for example,

> ''any preexisting State statutory or common law defining the scope of the individual right in question; the history and traditions of the State in its protection of that individual right; any identification of the right in the State Constitution as being one of peculiar State or local concern; and any distinctive attitudes of the State citizenry toward the definition, scope or protection of the individual right'' (68 NY2d at 303).

A finding of these factors suggests that a broader reading of the state constitutional provision could be appropriate. Under our ''noninterpretive'' analysis of the state and federal constitutional provisions, we conclude that none of the factors that would suggest a broader reading of article I, § 6 are present.

Appellants contend that a partnership has a right against self-incrimination based on its unique status, in that a partnership is not a legal entity separate from its member partners. Appellants cite *Williams v Hartshorn* (296 NY 49, 51 [1946]) in which we stated that ''a partnership is not to be regarded as a separate entity distinct from the persons who compose it'' (*see also People v Zinke*, 76 NY2d 8 [1990]; *Caplan v Caplan*, 268 NY 445 [1935]). For many purposes, it is certainly true that a partnership is not a legally separate entity from its member partners. In the circumstances presented here, our prior cases guide us toward a different conclusion.

For example, in *Matter of Friedman v Hi-Li Manor Home for Adults* (42 NY2d 408, 416 [1977]), we observed that the right against self-incrimination reflects a policy of protecting an individual's ''right to a 'private enclave' '' in which he or she may lead a private life, but the constitutional guarantee against compulsory self-incrimination is concerned mostly with protecting individual civil liberties, and should not be interpreted to ''insulate economic or other interests of organizations, incorpo-

7. Article I, § 6 of the New York State Constitution provides, in relevant part that ''[n]o person shall be . . . compelled in any criminal case to be a witness against himself or herself.'' The Fifth Amendment of the Federal Constitution states, in pertinent part, that ''[n]o person shall be . . . compelled in any criminal case to be a witness against himself.''

rated and unincorporated, when to do so would be to frustrate appropriate governmental regulation.'' Citing *Bellis* approvingly, we have also stated that ''[i]t is settled that a corporation has no Fifth Amendment privilege and that a custodian of corporate records may not refuse to produce them even though they may incriminate him personally'' (*Matter of Grand Jury Subpoena Duces Tecum Dated Dec. 14, 1984*, 69 NY2d 232, 242 [1987]).

Appellants also rely on *Matter of Sigety v Hynes* (38 NY2d 260, 268 [1975]) for the proposition that in that case, we were not content with relying on the *Bellis* majority's definition of a ''separate entity'' but instead applied the Supreme Court's prior precedent of *United States v White* (322 US 694, 701 [1944]), which the *Bellis* majority ''backed away from.''

[1] In *Sigety*, we stated the *White* test as whether under all the circumstances, it could be fairly said that a particular type of organization is so impersonal in the scope of membership and activities that it does not represent the purely private interests of its members. We nevertheless applied *Bellis* while noting the Supreme Court's observation that in *Bellis* itself, the result might have been different had it involved a small family partnership. Here, of course, the makeup of the law firm is identical to that in *Bellis*. Further, the ''identity of language [of these provisions] supports a policy of uniformity between State and Federal Courts'' (68 NY2d at 304). Accordingly, we hold that article I, § 6 affords a partnership no greater right against self-incrimination than the Fifth Amendment.

Based on the foregoing, we hereby adopt *Bellis* and hold that an individual partner of a law firm, whose firm was served with a subpoena duces tecum seeking the production of firm records, cannot rely on the constitutional privilege against compelled self-incrimination ''to avoid producing the records of a collective entity which are in his possession in a representative capacity, even if these records might incriminate him personally'' (*Bellis*, 417 US at 88). Applying this rule to the present case, appellant law firm is a collective entity under *Bellis*. It is not a family partnership or association; exists as an independent entity apart from its individual members;[8] is a well structured, not informal, organization set up for conducting an ongoing legal practice;

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8. This conclusion is based on the two rationales stated by the *Bellis* court and specifically on the following language: since ''an artificial entity can only act to produce its records through its individual officers or agents, recognition of the individual's claim of privilege with respect to the [organization's]

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and maintains a distinct set of organizational records. Additionally, the records subpoenaed were organization records held in a representative capacity rather than records of an individual held in a personal capacity—i.e., the subpoena was directed to appellant law firm's custodian of records.

In further support of our view that appellant law firm is a collective entity, we note that the term ‘‘partnership'' is defined as ‘‘an association of two or more persons to carry on as co-owners a business for profit'' (Partnership Law § 10 [1]). Given this definition and the fact that the privilege against compelled self-incrimination is personal (i.e., the privilege protects papers that are a person's private property or that are in a person's possession in a purely personal capacity), a partnership and its individual partners, with respect to the papers, effects and records generated in the course of conducting partnership business, should not be afforded the protections provided under the privilege. Based on the foregoing, we conclude that the individual partners of appellant law firm cannot invoke the privilege against compelled self-incrimination in order to avoid producing the documents sought by the instant subpoena. We further conclude that the privilege against compelled self-incrimination may not be invoked by an individual partner subpoenaed to produce records required to be kept by law (*see Matter of Grand Jury Subpoena Duces Tecum Dated Dec. 14, 1984,* 69 NY2d 232 [1987]).

[2] Moreover, we agree with the lower court rulings rejecting appellants' claim that the instant subpoena violates appellants' right to be protected against unreasonable searches and seizures. It is well established that ‘‘a subpoena duces tecum, unlike a search warrant, does not have to be supported by probable cause'' (*Matter of Grand Jury Subpoenas for Locals 17, 135, 257 & 608 of United Bhd. of Carpenters & Joiners of Am., AFL-CIO [People]*, 72 NY2d 307, 315 [1988]).[9] Further, under both the State and Federal Constitutions, a subpoena does not

financial records would substantially undermine the . . . rule that the organization itself is not entitled to claim any Fifth Amendment privilege, and largely frustrate legitimate governmental regulation of such organizations'' (*id.* at 90).

9. ‘‘The standard of reasonableness rather than probable cause is appropriate because of the substantial differences between a search warrant and a subpoena duces tecum. A search and seizure is conducted abruptly, without advance notice, often with force or the threat of force. A subpoena, in contrast, remains at all times under the control and supervision of a judicial officer and may be challenged before compliance through a motion to quash. Moreover,

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violate an individual's right to be free from unreasonable searches and seizures when the materials sought are relevant to the investigation being conducted and the subpoena is not overbroad or unduly burdensome (*id.* at 315-316). Moreover, this Court has stated that

> "a Grand Jury subpoena duces tecum, unlike an office subpoena, enjoys a presumption of validity that requires the party challenging the subpoena to demonstrate, by concrete evidence, that the materials sought have no relation to the matter under investigation. Bare assertions of the lack of relevancy will not suffice. Rather, given the ranging, exploratory nature and operation of a Grand Jury, the witness served with a subpoena must show that 'the documents are so unrelated to the subject of inquiry as to make it obvious that their production would be futile as an aid to the' Grand Jury's investigation" (*Virag v Hynes,* 54 NY2d 437, 444 [1981] [citation omitted]).

Appellants did not make a sufficient showing to rebut the presumption of validity afforded the instant subpoena. Appellants did not produce evidence that the subpoena was overbroad or that subpoenaed documents were irrelevant to the grand jury investigation. For example, the subpoena sought documents generated over a $2^1/_2$ year period, documents that were generally partnership financial records and records required to be kept by law. Nor could appellants show that compliance with the subpoena would have been unduly burdensome.[10]

Next, we consider the lower court rulings that the documents sought in the subpoena are not protected under the attorney-client privilege. The attorney-client privilege protects confidential communications between a lawyer and client relating to legal advice sought by the client (*see Matter of Priest v Hennessy*, 51 NY2d 62 [1980]; *see also* CPLR 4503). The person who asserts the privilege has the burden of proving the above ele-

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the unannounced search and seizure of documents often results in serious social stigma. A subpoena is served in the same manner as any summons or other legal process and typically no stigma whatsoever attaches if it is enforced" (*Matter of Grand Jury Subpoenas for Locals 17, 135, 257 & 608 of United Bhd. of Carpenters & Joiners of Am., AFL-CIO [People]*, 72 NY2d at 315 [citations omitted]).

10. Although appellants were given two weeks to comply with the subpoena, respondent thereafter agreed to allow appellants to produce the documents sought on a rolling basis.

ments. Communications regarding ''the identity of a client and information about fees paid by the client'' are not generally protected under the privilege, nor are communications regarding the payment of legal fees by a third person (51 NY2d at 69).

[3] Here, the lower courts found that the documents sought in the subpoena were not protected by the attorney-client privilege. The courts below considered the subpoena on its face and noted that appellants failed to meet their burden in establishing that the records sought were protected under the privilege. However, as the Attorney General conceded at oral argument, nothing prevents appellants from compiling a privilege log and asserting the privilege as to particular documents in the grand jury proceedings.[11]

Accordingly, the order of the Appellate Division should be affirmed, with costs.

Chief Judge KAYE and Judges CIPARICK, ROSENBLATT, GRAFFEO, READ and R.S. SMITH concur.

Order affirmed, with costs.

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11. In *Matter of Subpoena Duces Tecum to Jane Doe* (99 NY2d 434, 442 [2003]), a case in which a nursing home argued that subpoenaed documents were privileged under New York's Public Health Law and the federal Nursing Home Reform Act, this Court suggested that ''a party seeking to protect documents from disclosure compile a privilege log in order to aid the court in its assessment of a privilege claim and enable it to undertake an in camera review.''

[830 NE2d 1137, 797 NYS2d 809]

In the Matter of NATIONAL GYPSUM COMPANY, INC., Respondent, v ASSESSOR OF TOWN OF TONAWANDA et al., Appellants, and KENMORE TONAWANDA UNION FREE SCHOOL DISTRICT BOARD OF EDUCATION, Intervenor-Respondent.

Argued April 14, 2005; decided June 7, 2005

SUMMARY

APPEAL, by permission of the Appellate Division of the Supreme Court in the Fourth Judicial Department, from an order of that Court, entered June 14, 2004. The Appellate Division (1) reversed, on the law, an order of the Supreme Court, Erie County (Kevin M. Dillon, J.), entered in a proceeding pursuant to RPTL article 7, which had granted the motion of respondents to dismiss the petition on the ground that the court lacked personal jurisdiction over them, (2) denied the motion, and (3) reinstated the petition. The following question was certified by the Appellate Division, "Was the order of this Court, entered June 14, 2004, properly made?"

Matter of National Gypsum Co., Inc. v Assessor of Town of Tonawanda, 8 AD3d 953, affirmed.

HEADNOTE

Pleading — Petition — Return Date

The notice of petition in a tax certiorari proceeding pursuant to RPTL article 7 was jurisdictionally sound even though the original return date inserted by petitioner was later changed by court personnel. CPLR 403 (a) provides that "[a] notice of petition shall specify the time and place of the hearing on the petition and the supporting affidavits, if any, accompanying the petition." A notice of petition must comply with the strict statutory mandates for obtaining personal jurisdiction when served. Under the particular circumstances presented here, the notice of petition was jurisdictionally sound. Further, petitioner fully complied with CPLR 403 (a) because it inserted in its notice of petition a time and place for the hearing which conformed with the applicable statutory notice requirements (*see* RPTL 704 [1]), notwithstanding that the original return date was changed by court personnel once a Supreme Court Justice was assigned.

TOTAL CLIENT-SERVICE LIBRARY® REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, State and Local Taxation §§ 694, 696, 698.

CARMODY-WAIT 2d, Judicial Review of Assessments and Taxes §§ 146:55, 146:65, 146:66, 146:77.

MCKINNEY'S, CPLR 403 (a); RPTL 704 (1).

NY Jur 2d, Process and Papers § 37; NY Jur 2d, Taxation and Assessment §§ 396, 405, 408, 409.

New York Real Property Service §§ 62:8, 62:21.

ANNOTATION REFERENCE

See ALR Index under Process and Service of Process and Papers; Taxes.

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POINTS OF COUNSEL

Brown & Kelly, LLP, Buffalo (*Karen Cook Serotte* and *Lisa T. Sofferin* of counsel), for appellants. I. CPLR 403 requires that the notice of petition served on respondent include the time and place of hearing. (*Matter of Spodek v New York State Commr. of Taxation & Fin.,* 85 NY2d 760; *Matter of Eagle v La Rose,* 137 Misc 2d 304; *Glikman v Horowitz,* 66 AD2d 814; *Avakian v De Los Santos,* 183 AD2d 687.) II. The failure to include the proper time and place of the hearing on the notice of petition when served is a noncurable jurisdictional defect. (*Matter of Mendon Ponds Neighborhood Assn. v Dehm,* 98 NY2d 745; *Matter of Niagara Mohawk Power Corp. v Town of Tonawanda Assessor,* 309 AD2d 1251, 1 NY3d 507; *Matter of Krenzer v Town of Caledonia Zoning Bd. of Appeals,* 233 AD2d 882; *Matter of Common Council of City of Gloversville v Town Bd. of Town of Johnstown,* 144 AD2d 90; *Matter of Owen v Comstock,* 231 AD2d 898; *Matter of DiBenedetto v Nationwide Assoc.,* 297 AD2d 740; *Matter of Oates v Village of Watkins Glen,* 290 AD2d 758; *Matter of Hawkins v McCall,* 278 AD2d 638; *Matter of Eagle v La Rose,* 137 Misc 2d 304; *Parker v Mack,* 61 NY2d 114.) III. The hearing date is meaningful as respondent's substantive rights may be affected if it fails to appear on the assigned return date. (*Matter of Fry v Village of Tarrytown,* 89 NY2d 714; *Matter of Brookview Apts. v Stuhlman,* 278 AD2d 825; *Matter of First Source Fed. Credit Union v Stuhlman,* 275 AD2d 908; *Matter of Deering Realty Corp. v Podeyn,* 18 AD2d 821; *Matter of DHI Mgt. Agency v City of Yonkers,* 67 AD2d 913.) IV. Change, if any, must be done legislatively. (*Ling Ling Yung v County of Nassau,* 77 NY2d 568; *Matter of Oates v Village of Watkins Glen,* 290 AD2d 758.)

Jerrold F. Janata & Associates, P.C., New City (*Henry LaCap* of counsel), for respondent. I. The notice of petition, on its face, fully complied with the provisions of CPLR 403. II. Existing case law supports the proposition that the notice of petition fully complied with New York law. (*Matter of Niagara Mohawk Power Corp. v Town of Tonawanda Assessor,* 309 AD2d 1251, 1 NY3d 507; *Matter of Spodek v New York State Commr. of Taxation & Fin.,* 85 NY2d 760; *Matter of Krenzer v Town of Caledonia Zoning Bd. of Appeals,* 233 AD2d 882; *Matter of Vetrone v Mackin,* 216 AD2d 839; *Travis v New York State Dept. of Envtl. Conservation,* 185 AD2d 714; *Matter of Hawkins v McCall,* 278 AD2d 638; *Matter of Common Council of City of Gloversville v Town Bd. of Town of Johnstown,* 144 AD2d 90; *Matter of Lamb v Mills,* 296 AD2d 697; *Matter of Oates v Village of Watkins Glen,* 290 AD2d 758; *Matter of Owen v Comstock,* 231 AD2d 898.) III. The changing of the return date by the court did not render this proceeding, initially jurisdictionally sound, jurisdictionally defective. (*Matter of Spodek v New York State Commr. of Taxation & Fin.,* 85 NY2d 760.) IV. Real property tax certiorari proceedings and their treatment in the Uniform Rules for Trial Courts support the conclusion that return dates for RPTL article 7 proceedings are not actual dispositive hearing dates. (*W.T. Grant Co. v Srogi,* 52 NY2d 496; *Matter of Great E. Mall v Condon,* 36 NY2d 544; *Matter of Batavia Enters. v Assessor of Town of Batavia,* 72 AD2d 912; *Matter of Sears, Roebuck & Co. v Board of Assessors of Town of Union,* 182 AD2d 970; *Matter of Caldor v Board of Assessors of Town of Colonie,* 142 AD2d 57.)

OPINION OF THE COURT

G.B. SMITH, J.

The issue here is whether the notice of petition in a tax certiorari proceeding pursuant to RPTL article 7 was jurisdictionally defective where petitioner included a return date that was later changed by court personnel. We conclude that it was not.

On July 16, 2002, petitioner sought to commence the instant tax certiorari proceeding in Supreme Court, Erie County when it filed and served a notice of petition and petition on respondents (collectively the Town) seeking a reduction in the tax assessment of its property located in the Town of Tonawanda for the taxable status date May 1, 2002. The notice of petition stated that the matter would be heard in Supreme Court at 9:00 A.M. ''on September 24[,] 2002, or on such other date as specified by the Court, at the opening of Court on that day, or as soon thereafter as counsel can be heard.'' The time and place on the petition were chosen by petitioner's attorney. After the notice of petition was filed, the Clerk of the Court assigned a return date of August 28, 2002 at 9:30 A.M. before Justice Dillon for the hearing of the petition.[1] On August 20, 2002, eight days before the court-assigned return date, the Town moved to dismiss the instant petition arguing that petitioner failed to obtain personal jurisdiction over the Town because the notice of petition served upon it did not include proper notice of the time and place for the hearing on the petition. Moreover, the Town contended that the inclusion of a ''fictitious'' hearing date when the notice of petition was filed did not satisfy CPLR 403 (a) and constituted a jurisdictional defect.

Supreme Court agreed with the Town and dismissed the petition. By a 3-2 vote, the Appellate Division reversed and reinstated the petition.[2] The Appellate Division granted leave and certified the following question: ''Was the order of this Court, entered June 14, 2004, properly made?'' We now answer yes to that question and affirm.

RPTL 700 (2) authorizes the use of special proceedings in tax certiorari matters. RPTL 704 (1) provides, in pertinent part:

> ''Any person claiming to be aggrieved by any assessment of real property upon any assessment roll may commence a proceeding under this article by filing a petition . . . in the manner set forth in [CPLR 304] together with a notice in writing of an application for review under this article returnable not less than twenty nor more than ninety days after service of such petition and notice, except that in a city having a population of one million or more, such a proceeding shall be commenced by filing of a petition alone.''

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1. According to the Town, it found out about the new return date when it called the Erie County Clerk seeking details regarding the September 2002 return date.

2. The dissent in the Appellate Division concluded that the plain language of CPLR 403 (a) requires that the notice of petition include the actual hearing date. It stated, ''Even if a fictitious date were to suffice for filing purposes, it would not necessarily follow that service of a petition and notice of petition with a fictitious hearing date would confer personal jurisdiction'' (*Matter of National Gypsum Co., Inc. v Assessor of Town of Tonawanda*, 8 AD3d 953, 955 [4th Dept 2004]). The dissent further concluded, ''It cannot be less of a defect to give notice of a hearing date that in fact is later than the actual hearing date than to give no hearing date at all. Furthermore, we note that the fact that [the Town] otherwise knew of the actual hearing date is irrelevant'' (*id.* at 956).

CPLR 403 (a) provides that ''[a] notice of petition shall specify the time and place of the hearing on the petition and the supporting affidavits, if any, accompanying the petition.'' A notice of petition must comply with the strict statutory mandates for obtaining personal jurisdiction when served (*see Matter of Mendon Ponds Neighborhood Assn. v Dehm*, 98 NY2d 745 [2002]). The Fourth Department has concluded that failure to include the time and place on a notice of petition in a tax certiorari proceeding is a jurisdictional defect that will warrant dismissal of the tax certiorari petition (*see Matter of Niagara Mohawk Power Corp. v Town of Tonawanda Assessor*, 309 AD2d 1251 [4th Dept 2003], *lv granted* 1 NY3d 507 [2004], *appeal withdrawn* 3 NY3d 635 [2004]).[3]

Relying on *Niagara Mohawk*, the Town claims that the failure to insert the actual time and place is tantamount to not inserting any time and place at all. Here, however, there can be no doubt that petitioner fully complied with CPLR 403 (a) because in its notice of petition, it inserted a time and place for the hearing which conformed with the applicable statutory notice requirements (*see* RPTL 704 [1]).[4] The hearing date fell on a Tuesday during business hours, not on the weekend or a holiday.[5] Under the particular circumstances presented here, we agree with the Appellate Division that the notice of petition is jurisdictionally sound and that the petition should be reinstated. Moreover, we conclude that petitioner has complied with CPLR 403 (a) even though the original return date was changed by court personnel once a Supreme Court Justice was assigned. As the Appellate Division stated, ''Any other interpretation of the statute would be patently unfair to a party attempting to commence such a proceeding'' (*Matter of National Gypsum Co., Inc. v Assessor of Town of Tonawanda*, 8 AD3d 953, 954 [4th Dept 2004]; *see also* Siegel, NY Prac § 553, at 912-913 [3d ed]).

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3. *Contra*, *Matter of Sears, Roebuck & Co. v Board of Assessors of Town of Union*, 182 AD2d 970 (3d Dept 1992).

4. RPTL 704 (1) provides the statutory notice requirements for the purpose of the instant tax certiorari proceeding. Further, RPTL 704 (1) clearly implies that the petitioner is to select a return date.

5. Professor David D. Siegel, in his treatise, New York Practice, acknowledged the difficulties a petitioner's lawyer may face in setting a return date but concluded that ''the best bet is to set a return day satisfactory to statutory notice requirements, even if it appears inevitable that the date selected will be postponed after a judge is assigned'' (footnote omitted) (Siegel, NY Prac § 553, at 913 [3d ed]).

Accordingly, the order of the Appellate Division should be affirmed, with costs, and the certified question answered in the affirmative.

Chief Judge KAYE and Judges CIPARICK, ROSENBLATT, GRAFFEO, READ and R.S. SMITH concur.

Order affirmed, etc.

[831 NE2d 413, 798 NYS2d 356]

THE PEOPLE OF THE STATE OF NEW YORK, Respondent, v RAUL LOPEZ, Appellant.

Argued May 5, 2005; decided June 16, 2005

SUMMARY

APPEAL, by permission of an Associate Judge of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the First Judicial Department, entered September 15, 2004, correcting an order of that Court entered August 5, 2004. The Appellate Division affirmed a judgment of the Supreme Court, Bronx County (Martin Marcus, J., at plea; John Collins, J., at sentence), which had convicted defendant, upon his plea of guilty, of criminal sale of a controlled substance in or near school grounds.

People v Lopez, 10 AD3d 264, affirmed.

HEADNOTE

Crimes — Indictment — Waiver of Indictment

Following the dismissal of a defective indictment, with the understanding that the People would be granted leave to re-present evidence to a new grand jury if no plea agreement were reached, defendant's waiver of indictment and plea of guilty to a superior court information (SCI) was permissible. With the consent of the prosecutor, a defendant may waive indictment and be prosecuted by SCI in ''the appropriate superior court, at any time *prior* to the filing of an indictment by the grand jury'' (emphasis supplied), except in class A felony cases (CPL 195.10 [2] [b]). Defendant's argument that his waiver was unlawful because he entered it after an indictment was filed rather than before was unavailing. No part of the indictment remained following dismissal, and even though re-presentation to another grand jury was not formally ordered, it clearly had been authorized by the court.

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AM JUR 2d, Indictments and Informations §§ 14–17, 70.

CARMODY-WAIT 2d, Criminal Procedure §§ 172:1148, 172:1149, 172:1151, 172:1158.

LAFAVE, ET AL., CRIMINAL PROCEDURE (3d ed) § 15.1.

MCKINNEY'S, CPL 195.10 (2) (b).

NY JUR 2d, Criminal Law §§ 1171–1174, 1176–1178, 1186.

ANNOTATION REFERENCE

See ALR Index under Indictments and Informations.

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POINTS OF COUNSEL

Office of the Appellate Defender, New York City (*Melissa Rothstein, Richard M. Greenberg* and *Rosemary Herbert* of counsel), for appellant. I. Raul Lopez's waiver of indictment and guilty plea on a superior court information were unlawful where there was no pending grand jury action and the court had dismissed the indictment lodged against Mr. Lopez on the same felony complaint. (*People v Boston,* 75 NY2d 585; *People v Iannone,* 45 NY2d 589; *People v Verrone,* 266 AD2d 16; *People v Libby,* 246 AD2d 669; *People v Casdia,* 163 AD2d 604, 78 NY2d 1024; *People v Trueluck,* 88 NY2d 546; *People v Young,* 241 AD2d 690; *People v Davis,* 171 AD2d 957; *People v Robbins,* 283 AD2d 152; *People v D'Amico,* 76 NY2d 877.) II. Raul Lopez was denied effective assistance of counsel when his lawyer advised him to waive indictment and plead guilty on a superior court information after the grand jury had considered the charges against Mr. Lopez but did not vote a true bill against him. (*Strickland v Washington,* 466 US 668; *People v Benevento,* 91 NY2d 708; *People v Garcia,* 75 NY2d 973; *People v Rivera,* 71 NY2d 705; *People v Jenkins,* 68 NY2d 896.)

Robert T. Johnson, District Attorney, Bronx (*T. Charles Won, Joseph N. Ferdenzi* and *Peter D. Coddington* of counsel), for respondent. I. Defendant properly waived indictment and pleaded guilty to a charge contained in a superior court information after the court dismissed the indictment with the understanding that the case would be resubmitted to another grand jury if defendant did not plead guilty. (*People v Comfort,* 278 AD2d 872; *People v Ianniello,* 21 NY2d 418; *Matter of Hall v Bongiorno,* 305 AD2d 508; *People v Casdia,* 78 NY2d 1024; *People v Boston,* 75 NY2d 585; *People v Aarons*, 2 NY3d 547; *People v Noe,* 170 AD2d 1029; *People v D'Amico,* 76 NY2d 877; *People v Bonnet,* 288 AD2d 161; *People v Brown,* 90 NY2d 872.) II. This Court should not review defendant's ineffective assistance of counsel claim, since defendant waived his right to appeal as part of his negotiated plea agreement. (*People v Hansen,* 95 NY2d 227; *People v Keizer,* 100 NY2d 114; *People v Eaton,* 14 AD3d 577; *People v Watkins,* 304 AD2d 987, 100 NY2d 588; *People v Verrone,* 266 AD2d 16; *People v Ford,* 86 NY2d 397; *People v Benevento,* 91 NY2d 708; *People v Baldi,* 54 NY2d 137; *People v Damiano,* 87 NY2d 477.)

OPINION OF THE COURT

Rosenblatt, J.

Defendant challenges his waiver of indictment and guilty plea to a superior court information (SCI). He claims, in essence, that his waiver was illegal solely because he entered it after the court had dismissed a defective indictment against him covering the same charges without granting the People leave to re-present. We disagree.

Police arrested defendant and Evelyn Ramírez for selling heroin to an undercover officer. In a felony complaint, the pair was charged with criminal sale of a controlled substance in or near school grounds and criminal sale of a controlled substance in the third degree in violation of Penal Law § 220.44 (2) and § 220.39 (1). After indictment, defendant and the prosecution negotiated a disposition. Defendant was to plead guilty as a second felony offender to the school grounds count (which would carry the minimum sentence of 4½ to 9 years imprisonment) but could withdraw his plea in favor of a misdemeanor and time served if he successfully completed an 18-month residential drug treatment program.

The allocution went as planned until the court realized that while defendant's name was in the caption, he was not named in the body of the indictment. Although the grand jury voted a true bill against defendant, only Ramírez was named in the two counts, which alleged that she acted "in concert with another." The court adjourned the case, recognizing defendant's continued interest in the disposition, possibly by way of SCI.

One week later, the parties appeared before the court. Both sides agreed that the court would dismiss the indictment and, upon identical terms, defendant would plead guilty to an SCI.

In the ensuing colloquy, defendant expressly waived his right to be prosecuted by indictment. The court instructed defendant that "because this indictment that I dismissed did not charge you with any crime, *this matter would have to be presented, re-presented to another grand jury*, and the grand jury would have to decide, after hearing evidence over again, that there was a legal basis to charge you, there was legally sufficient evidence and reasonable cause to believe that these crimes had been committed and you committed them" (emphasis supplied).

Defendant said he realized he was giving up his right to have a new grand jury consider the matter. Based on the same conditions as the earlier, aborted plea, he pleaded guilty to the school grounds count of the SCI. The court cautioned defendant that his failure in the drug treatment program would result in $4^{1}/_{2}$ to 9 years in prison.

Defendant did not complete the program. In sentencing him to the agreed term of imprisonment, the court noted that over the course of almost a year, it had given defendant three chances, but he missed appointments, refused to submit urine samples and eventually did not appear for treatment at a local detox center. Defendant appealed to the Appellate Division, arguing that his waiver was invalid. That Court affirmed. A Judge of this Court granted defendant leave to appeal, and we now affirm.

Defendant contends that his guilty plea to the SCI was an impermissible waiver of indictment where no grand jury action was pending. He concedes that had the trial court granted the People leave to re-present, prosecution by SCI would be permissible.

Criminal Procedure Law § 195.10 (2) (b) provides that with the consent of the prosecutor, a defendant may waive indictment and be prosecuted by SCI in ''the appropriate superior court, at any time *prior* to the filing of an indictment by the grand jury'' (emphasis supplied), except in class A felony cases. Defendant argues that his waiver was unlawful because he entered it after an indictment was filed rather than before. In advancing the argument, he relies primarily on *People v Boston* (75 NY2d 585 [1990]) and *People v Casdia* (78 NY2d 1024 [1991], *affg* 163 AD2d 604 [1990]).

In *Boston*, the defendant pleaded guilty to an SCI while an indictment—covering the same charges—was still pending. Even though the defendant ''orchestrate[d] the scenario,'' we vacated the plea and nullified the waiver because it contravened CPL 195.10 (2) (b)'s command that the waiver be interposed before indictment (75 NY2d at 589). Similarly, in *Casdia*, when defendant pleaded guilty to the SCI, part of the indictment was defective but a portion of it was extant when defendant entered his waiver.

Here, no part of the indictment remained. Because the indictment was defective, dismissal was required (*see* CPL 210.20 [1] [a]), and the court dismissed it entirely, with leave to re-present. In these circumstances, we reject defendant's claim that prosecution by SCI was impermissible.

It was obvious to everyone—confirmed by the court after it saw the grand jury's vote—that there was a clerical error by which defendant's name was omitted and that the case would have to be re-presented to another grand jury.* As the Appellate Division correctly noted, the court obviously authorized re-presentation even though it did not formally order it, considering that both sides agreed to dispose of the case by SCI on the agreed terms. No magic words were required.

Accordingly, the order of the Appellate Division should be affirmed.

Chief Judge KAYE and Judges G.B. SMITH, CIPARICK, GRAFFEO, READ and R.S. SMITH concur.

Order affirmed.

[Next page is 701.]

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* The grand jury minutes themselves play no part in our decision.